

STATUTORY CONSTRUCTION

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SIXTH EDITION

2009

2014.13
US
#36
2009
13

Philippine Copyright, 2009

by

Law - Politics - Manipulation
And Constitution
2. Statistics - Politics
RUBEN E. AGPALO
ISBN 978-971-23-5286-7

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To

**Ruby, Rosalie, Ruben, Jr.,
Rhodora and Rogelio**

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Chapter I

STATUTES

A. IN GENERAL

1.01. Laws, generally.

Law in its jural and generic sense refers to the whole body or system of law. In its jural and concrete sense, law means a rule of conduct formulated and made obligatory by legitimate power of the state. It includes statutes enacted by the legislature, presidential decrees and executive orders issued by the President in the exercise of his legislative power, other presidential issuances in the exercise of his ordinance power, rulings of the Supreme Court construing the law, rules and regulations promulgated by administrative or executive officers pursuant to a delegated power, and ordinances passed by *sanggunians* of local government units.

1.02. Statutes, generally.

A statute is an act of the legislature as an organized body, expressed in the form, and passed according to the procedure, required to constitute it as part of the law of the land. Statutes enacted by the legislature are those passed by the Philippine Commission, the Philippine Legislature, the Batasang Pambansa, and the Congress of the Philippines. Other laws which are of the same category and binding force as statutes are presidential decrees issued by the President in the exercise of his legislative power during the period of martial law under the 1973 Constitution¹ and executive

¹Legaspi v. Ministry of Finance, 115 SCRA 418 (1982); Garcia-Padilla v. Ponce Enrile, G.R. No. 61388, April 20, 1983; Aquino v. Commission on Elections, 62 SCRA 275 (1975).

orders issued by the President in the exercise of his legislative power during the revolutionary period under the Freedom Constitution.²

Statutes may either be public or private. A public statute is one which affects the public at large or the whole community. A private statute is one which applies only to a specific person or subject. But whether a statute is public or private depends on substance rather than on form.

Public statutes may be classified into general, special and local laws. A general law is one which applies to the whole state and operates throughout the state alike upon all the people or all of a class.³ It is one which embraces a class of subjects or places and does not omit any subject or place naturally belonging to such class.⁴ A special law is one which relates to particular persons or things of a class or to a particular community, individual or thing.⁵ A local law is one whose operation is confined to a specific place or locality. A municipal ordinance is an example of a local law.⁶

1.03. Permanent and temporary statutes.

According to its duration, a statute may be permanent or temporary. A permanent statute is one whose operation is not limited in duration but continues until repealed. It does not terminate by the lapse of a fixed period or by the occurrence of an event. Neither disuse nor custom or practice to the contrary operates to render it ineffective or inoperative.⁷

A temporary statute is a statute whose duration is for a limited period of time fixed in the statute itself or whose life ceases upon the happening of an event. Where a statute provides that it shall be in force for a definite period, it terminates at the end of such period.⁸ Where a statute is designed to meet an emergency, it ends upon the cessation of such emergency. Since an emergency is by nature temporary in character, so must the statute intended to meet it, be.

²Sec. 1, Proclamation No. 3, March 25, 1986, known as Freedom Constitution

³*People v. Palma*, G.R. No. 44113, March 31, 1977, 76 SCRA 243.

⁴*Valera v. Tieson*, 80 Phil. 823 (1948).

⁵*Valera v. Tieson*, *ibid.*

⁶*People v. Palma*, *supra*.

⁷Art. 7, Civil Code.

⁸*Espiritu v. Cipriano*, G.R. No. 32743, February 15, 1974, 55 SCRA 533 (1974).

A limit in time to tide over a passing trouble may justify a law that may not be upheld as a permanent one.⁹

1.04. Other classes of statutes.

In respect to their application, statutes may be prospective or retroactive. They may also be, according to their operation, declaratory, curative, mandatory, directory, substantive, remedial, and penal. In respect to their forms, they may be affirmative or negative.

1.05. Manner of referring to statutes.

Statutes passed by the legislature are consecutively numbered and identified by the respective authorities that enacted them. Statutes passed by the Philippine Commission and the Philippine Legislature from 1901 to 1935 are identified as Public Acts. The laws enacted during the Commonwealth from 1936 to 1946 are referred to as Commonwealth Acts, while those passed by the Congress of the Philippines from 1946 to 1972 and from 1987 under the 1987 Constitution are known as Republic Acts. Laws promulgated by the Batasang Pambansa are referred to as Batas Pambansa. Presidential decrees and executive orders issued by the President in the exercise of his legislative power are also serially numbered. Apart from its serial number, a statute may also be referred to by its title.

B. ENACTMENT OF STATUTES

1.06. Generally.

The steps and actions taken and words and language employed to enact a statute are important parts of legislative history, which are important aids in ascertaining legislative intent, in the interpretation of ambiguous provisions of the law. Hence, the study of statutory construction should begin with how a bill is enacted into law.

⁹*Homeowners Assn. of the Phils. v. Municipal Board of Manila*, G.R. No. 23979, August 30, 1968, 24 SCRA 856.

1.07. Legislative power of Congress.

Section 1 of Article VI of the Constitution provides that "the legislative power shall be vested in the Congress of the Philippines which shall consist of a Senate and a House of Representatives, except to the extent reserved to the people by the provision on initiative and referendum." Legislative power is the power to make, alter and repeal laws.¹⁰

Legislative power is "the authority, under the Constitution, to make laws, and to alter and repeal them." The Constitution, as the will of the people in their original, sovereign and unlimited capacity, has vested this power in the Congress of the Philippines. The grant of legislative power to Congress is broad, general and comprehensive. The legislative body possesses plenary power for all purposes of civil government. Any power, deemed to be legislative by usage and tradition, is necessarily possessed by Congress, unless the Constitution has lodged it elsewhere. In fine, except as limited by the Constitution, either expressly or impliedly, legislative power embraces all subjects and extends to matters of general concern or common interest.¹¹

Legislative power is vested in the Congress of the Philippines, consisting of a Senate and a House of Representatives, not in a particular chamber, but in both chambers. While the Constitution requires that the initiative for filing revenue, tariff, or tax bills, bills authorizing an increase of the public debt, private bills and bills of local application must come from the House of Representatives, on the theory that, elected as they are from the districts, the members of the House can be expected to be more sensitive to the local needs and problems, and Senators, who are elected at large, are expected to approach the same problem from the national perspective, both views on any of these subjects are made to bear on the enactment of such laws.¹²

The Constitution has explicitly provided that legislative power is the power to enact laws; executive power, to execute the laws; and judicial, to interpret and apply the laws. By physical arrangement of the articles on such powers, the legislative power is first and appears to be more extensive and broad than the executive and judicial powers. For without a law, the executive has nothing to execute,

and the judiciary has nothing to interpret and apply. Thus, it has been said that the grant of legislative power means a grant of all legislative power.¹³

The subjects of legislation are vast. Except as the Constitution may have excluded specific subjects from legislation or laid down restrictions, which Congress must take into account in the enactment of laws, the Congress may legislate or enact laws for any of the purposes of civil government. In addition, the Constitution has laid down policies and principles and contains provisions, which are not self-executing, as to which there is need for enabling legislation to implement them. Thus, Sections 1 to 28 of Article II on Declaration of Principles and State Policies are not, as a general rule, self-executing, and they require enabling laws to implement them.¹⁴ Apart from this, a number of specific provisions of the Constitution require that the legislature enact specific laws to flesh them out, or that they state that they be subject to legislations.

The provisions of the Constitution are either self-executing or non-self-executing. Non-self-executing provisions require Congress to enact enabling legislations. But even those which are self-executing may not prevent Congress from enacting further laws to enforce the constitutional provisions within their confines, impose penalties for their violation, and supply minor details.¹⁵

1.08. Procedural requirements in enacting a law, generally.

The fundamental law prescribes the basic procedural requirements for the passage of a bill into law. It has been held that a bill may be enacted into law only in the manner the Constitution requires and in accordance with the procedure therein provided.¹⁶ Apart from the basic constitutional requirements, Congress provides in detail the procedure by which a bill may be enacted into law. The detailed procedure is embodied in the Rules of both Houses of Congress, promulgated pursuant to the constitutional mandate empowering it to determine its rules of proceedings.¹⁷

¹⁰Ocampo v. Cabangis, 15 Phil. 626 [1910]; Marcos v. Manglapus, 177 SCRA 668 [1989].

¹¹Panmong v. Comelec, April 13, 2004.

¹²Manila Prince Hotel v. GSIS, 267 SCRA 408, 438 [1997].

¹³Miller v. Nardo, 112 Phil. 792 [1961]; Valderama Manufacturing Co., Inc. v. Administrator, 115 Phil. 629 [1962].

¹⁴Sec. 16[3], Art. VI.

¹⁰Oceana v. Comelec, 95 SCRA 755 [1980].

¹¹Ople v. Torres, 293 SCRA 141 [1998].

¹²Tolentino v. Secretary of Finance, 235 SCRA 630 [1994].

However, a law may not be declared unconstitutional when what has been violated in its passage are merely internal rules of procedure of the House, in the absence of any violation of the Constitution or of the rights of an individual. Courts have no power to inquire into allegations that, in enacting a law, a House of Congress failed to comply with its own rules, in the absence of a showing that there was a violation of a constitutional provision or the rights of private individuals. These rules are subject to revocation, modification or waiver at the pleasure of the body adopting them. They are procedural, and with their observance, the courts have no concern. They may be waived or disregarded by the legislative body. The mere failure to conform to parliamentary usage will not invalidate the action taken by the body when the requisite number of members has agreed to a particular measure.¹⁸

1.09. Steps in the passage of bill into law.

A bill is a proposed legislative measure introduced by a member or members of Congress for enactment into law. It is signed by its author(s) and filed with the Secretary of the House. It may originate from either the lower or upper House, except appropriation, revenue or tariff bills, bills authorizing increase of public debt, bills of local application, and private bills, which shall originate exclusively in the House of Representatives.¹⁹

a) *First and second readings of bills.*

The Secretary reports the bill for first reading. First Reading consists of reading the number and title of the bill, followed by its referral to the appropriate Committee for study and recommendation. The Committee may hold public hearings on the proposed measure and submit(s) its report and recommendation for Calendar for second reading. On Second Reading, the bill shall be read in full with the amendments proposed by the Committee, if any, unless copies thereof are distributed and such reading is dispensed with. Thereafter, the bill will be subject to debates, pertinent motions, and amendments. After the amendments shall have been acted upon, the bill will be voted on second reading. A bill approved on second reading shall be included in the Calendar of bills for third

reading. On third reading, the bill as approved on second reading will be submitted for final vote by *yeas* and *nays*.

b) *Third reading.*

A bill is approved by either House after it has gone three (3) readings. Section 26(2) Art. VI reads:

"(2) No bill passed by either House shall become a law unless it has passed three readings on separate days, and printed copies thereof in its final form have been distributed to its Members three days before its passage, except when the President certifies to the necessity of its immediate enactment to meet a public calamity or emergency. Upon the last reading of a bill, no amendment thereto shall be allowed, and the vote thereon shall be taken immediately thereafter, and the *yeas* and *nays* entered in the Journal."

The Presidential certification, as above provided, dispenses with the requirement not only of printing but also that of reading the bill on separate days. The "unless" clause must be read in relation to the "except" clause because the two are coordinate clauses of the same sentence. In other words, upon the certification of the President as to the necessity of the bill's immediate enactment to meet a public calamity or emergency, the requirement of three readings on separate days and of printing and distribution of printed copies thereof three days before its passage can be dispensed with. This is in accordance with legislative practice. The factual basis of the Presidential certification of bills may not be subject to judicial review, as it merely involves doing away with procedural requirements designed to insure that bills are duly considered by members of Congress.²⁰

c) *Conference committee reports.*

The bill approved on third reading by one House is transmitted to the other House for concurrence, which will follow substantially the same route as a bill originally filed with it. If the other House approves the bill without amendment, the bill is passed by Congress and the same will be transmitted to the President for appropriate action. If the other House introduces amendments and the House from which it originated does not agree with said amendments, the

¹⁸ *Arroyo v. De Venecia*, 277 CRA 268 [1997].

¹⁹ Art. VI, Sec. 24, 1987 Constitution.

²⁰ *Tolentino v. Secretary of Finance*, 235 SCRA 630 [1994].

differences will be settled by the Conference Committees of both Chambers, whose report or recommendation thereon will have to be approved by both Houses in order that it will be considered passed by Congress and thereafter sent to the President for action.

The respective Rules of the Senate and the House provide for a conference committee. Generally, a conference committee is the mechanism for compromising differences between the Senate and the House in the passage of a bill into law. However, its jurisdiction is not limited to such question. It has broader functions. It may deal generally with the subject matter. Occasionally, a conference committee may produce unexpected results beyond its mandate. There is nothing in the Rules which limits a conference committee to a consideration of conflicting provisions. It is within its power to include in its report an entirely new provision that is not found either in the House bill or in the Senate bill.²¹ This is the reason why other political scientists call the conference committee a third body of the legislature.

The broader function of a conference committee is described as follows:

"A conference committee may deal generally with the subject matter or it may be limited to resolving the precise differences between the two houses. Even where the conference committee is not by rule limited in its jurisdiction, legislative custom severely limits the freedom with which new subject matter can be inserted into the conference bill. But occasionally a conference committee produces unexpected results, beyond its mandate. These excursions occur even where the rules impose strict limitations on conference committee jurisdiction. This is symptomatic of the authoritarian power of conference committee."²²

Thus, there may be three (3) versions of a bill or revenue bill originating from the lower House. The first is that of the lower House; the second is that of the Senate; and the third is that of the conference committee. If both Houses approve the report of the conference committee adopting a third version of the bill, then it

²¹Phil. Judges Association v. Prado, 227 SCRA 703 [1993]; Tolentino v. Secretary of Finance, 235 SCRA 630 [1994].

²²Davis, Legislative Law and Process: In A Nutshell, 1986 Ed., p. 81; Phil. Judges Assn. v. Prado, 227 SCRA 703, 709 [1993].

is the latter that is the final version, which is conclusive under the doctrine of enrolled bill, that will be submitted to the President for approval.²³

The requirement that no bill shall become a law unless it has passed three readings on separate days and printed copies thereof in its final form have been distributed to the Members three days before its passage does not apply to Conference Committee reports. The requirement refers only to bills introduced for the first time in either house of Congress, not to the conference committee report, even if such report includes new provisions which have not been considered or taken up by the Senate or the lower House. All that is required is that the conference committee report be approved by both Houses of Congress.²⁴

d) Authentication of bills.

The lawmaking process in Congress ends when the bill is approved by the body. It is this approval that is indispensable to the validity of the bill. Before an approved bill is sent to the President for his consideration as required by the Constitution, the bill is authenticated. The system of authentication devised is the signing by the Speaker and the Senate President of the printed copy of the approved bill, certified by the respective secretaries of the both Houses, to signify to the President that the bill being presented to him has been duly approved by the legislature and is ready for his approval or rejection.²⁵

e) President's approval or veto.

The Constitution provides that "every bill passed by the Congress shall, before it becomes a law, be presented to the President. If he approves the same, he shall sign it; otherwise, he shall veto it and return the same with his objections to the House where it originated, which shall enter the objections in its Journal and proceed to reconsider it. If, after such reconsideration, two-thirds of all the Members of such House shall agree to pass the bill, it shall be sent, together with the objections, to the other House by which it shall likewise be reconsidered, and if approved by two-thirds of all the Members of that House, it shall become a law. In

²³Tolentino v. Secretary of Finance, 235 SCRA 630 [1994].

²⁴Tolentino v. Secretary of Finance, *ibid.*

²⁵Astorga v. Villegas, 56 SCRA 714 [1974].

all such cases, the votes of each House shall be determined by *yeas* or *nays*, and the names of the Members voting for or against shall be entered in its Journal. The President shall communicate his veto to any bill to the House where it originated within thirty days after the date of receipt thereof, otherwise, it shall become a law as if he had signed it."²⁶

In other words, a bill passed by Congress becomes a law in either of three ways, namely: (1) when the President signs it; (2) when the President does not sign nor communicate his veto of the bill within thirty days after his receipt thereof; and (3) when the vetoed bill is repassed by Congress by two-thirds vote of all its Members, each House voting separately.

C. PARTS OF STATUTES

1.10. Statutes generally contain the following parts:

1. *Preamble.*

A preamble is a prefatory statement or explanation or a finding of facts, reciting the purpose, reason, or occasion for making the law to which it is prefixed.²⁷ It is usually found after the enacting clause and before the body of the law. The legislature seldom puts a preamble to a statute it enacts into law. The reason for this is that the statement embodying the purpose, reason, or occasion for the enactment of the law is contained in its explanatory note. However, Presidential decrees and executive orders generally have preambles apparently because, unlike statutes enacted by the legislature in which the members thereof expound on the purpose of the bill in its explanatory note or in the course of deliberations, no better place than in the preamble can the reason and purpose of the decree be stated. Preambles thus play an important role in the construction of Presidential Decrees.²⁸

2. *Title of statute.*

The Constitution provides that "every bill passed by Congress shall embrace only one subject which shall be expressed in the title

²⁶Sec. 27[1], Art. VI.

²⁷Continental Oil Co. v. Santa Fe, 177 P. 72, 3 ALR 394 [1918].

²⁸People v. Purisima, 86 SCRA 542 [1978]; People v. Echavez, 95 SCRA 663 [1980].

thereof."²⁹ This provision is mandatory, and a law enacted in violation thereof is unconstitutional.³⁰ The constitutional provision contains dual limitations upon the legislature. First, the legislature is to refrain from conglomeration, under one statute, of heterogeneous subjects. Second, the title of the bill is to be couched in a language sufficient to notify the legislators and the public and those concerned of the import of the single subject thereof.³¹

a) *Purposes of title requirement.*

The principal purpose of the constitutional requirement that every bill shall embrace only one subject which shall be expressed in its title is to apprise the legislators of the object, nature and scope of the provisions of the bill, and to prevent the enactment into law of matters which have not received the notice, action and study of the legislators.³² It is to prohibit duplicity in legislation the title of which completely fails to apprise the legislators or the public of the nature, scope and consequences of the law or its provisions.³³ In other words, the aims of the constitutional requirement are: "First, to prevent hodgepodge or log-rolling legislation; second, to prevent surprise or fraud upon the legislature, by means of provisions in bills of which the title gave no information, and which might therefore be overlooked and carelessly and unintentionally adopted; and third, to fairly apprise the people, through such publication of legislative proceedings as is usually made, of the subjects of the legislation that are being heard thereon, by petition or otherwise if they shall so desire."³⁴

It has been held that the constitutional provision "is aimed against the evils of the so-called omnibus bills and log-rolling legislation as well as surreptitious or unconsidered enactments. Where the subject of a bill is limited to a particular matter, the lawmakers along with the people should be informed of the subject of proposed legislative measures. This constitutional provision

²⁹Sec. 26[1], Art. VI.

³⁰Agcaoili v. Suguitan, 48 Phil. 676 [1926]; Phil. Constitution Assn. v. Jimenez, 15 SCRA 479 [1965].

³¹Lidiasen v. Commission on Elections, 21 SCRA 496 [1967].

³²Lidiasen v. Executive Secretary, 9 SCRA 2616 [1963].

³³Inchong v. Hernandez, 101 Phil. 1165 (1957); Municipality of Jose Panganiban v. Shell Co. of the Phil., 17 SCRA 77 [1966].

³⁴Phil. Judges Association v. Prado, 227 SCRA 703 [1993]; De Guzman v. Com-elec, 336 SCRA 188 [2000].

thus precludes the insertion of riders in legislation, a rider being a provision not germane to the subject matter of the bill."³⁵

A fourth purpose may be added. The title of a statute is used as a guide in ascertaining legislative intent when the language of the act does not clearly express its purpose.³⁶ The title may clarify doubt or ambiguity in the meaning and scope of a statute, and limiting a statute to only one subject and expressing it in its title will strengthen its function as an intrinsic aid to statutory construction.

The title of the bill is not required to be an index to the body of the act, or to be comprehensive as to cover every single detail of the measure. It has been held that if the title fairly indicates the general subject, and reasonably covers all the provisions of the act, and is not calculated to mislead the legislature or the people, there is sufficient compliance with the constitutional requirement.³⁷

The "one title-one subject" rule does not require the Congress to employ in the title of the enactment, language of such precision as to mirror, fully index or catalogue all the contents and the minute details therein. The rule is sufficiently complied with if the title is comprehensive enough as to include the general object which the statute seeks to effect, and where the persons interested are informed or the nature, scope and consequences of the proposed law and its operation. The Court has invariably adopted a liberal rather than technical construction of the rule so as not to cripple or impeded legislation.³⁸ Where a law amends a section or part of a statute, it suffices if reference be made to the legislation to be amended, there being no need to state the precise nature of the amendment.³⁹

b) Subject of repeal of statute.

The repeal of a statute on a given subject is properly connected with the subject matter of a new statute on the same subject, and therefore a repealing section in the new statute is valid, notwithstanding that the title is silent on the subject. It would be difficult to conceive of a matter more germane to an act and to

³⁵ *Alalayan v. NPC*, 24 SCRA 172, 179 [1968].

³⁶ *Government v. Municipality of Binangonan*, 32 Phil. 694 [1915].

³⁷ *Phil. Judges Association v. Prado*, 227 SCRA 703 [1993].

³⁸ *Cavallero, Jr. v. Comelec*, 368 SCRA 453 [2001].

³⁹ *Alalayan v. NPC*, 24 SCRA 172, 179 [1968].

the object to be accomplished thereby than the repeal of previous legislations connected therewith.⁴⁰

The reason is that where a statute repeals a former law, such repeal is the effect and not the subject of the statute; and it is the subject, not the effect of a law, which is required to be briefly expressed in its title. If the title of an act embraces only one subject, it was never claimed that every other act which it repeals or alters by implication must be mentioned in the title of the new act. Any such rule would be neither within the reason of the Constitution, nor practical.⁴¹

c) How requirement of title construed.

The constitutional requirement as to title of a bill should be liberally construed.⁴² It should not be given a technical interpretation. Nor should it be so narrowly construed as to cripple or impede the power of legislation.⁴³ Where there is doubt as to whether the title sufficiently expresses the subject matter of the statute, the question should be resolved against the doubt and in favor of the constitutionality of the statute.⁴⁴

The trend in cases is to construe the constitutional requirement in such a manner that courts do not unduly interfere with the enactment of necessary legislation and to consider it sufficient if the title expresses the general subject of the statute and all its provisions are germane to the general subject thus expressed.⁴⁵

d) When requirement not applicable.

The requirement that a bill shall embrace only one subject which shall be expressed in its title was embodied in the 1935 Constitution and reenacted in the 1973 and 1987 Constitutions. The requirement applies only to bills which may thereafter be enacted

⁴⁰ *Phil. Judges Association v. Prado*, 227 SCRA 703 [1993], quoting *Cooley*, Constitutional Limitations, 8th ed., p. 302.

⁴¹ *Ibid.*

⁴² *People v. Buenavista*, 47 Phil. 536 [1925]; *Alalayan v. National Power Corp.*, 24 SCRA 172 [1968].

⁴³ *Cordero v. Cabatnando*, 6 SCRA 418 [1962]; *Tobias v. Abalos*, 237 SCRA 106 [1994].

⁴⁴ *Insular Lumber Co. v. Court of Tax Appeals*, 104 SCRA 710 [1981].

⁴⁵ *Tolentino v. Secretary of Finance*, 235 SCRA 630 [1994].

into law. It does not apply to laws in force and existing at the time the 1935 Constitution took effect.⁴⁶

e) *Effect of insufficiency of title.*

A statute whose title does not conform to the constitutional requirement or is not related in any manner to its subject is null and void.⁴⁷ Where, however, the subject matter of a statute is not sufficiently expressed in its title, only so much of the subject matter as is not expressed therein is void, leaving the rest in force,⁴⁸ unless the invalid provisions are inseparable from the others, in which case the nullity of the former vitiates the latter.⁴⁹

3. *Enacting clause.*

The enacting clause is that part of a statute written immediately after the title thereof which states the authority by which the act is enacted. Laws passed by the Philippine Commission contain this enacting clause: "By authority of the President of the United States, be it enacted by the United States Philippine Commission." The enacting clause of statutes enacted by the Philippine Legislature states: "By authority of the United States, be it enacted by the Philippine Legislature." When the Philippine Legislature became bicameral, laws enacted by it have this enacting clause: "Be it enacted by the Senate and House of Representatives of the Philippines in Legislature assembled and by authority of the same." During the Commonwealth, the enacting clause of statutes is: "Be it enacted by the National Assembly of the Philippines," which was later changed to: "Be it enacted by the Senate and House of Representatives in Congress assembled," when the assembly became bicameral. The latter enacting clause is also the enacting clause used by the Congress from 1946 to 1972 and from 1987 up to the present. The enacting clause adopted by the Batasang Pambansa is: "Be it enacted by the Batasang Pambansa in session assembled." On the other hand, the enacting clause of Presidential decrees is worded substantially as follows: "NOW THEREFORE, I, _____, President of the Philippines, by virtue of the powers in me vested by the Constitution, do hereby decree as follows:" Executive Order

⁴⁶People v. Valensoy, 101 Phil. 642 [1957].

⁴⁷Phil. Constitution Assn., Inc. v. Gimenez, 15 SCRA 479 [1965]; De la Cruz v. Paras, 123 SCRA 569 [1983].

⁴⁸Univ. v. Burrage, 103 U.S. 447, 26 L. ed. 405 [1881].

⁴⁹In re Cunnanan, 94 Phil. 534 [1954].

issued by the President in the exercise of his legislative power has this enacting clause: "Now, therefore, I, _____, hereby order."

4. *Purview or body of statute.*

The purview or body of a statute is that part which tells what the law is all about. The body of a statute should embrace only one subject matter. The constitutional requirement that a bill should have only one subject matter which should be expressed in its title is complied where the provisions thereof, no matter how diverse they may be, are allied and germane to the subject and purpose of the bill or, negatively stated, where the provisions are not inconsistent with, but in furtherance of, the single subject matter.⁵⁰

The legislative practice in writing a statute is to divide an act into sections, each of which is numbered and contains a single proposition. A complex and comprehensive piece of legislation usually contains, in this sequence, a short title, a policy section, definition section, administrative section, sections prescribing standards of conduct, section imposing sanctions for violation of its provisions, transitory provision, separability clause, repealing clause, and effectivity clause.

5. *Separability clause.*

A separability clause is that part of a statute which states that if any provision of the act is declared invalid, the remainder shall not be affected thereby. It is a legislative expression of intent that the nullity of one provision shall not invalidate the other provisions of the act. Such a clause is not, however, controlling and the courts may, in spite of it, invalidate the whole statute where what is left, after the void part, is not complete and workable.⁵¹ The presumption is that the legislature intended a statute to be effective as a whole and would not have passed it had it foreseen that some part of it is invalid. The effect of a separability clause is to create in the place of such presumption the opposite one of separability.⁵²

⁵⁰People v. Carlos, 78 Phil. 535 [1947].

⁵¹Greenblatt v. Golden, 94 So. 2d 355, 59 ALR2d 877 [1957].

⁵²Williams v. Standard Oil Co., 278 U.S. 235, 73 L. ed. 287 [1929].

6. *Repealing Clause*

When the legislature repeals a law, the repeal is not a legislative declaration finding the earlier law unconstitutional. The power to declare a law unconstitutional does not lie with the legislature, but with the courts.⁵³

7. *Effectivity clause.*

The effectivity clause is the provision when the law takes effect. Usually, the provision as to the effectivity of the law states that it shall take effect 15 days from publication in the Official Gazette or in a newspaper of general circulation.

1.11. *Meaning of certain bills originating from lower House.*

The procedure for the enactment of ordinary bills applies to the enactment of appropriations and revenue measures. However, they can only originate from the lower House, but the Senate may propose or concur with amendments.

"Section 24. All appropriation, revenue or tariff bills, bills authorizing increase of the public debt, bills of local application, and private bills, shall originate exclusively in the House of Representatives, but the Senate may propose or concur with amendments."

The above provision means that the initiative for filing revenue, tariff, or tax bills, bills authorizing an increase of the public debt, private bills and bills of local application must come from the House of Representatives on the theory that, elected as they are from the districts, the members of the House can be expected to be more sensitive to the local needs and problems. On the other hand, the senators, who are elected at large, are expected to approach the same problems from the national perspective. Both views are thereby made to bear on the enactment of such laws. A bill originating in the house may undergo such extensive changes in the Senate, with its power to propose or concur with amendments, that the result may be a re-writing of the whole. The constitutional provision does not prohibit the filing in the Senate of substitute bill in anticipation of its receipt of the bill from the House, so long as action by the Senate

as a body is withheld pending receipt of the House bill. Given the power of the Senate to propose amendments, the Senate can propose its own version even with respect to matters which are required to originate in the House.⁵⁴

The action of the Senate in the exercise of its power not only to "concur with amendments" but also to "propose amendments" may result in the writing of a distinct bill substantially different from that which originated from the lower House. The Senate cannot be denied such power, otherwise it would violate the coequality of the legislative power of the two house of Congress and make the lower House superior to the Senate. Legislative power is vested not in any particular chamber but in the Congress of the Philippines, consisting of the Senate and the House of Representatives. The constitutional provision providing that revenue bills, etc., shall originate exclusively in the lower House merely means that the initiative for filing revenue, tariff, or tax bills, bills authoring an increase of the public debt, private bills and bills of local application must come from the House of Representatives.⁵⁵

1.12. *Enactment of budget and appropriations law.*

The budget process consists of four major phases, namely: Budget Preparation, Budget Authorization, Budget Execution and Budget Accountability. After approval of the "proposed budget" by the Department of Budget and Management, the same is submitted to Congress for evaluation and inclusion in the appropriations law.⁵⁶

A general appropriation bill is a special type of legislation, whose content is limited to specified sums of money dedicated to specific purposes or a separate fiscal unit. Inherent in the power of appropriation is the power to specify how the money shall be spent. Hence, only provisions which Congress can include in an appropriation bill are those which relate specifically to some particular appropriation therein and be limited in its operation to the appropriate items to which it relates.⁵⁷

⁵⁴Tolentino v. Secretary of Finance, 235 SCRA 630 [1994].

⁵⁵*Ibid.*

⁵⁶National Electrification Administration v. COA, G.R. No. 143481, February 15, 2002.

⁵⁷Phil. Constitution Association v. Enriquez, 235 SCRA 506 [1994].

⁵³Mirasol v. CA, 351 SCRA 44 [2001].

The enactment of an appropriation bill follows the usual route which any ordinary bill goes through in its enactment, as above discussed.

1.13. Restrictions in passage of budget or revenue bills.

Revenue or appropriations bills are subject to the following restrictions or qualifications, as provided in Section 25 of Article VI, thus:

1. Budget preparation by the President and submission to Congress. — "The Congress may not increase the appropriations recommended by the President for the operation of the Government as specified in the budget. The form, content, and manner of preparation of the budget shall be prescribed by law."⁶⁸

Under the Constitution, the spending power known as the "power of the purse" belongs to Congress, subject only to the veto power of the President. The President may propose the budget, but the final say on the matter of appropriations is lodged in Congress. The power of appropriation carries with it the power to specify the project or activity to be funded under the appropriation law. It can be as detailed and as broad as Congress wants it to be. The Countrywide Development Fund forms part of the power of appropriation.⁶⁹

The budget preparation is prescribed in Book VI, entitled National Government Budgeting, of the 1987 Administrative Code, particularly Chapter 3, on "Budget Preparation."

2. Each provision must relate specifically to particular appropriation. — "No provision or enactment shall be embraced in the general appropriations bill unless it relates specifically to some particular appropriation therein. Any such provision or enactment shall be limited in its operation to the appropriation to which it relates."⁷⁰

This restriction precludes the Congress from including in the appropriations bill what is known as "inappropriate provisions." It has been held that Congress may include special provisions, conditions to items which cannot be vetoed separately from the items to which they relate so long as they are "appropriate" in the

⁶⁸Sec. 25[1], Art. VI.

⁶⁹Phil. Constitution Assn. v. Enriquez, 235 SCRA 506 [1994].

⁷⁰Sec. 25[2], *ibid.*

budgetary sense. Other provisions, such as the repeal or amendment of a law, a provision which grants Congress the power to exercise congressional veto requiring its approval or disapproval of expenses for a specific purpose in the budget, or which is unconstitutional or which denies the President the right to defer or reduce the spending for a particular item, rider provisions, substantive pieces of legislation, and special interest provisions, should not be included in the appropriation bill. These are "inappropriate provisions" which can be considered as "item" and which the President may validly veto.⁷¹

Any provision therein which is intended to amend another law is considered an "inappropriate provision." The category of "inappropriate provisions" includes unconstitutional provisions and provisions which are intended to amend or repeal other laws, because clearly these kinds of laws have no place in an appropriations bill. Thus, increasing or decreasing the internal revenue allotments of the LGUs or modifying their percentage sharing therein, which are fixed in the Local Government Code of 1991, are matters of general and substantive law. To permit Congress to undertake these amendments through the GAAs would be to give Congress the unbridled authority to unduly infringe the fiscal autonomy of the LGUs, and thus put the same in jeopardy every year. This cannot be sanctioned by the Court.⁷²

Neither may Congress include in the appropriation bill provisions which restrict the fiscal autonomy of the Judiciary, the Civil Service Commission, the Commission on Elections, the Commission on Audit and the Office of the Ombudsman. Fiscal autonomy contemplates a guarantee of full flexibility to allocate and utilize their resources with the wisdom and dispatch that their needs require. Fiscal autonomy means freedom from outside control. The imposition of restrictions and constraint on the manner the independent constitutional offices allocate and utilize the funds appropriated for their operations is anathema to fiscal autonomy and violates not only (of) the express mandate of the Constitution but especially as regards the Supreme Court, (of) the independence and separation of powers upon which the entire fabric of the constitutional system is based.⁷³

⁷¹Phil. Constitution Association v. Enriquez, 235 SCRA 506 [1994].

⁷²Province of Batangas v. Romulo, May 27, 2004.

⁷³Bengzon v. Drilon, 209 SCRA 133 [1992].

3. Procedure in approving appropriations. — The procedure in approving appropriations for the Congress shall strictly follow the procedure for approving appropriations for the other departments and agencies.⁶⁴

4. Special appropriation bill to specify purpose. — "A special appropriations bill shall specify the purpose for which it is intended, and shall be supported by funds actually available as certified by the National Treasurer, or to be raised by a corresponding revenue proposal therein."⁶⁵

5. Restriction on transfer of appropriation; exception. — "No law shall be passed authorizing any transfer of appropriations; however, the President, the President of the Senate, the Speaker of the House of Representatives, the Chief Justice of the Supreme Court, and the heads of Constitutional Commissions may, by law, be authorized to augment any item in the general appropriations law for their respective offices from savings in other items of their respective appropriations."⁶⁶

The officials expressly enumerated in the constitutional provision are authorized to realign savings to augment any item in the general appropriations law within their respective offices. The appropriation law itself may contain provision authorizing them to do so.⁶⁷

Pursuant to the foregoing constitutional provision, the Senate President and the Speaker are authorized to realign savings as appropriated. While individual members may determine the necessity of realignment of savings in the allocations of their operating expenses, the final say on the matter is lodged in the Senate President or the Speaker, as the case may be, who should give his approval when two requirements are met: (1) the funds to be realized or transferred are actually savings in the items of expenditures from which the same are to be taken; and (2) the transfer or realignment is for the purpose of augmenting the items of expenditures to which transfer or realignment is to be made.⁶⁸

⁶⁴Sec. 25[3], Art. VI.

⁶⁵Sec. 25[4], *ibid.*

⁶⁶Sec. 25[5], *ibid.*

⁶⁷Phil. Association, Inc. v. Enriquez, 235 SCRA 506 [1994].

⁶⁸*Ibid.*

The express mention of the named officials precludes the legislature from granting other officials to (realize) savings from their respective offices.⁶⁹

6. Discretionary funds requirements. — "Discretionary funds appropriated for particular officials shall be disbursed only for public purposes to be supported by appropriate vouchers and subject to such guidelines as may be prescribed by law."⁷⁰

7. Automatic re-enactment of budget. — "If, by the end of any fiscal year, the Congress shall have failed to pass the general appropriations bill for the ensuing fiscal year, the general appropriations law for the preceding fiscal year shall be deemed reenacted and shall remain in force and effect until the general appropriations bill is passed by the Congress."⁷¹

8. President's veto power. — "The President shall have the power to veto any particular item or items in an appropriation, revenue, or tariff bill, but the veto shall not affect the item or items to which he does not object."⁷²

The President may veto not only any particular item, but also any "inappropriate" provisions in the bill. An item in a bill refers to the particulars, the details, the distinct and several parts of the bill. It is an indivisible sum dedicated to a stated purpose. An item in an appropriation bill means an item which in itself is a specific appropriation of money, not some general provision of law, which happens to be put into an appropriation bill.⁷³

The Constitution provides that the "President shall have the power to veto any particular item or items in an appropriation, revenue or tariff bill but the veto shall not affect the item or items to which he does not object."⁷⁴ The power to disapprove any item or items in an appropriation bill does not grant the authority to veto a part of an item and to approve the remaining portion of the same item. He either has to disapprove the whole item or not at all.⁷⁵

⁶⁹*Ibid.*

⁷⁰Sec. 25[6], Art. VI.

⁷¹Sec. 25[7], *ibid.*

⁷²Sec. 27[2], *ibid.*

⁷³Bengzon v. Drilon, 208 SCRA 133 [1992]; Gonzales v. Macaraeg, 191 SCRA 452 [1990].

⁷⁴Sec. 27[2], Art. VI.

⁷⁵Bengzon v. Drilon, 209 SCRA 133 [1992].

9. No public funds to be spent except by law. — No money shall be paid out of the Treasury except in pursuance of an appropriation made by law.⁷⁶

The provision that "No money shall be paid out of the Treasury except in pursuance of an appropriation made by law" underscores the fact that only Congress can authorize the expenditure of public funds by the passage of a law to that effect. However, the legislature is without power to appropriate public revenue for anything but a public purpose. The test is whether the measure is designed to promote public interests, as opposed to the furtherance of advantage of individuals, although it might incidentally serve the public.⁷⁷

10. No public money or property for religious purposes. — No public money or property shall be appropriated, applied, paid, or employed, directly or indirectly, for the use, benefit, or support of any sect, church, denomination, sectarian institution, or system of religion, or of any priest, preacher, minister, other religious teacher, or dignitary as such, except when such priest, preacher, minister, or dignitary is assigned to the armed forces, or to any penal institution, or government orphanage or leprosarium.⁷⁸

The prohibition that no public funds or property be paid or employed, directly or indirectly, for the use, benefit or support of any system of religion does not apply to the temporary use of public streets or places, which are open to the public, for some religious purposes.⁷⁹ Where a religious order is given free use of water supply by a public corporation in exchange for its donation of a land in favor of said corporation, the prohibition does not apply because the free supply of water is not given on account of religious consideration but as payment for the land donated.⁸⁰ Where money was appropriated for the printing of commemorative stamps showing the words "XXXIII International Eucharistic Congress" held in Manila, it was held that the same did not violate the constitutional restriction because the Catholic Church did not receive money for the sale of the stamps and the stamps were not issued for its benefit.⁸¹

⁷⁶Sec. 29[1], Art. VI.

⁷⁷Pascual v. Secretary of Public Works, 110 Phil. 381 [1960].

⁷⁸Sec. 29[2], Art. VI.

⁷⁹People v. Fernandez, CA-G.R. No. 1128, May 29, 1948.

⁸⁰Orden de Predicadores v. Metropolitan Water District, 44 Phil. 292.

⁸¹Agripay v. Ruiz, 64 Phil. 201.

11. Money for special purpose. — All money collected on any tax levied for a special purpose shall be treated as a special fund and paid out for such purpose only. If the purpose for which a special fund was created has been fulfilled or abandoned, the balance, if any, shall be transferred to the general funds of the Government.⁸²

12. Highest budgetary priority to education, directory. — Section 5(5) of Article XIV of the Constitution provides:

(5) The State shall assign the highest budgetary priority to education and ensure that teaching will attract and retain its rightful share of the best available talents through adequate remuneration and other means of job satisfaction and fulfillment.

It has been held that the above provision is merely directory. It does not tie the hands of Congress to respond to the imperatives of the national interest and for the attainment of other state policies or objectives. Thus, when in the 1991 budget, Congress appropriated an amount bigger than that for the education, to service foreign debts, the appropriation could not be assailed as unconstitutional.⁸³

1.14. Rules and records of legislative proceedings.

The Constitution requires that legislative proceedings be duly recorded in accordance with the rules of each of the Houses.

Article VI provides:

Sec. 16 (3) Each House may determine the rules of its proceedings, x x x.

(4) Each House shall keep a Journal of its proceedings, and from time to time publish the same, excepting such parts as may, in its judgment, affect national security; and the yeas and nays on any question shall, at the request of one-fifth of the Members present, be entered in the Journal. Each House shall also keep a Record of its proceedings.

⁸²Sec. 29[3], Art. VI.

⁸³Phil. Constitution Association v. Enrique, 235 SCRA 506 [1994]; Guingona, Jr. v. Carague, 196 SCRA 221 [1991].

Section 26. x x x

(2) x x x Upon the last reading of a bill, no amendment thereto shall be allowed, and the vote thereon shall be taken immediately thereafter, and the yeas and nays entered in the Journal.

Section 27. (1) Every bill passed by the Congress shall, before it becomes a law, be presented to the President. x x x If he approves the same he shall sign it; otherwise, he shall veto it and return the same with his objections to the House where it originated, which shall enter the objections at large in its Journal and proceed to reconsider it. x x x In all such cases, the votes of each House shall be determined by yeas or nays, and the names of the Members voting for or against shall be entered in its Journal. The President shall communicate his veto of any bill to the House where it originated within thirty days after the date of receipt thereof, otherwise, it shall become a law as if he had signed it. x x x.

1.15. Power to issue its rules of proceedings.

Each House has the power to issue its own rules of proceedings. The rules may not, however, ignore constitutional restraints or violate fundamental rights, and further that there should be a reasonable relation between the mode or method of proceedings established by the rules and the result which is sought to be attained. It is only within these limitations that all matters of method are open to the determination of the Legislature. Unless the rules of proceedings have violated any of these restrictions in the enactment of a law, the law may not be declared unconstitutional for not having been enacted in accordance with the internal rules.⁸⁴

Conversely, if the internal rules violate the Constitution or the fundamental rights of an individual and the same have no reasonable relation between the mode or method of proceeding established by the rule and the result which is sought to be attained, such rules may be declared unconstitutional. Thus, in *Franzisco v. House of Representatives*,⁸⁵ in declaring certain rules of impeachment of the House of Representatives as violative of the Constitution, unconstitutional, the Court ruled:

"It is basic that all rules must not contravene the Constitution which is the fundamental law. If as alleged Congress had absolute rule making power, then it would by necessary implication have the power to alter or amend the meaning of the Constitution without need of referendum.

In *Osmeña v. Pendatun*, this Court held that it is within the province of either House of Congress to interpret its rules and that it was the best judge of what constituted "disorderly behavior" of its members. However, in *Paceta v. Secretary of the Commission on Appointments*, Justice (later Chief Justice) Enrique Fernando, speaking for this Court and quoting Justice Brandeis in *United States v. Smith*, declared that where the construction to be given to a rule affects persons other than members of the Legislature, the question becomes judicial in nature. In *Arroyo v. De Venecia*, quoting *United States v. Ballin*, *Joseph & Co.*, Justice Vicente Mendoza, speaking for this Court, held that while the Constitution empowers each house to determine its rules of proceedings, it may not by its rules ignore constitutional restraints or violate fundamental rights, and further that there should be a reasonable relation between the mode or method of proceeding established by the rule and the result which is sought to be attained. It is only within these limitations that all matters of method are open to the determination of the Legislature. In the same case of *Arroyo v. De Venecia*, Justice Reynato S. Puno, in his Concurring and Dissenting Opinion, was even more emphatic as he stressed that in the Philippine setting there is even more reason for courts to inquire into the validity of the Rules of Congress, viz:

With due respect, I do not agree that the issues posed by the petitioner are non-justiciable. Nor do I agree that we will trivialize the principle of separation of power if we assume jurisdiction over the case at bar. Even in the United States, the principle of separation of power is no longer an impregnable impediment against the interposition of judicial power on cases involving breach of rules of procedure by legislators.

Rightly, the ponencia uses the 1891 case of *US v. Ballin* (144 US 1) as a window to view the issues before the Court. It is in *Ballin* where the US Supreme Court first defined the boundaries of the power of the judiciary to review congressional rules. It held:

⁸⁴Arroyo v. De Venecia, 277 SCRA 268 (1997).

⁸⁵G.R. No. 160161, November 10, 2003.

x x x

"The Constitution, in the same section, provides, that each house may determine the rules of its proceedings." It appears that in pursuance of this authority the House had, prior to that day, passed this as one of its rules:

Rule XV

3. On the demand of any member, or at the suggestion of the Speaker, the names of members sufficient to make a quorum in the hall of the House who do not vote shall be noted by the clerk and recorded in the journal, and reported to the Speaker with the names of the members voting, and be counted and announced in determining the presence of a quorum to do business. (*House Journal*, 230, *February 14, 1890*)

The action taken was in direct compliance with this rule. The question, therefore, is as to the validity of this rule, and not what methods the Speaker may of his own motion resort to for determining the presence of a quorum, nor what matters the Speaker or clerk may of their own volition place upon the journal. Neither do the advantages or disadvantages, the wisdom or folly, of such a rule present any matters for judicial consideration. With the courts the question is only one of power. The Constitution empowers each house to determine its rules of proceedings. It may not by its rules ignore constitutional restraints or violate fundamental rights, and there should be a reasonable relation between the mode or method of proceedings established by the rule and the result which is sought to be attained. But within these limitations all matters of method are open to the determination of the House, and it is no impeachment of the rule to say that some other way would be better, more accurate, or even more just. It is no objection to the validity of a rule that a different one has been prescribed and in force for a length of time. The power to make rules is not one which once exercised is exhausted. It is a continuous power, always subject to be exercised by the House, and within the limitations suggested, absolute and beyond the challenge of any other body or tribunal.

Ballin clearly confirmed the jurisdiction of courts to pass upon the validity of congressional rules, *i.e.*, whether they are constitutional. Rule XV was examined by the Court and

it was found to satisfy the test: (1) that it did not ignore any constitutional restraint; (2) it did not violate any fundamental right; and (3) its method had a reasonable relationship with the result sought to be attained. By examining Rule XV, the Court did not allow its jurisdiction to be defeated by the mere invocation of the principle of separation of powers."

1.16. Unimpeachability of legislative journals.

The Constitution requires that "each House shall keep a Journal of its proceedings, and from time to time publish the same, excepting such parts as may, in its judgment, affect National Security; and the yeas and nays on any question shall, at the request of one-fifth of the Members present, be entered in the Journal."⁸⁶

The Journal is regarded as conclusive with respect to matters that are required by the Constitution to be recorded therein. With respect to other matters, in the absence of evidence to the contrary, the Journals have also been accorded conclusive effect.⁸⁷

Entries or records contained in the legislative journals are declared conclusive upon the courts. Considerations of public policy led to the adoption of the rule-giving verity and unimpeachability to legislative records. "Imperative reasons of public policy require that the authenticity of laws should rest upon public memorials of the most permanent in character. They should be permanent, because all are required to conform to them; they should be permanent, that rights acquired today upon the faith of what has been declared to be law shall not be destroyed tomorrow, or at some remote period of time, by facts resting only in the memory of individuals."⁸⁸

In case of conflict between the enrolled bill and the legislative journals, it is the former that should prevail, except as to matters that the Constitution requires to be entered in the journals, such as the yeas and nays on the final reading of a bill or on any question at the request of at least one-fifth of the members of the House, the objections of the President to a vetoed bill or item, and the names of the members voting for or against overriding his veto.⁸⁹

⁸⁶Sec. 16(4), Art. VI.

⁸⁷*Arroyo v. De Venecia*, 277 SCRA 268 [1997].

⁸⁸*U.S. v. Pons*, 34 Phil. 729, 735 [1916]; *Morales v. Subido*, 27 SCRA 11 [1969].

⁸⁹See dissenting opinion of Justice Cruz, *Tolentino v. Secretary of Finance*, 235 SCRA, p. 706.

1.17. Enrolled bill.

The bill as passed by Congress, authenticated by the Speaker and Senate President and approved by the President is known as the enrolled bill.⁸⁰ Under the principle of the enrolled bill, the text of the act as passed and approved is deemed "importing absolute verity and is binding on the courts."⁸¹ Under the "enrolled bill doctrine," the signing of a bill by the Speaker of the House and the Senate President and the certification of the Secretaries of both Houses of Congress that it was passed are conclusive of its due enactment.⁸²

The enrolled copy of a bill is conclusive not only of its provisions but also of its due enactment. Not even claims that a proposed constitutional amendment was invalid because the requisite votes for its approval had not been obtained or that certain provisions of a statute had been "smuggled" in the printing of the bill, have moved or persuaded the court to look behind the proceedings of a co-equal branch of the government. Attempts to have the doctrine re-examined or relaxed has so far failed.⁸³

The reason why an enrolled bill is accorded conclusive verity lies in the fact that the enrolled bill carries on its face a solemn assurance by the legislative and executive departments of the government, charged respectively with the duty of enacting and executing the laws, that it was passed by the assembly. The respect due to co-equal and independent departments requires the judicial department to act upon that assurance, and to accept, as having passed the assembly, all bills duly authenticated.⁸⁴

Courts cannot go behind the enrolled act to discover what really happened. The respect due to the other branches of government demands that courts act upon the faith and credit of what the officers of the said branches attest to as the official acts of their respective departments. Otherwise, courts would be cast in the unenviable and unwanted role of a sleuth trying to determine what actually did happen in the labyrinth of lawmaking, with consequent impairment of the integrity of the legislative process. For if there

⁸⁰Morales v. Subido, 27 SCRA 131 [1969].

⁸¹Mabonag v. Lopez Vito, 78 Phil. 1 [1947]; Casco Phil. Chemical Co., Inc. v. Gimenez, 7 SCRA 347 [1963]; Morales v. Subido, 27 SCRA 131 [1969].

⁸²Farras v. Executive Secretary, G.R. No. 147387, December 10, 2003.

⁸³Tolentino v. Secretary of Finance, 235 SCRA 630 [1994]; Arroyo v. De Venecia, 277 SCRA 268 [1997].

⁸⁴Morales v. Subido, 27 SCRA 131 [1969].

be danger that officials concerned may impose upon the people an act that was never passed in the form in which it is preserved in the published statutes, there will be much greater danger of permitting the validity of a legislative enactment to be questioned by evidence furnished by the general endorsements made by clerks upon bills previous to their final passage and enrollment.⁸⁵ Hence, if there has been any mistake in the printing of the bill before it was certified by the officer of the assembly and approved by the chief executive, the remedy is by amendment by enacting a curative legislation, not by judicial decree.⁸⁶

The legislative journals, and the enrolled bill are both conclusive upon the courts. However, where there is a discrepancy between the journal and the enrolled bill, the latter as a rule prevails over the former, particularly with respect to matters not expressly required to be entered into the legislative journal.⁸⁷

1.18. Withdrawal of authenticity, effect of.

The Speaker and the President of the Senate may withdraw their respective signatures from the signed bill where there is serious and substantial discrepancy between the text of the bill as deliberated in the legislature and shown by the journal and that of the enrolled bill. Such withdrawal renders the bill without attestation and nullifies its status as an enrolled bill. In such a case, the bill is no longer accorded absolute verity as regards its text and the entries in the journal should be consulted. And where the journal discloses that substantial amendments were introduced and approved but were not incorporated in the printed text sent to the President for signature, the court can declare that the bill has not been duly enacted and did not accordingly become a law.⁸⁸

1.19. Summary of rules.

The Court summarized the rules on internal rules of proceedings, legislative journals, and doctrine of enrolled bill, in *Arroyo v. de Venecia*,⁸⁹ as follows:

⁸⁵*Ibid.*

⁸⁶Casco Phil. Chemical Co., Inc. v. Gimenez, 7 SCRA 347 [1963].

⁸⁷Morales v. Subido, 27 SCRA 131 [1969].

⁸⁸Astorga v. Villegas, 56 SCRA 714 [1974].

⁸⁹277 SCRA 268 [1997].

First. It is clear from the foregoing facts that what is alleged to have been violated in the enactment of R.A. No. 8240 are merely internal rules of procedure of the House rather than constitutional requirements for the enactment of a law, i.e., Art. VI Secs. 26-27. Petitioners do not claim that there was no quorum but only that, by some maneuver allegedly in violation of the rules of the House, Rep. Arroyo was effectively prevented from questioning the presence of a quorum.

x x x

But the cases, both here and abroad, in varying forms of expression, all deny to the courts the power to inquire into allegations that, in enacting a law, a House of Congress failed to comply with its own rules, in the absence of showing that there was a violation of a constitutional provision or the rights of private individuals. In *Osmeña v. Pendatun*, it was held: "At any rate, courts have declared that 'the rules adopted by deliberative bodies are subject to revocation, modification or waiver at the pleasure of the body adopting them.' And it has been said that 'Parliamentary rules are merely procedural, and with their observance, the courts have no concern. They may be waived or disregarded by the legislative body.' Consequently, 'mere failure to conform to parliamentary usage will not invalidate the action (taken by a deliberative body) when the requisite number of members have agreed to a particular measure.'"

In *United States v. Ballin, Joseph & Co.*, the rule was stated thus:

"The Constitution empowers each house to determine its rules of proceedings. It may not by its rules ignore constitutional restraints or violate fundamental rights, and there should be a reasonable relation between the mode or method of proceeding established by the rule and the result which is sought to be attained. But within these limitations all matters of method are open to the determination of the House, and it is no impeachment of the rule to say that some other way would be better, more accurate, or even more just. It is no objection to the validity of a rule that a different one has been prescribed and in force for a length of time. The power to make rules is not one which once exercised is exhausted. It is a continuous power, always subject to be exercised by the House, and

within the limitations suggested, absolute and beyond the challenge of any other body or tribunal."

x x x

In this case, no rights of private individuals are involved but only those of a member who, instead of seeking redress in the House, chose to transfer the dispute to this Court. We have no more power to look into the internal proceedings of a House than members of that House have to look over our shoulders, as long as no violation of constitutional provisions is shown.

x x x

Second. Petitioners, quoting former Chief Justice Roberto Concepcion's sponsorship in the Constitutional Commission, contend that under Art. VIII, Sec. 1, "nothing involving abuse of discretion [by the other branches of the government] amounting to lack or excess of jurisdiction is beyond judicial review." Implicit in this statement of the former Chief Justice, however, is an acknowledgment that the jurisdiction of this Court is subject to the case and controversy requirement of Art. VIII, Sec. 5 and, therefore, to the requirement of a justiciable controversy before courts can adjudicate constitutional questions such as those which arise in the field of foreign relations. For while Art. VIII, Sec. 1 has broadened the scope of judicial inquiry into areas normally left to the political departments to decide, such as those relating to national security, it has not altogether done away with political questions such as those which arise in the field of foreign relations. As we have already held, under Art. VIII, Sec. 1, this Court's function:

Is merely [to] check whether or not the governmental branch or agency has gone beyond the constitutional limits of its jurisdiction, not that it erred or has a different view. In the absence of a showing . . . [of] grave abuse of discretion amounting to lack of jurisdiction, there is no occasion for the Court to exercise its corrective power. . . . It has no power to look into what it thinks is apparent error.

If, then, the established rule is that courts cannot declare an act of the legislature void on account merely of noncompliance with rules of procedure made by itself, it follows that such a case does not present a situation in which a branch of the government has "gone beyond the constitutional limits of its jurisdiction" so as to call for the exercise of our Art. VIII, Sec. 1 power.

x x x

Third. Petitioners claim that the passage of the law in the House was "railroaded." They claim that Rep. Arroyo was still making a query to the Chair when the latter declared Rep. Albano's motion approved.

x x x

No rule of the House of Representatives has been cited which specifically requires that in case such as this involving approval of a conference committee report, the Chair must restate the motion and conduct a viva voce or nominal voting.

x x x

Fourth. Under the enrolled bill doctrine, the signing of H.B. No. 7198 by the Speaker of the House and the President of the Senate and the certification by the secretaries of both Houses of Congress that it was passed on November 21, 1996 are conclusive of its due enactment. Much energy and learning is devoted in the separate opinion of Justice Puno, joined by Justice Davide, to disputing this doctrine. To be sure, there is no claim either here or in the decision in the EVAT cases [*Toletino v. Secretary of Finance*] that the enrolled bill embodies a conclusive presumption. In one case we "went behind" an enrolled bill and consulted the Journal to determine whether certain provisions of a statute had been approved by the Senate.

But, where as here there is no evidence to the contrary, this Court will respect the certification of the presiding officers of both Houses that a bill has been duly passed. Under this rule, this Court has refused to determine claims that the three-fourths vote needed to pass a proposed amendment to the Constitution had not been obtained, because "a duly authenticated bill or resolution imports absolute verity and is binding on the courts." x x x

x x x

The enrolled bill doctrine, as a rule of evidence, is well established. It is cited with approval by text writers here and abroad. The enrolled bill rule rests on the following considerations:

As the President has no authority to approve a bill not passed by Congress, an enrolled Act in the custody of the Secre-

tary of State, and having the official attestations of the Speaker of the House of Representatives, of the President of the Senate, and of the President of the United States, carries, on its face, a solemn assurance by the legislative and executive departments of the government, charged, respectively, with the duty of enacting and executing the laws, that it was passed by Congress. The respect due to coequal and independent departments requires the judicial department to act upon that assurance, and to accept, as having passed Congress, all bills authenticated in the manner stated, leaving the court to determine, when the question properly arises, whether the Act, so authenticated, is in conformity with the Constitution.

x x x

Moreover, as already noted, the due enactment of the law in question is confirmed by the Journal of the House of November 21, 1996 which shows that the conference committee report on H.B. No. 7198, which became R.A. No. 8240, was approved on that day. The keeping of the Journal is required by the Constitution. Art. VI, Sec. 16(4) provides:

Each House shall keep a Journal of its proceedings, and from time to time publish the same, excepting such parts as may, in its judgment, affect national security; and the yeas and nays on any question shall, at the request of one-fifth of the Members present, be entered in the Journal.

x x x

The Journal is regarded as conclusive with respect to matters that are required by the Constitution to be recorded therein. With respect to other matters, in the absence of evidence to the contrary, the Journals have also been accorded conclusive effect. Thus, in *United States v. Pons*, this Court spoke of the imperatives of public policy for regarding the Journals as "public memorials of the most permanent character," thus: "They should be public, because all are required to conform to them; they should be permanent, that rights acquired today upon the faith of what has been declared to be law shall not be destroyed tomorrow, or at some remote period of time, by facts resting only in the memory of individuals." As already noted, the bill which became R.A. No. 8240 is shown in the Journal. Hence its due enactment has been duly proven." (277 SCRA, pp. 284-299)

D. ISSUANCES, RULES AND ORDINANCES

1.20. Presidential issuances.

Presidential issuances are those which the President issues in the exercise of his ordinance power. They include executive orders, administrative orders, proclamations, memorandum orders, memorandum circulars, and general or special orders. These issuances have the force and effect of laws.¹⁰⁰

Executive Orders are "acts of the President providing for rules of a general or permanent character in the implementation or execution of constitutional or statutory powers."¹⁰¹ These should be differentiated from execution orders issued by the President in the exercise of his legislative power during the revolutionary period under the Freedom Constitution, for the latter are of the same category and binding force as statutes enacted by the legislature while the former do not have such status.

Administrative Orders are "acts of the President which relate to particular aspects of governmental operations in pursuance of his duties as administrative head."¹⁰² Proclamations are "acts of the President fixing a date or declaring a statute or condition of public moment or interest, upon the existence of which the operation of a specific law or regulation is made to depend."¹⁰³ Memorandum Orders are "acts of the President on matters of administrative detail or of subordinate or temporary interest which only concern a particular officer or office of the Government."¹⁰⁴ Memorandum Circulars are "acts of the President on matters relating to internal administration which the President desires to bring to the attention of all or some of the departments, agencies, bureaus or offices of the Government, for information or compliance."¹⁰⁵ General or specific orders are "acts and commands of the President in his capacity as Commander-in-Chief of the Armed Forces of the Philippines."¹⁰⁶

In *David v. Arroyo*, G.R. No. 171396, May 3, 2006, the Court held:

¹⁰⁰*Periigan v. Angeles*, G.R. No. 64279, April 30, 1984.

¹⁰¹Sec. 2, Book III, Title I, Chap. 2, 1987 Administrative Code.

¹⁰²Sec. 3, *ibid.*

¹⁰³Sec. 4, *ibid.*

¹⁰⁴Sec. 5, *ibid.*

¹⁰⁵Sec. 6, *ibid.*

¹⁰⁶Sec. 7, *ibid.*

The President is granted an Ordinance Power under Chapter 2, Book III of Executive Order No. 292 (Administrative Code of 1987). She may issue any of the following:

Sec. 2. Executive Orders. — Acts of the President providing for rules of a general or permanent character in implementation or execution of constitutional or statutory powers shall be promulgated in executive orders.

Sec. 3. Administrative Orders. — Acts of the President which relate to particular aspect of governmental operations in pursuance of his duties as administrative head shall be promulgated in administrative orders.

Sec. 4. Proclamations. — Acts of the President fixing a date or declaring a status or condition of public moment or interest, upon the existence of which the operation of a specific law or regulation is made to depend, shall be promulgated in proclamations which shall have the force of an executive order.

Sec. 5. Memorandum Orders. — Acts of the President on matters of administrative detail or of subordinate or temporary interest which only concern a particular officer or office of the Government shall be embodied in memorandum orders.

Sec. 6. Memorandum circulars. — Acts of the President on matters relating to internal administration, which the President desires to bring to the attention of all or some of the departments, agencies, bureaus or offices of the Government, for information or compliance, shall be embodied in memorandum circulars.

Sec. 7. General or Special Orders. — Acts and commands of the President in his capacity as Commander-in-Chief of the Armed Forces of the Philippines shall be issued as general or special orders.

President Arroyo's ordinance power is limited to the foregoing issuances. She cannot issue decrees similar to those issued by Former President Marcos under PP 1081. Presidential Decrees are laws which are of the same category and binding force as statutes because they were issued by the President in the exercise of his legislative power during the period of Martial Law under the 1973 Constitution.

The case of *Ople v. Torres*, G.R. No. 127686, July 23, 1998, which defines the scope of the ordinance power of the President, seeks to declare unconstitutional Administrative Order No. 308 entitled "Adoption of a National Computerized Identification Reference System" on two important constitutional grounds, namely: one, it is a usurpation of the power of Congress to legislate, and two, it impermissibly intrudes on our citizenry's protected zone of privacy.

Executive Order No. 308 dated July 12, 1996 reads:

"ADOPTION OF A NATIONAL COMPUTERIZED IDENTIFICATION REFERENCE SYSTEM"

WHEREAS, there is a need to provide Filipino citizens and foreign residents with the facility to conveniently transact business with basic service and social security providers and other government instrumentalities;

WHEREAS, this will require a computerized system to properly and efficiently identify persons seeking basic services on social security and reduce, if not totally eradicate, fraudulent transactions and misrepresentations;

WHEREAS, a concerted and collaborative effort among the various basic services and social security providing agencies and other government instrumentalities is required to achieve such a system;

NOW, THEREFORE, I, FIDEL V. RAMOS, President of the Republic of the Philippines, by virtue of the powers vested in me by law, do hereby direct the following:

SECTION 1. *Establishment of a National Computerized Identification Reference System.* A decentralized Identification Reference System among the key basic services and social security providers is hereby established.

SEC. 2 *Inter-Agency Coordinating Committee.* An Inter-Agency Coordinating Committee (IACC) to draw-up the implementing guidelines and oversee the implementation of the System is hereby created, chaired by the Executive Secretary, with the following as members: x x x

SEC. 3. *Secretariat.* The National Computer Center (NCC) is hereby designated as secretariat to the IACC and as such shall provide administrative and technical support to the IACC.

SEC. 4. *Linkage Among Agencies.* The Population Reference Number (PRN) generated by the NSO shall serve as the common reference number to establish a linkage among concerned agencies. The IACC Secretariat shall coordinate with the different Social Security and Services Agencies to establish the standards in the use of Biometrics Technology and in computer application designs of their respective systems.

SEC. 5. *Conduct of Information Dissemination Campaign.* The Office of the Press Secretary, in coordination with the National Statistics Office, the GSIS and SSS as lead agencies and other concerned agencies shall undertake a massive tri-media information dissemination campaign to educate and raise public awareness on the importance and use of the PRN and the Social Security Identification Reference.

SEC. 6. *Funding.* The funds necessary for the implementation of the system shall be sourced from the respective budgets of the concerned agencies.

SEC. 7. *Submission of Regular Reports.* The NSO, GSIS and SSS shall submit regular reports to the Office of the President, through the IACC, on the status of implementation of this undertaking.

SEC. 8. *Effectivity.* This Administrative Order shall take effect immediately.

Resolving the issues raised, the Court nullified the Executive Order and ruled:

"We now come to the core issues. Petitioner claims that A.O. No. 308 is not a mere administrative order but a law and hence, beyond the power of the President to issue. He alleges that A.O. No. 308 establishes a system of identification that is all-encompassing in scope, affects the life and liberty of every Filipino citizen and foreign resident, and more particularly, violates their right to privacy.

Petitioner's sedulous concern for the Executive not to trespass on the lawmaking domain of Congress is understandable. The blurring of the demarcation line between the power of the Legislature to make laws and the power of the Executive to execute laws will disturb their delicate balance of power and cannot be allowed. Hence, the exercise by one

branch of government of power belonging to another will be given a stricter scrutiny by this Court.

The line that delineates Legislative and Executive power is not indistinct. Legislative power is "the authority, under the Constitution, to make laws, and to alter and repeal them." The Constitution, as the will of the people in their original, sovereign and unlimited capacity, has vested this power in the Congress of the Philippines. The grant of legislative power to Congress is broad, general and comprehensive. The legislative body possesses plenary power for all purposes of civil government. Any power, deemed to be legislative by usage and tradition, is necessarily possessed by Congress, unless the Constitution has lodged it elsewhere. In fine, except as limited by the Constitution, either expressly or impliedly, legislative power embraces all subjects and extends to matters of general concern or common interest.

While Congress is vested with the power to enact laws, the President executes the laws. The executive power is vested in the President. It is generally defined as the power to enforce and administer the laws. It is the power of carrying the laws into practical operation and enforcing their due observance.

As head of the Executive Department, the President is the Chief Executive. He represents the government as a whole and sees to it that all laws are enforced by the officials and employees of his department. He has control over the executive department, bureaus and offices. This means that he has the authority to assume directly the functions of the executive department, bureau and office, or interfere with the discretion of its officials. Corollary to the power of control, the President also has the duty of supervising the enforcement of laws for the maintenance of general peace and public order. Thus, he is granted administrative power over bureaus and offices under his control to enable him to discharge his duties effectively.

Administrative power is concerned with the work of applying policies and enforcing orders as determined by proper governmental organs. It enables the President to fix a uniform standard of administrative efficiency and check the official conduct of his agents. To this end, he can issue administrative orders, rules and regulations.

Prescinding from these precepts, we hold that A.O. No. 308 involves a subject that is not appropriate to be covered by an administrative order. An administrative order is:

"Sec. 3. *Administrative Orders*. — Acts of the President which relate to particular aspects of governmental operation in pursuance of his duties as administrative head shall be promulgated in administrative orders."

An administrative order is an ordinance issued by the President which relates to specific aspects in the administrative operation of government. It must be in harmony with the law and should be for the sole purpose of implementing the law and carrying out the legislative policy. We reject the argument that A.O. No. 308 implements the legislative policy of the Administrative Code of 1987. The Code is a general law and "incorporates in a unified document the major structural, functional and procedural principles of governance" and "embodies changes in administrative structures and procedures designed to serve the people." The Code is divided into seven (7) Books: Book I deals with Sovereignty and General Administration, Book II with the Distribution of Powers of the three branches of Government, Book III on the Office of the President, Book IV on the Executive Branch, Book V on the Constitutional Commissions, Book VI on National Government Budgeting, and Book VII on Administrative Procedure. These Books contain provisions on the organization, powers and general administration of the executive, legislative and judicial branches of government, the organization and administration of departments, bureaus and offices under the executive branch, the organization and functions of the Constitutional Commissions and other constitutional bodies, the rules on the national government budget, as well as guidelines for the exercise by administrative agencies of quasi-legislative and quasi-judicial powers. The Code covers both the internal administration of government, *i.e.*, internal organization, personnel and recruitment, supervision and discipline, and the effects of the functions performed by administrative officials on private individuals or parties outside government.

It cannot be simplistically argued that A.O. No. 308 merely implements the Administrative Code of 1987. It establishes for the first time a National Computerized Identification Reference System. Such a System requires a delicate adjustment of various

contending state policies — the primacy of national security, the extent of privacy interest against dossier-gathering by government, the choice of policies, etc. Indeed, the dissent of Mr. Justice Mendoza states that the A.O. No. 308 involves the all-important freedom of thought. As said administrative order redefines the parameters of some basic rights of our citizenry *vis-à-vis* the State as well as the line that separates the administrative power of the President to make rules and the legislative power of Congress, it ought to be evident that it deals with a subject that should be covered by law.

Nor is it correct to argue as the dissenters do that A.O. No. 308 is not a law because it confers no right, imposes no duty, affords no protection, and creates no office. Under A.O. No. 308, a citizen cannot transact business with government agencies delivering basic services to the people without the contemplated identification card. No citizen will refuse to get this identification card for no one can avoid dealing with government. It is thus clear as daylight that without the ID, a citizen will have difficulty exercising his rights and enjoying his privileges. Given this reality, the contention that A.O. No. 308 gives no right and imposes no duty cannot stand.

Again, with due respect, the dissenting opinions unduly expand the limits of administrative legislation and consequently erode the plenary power of Congress to make laws. This is contrary to the established approach defining the traditional limits of administrative legislation. As well stated by Fisher: "x x x Many regulations however, bear directly on the public. It is here that administrative legislation must be restricted in its scope and application. Regulations are not supposed to be a substitute for the general policy-making that Congress enacts in the form of a public law. Although administrative regulations are entitled to respect, the authority to prescribe rules and regulations is not an independent source of power to make laws."

Assuming, *arguendo*, that A.O. No. 308 need not be the subject of a law, still it cannot pass constitutional muster as an administrative legislation because facially it violates the right to privacy. The essence of privacy is the "right to be let alone." In the 1965 case of *Griswold v. Connecticut*, the United States Supreme Court gave more substance to the right of privacy when it ruled that the right has a constitutional foundation. It

held that there is a right of privacy which can be found within the penumbra of the First, Third, Fourth, Fifth and Ninth Amendments, viz:

"Specific guarantees in the Bill of Rights have penumbras formed by emanations from these guarantees that help give them life and substance x x x. Various guarantees create zones of privacy. The right of association contained in the penumbra of the First Amendment is one, as we have seen. The Third Amendment in its prohibition against the quartering of soldiers 'in any house' in time of peace without the consent of the owner is another facet of that privacy. The Fourth Amendment explicitly affirms the 'right of the people to be secure in their persons, houses, papers, and effects, against unreasonable searches and seizures.' The Fifth Amendment in its Self-Incrimination Clause enables the citizen to create a zone of privacy which government may not force him to surrender to his detriment. The Ninth Amendment provides: 'The enumeration in the Constitution, of certain rights, shall not be construed to deny or disparage others retained by the people.'"

In the 1968 case of *Morfe v. Mutuc*, we adopted the *Griswold* ruling that there is a constitutional right to privacy. Speaking thru Mr. Justice, later Chief Justice, Enrique Fernando, we held:

"x x x

The *Griswold* case invalidated a Connecticut statute which made the use of contraceptives a criminal offense on the ground of its amounting to an unconstitutional invasion of the right of privacy of married persons; rightfully it stressed "a relationship lying within the zone of privacy created by several fundamental constitutional guarantees." It has wider implications though. The constitutional right to privacy has come into its own.

So it is likewise in our jurisdiction. The right to privacy as such is accorded recognition independently of its identification with liberty; in itself, it is fully deserving of constitutional protection. The language of Prof. Emerson is particularly apt: "The concept of limited government has always included the idea that governmental powers stop short of certain intrusions into the personal life of the citizen. This is indeed one of the

basic distinctions between absolute and limited government. Ultimate and pervasive control of the individual, in all aspects of his life, is the hallmark of the absolute state. In contrast, a system of limited government safeguards a private sector, which belongs to the individual, firmly distinguishing it from the public sector, which the state can control. Protection of this private sector — protection, in other words, of the dignity and integrity of the individual — has become increasingly important as modern society has developed. All the forces of a technological age — industrialization, urbanization, and organization — operate to narrow the area of privacy and facilitate intrusion into it. In modern terms, the capacity to maintain and support this enclave of private life marks the difference between a democratic and a totalitarian society.”

Indeed, if we extend our judicial gaze we will find that the right of privacy is recognized and enshrined in several provisions of our Constitution. x x x

1.21. Administrative rules and regulations.

Rules and regulations issued by administrative or executive officers in accordance with, and as authorized by, law have the force and effect of law or partake the nature of a statute.¹⁰⁷ All that is required for their validity is that the rules should be germane to the objects and purposes of the law; that the regulations be not in contradiction with, but conform to, the standards that the law prescribes;¹⁰⁸ and that they be for the sole purpose of carrying into effect the general provisions of the law.¹⁰⁹ By such regulations, the law itself cannot be extended,¹¹⁰ nor its terms and provisions restricted.¹¹¹ Hence, in case of discrepancy or conflict between the basic law and the regulations issued to implement it, the former prevails over the

¹⁰⁷*Victorias Milling Co., Inc. v. Social Security Commission*, 114 Phil. 555 (1962).

¹⁰⁸*Director of Forestry v. Muñoz*, G.R. No. 25459, June 28, 1968, 23 SCRA 1184; *People v. Exconde*, 104 Phil. 1125 (1957); *Rubi v. Provincial Board of Mindoro*, 39 Phil. 660 (1919).

¹⁰⁹*U.S. v. Tupasi Molina*, 29 Phil. 119 (1914); *People v. Santos*, 63 Phil. 300 (1938); *Shell Phils., Inc. v. Central Bank*, 162 SCRA 628 (1988).

¹¹⁰*Texon v. Board of Administrators*, G.R. No. 25619, June 30, 1970, 33 SCRA 585; *Gobantes v. Civil Service Commission*, 214 SCRA 495 (1992).

¹¹¹*People v. Lim*, 108 Phil. 1091 (1960).

latter.¹¹² For it is elementary principle in statutory construction that a statute is superior to an administrative regulation and the former cannot be repealed or amended by the latter.¹¹³

The rule-making power of a public administrative agency is a delegated legislative power. It may not use the power to bridge the authority to enlarge its power beyond the scope intended. It may not issue rules and regulations which are inconsistent with the provisions of the Constitution or a statute, or which are in derogation of, or defeat, the purpose of the statute which created it. A rule or regulation which restricts or enlarges such statute is invalid.¹¹⁴

It has been held that while the legislature may delegate to another branch of government the power to fill in the details in the execution, enforcement or administration of law, it is essential that said law (a) be complete in itself — it must set forth therein the policy to be executed, carried out or implemented by the delegate, and (b) fix a standard — the limits of which are sufficiently determinate or determinable — to which the delegate must conform in the performance of his functions.¹¹⁵ The standard, which may either be express or implied from the policy and purpose of the act as a whole, marks its limits, maps out its boundaries and specifies the public agency to apply it. It indicates the circumstances under which the legislative command is to be effected. It is the criterion by which legislative purpose may be carried out. The executive or administrative officer designated may, in pursuance of the guidelines, promulgate the rules and regulations.¹¹⁶ It has been held that the following are adequate standards: simplicity and dignity;¹¹⁷

¹¹²*Wise & Co. v. Meer*, 78 Phil. 665 (1947); *People v. Lim*, 108 Phil. 1091 (1960); *Art. 7, Civil Code*; *Villa v. Llanes*, G.R. No. 61498, January 17, 1983, 120 SCRA 81; *Lina v. Carillo*, 221 SCRA 515 (1993).

¹¹³*China Banking Corp. v. Court of Appeals*, 77 SCAD 125, 265 SCRA 327 (1996).

¹¹⁴*Victorias Milling Co., Inc. v. Social Security Commission*, 114 Phil. 555 (1962); *Conte v. COA*, 76 SCAD 16, 264 SCRA 19 (1996).

¹¹⁵*Pelaez v. Auditor General*, G.R. No. 23825, December 25, 1965, 15 SCRA 569.

¹¹⁶*Free Telephone Workers Union v. Minister of Labor and Employment*, G.R. No. 58184, October 30, 1981, 108 SCRA 757; *Edu v. Eritia*, G.R. No. 32096, October 24, 1970, 35 SCRA 481; *Maceda v. Macaraeg*, 197 SCRA 771 (1991).

¹¹⁷*Balbena v. Secretary of Education*, 110 Phil. 150 (1960).

public interest;¹¹⁸ public welfare;¹¹⁹ interests of law and order;¹²⁰ justice and equity and substantial merit of the case;¹²¹ and adequate and efficient instruction.¹²²

In *Cemco Holdings, Inc. v. National Life Insurance Co.*, G.R. No. 171815 [August 7, 2007], the Court held:

Rules and regulations when promulgated in pursuance of the procedure or authority conferred upon the administrative agency by law, partake of the nature of a statute, and compliance therewith may be enforced by a penal sanction provided in the law. This is so because statutes are usually couched in general terms, after expressing the policy, purposes, objectives, remedies and sanctions intended by the legislature. The details and the manner of carrying out the law are often times left to the administrative agency entrusted with its enforcement.

The Court in a case summarized the rule, as follows:

"(T)he power to promulgate rules in the implementation of a statute is necessarily limited to what is provided for in the legislative enactment. Its terms must be followed for an administrative agency cannot amend an Act of Congress. The rule-making power must be confined to details for regulation of the mode or proceedings to carry into effect the law as it has been enacted, and it cannot be extended to amend or expand the statutory requirements or to embrace matters not covered by the statute. If a discrepancy occurs between the basic law and an implementing rule or regulation, it is the former that prevails. The rule-making power of a public administrative body is a delegated legislative power, which it may not use either to abridge the authority given it by Congress or the Constitution or to enlarge its power beyond the scope intended. Constitutional and statutory provisions control what rules and regulations may be promulgated by such a body, as well as with respect to what fields are subject to regulation by it. It may not make rules and regulations which are inconsistent with

the provisions of the Constitution or a statute, particularly the statute it is administering or which created it, or which are in derogation of, or defeat the purpose of a statute. Moreover, where the legislature had delegated to an executive or administrative officers and boards authority to promulgate rules to carry out an express legislative purpose, the rules of administrative officers and boards, which have the effect of extending, or which conflict with the authority-granting statute, do not represent a valid exercise of the rule-making power but constitute an attempt by an administrative body to legislate. A statutory grant of powers should not be extended by implication beyond what may be necessary for their just and reasonable execution. It is axiomatic that a rule or regulation must bear upon, and be consistent with, the provisions of the enacting statute if such rule or regulation is to be valid."¹²³

Illustrations are in order.

The law on the Home Development Mutual Fund or Pag-IBIG Fund provides that waiver or suspension of coverage may be granted in favor of an employer and/or employee group who have their own "provident/retirement and/or employee housing plans." In the exercise of its rule-making power, the board of the HDMF issued rules and regulations, providing that waiver or suspension of coverage would be in favor of those who have their own "provident/retirement and housing plans, deleting the word "or" from the law. The board justified such rules by saying that the "and/or" grants the board the option of making it both. The Court ruled that the words "and/or" mean that "effect shall be given to both the conjunctive 'and' and the disjunctive 'or,' or that one word or the other may be taken accordingly as one or the other will best effectuate the purposes intended by the legislature."¹²⁴ By deleting the word "or" and leaving only "and" in the rules and regulations, the board exceeded its rule making power by amending the law, rendering said rules null and void, for the "law obviously contemplates that the existence of either plan is considered as sufficient basis for the grant of an exemption" and "to require the existence of both plans would radically impose a

¹¹⁸*People v. Rosenthal*, 68 Phil. 328 (1939); *Municipality of Cardona v. Binangonan*, 36 Phil. (1917).

¹¹⁹*Pelaez v. Auditor General*, *supra*; *Catalang v. Williams*, 70 Phil. 726 (1940).

¹²⁰*Rubi v. Provincial Board of Mindoro*, 39 Phil. 669.

¹²¹*International Hardwood v. Pangil Federation of Labors*, 70 Phil. 602 (1940).

¹²²*Phil. Assn. of Colleges and Universities v. Secretary of Education*, 97 Phil. 806 (1965).

¹²³*United BF Homeowner's Assn. v. BF Homes, Inc.*, 109 SCAD 27, 310 SCRA 304, 315-316 (1999).

¹²⁴*China Banking Corp. v. Members of the Board of Trustees, HDMF*, 106 SCAD 798, 307 SCRA 443 (1999), citing *Agpalo, Statutory Construction*, 1990 ed., p. 148.

more stringent condition for waiver which was not clearly envisioned by the basic.¹²⁵

In another case,¹²⁶ the law involved was Sec. 6 of R.A. No. 6646, which provides in part that —

"If for any reason, a candidate is not declared by final judgment before an election to be disqualified and he is voted for and receives the winning number of votes in such election, the Court or Commission shall continue with the trial and hearing of the action, inquiry or protest and, upon motion of the complainant or any intervenor, may during the pendency thereof order the suspension of the proclamation of such candidate whenever the evidence of his guilt is strong."

The Commission on Elections issued Section 5, Rule 25 of its Rules of Procedure, which provides in part that the "proclamation shall be suspended notwithstanding the fact that he received the winning number of votes in such election," changing the word "may" in the law by the word "shall" in said Rule. The Court ruled that it was improper and highly irregular for the COMELEC to have used instead the word "shall" in its rules, for the word "may" indicates that the suspension of a proclamation is only directory and permissive in nature and operates to confer discretion¹²⁷ while the word "shall" imports a command and requires the suspension to be mandatory. The Court added that "being merely an implementing rule, the same must not override, but instead remain consistent and in harmony with the law it seeks to apply and implement. Administrative rules and regulations are intended to carry out, neither to supplant nor to modify, the law."¹²⁸

1.22. Illustrative cases on validity of executive orders, rules and regulations.

Executive Secretary v. Southwining Heavy Industries, Inc.

The issue in *Executive Secretary v. Southwining Heavy Industries, Inc.*, G.R. No. 164171 [February 20, 2006] is whether or not the executive order banning the importation of used vehicles

¹²⁵*Ibid.*, Romulo, Mabanta, Buenaventura, Sayoc & De los Angeles v. HDMF, 128 SCAD 101, 333 SCRA 777 (2000).

¹²⁶*Grego v. COMELEC*, 83 SCAD 923, 274 SCRA 481 (1997).

¹²⁷*Ibid.*, citing R.E. Aspelo, *Statutory Construction*, p. 239 (2nd ed., 1990).

¹²⁸*Ibid.*, 274 SCRA, p. 498.

through the Free Trade Zone is valid. In resolving this issue, the Court enumerated the requisites for a valid executive order or any administrative rule and discussed such requisites. The Court ruled:

To be valid, an administrative issuance, such as an executive order, must comply with the following requisites:

- (1) Its promulgation must be authorized by the legislature;
- (2) It must be promulgated in accordance with the prescribed procedure;
- (3) It must be within the scope of the authority given by the legislature; and
- (4) It must be reasonable.

Contrary to the conclusion of the Court of Appeals, EO 156 actually satisfied the first requisite of a valid administrative order. It has both constitutional and statutory bases.

Delegation of legislative powers to the President is permitted in Section 28(2) of Article VI of the Constitution. It provides:

- (2) The Congress may, by law, authorize the President to fix within specified limits, and subject to such limitations and restrictions as it may impose, tariff rates, import and export quotas, tonnage and wharfage dues, and other duties or imposts within the framework of the national development program of the Government.

The relevant statutes to execute this provision are:

- 1) The Tariff and Customs Code which authorizes the President, in the interest of national economy, general welfare and/or national security, to, *inter alia*, prohibit the importation of any commodity. Section 401 thereof, reads:

Sec. 401. Flexible Clause. —

- a. In the interest of national economy, general welfare and/or national security, and subject to the limitations herein prescribed, the President, upon recommendation of the National Economic and Development Authority (hereinafter referred to as NEDA), is hereby empowered... (2) to establish import quota or to ban imports of any commodity, as may be

necessary. . . . *Provided*, That upon periodic investigations by the Tariff Commission and recommendation of the NEDA, the President may cause a gradual reduction of protection levels granted in Section One hundred and four of this Code, including those subsequently granted pursuant to this section.

2) Executive Order No. 226, the Omnibus Investment Code of the Philippines which was issued on July 16, 1987, by then President Corazon C. Aquino, in the exercise of legislative power under the Provisional Freedom Constitution, empowers the President to approve or reject the prohibition on the importation of any equipment or raw materials or finished products. Pertinent provisions thereof, read:

ART. 4. Composition of the board. The Board of Investments shall be composed of seven (7) governors: The Secretary of Trade and Industry, three (3) Undersecretaries of Trade and Industry to be chosen by the President; and three (3) representatives from the government agencies and the private sector

ART. 7. Powers and duties of the Board.

x x x x x x

(12) Formulate and implement rationalization programs for certain industries whose operation may result in dislocation, overcrowding or inefficient use of resources, thus impeding economic growth. For this purpose, the Board may formulate guidelines for progressive manufacturing programs, local content programs, mandatory sourcing requirements and dispersal of industries. In appropriate cases and upon approval of the President, the Board may restrict, either totally or partially, the importation of any equipment or raw materials or finished products involved in the rationalization program;

3) Republic Act No. 8800, otherwise known as the "Safeguard Measures Act" (SMA), and entitled "An Act Protecting Local Industries By Providing Safeguard Measures To Be Undertaken In Response To Increased Imports And Providing Penalties For Violation Thereof," designated the Secretaries of the Department of Trade and Industry (DTI) and the Department of Agriculture, in their capacity as alter egos of the President, as the implementing authorities of the safeguard measures, which include, *inter alia*, modification or imposition

of any quantitative restriction on the importation of a product into the Philippines. The purpose of the SMA is stated in the declaration of policy, thus:

SEC. 2. Declaration of Policy. — The State shall promote competitiveness of domestic industries and producers based on sound industrial and agricultural development policies, and efficient use of human, natural and technical resources. In pursuit of this goal and in the public interest, the State shall provide safeguard measures to protect domestic industries and producers from increased imports which cause or threaten to cause serious injury to those domestic industries and producers.

There are thus explicit constitutional and statutory permission authorizing the President to ban or regulate importation of articles and commodities into the country.

Ancient the second requisite, that is, that the order must be issued or promulgated in accordance with the prescribed procedure, it is necessary that the nature of the administrative issuance is properly determined. As in the enactment of laws, the general rule is that, the promulgation of administrative issuances requires previous notice and hearing, the only exception being where the legislature itself requires it and mandates that the regulation shall be based on certain facts as determined at an appropriate investigation. This exception pertains to the issuance of legislative rules as distinguished from interpretative rules which give no real consequence more than what the law itself has already prescribed; and are designed merely to provide guidelines to the law which the administrative agency is in charge of enforcing. A legislative rule, on the other hand, is in the nature of subordinate legislation, crafted to implement a primary legislation.

In *Commissioner of Internal Revenue v. Court of Appeals*, and *Commissioner of Internal Revenue v. Michel J. Lhuillier Pawnshop, Inc.*, the Court enunciated the doctrine that when an administrative rule goes beyond merely providing for the means that can facilitate or render less cumbersome the implementation of the law and substantially increases the burden of those governed, it behooves the agency to accord at least to those directly affected a chance to be heard and, thereafter, to be duly informed, before the issuance is given the force and effect of law.

In the instant case, EO 156 is obviously a legislative rule as it seeks to implement or execute primary legislative enactments intended to protect the domestic industry by imposing a ban on the importation of a specified product not previously subject to such prohibition. The due process requirements in the issuance thereof are embodied in Section 401 of the Tariff and Customs Code and Sections 5 and 9 of the SMA which essentially mandate the conduct of investigation and public hearings before the regulatory measure or importation ban may be issued.

In the present case, respondents neither questioned before this Court nor with the courts below the procedure that paved the way for the issuance of EO 156. What they challenged in their petitions, before the trial court, was the absence of "substantive due process" in the issuance of the EO. Their main contention before the court *quo* is that the importation ban is illogical and unfair because it unreasonably drives them out of business to the prejudice of the national economy.

Considering the settled principle that in the absence of strong evidence to the contrary, acts of the other branches of the government are presumed to be valid, and there being no objection from the respondents as to the procedure in the promulgation of EO 156, the presumption is that said executive issuance duly complied with the procedures and limitations imposed by law.

To determine whether EO 156 has complied with the third and fourth requisites of a valid administrative issuance, to wit, that it was issued within the scope of authority given by the legislature and that it is reasonable, an examination of the nature of a Freeport under RA 7227 and the primordial purpose of the importation ban under the questioned EO is necessary.

RA 7227 was enacted providing for, among other things, the sound and balanced conversion of the Clark and Subic military reservations and their extensions into alternative productive uses in the form of Special Economic and Freeport Zone, or the Subic Bay Freeport, in order to promote the economic and social development of Central Luzon in particular and the country in general.

The Rules and Regulations Implementing RA 7227 specifically defines the territory comprising the Subic Bay Freeport, referred to as the Special Economic and Freeport Zone in Section 12 of RA 7227 as "a separate customs territory consisting of the City of Olongapo and the Municipality of Subic, Province of Zambales, the lands occupied by the Subic Naval Base and its contiguous extensions as embraced, covered and defined by the 1947 Philippine-U.S. Military Base Agreement as amended and within the territorial jurisdiction of Morong and Hermosa, Province of Bataan, the metes and bounds of which shall be delineated by the President of the Philippines; *Provided further*, That pending establishment of secure perimeters around the entire SBF, the SBF shall refer to the area demarcated by the SBMA pursuant to Section 13 hereof."

Among the salient provisions of RA 7227 are as follows:

SECTION 12. Subic Special Economic Zone. —

x x x

x x x

The above-mentioned zone shall be subject to the following policies:

x x x

x x x

(a) Within the framework and subject to the mandate and limitations of the Constitution and the pertinent provisions of the Local Government Code, the Subic Special Economic Zone shall be developed into a self-sustaining, industrial, commercial, financial and investment center to generate employment opportunities in and around the zone and to attract and promote productive foreign investments;

(b) The Subic Special Economic Zone shall be operated and managed as a separate customs territory ensuring free flow or movement of goods and capital within, into and exported out of the Subic Special Economic Zone, as well as provide incentives such as tax and duty-free importations of raw materials, capital and equipment. However, exportation or removal of goods from the territory of the Subic Special Economic Zone to the other parts of the Philippine territory shall be subject to customs duties and taxes under the Customs and Tariff Code and other relevant tax laws of the Philippines;

The Freeport was designed to ensure free flow or movement of goods and capital within a portion of the Philippine territory in order to attract investors to invest their capital in a business climate with the least governmental intervention. The concept of this zone was explained by Senator Guingona in this wise:

Senator Guingona: Mr. President, the special economic zone is successful in many places, particularly Hong Kong, which is a free port. The difference between a special economic zone and an industrial estate is simply expansive in the sense that the commercial activities, including the establishment of banks, services, financial institutions, agro-industrial activities, maybe agriculture to a certain extent.

This delineates the activities that would have the least of government intervention, and the running of the affairs of the special economic zone would be run principally by the investors themselves, similar to a housing subdivision, where the subdivision owners elect their representatives to run the affairs of the subdivision, to set the policies, to set the guidelines.

We would like to see Subic area converted into a little Hong Kong, Mr. President, where there is a hub of free port and free entry, free duties and activities to a maximum spur generation of investment and jobs.

While the investor is reluctant to come in the Philippines, as a rule, because of red tape and perceived delays, we envision this special economic zone to be an area where there will be minimum government interference.

The initial outlay may not only come from the Government or the Authority as envisioned here, but from them themselves, because they would be encouraged to invest not only for the land but also for the buildings and factories. As long as they are convinced that in such an area they can do business and reap reasonable profits, then many from other parts, both local and foreign, would invest, Mr. President. (Emphasis, added)

With minimum interference from the government, investors can, in general, engage in any kind of business as well as import and export any article into and out of the Freeport. These are among the rights accorded to Subic Bay Freeport Enterprises under Section 39 of the Rules and Regulations Implementing RA 7227, thus —

SEC. 39. Rights and Obligations. — SBF Enterprises shall have the following rights and obligations:

a. To freely engage in any business, trade, manufacturing, financial or service activity, and to import and export freely all types of goods into and out of the SBF, subject to the provisions of the Act, these Rules and other regulations that may be promulgated by the SBMA;

Citing, *inter alia*, the interpellations of Senator Enrile, petitioners claim that the "free flow or movement of goods and capital" only means that goods and material brought within the Freeport shall not be subject to customs duties and other taxes and should not be construed as an open floodgate for entry of all kinds of goods. They thus surmise that the importation ban on motor vehicles is applicable within the Freeport. Pertinent interpellations of Senator Enrile on the concept of Freeport is as follows:

Senator Enrile: Mr. President, I think we are talking here of sovereign concepts, not territorial concepts. The concept that we are supposed to craft here is to carve out a portion of our terrestrial domain as well as our adjacent waters and say to the world:

"Well, you can set up your factories in this area that we are circumscribing, and bringing your equipment and bringing your goods, you are not subject to any taxes and duties because you are not within the customs jurisdiction of the Republic of the Philippines, whether you store the goods or only for purposes of transshipment or whether you make them into finished products again to be reexported to other lands."

x x x

x x x

My understanding of a "free port" is, we are in effect carving out a part of our territory and make it as if it were foreign territory for purposes of our customs laws, and that people can come, bring their goods, store them there and bring them out again, as long as they do not come into the domestic commerce of the Republic.

We do not really care whether these goods are stored here. The only thing that we care is for our people to have an employment because of the entry of these goods that are being discharged, warehoused and reloaded into the ships so that

they can be exported. That will generate employment for us. For as long as that is done, we are saying, in effect, that we have the least contact with our tariff and customs laws and our tax laws. Therefore, we consider these goods as outside of the customs jurisdiction of the Republic of the Philippines as yet, until we draw them from this territory and bring them inside our domestic commerce. In which case, they have to pass through our customs gate. I thought we are carving out this entire area and convert it into this kind of concept.

However, contrary to the claim of petitioners, there is nothing in the foregoing excerpts which absolutely limits the incentive to Freeport investors only to exemption from customs duties and taxes. Mindful of the legislative intent to attract investors, enhance investment and boost the economy, the legislature could not have limited the enticement only to exemption from taxes. The minimum interference policy of the government on the Freeport extends to the kind of business that investors may embark on and the articles which they may import or export into and out of the zone. A contrary interpretation would defeat the very purpose of the Freeport and drive away investors.

It does not mean, however, that the right of Freeport enterprises to import all types of goods and article is absolute. Such right is of course subject to the limitation that articles absolutely prohibited by law cannot be imported into the Freeport. Nevertheless, in determining whether the prohibition would apply to the Freeport, resort to the purpose of the prohibition is necessary.

In issuing EO 156, particularly the prohibition on importation under Article 2, Section 3.1, the President envisioned to rationalize the importation of used motor vehicles and to enhance the capabilities of the Philippine motor manufacturing firms to be globally competitive producers of completely build-up units and their parts and components for the local and export markets. In justifying the issuance of EO 156, petitioners alleged that there has been a decline in the sales of new vehicles and a remarkable growth of the sales of imported used motor vehicles. To address the same, the President issued the questioned EO to prevent further erosion of the already depressed market base of the local motor vehicle industry and

to curtail the harmful effects of the increase in the importation of used motor vehicles.

Taking our bearings from the foregoing discussions, we hold that the importation ban runs afoul the third requisite for a valid administrative order. To be valid, an administrative issuance must not be *ultra vires* or beyond the limits of the authority conferred. It must not supplant or modify the Constitution, its enabling statute and other existing laws, for such is the sole function of the legislature which the other branches of the government cannot usurp. As held in *United BF Homeowner's Association v. BF Homes, Inc.*:

The rule-making power of a public administrative body is a delegated legislative power, which it may not use either to abridge the authority given it by Congress or the Constitution or to enlarge its power beyond the scope intended. Constitutional and statutory provisions control what rules and regulations may be promulgated by such a body, as well as with respect to what fields are subject to regulation by it. It may not make rules and regulations which are inconsistent with the provisions of the Constitution or a statute, particularly the statute it is administering or which created it, or which are in derogation of, or defeat, the purpose of a statute.

In the instant case, the subject matter of the laws authorizing the President to regulate or forbid importation of used motor vehicles, is the domestic industry. EO 156, however, exceeded the scope of its application by extending the prohibition on the importation of used cars to the Freeport, which RA 7227, considers to some extent, a foreign territory. The domestic industry which the EO seeks to protect is actually the "customs territory" which is defined under the Rules and Regulations Implementing RA 7227, as follows:

"The portion of the Philippines outside the Subic Bay Freeport where the Tariff and Customs Code of the Philippines and other national tariff and customs laws are in force and effect."

The proscription in the importation of used motor vehicles should be operative only outside the Freeport and the inclusion of said zone within the ambit of the prohibition is an invalid modification of RA 7227. Indeed, when the application of an administrative issuance modifies existing laws or exceeds the intended scope, as in the instant case, the issuance becomes

void, not only for being *ultra vires*, but also for being unreasonable.

This brings us to the fourth requisite. It is an axiom in administrative law that administrative authorities should not act arbitrarily and capriciously in the issuance of rules and regulations. To be valid, such rules and regulations must be reasonable and fairly adapted to secure the end in view. If shown to bear no reasonable relation to the purposes for which they were authorized to be issued, then they must be held to be invalid.

There is no doubt that the issuance of the ban to protect the domestic industry is a reasonable exercise of police power. The deterioration of the local motor manufacturing firms due to the influx of imported used motor vehicles is an urgent national concern that needs to be swiftly addressed by the President. In the exercise of delegated police power, the executive can therefore validly proscribe the importation of these vehicles. Thus, in *Taxicab Operators of Metro Manila, Inc. v. Board of Transportation*, the Court held that a regulation phasing out taxi cabs more than six years old is a valid exercise of police power. The regulation was sustained as reasonable holding that the purpose thereof was to promote the convenience and comfort and protect the safety of the passengers.

The problem, however, lies with respect to the application of the importation ban to the Freeport. The Court finds no logic in the all encompassing application of the assailed provision to the Freeport which is outside the customs territory. As long as the used motor vehicles do not enter the customs territory, the injury or harm sought to be prevented or remedied will not arise. The application of the law should be consistent with the purpose of and reason for the law. *Ratione cessat lex, et cessat lex*. When the reason for the law ceases, the law ceases. It is not the letter alone but the spirit of the law also that gives it life. To apply the proscription to the Freeport would not serve the purpose of the EO. Instead of improving the general economy of the country, the application of the importation ban in the Freeport would subvert the avowed purpose of RA 7227 which is to create a market that would draw investors and ultimately boost the national economy.

In similar cases, we also declared void the administrative issuance or ordinances concerned for being unreasonable. To

illustrate, in *De la Cruz v. Purus*, the Court held as unreasonable and unconstitutional an ordinance characterized by overbreadth. In that case, the Municipality of Bocaue, Bulacan, prohibited the operation of all night clubs, cabarets and dance halls within its jurisdiction for the protection of public morals. As explained by the Court:

... It cannot be said that such a sweeping exercise of a lawmaking power by Bocaue could qualify under the term reasonable. The objective of fostering public morals, a worthy and desirable end can be attained by a measure that does not encompass too wide a field. Certainly the ordinance on its face is characterized by overbreadth. The purpose sought to be achieved could have been attained by reasonable restrictions rather than by an absolute prohibition. The admonition in *Salazar v. Salazar* should be heeded:

"The Judiciary should not lightly set aside legislative action when there is not a clear invasion of personal or property rights under the guise of police regulation." It is clear that in the guise of a police regulation, there was in this instance a clear invasion of personal or property rights, personal in the case of those individuals desirous of patronizing those night clubs and property in terms of the investments made and salaries to be earned by those therein employed.

Lupangco v. Court of Appeals, is a case involving a resolution issued by the Professional Regulation Commission which prohibited examinees from attending review classes and receiving handout materials, tips, and the like three days before the date of examination in order to preserve the integrity and purity of the licensure examinations in accountancy. Besides being unreasonable on its face and violative of academic freedom, the measure was found to be more sweeping than what was necessary, viz:

Needless to say, the enforcement of Resolution No. 105 is not a guarantee that the alleged leakages in the licensure examinations will be eradicated or at least minimized. Making the examinees suffer by depriving them of legitimate means of review or preparation on those last three precious days — when they should be refreshing themselves with all that they have learned in the review

classes and preparing their mental and psychological make-up for the examination day itself — would be like uprooting the tree to get rid of a rotten branch. What is needed to be done by the respondent is to find out the source of such leakages and stop it right there. If corrupt officials or personnel should be terminated from their loss, then so be it. Fixers or swindlers should be flushed out. Strict guidelines to be observed by examiners should be set up and if violations are committed, then licenses should be suspended or revoked. . . .

In *Lucena Grand Central Terminal, Inc. v. JAC Liner, Inc.*, the Court likewise struck down as unreasonable and overbroad a city ordinance granting an exclusive franchise for 25 years, renewable for another 25 years, to one entity for the construction and operation of one common bus and jeepney terminal facility in Lucena City. While professedly aimed towards alleviating the traffic congestion alleged to have been caused by the existence of various bus and jeepney terminals within the city, the ordinance was held to be beyond what is reasonably necessary to solve the traffic problem in the city.

By parity of reasoning, the importation ban in this case should also be declared void for its too sweeping and unnecessary application to the Freeport which has no bearing on the objective of the prohibition. If the aim of the EO is to prevent the entry of used motor vehicles from the Freeport to the customs territory, the solution is not to forbid entry of these vehicles into the Freeport, but to intensify governmental campaign and measures to thwart illegal ingress of used motor vehicles into the customs territory.

DAR v. Sutton

In *DAR v. Sutton*, [G.R. No. 162070, October 19, 2005], the issue was whether DAR A.O. No. 9 fixing the retention limits of lands devoted to livestock farming is constitutional. In declaring DAR A.O. No. 9 as unconstitutional, the Court ruled:

Administrative agencies are endowed with powers legislative in nature, i.e., the power to make rules and regulations. They have been granted by Congress with the authority to issue rules to regulate the implementation of a law entrusted to them. Delegated rule-making has become a practical necessity in modern governance due to the increasing

complexity and variety of public functions. However, while administrative rules and regulations have the force and effect of law, they are not immune from judicial review. They may be properly challenged before the courts to ensure that they do not violate the Constitution and no grave abuse of administrative discretion is committed by the administrative body concerned.

The fundamental rule in administrative law is that, to be valid, administrative rules and regulations must be issued by authority of a law and must not contravene the provisions of the Constitution. The rule-making power of an administrative agency may not be used to abridge the authority given to it by Congress or by the Constitution. Nor can it be used to enlarge the power of the administrative agency beyond the scope intended. Constitutional and statutory provisions control with respect to what rules and regulations may be promulgated by administrative agencies and the scope of their regulations.

In the case at bar, we find that the impugned A.O. is invalid as it contravenes the Constitution. The A.O. sought to regulate livestock farms by including them in the coverage of agrarian reform and prescribing a maximum retention limit for their ownership. However, the deliberations of the 1987 Constitutional Commission show a clear intent to exclude, *inter alia*, all lands exclusively devoted to livestock, swine and poultry-raising. The Court clarified in the *Luz Farms* case that livestock, swine and poultry-raising are industrial activities and do not fall within the definition of "agriculture" or "agricultural activity." The raising of livestock, swine and poultry is different from crop or tree farming. It is an industrial, not an agricultural, activity. A great portion of the investment in this enterprise is in the form of industrial fixed assets, such as: animal housing structures and facilities, drainage, waterers and blowers, feed mill with grinders, mixers, conveyors, exhausts and generators, extensive warehousing facilities for feeds and other supplies, anti-pollution equipment like bio-gas and digester plants augmented by lagoons and concrete ponds, deep wells, elevated water tanks, pump houses, sprayers, and other technological appurtenances.

Clearly, DAR has no power to regulate livestock farms which have been exempted by the Constitution from the coverage of agrarian reform. It has exceeded its power in issuing the assailed A.O.

The subsequent case of *Natalia Realty, Inc. v. DAR* reiterated our ruling in the *Luz Farms* case. In *Natalia Realty*, the Court held that industrial, commercial and residential lands are not covered by the CARL. We stressed anew that while Section 4 of R.A. No. 6657 provides that the CARL shall cover all public and private agricultural lands, the term "agricultural land" does not include lands classified as mineral, forest, residential, commercial or industrial. Thus, in *Natalia Realty*, even portions of the Antipolo Hills Subdivision, which are arable yet still undeveloped, could not be considered as agricultural lands subject to agrarian reform as these lots were already classified as residential lands.

A similar logical deduction should be followed in the case at bar. Lands devoted to raising of livestock, poultry and swine have been classified as industrial, not agricultural, lands and thus exempt from agrarian reform. Petitioner DAR argues that, in issuing the impugned A.O., it was seeking to address the reports it has received that some unscrupulous landowners have been converting their agricultural lands to livestock farms to avoid their coverage by the agrarian reform. Again, we find neither merit nor logic in this contention. The undesirable scenario which petitioner seeks to prevent with the issuance of the A.O. clearly does not apply in this case. Respondents' family acquired their landholdings as early as 1948. They have long been in the business of breeding cattle in Masbate which is popularly known as the cattle-breeding capital of the Philippines. Petitioner DAR does not dispute this fact. Indeed, there is no evidence on record that respondents have just recently engaged in or converted to the business of breeding cattle after the enactment of the CARL that may lead one to suspect that respondents intended to evade its coverage. It must be stressed that what the CARL prohibits is the conversion of agricultural lands for non-agricultural purposes after the effectivity of the CARL. There has been no change of business interest in the case of respondents.

Maxima Realty Management

Maxima Realty Management and Dev. Corp. v. Parkway Real Estate Dev. Corp., [G.R. No. 136492, February 13, 2004] raises the issue as to whether an administrative rule prescribing a period of 30 days to appeal a decision to the Office of President prevails

over a Presidential Decree providing that appeal from said agency to the Office of the President is 15 days. The Court ruled that the Presidential Decree, which is a law, prevails and the administrative rule is void.

We note that indeed there are special laws that mandate a shorter period of fifteen (15) days within which to appeal a case to public respondent. First, Section 15 of Presidential Decree No. 957 provides that the decisions of the National Housing Authority (NHA) shall become final and executory after the lapse of fifteen (15) days from the date of receipt of the decision. Second, Section 2 of Presidential Decree No. 1344 states that decisions of the National Housing Authority shall become final and executory after the lapse of fifteen (15) days from the date of its receipt. The latter decree provides that the decisions of NHA is appealable only to the Office of the President. Further, we note that the regulatory functions of NHA relating to housing and land development has been transferred to Human Settlements Regulatory Commission, now known as HLURB [by virtue of E.O. No. 684 (7 February 1981) and E.O. No. 90 (17 December 1986)]. Thus, said presidential issuances providing for a reglementary period of appeal of fifteen days apply in this case. Accordingly, the period of appeal of thirty (30) days set forth in Section 27 of HLURB 1994 Rules of Procedure no longer holds true for being in conflict with the provisions of aforesaid presidential decrees. For it is axiomatic that administrative rules derive their validity from the statute that they are intended to implement. Any rule which is not consistent with [the] statute itself is null and void.

In this case, petitioner received a copy of the decision of HLURB on October 23, 1995. Considering that the reglementary period to appeal is fifteen days, petitioner has only until November 7, 1995, to file its appeal. Unfortunately, petitioner filed its appeal with public respondent only on November 20, 1995 or twenty-eight days from receipt of the appealed decision, which is obviously filed out of time.

1.23. Administrative rule and interpretation distinguished.

There is a distinction between an administrative rule or regulation and an administrative interpretation of a law whose enforce-

ment is entrusted to an administrative body. When an administrative agency promulgates rules and regulations, it "makes" a new law with the force and effect of a valid law, while when it renders an opinion or gives a statement of policy, it merely interprets a pre-existing law. The rules promulgated pursuant to law are binding on the courts, even if they are not in agreement with the policy stated therein or with its innate wisdom. On the other hand, administrative interpretation of the law is at best merely advisory, for it is the courts that finally determine what the law means.¹²⁹

Administrative construction is not necessarily binding upon the courts. Action of an administrative agency may be disturbed or set aside by the judicial department if there is an error of law, or abuse of power, or lack of jurisdiction or grave abuse of discretion clearly conflicting with either the letter or spirit of a legislative enactment.¹³⁰

1.24. Supreme Court rule-making power.

The 1987 Constitution grants the Supreme Court the power to "promulgate rules concerning the protection and enforcement of constitutional rights, pleading, practice, and procedure in all courts, the admission to the practice of law, the Integrated Bar, and legal assistance to the underprivileged. Such rules shall provide a simplified and inexpensive procedure for the speedy disposition of cases, shall be uniform for all courts of the same grade, and shall not diminish, increase, or modify substantive rights. Rules of procedure of special courts and quasi-judicial bodies shall remain effective unless disapproved by the Supreme Court."¹³¹

The rule-making power of the Supreme Court as provided in Sec. 5(5), Article VIII of the Constitution is complemented by Sec. 30, Article VI of the Constitution, which provides that: "No law shall be passed increasing the appellate jurisdiction of the Supreme Court as provided in this Constitution without its advice and concurrence." It has been held that a statute which provides that a decision of a quasi-judicial body be appealable directly to the Supreme Court, if enacted without the advice and concurrence of the Supreme Court,

cannot be effective. In such a case, the rule prescribed in Rule 43 of the 1997 Rules of Civil Procedure on appeals from quasi-judicial agencies to the Court of Appeals shall apply.¹³²

Pursuant to its rule-making power, the Supreme Court adopted the 1997 Rules of Civil Procedure and introduced new provisions to, modified and/or re-arranged the old provisions of, the Rules of Court from Rules 1 to 71, which now form part of the Rules of Court. The 1997 Rules of Civil Procedure were promulgated by the Supreme Court in the exercise of its rule-making power. The rule-making power of the Supreme Court includes the power to repeal procedural laws, such as those which prescribe the method of enforcing rights or obtaining redress for their invasion. Parts of statutes which deal with procedural aspects can be modified or repealed by the Supreme Court by virtue of its constitutional rule-making power, such as when it made uniform the rules on appeal from quasi-judicial bodies to the Court of Appeals by repealing the procedural provisions of R.A. No. 7902, R.A. No. 1128, 5440, and R.A. No. 5434.¹³³

The legislature may enact laws which are substantive and procedural, but the Supreme Court, in the exercise of its rule-making power, does not have the power to promulgate rules which are substantive in nature. Whether a rule prescribed by the Supreme Court is procedural or substantive, the test is whether the rule really regulates procedure, that is, the judicial process for enforcing rights and duties recognized by substantive law and for justly administering remedy and redress for a disregard or infraction of them. If it takes away vested right, it is not procedural. If the rule creates right such as the right to appeal, it is substantive; but if it operates as a means of implementing an existing right then the rule deals merely with procedure. Where to prosecute an appeal or transferring the venue of appeal is procedural, such as decreeing that appeals from decisions of the Ombudsman in administrative actions be made to the Court of Appeals¹³⁴ or requiring that appeals from decisions of the NLRC be filed with the Court of Appeals.¹³⁵

¹²⁹*Victorias Milling Co., Inc. v. Social Security Commission*, 114 Phil. 555

(1962); *Peralta v. Civil Service Commission*, 212 SCRA 425 (1992).

¹³⁰*Peralta v. Civil Service Commission*, 212 SCRA 425 (1992).

¹³¹Sec. 5(5), Art. VIII, Constitution.

¹³²*First Lepanto Ceramics, Inc. v. CA*, 49 SCAD 405, 237 SCRA 519 (1994). See *Fabian v. Desierto*, 98 SCAD 414, 295 SCRA 470 (1998).

¹³³*First Lepanto Ceramics, Inc. v. CA*, 49 SCAD 405, 231 SCRA 30 (1994).

¹³⁴*Fabian v. Desierto*, 98 SCAD 414, 295 SCRA 470 (1998).

¹³⁵*St. Martin Funeral Homes v. NLRC*, 98 SCAD 435, 295 SCRA 494 (1998).

1.25. Legislative power of local government units.

The legislative power of local government units refers to the power of local legislative bodies to enact ordinances, consisting of *barangay* ordinance, municipal ordinance, city ordinance, and provincial ordinance, as the case may be. To be valid, such ordinances require that their passage be in accordance with prescribed procedure and that they meet the substantive requisites for their validity.

In *Lagaco v. Labra*, G.R. No. 155746, October 13, 2004, the Court outlined the requirements for a valid ordinance. It held:

"For an ordinance to be valid, it must not only be within the corporate powers of the city or municipality to enact but must also be passed according to the procedure prescribed by law. It must be in accordance with certain well-established basic principles of a substantive nature. These principles require that an ordinance (1) must not contravene the Constitution or any statute; (2) must not be unfair or oppressive; (3) must not be partial or discriminatory; (4) must not prohibit but may regulate trade; (5) must be general and consistent with public policy; and (6) must not be unreasonable."

1.26. *Barangay* ordinance.

The smallest legislative body is the *sangguniang barangay*. It may pass an ordinance affecting a *barangay* by majority vote of all its members. A *barangay* ordinance is subject to review by the *sangguniang bayan* or *sangguniang panlungsod*, as the case may be, to determine whether it is consistent with law or with municipal or city ordinance. The *sangguniang panlungsod* or *sangguniang bayan* shall take action on the ordinance within thirty days from submission. If it does not take action within said period, the ordinance will be presumed consistent with law or municipal or city ordinance and shall be deemed approved. If it finds that the ordinance is inconsistent with law or city or municipal ordinance, it shall return the same to the *sangguniang barangay* concerned for adjustment, amendment, or modification, in which case the effectivity of the ordinance is suspended.¹³⁶

¹³⁶Secs. 54 and 57, Local Government Code of 1991 (Rep. Act No. 7160).

1.27. Municipal ordinance.

The power to enact municipal ordinance is lodged with the *sangguniang bayan*.¹³⁷ The affirmative vote of a majority of the members of the *sangguniang bayan* present and voting, there being a quorum, shall be necessary for the passage of any ordinance.¹³⁸ The ordinance is then submitted to the municipal mayor who, within ten days from receipt thereof, shall return it either with his approval or veto. If he does not return it within that time, it shall be deemed approved. The *sangguniang bayan* may, by two-thirds vote of all members, override the veto of the mayor, in which case it shall become effective for all legal intents and purposes.¹³⁹ The approved ordinance is then submitted to the *sangguniang panlalawigan* for review. The *sangguniang panlalawigan* may, within thirty days from receipt of the ordinance, invalidate it in whole or in part, and its action shall be final. If the *sangguniang panlalawigan* does not take action on the ordinance within thirty days after its submission, it shall be presumed consistent with law and therefore valid.¹⁴⁰

1.28. City ordinance.

The power to pass city ordinance is vested in the *sangguniang panlungsod*. The affirmative vote of a majority of the members of the *sangguniang panlungsod* present and there being a quorum, shall be necessary for the passage of any ordinance.¹⁴¹ The approved ordinance shall be submitted to the city mayor who, within ten days from receipt thereof, shall return it with his approval or veto. If he does not return it within that time, it shall be deemed approved. The *sangguniang panlungsod* may repass a vetoed ordinance by two-thirds vote of all the members thereof.¹⁴² If the city is a component city, the approved ordinance is submitted to the *sangguniang panlalawigan* for review which shall take action therein within thirty days, otherwise, it will be deemed valid.¹⁴³

¹³⁷Sec. 54, *ibid.*

¹³⁸*Ibid.*

¹³⁹*Ibid.*

¹⁴⁰Sec. 56, *ibid.*

¹⁴¹Sec. 54, *ibid.*

¹⁴²Secs. 54 and 55, *ibid.*

¹⁴³Sec. 56, *ibid.*

1.29. Provincial ordinance.

The *sangguniang panlalawigan*, as the legislative body of a province, may by a vote of a majority of the members present, there being a quorum, enact ordinances affecting the province.¹⁴⁴ The ordinance is then forwarded to the governor who, within fifteen days from receipt thereof, shall return it with his approval or veto. If he does not return it within that time, it shall be deemed approved. A vetoed ordinance may be repassed by the *sangguniang panlalawigan* by a two-thirds vote of all its members.¹⁴⁵

E. VALIDITY OF STATUTE

1.30. Presumption of constitutionality.

Every statute is presumed valid.¹⁴⁶ The reason lies in the very essence of how a law is enacted. Before the legislature passes a bill, it is presumed that it has decided the measure to be constitutional; and when the President approves the bill, it is presumed that he has been convinced of its validity. It is but a decent respect due to the wisdom, integrity, and the patriotism of the legislature, by which the law is passed, and the chief executive, by whom the law is approved, to presume of its constitutionality.¹⁴⁷ An act of the legislature, approved by the President, is presumed to be within the constitutional limitations. For the responsibility of upholding the Constitution rests not on the courts alone but on the legislature and executive as well.¹⁴⁸

The function of the legislature to legislate law is primary, its exercise fortified by presumption of right and legality, and is not to be interfered with lightly, nor by any judicial conception of its wisdom or propriety.¹⁴⁹ To declare a law unconstitutional, the repugnancy of the law to the Constitution must be clear and unequivocal. To strike down a law, there must be a clear showing that what the

¹⁴⁴Sec. 54, *ibid.*

¹⁴⁵Secs. 54 and 55, *ibid.*

¹⁴⁶Salas v. Jarencio, G.R. No. 29786, August 30, 1970, 46 SCRA 734; Morfe v. Mutuc, G.R. No. 20387, January 31, 1968, 22 SCRA 424; Peralta v. Commission on Elections, G.R. No. 47771, March 11, 1978, 82 SCRA 30.

¹⁴⁷Alba v. Evangelista, 100 Phil. 683 (1957).

¹⁴⁸Peralta v. Commission on Elections, G.R. No. 47771, March 11, 1978, 82 SCRA 30.

¹⁴⁹Jy. Cong. Eng. v. Trinidad, 47 Phil. 385 (1925).

fundamental law condemns or prohibits, the statute allows it to be done.¹⁵⁰ Thus, to justify the nullification of a law, there must be a clear and unequivocal breach of the Constitution, not a doubtful and argumentative implication. There is practically unanimity among the courts in the pronouncement that laws shall not be declared invalid unless the conflict with the Constitution is clear beyond a reasonable doubt.¹⁵¹ All reasonable doubts should be resolved in favor of the constitutionality of law. To doubt is to sustain.¹⁵²

The final authority to declare a law unconstitutional is the Supreme Court *en banc* by "the concurrence of a majority of the Members who actually took part in the deliberations on the issues in the case and voted thereon."¹⁵³ Nonetheless, trial courts have jurisdiction to initially decide the issue of constitutionality of a law in appropriate cases. In this connection, the Supreme Court has aptly remarked:

"In the exercise of this jurisdiction, lower courts are advised to act with the utmost circumspection, bearing in mind the consequences of a declaration of unconstitutionality upon the stability of laws, no less than on the doctrine of separation of powers. As the questioned act is usually the handiwork of the legislative or the executive departments, or both, it will be prudent for such courts, if only out of a becoming modesty, to defer to the higher judgment of this Court in the consideration of its validity, which is better determined after a thorough deliberation by a collegiate body and with the concurrence of the majority of those who participated in its discussion." "It is also emphasized that every court, including this Court, is charged with the duty of a purposeful hesitation before declaring a law unconstitutional, on the theory that the measure was first carefully studied by the executive and the legislative departments and determined by them to be in accordance with the fundamental law before it was finally approved. To doubt is to sustain. The presumption of constitutionality

¹⁵⁰Morfe v. Mutuc, G.R. No. 20387, January 31, 1968, 22 SCRA 424; Salas v. Jarencio, G.R. No. 29786, August 30, 1970, 46 SCRA 734; Tano v. Secretaries, 86 SCAD 258, 278 SCRA 154 (1997).

¹⁵¹Peralta v. Commission on Elections, *supra*.

¹⁵²Hiers of Ordona v. Reyes, G.R. No. 62549, October 26, 1983, 125 SCRA 220; Drilon v. Lim, 84 SCAD 218, 235 SCRA 135, 140 (1994).

¹⁵³Art. VIII, Sec. 4(2), Constitution.

can be overcome only by the clearest showing that there was indeed an infraction of the Constitution, and only when such a conclusion is reached by the required majority may the Court pronounce, in the discharge of the duty it cannot escape, that the challenged act must be struck down.¹⁵⁶

1.31. Requisites for exercise of judicial power.

The court does not pass upon the constitutionality of a statute at any time it is requested by any person and for any purpose.¹⁵⁵ Before the court may resolve the question of constitutionality of a statute, the following requisites should, as a rule, be present: (1) the existence of an appropriate case; (2) an interest personal and substantial by the party raising the constitutional question; (3) the plea that the function be exercised at the earliest opportunity; and (4) the necessity that the constitutional question be passed upon in order to decide the case.¹⁵⁶

1.32. Appropriate case.

The case in which the question of constitutionality of a statute is raised must be a *bona fide* case, one in which it raises a justiciable controversy, the resolution of which the court will have to choose between the Constitution and the challenged statute.¹⁵⁷ Judicial power is limited only to actual controversies, as a last resort and a necessity in the determination of real, actual, earnest, and vital controversy between litigants.¹⁵⁸

Generally, a controversy is justiciable if it refers to a matter which is appropriate for court review. It pertains to issues which are inherently susceptible of being decided on grounds recognized by law. The Court does not automatically assume jurisdiction over actual constitutional cases brought before it even in instances that are ripe for resolution. One class of cases wherein the Court hesitates to rule on are "political questions." The reason is that political

¹⁵⁴*Drilon v. Lim*, 54 SCAD 218, 285 SCRA 136, 140 (1994).

¹⁵⁵*Vicente v. Shico*, *Philippine Constitutional Law*, 2nd ed. (1960), p. 44.

¹⁵⁶*Dunlao v. Commission on Elections*, G.R. No. 52245, January 22, 1980, 95 SCRA 392; *People v. Vera*, 65 Phil. 56 (1937); *Phil. Const. Assn. v. Enriquez*, 54 SCAD 661, 235 SCRA 506 (1994).

¹⁵⁷*Muskirat v. U.S.*, 219 U.S. 346, 55 L. ed. 246 (1911).

¹⁵⁸*Phil. Assn. of Colleges and Universities v. Secretary of Education*, 97 Phil. 806 (1955).

questions are concerned with issues dependent upon the wisdom, not the legality, of a particular act or measure being assailed. The political question being a function of the separation of powers, the courts will not normally interfere with the workings of another co-equal branch unless the case shows a clear need for the courts to step in to uphold the law and the Constitution. However, the 1987 Constitution expands the concept of judicial review by providing that: "(T)he judicial power shall be vested in one Supreme Court and in such lower courts as may be established by law. Judicial power includes the duty of the courts of justice to settle actual controversies involving rights which are legally demandable and enforceable, and to determine whether or not there has been a grave abuse of discretion amounting to lack or excess of jurisdiction on the part of any branch or instrumentality of the Government."¹⁵⁹

1.33. Standing to sue.

"Legal standing" or *locus standi* has been defined as a personal and substantial interest in the case such that the party has sustained or will sustain direct injury as a result of the governmental act that is being challenged. The term "interest" means a material interest, an interest in issue affected by the decree, as distinguished from mere interest in the question involved, or a mere incidental interest. The gist of the question of standing is whether a party alleges such personal stake in the outcome of the controversy as to assure concrete adverseness which sharpens the presentation of issues upon which the court depends for illumination of difficult constitutional question.¹⁶⁰

A citizen acquires standing only if he can establish that he has suffered some actual or threatened injury as a result of the allegedly illegal conduct of government; the injury is fairly traceable to the challenged action; and the injury is likely to be redressed by a favorable action. On the other hand, a taxpayer is deemed to have the standing to raise a constitutional issue when it is established that public funds have been disbursed in alleged contravention of the law or the Constitution. A taxpayer's suit is properly brought

¹⁵⁹*Integrated Bar of the Philippines v. Zamora*, 131 SCAD 800, 338 SCRA 81 (2000).

¹⁶⁰*Integrated Bar of the Philippines v. Zamora*, 131 SCAD 800, 338 SCRA 81 (2000).

only when there is an exercise by Congress of its taxing or spending power.¹⁶¹

Not every person or taxpayer can question the constitutionality of a law. The rule is that a person who questions the validity of a statute must show that he has sustained, or is in immediate danger of sustaining, some direct injury as a result of its enforcement.¹⁶² He must have a personal and substantial interest in the case such that the enforcement of the law has caused him or will cause him direct injury.¹⁶³ Concrete injury, whether actual or threatened, is the indispensable element of a dispute which serves in part to cast it in a form traditionally capable of judicial resolution. When the asserted harm is a generalized grievance shared in substantially equal measure by all or a large class of citizens, that harm alone normally does not warrant exercise of jurisdiction.¹⁶⁴ Without such direct injury, the petition challenging the validity of a law states no cause of action and should be dismissed.¹⁶⁵

In the determination of the degree of interest essential to give the requisite standing to attack the constitutionality of a statute, the general rule is that not only persons individually affected but also taxpayers have sufficient interest in preventing the illegal expenditure of moneys raised by taxation and may therefore question the validity of laws requiring expenditure of public moneys.¹⁶⁶ Taxpayers may bring an action to restrain officials from wasting public funds through the enforcement of an invalid or unconstitutional law.¹⁶⁷ So-called taxpayer's suit is based on the theory that the expenditure of public funds by an officer of the state for the purpose of administering an unconstitutional act constitutes a misapplication of such funds.¹⁶⁸

¹⁶¹Gonzales v. Narvaes, 131 SCAD 710, 387 SCRA 733 (2000).

¹⁶²Bautista v. Municipal Council of Mandaluyong, 98 Phil. 409 (1956); *Sanidad v. Commission on Elections*, G.R. No. 43731, October 5, 1976, 73 SCRA 330.

¹⁶³*People v. Vera*, 65 Phil. 56 (1937).

¹⁶⁴*Lozada v. Commission on Elections*, G.R. No. 59068, January 27, 1983, 120 SCRA 337.

¹⁶⁵*Bautista vs. Municipal Council of Mandaluyong*, 98 Phil. 409 (1956).

¹⁶⁶*Phil. Constitution Assn., Inc. v. Gimenez*, G.R. No. 23326, December 18, 1965, 15 SCRA 479.

¹⁶⁷*Phil. Constitution Assn., Inc. v. Mathay*, G.R. No. 25554, October 4, 1966, 18 SCRA 300.

¹⁶⁸*Pascual v. Secretary of Public Works*, 110 Phil. 331 (1960); *Tan v. Macapagal*, G.R. No. 34161, February 29, 1972, 43 SCRA 677.

A taxpayers' suit will not be entertained where the statute being challenged does not involve the expenditure of public funds, where there is no allegation that tax money is being spent in violation of a specific provision of the Constitution or that there is misapplication of public funds, or that public money is being deflected to any improper purpose, or where petitioner does not seek to restrain the public officials concerned from wasting public funds through the enforcement of an invalid or unconstitutional law.¹⁶⁹ But even if the challenged statute involves the expenditure of public funds or there is allegation concerning the misapplication of public money through enforcement of an invalid law, it does not necessarily follow that the taxpayers' suit will be given due course, for whether or not the court will entertain the suit is a matter of judicial discretion.¹⁷⁰

It has been held that a member of the Senate or of the House of Representatives has the legal standing to question the validity of a presidential veto or a condition imposed on an item in an appropriations bill. When the veto is claimed to have been made without or in excess of the authority vested in the President by the Constitution, the issue of an impermissible intrusion of the Executive into the domain of the Legislature arises. To the extent that the powers of Congress are impaired, so is the power of each member thereof, since his office confers a right to participate in the exercise of the powers of that institution. An act of the Executive which injures the institution of Congress causes a derivative but nonetheless substantial injury, which can be questioned by a member of Congress. In such a case, any member of Congress can resort to the courts.¹⁷¹

The Supreme Court may, in its discretion, take cognizance of a suit which does not satisfy the requirement of legal standing. In not a few cases, the Court has adopted a liberal attitude on the *locus standi* of a petitioner where the petitioner is able to craft an issue of transcendental significance to the people. Thus, when the issues raised are of paramount importance to the public, the Court may brush aside technicalities of procedure, as when the petition has advanced constitutional issues which deserve the attention

¹⁶⁹*Dumlao v. Commission on Elections*, G.R. No. 52245, January 22, 1980, 95 SCRA 392; *Lozada v. Commission on Elections*, G.R. No. 59068, January, 1983.

¹⁷⁰*Tan v. Macapagal*, G.R. No. 34161, February 29, 1972, 43 SCRA 677; *Gonzales v. Marcos*, G.R. No. 31685, July 31, 1975, 65 SCRA 624.

¹⁷¹*Phil. Const. Assn. v. Enriquez*, 54 SCAD 561, 235 SCRA 506 (1994).

of the Court in view of their seriousness, novelty and weight as precedents, such as the calling by the President for the deployment of the Philippine Marines to join the Philippine National Police in visibility patrols around the metropolis.¹⁷²

The Supreme Court ruled in *Pimentel, Jr. v. Aguirre*, 336 SCRA 201, 222-223 [2000]:

"This is a rather novel theory — that people should await the implementing evil to befall on them before they can question acts that are illegal or unconstitutional. Be it remembered that the real issue here is whether the Constitution and the law are contravened by Section 4 of EO 372, not whether they are violated by the acts implementing it. In the unanimous *en banc* case *Tañada v. Angara*, this Court held that when an act of the legislative department is seriously alleged to have infringed the Constitution, settling the controversy becomes the duty of this Court. By the mere enactment of the questioned law or the approval of the challenged action, the dispute is said to have ripened into a judicial controversy even without any other overt act. Indeed, even a singular violation of the Constitution and/or the law is enough to awaken judicial duty. Said the Court:

In seeking to nullify an act of the Philippine Senate on the ground that it contravenes the Constitution, the petition no doubt raises a justiciable controversy. Where an action of the legislative branch is seriously alleged to have infringed the Constitution, it becomes not only the right but in fact the duty of the judiciary to settle the dispute. The question thus posed is judicial rather than political. The duty (to adjudicate) remains to assure that the supremacy of the Constitution is upheld. Once a 'controversy as to the application or interpretation of a constitutional provision is raised before this Court x x x, it becomes a legal issue which the Court is bound by constitutional mandate to decide.'

x x x

x x x

x x x

As this Court has repeatedly and firmly emphasized in many cases, it will not shirk, digress from or abandon its sacred duty and authority to uphold the Constitution in matters that

¹⁷²Integrated Bar of the Philippines v. Zamora, 131 SCAD 800, 338 SCRA 81 (2000).

involve grave abuse of discretion brought before it in appropriate cases, committed by any officer, agency, instrumentality or department of the government."

In the same vein, the Court also held in *Tatad v. Secretary of the Department of Energy*:

"x x x Judicial power includes not only the duty of the courts to settle actual controversies involving rights which are legally demandable and enforceable, but also the duty to determine whether or not there has been grave abuse of discretion amounting to lack or excess of jurisdiction on the part of any branch or instrumentality of government. The courts, as guardians of the Constitution, have the inherent authority to determine whether a statute enacted by the legislature transcends the limit imposed by the fundamental law. Where the statute violates the Constitution, it is not only the right but the duty of the judiciary to declare such act unconstitutional and void."

1.34. When to raise constitutionality.

Well-entrenched in constitutional law is the precept that constitutional questions will not be entertained by courts unless they are specifically raised, insisted upon, and adequately argued.¹⁷³ For the court to inquire into the constitutionality of a law, the party raising the question of its validity must raise it at the earliest opportunity. This means that the question must be raised in the complaint or petition by plaintiff or petitioner, or in the answer by defendant or respondent. If the question is not raised in the pleadings, ordinarily it may not be raised at the trial, and if not raised in the trial, it will not be considered on appeal.¹⁷⁴

There are certain exceptions to the rule requiring that the question of validity of a statute must be raised at the earliest opportunity to justify judicial intervention. The question may be raised in a motion for reconsideration or new trial in the lower court, where the statute sought to be invalidated was not in existence

¹⁷³*City of Baguio v. Marcos*, G.R. No. 26100, February 28, 1969, 27 SCRA 342.

¹⁷⁴*San Miguel Brewery, Inc. v. Magno*, G.R. No. 21879, September 29, 1967, 21 SCRA 292; *Cadwallader-Gibson Lumber Co. v. Del Rosario*, 26 Phil. 192 (1913); *Robb v. People*, 68 Phil. 320 (1938); *Macondray & Co. v. Benito*, 62 Phil. 137 (1935).

when the complaint was filed or during the trial.¹⁷⁶ The question of validity may also be raised in criminal cases at any stage of the proceedings or on appeal, in civil cases where it appears clearly that a determination of the question is necessary to a decision, and in cases where it involves the jurisdiction of the court below.¹⁷⁸

By the same token, when an act of the President, who in our constitutional scheme is a co-equal of Congress, is seriously alleged to have infringed the Constitution and the laws, as in the present case, settling the dispute becomes the duty and the responsibility of the courts.

1.35. Necessity of deciding constitutionality.

It is well-settled that the court will not pass upon the validity of a statute if it can decide the case on some other grounds; it will leave the constitutional question for consideration until an appropriate case arises in which a decision upon such question is unavoidable.¹⁷⁷ This does not mean that to avoid a constitutional question, the court may decline to decide the case on the merits. If the only issue is a constitutional question which is unavoidable, the court should confront the question and decide the case on the merits.¹⁷⁸

Nor will the court pass upon the validity of a statute where the issue raised in the case has apparently become moot. In such an event, the court will dismiss the case on such ground.¹⁷⁹

The court may, however, relax strict compliance with the procedural requirements for the court to inquire into the constitutionality of a law. Where the constitutional question is of paramount public interest and time is of the essence in the resolution of such question, adherence to the strict procedural standard may be relaxed and the court, in its discretion, may squarely decide the case.¹⁸⁰ And, where the question of validity, though apparently has become moot, has become of paramount public interest and there is undeniable neces-

¹⁷⁶Alonso v. Phil. National Bank, 91 Phil. 345 (1952).

¹⁷⁸San Miguel Brewery, Inc. v. Magno, G.R. No. 21879, September 29, 1967, 21 SCRA 292.

¹⁷⁷Sotto v. Commission on Elections, 76 Phil. 516 (1946); Go Chiong v. Dinglasan, 79 Phil. 122 (1947).

¹⁷⁹Kriveiko v. Register of Deeds, 79 Phil. 461 (1947).

¹⁸⁰Gonzales v. Commission on Elections, G.R. No. 27833, April 18, 1969, 27 SCRA 835.

¹⁸¹Dumiao v. Commission on Elections, G.R. No. 52245, January 22, 1980, 95 SCRA 392; Timio v. Mina, G.R. No. 29488, December 24, 1968, 26 SCRA 512.

sity for a ruling, strong reasons of public policy may demand that its constitutionality be resolved.¹⁸¹

The fact that the validity of a statute has not been challenged for many years does not preclude the court from passing upon that question in an appropriate cause. Nor does the circumstance that a statute has been accepted as valid in cases where its validity was not raised, prevent the court from later passing on its constitutionality, where that question is squarely and properly raised. Such circumstances merely reinforce the presumption of constitutionality of the law.¹⁸²

1.36. Summary of Essential Requisites for Judicial Review.

In *Francisco, Jr. v. House of Representatives*, G.R. No. 160261, November 10, 2003, the Court summarized the essential requisites for judicial review, as follows:

"As clearly stated in *Angara v. Electoral Commission*, the courts' power of judicial review, like almost all powers conferred by the Constitution, is subject to several limitations, namely: (1) an actual case or controversy, calling for the exercise of judicial power; (2) the person challenging the act must have "standing" to challenge; he must have a personal and substantial interest in the case such that he has sustained, or will sustain, direct injury as a result of its enforcement; (3) the question of constitutionality must be raised at the earliest possible opportunity; and (4) the issue of constitutionality must be the very *lis mota* of the case.

x x x Even then, this power of judicial review is limited to actual cases and controversies to be exercised after full opportunity of argument by the parties, and limited further to the constitutional question raised or the very *lis mota* presented. Any attempt at abstraction could only lead to dialectics and barren legal questions and to sterile conclusions unrelated to actualities. Narrowed as its function is in this manner, the judiciary does not pass upon questions of wisdom, justice or expediency of legislation. More than that, courts

¹⁸¹Gonzales v. Commission on Elections, *supra*.

¹⁸²Agcaoili v. Suguitan, 48 Phil. 676 (1926); McGuire v. Hamilton, 30 Phil. 563 (1915); Vizcarra v. Miranda, 118 Phil. 49 (1963); Pamil v. Teleron, G.R. No. 34654, November 20, 1978, 86 SCRA 413.

accord the presumption of constitutionality to legislative enactments, not only because the legislature is presumed to abide by the Constitution but also because the judiciary in the determination of actual cases and controversies must reflect the wisdom and justice of the people as expressed through their representatives in the executive and legislative departments of the government.

Standing

Locus standi or legal standing or has been defined as a personal and substantial interest in the case such that the party has sustained or will sustain direct injury as a result of the governmental act that is being challenged. The gist of the question of standing is whether a party alleges such personal stake in the outcome of the controversy as to assure that concrete adverseness which sharpens the presentation of issues upon which the court depends for illumination of difficult constitutional questions.

Intervenor Soriano, in praying for the dismissal of the petitions, contends that petitioners do not have standing since only the Chief Justice has sustained and will sustain direct personal injury. *Amicus curiae* former Justice Minister and Solicitor General Estelito Mendoza similarly contends.

Upon the other hand, the Solicitor General asserts that petitioners have standing since this Court had, in the past, accorded standing to taxpayers, voters, concerned citizens, legislators in cases involving paramount public interest and transcendental importance, and that procedural matters are subordinate to the need to determine whether or not the other branches of the government have kept themselves within the limits of the Constitution and the laws and that they have not abused the discretion given to them. *Amicus curiae* Dean Raul Pangalangan of the U.P. College of Law is of the same opinion, citing transcendental importance and the well-entrenched rule exception that, when the real party in interest is unable to vindicate his rights by seeking the same remedies, as in the case of the Chief Justice who, for ethical reasons, cannot himself invoke the jurisdiction of this Court, the courts will grant petitioners standing.

There is, however, a difference between the rule on real-party-in-interest and the rule on standing, for the former is a

concept of civil procedure while the latter has constitutional underpinnings. In view of the arguments set forth regarding standing, it behooves the Court to reiterate the ruling in *Kilosbayen, Inc. v. Morato* to clarify what is meant by *locus standi* and to distinguish it from real party-in-interest.

The difference between the rule on standing and real party in interest has been noted by authorities thus: "It is important to note . . . that standing because of its constitutional and public policy underpinnings, is very different from questions relating to whether a particular plaintiff is the real party in interest or has capacity to sue. Although all three requirements are directed towards ensuring that only certain parties can maintain an action, standing restrictions require a partial consideration of the merits, as well as broader policy concerns relating to the proper role of the judiciary in certain areas."

Standing is a special concern in constitutional law because in some cases suits are brought not by parties who have been personally injured by the operation of a law or by official action taken, but by concerned citizens, taxpayers or voters who actually sue in the public interest. Hence the question in standing is whether such parties have "alleged such a personal stake in the outcome of the controversy as to assure that concrete adverseness which sharpens the presentation of issues upon which the court so largely depends for illumination of difficult constitutional questions."

x x x

On the other hand, the question as to "real party in interest" is whether he is "the party who would be benefited or injured by the judgment, or the party entitled to the avails of the suit."

While rights personal to the Chief Justice may have been injured by the alleged unconstitutional acts of the House of Representatives, none of the petitioners before us asserts a violation of the personal rights of the Chief Justice. On the contrary, they invariably invoke the vindication of their own rights — as taxpayers; members of Congress; citizens, individually or in a class suit; and members of the bar and of the legal profession — which were supposedly violated by the alleged unconstitutional acts of the House of Representatives.

In a long line of cases, however, concerned citizens, taxpayers and legislators when specific requirements have been met have been given standing by this Court.

When suing as a citizen, the interest of the petitioner assailing the constitutionality of a statute must be direct and personal. He must be able to show, not only that the law or any government act is invalid, but also that he sustained or is in imminent danger of sustaining some direct injury as a result of its enforcement, and not merely that he suffers thereby in some indefinite way. It must appear that the person complaining has been or is about to be denied some right or privilege to which he is lawfully entitled or that he is about to be subjected to some burdens or penalties by reason of the statute or act complained of. In fine, when the proceeding involves the assertion of a public right, the mere fact that he is a citizen satisfies the requirement of personal interest.

In the case of a taxpayer, he is allowed to sue where there is a claim that public funds are illegally disbursed, or that public money is being deflected to any improper purpose, or that there is a wastage of public funds through the enforcement of an invalid or unconstitutional law. Before he can invoke the power of judicial review, however, he must specifically prove that he has sufficient interest in preventing the illegal expenditure of money raised by taxation and that he would sustain a direct injury as a result of the enforcement of the questioned statute or contract. It is not sufficient that he has merely a general interest common to all members of the public.

At all events, courts are vested with discretion as to whether or not a taxpayer's suit should be entertained. This Court opts to grant standing to most of the petitioners, given their allegation that any impending transmittal to the Senate of the Articles of Impeachment and the ensuing trial of the Chief Justice will necessarily involve the expenditure of public funds.

As for a legislator, he is allowed to sue to question the validity of any official action which he claims infringes his prerogatives as a legislator. Indeed, a member of the House of Representatives has standing to maintain inviolate the prerogatives, powers and privileges vested by the Constitution in his office.

While an association has legal personality to represent its members, especially when it is composed of substantial taxpayers and the outcome will affect their vital interests, the mere invocation by the *Integrated Bar of the Philippines* or any member of the legal profession of the duty to preserve the rule of law and nothing more, although undoubtedly true, does not suffice to clothe it with standing. Its interest is too general. It is shared by other groups and the whole citizenry. However, a reading of the petitions shows that it has advanced constitutional issues which deserve the attention of this Court in view of their seriousness, novelty and weight as precedents. It, therefore, behooves this Court to relax the rules on standing and to resolve the issues presented by it.

In the same vein, when dealing with class suits filed in behalf of all citizens, persons intervening must be sufficiently numerous to fully protect the interests of all concerned to enable the court to deal properly with all interests involved in the suit, for a judgment in a class suit, whether favorable or unfavorable to the class, is, under the *res judicata* principle, binding on all members of the class whether or not they were before the court. Where it clearly appears that not all interests can be sufficiently represented as shown by the divergent issues raised in the numerous petitions before this Court, G.R. No. 160365 as a class suit ought to fail. Since petitioners additionally allege standing as citizens and taxpayers, however, their petition will stand.

The *Philippine Bar Association*, in G.R. No. 160403, invokes the sole ground of transcendental importance, while Atty. Dioscoro U. Vallejos, in G.R. No. 160397, is mum on his standing.

There being no doctrinal definition of transcendental importance, the following instructive determinants formulated by former Supreme Court Justice Florentino P. Feliciano are instructive: (1) the character of the funds or other assets involved in the case; (2) the presence of a clear case of disregard of a constitutional or statutory prohibition by the public respondent agency or instrumentality of the government; and (3) the lack of any other party with a more direct and specific interest in raising the questions being raised. Applying these determinants, this Court is satisfied that the issues raised herein are indeed of transcendental importance.

In not a few cases, this Court has in fact adopted a liberal attitude on the *locus standi* of a petitioner where the petitioner is able to craft an issue of transcendental significance to the people, as when the issues raised are of paramount importance to the public. Such liberality does not, however, mean that the requirement that a party should have an interest in the matter is totally eliminated. A party must, at the very least, still plead the existence of such interest, it not being one of which courts can take judicial notice. In petitioner Vallejos' case, he failed to allege any interest in the case. He does not thus have standing.

With respect to the motions for intervention, Rule 19, Section 2 of the Rules of Court requires an intervenor to possess a legal interest in the matter in litigation, or in the success of either of the parties, or an interest against both, or is so situated as to be adversely affected by a distribution or other disposition of property in the custody of the court or of an officer thereof. While intervention is not a matter of right, it may be permitted by the courts when the applicant shows facts which satisfy the requirements of the law authorizing intervention.

In *Intervenor Attorneys Romulo Macalintal and Pete Quirino Quadra's* case, they seek to join petitioners Candelaria, *et al.* in G.R. No. 160262. Since, save for one additional issue, they raise the same issues and the same standing, and no objection on the part of petitioners Candelaria, *et al.*, has been interposed, this Court as earlier stated, granted the Motion for Leave of Court to Intervene and Petition-in-Intervention.

Nagmamalasakit na mga Mananangol ng mga Manggagawang Pilipino, Inc., et al., sought to join petitioner Francisco in G.R. No. 160261. Invoking their right as citizens to intervene, alleging that "they will suffer if this insidious scheme of the minority members of the House of Representatives is successful," this Court found the requisites for intervention had been complied with.

Alleging that the issues raised in the petitions in G.R. Nos. 160261, 160262, 160263, 160277, 160292, 160295, and 160310 were of transcendental importance, World War II Veterans Legionnaires of the Philippines, Inc. filed a "Petition-in-Intervention with Leave to Intervene" to raise the additional issue of whether or not the second impeachment complaint

against the Chief Justice is valid and based on any of the grounds prescribed by the Constitution.

Finding that *Nagmamalasakit na mga Mananangol ng mga Manggagawang Pilipino, Inc., et al.*, and *World War II Veterans Legionnaires of the Philippines, Inc.* possess a legal interest in the matter in litigation the respective motions to intervene were hereby granted.

Senator Aquilino Pimentel, on the other hand, sought to intervene for the limited purpose of making of record and arguing a point of view that differs with Senate President Dilon's. He alleges that submitting to this Court's jurisdiction as the Senate President does will undermine the independence of the Senate which will sit as an impeachment court once the Articles of Impeachment are transmitted to it from the House of Representatives. Clearly, Senator Pimentel possesses a legal interest in the matter in litigation, he being a member of Congress against which the herein petitions are directed. For this reason, and to fully ventilate all substantial issues relating to the matter at hand, his Motion to Intervene was granted and he was, as earlier stated, allowed to argue.

Lastly, as to Jaime N. Soriano's motion to intervene, the same must be denied for, while he asserts an interest as a taxpayer, he failed to meet the standing requirement for bringing taxpayer's suits as set forth in *Dumlao v. Comelec*, to wit:

x x x While, concededly, the elections to be held involve the expenditure of public moneys, nowhere in their Petition do said petitioners allege that their tax money is "being extracted and spent in violation of specific constitutional protection against abuses of legislative power," or that there is a misapplication of such funds by respondent COMELEC, or that public money is being deflected to any improper purpose. Neither do petitioners seek to restrain respondent from wasting public funds through the enforcement of an invalid or unconstitutional law.

In praying for the dismissal of the petitions, Soriano failed even to allege that the act of petitioners will result in illegal disbursement of public funds or in public money being deflected to any improper purpose. Additionally, his mere interest as a member of the Bar does not suffice to clothe him with standing.

Ripeness and Prematurity

In *Tan v. Macapagal*, this Court, through Chief Justice Fernando, held that for a case to be considered ripe for adjudication, "it is a prerequisite that something had by then been accomplished or performed by either branch before a court may come into the picture." Only then may the courts pass on the validity of what was done, if and when the latter is challenged in an appropriate legal proceeding.

The instant petitions raise in the main the issue of the validity of the filing of the second impeachment complaint against the Chief Justice in accordance with the House Impeachment Rules adopted by the 12th Congress, the constitutionality of which is questioned. The questioned acts having been carried out, i.e., the second impeachment complaint had been filed with the House of Representatives and the 2001 Rules have already been already promulgated and enforced, the prerequisite that the alleged unconstitutional act should be accomplished and performed before suit, as *Tan v. Macapagal* holds, has been complied with.

Related to the issue of ripeness is the question of whether the instant petitions are premature. *Amicus curiae* former Senate President Jovito R. Salonga opines that there may be no urgent need for this Court to render a decision at this time, it being the final arbiter on questions of constitutionality anyway. He thus recommends that all remedies in the House and Senate should first be exhausted.

Taking a similar stand is Dean Raul Pangalangan of the U.P. College of Law who suggests to this Court to take judicial notice of on-going attempts to encourage signatories to the second impeachment complaint to withdraw their signatures and opines that the House Impeachment Rules provide for an opportunity for members to raise constitutional questions themselves when the Articles of Impeachment are presented on a motion to transmit to the same to the Senate. The dean maintains that even assuming that the Articles are transmitted to the Senate, the Chief Justice can raise the issue of their constitutional infirmity by way of a motion to dismiss.

The dean's position does not persuade. First, the withdrawal by the Representatives of their signatures would not, by itself, cure the House Impeachment Rules of their consti-

tutional infirmity. Neither would such a withdrawal, by itself, obliterate the questioned second impeachment complaint since it would only place it under the ambit of Sections 3(2) and (3) of Article XI of the Constitution and, therefore, petitioners would continue to suffer their injuries.

Second and most importantly, the futility of seeking remedies from either or both Houses of Congress before coming to this Court is shown by the fact that, as previously discussed, neither the House of Representatives nor the Senate is clothed with the power to rule with definitiveness on the issue of constitutionality; whether concerning impeachment proceedings or otherwise, as said power is exclusively vested in the judiciary by the earlier quoted Section I, Article VIII of the Constitution. Remedy cannot be sought from a body which is bereft of power to grant it.

Justiciability

In the leading case of *Tanada v. Cuenco*, Chief Justice Roberto Concepcion defined the term "political question," viz:

[T]he term "political question" connotes, in legal parlance, what it means in ordinary parlance, namely, a question of policy. In other words, in the language of *Corpus Juris Secundum*, it refers to "those questions which, under the Constitution, are to be decided by the people in their sovereign capacity, or in regard to which full discretionary authority has been delegated to the Legislature or executive branch of the Government." It is concerned with issues dependent upon the wisdom, not legality, of a particular measure.

Prior to the 1973 Constitution, without consistency and seemingly without any rhyme or reason, this Court vacillated on its stance of taking cognizance of cases which involved political questions. In some cases, this Court hid behind the cover of the political question doctrine and refused to exercise its power of judicial review. In other cases, however, despite the seeming political nature of the therein issues involved, this Court assumed jurisdiction whenever it found constitutionally imposed limits on powers or functions conferred upon political bodies. Even in the landmark 1988 case of *Javellana v.*

Executive Secretary which raised the issue of whether the 1973 Constitution was ratified, hence, in force, this Court shunted the political question doctrine and took cognizance thereof. Ratification by the people of a Constitution is a political question, it being a question decided by the people in their sovereign capacity.

The frequency with which this Court invoked the political question doctrine to refuse to take jurisdiction over certain cases during the Marcos regime motivated Chief Justice Concepcion, when he became a Constitutional Commissioner, to clarify this Court's power of judicial review and its application on issues involving political questions, viz:

x x x

From the foregoing record of the proceedings of the 1986 Constitutional Commission, it is clear that judicial power is not only a power; it is also a duty, a duty which cannot be abdicated by the mere specter of this creature called the political question doctrine. Chief Justice Concepcion hastened to clarify, however, that Section 1, Article VIII was not intended to do away with "truly political questions." From this clarification it is gathered that there are two species of political questions: (1) "truly political questions" and (2) those which "are not truly political questions."

Truly political questions are thus beyond judicial review, the reason for respect of the doctrine of separation of powers to be maintained. On the other hand, by virtue of Section 1, Article VIII of the Constitution, courts can review questions which are not truly political in nature.

As pointed out by *amicus curiae* former dean Pacifico Agabin of the UP College of Law, this Court has in fact in a number of cases taken jurisdiction over questions which are not truly political following the effectivity of the present Constitution.

In *Marcos v. Manglapus*, this Court, speaking through Madame Justice Irene Cortes, held:

The present Constitution limits resort to the political question doctrine and broadens the scope of judicial inquiry

into areas which the Court, under previous constitutions, would have normally left to the political departments to decide. x x x In *Bengson v. Senate Blue Ribbon Committee*, through Justice Teodoro Padilla, this Court declared:

The "allocation of constitutional boundaries" is a task that this Court must perform under the Constitution. Moreover, as held in a recent case, "(t)he political question doctrine neither interposes an obstacle to judicial determination of the rival claims. The jurisdiction to delimit constitutional boundaries has been given to this Court. It cannot abdicate that obligation mandated by the 1987 Constitution, although said provision by no means does away with the applicability of the principle in appropriate cases."

And in *Daza v. Singson*, speaking through Justice Isagani Cruz, this Court ruled:

In the case now before us, the jurisdictional objection becomes even less tenable and decisive. The reason is that, even if we were to assume that the issue presented before us was political in nature, we would still not be precluded from resolving it under the expanded jurisdiction conferred upon us that now covers, in proper cases, even the political question.

Section 1, Article VIII, of the Court does not define what are justiciable political questions and non-justiciable political questions, however. Identification of these two species of political questions may be problematic. There has been no clear standard. The American case of *Baker v. Carr* attempts to provide some:

x x x Prominent on the surface of any case held to involve a political question is found a textually demonstrable constitutional commitment of the issue to a coordinate political department; or a lack of judicially discoverable and manageable standards for resolving it; or the impossibility of deciding without an initial policy determination of a kind clearly for non-judicial discretion; or the impossibility of a court's undertaking independent resolution without expressing lack of the respect due coordinate branches of government; or an unusual need for questioning adherence to a political decision already made; or the potentiality of embarrassment from multifarious pronouncements by various departments on one question.

Of these standards, the more reliable have been the first three: (1) a textually demonstrable constitutional commitment of the issue to a coordinate political department; (2) the lack of judicially discoverable and manageable standards for resolving it; and (3) the impossibility of deciding without an initial policy determination of a kind clearly for non-judicial discretion. These standards are not separate and distinct concepts but are interrelated to each in that the presence of one strengthens the conclusion that the others are also present.

The problem in applying the foregoing standards is that the American concept of judicial review is radically different from our current concept, for Section 1, Article VIII of the Constitution provides our courts with far less discretion in determining whether they should pass upon a constitutional issue.

In our jurisdiction, the determination of a truly political question from a non-justiciable political question lies in the answer to the question of whether there are constitutionally imposed limits on powers or functions conferred upon political bodies. If there are, then our courts are duty-bound to examine whether the branch or instrumentality of the government properly acted within such limits. This Court shall thus now apply this standard to the present controversy.

x x x

Lis Mota

It is a well-settled maxim of adjudication that an issue assailing the constitutionality of a governmental act should be avoided whenever possible. Thus, in the case of *Sotto v. Commission on Elections*, this Court held:

x x x It is a well-established rule that a court should not pass upon a constitutional question and decide a law to be unconstitutional or invalid, unless such question is raised by the parties and that when it is raised, if the record also presents some other ground upon which the court may rest its judgment, that course will be adopted and the constitutional question will be left for consideration until a case arises in which a decision upon such question will be unavoidable.

The same principle was applied in *Luz Farms v. Secretary of Agrarian Reform*, where this Court invalidated Sections 13 and 32 of Republic Act No. 6657 for being confiscatory and violative of due process, to wit:

It has been established that this Court will assume jurisdiction over a constitutional question only if it is shown that the essential requisites of a judicial inquiry into such a question are first satisfied. Thus, there must be an actual case or controversy involving a conflict of legal rights susceptible of judicial determination, the constitutional question must have been opportunely raised by the proper party, and the resolution of the question is unavoidably necessary to the decision of the case itself.

Succinctly put, courts will not touch the issue of constitutionality unless it is truly unavoidable and is the very *lis mota* or crux of the controversy."

1.37. Test of constitutionality.

The test of constitutionality of a statute is what the Constitution provides in relation to what can or may be done under the statute, and not by what it has been done under it.¹⁸³ A statute may be declared unconstitutional because it is not within the legislative power to enact; or it creates or establishes methods or forms that infringe constitutional principles; or its purpose or effect violates the Constitution or its basic principles.¹⁸⁴ The court may strike down a law as unconstitutional when it allows something to be done which the fundamental law condemns or prohibits¹⁸⁵ or when it attempts to validate a course of conduct the effect of which the Constitution specifically forbids. The court may not declare a law unconstitutional on grounds other than constitutional.¹⁸⁶

A statute may also be declared unconstitutional because it is vague. A statute is vague when it lacks comprehensible standards that men of common intelligence must necessarily guess at its meaning and differ in its application. In such instance, the statute is repugnant to the Constitution in two respects: it violates due process

¹⁸³Walter Olesen & Co., Inc. v. Aldanese, 43 Phil. 250 (1922).

¹⁸⁴*In re Cumanan*, 94 Phil. 534 (1954).

¹⁸⁵*Morfe v. Mutuc*, G.R. No. 20387, January 31, 1968, 22 SCRA 424 (1968).

¹⁸⁶*De los Santos v. Mallare*, 87 Phil. 289 (1950).

for failure to accord the people fair notice of what conduct to avoid; and it leaves law enforcers unbridled discretion in carrying out its provisions and becomes an arbitrary flexing of the government muscle.¹⁸⁷

The change of circumstances or conditions may affect the validity of some statutes, specially those so-called emergency laws designed specifically to meet certain contingencies. They are deemed constitutional at the time of their enactment as a valid exercise of police power. When the court declares a statute of such type unconstitutional because the emergency has passed or there have been changes in circumstances and conditions, it does so, not because it does not violate the Constitution but because the change in circumstances and conditions makes the continued enforcement of the statute violative of the Constitution or its basic principles.¹⁸⁸

With respect to ordinances, the tests of validity are: (1) It must not contravene the Constitution or any statute; (2) It must not be unfair or oppressive; (3) It must not be partial or discriminatory; (4) It must not prohibit but may regulate trade; (5) It must be general and consistent with public policy; and (6) It must not be unreasonable.¹⁸⁹

1.38. Effects of unconstitutionality.

The general rule is that an unconstitutional act is not a law; it confers no rights; it imposes no duties; it affords no protection; it creates no office; it is, in legal contemplation, inoperative as though it had never been passed.¹⁹⁰ However, such broad statements as to the effects of unconstitutionality of a statute must not be taken without qualifications. For as the court in a case explained: "The actual existence of a statute, prior to such a determination, is an operative fact and may have consequences which cannot justly be ignored. The past cannot always be erased by a new judicial declaration. The effect of the subsequent ruling as to invalidity may have to be considered in various aspects — with respect to particular

relations, individual and corporate, and particular conduct, private and official. Questions of rights claimed to have become vested, of status, or prior determination deemed to have finality and acted upon accordingly, of public policy in the light of the nature of the statute and its previous application, demand examination."¹⁹¹

Prior to the declaration of nullity, the challenged statute must have been in force and had to be complied with, until the court in an appropriate case declares its invalidity. Parties may have acted under it and may have changed their positions. Regard should be had to what has been done while the statute was in operation and presumed to be valid. Hence, its operative fact before a declaration of nullity must be recognized.¹⁹² "Since under our Constitution, judicial review exists precisely to test the validity of executive acts in an appropriate legal proceedings, there is always the possibility of their being declared inoperative and void. Realism compels the acceptance of the thought that there could be a time-lag between the initiation of such presidential or congressional exercise of power and the final declaration of nullity. In the meanwhile, it may be productive of confusion, perhaps at times even of chaos, if parties affected were left free to disobey it in the meanwhile. Since, however, the orderly processes of government, not to mention common sense, require that the presumption of validity be accorded an act of Congress or an order of the President, it would be less than fair, and it may be productive of injustice, if no notice of its existence as a fact be paid to it."¹⁹³

The past cannot be erased by a new judicial declaration. The effect of the subsequent ruling as to invalidity may have to be considered in various aspects — with respect to particular conduct, private and official. Questions of rights claimed to have become vested, of status, of prior determinations deemed to have finality and acted upon accordingly, of public policy in the light of the nature both of the statute and of its previous applications, demand

¹⁹¹Chicot County Drainage District v. Baxter State Bank, 308 US 371, 374 (1940), quoted in Municipality of Malabang v. Benito, G.R. No. 281133, March 28, 1969, 27 SCRA 638.

¹⁹²De Aghayani v. Phil. National Bank, G.R. No. 23127, April 29, 1971, 38 SCRA 429.

¹⁹³Justice Fernando concurring, Municipality of Malabang v. Benito, G.R. No. 28113, March 28, 1969, 27 SCRA 645 (1969); Republic v. Court of Appeals, 46 SCAD 28, 227 SCRA 509 (1993); Peralta v. Civil Service Commission, 212 SCRA 425 (1992).

¹⁸⁷Estrada v. Sandiganbayan, G.R. No. 148560, November 19, 2001.

¹⁸⁸Ruth v. Esteban, 93 Phil. 68 (1953); Dinglasan v. Aranea, 84 Phil. 368

(1949).

¹⁸⁹Magtajas v. Pryce Properties Corp., Inc., 53 SCAD 367, 234 SCRA 255 (1994).

¹⁹⁰Manila Motor Co., Inc. v. Flores, 99 Phil. 738 (1956).

examination. These questions are among the most difficult of those which have engaged the attention of courts.¹⁹⁴

The rule on the effects of unconstitutionality of a law has been restated as follows:

"There are two views on the effects of a declaration of the unconstitutionality of a statute.

The first is the orthodox view. Under this rule, as announced in *Norton v. Shelby*, an unconstitutional act is not a law; it confers no right; it imposes no duties; it affords no protection; it creates no office; it is, in legal contemplation, inoperative, as if it had not been passed. It is therefore stricken from the statute books and considered never to have existed at all. Not only the parties but all persons are bound by the declaration of unconstitutionality, which means that no one may therefore invoke it nor may the courts be permitted to apply it in subsequent cases. It is, in other words, a total nullity.

The second or modern view is less stringent. Under this view, the court in passing upon the question of constitutionality does not annul or repeal the statute if it finds it in conflict with the Constitution. It simply refuses to recognize it and determines the rights of the parties just as if such statute had no existence. The court may give its reasons for ignoring or disregarding the law, but the decision affects the parties only and there is no judgment against the statute. The opinion or reasons of the court may operate as a precedent for the determination of other similar cases, but it does not strike the statute from the statute books; it does not repeal, supersede, revoke, or annul the statute. The parties to the suit are concluded by the judgment, but no one else is bound.

The orthodox view is expressed in Article 7 of the Civil Code, providing that 'when the courts declare a law to be inconsistent with the Constitution, the former shall be void and the latter shall govern. x x x.'

The strict view considers a legislative enactment which is declared unconstitutional as being, for all legal intents and

purposes, a total nullity, and it is deemed as if it had never existed. Here, of course, we refer to the law itself being per se repugnant to the Constitution. It is not always the case, however, that a law is constitutionally faulty *per se*. Thus, it may well be valid in its general import but invalid in its application to certain factual situations. To exemplify, an otherwise valid law may be held unconstitutional only insofar as it is allowed to operate retrospectively such as, in pertinent cases, when it vitiates contractually vested rights. To that extent, its retroactive application may be so declared invalid as impairing the obligations of contracts.

A judicial declaration of invalidity, it is also true, may not necessarily obliterate all the effects and consequences of a void act occurring prior to such declaration. Thus, in our decisions on the moratorium laws, we have been constrained to recognize the interim effects of said laws prior to their declaration of unconstitutionality, but there we have likewise been unable to simply ignore strong considerations of equity and fair play. So also, even as a practical matter, a situation that may apply be described as *fait accompli* may no longer be open for further inquiry, let alone to be unsettled by a subsequent declaration of nullity of a governing statute.¹⁹⁵

Thus, the election of persons to a board of directors held pursuant to a law before the law is declared unconstitutional is presumed valid until its declaration of nullity.¹⁹⁶

1.39. Invalidity due to change of conditions.

The general rule as to the effects of unconstitutionality of a statute¹⁹⁷ is not applicable to a statute that is declared invalid because of the change of circumstances affecting its validity. The reason is obvious. A statute of this type belongs to the class of emergency laws. It is deemed valid at the time of its enactment as an exercise of police power. It becomes invalid only because the change of conditions makes its continued operation violative of the Constitution, and accordingly, the declaration of its nullity should affect only the

¹⁹⁴Republic v. Court of Appeals, 46 SCAD 28, 227 SCRA 509, pp. 511-513 (1993), citing Isagani A. Cruz, *Constitutional Law*, 1991, 32-33.

¹⁹⁵Barrameda v. Atienza, G.R. No. 129175, November 19, 2001.

¹⁹⁷See Sec. 1.39, *supra*.

¹⁹⁴Co v. Court of Appeals, 45 SCAD 538, 227 SCRA 444 (1993).

parties involved in the case and its effects applied prospectively. Thus, in *Rutter v. Esteban*,¹⁹⁸ the Court declared the moratorium law suspending the period of prescription of actions unconstitutional on May 18, 1953 because of the change in conditions. Before such date of declaration of nullity, it has been held that the moratorium law was in full force and suspended the period of prescription of actions.¹⁹⁹

1.40. Partial invalidity.

The general rule is that where part of a statute is void as repugnant to the Constitution, while another part is valid, the valid portion, if separable from the invalid, may stand and be enforced.²⁰⁰ The presence of a separability clause in a statute creates the presumption that the legislature intended separability, rather than complete nullity, of the statute.²⁰¹ To justify this result, the valid portion must be so far independent of the invalid portion that it is fair to presume that the legislature would have enacted it by itself if it had supposed that it could not constitutionally enact the other. Enough must remain to make a complete, intelligible, and valid statute, which carries out the legislative intent. The void provisions must be eliminated without causing results affecting the main purpose of the act in a manner contrary to the intention of the legislature. The language used in the invalid part of a statute can have no legal effect or efficacy for any purpose whatsoever, and what remains must express the legislative will independently of the void part, since the court has no power to legislate.²⁰²

The exception to the general rule is that when the parts of a statute are so mutually dependent and connected, as conditions, considerations, inducements, or compensations for each other, as to

¹⁹⁸93 Phil. 68 (1953).

¹⁹⁹*Republic v. Herida*, G.R. No. 34486, December 27, 1992, 119 SCRA 411; *Manila Motor Co., Inc. v. Flores*, 99 Phil. 739 (1956); *Araneta v. Hill*, 93 Phil. 1002 (1953); *Montilla v. Pacific Commercial Co.*, 95 Phil. 133 (1955).

²⁰⁰*Barrameda v. Moir*, 25 Phil. 44 (1913); *Government v. Springer*, 50 Phil. 259 (1927); *Lindasan v. Commission on Elections*, G.R. No. 28089, October 25, 1967, 21 SCRA 496; *Dumlao v. Commission on Elections*, G.R. No. 52243, January 22, 1980, 95 SCRA 392.

²⁰¹*Williams v. Standard Oil Co.*, 278 US 235, 73 L. ed. 287 (1929).

²⁰²*Barrameda v. Moir*, 25 Phil. 44 (1913); *U.S. v. Rodriguez*, 38 Phil. 759 (1918); *Government v. Springer*, 50 Phil. 259 (1927).

warrant a belief that the legislature intended them as a whole, the nullity of one part will vitiate the rest. In making the parts of the statute dependent, conditional, or connected with one another, the legislature intended the statute to be carried out as a whole and would not have enacted it if one part is void, in which case if some parts are unconstitutional, all the other provisions thus dependent, conditional, or connected must fall with them.²⁰³

*Tatad v. Secretary of the Department of Energy*²⁰⁴ illustrates the exception to the general rule on the effects of partial invalidity. In this case, the Court declared three (3) provisions of Republic Act No. 8180, otherwise known as "An Act Deregulating the Downstream Oil Industry and For Other Purposes," as unconstitutional. One of the issues raised is whether the nullity of the three provisions affected the whole R.A. No. 8180, as to render said law unconstitutional. On this point, the majority of the Court ruled that the nullity of the provisions infected the whole law, its separability clause notwithstanding, thus:

"We come to the final point. We now resolve the total effect of the untimely deregulation, the imposition of 4% tariff differential on imported crude oil and refined petroleum products, the requirement of inventory and the prohibition on predator pricing on the unconstitutionality of R.A. No. 8180. The question is whether these offending provisions can be individually struck down without invalidating the entire R.A. No. 8180. The ruling case law is well stated by author Agpalo, *viz*:

x x x

"The general rule is that where part of a statute is void as repugnant to the Constitution, while another part is valid, the valid portion, if separable from the invalid, may stand and be enforced. The presence of a separability clause in a statute creates the presumption that the legislature intended separability, rather than complete nullity of the statute. To justify this result, the valid portion must be so far independent of the invalid portion that it

²⁰³*Lindasan v. Commission on Elections*, G.R. No. 28089, October 25, 1967, 21 SCRA 496.

²⁰⁴88 SCAD 679, 281 SCRA 330 (1997).

is fair to presume that the legislature could have enacted it by itself if it had supposed that it could not constitutionally enact the other. Enough must remain to make a complete, intelligible and valid statute, which carries out the legislative intent. x x x"

"The exception to the general rule is that when the parts of a statute are so mutually dependent and connected, as conditions, considerations, inducements, or compensations for each other, as to warrant a belief that the legislature intended them as a whole, the nullity of one part will vitiate the rest. In making the parts of the statute dependent, conditional, or connected with one another, the legislature intended the statute to be carried out as a whole and would not have enacted it if one part is void, in which case if some parts are unconstitutional, all the other provisions thus dependent, conditional, or connected must fall with them."

"R.A. No. 8180 contains a separability clause. Section 23 provides that 'if for any reason, any section or provision of this Act is declared unconstitutional or invalid, such parts not affected thereby shall remain in full force and effect.' This separability clause notwithstanding, we hold that the offending provisions of R.A. No. 8180 so infirm its essence that the entire law has to be struck down. The provisions on tariff differential, inventory and predatory pricing are among the principal props of R.A. No. 8180. Congress could not have regulated the downstream oil industry without these provisions. Unfortunately, contrary to their intent, these provisions on tariff differential, inventory and predatory pricing inhibit fair competition, encourage monopolistic power and interfere with the free interaction of market forces. R.A. No. 8180 needs provisions to vouchsafe free and fair competition. The need for these vouchsafing provisions cannot be overstated. Before deregulation, PETRON, SHELL and CALTEX had no real competitors but did not have a free run of the market because government controls both the pricing and non-pricing aspects of the oil industry. After deregulation, PETRON, SHELL and CALTEX remain unthreatened by real competition yet are no longer subject to control by government with respect to their pricing and

non-pricing decisions. The aftermath of R.A. No. 8180 is a deregulated market where competition can be corrupted and where market forces can be manipulated by oligopolies.²⁰⁶

The Court again applied the exception to the rule on the effect of partial invalidity in *Antonio v. COMELEC*.²⁰⁶ Section 9 of R.A. No. 6679, which provides in part that "The decision of the municipal or metropolitan trial court (in contests relating to the election of a *barangay* official) may be appealed within ten (10) days from receipt of a copy thereof by the aggrieved party to the regional trial court x x x." In *Flores v. COMELEC*,²⁰⁷ the Supreme Court declared said provision unconstitutional, as violative of the Constitution requiring that the Commission on Elections shall have appellate jurisdiction over all contests involving elective *barangay* officials. The issue raised in *Antonio v. COMELEC* is whether the period of appeal is still ten (10) days and not five (5) days as provided for in Sec. 22 of R.A. No. 7166 to the effect that decisions of Regional Trial Court may be appealed to the Commission on Elections within five (5) days from receipt of the questioned decision. The petitioner in *Antonio v. COMELEC* claimed that since the Court declared Sec. 9 of R.A. No. 6679 unconstitutional only "insofar as it provides that *barangay* election contests decided by the municipal or metropolitan trial court shall be appealable to the regional trial court," then the provision on the 10-day period to appeal is not affected by the declaration of unconstitutionality. The Court ruled, applying the exception to the rule on the effect of partial invalidity of a statute, that the invalidity also vitiated the provision on the 10-day period to appeal because Section 9 does not remain complete in itself, without the invalid portion; that what was declared unconstitutional was the whole appeal itself and not just the portion providing appeal to the Regional Trial Court; and that there would be no logic in ruling that a longer period to appeal to the COMELEC should apply to election contests for *barangay* officials.

²⁰⁶*Ibid.*, pp. 361-362.

²⁰⁶112 SCAD 821, 315 SCRA 62 (1999), citing Ruben E. Agpallo, *Statutory Construction*, 1990 ed., pp. 27-28.

²⁰⁷184 SCRA 486 (1990).

In *Lopez v. CA*, G.R. No. 144573 [September 24, 2002], the Court held:

While it is true that in *Fabian v. Desierto*, the Court declared unconstitutional Section 27 of Republic Act No. 6770, and all other provisions of law implementing the same, the declaration should be interpreted to mean that the said provisions are void only insofar as they provide that administrative appeals from the Office of the Ombudsman shall be taken to the Supreme Court. Under the 1997 Rules of Civil Procedure, the proper forum for administrative appeals from the Office of the Ombudsman is the Court of Appeals. The provisions of Section 27 of Republic Act No. 6770 and the Rules of Procedure of the Office of the Ombudsman with respect to the finality and execution of decisions are not affected by the ruling in *Fabian v. Desierto*, and therefore still stand. It is a fundamental principle in statutory construction that a statute may be constitutional in one part and unconstitutional in another and that if the invalid part is severable from the rest, the portion which is constitutional may stand while that which is unconstitutional is stricken out and rejected. Whenever a statute contains unobjectionable provisions separable from those found to be unconstitutional, it is the duty of the court to so declare and to maintain the act insofar as it is valid. The separability clause found in Section 40 of Republic Act No. 6770 creates the presumption that the legislature intended separability, rather than complete nullity of the statute.

F. EFFECT AND OPERATION

1.41. When laws take effect.

Article 2 of the Civil Code provides that "[l]aws shall take effect after fifteen days following the completion of their publication in the Official Gazette, unless it is otherwise provided x x x." Section 18, Chapter 5, Book 1 of the 1987 Administrative Code provides that "laws shall take effect after fifteen (15) days following the completion of their publication in the Official Gazette or in a newspaper of general circulation, unless it is otherwise provided."

In *Tañada v. Tuvera*,²⁰⁸ the Supreme Court held that all laws or statutes, including those of local application and private laws, shall be published as a condition for their effectivity. For a law which is made effective by the legislature upon its approval or on any other date without previous publication will violate the due process clause of the Constitution which requires its publication before it becomes binding. The general rule is that where the law is silent as to its effectivity or where it provides that it shall take effect immediately or upon its approval, such law shall take effect after fifteen (15) days from its publication in the Official Gazette or in a newspaper of general circulation. However, the legislature may, by law or by the particular statute itself, provide that it shall take effect on a particular date or after a certain period from its publication in the Official Gazette or in a newspaper of general circulation, in which case it shall take effect as thus specifically provided, which is what the phrase "unless it is otherwise provided" in Article 2 of the Civil Code or in Section 18, Chapter 5, Book 1 of the 1987 Administrative Code refers. The completion of publication, from which date the period of publication will be counted, refers to the date of release of the Official Gazette or newspaper for circulation and not to its date, unless the two dates coincide.²⁰⁹

The case of *Tañada v. Tuvera*, *supra*, abandoned the rulings in previous cases, in which it was held that laws take effect on the date therein specified, such as upon approval or immediately, without need of publication in the Official Gazette as a condition for their publication or is silent as to when it shall take effect that publication is required for its effectivity.²¹⁰ The ruling in the *Tañada v. Tuvera* case rests on the general principle that before the public is bound by the provisions of the law, they must be published and the people officially and especially informed thereof, which is a requirement of due process of law²¹¹ that cannot be dispensed with by the legislature.²¹²

²⁰⁸146 SCRA 446 (1986). See also *Umalil v. Estanislao*, 209 SCRA 450 (1992).

²⁰⁹*Lara v. Del Rosario*, 94 Phil. 778 (1954); *Raymundo v. Penas*, 96 Phil. 311 (1954).

²¹⁰*Camacho v. Court of Industrial Relations*, 80 Phil. 848 (1948); *Republic v. Encarnacion*, 87 Phil. 463 (1950); *Mejia v. Bolaliong*, 81 Phil. 486 (1948); *Police Commission v. Bello*, 37 SCRA 230 (1971).

²¹¹*People v. Que Po Lay*, 94 Phil. 640 (1954); *Lim Hao Tung v. Central Bank*, 104 Phil. 573 (1958); *Pesigan v. Angeles*, G.R. No. 64279, April 30, 1984.

²¹²*Tañada v. Tuvera*, 146 SCRA 446 (1986).

It has been held, however, in the subsequent case of *Phil. Veterans Bank Employees Union v. Vega*,²¹⁸ that the phrase "unless it is otherwise provided" provides an exception as to the date of effectivity of a statute, in that Congress may provide in the law that it shall take effect immediately upon its approval. This case appears to be in conflict with the *Tañada v. Tuvera* case, *supra*, in which it was held that publication is a "must" before a statute becomes effective even though it provides that it shall take effect upon its approval.

1.42. When Presidential issuances, rules and regulations take effect.

The President's ordinance power includes the authority to issue executive orders, administrative orders, proclamations, memorandum orders, memorandum circulars, and general or special orders.²¹⁴ The requirement of publication as a condition for the effectivity of statutes applies to Presidential issuances, which means that they should be published in the Official Gazette or in a newspaper of general circulation before they become effective, except those which are merely interpretative or internal in nature not concerning the public.²¹⁵

Generally, rules and regulations issued by administrative or executive officers are of two types, namely: those whose purpose is to enforce or implement existing law pursuant to a valid delegation or to fill in the details of a statute, and those which are merely interpretative in nature or merely internal in character not concerning the public. The first requires publication for its effectivity, while the second does not. Interpretative regulations and those internal in nature, that is, concerning the personnel of the administrative agency and not the public, need not be published. Neither is publication required of letters of instructions issued by administrative superiors concerning the rules or guidelines to be followed by their subordinates in the performance of their duties.²¹⁶

²¹⁴*Phil. Veterans Bank Employees Union v. Vega*, G.R. No. 105364, June 28, 2001.

²¹⁵Secs. 2, 3, 4, 5, 6 and 7, Chap. 2, Title I, Book III, 1987 Administrative Code.

²¹⁶*Tañada v. Tuvera*, *supra*.

Rules and regulations issued by administrative or executive officers to enforce or implement a law or to fill in the details of a statute, whether they are penal or non-penal, take effect after fifteen days following their publication in the Official Gazette or in a newspaper of general circulation, unless the statute which authorizes their issuance provides a different date of effectivity after such publication.²¹⁷ In addition, such rules and regulations must comply with the requirements of filing. The 1987 Administrative Code provides that "(1) Every agency shall file with the University of the Philippines Law Center three (3) certified copies of every rule adopted by it. Rules in force on the date of the effectivity of this Code which are not filed within three (3) months from that date shall not thereafter be the basis of any sanction against any party or persons."²¹⁸ The Code also provides that "In addition to other rule-making requirements provided by law not inconsistent with this Book, each rule shall become effective fifteen (15) days from the date of filing as above provided unless a different date is fixed by law, or specified in the rule in cases of imminent danger to public health, safety and welfare, the existence of which must be expressed in a statement accompanying the rule. The agency shall take appropriate measures to make emergency rules known to persons who may be affected by them."²¹⁹ The requirement of publication is designed to inform the people of the rules and regulations before they can be bound thereby,²²⁰ and the requirement of filing is intended to have a central office, namely, the U.P. Law Center, where interested persons can readily secure copies of such rules and regulations or check on their existence.

The publication and filing requirements are indispensable to the effectivity of rules and regulations. Both requirements must be complied with, except when the law authorizing the issuance of the rules and regulations dispenses with the filing requirement, in which case publication, which cannot be dispensed with without violating the due process clause, will be sufficient to make them effective.²²¹

²¹⁷Sec. 18, Chapter 5, Book I, 1987 Administrative Code; *People v. Que Po Lay*, 94 Phil. 640 (1954); *Pesigan v. Angeles*, G.R. No. 64279, April 30, 1984; Joint Ministry of Health-Ministry of Labor and Employment Accreditation Committee v. Court of Appeals, 196 SCRA 263 (1991).

²¹⁸Sec. 3, Chapter 2, Book VII, 1987 Administrative Code.

²¹⁹Sec. 4, *supra*.

²²⁰*People v. Que Po Lay*, *supra*; *Pesigan v. Angeles*, *supra*.

²²¹*Phil. International Trading Corp. v. Angeles*, 75 SCAD 464, 263 SCRA 421 (1996).

To illustrate the rule, DMB-COC No. 10 may be cited. This circular disallowed car plans, which were previously allowed for officials of Philippine Ports officials. The Court ruled that to be effective, this circular should first be published in the Official Gazette because the same was not just an interpretation or internal regulation, but one which deprived government officials of their allowances and additional compensation. Its subsequent publication did not cure the fatal defect of lack of publication, nor did it retroact to the time that the circular was first issued; it could not apply prospectively.²²²

1.43. When local ordinance takes effect.

(a) Unless otherwise stated in the ordinance or the resolution approving the local development plan and public investment program, the same shall take effect after ten (10) days from the date a copy thereof is posted in a bulletin board at the entrance of the provincial capitol or city, municipal, or *barangay* hall, as the case may be, and in at least two (2) other conspicuous places in the local government unit concerned.

(b) The secretary to the *sanggunian* concerned shall cause the posting of an ordinance or resolution in the bulletin board at the entrance of the provincial capitol and the city, municipal, or *barangay* hall in at least two (2) conspicuous places in the local government unit concerned not later than five (5) days after approval thereof.

The text of the ordinance or resolution shall be disseminated and posted in Filipino or English and in the language or dialect understood by the majority of the people in the local government unit concerned, and the secretary to the *sanggunian* shall record such fact in a book kept for the purpose, stating the dates of approval and posting.

(c) The gist of all ordinances with penal sanctions shall be published in a newspaper of general circulation within the province where the local legislative body concerned belongs. In the absence of any newspaper of general circulation within the province, posting of such ordinances shall be made in all municipalities and cities of the province where the *sanggunian* of origin is situated.

²²²Phil. Internal Trading Corp. v. COA, 108 SCAD 103, 309 SCRA 177 (1999).

(d) In the case of highly urbanized and independent component cities, the main features of the ordinance or resolution duly enacted or adopted shall, in addition to being posted, be published once in a local newspaper of general circulation within the city. *Provided*, That in the absence thereof, the ordinance or resolution shall be published in any newspaper of general circulation.²²³

A highly urbanized city is a city with a minimum population of two hundred thousand as certified by the National Census and Statistics Office and with the latest annual income of at least fifty million pesos based on the 1991 constant prices, as certified by the city treasurer.²²⁴

1.44. Statutes continue in force until repealed.

In terms of their duration and effect, statutes may be permanent and indefinite or temporary. Temporary statutes are those that, according to their provisions, are in force only for a limited period, and they terminate upon the expiration of the term therein stated or upon the occurrence of certain events. No repealing statute is necessary to bring a temporary law to an end.²²⁵

The vast majority of the statutes are permanent and indefinite. Unless a statute is by its provisions for a limited period only, it continues in force until changed or repealed by the legislature. It has been held that "law once established continues until changed by some competent legislative power. It is not changed by change of sovereignty," except that of a political nature. "There can be no break or interregnum in law. From the time law comes into existence with the first-felt corporateness of a primitive people it must last until the final disappearance of human society. Once created, it persists until a change takes place, and when changed, it continues in such changed condition until the next change, so forever. Conquest or colonization is impotent to bring law to an end; in spite of change of constitution, the law continues to be unchanged until the new sovereign by legislative act creates a change."²²⁶

²²³Sec. 59, Rep. Act No. 7160.

²²⁴Sec. 452, *Ibid*.

²²⁵See Sec. 1.03, *supra*.

²²⁶Co Kim Chan v. Valdez Tan Keh, 75 Phil. 113, 142-143 (1945).

1.45. Territorial and personal effect of statutes.

"Nothing is better settled than that the Philippines being independent and sovereign, its authority may be exercised over its entire dominion. There is no portion thereof that is beyond its power. Within its limits, its decrees are supreme, its commands paramount. Its laws govern therein and everyone to whom it applies must submit to its terms. That is the extent of its jurisdiction, both territorial and personal."²²⁷

1.46. Manner of computing time.

"When law speaks of years, months, days or nights, it shall be understood that years are of three hundred sixty-five days each; months, of thirty days; days, of twenty-four hours; and nights from sunset to sunrise." "If months are designated by their name, they shall be computed by the number of days which they respectively have." "In computing a period, the first day shall be excluded, and the last day included."²²⁸ Where the word "week" is used as a measure of time and without reference to the calendar, it means a period of seven consecutive days without regard to the day of the week from which it begins.²²⁹

The Civil Code adopts the 365-day year and the 30-day month, not the calendar year nor the solar or civil month. Hence, a year is to be considered to have 365 days even if that particular year is a leap year with an extra day in it.²³⁰ In computing years, the first year is reached after completing the first 365 days. After the first 365th day, the first day of the second 365-day cycle begins. On the 365th day of the second cycle, the person turns two years old. The cycle goes on and on in a lifetime. A person turns 21 years old on the 365th day of his 21st 365-day cycle. This means that on his 21st birthday, he has completed the entire span of 21 365-day cycles. After this birthday, the 365-day cycle for his 22nd year begins. The day after the 365th day is the first day of the next 365-day cycle and he turns 22 years old on the 365th day.²³¹

²²⁷Reagan v. Commissioner of Internal Revenue, G.R. No. 26379, December 27, 1969, 30 SCRA 968, 973; see also *People v. Gonzales*, G.R. No. 36409, October 26, 1973, 53 SCRA 476.

²²⁸Art. 13, Civil Code.

²²⁹PNB v. Court of Appeals, 41 SCAD 349, 222 SCRA 134 (1993).

²³⁰National Marketing Corp. v. Tescon, G.R. No. 29131, August 27, 1969, 29 SCRA 70.

²³¹Garcia v. Sales, Jr., 82 SCAD 188, 271 SCRA 767 (1997).

Where a statute requires the doing of an act within a specified number of days, such as ten days, from notice, it means ten calendar days and not ten working days.²³²

The exclude-the-first and include-the-last day rule governs the computation of a period. For instance, one year from October 4, 1946 is October 4, 1947.²³³ If by applying the rule that the first day shall be excluded and the last day included in the computation of a period within which an act shall be done, the last day falls on a Sunday or a holiday, the act can still be done the following day.²³⁴ This principle does not apply to the computation of the period of prescription of a crime, in which the rule is that if the last day in the period of prescription of a felony falls on a Sunday or legal holiday, the information concerning said felony cannot be filed on the next working day, as the offense has by then already prescribed.²³⁵

²³²Vir-jen Shipping & Marine Services, Inc. v. National Labor Relations Commission, G.R. No. 58011, July 20, 1982, 115 SCRA 347. But see resolution promulgated on November 18, 1983.

²³³Cervantes v. Auditor General, 91 Phil. 359 (1952).

²³⁴Sec. 31, Revised Administrative Code.

²³⁵Yapiangco v. Buencamino, G.R. No. 28841, June 24, 1983.

Chapter II

CONSTRUCTION
AND INTERPRETATION

A. NATURE AND PURPOSE

2.01. Construction defined.

Construction is the art or process of discovering and expounding the meaning and intention of the authors of the law, where that intention is rendered doubtful by reason of the ambiguity in its language or of the fact that the given case is not explicitly provided for in the law.¹ Construction is the drawing of warranted conclusions respecting subjects that lie beyond the direct expression of the text, conclusions which are in the spirit, though not within the letter of the text.² It is not a mechanical endeavour. Nor can it be accomplished by modern "brain" machines. Because of infirmities of language and the limited scope in legislative drafting, inevitably there enters into the construction of statutes the play of judicial judgment within the limits of the relevant legislative materials.³ Construction involves the exercise of choice by the judiciary.⁴

2.02. Construction and interpretation distinguished.

Some authorities distinguish construction and interpretation. It has been said that interpretation is the art of finding the true

meaning and sense of any form of words, while construction is the process of drawing warranted conclusions not always included in direct expressions, or determining the application of words to facts in litigation.⁵ However, while there appears to be a technical distinction between the two terms, they are so alike in practical results and are so used interchangeably as to have become almost synonymous.⁶ In practice or common usage, interpretation and construction are understood as having the same significance.⁷

2.03. Rules of construction, generally.

Rules of statutory construction are tools used to ascertain legislative intent. They are not rules of law but mere axioms of expertise.⁸ In enacting a statute, the legislature is presumed to know the rules of statutory construction. The legislature enacts a law with the end in view that it will, in case of doubt, be construed in accordance with the settled principles of interpretation.

It is said that a law which is ambiguous and deficient is a bad law. And a bad law makes cases hard. Rules of statutory construction help the courts resolve bad cases.⁹ Thus, where there is ambiguity in the language of a statute, courts employ canons of statutory construction to ascertain its true intent and meaning. Canons of statutory construction do not, however, solve the special difficulties in construing a particular statute. The variables render every problem of statutory construction unique. For this reason, the courts may utilize, in construing a statute not unambiguous, all the light relevantly shed upon the words and the clause of the statute that express the purpose of the legislature.¹⁰

The legislature sometimes adopts rules of statutory construction as part of the provisions of a statute.¹¹ For instance, Article 10 of the Civil Code provides that "In case of doubt in the interpretation or application of laws, it is presumed that the lawmaking body intended right and justice to prevail." Section 4 of the Labor Code

¹*Caltex (Philis.), Inc. v. Palomar, G.R. No. 19660, September 29, 1966, 18 SCRA 247, citing Black, Interpretation of Laws, p. 1.*

²*U.S. v. Farenthalt, 206 US 226, 51 L. ed. 1036 (1907).*

³*Local 1976, U.R.C. & J. v. National Labor Relations Board, 357 US 93, 2 L. ed. 2d 1186 (1958).*

⁴*Republic Flour Mills, Inc. v. Commissioner of Customs, G.R. No. 28463, May 31, 1971, 39 SCRA 268.*

⁵*Roberts v. Portland Water District, 126 A 112.*

⁶*Russell v. Ayer, 27 SE 133.*

⁷*United States v. Keitel, 53 L. ed. 230 (1908).*

⁸*Roman Catholic Apostolic Administration of Davao, Inc. v. Land Registration Commission, 102 Phil. 596 (1957).*

⁹*See Torres v. Yu, G.R. No. 42626, December 8, 1982, 119 SCRA 48.*

¹⁰*United States v. Universal C.I.T. Credit Union Corp., 344 US 218, 97 L. ed. 260 (1952).*

¹¹*See Sec. 5, Rep. Act No. 7160.*

states that "All doubts in the implementation and interpretation of the provisions of this Code, including its implementing rules and regulations, shall be resolved in favor of labor." Section 5 of Republic Act No. 7160, otherwise known as the Local Government Code of 1991 reads:

"In the interpretation of the provisions of this Code, the following rules shall apply:

(a) Any provision on a power of a local government unit shall be liberally interpreted in its favor, and in case of doubt, any question thereon shall be resolved in favor of devolution of powers and of the lower local government unit. Any fair and reasonable doubt as to the existence of the power shall be interpreted in favor of the local government unit concerned;

(b) In case of doubt, any tax ordinance or revenue measure shall be construed strictly against the local government unit enacting it, and liberally in favor of the taxpayer. Any tax exemption, incentive or relief granted by any local government unit pursuant to the provisions of this Code shall be construed strictly against the person claiming it;

(c) The general welfare provisions in this Code shall be liberally interpreted to give more powers to local government units in accelerating economic development and upgrading the quality of life for the people in the community;

(d) Rights and obligations existing on the date of effectivity of this Code and arising out of contracts or any other source of prestation involving a local government unit shall be governed by the original terms and conditions of said contracts or the law in force at the time such rights were vested; and

(e) In the resolution of controversies arising under this Code where no legal provision or jurisprudence applies, resort may be had to the customs and traditions in the place where the controversies take place."

The legislature also defines, in certain complicated statutes, the words and phrases used therein. Except as they may have been embodied as part of a statute, rules of statutory construction have no binding effect on the courts. Nor are they controlling in the interpretation of laws. As instruments of construction, they may only be used to clarify, not to defeat, legislative intent. Even those rules

of construction which are in the form of statutory provisions may be ignored if their employment may defeat, rather than effectuate, legislative intent.¹²

2.04. Purpose or object of construction.

The cardinal rule in the interpretation of all laws is to ascertain, and give effect to, the intent of the law.¹³ Hence, all rules of construction or interpretation have for their sole object the ascertainment of the true intent of the legislature.¹⁴ The object of all judicial interpretation of a statute is to determine legislative intent, what intention is conveyed, either expressly or impliedly, by the language used, so far as it is necessary for ascertaining whether the particular case or state of facts presented to the court comes within it.¹⁵

"The office of statutory interpretation," says the court in a case, "is to determine legislative intent. In the words of a well-known authority, 'the true object of all interpretation is to ascertain the meaning and will of the law-making body, to the end that it may be enforced.' In varying language, 'the purpose of all rules or maxims' in interpretation is to discover the true intention of the law.' They are only valuable when they subserve this purpose."¹⁶

¹²See *Collector of Internal Revenue v. Manila Lodge No. 761*, 105 Phil. 983 (1959).

¹³*Macandrey & Co. v. Eustaquio*, 64 Phil. 446 (1937); *Roldan v. Villarama*, 69 Phil. 12 (1939); *Torres v. Limjap*, 56 Phil. 141 (1931); *Manila Lodge No. 761 v. Court of Appeals*, G.R. No. 41001, September 30, 1976, 73 SCRA 162; *People v. Concepcion*, 44 Phil. 126 (1922).

¹⁴*Tañada v. Cuenco*, 103 Phil. 1051 (1967).

¹⁵*Selayas v. Castro*, 98 Phil. 364 (1936), citing *Black, Handbook on the Construction and Interpretation of Laws*, 2nd ed., p. 11; *People v. Concepcion*, 44 Phil. 126 (1922). An authority on the subject writes that the "function of statutory interpretation is to cure involuntary mistakes and supply inadvertencies; not to ferret out of ambiguities, a policy that legislators may be afraid or unwilling to express." He claims that "if it is unconstitutional for the judiciary to invade the sphere of the legislature, it is just as unlawful for the legislators to shirk their own duty and divert to the judges the odium of unpopular measures. *Que cada palo aguan le su vela*, each mast should bear its sail." Justice J.B.L. Reyes concurring, *People v. Gatchalian*, 104 Phil. 676, 677 (1958).

¹⁶*City of Baguio v. Marcos*, G.R. No. 26100, February 28, 1969, 27 SCRA 342, 352, citing *Black, Construction and Interpretation*, 2nd ed., p. 11; 82 C.J.S., p. 526; *Sedalia v. Smith*, 104 S.W. 15, 19; *Tañada v. Cuenco*, 103 Phil. 106 (1957).

2.05. Legislative intent, generally.

Legislative intent is the vital part, the essence of the law.¹⁷ The intent of the legislature is the law, and the key to, and the controlling factor in, its construction or interpretation.¹⁸ Intent is the spirit which gives life to legislative enactment. It must be enforced when ascertained, although it may not be consistent with the strict letter of the statute. Courts will not follow the letter of the statute when it leads away from the true intent of the legislature and to conclusions inconsistent with the general purpose of the act.¹⁹ Hence, where a statute is susceptible of more than one construction, that construction should be adopted which will most tend to give effect to the manifest intent of the legislature.²⁰

What is legislative intent? What does it comprehend? The term "intent" includes two concepts, that of purpose and that of meaning. It has been held, however, that the ascertainment of legislative intent depends more on a determination of the purpose and object of the law.²¹ Intent is sometimes equated with the word "spirit." While the terms "purpose," "meaning," "intent," and "spirit" are oftentimes interchangeably used by the courts, they are not entirely synonymous.

2.06. Legislative purpose.

The legislative purpose is the reason why a particular statute was enacted by the legislature. What did the legislature intend to achieve or accomplish by enacting a statute? What is its object? Is it to prevent a mischief? Is it to create new rights? Is it to eliminate defects in existing laws? Is it to implement specific provisions or mandates of the Constitution? The answer to these and similar questions is the purpose of the law. A legislation "is an active instrument of government which, for purposes of interpretation, means that laws

¹⁷Torres v. Limjap, 56 Phil. 141 (1931).

¹⁸U.S. v. Tamparong, 31 Phil. 321 (1915); Tamayo v. Gsell, 35 Phil. 953 (1916); Senerrillas v. Hermosima, 100 Phil. 501 (1956); Hermiani v. Export Control Committee, 100 Phil. 973 (1957); People v. Purisima, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

¹⁹Torres v. Limjap, 56 Phil. 141 (1931); U.S. v. Toribio, 15 Phil. 85 (1910); People v. Concepcion, 44 Phil. 126 (1922); Hidalgo v. Hidalgo, G.R. No. 25326, May 29, 1970, 33 SCRA 105; Tahada v. Cuenco, 103 Phil. 1051 (1957).

²⁰U.S. v. Toribio, 15 Phil. 85 (1910); U.S. v. Navarro, 19 Phil. 134 (1911).

²¹General v. Barrameda, G.R. No. 29906, January 30, 1976, 69 SCRA 182.

have ends to be achieved"; and statutes should be so construed so as not to defeat but to carry out such ends and purposes.²²

2.07. Legislative meaning.

Legislative meaning is what the law, by its language, means. What it comprehends, what it covers or embraces; what its limits or confines are. When such questions as — What does the legislature really intend? What is in its mind? — are asked, what is being sought is the legislative intent. Does the language of the law reflect what the legislature intended? If so, the legislative intent and meaning are, in this sense, synonymous. If there is ambiguity in the language used in a statute, its purpose may indicate the meaning of the language and lead to what the legislative intent is. The courts, then, by judicial construction, ascertain and give effect to such intent.

2.08. Graphical illustration.

A graphical illustration of the term "legislative intent" and its component concepts — that of purpose and that of meaning — is Republic Act 809, otherwise known as the Sugar Act of 1952. Section 1 of the Act provides that "in the absence of written milling agreements between the majority of planters and the millers of sugarcane in any milling district in the Philippines, the unrefined sugar produced in that district from the milling by the sugar central of the sugarcane of any sugarcane planter or plantation owner, as well as all by-products and derivatives thereof, shall be divided between them" in the proportion therein specified. Section 9 provides that "the proceeds of any increase in participation granted the planters under this Act and above their present share shall be divided between the planter and his laborer in the plantation" in the proportion of 60% for the LABORER and 40% for the planter. In this connection, the question raised is: Does Republic Act No. 809 apply even if the majority of the sugarcane planters have written milling agreement with the miller or central stipulating a sharing proportion different from that provided in Section 1 of the Act, such that any increase of participation granted the planter under said milling agreement will be divided

²²Inter Employees Assn. v. Eduvala, G.R. No. 41106, September 22, 1977, 79 SCRA 88; Bococho v. Estanislao, G.R. No. 30458, August 31, 1976, 72 SCRA 520; Republic Flour Mills, Inc. v. Commissioner of Customs, G.R. No. 28463, May 31, 1971, 39 SCRA 269 (1971); King v. Hernandez, 114 Phil. 730 (1962); Mejia v. Balalong, 81 Phil. 497 (1948); Yellow Taxi & Passay Trans. Workers Union v. Manila Taxi Cab Co., 80 Phil. 833 (1948).

between the planter and his plantation laborer in the proportion of 60% for the latter and 40% for the former? What is the legislative intent which should be given effect?

An examination of Republic Act No. 809 and the sugar industry as a whole shows that the planter's laborer or the so-called "*sacada*" had always been at the losing end in terms of wages and benefits given him for his work and labor in the field. The planter would invariably blame the miller or central for this sad plight of his laborer, by claiming that the central had not been giving him his rightful share in the sugar produce milled by the central, and that as a result he was not able to adequately compensate his laborer. In the 1950s, when the long-term contracts between the millers and sugar planters had expired or were about to expire and negotiations for another long-term contracts are in progress, the planters staged strikes and threatened not to plant cane unless they were given bigger share in the sugar industry as a whole, the sugar quota commitment to the United States, and the thousands of families dependent upon the industry. To solve the problem, the Congress enacted Republic Act No. 809 which, in effect, forced the planters to plant, and the centrals to mill, sugarcane by government taking over the planting and milling in the event that the planters and millers refuse to do their respective roles in the production of sugar.

The purpose or reason of the legislature is thus clearly shown: to compel the continuous production of sugar and to grant the planters' laborers a share in the increased participation of the planters in the sugar produce. But what about the meaning of the Act? Do the words of the Act reflect such purpose? What is the meaning of the phrase "in the absence of written milling agreements" in Section 1? Does it mean that the Act is not applicable where there is a written milling agreement? What is the meaning of the phrase "any increase in participation granted the planters under this Act" in Section 9? Does it exclude written agreement? A literal rendition of these phrases will support the argument that the Act is inapplicable when written milling agreement between the central and the planters exists, for such is the literal import of the provisions in question. Apparently, the literal import, if given effect, will defeat the purpose of the Act, which is to grant the planters' laborers a share in the sugar produce. Considering this purpose, the legislative meaning, which is not clearly disclosed in the language of the Act, is thus indicated, which is to give the laborers a share for as long as sugar is produced and the planters receive an increased participation. The

legislative intent is, thus, to make the Act operative irrespective of whether there exists a milling agreement between the central and the sugar planters.²³

2.09. Matters inquired into in construing a statute.

In construing a statute, it is not enough to ascertain the intention or meaning of the statute; it is also necessary to see whether the intention or meaning has been expressed in such a way as to give it legal effect and validity. In short, the object of the inquiry is not only to know what the legislature meant by the language used, but also to determine whether the language used sufficiently expresses that meaning. The legal act, so to speak, is made up of two elements — an internal and an external one; it originates in intention and is perfected by expression. Failure of the latter may defeat the former.²⁴

2.10. Where legislative intent is ascertained.

The primary source of legislative intent is the statute itself. The legislative intent has to be discovered from the four corners of the law.²⁵ It has to be extracted from the statute as a whole and not from an isolated part or particular provision thereof.²⁶ Where the words and phrases of a statute are not obscure or ambiguous, its meaning and the intention of the legislature must be determined from the language employed.²⁷ If the statute as a whole fails to indicate the legislative intent because the words used are ambiguous, the court may look beyond the statute, such as its legislative history, in order to ascertain what was in the legislative mind at the time the statute was enacted; what the circumstances were under which the action

²³Federation of Free Farmers v. Court of Appeals, G.R. No. 41161, September 10, 1981, 107 SCRA 352; Asocacion Agricultores de Talisay Silay, Inc. v. Talisay-Silay Milling Co., Inc., G.R. No. 19937, February 19, 1979, 88 SCRA 294.

²⁴Manila Jockey Club, Inc. v. Games and Amusements Board, 107 Phil. 151 (1960).

²⁵Manila Lodge No. 761 v. Court of Appeals, G.R. No. 41001, September 30, 1976, 73 SCRA 162; Borromeo v. Mariano, 41 Phil. 322 (1921); Regalado v. Yulo, 61 Phil. 173 (1935).

²⁶Tamayo v. Gsell, 35 Phil. 953 (1916); Abotiz Shipping Corp. v. City of Cebu, G.R. No. 14526, March 31, 1965, 13 SCRA 449; Aisporna v. Court of Appeals, G.R. No. 39419, April 12, 1982, 113 SCRA 459.

²⁷Veroy v. Layague, 210 SCRA 97 (1992); Allarde v. COA, 218 SCRA 227 (1993); B.E. San Diego, Inc. v. Court of Appeals, 218 SCRA 446 (1993).

was taken; what evil, if any, was meant to be redressed.²⁸ The court may also look to the purpose of the statute to be subserved, the reason or cause which induced the enactment of the law, the mischief to be suppressed, and the policy which dictated its passage.²⁹ When all these means from which legislative intent may be ascertained fail, the court may look into the effect of the law, but not otherwise because then, interpretation becomes judicial legislation.³⁰

Illustrative case

In *Garcia v. Social Security Commission*, G.R. No. 170735, December 17, 2007, the issue is whether or not the only surviving director of a corporation is liable for the whole collected and unremitted SSS contribution to the SSS, with penalties. The Court ruled that the only surviving director of said corporation is liable, by applying the pertinent provisions of the SSS law and various rules of statutory construction.

The Court ruled:

In sum, the core issue to be resolved in this case is whether or not petitioner, as the only surviving director of Impact Corporation, can be made solely liable for the corporate obligations of Impact Corporation pertaining to unremitted SSS premium contributions and penalties therefor.

As a covered employer under the Social Security Law, it is the obligation of Impact Corporation under the provisions of Sections 18, 19 and 22 thereof, as amended, to deduct from its duly covered employees' monthly salaries their shares as premium contributions and remit the same to the SSS, together with the employer's shares of the contributions to the petitioner, for and in their behalf.

From all indications, the corporation has already been dissolved. Respondents are now going after petitioner who is the only surviving director of Impact Corporation.

x x x

²⁸*Molina v. Rafferty*, 38 Phil. 167 (1918).

²⁹*Yu Cong Eng v. Trinidad*, 47 Phil. 385 (1925); *Aranceta v. Dinglasan*, 84 Phil. 368 (1949); *Adong v. Cheng Seng Gee*, 43 Phil. 43 (1922); *Philippine Central Agency v. Collector of Customs*, 51 Phil. 131 (1927); *Escribana v. Ayila*, G.R. No. 30375, September 12, 1978, 85 SCRA 245.

³⁰*Jacson v. Roque*, 92 Phil. 456 (1953).

Petitioner in assailing the Court of Appeals Decision, distinguishes the penalties from the unremitted or unpaid SSS premium contributions. She points out that although the appellate court is of the opinion that the concerned officers of an employer corporation are liable for the penalties for non-remittance of premiums, it still affirmed the SSC Resolution holding petitioner liable for the unpaid SSS premium contributions in addition to the penalties.

Petitioner avers that under the aforesaid provision, the liability does not include liability for the unremitted SSS premium contributions.

Petitioner's argument is ridiculous. The interpretation petitioner would like us to adopt finds no support in law or in jurisprudence. While the Court of Appeals Decision provided that Section 28(f) refers to the liabilities pertaining to penalty for the non-remittance of SSS employee contributions, holding that it is distinct from the amount of the supposed SSS remittances, petitioner mistakenly concluded that Section 28(f) is applicable only to penalties and not to the liability of the employer for the unremitted premium contributions. Clearly, a simplistic interpretation of the law is untenable. It is a rule in statutory construction that every part of the statute must be interpreted with reference to the context, i.e., that every part of the statute must be considered together with the other parts, and kept subservient to the general intent of the whole enactment. The liability imposed as contemplated under the foregoing Section 28(f) of the Social Security Law does not preclude the liability for the unremitted amount. Relevant to Section 28(f) is Section 22 of the same law.

SEC. 22. Remittance of Contributions. — (a) The contributions imposed in the preceding Section shall be remitted to the SSS within the first ten (10) days of each calendar month following the month for which they are applicable or within such time as the Commission may prescribe. Every employer required to deduct and to remit such contributions shall be liable for their payment and if any contribution is not paid to the SSS as herein prescribed, he shall pay besides the contribution a penalty thereon of three percent (3%) per month from the date the contribution falls due until paid. If deemed expedient and advisable by the Commission, the collection and remit-

tance of contributions shall be made quarterly or semi-annually in advance, the contributions payable by the employees to be advanced by their respective employers: *Provided*, That upon separation of an employee, any contribution so paid in advance but not due shall be credited or refunded to his employer.

Under Section 22(a), every employer is required to deduct and remit such contributions penalty refers to the 3% penalty that automatically attaches to the delayed SSS premium contributions. The spirit, rather than the letter of a law determines construction of a provision of law. It is a cardinal rule in statutory construction that in interpreting the meaning and scope of a term used in the law, a careful review of the whole law involved, as well as the intent of the law, must be made. Nowhere in the provision or in the Decision can it be inferred that the persons liable are absolved from paying the unremitted premium contributions.

Elementary is the rule that when laws or rules are clear, it is incumbent upon the judge to apply them regardless of personal belief or predilections — when the law is unambiguous and unequivocal, application not interpretation thereof is imperative. However, where the language of a statute is vague and ambiguous, an interpretation thereof is resorted to. An interpretation thereof is necessary in instances where a literal interpretation would be either impossible or absurd or would lead to an injustice. A law is deemed ambiguous when it is capable of being understood by reasonably well-informed persons in either of two or more senses. The fact that a law admits of different interpretations is the best evidence that it is vague and ambiguous. In the instant case, petitioner interprets Section 28(f) of the Social Security Law as applicable only to penalties and not to the liability of the employer for the unremitted premium contributions. Respondents present a more logical interpretation that is consistent with the provisions as a whole and with the legislative intent behind the Social Security Law.

This Court cannot be made to accept an interpretation that would defeat the intent of the law and its legislators.

Petitioner also challenges the finding of the Court of Appeals that under Section 28(f) of the Social Security Law, a mere director or officer of an employer corporation, and not

necessarily a "managing" director or officer, can be held liable for the unpaid SSS premium contributions.

Section 28(f) of the Social Security Law provides the following:

(f) If the act or omission penalized by this Act be committed by an association, partnership, corporation or any other institution, its managing head, directors or partners shall be liable to the penalties provided in this Act for the offense.

This Court agrees in petitioner's observation that the SSS did not even deny nor rebut the claim that petitioner was not the "managing head" of Impact Corporation. However, the Court of Appeals rightly held that petitioner, as a director of Impact Corporation, is among those officers covered by Section 28(f) of the Social Security Law.

Petitioner invokes the rule in statutory construction called *eiusdem generis*; that is, where general words follow an enumeration of persons or things, by words of a particular and specific meaning, such general words are not to be construed in their widest extent, but are to be held as applying only to persons or things of the same kind or class as those specifically mentioned. According to petitioner, to be held liable under Section 28(f) of the Social Security Law, one must be the "managing head," "managing director," or "managing partner." This Court though finds no need to resort to statutory construction. Section 28(f) of the Social Security Law imposes penalty on:

- (1) the managing head;
- (2) directors; or
- (3) partners, for offenses committed by a juridical person.

The said provision does not qualify that the director or partner should likewise be a "managing director" or "managing partner. The law is clear and unambiguous.

Petitioner nonetheless raises the defense that under Section 31 of the Corporation Code, only directors, trustees or officers who participate in unlawful acts or are guilty of gross negligence and bad faith shall be personally liable, and that

being a mere stockholder, she is liable only to the extent of her subscription.

Section 31 of the Corporation Code, stipulating on the liability of directors, trustees, or officers, provides:

SEC. 31. Liability of directors, trustees or officers.

— Directors or trustees who willfully and knowingly vote for or assent to patently unlawful acts of the corporation or who are guilty of gross negligence or bad faith in directing the affairs of the corporation or acquire any personal or pecuniary interest in conflict with their duty as such directors, or trustees shall be liable jointly and severally for all damages resulting therefrom suffered by the corporation, its stockholders or members and other persons.

Basic is the rule that a corporation is invested by law with a personality separate and distinct from that of the persons composing it as well as from that of any other legal entity to which it may be related. A corporation is a juridical entity with legal personality separate and distinct from those acting for and in its behalf and, in general, from the people comprising it. Following this, the general rule applied is that obligations incurred by the corporation, acting through its directors, officers and employees, are its sole liabilities. A director, officer, and employee of a corporation are generally not held personally liable for obligations incurred by the corporation.

Being a mere fiction of law, however, there are peculiar situations or valid grounds that can exist to warrant the disregard of its independent being and the lifting of the corporate veil. This situation might arise when a corporation is used to evade a just and due obligation or to justify a wrong, to shield or perpetrate fraud, to carry out other similar unjustifiable aims or intentions, or as a subterfuge to commit injustice and so circumvent the law. Thus, Section 31 of the Corporation Law provides:

Taking a cue from the above provision, a corporate director, a trustee or an officer, may be held solidarily liable with the corporation in the following instances:

1. When directors and trustees or, in appropriate cases, the officers of a corporation —
 - (a) vote for or assent to patently unlawful acts of the corporation;

(b) act in bad faith or with gross negligence in directing the corporate affairs;

(c) are guilty of conflict of interest to the prejudice of the corporation, its stockholders or members, and other persons.

2. When a director or officer has consented to the issuance of watered stocks or who, having knowledge thereof, did not forthwith file with the corporate secretary his written objection thereto.

3. When a director, trustee or officer has contractually agreed or stipulated to hold himself personally and solidarily liable with the Corporation.

4. When a director, trustee or officer is made, by specific provision of law, personally liable for his corporate action.

The aforesaid provision states:

SEC. 31. Liability of directors, trustees or officers.

— Directors or trustees who willfully and knowingly vote for or assent to patently unlawful acts of the corporation or who are guilty of gross negligence or bad faith in directing the affairs of the corporation or acquire any personal or pecuniary interest in conflict with their duty as such directors, or trustees shall be liable jointly and severally for all damages resulting therefrom suffered by the corporation, its stockholders or members and other persons.

The situation of petitioner, as a director of Impact Corporation when said corporation failed to remit the SSS premium contributions falls exactly under the fourth situation. Section 28(f) of the Social Security Law imposes a civil liability for any act or omission pertaining to the violation of the Social Security Law, to wit:

(f) If the act or omission penalized by this Act be committed by an association, partnership, corporation or any other institution, its managing head, directors or partners shall be liable to the penalties provided in this Act for the offense.

In fact, criminal actions for violations of the Social Security Law are also provided under the Revised Penal Code. The Social Security Law provides, in Section 28 thereof, to wit:

(h) Any employer who, after deducting the monthly contributions or loan amortizations from his employees' compensation, fails to remit the said deductions to the SSS within thirty (30) days from the date they became due shall be presumed to have misappropriated such contributions or loan amortizations and shall suffer the penalties provided in Article Three hundred fifteen of the Revised Penal Code.

(i) Criminal action arising from a violation of the provisions of this Act may be commenced by the SSS or the employee concerned either under this Act or in appropriate cases under the Revised Penal Code: x x x.

Respondents would like this Court to apply another exception to the rule that the persons comprising a corporation are not personally liable for acts done in the performance of their duties.

The Court of Appeals in the appealed Decision stated:

Anent the unpaid SSS contributions of Impact Corporation's employees, the officers of a corporation are liable in behalf of a corporation, which no longer exists or has ceased operations. Although as a rule, the officers and members of a corporation are not personally liable for acts done in performance of their duties, this rule admits of exception, one of which is when the employer corporation is no longer existing and is unable to satisfy the judgment in favor of the employee, the officers should be held liable for acting on behalf of the corporation. Following the foregoing pronouncement, petitioner, as one of the directors of Impact Corporation, together with the other directors of the defunct corporation, are liable for the unpaid SSS contributions of their employees.

On the other hand, the SSC, in its Resolution, presented this discussion:

Although as a rule, the officers and members of a corporation are not personally liable for acts done in the performance of their duties, this rule admits of exceptions, one of which is when the employer corporation is no longer existing and is unable to satisfy the judgment in favor of the employee, the officers should be held liable for acting on behalf of the corporation. x x x.

The rationale cited by respondents in the two preceding paragraphs need not have been applied because the personal liability for the unremitted SSS premium contributions and the late penalty thereof attaches to the petitioner as a director of Impact Corporation during the period the amounts became due and demandable by virtue of a direct provision of law.

x x x

On a final note, this Court sees it proper to quote verbatim respondents' prefatory statement in their Comment:

The Social Security System is a government agency imbued with a salutary purpose to carry out the policy of the State to establish, develop, promote and perfect a sound and viable tax exempt social security system suitable to the needs of the people throughout the Philippines which shall promote social justice and provide meaningful protection to members and their beneficiaries against the hazards of disability, sickness, maternity, old-age, death and other contingencies resulting in loss of income or financial burden.

The soundness and viability of the funds of the SSS in turn depends on the contributions of its covered employee and employer members, which it invests in order to deliver the basic social benefits and privileges to its members. The entitlement to and amount of benefits and privileges of the covered members are contribution-based. Both the soundness and viability of the funds of the SSS as well as the entitlement and amount of benefits and privileges of its members are adversely affected to a great extent by the non-remittance of the much-needed contributions.

The sympathy of the law on social security is toward its beneficiaries. This Court will not turn a blind eye on the perpetration of injustice. This Court cannot and will not allow itself to be made an instrument nor be privy to any attempt at the perpetration of injustice.

Following the doctrine laid down in *Laguna Transportation Co., Inc. v. Social Security System*, this Court rules that although a corporation once formed is conferred a juridical personality separate and distinct from the persons comprising it, it is but a legal fiction introduced for purposes of convenience and to subserve the ends of justice. The concept cannot be extended

to a point beyond its reasons and policy, and when invoked in support of an end subversive of this policy, will be disregarded by the courts.

B. POWER TO CONSTRUCT

2.11. Construction is a judicial function.

The duty and power to interpret or construe a statute or the Constitution belong to the judiciary. "It is the duty of the legislature to make the law; of the executive to execute the law; and of the judiciary to construe the law."³¹ "It is emphatically the province and duty of the judicial department to say what the law is."³² While the legislative and the executive departments, by enacting and enforcing a law, respectively, may construe or interpret the law, it is the court that has the final word as to what the law means.³³

The Supreme Court construes the applicable law in controversies which are ripe for judicial resolution. It refrains from doing so where the case has become moot and academic and it will instead dismiss the case. A case or question is moot and academic when its purpose has become stale or where no practical relief can be granted or which can have no practical effect.³⁴ However, notwithstanding its mootness, the Court may nonetheless resolve the case and construe the applicable law "if it is capable of repetition, yet evading review," specially where public interest requires its resolution³⁵ or where rendering a decision on the merits would be of practical value.³⁶

The court does not, however, interpret the law in a vacuum. It construes or applies the law as it decides concrete and controverted cases based on the facts and the law involved. It does not give legal opinion on hypothetical cases or in cases which have become, as a rule, moot and academic. It has been held that "laws are interpreted

³¹U.S. v. Ang Tang Ho, 43 Phil. 1, 6 (1922); L.S. Moon & Co. v. Hamson, 43 Phil. 27 (1922).

³²Marbury v. Madison, 1 Cranch 137 (1803); San Miguel Corp. v. Avelino, G.R. No. 39699, March 14, 1979, 89 SCRA 69; Chinese Flour Importers' Assn. v. Price Stabilization Board, 89 Phil. 439 (1951).

³³Endencia v. David, 93 Phil. 696 (1953).

³⁴Joya v. PCGG, 45 SCAD 186, 225 SCRA 568 (1993); Castro v. Tan, 100 Phil. 910 (1957).

³⁵Alunan III v. Mirasol, 85 SCAD 277, 276 SCRA 501 (1997).

³⁶Malanan v. COMELEC, 69 SCAD 160, 254 SCRA 397 (1996).

always in the context of the peculiar factual situation of each case. Each case has its own flesh and blood and cannot be decided simply on the basis of isolated clinical classroom principles. The circumstances of time, place, event, person, and particularly attendant circumstances and actions before, during and after the operative fact should all be taken in their totality so that justice can be rationally and fairly dispensed."³⁷

2.12. Legislature cannot overrule judicial construction.

The legislature has no power to overrule the interpretation or construction of a statute or the Constitution by the Supreme Court, for interpretation is a judicial function assigned to the latter by the fundamental law. While the legislature may indicate its construction of a statute in the form of a resolution or declaratory act, it cannot preclude the courts from giving the statute a different interpretation.³⁸

*Endencia v. David*³⁹ explains in detail the reasons why the legislature cannot override the Supreme Court's interpretation. It appears that in *Perfeto v. Meer*,⁴⁰ the Supreme Court, construing Article VIII, Section 9 of the 1935 Constitution to the effect that members of the judiciary "shall receive such compensation as may be fixed by law, which shall not be diminished during their continuance in office," ruled that the collection of income tax from the salaries of judicial officers is a diminution of their salaries in violation of the constitutional provision. Not having received such ruling favorably, the legislature thereafter enacted Republic Act No. 590 by providing in Section 13 thereof that "no salary whenever received by any public officer of the Republic of the Philippines shall be considered as exempt from the income tax, payment of which is hereby declared not to be a diminution of his compensation fixed by the Constitution or by law."

There is thus this situation: "The Supreme Court in a decision interpreting the Constitution, particularly Section 9, Article VIII, has held that judicial officers are exempt from the payment of income tax on their salaries, because the collection thereof was a dimi-

³⁷Philippines Today, Inc. v. NLRC, 78 SCAD 560, 267 SCRA 202, 228 (1997).

³⁸Endencia v. David, 93 Phil. 696 (1953); Chinese Flour Importers' Assn. v. Price Stabilization Board, 89 Phil. 439 (1951).

³⁹93 Phil. 696 (1953).

⁴⁰Endencia v. David, 93 Phil. 696, 699, 700, 701, 702 (1953).

nution of such salaries, specifically prohibited by the Constitution. Now comes the Legislature and in Section 13, Republic Act No. 590, says that 'no salary whenever received by any public officer of the Republic (naturally including a judicial officer) shall be considered exempt from the income tax,' and proceeds to declare that payment of said income tax is not a diminution of his compensation. Can the Legislature validly do this? May the Legislature declare the collection of income tax on the salary of a public official, specially a judicial officer, not a decrease of his salary, after the Supreme Court has found and decided otherwise?"

The Supreme Court ruled that the legislature cannot override its interpretation of the constitutional provision. Explains the Court: "Under our system of constitutional government, the legislative department is assigned the power to make and enact laws. The executive department is charged with the execution or carrying out of the provisions of said laws. But the interpretation and application of said laws belong exclusively to the judicial department. And this authority to interpret and apply the laws extends to the Constitution. Before the court can determine whether a law is constitutional or not, it will have to interpret and ascertain the meaning not only of said law, but also of the pertinent portion of the Constitution in order to decide whether there is a conflict between the two, because if there is, then the law will have to give way and has to be declared invalid and unconstitutional." "By legislative fiat as enumerated in Section 13, Republic Act No. 590, Congress says that taxing the salary of a judicial officer is not a decrease of compensation. This is a clear example of interpretation or ascertainment of the meaning of the phrase 'which shall not be diminished during their continuance in office,' found in Section 9, Article VIII of the Constitution, referring to the salaries of judicial officers. This act of interpreting the Constitution or any part established province and jurisdiction of the judiciary." If the Legislature may declare what a law means, or what a specific portion of the Constitution means, especially after the courts have in actual case ascertained its meaning by interpretation and applied it in a decision, this would surely cause confusion. Under such a system, a final court determination of a case based on a judicial interpretation of the law or of the Constitution may be undermined or even annulled by a subsequent and different interpretation of the law or of the Constitution by the Legislative department. That would be neither wise nor desirable, besides being clearly violative of the fundamental principles of our constitutional

system of government, particularly those governing the separation of powers."

2.13. When judicial interpretation may be set aside.

The interpretation of a statute or a constitutional provision by the courts is not so sacrosanct as to be beyond modification or nullification. The Supreme Court itself may, in an appropriate case, change or overrule its previous construction.⁴¹

By amending the Constitution, the framers of the fundamental law may modify or even nullify a judicial interpretation of a particular provision thereof. Thus, the interpretation by the court in *Endencia v. David*⁴² of Article VIII, Section 9 of the 1935 Constitution to the effect that judicial officers are exempt from paying income tax on their salaries because the collection of such tax would be a diminution thereof in violation of said constitutional provision has been nullified by the 1973 Constitution when it specifically provided in Article XV, Section 6 that "No salary or any form of emolument of any public officer or employee, including constitutional officers, shall be exempt from payment of income tax."

The rule that the Supreme Court has the final word in the interpretation or construction of a statute merely means that the legislature cannot, by law or resolution, modify or annul the judicial construction without modifying or repealing the very statute which has been the subject of construction. It can, and it has done so, by amending or repealing the statute, the consequence of which is that the previous judicial construction of the statute is modified or set aside accordingly.⁴³

2.14. When court may construe statute.

Language "is one of the distinctive qualities of man, especially of modern thinking man. Man does feel and analyzes his intellectual and material experiences; but more than this he has the ability to articulate, and through articulation he manages, synthesizes and brings forth the creation and evolution of culture, literature, sci-

⁴¹*Cf. People v. Jabinat*, G.R. No. 30061, February 27, 1974, 55 SCRA 607.
⁴²93 Phil. 696 (1958).

⁴³*Cf. Quimpo v. Mendoza*, G.R. No. 33052, August 31, 1981, 107 SCRA 73; *Victorias Milling Co., Inc. v. Social Security Commission*, 114 Phil. 565 (1962); *Salaysey v. Castro*, 98 Phil. 364 (1956).

ence and law. In the process, the unceasing effort is to say what is meant and to mean what is said."⁴⁴ Language is rarely so free from ambiguity as to be incapable of being used in more than one sense. Thus, what the legislature had actually in mind is not sometimes accurately reflected in the language of the statute.⁴⁵ As a result, doubt is created as to what the statute means or as to whether it applies to a given situation. Construction is the means by which the court clarifies the doubt to arrive at the true intent of the law.⁴⁶

2.15. Condition *sine qua non* before courts can construe statutes; ambiguity defined

A condition *sine qua non*, before the court may construe or interpret a statute, is that there be doubt or ambiguity in its language.⁴⁷ The province of construction lies wholly within the domain of ambiguity.⁴⁸ For where there is no ambiguity in the words of a statute, there is no room for construction.⁴⁹ Only statutes with an ambiguous or doubtful meaning may be the subject of statutory construction.⁵⁰ Ambiguity means a condition of admitting two or more meanings, of being understood in more than one way, or of referring to two or more things at the same time.⁵¹ A statute is ambiguous if it is susceptible of more than one interpretation. In such a case, the court should construe the statute and give it a meaning that is in accord with its intent.

Thus, the Court in a case⁵² explained that "Only when the law is ambiguous or doubtful of meaning may the court interpret or construe its intent. Ambiguity is a condition of admitting two or more meanings, of being understood in more than one way, or of referring

⁴⁴Justice Castro's concurring opinion, Phil. Constitution Assn., Inc. v. Mathay, G.R. No. 25554, October 4, 1966, 18 SCRA 300, 329 (1966).

⁴⁵U.S. v. Go Chio, 14 Phil. 128 (1909).

⁴⁶Callex (Phils.), Inc. v. Palomar, G.R. No. 19650, September 29, 1966, 18 SCRA 247.

⁴⁷Banawa v. Mirano, G.R. No. 24750, May 16, 1980, 97 SCRA 517; Resins, Inc. v. Auditor General, G.R. No. 17888, October 29, 1968, 25 SCRA 754; Guevara v. Innocentes, G.R. No. 2557, March 15, 1966, 16 SCRA 379.

⁴⁸Hamilton v. Rothbone, 175 US 414, 44 L. ed. 219 (1899).

⁴⁹Aparri v. Court of Appeals, G.R. No. 36057, January 31, 1984; Ong v. Parel, 156 SCRA 768 (1987); Veroy v. Loyague, 210 SCRA 97 (1992).

⁵⁰Daong v. Municipal Judge, 159 SCRA 369 (1988).

⁵¹Webster's Third New International Dictionary, p. 66 (1961).

⁵²Rizal Commercial Banking Corp. v. IAC, 116 SCAD 999, 320 SCRA 279, 289 (1999).

to two or more things at the same time. A statute is ambiguous if it is admissible of two or more possible meanings, in which case, the Court is called upon to exercise one of its judicial functions, which is to interpret the law according to its true intent."

In *Garcia v. Social Security Commission*, G.R. No. 170735, December 17, 2007, the Court ruled:

Elementary is the rule that when laws or rules are clear, it is incumbent upon the judge to apply them regardless of personal belief or predilections — when the law is unambiguous and unequivocal, application not interpretation thereof is imperative. However, where the language of a statute is vague and ambiguous, an interpretation thereof is resorted to. An interpretation thereof is necessary in instances where a literal interpretation would be either impossible or absurd or would lead to an injustice. A law is deemed ambiguous when it is capable of being understood by reasonably well-informed persons in either of two or more senses. The fact that a law admits of different interpretations is the best evidence that it is vague and ambiguous. In the instant case, petitioner interprets Section 28(f) of the Social Security Law as applicable only to penalties and not to the liability of the employer for the unremitted premium contributions. Respondents present a more logical interpretation that is consistent with the provisions as a whole and with the legislative intent behind the Social Security Law.

This Court cannot be made to accept an interpretation that would defeat the intent of the law and its legislators.

It has also been held that a statute is ambiguous when it is capable of being understood by reasonably well-informed persons in either of two senses. The fact that a statute admits of different interpretations shows that the statute is vague and ambiguous and requires that the correct interpretation consistent with the legislative intent be ascertained.⁵³

⁵³Del Mar v. Phil. Amusement and Gaming Corp., 138 SCAD 952, 346 SCRA 456 (2000).

2.16. Court may not construe where statute is clear.

The first and fundamental duty of the court is to apply the law.⁶⁴ Construction or interpretation comes only after it has been demonstrated that application is impossible or inadequate without it. It is the very last function which the court should exercise, for if there is more application and less construction, there would be more stability in the law.⁶⁵

It is well-settled that the court may not construe a statute that is clear and free from doubt. "Time and time again, it has been repeatedly declared by this court that where the law speaks in clear and categorical language, there is no room for interpretation. There is only room for application."⁶⁶ "For nothing is better settled than that the first and fundamental duty of courts is to apply the law as they find it, not as they like it to be. Fidelity to such a task precludes construction or interpretation, unless application is impossible or inadequate without it."⁶⁷ Where the law is clear and unambiguous, it must be taken to mean exactly what it says and the court has no choice but to see to it that its mandate is obeyed.⁶⁸

Where the law is free from ambiguity, the court may not introduce exceptions or conditions where none is provided from considerations of convenience, public welfare, or for any laudable purpose,⁶⁹ nor may it engraft into the law qualifications not contemplated,⁷⁰ nor

⁶⁴*People v. Mapa*, G.R. No. 220801, August 30, 1967, 20 SCRA 1164; *Resins, Inc. v. Auditor General*, G.R. No. 17888, October 29, 1968, 25 SCRA 754; *Pacific Oxygen & Acetylene v. Central Bank*, G.R. No. 21881, March 1, 1968, 22 SCRA 917.

⁶⁵*Lizarraga Hermanos v. Yap Tico*, 24 Phil. 504 (1913); *Yanco v. Court of First Instance of Manila*, 29 Phil. 183 (1915); *Ramos v. Court of Appeals*, G.R. No. 58766, October 30, 1981, 108 SCRA 728; *Commissioner of Internal Revenue v. Limpan Investment Corp.*, G.R. No. 28571, July 31, 1970, 34 SCRA 148; *People v. Mapa*, G.R. No. 22301, August 30, 1967, 20 SCRA 1164.

⁶⁶*Cebu Portland Cement Co. v. Municipality of Naga*, G.R. No. 24116, August 22, 1968, 24 SCRA 708, 712.

⁶⁷*Resins, Inc. v. Auditor General*, G.R. No. 17888, October 29, 1968, 25 SCRA 754, 757.

⁶⁸*Luzon Surety Co., Inc. v. De Garcia*, G.R. No. 25659, October 31, 1969, 30 SCRA 111; *Quijano v. Development Bank of the Phils.*, G.R. No. 26419, October 19, 1970, 35 SCRA 270; *Chartered Bank Employees Assn. v. Ople*, 138 SCRA 273 (1985).

⁶⁹*University of the Phils. Board of Regents v. Auditor General*, G.R. No. 19617, October 31, 1969, 30 SCRA 5 (1969).

⁷⁰*Ramos v. Court of Appeals*, G.R. No. 43766, October 30, 1981, 108 SCRA 728.

construe its provisions by taking into account questions of expediency, good faith, practical utility and other similar reasons so as to relax noncompliance therewith.⁷¹ A statute that is clear and unambiguous is not susceptible of interpretation. It should be applied regardless of who may be affected, even if the law may be harsh or onerous.⁷² For as the court said in a case, the "law is the law. We cannot change the law under the guise of interpretation. Under our system of government, we may not tread on forbidden grounds; we cannot rewrite the law. This is the function of Congress."⁷³ And as the courts reminded themselves, "ours is not the duty nor the power to amend the statute, which by the way presents no interstitial space wherein to insert, in the words of Cardozo, judge-made innovations."⁷⁴

A meaning that does not appear nor is intended or reflected in the very language of the statute cannot be placed therein by construction. In accordance with this rule, Section 7 of P.D. No. 1716-A which provides that the "EPZA, in the exercise of its sole police authority over the export processing zones and areas owned or administered by the authority, shall have the power to receive and investigate complaints relative to violations of penal laws committed inside the zones and areas owned or administered by the authority, and when the evidence warrants, to file and be deputized herein to prosecute the corresponding criminal cases before the appropriate court or body," may not be construed as an exception to, or a limitation on, the authority of the *Tanodbayan* to investigate complaints for violation of the Anti-Graft Law committed by EPZA officials within the zone because there is nothing in Section 7 to intimate that EPZA's power "to file and be deputized x x x to prosecute" cases is exclusive and the use of the adjective "sole" to describe "police authority" is not employed to describe its other power.⁷⁵

In *Lapid v. Court of Appeals*,⁷⁶ the issue is whether a decision of the Ombudsman in an administrative charge finding the respondent guilty and imposing the penalty of suspension of one year without

⁷¹*Republic v. Go Ban Lee*, 111 Phil. 805 (1961); *Velasco v. Lopez*, 1 Phil. 720 (1903).

⁷²*Nepomuceno v. Rehabilitation Finance Corp.*, 110 Phil. 42 (1960).

⁷³*Baking v. Director of Prisons*, G.R. No. 30364, July 28, 1969, 28 SCRA 850, 851.

⁷⁴*Crisologo v. Macadaeg*, 94 Phil. 862, 864 (1954).

⁷⁵*Manikan v. Tanodbayan*, 127 SCRA 724 (1984).

⁷⁶128 SCAD 815, 334 SCRA 738 (2000).

pay is immediately executory and is not stayed by a timely appeal to the Court of Appeals. Relying on Sec. 27 of R.A. No. 6770, which provides that "Any order, directive or decision imposing the penalty of public censure or reprimand, suspension of not more than one month's salary shall be final and unappealable" and that "In all administrative disciplinary cases, orders, directives or decisions of the Office of the Ombudsman may be appealed to the Supreme Court (now Court of Appeals) by filing a petition for *certiorari* within ten (10) days from receipt of the written notice of the order, directive or decision or denial of the motion for reconsideration with Rule 45 (now Rule 43) of the Rules of Court," the Supreme Court ruled that since the decision imposed a suspension of one (1) year without pay, the same is not immediately executory and the timely appeal interposed therefrom stayed its becoming executory. As to the claim of the Solicitor General that Sec. 12 of Rule 43 of the 1997 Rules of Civil Procedure, which reads:

"Section 12. Effect of Appeal. — The appeal shall not stay the award, judgment, final order or resolution sought to be reviewed unless the Court of Appeals shall direct otherwise upon such terms as it may deem just,"

that Sec. 68 of the Local Government Code, which states:

"Section 68. Execution Pending Appeal. — An appeal shall not prevent the decision from becoming final and executory. The respondent shall be considered as having been placed under preventive suspension during the pendency of an appeal in the event he wins such appeal. In the event the appeal results in an exoneration, he shall be paid his salary and such other emoluments during the pendency of the appeal,"

and that Book V, Title I, Subtitle A, Chapter 6, Section 47, par. (4) of the Administrative Code of 1987, which reads:

"(4) An appeal shall not stop the decision from being executory, and in one case the penalty is suspension or removal, the respondent shall be considered as having been under preventive suspension during the pendency of the appeal in the event he wins an appeal," should apply and authorize the immediate execution of the one-year suspension of respondent, the Court ruled that these provisions cannot be read in Sec. 27 of the Ombudsman Law.

The Court explained:

"There is no basis in law for the proposition that the provisions of the Administrative Code of 1987 and the Local Government Code on execution pending review should be applied suppletorily to the provisions of the Ombudsman Act as there is nothing in the Ombudsman Act which provides for such suppletory application. Courts may not, in the guise of interpretation, enlarge the scope of a statute and include therein situations not provided or intended by the lawmakers. An omission at the time of enactment, whether careless or calculated, cannot be judicially supplied however later wisdom may recommend the inclusion.

And while in one respect, the Ombudsman Law, the Administrative Code of 1987 and the Local Government Code are *in pari materia* insofar as three laws related or deal with public officers, the similarity ends there. It is a principle in statutory construction that where the two statutes that apply to a particular case, that which was specially designed for the said case must prevail over the other. In the instant case, the acts attributed to petitioner could have been the subject of administrative disciplinary proceedings before the Office of the President under the Local Government Code or before the Office of the Ombudsman under the Ombudsman Act. Considering however that petitioner was charged under the Ombudsman Act, it is this law alone which should govern his case."⁶⁷

An administrative agency tasked to implement a statute may not construe it by expanding its meaning where its provisions are clear and unambiguous. In *Land Bank v. Court of Appeals*,⁶⁸ the Department of Agrarian Reform construed the word "deposit" in Sec. 16 of Rep. Act No. 6657, to the effect that "in case of rejection or no response from the landowner, upon the deposit with an accessible bank designated by the DAR of the compensation in cash or in LBP bonds in accordance with this Act, the DAR shall take immediate possession of the land and shall require the proper Register of Deeds to issue a Transfer Certificate of Title (TCT) in the name of the Republic of the Philippines," to include "trust accounts." In setting aside such interpretation, the Court held that "Section 16(e) of Republic Act No. 6657 was very specific in limiting the type of

⁶⁷128 SCAD 815, 334 SCRA 753-754.

⁶⁸71 SCAD 806, 258 SCRA 404 (1996).

deposit to be made as compensation for the rejecting landowners, that is, in 'cash' or in 'LBP bonds,'" "foreclosing any doubt as to allow an expanded construction that would include the opening of 'trust accounts' within the coverage of the term 'deposit.'" For well-settled is the rule that "when the law speaks in clear and categorical language, there is no reason for interpretation or construction, but only for application."

In *Libanan v. HRET*,⁹⁹ the issue is whether ballots not signed at the back by the chairman of the board of election inspectors are spurious, since it violated Sec. 24 of R.A. No. 7166, which reads:

"Sec. 24. Signature of Chairman at the back of Every Ballot. — In every case before delivering an official ballot to the voter, the Chairman of the Board of Election Inspectors shall, in the presence of the voter, affix his signature at the back thereof. Failure to authenticate shall be noted in the minutes of the Board of Election Inspectors and shall constitute an election offense punishable under Sections 263 and 264 of the Omnibus Election Code."

The Court ruled in the negative, thus: "[T]here is really nothing in the above law to the effect that a ballot which is not so authenticated shall thereby be deemed spurious. The law merely renders the BEI Chairman accountable for such failure. The courts may not, in the guise of interpretation, enlarge the scope of a statute and embrace situations neither provided nor intended by the lawmakers. Where the words and phrases of a statute are not obscure and ambiguous, the meaning and intention of the legislature should be determined from the language employed, and where there is no ambiguity in the words, there should be no room for construction."¹⁰⁰

2.17. *Verba legis* or plain meaning rule.

Where the statute is clear, plain and free from ambiguity, it must be given its literal meaning and applied without interpretation. This plain meaning rule or *verba legis* derived from the maxim *index animi sermo est* (speech is the index of intention) rests on the valid presumption that the words employed by the legislature in a statute correctly express its intention or will and preclude the court from construing it differently.

The Court in *Republic v. Lacap* [G.R. No. 158253, March 2, 2007], explained the doctrine of *verba legis*, as follows:

The "plain meaning rule" or *verba legis* in statutory construction is that if the statute is clear, plain and free from ambiguity, it must be given its literal meaning and applied without interpretation. This rule derived from the maxim *index animi sermo est* (speech is the index of intention) rests on the valid presumption that the words employed by the legislature in a statute correctly express its intention or will and preclude the court from construing it differently. The legislature is presumed to know the meaning of the words, to have used words advisedly, and to have expressed its intent by use of such words as are found in the statute. *Verba legis non est recedendum*, or from the words of a statute there should be no departure.

The wordings of R.A. No. 4566 are clear. It does not declare, expressly or impliedly, as void contracts entered into by a contractor whose license had already expired. Nonetheless, such contractor is liable for payment of the fine prescribed therein. Thus, respondent should be paid for the projects he completed. Such payment, however, is without prejudice to the payment of the fine prescribed under the law.

Besides, Article 22 of the Civil Code which embodies the maxim *nemo ex alterius incommodo debet lecupletari* (no man ought to be made rich out of another's injury) states:

Art. 22. Every person who through an act of performance by another, or any other means, acquires or comes into possession of something at the expense of the latter without just or legal ground, shall return the same to him.

This article is part of the chapter of the Civil Code on Human Relations, the provisions of which were formulated as "basic principles to be observed for the rightful relationship between human beings and for the stability of the social order, . . . designed to indicate certain norms that spring from the fountain of good conscience, . . . guides human conduct [that] should run as golden threads through society to the end that law may approach its supreme ideal which is the sway and dominance of justice." The rules thereon apply equally well to the Government. Since respondent had rendered services to the full satisfaction and acceptance by petitioner, then the

⁹⁹99 SCAD 998, 283 SCRA 520 (1997).

¹⁰⁰*Ibid.*, pp. 531-532.

former should be compensated for them. To allow petitioner to acquire the finished project at no cost would undoubtedly constitute unjust enrichment for the petitioner to the prejudice of respondent. Such unjust enrichment is not allowed by law.

Another illustration of *verba legis* rule is *National Food Authority v. Masada Security Agency, Inc.* [G.R. No. 163448, March 8, 2005]. The issue is whether or not the liability of principals in service contracts under Section 6 of RA 6727 and the wage orders issued by the Regional Tripartite Wages and Productivity Board is limited only to the increment in the minimum wage. The Court ruled that the increment refers only to the minimum wage:

RA 6727 (Wage Rationalization Act), which took effect on July 1, 1989, declared it a policy of the State to rationalize the fixing of minimum wages and to promote productivity-improvement and gain-sharing measures to ensure a decent standard of living for the workers and their families; to guarantee the rights of labor to its just share in the fruits of production; to enhance employment generation in the countryside through industrial dispersal; and to allow business and industry reasonable returns on investment, expansion and growth.

In line with its declared policy, RA 6727, created the National Wages and Productivity Commission (NWPC), vested, *inter alia*, with the power to prescribe rules and guidelines for the determination of appropriate minimum wage and productivity measures at the regional, provincial or industry levels; and the Regional Tripartite Wages and Productivity Boards (RTWPB) which, among others, determine and fix the minimum wage rates applicable in their respective region, provinces, or industries therein and issue the corresponding wage orders, subject to the guidelines issued by the NWPC. Pursuant to its wage fixing authority, the RTWPB issue wage orders which set the daily minimum wage rates.

Payment of the increases in the wage rate of workers is ordinarily, shouldered by the employer. Section 6 of RA 6727, however, expressly lodged said obligation to the principals or indirect employers in construction projects and establishments providing security, janitorial and similar services. Substantially the same provision is incorporated in the wage orders issued by the RTWPB. Section 6 of RA 6727, provides:

SEC. 6. In the case of contracts for construction projects and for security, janitorial and similar services, the prescribed increases in the wage rates of the workers shall be borne by the principals or clients of the construction/service contractors and the contract shall be deemed amended accordingly. In the event, however, that the principal or client fails to pay the prescribed wage rates, the construction/service contractor shall be jointly and severally liable with his principal or client.

NFA claims that its additional liability under the aforementioned provision is limited only to the payment of the increment in the statutory minimum wage rate, *i.e.*, the rate for a regular eight (8) hour work day.

The contention is meritorious.

In construing the word "wage" in Section 6 of RA 6727, reference must be had to Section 4 (a) of the same Act. It states:

SEC. 4. (a) Upon the effectivity of this Act, the statutory minimum wage rates for all workers and employees in the private sector, whether agricultural or non-agricultural, shall be increased by twenty-five pesos (P25) per day....

The term "wage" as used in Section 6 of RA 6727 pertains to no other than the "statutory minimum wage" which is defined under the Rules Implementing RA 6727 as the lowest wage rate fixed by law that an employer can pay his worker. The basis thereof under Section 7 of the same Rules is the normal working hours, which shall not exceed eight hours a day. Hence, the prescribed increases or the additional liability to be borne by the principal under Section 6 of RA 6727 is the increment or amount added to the remuneration of an employee for an 8-hour work.

Expresio unius est exclusio alterius. Where a statute, by its terms, is expressly limited to certain matters, it may not, by interpretation or construction, be extended to others. Since the increase in wage referred to in Section 6 pertains to the "statutory minimum wage" as defined herein, principals in service contracts cannot be made to pay the corresponding wage increase in the overtime pay, night shift differential, holiday

and rest day pay, premium pay and other benefits granted to workers. While basis of said remuneration and benefits is the statutory minimum wage, the law cannot be unduly expanded as to include those not stated in the subject provision.

The settled rule in statutory construction is that if the statute is clear, plain and free from ambiguity, it must be given its literal meaning and applied without interpretation. This plain meaning rule or *verba legis* derived from the maxim *index animi sermo est* (speech is the index of intention) rests on the valid presumption that the words employed by the legislature in a statute correctly express its intention or will and preclude the court from construing it differently. The legislature is presumed to know the meaning of the words, to have used words advisedly, and to have expressed its intent by use of such words as are found in the statute. *Verba legis non est recedendum*, or from the words of a statute there should be no departure.

The presumption therefore is that lawmakers are well aware that the word "wage" as used in Section 6 means the statutory minimum wage. If their intention was to extend the obligation of principals in service contracts to the payment of the increment in the other benefits and remuneration of workers, it would have so expressly specified. In not so doing, the only logical conclusion is that the legislature intended to limit the additional obligation imposed on principals in service contracts to the payment of the increment in the statutory minimum wage.

Commissioner of Internal Revenue v. American Express, G.R. No. 152609, June 29, 2005, is another case which illustrates the rule that when the law is clear, interpretation is not necessary.

The Court ruled:

As mentioned at the outset, Section 102(b)(2) of the Tax Code is very clear. Therefore, no statutory construction or interpretation is needed. Neither can conditions or limitations be introduced where none is provided for. Rewriting the law is a forbidden ground that only Congress may tread upon.

The Court may not construe a statute that is free from doubt. "[W]here the law speaks in clear and categorical language, there is no room for interpretation. There is only

room for application." The Court has no choice but to "see to it that its mandate is obeyed."

In implementing the VAT provisions of the Tax Code, RR 5-87 provides for the zero rating of services other than the processing, manufacturing or repacking of goods — in general and without qualifications — when paid for by the person to whom such services are rendered in acceptable foreign currency inwardly remitted and duly accounted for in accordance with the BSP (then Central Bank) regulations. Section 8 of RR 5-87 states:

"SECTION 8. Zero-rating. — (a) In general. — A zero-rated sale is a taxable transaction for value-added tax purposes. A sale by a VAT-registered person of goods and/or services taxed at zero rate shall not result in any output tax. The input tax on his purchases of goods or services related to such zero-rated sale shall be available as tax credit or refundable in accordance with Section 16 of these Regulations.

x x x x x x x

"(c) Zero-rated sales of services. — The following services rendered by VAT-registered persons are zero-rated:

'(1) Services in connection with the processing, manufacturing or repacking of goods for persons doing business outside the Philippines, where such goods are actually shipped out of the Philippines to said persons or their assignees and the services are paid for in acceptable foreign currency inwardly remitted and duly accounted for under the regulations of the Central Bank of the Philippines.

x x x x x x x

'(3) Services performed in the Philippines other than those mentioned in subparagraph (1) above which are paid for by the person or entity to whom the service is rendered in acceptable foreign currency inwardly remitted and duly accounted for in accordance with Central Bank regulations. Where the contract involves payment in both foreign and local currency, only the service corresponding to that paid in foreign currency shall enjoy

zero-rating. The portion paid for in local currency shall be subject to VAT at the rate of 10%."

RR 7-95, otherwise known as the "Consolidated VAT Regulations," reiterates the above-quoted provision and further presents as examples only the services performed in the Philippines by VAT-registered hotels and other service establishments. Again, the condition remains that these services must be paid in acceptable foreign currency inwardly remitted and accounted for in accordance with the rules and regulations of the BSP. The term "other service establishments" is obviously broad enough to cover respondent's facilitation service. Section 4.102-2 of RR 7-95 provides thus:

"SECTION 4.102-2. Zero-Rating. — (a) In general. — A zero-rated sale by a VAT registered person, which is a taxable transaction for VAT purposes, shall not result in any output tax. However, the input tax on his purchases of goods, properties or services related to such zero-rated sale shall be available as tax credit or refund in accordance with these regulations.

"(b) Transaction subject to zero-rate. — The following services performed in the Philippines by VAT-registered persons shall be subject to 0%:

'(1) Processing, manufacturing or repacking goods for other persons doing business outside the Philippines which goods are subsequently exported, where the services are paid for in acceptable foreign currency and accounted for in accordance with the rules and regulations of the BSP;

'(2) Services other than those mentioned in the preceding subparagraph, e.g., those rendered by hotels and other service establishments, the consideration for which is paid for in acceptable foreign currency and accounted for in accordance with the rules and regulations of the BSP";

x x x

Section 4.102-2(b)(2) of RR 7-95 was subsequently amended by RR 5-96 to read as follows:

"Section 4.102-2(b)(2) — 'Services other than processing, manufacturing or repacking for other persons

doing business outside the Philippines for goods which are subsequently exported, as well as services by a resident to a non-resident foreign client such as project studies, information services, engineering and architectural designs and other similar services, the consideration for which is paid for in acceptable foreign currency and accounted for in accordance with the rules and regulations of the BSP."

The general rule is that construction of a statute by an administrative agency charged with the task of interpreting or applying the same is entitled to great weight and respect. The Court, however, is not bound to apply said rule where such executive interpretation, is clearly erroneous, or when there is no ambiguity in the law interpreted, or when the language of the words used is clear and plain, as in the case at bar. Besides, administrative interpretations are at best advisory for it is the Court that finally determines what the law means. Hence, the interpretation given by the labor agencies in the instant case which went as far as supplementing what is otherwise not stated in the law cannot bind this Court.

It is not within the province of this Court to inquire into the wisdom of the law for indeed, we are bound by the words of the statute. The law is applied as it is. At any rate, the interest of the employees will not be adversely affected if the obligation of principals under the subject provision will be limited to the increase in the statutory minimum wage. This is so because all remuneration and benefits other than the increased statutory minimum wage would be shouldered and paid by the employer or service contractor to the workers concerned. Thus, in the end, all allowances and benefits as computed under the increased rate mandated by RA 6727 and the wage orders will be received by the workers.

Moreover, the law secures the welfare of the workers by imposing a solidary liability on principals and the service contractors. Under the second sentence of Section 6 of RA 6727, in the event that the principal or client fails to pay the prescribed wage rates, the service contractor shall be held solidarily liable with the former. Likewise, Articles 106, 107 and 109 of the Labor Code provides:

ART. 106. Contractor or Subcontractor. — Whenever an employer enters into contract with another person

for the performance of the former's work, the employees of the contractor and of the latter's subcontractor, if any, shall be paid in accordance with the provisions of this Code.

In the event that the contractor or subcontractor fails to pay the wage of his employees in accordance with this Code, the employer shall be jointly and severally liable with his contractor or subcontractor to such employees to the extent of the work performed under the contract, in the same manner and extent that he is liable to employees directly employed by him.

X X X

X X X

ART. 107. Indirect Employer. — The provisions of the immediately preceding Article shall likewise apply to any person, partnership, association or corporation which, not being an employer, contracts with an independent contractor for the performance of any work, task, job or project.

ART. 109. Solidary Liability. — The provisions of existing laws to the contrary notwithstanding, every employer or indirect employer shall be held responsible with his contractor or subcontractor for any violation of any provision of this Code. For purposes of determining the extent of their civil liability under this Chapter, they shall be considered as direct employers.

Based on the foregoing interpretation of Section 6 of RA 6727, the parties may enter into stipulations increasing the liability of the principal. So long as the minimum obligation of the principal, i.e., payment of the increased statutory minimum wage is complied with, the Wage Rationalization Act is not violated.

In the instant case, Article IV.4 of the service contract provides:

IV.4. In the event of a legislated increase in the minimum wage of security guards and/or in the PADPAO rate, the AGENCY may negotiate for an adjustment in the contract price. Any adjustment shall be applicable only to the increment, based on published and circulated rates and not on mere certification.

In the same vein, paragraph 3 of NFA Memorandum AO-98-03 states:

3. For purposes of wage adjustments, consider only the rate based on the Wage Order issued by the Regional Tripartite Wage Productivity Board (RTWPB). Unless otherwise provided in the Wage Order issued by the RTWPB, the wage adjustment shall be limited to the increment in the legislated minimum wage.

The parties therefore acknowledged the application to their contract of the wage orders issued by the RTWPB pursuant to RA 6727. There being no assumption by NFA of a greater liability than that mandated by Section 6 of the Act, its obligation is limited to the payment of the increased statutory minimum wage rates which, as admitted by respondent, had already been satisfied by NFA. 33 Under Article 1231 of the Civil Code, one of the modes of extinguishing an obligation is by payment. Having discharged its obligation to respondent, NFA no longer have a duty that will give rise to a correlative legal right of respondent. The latter's complaint for collection of remuneration and benefits other than the increased minimum wage rate, should therefore be dismissed for lack of cause of action.

The same goes for respondent's claim for administrative cost and margin. Considering that respondent failed to establish a clear obligation on the part of NFA to pay the same as well as to substantiate the amount thereof with documentary evidence, the claim should be denied.

2.18. Rulings of Supreme Court part of legal system.

"Judicial decisions applying or interpreting the laws or the Constitution shall form part of the legal system of the Philippines."⁷¹ The decisions referred to are those of the Supreme Court, the latter being the tribunal that by constitutional mandate, has the final word in the interpretation of a statute or a constitutional provision.⁷² By statutory *fiat* , rulings of the court of last resort applying or interpreting a statute become part of the statute itself. *Legis interpretatio*

⁷¹Art. 8, Civil Code, *Miranda v. Imperial*, 77 Phil. 1066 (1947); *Endencia v. David*, 93 Phil. 696 (1953).

⁷²*Miranda v. Imperial*, 77 Phil. 1066 (1947); *Endencia v. David*, *supra*.

legis vim obtinet. This legal maxim means that the authoritative interpretation of the Supreme Court of a statute acquires the force of law by becoming a part thereof⁷³ as of the date of its enactment, since the court's interpretation merely establishes the contemporaneous legislative intent that the statute thus construed intends to effectuate.⁷⁴ The rulings of the Supreme Court are laws in their own right because they interpret what the laws say or mean.⁷⁵

Article 8 of the Civil Code expresses the principle of *stare decisis et non qujeta novere*. It means that when the Supreme Court has once laid down a principle of law as applicable to a certain state of facts, it will adhere to that principle and apply it to all future cases where the facts are substantially the same. This principle assures certainty and stability in the legal system.⁷⁶ In other words, the interpretation by the Supreme Court placed upon the law has the force of law and establishes the contemporaneous legislative intent of law, which constitutes part of the law as of the date the statute is enacted. The interpretation continues until overruled and the new doctrine is applied prospectively in favor of the parties who have relied on the old doctrine and have acted in good faith in accordance therewith.⁷⁷

As part of the legal system and until reversed by the Supreme Court itself, rulings of the highest tribunal are binding upon inferior courts.⁷⁸ They become, to the extent applicable, the criteria that must control the actions not only of those called upon to abide thereby but also of those duty-bound to enforce obedience thereto.⁷⁹

2.19. Judicial rulings have no retroactive effect.

While a judicial ruling of the high tribunal construing a law forms part of the law as of the date of its enactment, it cannot be given retroactive effect if to do so will impair vested rights. Nor may

⁷³People v. Jabinal, G.R. No. 30061, February 27, 1974, 55 SCRA 607; Caltex (Phils.), Inc. v. Palomar, G.R. No. 19650, September 29, 1966, 18 SCRA 247.

⁷⁴Senovilla v. Hermosissimo, 100 Phil. 501 (1956); People v. Jabinal, *supra*.

⁷⁵Phil. Veterans Affairs Office v. Segundo, 164 SCRA 365 (1988).

⁷⁶Tung Chin Hui v. Rodriguez, 134 SCAD 262, 340 SCRA 765 (2000).

⁷⁷Pesca v. Pesca, G.R. No. 136921, April 17, 2001.

⁷⁸National Waterworks & Sewerage Authority v. NWSA Consolidated Union, G.R. No. 26894, February 28, 1969, 27 SCRA 227 (1969); Kabliging v. Director of Prisons, 6 SCRA 281 (1962).

⁷⁹Caltex (Phils.), Inc. v. Palomar, G.R. No. 19650, September 29, 1966, 18 SCRA 247.

a judicial ruling overruling a previous one be applied retroactively so as to nullify a right which arose under the previous ruling before its abandonment.⁸⁰

While Supreme Court decisions form part of the law of the land, they are however subject to Article 4 of the Civil Code which provides that "laws shall have no retroactive effect unless the contrary is provided." This is expressed in the legal maxim, *lex prospectiva, non respicit*, the law looks forward not backward. The rationale against retroactivity is based on the principle that retroactive application of a law usually divests rights that have already become vested or impairs the obligations of contract and hence, is unconstitutional.⁸¹

The Supreme Court may abandon or overrule its earlier decision construing a statute whenever it is right and proper to do so. For more important than anything else is that courts should be right.⁸² The Constitution provides that "no doctrine or principle of law laid down by the Court in a decision rendered *en banc* or in division may be modified or reversed except by the court sitting *en banc*."⁸³ The ruling by the court modifying or reversing a doctrine or principle operates prospectively, and rights acquired under such doctrine or principle prior to its modification or reversal may not be affected thereby.⁸⁴

In other words, the interpretation of a statute by the Supreme Court remains to be part of the legal system until the latter overrules it and the new doctrine overruling the old is applied prospectively in favor of persons who have relied thereon in good faith.⁸⁵

Illustrative of the principle is *People v. Jabinal*.⁸⁶ It appears that the Supreme Court, in *People v. Macarandang*,⁸⁷ interpreting Section 879 of the Revised Administrative Code exempting peace officers from the requirements relating to the issuance of license to possess firearms, ruled that a person appointed by a provincial gov-

⁸⁰People v. Jabinal, G.R. No. 30061, February 27, 1974, 55 SCRA 607.

⁸¹Benzonan v. Court of Appeals, 205 SCRA 516 (1992); Filoteo v. Sandigan-bayan, 75 SCAD 311, 263 SCRA 222 (1996).

⁸²Koppel (Phils.), Inc. v. Yateo, 77 Phil. 496 (1946).

⁸³Art. VIII, Sec. 4(3), 1987 Constitution, Vir-jen Shipping & Marine Services, Inc. v. National Labor Relations Commission, G.R. No. 58011, November 18, 1983.

⁸⁴Torres v. Tan Chin, 69 Phil. 518 (1940); Talareo v. Uy, 92 Phil. 52 (1952); People v. Jabinal, G.R. No. 30061, February 27, 1974, 55 SCRA 607.

⁸⁵Pesca v. Pesca, G.R. No. 136921, April 17, 2001.

⁸⁶*Supra*.

⁸⁷106 Phil. 713 (1959).

ernor as secret agent is a "peace officer" within the meaning of the law and is entitled to possess and carry firearms even without the required license and cannot therefore be prosecuted for the crime of illegal possession of firearms.⁸⁸ In *People v. Mapa*,⁸⁹ the court abandoned the doctrine enunciated in the *Macarandang* case and held that a person appointed secret agent by a provincial governor is not a "peace officer" entitled to possess and carry firearms without the required license. In view of the express abandonment of the *Macarandang* doctrine, the question raised in *People v. Jabinal* is whether a person appointed secret agent by a provincial governor and found in possession of an unlicensed firearm at a time when the *Macarandang* doctrine was still in force can be prosecuted and convicted of illegal possession of firearms. The trial court, relying on the *Mapa* ruling, convicted him of such crime. On appeal, the Supreme Court reversed the trial court's judgment of conviction, saying: "The doctrine laid down in x x x *Macarandang* was part of the jurisprudence, hence, of the law of the land, at the time appellant was found in possession of the firearms in question and when he was arraigned by the trial court. It is true that the doctrine was overruled in the *Mapa* case in 1967, but when a doctrine of this Court is overruled and a different view is adopted, the new doctrine should be applied prospectively, and should not apply to parties who had relied on the old doctrine and acted on the faith thereof. This is especially true in the construction and application of criminal laws, where it is necessary that the punishability of an act be reasonably foreseen for the guidance of society."⁹⁰

In *Co v. Court of Appeals*,⁹¹ it appears that on December 15, 1981, the Secretary of Justice issued a circular holding that "Where the check is issued as part of an arrangement to guarantee or secure the payment of an obligation, whether pre-existing or not, the drawer is not criminally liable for either estafa or violation of B.P. Blg. 22 x x x." The Supreme Court in *Que v. People*,⁹² September 21, 1987, overruled said circular and held that a check issued merely to guarantee the performance of an obligation is nevertheless covered by B.P. Blg. 22. The issue raised in *Co v. Court of Appeals*, *supra*, is whether Co could be held criminally liable under the ruling in *Que v.*

⁸⁸See *People v. Lucero*, 103 Phil. 500 (1958).

⁸⁹G.R. No. 22301, August 30, 1967, 20 SCRA 1164.

⁹⁰*People v. Jabinal*, G.R. No. 30061, February 27, 1974, 55 SCRA 607, 612.

⁹¹45 SCAD 538, 227 SCRA 444 (1993).

⁹²154 SCRA 160.

People, supra, for issuing a rubber check to guarantee the performance of an obligation, at a time when the circular of the Secretary of Justice had not been reversed. In exonerating Co from criminal liability, the Court held that the ruling in *Que v. People* could not be applied retroactively in accordance with the prospectivity principle and the doctrine that the actual existence of a statute prior to its nullification is an operative fact negating acceptance of a principle of absolute retroactive invalidity. The Court added that the weight of authority is in favor of the proposition that the Court's decision in *Que v. People, supra*, to the effect that a check issued merely to guarantee the performance of an obligation is nevertheless covered by B.P. Blg. 22 should not be given retrospective effect to the prejudice of Co and other persons similarly situated, who relied on the official opinion of the Secretary of Justice that such a check did not fall within the scope of B.P. Blg. 22.

In *Roa v. Collector of Customs*,⁹³ the court adopted the principle of *jus soli* or citizenship by place of birth. This principle was followed and accepted for a number of years until the Supreme Court abandoned it in favor of the principle of *jus sanguinis*. It has been held, however, that the abandonment by the court of *jus soli* did not divest the citizenship of those who, by virtue of the principle before its rejection, became or were declared citizens of the Philippines.⁹⁴ In another case, it has been held that "rights to property and benefits of investments acquired by contract in reliance upon a statute as construed by the Supreme Court, and which were valid contracts under the statute as thus interpreted when the contracts or investments were made, cannot be annulled or divested by subsequent decisions of the same court overruling the same decisions; that as to such contracts or investments, it will be held that the decisions which were in force when the contracts were made had established a rule of property, upon which the parties had a right to rely, and that subsequent decisions cannot retroact so as to impair rights acquired in good faith under the statute so construed by the former decisions."⁹⁵

⁹³23 Phil. 315 (1912).

⁹⁴*Torres v. Tan Chin*, 69 Phil. 516 (1940); *Talaroc v. Uy*, 92 Phil. 52 (1952); *Tan Chong v. Secretary of Labor*, 79 Phil. 249 (1947).

⁹⁵*Farrior v. New England Mortgage Co.*, 92 Ala. 176, 9 So. 532; *Fairfield v. County of Fallat*, *Fallatin*, 100 U.S. 47, 25 L. ed. 544 (1878).

In *Benzonan v. Court of Appeals*,⁹⁶ the issue raised is when to count the five-year period to repurchase under Sec. 119 of Commonwealth Act No. 141 granting applicant, his widow or legal heirs the right to repurchase the land "within the period of five years from date of conveyance." In *Monge v. Angeles*⁹⁷ and *Tupas v. Damaso*⁹⁸ decided in 1957 and 1984, respectively, the Supreme Court held that the five-year period of repurchase should be counted from the date of conveyance or foreclosure sale. However, in *Belisario v. Intermediate Appellate Court*,⁹⁹ decided in 1988, the Supreme Court ruled that the five-year period should be counted after the expiration of the one-year period of repurchase in extrajudicial foreclosure sale. In *Benzonan*, the Court held that the doctrine that should apply is that which was enunciated in *Monge* and *Tupas* because the transactions involved took place prior to *Belisario* and not that which was laid down in the latter case which should be applied prospectively.

In *Cencho Holdings, Inc. v. National Life Insurance Co.*, G.R. No. 171815 [August 7, 2007], the Court explained the effect of the doctrine enunciated in the specific case and the new doctrine which reversed an old one, as follows:

While a judicial interpretation becomes a part of the law as of the date that law was originally passed, this is subject to the qualification that when a doctrine of this Court is overruled and a different view is adopted, and more so when there is a reversal thereof, the new doctrine should be applied prospectively and should not apply to parties who relied on the old doctrine and acted in good faith. To hold otherwise would be to deprive the law of its quality of fairness and justice then, if there is no recognition of what had transpired prior to such adjudication.

It is apparent that private respondent misconceived the import of the ruling. The decision in *Columbia Pictures* does not mean that if a new rule is laid down in a case, it should not be applied in that case but that said rule should apply prospectively to cases arising afterwards. Private respondent's view of the principle of prospective application of new judicial doctrines would turn the judicial function into a mere academic

exercise with the result that the doctrine laid down would be no more than a *dictum* and would deprive the holding in the case of any force.

Indeed, when the Court formulated the *Wenphil* doctrine, which we reversed in this case, the Court did not defer application of the rule laid down imposing a fine on the employer for failure to give notice in a case of dismissal for cause. To the contrary, the new rule was applied right then and there.

2.20. Only Supreme Court en banc can modify or abandon principle of law, not any division of the Court.

Article VIII, Sec. 4(3) of the Constitution provides:

(3) Cases or matters heard by a division shall be decided or resolved with the concurrence of a majority of the Members who actually took part in the deliberations on the issues in the case and voted thereon, and in no case, without the concurrence of at least three of such Members. When the required number is not obtained, the case shall be decided *en banc*: *Provided*, That no doctrine or principle of law laid down by the court in a decision rendered *en banc* or in division may be modified or reversed except by the court sitting *en banc*.¹⁰⁰

Pursuant to the above-quoted constitutional provision, no division of the Court has the power to modify or reverse a doctrine or principle of law enunciated by either another division of the Court or the Court *en banc*, except the Court *en banc* itself.

An illustration may be cited.

In *Buenamino v. Court of Appeals*, G.R. No. 175895, April 12, 2007, the Supreme Court (First Division) ruled that decisions of the Ombudsman on disciplinary or administrative cases are final and executory, whether the penalty is more than one month suspension or dismissal from the service. This decision of the First Division modified or abandoned the doctrine in *Lapid v. Court of Appeals*,¹⁰¹ *Lopez v. Court of Appeals*,¹⁰² and *Ombudsman v. Laja*,¹⁰³ the First Division justifying its ruling on the ground that the Ombudsman amended its Rules, making its decision on disciplinary cases final and execu-

⁹⁶205 SCRA 515 (1992).

⁹⁷101 Phil. 563 (1957).

⁹⁸132 SCRA 593 (1984).

⁹⁹165 SCRA 101 (1988).

¹⁰⁰G.R. No. 142261, June 29, 2000, 334 SCRA 738.

¹⁰¹G.R. No. 144573, September 24, 2002, 389 SCRA 670.

¹⁰²G.R. No. 169241, May 2, 2006, 488 SCRA 574.

tory pending appeal regardless of the penalty it has imposed on the erring official.

However, the Court divisions in *Lapid v. Court of Appeals*, 334 SCRA 738, *Lopez v. Court of Appeals*, 389 SCRA 570 [2002], *Ombudsman v. Laja* and *Laxina v. Ombudsman*, uniformly held that only Ombudsman rulings in administrative cases imposing censure, suspension of not more than one month, or fine of not more than one month salary are final and executory, and not those of higher penalties in accordance with Sec. 27 of RA 6770, or the Ombudsman Law.

It is submitted that the first division in *Buenamino v. Court of Appeals* may not validly reverse or modify the doctrine or principle of law in the four other cases on the issue, for the following reasons:

Firstly, the Article VIII, Sec. 4(3) of the Constitution provides that only the Court *en banc* can modify or reverse any doctrine laid down by the Court either *en banc* or in division.

Secondly, the First Division in *Buenamino* relied on the amended rule of the Ombudsman, which made its decisions in disciplinary cases final and executory, pending appeal, regardless of range of the penalty imposed. Such amended rule is of doubtful validity because being an administrative rule, it cannot modify nor enlarge Sec. 27 of RA 6779 by providing that Ombudsman orders or rulings imposing penalties of suspension of more than one month, fine of equivalent to more than one month salary, or dismissal from the service final and executory, pending appeal, Sec. 27 of the law having provided otherwise. It is axiomatic that an administrative rule which violates the enabling law or modifies or enlarges its scope is null and void.

A division of the Court cannot modify or reverse a doctrine or principle of law enunciated by another division thereof. However, if what the Court has stated in a decision is not a principle of law or doctrine, but is merely an *obiter dictum*, a division of the Court may validly reject or disregard such *obiter dictum*. Thus, in *Tapador v. Ombudsman*, 429 Phil. 47 (2002), a division of the Court stated by way of *obiter dictum* that the Ombudsman has no power to directly dismiss erring officials under the Constitution and that its disciplinary power is only recommendatory. A Court division in a subsequent case rejected such *obiter dictum* and ruled that the pertinent consti-

tutional provision read in relation to the Ombudsman law granting the latter the power to directly dismiss erring officials makes the word "recommend" in the constitutional provision mandatory, as held in *Office of Ombudsman v. Masing*, G.R. No. 165416, January 22, 2008.

Finally, in *Lopez v. CA*, G.R. No. 144573 [September 24, 2002], the Court ruled:

While it is true that in *Fabian v. Desierto*, the Court declared unconstitutional Section 27 of Republic Act No. 6770, and all other provisions of law implementing the same, the declaration should be interpreted to mean that the said provisions are void only insofar as they provide that administrative appeals from the Office of the Ombudsman shall be taken finally by the Supreme Court. Under the 1997 Rules of Civil Procedure, the proper forum for administrative appeals from the Office of the Ombudsman is the Court of Appeals. The provisions of Section 27 of Republic Act No. 6770 and the Rules of Procedure of the Office of the Ombudsman with respect to the finality and execution of decisions are not affected by the ruling in *Fabian v. Desierto*, and therefore still stand.

It may be said that in view of the foregoing the First Division decision in *Buenamino v. Court of Appeals* is *pro hac vice* or for the particular occasion only. A decision of this kind does not generally constitute a precedent.

2.21. Court may issue guidelines in construing statute.

It has been held that the Supreme Court has the duty to "formulate guiding and controlling constitutional principles, precepts, doctrines, or rules."¹⁰⁸ It has been said that such guidelines are not judicial legislation, but the Court merely defines what the law is.¹⁰⁴

Thus, in *Ang Bagong Bayani-OFW Labor Party v. Comelec*,¹⁰⁶ the Court issued guidelines in the determination by COMELEC as to which parties comply with the requirements of party-list organizations allowed to participate in the party-list election system.

¹⁰⁸ *Ang Bagong Bayani-OFW Labor Party v. Comelec*, 359 SCRA 698, 714 [2001].

¹⁰⁶ *People v. Ferrer*, 48 SCRA 382 [1972].

¹⁰⁵ 359 SCRA 698, 714 [2001].

In *Republic v. CA*,¹⁰⁶ the Court in construing Article 36 of the Family Code on psychological incapacity as ground for annulment of marriage, issued eight (8) guidelines on (1) the burden of proof to show the nullity of the marriage belongs to the plaintiff, (2) the root cause of the psychological incapacity must be (a) medically or clinically identified, (b) alleged in the complaint, (c) sufficiently proven by experts, and (d) clearly explained in the decision; (3) The incapacity must be proven to be existing at "the time of the celebration" of the marriage; (4) such incapacity must also be shown to be medically or clinically permanent or incurable; (5) such illness must be grave enough to bring about the disability of the party to assume the essential obligations of marriage; (6) the essential marital obligations must be those embraced by Articles 68 up to 71 of the Family Code as regards the husband and wife as well as Articles 220, 221 and 225 of the same Code in regard to parents and their children; (7) interpretations given by the National Appellate Matrimonial Tribunal of the Catholic Church in the Philippines, while not controlling or decisive, should be given great respect by our courts; (8) the trial court must order the prosecuting attorney or fiscal and the Solicitor General to appear as counsel for the state. No decision shall be handed down unless the Solicitor General issues a certification, which will be quoted in the decision, briefly stating therein his reasons for his agreement or opposition, as the case may be, to the petition. The Solicitor General, along with the prosecuting attorney, shall submit to the court such certification within fifteen (15) days from the date the case is deemed submitted for resolution of the court.¹⁰⁷

In construing a statute, the enforcement of which may tread on sensitive areas of constitutional rights, the Court may issue guidelines in applying the statute, not to enlarge or restrict it but to clearly delineate what the law requires. This is not judicial legislation but an act to define what the law is. Thus, in *People v. Ferrer*,¹⁰⁸ the Supreme Court said that "even as we uphold the validity of the Anti-Subversion Act, we cannot overemphasize the need for prudence and circumspection in its enforcement, operating as it does in the sensitive area of freedom of expression and belief. Accordingly, we issue the following guidelines to be observed in any prosecution under the Act. The Government, in addition to proving such circumstances as

may affect liability, must establish the following elements of the crime of joining the Communist Party of the Philippines or any subversive organization: (1) In the case of subversive organization other than the Communist Party of the Philippines: (a) that the purpose of the organization is to overthrow the present Government of the Philippines and to establish in this country a totalitarian regime under the domination of a foreign power; (b) that the accused joined such organization; and (c) that he did so knowingly, wilfully and by overt acts; and (2) in the case of the Communist Party of the Philippines: (a) that the Communist Party of the Philippines continues to pursue the objectives which led Congress in 1957 to declare it to be an organized conspiracy for the overthrow of the Government by illegal means for the purpose of placing the country under the control of a foreign power; (b) that the accused joined the Communist Party of the Philippines; and (c) that he did so knowingly, wilfully and by overt acts."¹⁰⁹

In *Morales v. Enrile*,¹¹⁰ the Court construed Sec. 20, Art. IV of the 1973 Constitution, which the Court termed as "judge-made law"¹¹¹ by issuing guidelines, as follows:

"5. Our Constitution provides:

'Sec. 20. No person shall be compelled to be a witness against himself. Any person under investigation for the commission of an offense shall have the right to remain silent and to counsel, and to be informed of such right. No force, violence, threat, intimidation, or any other means which vitiates the free will shall be used against him. Any confession obtained in violation of this section shall be inadmissible in evidence.'

6. After a person is arrested and his custodial investigation begins, a confrontation arises which at best may be termed unequal. The detainee is brought to an army camp or police headquarters and there questioned and cross-examined not only by one but as many investigators as may be necessary to break down his morale. He finds himself in a strange and un-

¹⁰⁶268 SCRA 198, 209-213 [1997].

¹⁰⁷*Ibid.*

¹⁰⁸*People v. Ferrer*, G.R. No. 32613, December 27, 1972, 48 SCRA 382 (1972).

416.

¹⁰⁹*People v. Ferrer*, G.R. No. 32613, December 27, 1972, 48 SCRA 382, 415-

¹¹⁰121 SCRA 538 (1983).

¹¹¹*Florio, Jr. v. Sandiganbayan*, 75 SCAD 311, 263 SCRA 222 (1996).

familiar surrounding, and every person he meets he considers hostile to him. The investigators are well-trained and seasoned in their work. They employ all the methods and means that experience and study has taught them to extract the truth, or what may pass for it, out of the detainee. Most detainees are unlettered and are not aware of their constitutional rights. And even if they were, the intimidating and coercive presence of the officers of the law in such an atmosphere overwhelms them into silence. Section 20 of the Bill of Rights seeks to remedy this imbalance.

7. At the time a person is arrested, it shall be the duty of the arresting officer to inform him of the reason for the arrest and he must be shown the warrant of arrest, if any. He shall be informed of his constitutional rights to remain silent and to counsel, and that any statement he might make could be used against him. The person arrested shall have the right to communicate with his lawyer, a relative, or anyone he chooses by the most expedient means — by telephone if possible — or by letter or messenger. It shall be the responsibility of the arresting officer to see to it that this is accomplished. No custodial investigation shall be conducted unless it be in the presence of counsel engaged by the person arrested, by any person on his behalf, or appointed by the court upon petition either of the detainee himself or by anyone on his behalf. The right to counsel may be waived but the waiver shall not be valid unless made with the assistance of counsel. Any statement obtained in violation of the process herein laid down, whether exculpatory or inculpatory, in whole or in part, shall be inadmissible in evidence.¹¹²

The question is whether or not the Court's issuance of guidelines constitutes judicial legislation, or an encroachment on the legislative prerogative to enact laws. While the Court has the final say on what the law is as it interprets it, the interpretation should be based not only on law but also on the facts obtaining in the specific case resolved by the courts and not on future facts or circumstances.

¹¹²121 SCRA 553-554.

C. LIMITATIONS ON POWER TO CONSTRUE

2.22. Courts may not enlarge nor restrict statutes.

The vital difference between initiating policy, often involving a decided break with the past, and merely carrying out a formulated policy, indicates the relatively narrow limits within which choice is rarely open to courts and the extent to which interpreting law is inescapably making law.¹¹³ This restricts judicial freedom in the construction of a statute. While statutory construction involves choice, the court should resist the temptation to roam at will and rely on its predilections as to what policy should prevail. Interpretation must be eschewed and evisceration avoided. Common sense and good faith are the leading stars that should guide judicial construction. The search must be for, and the end result should be, reasonable interpretation.¹¹⁴

Courts may not, in the guise of interpretation, enlarge the scope of a statute and include therein situations not provided nor intended by the lawmakers. An omission at the time of enactment, whether careless or calculated, cannot be judicially supplied however later wisdom may recommend the inclusion.¹¹⁵ Courts are not authorized to insert into the law what they think should be in it or to supply what they think the legislature would have supplied if its attention had been called to the omission.¹¹⁶

They should not, by construction, revise even the most arbitrary and unfair action of the legislature, nor rewrite the law to conform with what they think should be the law.¹¹⁷ Nor may they interpret into the law a requirement which the law does not prescribe.¹¹⁸ Where a statute contains no limitations in its operation or scope, courts should not engraft any.¹¹⁹ And where a provision of law expressly limits its application to certain transactions, it cannot

¹¹³*Morales v. Subido*, G.R. No. 29656, November 29, 1966, 26 SCRA 150.

¹¹⁴*Republic Flour Mills, Inc. v. Commissioner of Customs*, G.R. No. 28463, May 31, 1971, 39 SCRA 268.

¹¹⁵*Morales v. Subido*, *supra*.

¹¹⁶*People v. Garcia*, 85 Phil. 657 (1950).

¹¹⁷*Vera v. Arellano*, 77 Phil. 192 (1946); *Baking v. Director of Prisons*, G.R. No. 30864, July 28, 1969, 28 SCRA 850; *Inchong v. Hernandez*, 101 Phil. 1155 (1957).

¹¹⁸*Palanca v. City of Manila*, 41 Phil. 125 (1920).

¹¹⁹*Hongkong & Shanghai Bank v. Peters*, 116 Phil. 264 (1910).

be extended to other transactions by interpretation.¹²⁰ To do any of such things would be to do violence to the language of the law and to invade the legislative sphere.¹²¹

Neither should courts construe statutes which are "perfectly vague." As a rule, a statute may be vague when it lacks comprehensible standards that men of common intelligence must necessarily guess at its meaning and differ as to its application. It is repugnant to the Constitution because it violates due process for failure to accord persons fair notice of the conduct to avoid and leave law enforcers unbridled discretion in carrying out its provisions. But the act must be utterly vague on its face, that is to say, it cannot be clarified by either a saving clause or by construction. A "perfectly vague" act should be distinguished from a legislation which is couched in imprecise language or from one which is ambiguous, as the latter types of legislation are subject to proper construction.¹²²

Canet v. Decena, [G.R. No. 155344, January 20, 2004] illustrates the limitations on the power of the courts to construe.

The core issue in this petition is whether or not respondent, in her capacity as Municipal Mayor, can be compelled to issue the necessary business permit to petitioner absent a municipal ordinance which would empower her to do so. In answering the issue in the negative, the Court applied rules of statutory construction on the courts' power to construe, as follows:

The pertinent provision of law in contention is Section 447(a)(3)(v) of the Local Government Code of 1991 (Republic Act No. 7160), which reads:

SEC. 447. Powers, Functions and Compensation. —

(a) The *Sangguniang Bayan* as the legislative body of the municipality shall enact ordinances, approve resolutions and appropriate funds for the general welfare of the municipality and its inhabitants pursuant to Section 16 of this Code and in the proper exercise of the corporate powers of the municipality as provided for under Section 22, and shall:

x x x

x x x

¹²⁰*Palanca v. City of Manila*, 41 Phil. 125 (1920); *Hongkong & Shanghai Bank v. Peters*, 16 Phil. 284 (1910).

¹²¹*Republic Flour Mills, Inc. v. Commissioner of Customs*, G.R. No. 28463, May 31, 1971, 39 SCRA 268; *Crisologo v. Macadaeg*, 94 Phil. 862 (1954).

¹²²*People v. Nazario*, 165 SCRA 186 (1988).

(3) Subject to the provisions of Book II of this Code, grant franchises, enact ordinances levying taxes, fees and charges upon such conditions and for such purposes intended to promote the general welfare of the inhabitants of the municipality, and pursuant to this legislative authority shall:

x x x

x x x

(v) Any law to the contrary notwithstanding, authorize and license the establishment, operation and maintenance of cockpits and regulate cockfighting and commercial breeding of gamecocks: *Provided*, That existing rights should not be prejudiced.

The Court ruled:

Petitioner admits that there is no ordinance, in Bula, Camarines Sur which authorizes the grant of a mayor's permit to operate and maintain a cockfighting arena. However, he invokes Resolution No. 049, S. 1998, wherein the *Sangguniang Bayan* authorized him to operate a cockpit. Furthermore, he cites Municipal Tax Ordinances Nos. 01, S. 1989, and 05, S. 1993, which generally provide for the issuance of a mayor's permit for the operation of businesses.

Municipal Tax Ordinances Nos. 01, S. 1989 and 05, S. 1993 contain general provisions for the issuance of business permits but do not contain specific provisions prescribing the reasonable fees to be paid in the operation of cockpits and other game fowl activities.

It was Ordinance No. 001, S. 1999 which provided for the collection of application filing fees, ocular inspection fees, mayor's permit fees, filing fees, for the institution of complaints, entrance fees and special derby assessments for the operation of cockpits. This Ordinance, however, was withdrawn by the *Sangguniang Bayan*.

Hence, there being in effect no ordinance allowing the operation of a cockpit, Resolution No. 049, S. 1998, authorizing petitioner to establish, operate and maintain a cockpit in Bula, Camarines Sur cannot be implemented. Suffice it to state in this regard that to compel respondent to issue the mayor's permit would not only be a violation of the explicit provisions of Section 447 of the Local Government Code of 1991, but would

also be an undue encroachment on respondent's administrative prerogatives.

Along the same vein, to read into the ordinances relied upon by petitioner objects which were neither specifically mentioned nor enumerated would be to run afoul of the *dictum* that where a statute, by its terms, is expressly limited to certain matters, it may not, by interpretation or construction, be extended to other matters. In other words, it is a basic precept of statutory construction that the express mention of one person, thing, act, or consequence excludes all others, as expressed in the oft-repeated maxim *expressio unius est exclusio alterius*. Elsewhere stated, *expressum facit cessare tacitum* — what is expressed puts an end to what is implied. The rule proceeds from the premise that the legislative body would not have made specific enumerations in a statute, if it had the intention not to restrict its meaning and confine its terms to those expressly mentioned.

Even on the assumption that there is in fact a legislative gap caused by such an omission, neither could the Court presume otherwise and supply the details thereof, because a legislative lacuna cannot be filled by judicial fiat. Indeed, courts may not, in the guise of interpretation, enlarge the scope of a statute and include therein situations not provided nor intended by the lawmakers. An omission at the time of the enactment, whether careless or calculated, cannot be judicially supplied however after later wisdom may recommend the inclusion. Courts are not authorized to insert into the law what they think should be in it or to supply what they think the legislature would have supplied if its attention has been called to the omission.

Courts should not, by construction, revise even the most arbitrary and unfair action of the legislature, nor rewrite the law to conform with what they think should be the law. Nor may they interpret into the law a requirement which the law does not prescribe. Where a statute contains no limitations in its operation or scope, courts should not engraft any. And where a provision of law expressly limits its application to certain transactions, it cannot be extended to other transactions by interpretation. To do any of such things would be to do violence to the language of the law and to invade the legislative sphere.

It should, furthermore, be borne in mind that cockfighting although authorized by law is still a form of gambling. Gambling is essentially antagonistic to the aims of enhancing national productivity and self-reliance. As has been previously said, a statute which authorizes a gambling activity or business should be strictly construed, and every reasonable doubt resolved so as to limit rather than expand the powers and rights claimed by franchise holders under its authority.

2.23. Courts not to be influenced by questions of wisdom.

"It is the duty of the Legislature to make the law; of the Executive to execute the law; and of the Judiciary to construe the law."¹²⁴ This division of responsibility, as mandated by the Constitution, precludes one department from encroaching upon the power of the other. Accordingly, since the legislature, by the very nature of its function, is primarily the judge of the necessity, adequacy, wisdom, reasonableness and expediency of any law,¹²⁵ courts may not take any of these matters into account in construing or interpreting the law.¹²⁶

Courts do not pass upon questions of wisdom, justice, or expediency of legislation, for it is not within their province to supervise legislation and keep it within the bounds of propriety and common sense. That is primarily and exclusively a legislative concern. Hence, as long as laws do not violate the Constitution, the courts merely interpret and apply them regardless of whether or not they are wise or salutary.¹²⁷ While "judges may regard a certain law as harsh, unwise or morally wrong, and may recommend to the authority or department concerned its amendment, modification or repeal, still, as long as said law is in force, they must apply it and give it effect as decreed by the law-making body."¹²⁸

Courts do not sit to resolve the merit of conflicting theories for debatable questions are for the legislature to decide.¹²⁹ If courts

¹²⁴U.S. v. Ang Tang Ho, 43 Phil. 1, 6 (1922).

¹²⁵Inchong v. Hernandez, 101 Phil. 1155 (1957).

¹²⁶De los Santos, v. Mallare, 87 Phil. 289 (1950); Republic v. Go Bon Lee, 111 Phil. 805 (1961); Tañada v. Cuenco, 103 Phil. 1051 (1957).

¹²⁷Angara v. Electoral Commission, 63 Phil. 139 (1936); People v. Carlos, 78 Phil. 535 (1947); Quintos v. Lacson, 97 Phil. 290 (1955); Morfe v. Mutuc, G.R. No. 20387, January 31, 1968, 22 SCRA 424.

¹²⁸People v. Limaco, 88 Phil. 35, 44 (1951).

¹²⁹Lorenzo v. Director of Health, 50 Phil. 595 (1927).

think that a particular statute is unwise or harsh, a becoming sense of decency and a recognition of their own limited sphere forbid them from amending or rewriting the law, in the guise of interpretation, to suit their own predilections or prejudices.¹²⁸ Any shortcoming of a statute is for the legislature alone to correct by appropriate enactment.¹²⁹

As well emphasized in a case: "In making choices, Congress has consulted its own wisdom, which this Court has no authority to review, much less reverse. Well has it been said that courts do not sit to resolve the merits of conflicting theories. That is the prerogative of the political departments. It is settled that questions regarding the wisdom, morality, or practicability of statutes are not addressed to the judiciary but may be resolved only by the legislative and executive departments, to which the function belongs in our scheme of government. That function is exclusive. Whichever way these branches decide, they are answerable only to their own conscience and the constituents who will ultimately judge their acts, and not to the courts of justice."¹³¹

Chapter III

AIDS TO CONSTRUCTION

A. IN GENERAL

3.01. Generally.

Where the meaning of a statute is ambiguous, the court is warranted in availing itself of all legitimate aids to construction in order that it can ascertain the true intent of the statute. These aids to construction are those found in the printed page of the statute itself, known as intrinsic aids, and those extraneous facts and circumstances outside the printed page, called extrinsic aids.

3.02. Title.

The title of a statute serves as aid, in case of doubt in its language, to its construction and to ascertaining legislative will. Where the meaning of a statute is obscure, courts may resort to its title to clear the obscurity. The title may indicate the legislative intent to extend or restrict the scope of the law, and a statute couched in a language of doubtful import will be construed to conform to the legislative intent as disclosed in its title.² The title can be resorted to as an aid where there is doubt as to the meaning of the law or as to the intention of the legislature in enacting it, and not otherwise.³

The rule that the title of a statute may properly serve as guide to ascertaining legislative intent carries more weight in this jurisdiction because of the constitutional requirement that "every bill shall embrace only one subject which shall be expressed in

¹²⁸Baking v. Director of Prisons, G.R. No. 30364, July 28, 1969, 28 SCRA 850; *Inchong v. Hernandez*, 101 Phil. 1156 (1957).

¹²⁹*Jacson v. Roque*, 92 Phil. 456 (1935); *Cornejo v. Naval*, 54 Phil. 809 (1930).

¹³¹*Magatjas v. Fryce Properties Corp., Inc.*, 53 SCAD 367, 234 SCRA 255, 268 (1994).

²U.S. v. De Guzman, 30 Phil. 416 (1914).

³*People v. Rivera*, 59 Phil. 235 (1933); *Central Capiz v. Ramirez*, 40 Phil. 883 (1920); *Government v. Municipality of Binalonan*, 32 Phil. 634 (1915).

³*Commissioner of Customs v. Relunia*, 105 Phil. 875 (1959).

the title thereof." This constitutional injunction makes the title an indispensable part of a statute, and what may inadequately be omitted in the text may be supplied or remedied by its title.⁵

The case of *City of Baguio v. Marcos*⁶ illustrates the rule. The question raised in this case is when to count the forty-year period to file a petition for reopening of cadastral proceedings as authorized by Republic Act No. 931 covering lands that "have been, or are about to be declared land of the public domain, by virtue of judicial proceedings instituted within the forty years next preceding the approval of this Act." Should the period be counted from the date the cadastral proceeding sought to be reopened was originally instituted in court, which was April 12, 1912? Or should it be counted from the date the decision therein rendered became final, which was November 25, 1922? As the petition for reopening was filed on July 25, 1961, it was filed beyond the forty-year period if the period was to be computed from the date the petition was originally filed, and not if it was to be counted from the date the decision became final. The title of the law is "An Act to authorize the filing in the proper court under certain conditions of certain claims of title to parcels of land that have been declared public land, by virtue of judicial decisions rendered within the forty years next preceding the approval of this Act." The court noted that there was an apparent inconsistency between the title and the body of the law. Nevertheless, it ruled that the starting date to count the forty-year period is the date the final decision was rendered. The court explained:

"It recites that it authorizes court proceedings of claims to parcels of land declared public by virtue of judicial decisions rendered within forty years next preceding the approval of this Act." That title is written in capital letters — by Congress itself, such kind of title then is not to be classed with words or titles used by compilers of statutes because it is the legislature speaking. Accordingly, it is not hard to come to a deduction that the phrase last quoted from R.A. No. 931 — "by virtue of judicial decisions rendered" — was but inadvertently omitted from the body. Parting from this premise, there is, at bottom, no contradiction between title and body. In line with views herein stated, the title belongs to that type of titles

which should be regarded as part of the rules or provisions expressed in the body. At the very least, the words "by virtue of judicial decisions rendered" in the title of the law stand in equal importance to the phrase in Section 1 thereof, "by virtue of judicial proceedings instituted."

In another case,⁷ the issue as to whether privately owned lands come within the scope of Act No. 2874 was resolved by a resort to its title. The court ruled that examining Act No. 2874 in detail it was intended to apply to public lands only, for the "title of the Act, always indicative of legislative intent," reads: "An Act to amend and compile the laws relating to lands of the public domain, and for other purposes." Section One of such Act provides: "The short title of this Act shall be the Public Land Act." Section Two, wherein the purpose of the Act is expressly stated, reads: "The provisions of the Act shall apply to lands of the public domain." x x x. In our interpretation of said Act, the words "and for other purposes" contained in its title, must be treated as non-existent. Under all the authorities wherein the requirement — That no bill shall embrace more than one subject, which subject shall be expressed in the title of the bill — has been considered, the words "and for other purposes" when found in the title have been held to be without force or effect whatsoever and have been altogether discarded in construing the Act.⁸

In *Ebarle v. Sucaldito*,¹⁰ the issue raised is whether Executive Order No. 264 entitled "Outlining the procedure by which complaints charging government officials and employees with commission of irregularities should be guided" applies to criminal actions, to the end that no preliminary investigation thereof can be undertaken or information filed in court unless there is previous compliance with said Executive Order. In holding that said executive order applies only to administrative and not to criminal complaints, the Supreme Court ruled that the "very title speaks of commission of irregularities." There is no mention, not even by implication, of criminal "offenses," that is to say "crimes." While "crimes" amount to "irregularities," the executive order could have very well referred to the more specific term had it intended to make itself applicable thereto, as well as to such technical terms as "accused," "convicted," or "acquitted."

⁵Article VI, Sec. 26(1), 1987 Constitution.

⁶*City of Baguio v. Marcos*, G.R. No. 26100, February 28, 1969, 27 SCRA 342; *Central Capiz v. Ramirez*, 40 Phil. 883 (1920).

⁷G.R. No. 26100, February 28, 1969, 27 SCRA 342.

⁸G.R. No. 35435, 27 SCRA 352.

⁹*Central Capiz v. Ramirez*, 40 Phil. 883 (1920).

¹⁰156 SCRA 803 (1987).

3.03. When resort to title not authorized.

When the text of the statute is clear and free from doubt, it is improper to resort to its title to make it obscure. The title may be resorted to in order to remove, but not to create, doubt or uncertainty.¹¹

3.04. Preamble.

A preamble is that part of the statute written immediately after its title, which states the purpose, reason or justification for the enactment of the law. It is usually expressed in the form of "Whereas" clauses.¹² It is generally omitted in statutes passed by the Philippine Commission, the Philippine Legislature, the National Assembly, the Congress of the Philippines and the Batasang Pambansa. In lieu of the preamble, these legislative bodies used the explanatory note to explain the reasons for the enactment of statutes. The preamble is, however, extensively used in Presidential Decrees issued by the President in the exercise of his legislative power.¹³

The preamble is not an essential part of a statute. Hence, where the meaning of a statute is clear and unambiguous, the preamble can neither expand nor restrict its operation, much less prevail over its text. Nor can a preamble be used as basis for giving a statute a meaning not apparent on its face.¹⁴

While a preamble is not, strictly speaking, a part of a statute, it may, when the statute is ambiguous, be resorted to clarify the ambiguity.¹⁵ In this connection, it has been held that a preamble is the key of the statute, to open the minds of the lawmakers as to the purpose to be achieved, the mischief to be remedied, and the object to be accomplished, by the provisions of the statute.¹⁶ In short, the preamble sets out the intention of the legislature. Hence, whenever there is ambiguity in a statute or whenever the words used therein have more than one meaning, the preamble may decide the proper construction to be given to the statute.¹⁷ Thus, a preamble

may restrict what otherwise appears to be a broad scope of a law¹⁸ or require, in the commission of a crime, an element not clearly expressed in its text.¹⁹ It may express the legislative intent to make the law apply retroactively, in which case the law has to be given retroactive effect, so as to carry out such intent.²⁰

3.05. Illustration of rule.

The case of *People v. Purisima*²¹ is a good illustration of the rule. It appears that a person was charged with violation of Presidential Decree No. 9, which penalizes, among others, the carrying outside of one's residence any bladed, blunt, or pointed weapon not used as a necessary tool or implement for livelihood, with imprisonment ranging from five to ten years. The question raised is whether the carrying of such weapon should be in furtherance of, or in relation to, subversion, rebellion, insurrection, lawless violence, criminality, chaos or public disorder, as a necessary element of the crime. It is argued that since the text of the decree is clear and does not prescribe such element, the mere carrying of such weapon outside one's residence is sufficient to constitute a violation of the law. The court ruled that pursuant to the preamble which spelled out the events that led to the enactment of the decree, namely, the state of martial law in the country, the desired result of Proclamation No. 1081 declaring a state of martial law in the country, and the fact that subversion, rebellion, insurrection, lawless violence, criminality, chaos and public disorder being committed and abetted by the use of firearms, explosives and other deadly weapons — the clear intent and spirit of the decree is to require the motivation mentioned in the preamble as an indispensable element of the crime. The court noted that the severity of the penalty for the violation of the decree suggests that it is a serious offense, which may only be justified by associating the carrying out of such bladed or blunt weapon with any of the purposes stated in its preamble.

¹¹*People v. Rivera*, 59 Phil. 232 (1933); *Commissioner of Customs v. Relunina*, 105 Phil. 876 (1959).

¹²*People v. Purisima*, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

¹³See Sec. 1, 23, *supra*.

¹⁴*People v. Garcia*, 85 Phil. 663 (1950).

¹⁵*People v. Purisima*, *supra*; *People v. Garcia*, 85 Phil. 663 (1950).

¹⁶*People v. Purisima*, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

¹⁷*U.S. v. Go Chio*, 14 Phil. 128 (1909).

¹⁸*People v. Echavez*, G.R. No. 47757, January 28, 1980, 95 SCRA 663; *Alliance of Government Workers v. Ministry of Labor*, G.R. No. 50403, August 3, 1983.

¹⁹*People v. Purisima*, *supra*; *People v. Lides*, 108 Phil. 995 (1960).

²⁰*PNB v. Office of the President*, 67 SCAD 78, 252 SCRA 6 (1996); *Eugenio v. Drilon*, 67 SCAD 4, 252 SCRA 106 (1996).

²¹86 SCRA 542 (1978).

In another case,²² the issue raised is whether a person who squatted on a pastoral land could be held criminally liable for violation of Presidential Decree No. 772, which punishes "any person who, with the use of force, intimidation or threat, or taking advantage of the absence or tolerance of the landowner, succeeds in occupying or possessing the property of the latter against his will for residential, commercial or any other purposes." The decree was promulgated to solve the squatting problem which, according to its preamble, "is still a major problem in urban communities all over the country" and because "many persons or entities found to have been unlawfully occupying public and private lands belong to the affluent class." The court answered the issue in the negative and said that the crime may only be committed in urban communities and not in agricultural or pastoral lands because the preamble of the decree shows that it was intended to apply to squatting in urban lands, more particularly to illegal constructions in squatter areas made by well-to-do individuals.

3.06. Context of whole text.

The best source from which to ascertain the legislative intent is the statute itself — the words, phrases, sentences, sections, clauses, provisions — taken as a whole and in relation to one another. Legislative intent should accordingly be ascertained from a consideration of the whole context of the statute and not from an isolated part or particular provision.²³ The context may circumscribe the meaning of a statute; it may give to a word or phrase a meaning different from its usual or ordinary signification. In such a case, the meaning dictated by the context prevails.²⁴

Every section, provision or clause of the statute must be expounded by reference to each other in order to arrive at the effect contemplated by the legislature. The intention of the legislature must be ascertained from the whole text of the law and every part of the act is taken into view.²⁵

²²*People v. Echavez*, G.R. No. 47757, January 28, 1980, 95 SCRA 663; see also *Bernardo v. People*, G.R. No. 62114, July 5, 1983.

²³*Abotiz Shipping Corp. v. City of Cebu*, G.R. No. 14526, March 31, 1965, 13 SCRA 449; *Alaportia v. Court of Appeals*, G.R. No. 39419, April 12, 1982, 113 SCRA 459.

²⁴*People v. Chavez*, 120 Phil. 1019 (1964); *Krivevko v. Register of Deeds*, 79 Phil. 461 (1967).

²⁵*Commissioner of Internal Revenue v. TMM Sales, Inc.*, 205 SCRA 184 (1992).

3.07. Punctuation marks.

Punctuations, such as a comma, a semi-colon, and a period are grammatical marks. A semi-colon is used to indicate a separation in the relation of the thought, a degree greater than that expressed by a comma; and what follows a semi-colon must have a relation to the same matter which precedes it. The comma, and the semi-colon are both used for the same purpose, namely, to divide sentences and parts of sentences, the only difference being that the semi-colon makes the division a little more pronounced than the comma. They are not used to introduce a new idea.²⁶ A period is a mark used to indicate the end of a sentence.

It is a rule of legal hermeneutics that punctuation marks are aids of low degree and can never control against the intelligible meaning of written words.²⁷ The reason is that punctuation marks are not part of a statute; nor are they part of the English language.²⁸ Where there is, however, an ambiguity in a statute which may be partially or wholly solved by a punctuation mark, it may be considered in the construction of the statute. Thus, the qualifying effect of a word or phrase may be confined to its last antecedent if the latter is separated by a comma from the other antecedents.²⁹ If the punctuation gives the statute a meaning which is reasonable and in apparent accord with the legislative will, it may be used as additional argument for adopting the literal meaning of the words as thus punctuated. But an argument based upon punctuation alone is not persuasive, and the courts will not hesitate to change the punctuation when necessary, to give the statute the effect intended by the legislature, disregarding superfluous or incorrect punctuation marks and inserting others where necessary.³⁰

3.08. Illustrative examples.

In a case, the question raised is whether the phrase "who may be willing to accept the same for such settlement," which implies discretion, in the provision of law to the effect that the holder of

²⁶*Agcaoili v. Suguitan*, 48 Phil. 678 (1926).

²⁷*Ibid.*; *In re Estate of Johnson*, 39 Phil. 156 (1918).

²⁸*Feliciano v. Aquino*, G.R. No. 10201, September 23, 1957.

²⁹*Nera v. Garcia*, 106 Phil. 1031 (1960); *Florentino v. Phil. National Bank*, 98 Phil. 959 (1956).

³⁰*Florentino v. Phil. National Bank*, 98 Phil. 959 (1956).

backpay certificate may apply the same for payment of "obligations subsisting at the time of the approval of this amendatory act for which the applicant may directly be liable to the government or to any of its branches or instrumentalities, or to corporations owned or controlled by the government, or to any citizens of the Philippines or to any association or corporation organized under the laws of the Philippines, who may be willing to accept the same for such settlement," qualifies only its last antecedent, which is "any citizen of the Philippines or any association or corporation organized under the laws of the Philippines." The court held that there is a comma between the phrase "or any citizen, etc." separating said phrase from the preceding ones, and this implies that the qualifying phrase applies only to its immediate antecedent, pursuant to which backpay certificate holders can compel government-owned banks to accept said certificate for payment of their obligations subsisting at the time the amendatory act was approved.³¹

Similarly, where a statute authorizes the preventive suspension of an employee pending an investigation "if the charge against such subordinate or employee involves dishonesty, oppression, or grave misconduct or neglect in the performance of duty," the phrase "in the performance of duty" qualifies only the words "grave misconduct or neglect" because, as the court explained, "there is a comma after the words dishonesty and oppression, thereby warranting the conclusion that only the phrase 'grave misconduct or neglect' is qualified by the words 'in the performance of duty,'" so that "dishonesty and oppression, to warrant punishment or dismissal, need not be committed in the course of the performance of duty by the person charged."³²

In another case,³³ the issue refers to the effect of a comma that separates the clause "with subsidiary imprisonment in case of insolvency" from the preceding clause, "is hereby sentenced to three months of *arresto mayor* with accessory penalties of the law," to pay a fine of Five Hundred (P500.00) pesos, to indemnify the offended party, Mayor Arsenio Lacson, in the sum of Ten Thousand (P10,000.00)

³¹*Supra.*

³²*Nera v. Garcia*, 106 Phil. 1031, 1035 (1960). But see *Cornejo v. Novel*, 54 Phil. 809 (1930), where it has been held that the phrase "neglect of duty, oppression, corruption or other forms of maladministration in office" as grounds for removal of public officers is limited to those relating to the office and not to personal behavior, since the phrase "in office" qualifies all antecedents.

³³*People v. Subido*, G.R. No. 21735, September 5, 1975, 66 SCRA 545.

pesos." The question is: In case of insolvency, will the accused be required to serve subsidiary imprisonment for failure to pay not only the fine but also the indemnity, under such decision? The court held that the use of a comma is to make the "subsidiary imprisonment in case of insolvency" refer not only to nonpayment of the indemnity but also to nonpayment of the fine. The court added that if the intention is to make the phrase "with subsidiary imprisonment in case of insolvency" refer to nonpayment of indemnity only and not to the nonpayment of the fine, it would have omitted the comma after the phrase "to indemnify the offended party, Mayor Arsenio Lacson in the amount of P10,000.00 pesos."³⁴

3.09. Capitalization of letters.

Like punctuation marks, capitalization of letters is an aid of low degree in the construction of statute. For instance, in a statute which provides that "a will made within the Philippine Islands by a citizen or subject of another state or country, which is executed in accordance with the law of the state or country of which he is a citizen or subject, and which might be proved and allowed by law of his own state or country, may be proved, allowed and recorded in the Philippine Islands, and shall have the same effect as if executed according to the laws of these Islands," in force at a time when the Philippines was still a territory of the United States, the fact that the words "state" and "country" are not capitalized does not mean that the United States is excluded from the phrase "another state or country."³⁵

In another case,³⁶ it was contended that employees in the unclassified service of the government are not entitled to security of tenure as guaranteed by the Constitution because the use of the capital letters in the words "Civil Service" in Sections 1 and 4 of Article XII of the 1935 Constitution and the use of the small letters for the same words "civil service" in the Civil Service Act indicate that only those pertaining to the classified service are protected by the constitutional provision on security of tenure. The court said that there is "no validity in this argument." Capital 'C' and 'S' in the words 'Civil Service' were used in the Constitution to indicate

³⁴Art. 39 of the Revised Penal Code, as amended by Rep. Act No. 5465 eliminating subsidiary imprisonment in case of non-payment of the civil liability.

³⁵*In re Estate of Johnson*, 39 Phil. 156 (1918).

³⁶*Unabia v. City Mayor*, 99 Phil. 253 (1956).

the group. No capitals are used in the similar provisions of the Code to indicate the system.³⁷ There is "no difference between the use of capitals in the former and of small letters in the latter. There is no reason for excluding persons in the unclassified service from the benefits extended to those belonging to the classified service."³⁸

3.10. Headnotes or epigraphs.

Headnotes, headings or epigraphs of sections of a statute are convenient index to the contents of its provisions. They are prefixed to sections or chapters of a statute for ready reference or classification.³⁹ In case of doubt or ambiguity in the meaning of the law or the intention of the legislature, they may be consulted in aid of interpretation.⁴⁰

Headings or epigraphs are not, however, entitled to much weight, and inferences drawn therefrom are of little value and they can never control the plain terms of the enacting clauses, for they are not part of the law. It has been held that when a statute is divided into several subjects or articles, having respective appropriate headings, it must be presumed that the provisions of each article are controlling upon the subject thereof and operate as a general rule for settling such questions as are embraced therein. But the rule accepted by most of the authorities is that if the chapter or section heading has been inserted merely for convenience or reference, and not as integral part of the statute, it should not be allowed to control interpretation.⁴¹

Where the text of a statute is clear and unambiguous, there is neither necessity nor propriety to resort to the headings or epigraphs of a section for interpretation of the text, especially where such epigraphs or headings are mere catchwords or reference aids indicating the general nature of the text that follows.⁴² The "epigraphs, or headings, of a section, being nothing more than a convenient index to the contents of the provision, cannot have the

³⁷*Ibid.* at pp. 255-256.

³⁸*In re Estate of Johnson*, 39 Phil. 156 (1918); *Kare v. Platon*, 56 Phil. 248 (1931).

³⁹*Commissioner of Customs v. Relunina*, 105 Phil. 875 (1959); *People v. Desiderio*, G.R. No. 20805, November 29, 1965, 15 SCRA 402.

⁴⁰*Kare v. Platon*, 56 Phil. 248 (1931); *Commissioner of Customs v. Relunina*, 105 Phil. 875 (1959).

⁴¹*People v. Yabut*, 58 Phil. 499 (1933).

effect of limiting the operative words contained in the body of the text."⁴³

Thus, the word "another" in the heading of Article 160 of the Revised Penal Code which states in part: Art. 160. Commission of another crime during service of penalty imposed for another previous offense. — Besides the provisions of Rule 5 of Article 62, any person who shall commit a felony after having been convicted by final judgment, before beginning to serve such sentence, or while serving the same, shall be punished by the maximum period of the penalty prescribed by law for the new felony,⁴⁴ cannot limit the text of the article to mean that it is applicable only when the new crime committed is different from the crime for which the accused is serving sentence and not when the new and old crimes are of the same kind, such as homicide, for such deduction is not warranted by the plain and unambiguous language of the text. Secondary aids, such as headnotes or epigraphs, may be consulted to remove, but not to create, doubt nor to limit or control the plain language of the law.⁴⁵

3.11. Lingual text.

Philippine laws are officially promulgated either in English, Spanish or Filipino, or either in two such languages. The rule is that, unless otherwise provided, where a statute is officially promulgated in English and Spanish, the English text shall govern, but in case of ambiguity, omission or mistake, the Spanish may be consulted to explain the English text.⁴⁶ Where, however, a statute is officially promulgated in Spanish or in English or in Filipino, with translations into other languages, the language in which it is written prevails over its translation. Thus, the Revised Penal Code having been originally enacted in Spanish, the Spanish text governs as against the English text.⁴⁷ On the other hand, since the Judiciary Act of 1948 was approved in English, the English version thereof controls as against its Spanish translation.⁴⁸

⁴³*In re Estate of Johnson*, 39 Phil. 156, 166 (1918).

⁴⁴*People v. Yabut*, 58 Phil. 499 (1933).

⁴⁵Sec. 15, Revised Administrative Code.

⁴⁶*People v. Abilang*, 82 Phil. 172 (1948); *Bakting v. Director of Prisons*, G.R. No. 30364, July 28, 1969, 28 SCRA 850.

⁴⁷*Traders Insurance & Surety Co. v. Golangco*, 95 Phil. 824 (1954).

The 1987 Constitution provides that the national language of the Philippines is Filipino. Section 20, Book I, Chap. 4 of the 1987 Administrative Code provides: "In the interpretation of a law or administrative issuance promulgated in all the official languages, the English text shall control, unless otherwise specially provided. In case of ambiguity, omission or other mistake, the other texts may be consulted."⁴⁷

3.12. Intent or spirit of law.

The intent or spirit of the law is the law itself.⁴⁸ For this reason, legislative intent or spirit is the controlling factor, the leading star and guiding light in the application and interpretation of a statute.⁴⁹ If a statute needs construction, the influence most dominant in that process is the intent or spirit of the act.⁵⁰ The spirit, rather than the letter, of a statute determines its construction;⁵¹ hence, a statute must be read according to its spirit or intent.⁵² For what is within the spirit is within the statute although it is not within the letter thereof, and that which is within the letter but not within the spirit is not within the statute.⁵³ Stated differently, a thing which is within the intent of the lawmaker is as much within the statute as if within the letter; and a thing which is within the letter of the statute is not within the statute unless within the intent of the lawmakers.⁵⁴

The intent or spirit of a statute is that which is expressed in the words thereof, which should be discovered within its four corners

⁴⁷Art. XIV, Sec. 6, 1987 Constitution.

⁴⁸U.S. v. Tamparong, 31 Phil. 321 (1915); Torres v. Limjap, 56 Phil. 141 (1931); Tamayo v. Gaell, 35 Phil. 953 (1916); Senenillas v. Hermosissima, 100 Phil. 501 (1956).

⁴⁹Yellow Taxi & Pasey Transp. Workers' Union v. Manila Yellow Taxi Cab Co., 80 Phil. 833 (1949); Ledesma v. Pictain, 79 Phil. 95 (1947); Garcia v. Ambler, 4 Phil. 81 (1904); McMeeking v. Lichauco, 27 Phil. 386 (1914).

⁵⁰De Jesus v. City of Manila, 29 Phil. 73 (1914).

⁵¹Manila Race Horse Trainers Assn. v. De la Fuente, 88 Phil. 60 (1951); Go Chi v. Go Cho, 96 Phil. 622 (1955); Hidalgo v. Hidalgo, G.R. No. 26326, May 29, 1970, 33 SCRA 105.

⁵²Roa v. Collector of Customs, 23 Phil. 315 (1912).

⁵³Manila Race Horse Trainers Assn., Inc. v. De la Fuente, *supra*; Villanueva v. City of Iloilo, G.R. No. 26521, December 28, 1968, 26 SCRA 578; People v. Purisima, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

⁵⁴Roa v. Collector of Customs, *supra*; U.S. v. Go Chico, 14 Phil. 128 (1909); Alonzo v. IAC, 150 SCRA 259 (1987), citing Ruben E. Agpallo, *Statutory Construction*, 1986 ed., pp. 64-65.

aided, if necessary, by its legislative history.⁵⁵ If legislative intent or spirit is not expressed in some appropriate manner, the courts cannot by interpretation speculate as to an intent and supply a meaning not found in the phraseology of the law. They cannot assume an intent in no way expressed and then construe the statute to accomplish the supposed intention, for otherwise they would pass beyond the bounds of judicial power to usurp legislative power.⁵⁶

3.13. Policy of law.

The policy of the law, once ascertained should be given effect by the judiciary.⁵⁷ One way of accomplishing this mandate is to give a statute of doubtful meaning, a construction that will promote public policy.⁵⁸ A construction which would carry into effect the evident policy of the law should be adopted in favor of that interpretation which would defeat it.⁵⁹ A decent respect for the policy of the law must save the court from imputing to it a self-defeating, if not disingenuous, purpose.⁶⁰

For instance, the policy of the homestead law is to conserve the land which a homesteader has acquired under the Public Land Act, for him and his heirs. For this reason, the law requires that "except in favor of the Government or any of its branches, units, or institutions, lands acquired under free patent or homestead provisions shall not be subject to encumbrance or alienation from the date of the approval of the application and for a term of five years from and after the date of the issuance of the patent or grant." To give effect to such policy, said provision should not be literally construed to mean that the five-year period should commence from the date of the issuance of the patent or grant, but from the date of an order for the issuance of a patent, insofar as the prohibition from alienation is concerned, for otherwise the intent and policy of the

⁵⁵Manila Lodge No. 761 v. Court of Appeals, G.R. No. 41001, September 30, 1976, 73 SCRA 162.

⁵⁶Regalado v. Yulo, 61 Phil. 173 (1935); Borromeo v. Mariano, 41 Phil. 322 (1921).

⁵⁷Automotive Parts & Equipment Co. v. Longad, G.R. No. 26406, October 30, 1969, 30 SCRA 248; Macabenta v. Davao Stevedoring Terminal, G.R. No. 27489, April 30, 1970, 32 SCRA 553.

⁵⁸Adong v. Cheong Seng Gee, 43 Phil. 43 (1922).

⁵⁹Tinio v. Francis, 98 Phil. 32 (1955); Nilo v. Court of Appeals, G.R. No. 34586, April 12, 1984.

⁶⁰Bocobo v. Estanislao, G.R. No. 30458, August 31, 1976, 72 SCRA 520.

law may be avoided by the homestead by postponing the getting of his patent.⁶¹

The general policy of the State is against double pensions for the same services. Hence, in construing or applying pension and gratuity laws, they will be so interpreted as to prevent any person from receiving double compensation, in the absence of express provision allowing him to receive double compensation. Thus, a law which grants retirable employees certain gratuity "in addition to other benefits to which they are entitled under existing laws" cannot be so construed as to authorize the grant of double gratuity the phrase "other benefits" which can be interpreted to embrace refund of contributions and payment of the money value of accumulated vacation and sick leaves not being so clear as to override the general policy against double pensions.⁶²

3.14. Purpose of law or mischief to be suppressed.

In construing a statute, the purpose or object of the law or the mischief intended to be removed or suppressed and the causes which induced the enactment of the law are important factors to be considered in its construction.⁶³ The court must look to the object to be accomplished, the evils to be remedied, or the purpose to be subserved, and should give the law a reasonable or liberal construction which will best effectuate its purpose.⁶⁴ The purpose of a statute is more important than rules of grammar and logic in ascertaining its meaning.⁶⁵ A statute must be read in such a way as to give effect to the purpose projected in the statute.⁶⁶ For a statute derives its vitality from the purpose for which it is enacted and to construe it in a manner that disregards or defeats such purpose is to nullify or destroy the law.⁶⁷ But courts cannot assume some purpose

in no way expressed and then construe the statute to accomplish the supposed purpose.⁶⁸

However, where a statute lays down a general rule with certain exceptions thereto, the purpose of the general rule is not determinative of the proper construction to be given to the exceptions.⁶⁹

3.15. Dictionaries.

Where a statute does not define the words or phrases used therein, nor does its purpose or the context in which the words or phrases are employed indicate their meaning, the courts may consult dictionaries, legal, scientific, or general, as aid in determining the meaning to be assigned to such words or phrases.⁷⁰ While definitions given by lexicographers are not binding,⁷¹ courts have adopted, in proper cases, such definitions to support their conclusion as to the meaning of the particular words or terms used in a statute,⁷² especially where no strong reason exists why their dictionary meaning should not be adopted in the construction of the statute.⁷³

Dictionaries generally define words in their natural, plain and ordinary acceptance and significance. Where the law does not define the words used in a statute and the legislature has not intended a technical or special legal meaning to those words, the Court may adopt the ordinary meaning of the words as defined in the dictionaries. For the intention of the lawmakers, who are ordinarily untrained philologists and lexicographers, to use statutory phraseology in such a manner is always presumed.⁷⁴

⁶¹*Union v. Francis*, 98 Phil. 32 (1965).

⁶²*Cejin v. Mathay*, 124 SCRA 710 (1983).

⁶³*Phil. Sugar Central Agency v. Collector of Customs*, 51 Phil. 131 (1927); *U.S. v. De Guzman*, 30 Phil. 416 (1915); *Caltex (Phil.)*, Inc. v. Palomar, G.R. No. 19650, September 29, 1966, 18 SCRA 247.

⁶⁴*Escobano v. Ayala*, G.R. No. 30375, September 12, 1978, 85 SCRA 245; *Home Ins. Co. v. Eastern Shipping Lines*, G.R. No. 34382, July 20, 1983, 123 SCRA 424.

⁶⁵*Iltek Employees Assn. v. Eduvala*, G.R. No. 41106, September 22, 1977, 79 SCRA 88.

⁶⁶*Lopez v. Court of Appeals*, 215 SCRA 512 (1992).

⁶⁷*Sarcos v. Castillo*, G.R. No. 29755, January 31, 1969, 26 SCRA 861 (1969).

⁶⁸*Regalado v. Yulo*, 61 Phil. 173 (1935).

⁶⁹*Central Azucarera Don Pedro v. Central Bank*, 104 Phil. 598 (1958).

⁷⁰*Kuenzle & Streiff v. Collector of Customs*, 32 Phil. 510 (1915); *La Do & Lu Ym Corp. v. Central Bank*, 108 Phil. 566 (1960); *Garvida v. Sales, Jr.*, 82 SCAD 188, 271 SCRA 767 (1997); *Ramirez v. Court of Appeals*, 64 SCAD 636, 247 SCRA 590 (1995).

⁷¹*Luzon Stevedoring Co. v. Trinidad*, 43 Phil. 803 (1922).

⁷²*De Ponce v. Sagario*, 85 Phil. 79 (1949); *Anti-Graft League of the Phils., Inc. v. Ortega*, G.R. No. 33912, September 11, 1980, 90 SCRA 644; *People v. Rodil*, G.R. No. 35156, November 20, 1981, 109 SCRA 308.

⁷³*La Do & Lu Ym Corp. v. Central Bank*, 108 Phil. 566 (1960); *Borrowmeo v. Pagay*, 126 SCRA 317 (1983).

⁷⁴*Estrada v. Sandiganbayan*, G.R. No. 148560, November 19, 2001.

3.16. Consequences of various constructions.

In construing a statute, the consequences of the various constructions offered will be inquired into as additional aid to interpretation.⁷⁶ Will the statute be given a literal, strict, or liberal interpretation? Will it be accorded a restrictive or expansive meaning? Will it be construed retroactively or not? Has a later law impliedly repealed a prior act on the same subject? What are the consequences of one construction as compared to the other? In construing a statute, the objective should always be to arrive at a reasonable and sensible interpretation that is in full accord with the legislative intent. As a general rule, a construction of a statute should be rejected that will cause injustice or hardship;⁷⁸ result in absurdity;⁷⁷ defeat legislative intent or spirit;⁷⁸ preclude accomplishment of legislative purpose or object;⁷⁹ render certain words or phrases a surplusage;⁸⁰ nullify the statute or make any of its provisions nugatory.⁸¹

3.17. Presumptions.

In construing a statute, the court may properly rely on presumptions as to legislative intent in order to resolve doubts as to its correct interpretation. Presumptions are based on logic, experience and common sense, and in the absence of compelling reasons to the contrary, doubts as to the proper and correct construction of a statute will be resolved in favor of that construction which is in accord with the presumption on the matter. These presumptions include the presumptions in favor of the constitutionality of a statute,⁸² of its completeness,⁸³ of its prospective operation,⁸⁴ of right and justice,⁸⁵ of its effective, sensible, beneficial and reasonable operation as a whole,⁸⁶ as well as those against inconsistency and implied repeal,⁸⁷

⁷⁶ *Aranaeta v. Dinglasan*, 84 Phil. 368 (1949); *People v. Purisima*, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

⁷⁷ See Sec. 4.17, *infra*.

⁷⁸ See Sec. 4.16, *infra*.

⁷⁹ See Sec. 2.05, *supra*; Sec. 4.08, *infra*.

⁸⁰ See Sec. 2.06, *supra*; Sec. 3.14, *supra*; Sec. 4.10, *infra*.

⁸¹ See Sec. 6.09, *infra*.

⁸² See Sec. 6.07, *infra*.

⁸³ See Secs. 1.32, *supra*, 6.13, *infra*.

⁸⁴ See Sec. 6.10, *infra*.

⁸⁵ See Sec. 9.03, *infra*.

⁸⁶ See Sec. 4.17, *infra*.

⁸⁷ See Sec. 6.04, *etc.*, *infra*.

⁸⁸ See Sec. 10.24, *infra*.

unnecessary changes in law,⁸⁸ impossibility,⁸⁹ absurdity,⁹⁰ injustice and hardship,⁹¹ inconvenience and ineffectiveness.⁹²

B. LEGISLATIVE HISTORY

3.18. Generally.

It is a well-settled rule of statutory construction that where a statute is susceptible of several interpretations or where there is ambiguity in its language, there is no better means of ascertaining the will and intention of the legislature than that which is afforded by the history of the statute.⁹³ By looking at and investigating the legislative history of the statute, the court will be able to arrive at its correct interpretation.⁹⁴ For this purpose, the court may take judicial notice of the origin and history of the statute which it is called upon to construe and apply, and of the facts which affect its derivation, validity and operation.⁹⁵

3.19. What constitutes legislative history.

Generally speaking, the history of a statute refers to all its antecedents from its inception until its enactment into law. Its history proper covers the period and the steps done from the time the bill is introduced until it is finally passed by the legislature.⁹⁶ It includes the President's message if the bill is enacted in response thereto, the explanatory note accompanying the bill, committee reports of legislative investigations and public hearings on the subject of the bill, the sponsorship speech, the debates and deliberations concerning the bill, its amendments and changes in phraseology in which it undergoes before final approval thereof.

⁸⁸ See Sec. 6.15, *et seq.*, *infra*.

⁸⁹ See Sec. 4.22, *infra*.

⁹⁰ See Sec. 4.14, *infra*.

⁹¹ See Sec. 4.15, *infra*.

⁹² See Sec. 4.16, *infra*.

⁹³ *Greenfield v. Meer*, 77 Phil. 394 (1946); *Valera v. Tusson*, 80 Phil. 823 (1948);

Go Chio v. Martinez, 45 Phil. 256 (1923); *Canovas v. Batangas Transp. Co.*, G.R. No. 19868, March 31, 1965, 13 SCRA 512.

⁹⁴ *Collector of Internal Revenue v. Zamora*, 118 Phil. 164 (1963); *Director of*

Lands v. Abaya, 63 Phil. 559 (1936).

⁹⁵ *U.S. v. De Guzman*, 30 Phil. 416 (1915).

⁹⁶ *Tamayo v. Gsell*, 35 Phil. 953 (1916).

If the statute is based on, or is a revision of, a prior statute, the latter's practical application and judicial construction, the various amendments it underwent, and the contemporary events at the time of its enactment form part of its legislative history. If the statute is borrowed from, or modelled upon, Anglo-American precedents or other foreign sources, its history includes the history of such precedents, and for a proper construction of the statute sought to be construed, it is oftentimes essential to review such legislative history and find authoritative guide for its interpretation from such precedents, their practical application, and the decisions of the courts construing and applying such precedents in the country of origin.⁹⁷

In *Celestial Nickel Mining Exploration Corp. v. Microasia Corp.*, G.R. No. 169080 [December 19, 2007], the Court held:

It is a well-established principle that in the interpretation of an ambiguous provision of law, the history of the enactment of the law may be used as an extrinsic aid to determine the import of the legal provision or the law. History of the enactment of the statute constitutes prior laws on the same subject matter. Legislative history necessitates review of "the origin, antecedents and derivation" of the law in question to discover the legislative purpose or intent. It can be assumed "that the new legislation has been enacted as continuation of the existing legislative policy or as a new effort to perpetuate it or further advance it."

3.20. President's message to legislature.

The Constitution provides that the "President shall address the Congress at the opening of its regular session. He may also appear before it at any other time."⁹⁸ The President's address or message usually contains proposed legislative measures. The President's message indicates his thinking on the proposed legislation which, when enacted into law, follows his line of thinking on the matter.⁹⁹ Courts may, thus, refer to the messages of the President to the leg-

⁹⁷U.S. v. De Guzman, 30 Phil. 416 (1915); Kepner v. U.S., 11 Phil. 669 (1904); Alzua v. Johnson, 21 Phil. 308 (1912).

⁹⁸Art. VII, Sec. 23, 1987 Constitution.

⁹⁹Topacio Nuevo v. Angeles, 76 Phil. 12 (1946).

islature to determine legislative intent of the statute enacted in response to the President's request embodied in such messages.¹⁰⁰

3.21. Explanatory note.

An explanatory note is a short exposition or explanation accompanying a proposed legislation by its author or proponent. It contains statements of the reason or purpose of the bill, as well as arguments advanced by its author in urging its passage.¹⁰¹

Where there is ambiguity in a statute or where a statute is susceptible of more than one interpretation, courts may resort to the explanatory note to clarify the ambiguity and ascertain the purpose or intent of the statute.¹⁰² The statute may then be so construed as to give effect to the purpose or intent as disclosed in its explanatory note.¹⁰³ Thus, where the question involved is whether a statute affected or changed an existing law and the explanatory note to the bill which was eventually enacted into law states that the purpose is simply to secure prompt action on a certain matter by the officer concerned and not to change the existing law, the statute should be construed to carry out such purpose.¹⁰⁴ And where an examination of the explanatory note and the discussion on the bill discloses indisputably that a penal statute was really intended as an emergency measure to cope with the abnormal situation created by the subversive activities of seditious organization at the time of its passage, the statute should be so construed as to require, as an element of the crime, membership in such seditious organization, even if the text of the statute is silent on its face as to such requirement, in order to effectuate legislative intent.¹⁰⁵

The explanatory note may not, however, be used as basis for giving a statute a meaning that is inconsistent with what is expressed in the text of the statute. An explanatory note is resorted to only for clarification in case of doubt, and not where there is no

¹⁰⁰Camacho v. Court of Industrial Relations, 80 Phil. 848 (1948).

¹⁰¹Cf. People v. Lidres, 108 Phil. 995 (1960).

¹⁰²Basiana v. Luna, G.R. No. 34135, February 24, 1981, 103 SCRA 49; Libares v. Executive Secretary, G.R. No. 21505, October 24, 1963, 9 SCRA 261; People v. Olarte, 108 Phil. 756 (1960).

¹⁰³Baga v. Phil. National Bank, 99 Phil. 889 (1956); Nepomuceno v. Ocampo, 95 Phil. 292 (1954).

¹⁰⁴Nepomuceno v. Ocampo, 95 Phil. 292 (1954).

¹⁰⁵People v. Lidares, 108 Phil. 995 (1960); People v. Purisima, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

ambiguity in the law.¹⁰⁶ Neither can it be used as justification to read a meaning that does not appear, nor is reflected, in the language of a statute.¹⁰⁷ Being written only by the author or proponent of the bill, the explanatory note is a mere expression of the author's views and reasons for the proposed legislation and may not accordingly override the clear legislative meaning or intent as expressed in the statute itself.¹⁰⁸

3.22. Legislative debates, views and deliberations.

Courts may avail themselves of the actual proceedings of the legislative body to assist in determining the construction of a statute of doubtful meaning.¹⁰⁹ They may resort to the legislative deliberations in the legislature on a bill which eventually was enacted into law to ascertain the meaning of its provisions. Thus, where there is doubt as to what a provision of a statute means, that meaning which was put to the provision during the legislative deliberation or discussion on the bill may be adopted.¹¹⁰

However, the views expressed by the legislators during deliberations of a bill as to the bill's purpose, meaning, or effect are not controlling in the interpretation of the law.¹¹¹ For statements made by assemblymen during floor deliberations do not necessarily reflect the views of the assembly. It is impossible to determine with authority what construction was put upon an act by the members of the legislative body that passed the bill, by resorting to the speeches of the members thereof. Those who did not speak may not have agreed with those who did; and those who spoke might differ with each other.¹¹² And even if the statements of those who spoke reflect the views of the assembly, if the act as passed is plain and clear, then

¹⁰⁶*People v. Garcia*, 85 Phil. 657 (1960).

¹⁰⁷*Chong Yung Fa v. Giamzon*, 97 SCRA 913 (1965).

¹⁰⁸*Guzman v. Municipality of Taytay*, 65 Phil. 340 (1938).

¹⁰⁹*Palanca v. City of Manila*, 41 Phil. 125 (1920); *Steel Mill, Inc. v. Central Bank*, 162 SCRA 628 (1988).

¹¹⁰*Arenas v. City of San Carlos*, G.R. No. 34024, April 5, 1978, 82 SCRA 318; *People v. Olarte*, 108 Phil. 750 (1960); *De Villa v. Court of Appeals*, 195 SCRA 722 (1991); *National Police Commission v. De Guzman*, 48 SCAD 205, 229 SCRA 80 (1994).

¹¹¹*Phil. Assn. of Government Retirees, Inc. v. Government Service Insurance System*, 121 Phil. 1402 (1965); *Mayon Motors, Inc. v. Commissioner of Internal Revenue*, 111 Phil. 524 (1961); *Espino v. Cleofe*, G.R. No. 33410, July 13, 1973, 52 SCRA 92.

¹¹²*Manila Jockey Club, Inc. v. Games and Amusement Board*, 107 Phil. 151 (1960).

it has to be given effect as thus enacted and not as the individual members considered it to be.¹¹³ Accordingly, the opinions and views expressed by the legislators during floor deliberations of a bill may not be given weight at all in any of the following instances: where there are circumstances indicating a meaning of a statute other than that expressed by the legislators; where the views expressed were conflicting; where the intent deducible from such views is not clear; or where the statute involved is free from ambiguity.¹¹⁴

The opinions expressed by legislators in the course of debates concerning the application of existing laws are not also given decisive weight, especially where the legislator was not a member of the assembly that enacted said laws. All that he could state was his own interpretation of the law.¹¹⁵ Where two or more statutes relating to the same subject matter were enacted by different assemblies, neither is qualified to speak about the intent of the other.¹¹⁶

Where the statute is clear and free from ambiguity, courts will not inquire into the motives which influence the legislature, or individual members, in voting for its passage; nor indeed as to the intention of the draftsman, or the legislators, so far as it has not been expressed in the act.¹¹⁷ To read into the law the supposed intention of the legislators, where there is no ambiguity in it, would be to supply something that does not appear in the act.¹¹⁸

3.23. Reports of commissions.

In the codification of laws, commissions are usually formed to compile and collate all laws on a particular subject and to prepare the draft of the proposed code. Thus, special commissions were created to draft the text of the Revised Penal Code and the Civil Code. In construing the provisions of the code as thus enacted, courts may

¹¹³*Casco Phil. Chemical Co., Inc. v. Gimenez*, G.R. No. 1971, February 28, 1963, 7 SCRA 347; *Espino v. Cleofe*, G.R. No. 33410, July 13, 1973, 52 SCRA 92; *Phil. Assn. of Government Retirees, Inc. v. Government Service Insurance System*, 121 Phil. 1402 (1965); *Legaspi v. Executive Secretary*, G.R. No. 36153, November 28, 1975, 68 SCRA 253.

¹¹⁴*Song Kiat Chocolate Factory v. Central Bank*, 102 Phil. 477 (1957); *Malayan Motors, Inc. v. Commissioner of Internal Revenue*, 111 Phil. 524 (1961).

¹¹⁵*Song Kiat Chocolate Factory v. Central Bank*, *supra*.

¹¹⁶*Misamis Lumber Co., Inc. v. Collector of Internal Revenue*, 102 Phil. 161 (1957).

¹¹⁷*Manila Jockey Club, Inc. v. Games and Amusements Board*, 107 Phil. 151 (1960); *Guzman v. Municipality of Taytay*, 65 Phil. 340 (1938).

¹¹⁸*Manila Jockey Club, Inc. v. Games and Amusement Board*, *supra*.

properly refer to the reports of the commission that drafted the code in aid of clarifying ambiguities therein.¹¹⁹

3.24. Prior laws from which statute is based.

In ascertaining the intention of the lawmaker, courts are permitted to look to prior laws on the same subject and to investigate the antecedents of the statute involved.¹²⁰ This rule is specially applicable in the interpretation of codes, revised, or compiled statutes, for the prior laws which have been codified, compiled, or revised will show the legislative history that will clarify the intent of the law or shed light on the meaning and scope of the codified or revised statute.¹²¹

Cases may be cited to illustrate the principle. In *People v. Manantan*,¹²² the issue raised is whether a justice of the peace is included in the prohibition contained in Section 54 of the old Revised Election Code¹²³ which provides that "no justice, judge, fiscal, treasurer, or assessor of any province x x x shall aid any candidate or exert any influence in any election or take part therein except to vote x x x." A justice of the peace was prosecuted for violation of said provision. He claims that Section 54 of the Code was taken from Section 449 of the Revised Administrative Code, which provided: "No judge of the First Instance, justice of the peace, or treasurer, fiscal or assessor of any province x x x shall aid any candidate x x x" and that when Section 54 omitted "justice of the peace," the omission revealed the intention of the legislature to exclude justice of the peace from its operation. In rejecting such argument and holding that the word "judge" includes "justice of the peace," the court said that a "review of the history of the Revised Election Code will help justify and clarify the above conclusion."

The court noted that under the first election law, Act No. 1582, those prohibited from engaging in partisan political activities were the "judge of the first instance, justice of the peace, provincial fiscal x x x." Act No. 1707, the Administrative Code of 1917, and Act No. 3387 were substantially of the same tenor. However, Commonwealth Act

No. 357, enacted on August 22, 1938, reads: "No justice, judge, fiscal x x x," from which Section 54 of the old Revised Election Code was taken. This legislative history shows that in the two instances when the words "justice of the peace" were omitted in the law, the word "judge" which preceded the enumeration did not carry qualification of the phrase "of the first instance." In other words, whenever the word "judge" was qualified by the phrase "of first instance," the words "justice of the peace" would follow; however, if the law simply said "judge," the words "justice of the peace" were omitted. This pattern of legislative phraseology indicates that the legislature did not intend to exclude said officer from the operation of the law and that it considered said officer as comprehended in the generic and broad term "judge."¹²⁴

In *Director of Lands v. Abaya*,¹²⁵ the statute involved allowed the filing, within ten years, of a claim to lands that "have been, or are about to be, declared land of the public domain, by virtue of judicial proceedings instituted" in cadastral cases. The question raised is when to count the ten-year period, either from the date the decision was rendered or from the date judicial proceedings were instituted in the cadastral case. The court resolved the issue by reviewing the prior laws on the subject. It noted that there were four laws on the subject, two of which refer in their titles to "lands that have been declared public land by virtue of judicial decisions rendered," while the other two fail to make any such allusion. However, the text of all four laws, including the statute involved, speak of lands that "have been or about to be declared land of public domain, by virtue of judicial proceedings instituted." It is also noted that the explanatory note showed that the intention was to authorize filing of the claim to lots that have been declared public lands "by virtue of judicial decisions," but such intention was not adopted by the legislature when it made no alteration in the language of the statute involved so as to reflect such intention. It further stated that the "fact that in all four acts so far passed by the legislature on the subject there has been repeated and consistent reference to the institution of judicial proceedings as the starting point in the computation of the period of ten years x x x is x x x significant. It shows beyond question the desire of the legislature to adhere to the one and only method of computation consistently followed by it since the beginning," which

¹¹⁹*Escalante v. Santos*, 56 Phil. 483 (1932).

¹²⁰*Director of Lands v. Abaya*, 63 Phil. 559 (1936).

¹²¹*People v. Manantan*, 115 Phil. 657 (1962); *Go Chio v. Martinez*, 45 Phil. 256 (1923).

¹²²115 Phil. 657 (1962).

¹²³Rep. Act No. 180.

¹²⁴*People v. Manantan*, 115 Phil. 657 (1962).

¹²⁵63 Phil. 559 (1936).

is from the date of the institution of the judicial proceeding and not from the date the judgment therein is rendered.¹²⁸

*Salaysay v. Castro*¹²⁹ involves the interpretation of the phrase "actually holding" in a provision which states that "any elective provincial, municipal, or city official running for an office, other than the one which he is actually holding, shall be considered resigned from his office from the moment of filing his certificate of candidacy." The issue is whether a vice-mayor who temporarily took over the functions of the mayor following the latter's suspension from office, be deemed automatically resigned as acting mayor upon filing his certificate of candidacy for mayor. To resolve the issue, the court examined the legislative history of said provision to ascertain legislative intent. It noted that the provision was originally Section 2 of Commonwealth Act No. 666 which provided that "any elective provincial, municipal or city official running for an office other than the one for which he has been lastly elected, shall be considered resigned from his office from the moment of the filing of his certificate of candidacy." This was the situation in 1947 when then President Roxas took office. The national elections for provincial and municipal officials were held in 1940 for a term ending December, 1948. Since the rule of hold-over was not then in force, President Roxas appointed many local officials to these elective positions. And to enable many local officials to continue in office even after they had filed their certificates of candidacy for said positions, the legislature amended Section 2 of Commonwealth Act No. 666 by substituting the phrase "which he is actually holding" for the phrase "for which he has been lastly elected," the purpose being "to give the benefit or privilege of retaining office not only to those who have been elected thereto but also to those who have been appointed" or "to regular incumbents having the right and title to the office either by election or by appointment." "Bearing this intention of the legislature in this regard in mind," it cannot be said that a "vice-mayor" merely acting as mayor because of the temporary disability of the regular incumbent comes under the provision and exception because he "acts as mayor only in a temporary, provisional capacity."¹³⁰

¹²⁸*Ibid.*

¹²⁹98 Phil. 364 (1956).

¹³⁰*Ibid.*, at pp. 370-371.

3.25. Change in phraseology by amendments.

The change in phraseology by amendment of a provision of law indicates a legislative intent to change the meaning of the provision from that it originally had. In construing the amended provision, courts may investigate the history of the provision to ascertain legislative intent as to the meaning or scope of the amended law.¹³¹ Thus, where the legislative history shows that a statute has undergone several amendments, each amendment using different phraseology, the deliberate selection of language differing from that of the earlier act on the subject indicates that a change in meaning of the law was intended, and courts should so construe that statute as to reflect such change in meaning.¹³² Where the law has been amended, which requires a particular course of action different from the law prior to its amendment, effect must be given to changes in the statutory language.¹³³

Changes made by the legislature in the form of amendments to a statute should be given effect, together with other parts of the amended act. For it is not to be presumed that the legislature, in making such changes, was indulging merely in semantic exercise. There must be some purpose in making them which should be ascertained and given effect.¹³⁴

Illustrative of the rule is *Commissioner of Customs v. Court of Tax Appeals*.¹³⁵ The issue raised is whether a vessel, which berths at a privately owned wharf or pier, is liable for payment of the berthing charge under Sec. 2901 of the Tariff and Customs Code, which, as amended by P.D. No. 34, states that a vessel berthing "at any national port" shall pay berthing fees. Prior to said amendment, the law provided that such fees be collected from any vessel berthing "at any port." In resolving the issue in the negative, the Court noted that the word "national" before the word "port" was inserted in the amendment; stated that such "change in phraseology by amendment of a provision of law indicates a legislative intent to change the meaning of the provision from that it originally had (*Agpalo, supra*, p. 76)"; and held that the "insertion of the word 'national' before the

¹³¹*Salaysay v. Castro*, 98 Phil. 364 (1956); *People v. Manantan*, 115 Phil. 657 (1962).

¹³²*Portillo v. Salvan*, 54 Phil. 543 (1930).

¹³³*Francisco v. Boiser*, 127 SCAD 198, 332 SCRA 792 (2000).

¹³⁴*Abayan v. COMELEC*, G.R. No. 147066, March 26, 2001.

¹³⁵43 SCAD 486, 224 SCRA 665, 671 (1993).

word 'port' is a clear indication of the legislative intent to change the meaning of Section 2901 from what it originally meant, and not a mere surplusage as contended by petitioner, in the sense that the change 'merely affirms what customs authorities had been observing long before the law was amended'; that it is "the duty of the Court to give meaning to the amendment" and "that under Section 2901 of the Tariff and Customs Code, as amended by Presidential Decree No. 34, only vessels berthing at national ports (as distinguished from private or municipal ports) are liable for berthing fees."

3.26. Amendment by deletion.

As a rule, the amendment by deletion of certain words or phrases in a statute indicates that the legislature intended to change the meaning of the statute, for the presumption is that the legislature would not have made the deletion had the intention been not to effect a change in its meaning. The amended statute should accordingly be given a construction different from that previous to its amendment.¹³⁴

Where, for instance, a statute containing a provision prohibiting the doing of certain things is amended by deleting such provision, the legislative intent is clear that the doing of said things is no longer proscribed in the amended statute.¹³⁵ Where a statute containing a hold-over provision entitling an officer to hold on to his office after the expiration of his term until his successor shall have been chosen and qualified, is amended by deleting such hold-over provision and providing for the filling up of all vacancies which might occur during and after the expiration of a term of office of public officers, such amendment shows the manifest intention of the legislature to suppress the hold-over principle.¹³⁶ Where a statute which contains a provision authorizing the Commissioner of Customs to compromise the criminal liability of offenders in cases of unlawful importation, is amended by deleting said provision, the elimination or deletion of said provision shows the intent of the legislature henceforth not to allow compromises of the offender's criminal liability in such cases.¹³⁷

¹³⁴*Topacio Nueno v. Angeles*, 76 Phil. 12 (1946); *Niere v. Court of First Instance of Negros Occ.*, G.R. No. 30324, November 29, 1973, 54 SCRA 165.

¹³⁵*Go Chico v. Martinez*, 45 Phil. 256 (1923).

¹³⁶*Topacio Nueno v. Angeles*, *supra*.

¹³⁷*People v. Desiderio*, G.R. No. 20805, November 29, 1965, 15 SCRA 402.

Similarly, where a statute governing the formalities and execution of a will and containing a saving clause which states that "the absence of such form of attestation shall not render the will invalid if it is proven that the will was in fact signed and attested," was amended by eliminating said saving clause, there can be no doubt that the intention of the legislature was to exclude evidence *aliunde* regarding the attestation of a will, and that where such evidence was admitted without opposition, it should not be given effect so as not to defeat the manifest intention of the legislature in amending the law.¹³⁸ And where a statute contains a definition of terms and exceptions therefrom, the amendment of the statute by deleting the exceptions clearly shows that the definition in the amended act embraces everything embodied in the deleted exceptions.¹³⁹

In *Gloria v. CA*,¹⁴⁰ the issue raised is whether a public officer or employee, who has been preventively suspended pending investigation of the administrative charges against him, is entitled to his salary and other benefits during such preventive suspension. In resolving this issue in the negative, the Court stated that Sec. 35 of the old Civil Service Act of 1958 (R.A. No. 2260) which then provided that if the respondent officer or employee is exonerated, "he shall be restored to his position with full pay for the period of suspension," was amended by deleting the provision regarding payment of salaries during suspension, and that said amendment is for the purpose of disallowing the payment of salaries for the period of suspension. The Court added that this amendment by deletion should be given a construction different from that previous to its amendment.

In *Buenaseda v. Flavies*,¹⁴¹ one of the issues raised refers to the proper interpretation of Sec. 24 of Rep. Act No. 6770, which provides in part that the "Ombudsman or his Deputy may preventively suspend any officer or employee under his authority pending an investigation." It is claimed that under this provision, the Ombudsman can only preventively suspend respondents in administrative cases who are employed in his office, and not those who are employees in other departments or offices of the government, in view of the phrase "any officer or employee under his authority." In holding that the power

¹³⁸*Quinto v. Nora*, 54 Phil. 481 (1930).

¹³⁹*Victorias Milling Co., Inc. v. Social Security Commission*, 114 Phil. 555 (1962).

¹⁴⁰105 SCAD 907, 306 SCRA 287, 299 (1999), citing *Ruben Agpalo, Statutory Construction*, 1990 ed., pp. 76-77.

¹⁴¹44 SCAD 1026, 226 SCRA 645 (1993).

of the Ombudsman extends to other public officers or employees as well, the Court traced the legislative history of the statute and gave much weight to the deletion of words from the final version of the law. The Court ruled:

"The origin of the phrase can be traced to Section 694 of the Revised Administrative Code, which dealt with preventive suspension and which authorized the chief of a bureau or office to 'suspend any subordinate or employee in his bureau or under his authority pending an investigation x x x'."

Section 34 of the Civil Service Act of 1959 (R.A. No. 2266), which superseded Section 694 of the Revised Administrative Code also authorized the chief of a bureau or office to 'suspend any subordinate officer or employee, in his bureau or under his authority'.

However, when the power to discipline government officials and employees was extended to the Civil Service Commission by the Civil Service Law of 1975 (P.D. No. 805), concurrently with the President, the Department Secretaries and the heads of bureaus and offices, the phrase 'subordinate officer and employee in his bureau' was deleted, appropriately leaving the phrase 'under his authority.' Therefore, Section 41 of said law only mentions that the proper disciplining authority may preventively suspend 'any subordinate officer or employee under his authority pending an investigation x x x.' (Sec. 41)

The Administrative Code of 1987 also empowered the proper disciplining authority to 'preventively suspend any subordinate officer or employee under his authority pending an investigation.' (Sec. 51)

The Ombudsman Law advisedly deleted the words 'subordinate' and 'in his bureau,' leaving the phrase to read 'suspend any officer or employee under his authority pending an investigation x x x.' The conclusion that can be deduced from the deletion of the word 'subordinate' before and the words 'in his bureau' after 'officer or employee' is that the Congress intended to empower the Ombudsman to preventively suspend all officials and employees under investigation by his office, irrespective of whether they are employed 'in his office' or in other offices of the government.¹⁴²

¹⁴²*Ibid.*, pp. 653-654.

3.27. Exceptions to the rule.

The rule that an amendment of a statute indicates a change in meaning from that which the statute originally had applies only when the deleted words or phrases are not surplusage or when the intention is clear to change the previous meaning of the old law. The rule does not apply where the intent, as shown by the history of the enactment, is clear that the amendment is precisely to plainly express the construction of the act prior to its amendment because its language is not sufficiently expressive of such construction.¹⁴³

In the revision or codification of statutes, neither alteration in phraseology nor the omission or addition of words in the latter statute will be held, necessarily, to alter the construction of the former act or acts. The court is only warranted in holding the constructions of a statute, when revised, to be changed, where the intent of the legislature to make such change is clear of construction. It should be remembered that condensation is a necessity in the work of compilation or codification or revision. Very frequently, words which do not materially affect the sense will be omitted from the statute as incorporated in the code or revised statute, or that some general idea will be expressed in brief phrases. No design of altering the law itself could rightly be predicated upon such modification of the language.¹⁴⁴

3.28. Adopted statutes.

Foreign statutes which are adopted in this country or from which local laws are patterned form part of the legislative history of the latter.¹⁴⁵ The general rule is that where local statutes are patterned after or copied from those of another country, the decisions of the courts in such country construing those laws are entitled to great weight in the interpretation of such local statutes¹⁴⁶ and will generally be followed if found reasonable and in harmony with justice, public policy and other local statutes on the subject.¹⁴⁷ And the application of the adopted statute should correspond in fundamental points, at least, with its application in the country from whence it

¹⁴³*Muñoz & Co. v. Hord*, 12 Phil. 624 (1909).

¹⁴⁴*Greenfield v. Meer*, 77 Phil. 394 (1946).

¹⁴⁵*U.S. v. Guzman*, 30 Phil. 416 (1915); *Kepler v. U.S.*, 11 Phil. 669 (1904).

¹⁴⁶*Wise & Co. v. Meer*, 78 Phil. 655 (1947); *Carolina Industries, Inc. v. CMS Stock Brokerage, Inc.*, G.R. No. 46908, May 17, 1980, 97 SCRA 734.

¹⁴⁷*Cu v. Republic*, 89 Phil. 473 (1951).

was taken.¹⁴⁸ The reason is that the legislature, in adopting from another country a statute which has previously received judicial construction in that country, is deemed to have adopted the statute with such construction and practical application in the country of origin.¹⁴⁹

A good number of Philippine laws are adopted from, or patterned after, the laws of the United States or of the individual states of the American union, such as the corporation law,¹⁵⁰ the tax code,¹⁵¹ labor laws,¹⁵² naturalization law,¹⁵³ and the Rules of Court.¹⁵⁴ For this reason, courts have always felt themselves "bound by the rulings of the Supreme Court of the United States in construing and applying statutory enactments modelled upon or borrowed from English or American originals."¹⁵⁵ The adopted statutes are thus generally construed in accordance with the construction given similar statutes in the United States, unless special reasons, local customs and practice require otherwise.¹⁵⁶

For instance, the rules on evidence having been drawn mainly from American sources, decisions of American courts, have persuasive effect. The general rule is that where a local rule is patterned or copied from that of another country, then the decisions of the courts in such country construing the rule are entitled to great weight in interpreting the local rule.¹⁵⁷

3.29. Limitations of rule.

The general rule that a statute which has been adopted from that of a foreign country should be construed in accordance with

¹⁴⁸*Ibañez de Aldecoa v. Hongkong & Shanghai Bank*, 30 Phil. 228 (1915); *Cas-tile Bros. v. Go Juno*, 7 Phil. 144 (1906).

¹⁴⁹*Tamayo v. Gsell*, 35 Phil. 953 (1916); *Castle Bros. v. Go Juno*, 7 Phil. 144 (1906); *Cu v. Republic*, 89 Phil. 473 (1951); *Cerezo v. Atlantic Gulf & Pacific Co.*, 38 Phil. 425 (1916); *Carolina Industries, Inc. v. CMS Stock Brokerage, Inc.*, G.R. No. 46908, May 17, 1980, 97 SCRA 743; *Wise & Co. v. Meer*, 78 Phil. 665 (1947).

¹⁵⁰*Tan Tiong Bio v. Commissioner of Internal Revenue*, 114 Phil. 916 (1962).

¹⁵¹*Wise & Co. v. Meer*, 78 Phil. 655 (1947).

¹⁵²*Flores v. San Pedro*, 102 Phil. 44 (1957).

¹⁵³*Cu v. Republic*, 89 Phil. 473 (1951).

¹⁵⁴*Phil. National Bank v. Bondoc*, G.R. No. 20236, July 30, 1965, 14 SCRA 770.

¹⁵⁵*Cuyugan v. Santos*, 34 Phil. 100, 107 (1916).

¹⁵⁶*Phil. Education Co., Inc. v. Soriano*, G.R. No. 22405, June 30, 1971, 39 SCRA 587.

¹⁵⁷*People v. Pagpagutian*, 113 SCAD 36, 315 SCRA 226 (1999).

the construction given it in the country of origin is not without limitations. Where the local law and the foreign statute from which the former was patterned differ in some material aspects,¹⁵⁸ where the foreign construction is clearly erroneous or has not become settled, or where the adopting state has given the statute its own interpretation, the presumption that the foreign construction was adopted with the adoption of the statute no longer obtains.¹⁵⁹ Philippine laws must necessarily be construed in accordance with the intention of its lawmakers and such intention may be deduced from the language of each law and the context of other legislation related thereto.¹⁶⁰

In *Republic of the Philippines v. Mercalco*, [G.R. No. 141314, April 9, 2003], the Court ruled:

American decisions and authorities are not *per se* controlling in this jurisdiction. At best, they are persuasive for no court holds a patent on correct decisions. Our laws must be construed in accordance with the intention of our own lawmakers and such intent may be deduced from the language of each law and the context of other local legislation related thereto. More importantly, they must be construed to serve our own public interest which is the be-all and the end-all of all our laws. And it need not be stressed that our public interest is distinct and different from others. Rate regulation calls for a careful consideration of the totality of facts and circumstances material to each application for an upward rate revision. Rate regulators should strain to strike a balance between the conflicting interests of the public utility and the consuming public and the balance must assure a reasonable rate of return to public utilities without being unreasonable to the consuming public. What is reasonable or unreasonable depends on a calculus of changing circumstances that ebb and flow with time. Yesterday cannot govern today, no more than today can determine tomorrow.

¹⁵⁸*People v. Yadao*, 94 Phil. 726 (1954).

¹⁵⁹*People v. Yadao*, *ibid.*; *State v. Chaplain*, 101 Kan. 413, 166 P. 238. See Sec. 6.78, *infra*.

¹⁶⁰*Procter & Gamble Phila. Manufacturing Corp. v. Commissioner of Customs*, G.R. No. 24173, May 23, 1968, 23 SCRA 691 (1968).

3.30. Principles of common law.

While common law as known in Anglo-American jurisprudence is not in force in this country, save only insofar as it is founded on sound principles applicable to local conditions and is not in conflict with existing laws, nevertheless many of the principles of the common law have been imported into this jurisdiction as a result of the enactment of laws and establishment of institutions similar to those of the United States. Courts may thus properly resort to common law principles in construing doubtful provisions of a statute, particularly where such statute is modelled upon Anglo-American precedents.¹⁸¹ However, where there is a conflict between a common law principle and a statutory provision, the latter prevails.¹⁸²

3.31. Conditions at time of enactment.

Statutes do not operate in a vacuum. In enacting a statute, the legislature is presumed to have taken into account the existing conditions of things at the time of its enactment. For this reason, it is proper, in the interpretation of a statute, to consider the physical conditions of the country and the circumstances then obtaining which must of necessity affect its operation in order to reach an understanding as to the intent of the legislature, or as to the meaning of the statute.¹⁸³ The court should then place itself in the situation of the legislature and so construe the statute as to give effect to such intent or meaning.¹⁸⁴

Thus, where the issue raised is whether a petroleum concessionaire is entitled to tax exemption even if the crude petroleum it refines is imported, the court, answering the question in the affirmative, ruled: "When the Petroleum Act was passed and the concession was granted to respondent under its provisions, it was well known that there was then no Philippine crude petroleum available for the use of any refinery in the Philippines which makes it obvious that Congress could not have intended that before the exemption may be extended to a concessionaire the latter should only refine crude pe-

¹⁸¹*Alzua v. Johnson*, 21 Phil. 308 (1912); *Kepler v. U.S.*, 11 Phil. 669 (1904); *U.S. v. Guzman*, 30 Phil. 416 (1915).

¹⁸²*Aznar v. Yaplango*, G.R. No. 18936, March 31, 1966, 13 SCRA 486; *Garcia v. Court of Appeals*, G.R. No. 20264, January 30, 1971, 37 SCRA 129.

¹⁸³*Garcia v. Hipolito*, 2 Phil. 732 (1903).

¹⁸⁴*U.S. v. Go Chico*, 14 Phil. 128 (1909); *Commissioner of Customs v. Superior Gas & Equipment Co.*, 108 Phil. 225 (1960).

roleum produced in the Philippines, for that would defeat the very objectives of the Act."¹⁸⁵

3.32. History of the times.

The court may look to the history of the times, examine the state of things existing when the statute was enacted, and interpret it in the light of the conditions obtaining.¹⁸⁶ It has been said that a "statute should not be construed in a spirit as if it were a protoplasm floating around in space. Generally, it may be said that in determining the meaning, intent, and purpose of a law or constitutional provision, the history of the times out of which it grew and to which it may be rationally supposed to bear some direct relationship, the evils intended to be remedied, and the good to be accomplished are proper subjects of inquiry."¹⁸⁷

In addition, "law being a manifestation of social culture and progress, must be interpreted taking into consideration the stage of such culture and progress including all the concomitant circumstances. It must be interpreted by drawing inspiration, not only from the teachings of history, from precedents and traditions, but from inventions of science, discoveries of arts, ideals of thinkers, dreams of poets, that is, all the sources from which may spring guidance and help to form a truthful idea of the human relations regulated by the law to be interpreted and applied. Broad-mindedness and vision are essential for men presiding tribunals to reach correct and just conclusions."¹⁸⁸ For "law is not a watertight compartment sealed or shut off from the contact with the drama of life which unfolds before our eyes. It is no sense a cloistered realm but a busy state in which events are held up to our vision and touch our elbows."¹⁸⁹

¹⁸⁵*Commissioner of Customs v. Caltex (Phils.) Inc.*, 106 Phil. 829, 834 (1959).

¹⁸⁶*De los Santos v. Mallare*, 87 Phil. 289 (1950).

¹⁸⁷*Worham v. Walker Tex.*, 127 SW2d 1138, 1150 (1939); quoted in *Justice Perfecto concurring*, *Gomez v. Government Insurance Board*, 78 Phil. 221, 224 (1947).

¹⁸⁸*Justice Perfecto concurring*, *Gomez v. Government Insurance Board*, 78 Phil. 221, 225-226 (1947).

¹⁸⁹*Worham v. Walker Tex.*, 127 SW2d 1138, 1150 (1939).

C. CONTEMPORARY CONSTRUCTION

3.33. Generally.

Contemporary or practical constructions are the constructions placed upon statutes at the time of, or after, their enactment by the executive, legislature, or judicial authorities, as well as by those who, because of their involvement in the process of legislation, are knowledgeable of the intent and purpose of the law, such as draftsmen and bill sponsors. Contemporary or contemporaneous construction is an invaluable aid in the construction, by the courts, of ambiguous or doubtful provisions of law. *Contemporanea expositio est optima et fortissima in lege* — the contemporary construction is strongest in law.

3.34. Executive construction, generally; kinds of.

What is commonly understood, and usually referred to, as contemporaneous construction is the construction placed upon the statute by an executive or administrative officer called upon to execute or administer such statute. The duty of enforcing the law, which devolves upon the executive branch of government, necessarily calls for the interpretation of its ambiguous provisions. Accordingly, executive and administrative officers are generally the very first officials to interpret the law, preparatory to its enforcement. These interpretations are in the form of rules and regulations, circulars, directives, opinions and rulings.¹⁷⁰

There are three types of executive interpretations of the law. The first is the construction by an executive or administrative officer directly called to implement the law. It may be expressed or implied. An interpretation embodied in a circular, directive or regulation is an expressed interpretation.¹⁷¹ A practice or mode of enforcement of not applying the statute to certain situations or of applying it in a particular manner is an implied interpretation; it is interpretation by usage or practice.¹⁷²

¹⁷⁰Phil. Sugar Central Agency v. Collector of Customs, 51 Phil. 131 (1927); *In re Allen*, 2 Phil. 630 (1903); *Government v. Municipality of Binangonan*, 34 Phil. 518 (1916).

¹⁷¹See *San Miguel Corp. v. Inciong*, G.R. No. 49774, February 24, 1981, 103 SCRA 139.

¹⁷²*Molina v. Rafferty*, 38 Phil. 167 (1918); *Madrigal v. Rafferty*, 38 Phil. 414 (1918); *Phil. Long Distance Tel. Co. v. Collector of Internal Revenue*, 90 Phil. 674 (1952).

The second type is the construction by the Secretary of Justice in his capacity as the chief legal adviser of the government. It is in the form of opinions issued upon request of administrative or executive officials who enforce the law. In the absence of judicial ruling on the matter and unless reprobated by the President, the opinions of the Secretary of Justice are generally controlling among administrative and executive officials of the government.¹⁷³

However, the President or the Executive Secretary, by authority of the President, has the power to modify, alter or reverse the construction of a statute given by a department secretary.¹⁷⁴

The third kind of contemporaneous construction is the interpretation handed down in an adversary proceeding in the form of a ruling by an executive officer exercising quasi-judicial power. The court in a case pointed out the distinction between an interpretation by an executive officer charged with the enforcement of a law and that handed down by an executive official in an adversary proceeding: "There is indeed a basis for making such a distinction because the position of a public officer, charged with the enforcement of a law, is different from the one who must decide a dispute. If there is a fair doubt, his duty is to present the case for the side which he represents, upon which lies the responsibility of decision. If he surrenders a plausible construction, it will, at least it may, be surrendered forever, and yet it may be right. Such rulings need not have the detachment of a judicial, or semi-judicial decision, and may properly carry bias. It would seem that they should not be authoritative."¹⁷⁵

3.35. Weight accorded to contemporaneous construction.

Generally speaking, where there is doubt as to the proper interpretation of a statute, the uniform construction placed upon it by the executive or administrative officer charged with its enforcement will be adopted, if necessary to resolve the doubt.¹⁷⁶ The contemporaneous construction is very probably the true expression of the legislative purpose, especially if the construction is followed

¹⁷³Sec. 83, Revised Administrative Code.

¹⁷⁴*Maceda v. Macaraeg*, 197 SCRA 771 (1991).

¹⁷⁵*Fishgold v. Sullivan*, 154 F.2d 785 (1946).

¹⁷⁶*Munoz & Co. v. Hord*, 12 Phil. 624 (1909); *Manila Electric Railroad & Light Co. v. Board of Public Utility Commissioners*, 30 Phil. 387 (1915).

for a considerable period of time.¹⁷⁷ It is thus entitled to great weight and respect by the courts in the interpretation of ambiguous provisions of law,¹⁷⁸ and unless it is shown to be clearly erroneous, contemporaneous construction will control the interpretation of statute by the courts.¹⁷⁹ In the absence of error or abuse of power or lack of jurisdiction or grave abuse of discretion clearly conflicting with either the letter or the spirit of a legislative enactment creating or charging a governmental agency, the action of the agency would not be disturbed by the courts.¹⁸⁰ As aptly said in a case: "The principle that the contemporaneous construction of a statute by the executive officers of the government, whose duty it is to execute it, is entitled to great respect, and should ordinarily control the construction of the statute by the courts, is so firmly embedded in our jurisdiction that no authorities need be cited to support it."¹⁸¹

The reason behind the rule that the interpretation of an administrative government agency is generally accorded great respect is explained in *Nestlé Philippines, Inc. v. Court of Appeals*¹⁸² in this wise:

"The rationale for the rule relates not only to the emergence of the multifarious needs of a modern or modernizing society and the establishment of diverse administrative agencies for addressing and satisfying those needs; it also relates to the accumulation of experience and growth of specialized capabilities by the administrative agency charged with implementing a particular statute. In *Asturias Sugar Central, Inc. vs. Commissioner of Customs*,¹⁸³ the Court stressed that executive officials are presumed to have familiarized themselves with all the considerations pertinent to the meaning and purpose of the law, and to have formed an independent, conscientious and competent expert opinion thereon. The courts give much weight to

the government agency or officials charged with the implementation of the law, their competence, expertness, experience and informed judgment, and the fact that they frequently are the drafters of the law they interpret."¹⁸⁴

The weight that may be given to a contemporaneous construction increases as the period in which it is followed and observed lengthens and its acceptability widens.¹⁸⁵ A classical illustration is *Philippine Sugar Central v. Collector of Customs*.¹⁸⁶ The question raised in this case is whether the government can legally collect duties "as a charge for wharfage" required by a statute upon all articles exported through privately-owned wharves. It appears that for the last twenty-six years, wharfage duties have been levied and collected even during the period when the government never owned nor operated any wharf. The court resolving the question ruled: "When we consider that the tax in question has at all times for twenty-six years been levied and collected by the government before it owned or operated any wharf, and that it has spent millions of pesos in the construction of wharves in its principal ports of entries x x x the importance of the instant case and its far reaching effect upon the finances of the government x x x stands out in bold relief and becomes very apparent, and this court is now called upon to overthrow that long continued construction and in legal effect to hold that, because the sugar was shipped through a privately owned wharf, the government is not entitled to collect the money in question as a charge for wharfage." The long acquiescence in its construction and the far reaching effect of such a decision makes it imperative for this court to sustain the law, if there are any reasonable grounds upon which it can be done. x x x The law in question could have been repealed or changed at any time by an act of Congress. In view of the long continued construction which has been placed upon it by the government officials, and for which they now continue, the very fact that Congress has not seen fit to repeal or change the law is a very potent argument in favor of sustaining that construction. The language of the Act could have been made more specific and certain, but in view of its history, its long continuous construction, and what has been done and accomplished by and under it, we are clearly of the opinion that the government is entitled to have and receive

¹⁷⁷*Molina v. Raftery*, 38 Phil. 167 (1918); *Madrigal v. Raftery*, 38 Phil. 414 (1918).

¹⁷⁸*Vera v. Cueva*, G.R. No. 33693, May 31, 1979, 90 SCRA 379; *Asturias Sugar Central, Inc. v. Commissioner of Customs*, G.R. No. 19337, September 30, 1967, 29 SCRA 617 (1967); *Tan v. Municipality of Paghilo*, G.R. No. 14264, April 30, 1963, 7 SCRA 887; *Nestlé Philippines, Inc. v. Court of Appeals*, 203 SCRA 504 (1991).

¹⁷⁹*Tamayo v. Manila Hotel Co.*, 101 Phil. 810 (1957).

¹⁸⁰*Sagun v. People's Homesite & Housing Corp.*, 162 SCRA 441 (1988).

¹⁸¹*In re Allen*, 2 Phil. 630, 640 (1903); *Phil. Global Communications v. Relova*, 145 SCRA 385 (1986).

¹⁸²203 SCRA 504 (1991).

¹⁸³29 SCRA 617 (1969).

¹⁸⁴*Republic v. Sandiganbayan*, 96 SCAD 842, 293 SCRA 440, 454 (1998).

¹⁸⁵*Molina v. Raftery*, 38 Phil. 167 (1918).

¹⁸⁶51 Phil. 143 (1927).

the money in question, even though the sugar was shipped from a private wharf.¹⁹⁴

The rule that contemporaneous construction is entitled to great weight and respect in the interpretation of a statute is especially true under the 1973 Constitution, where some ministers or heads of executive ministries or departments are also members of the Batasang Pambansa. In this situation, it is presumed that the executive official, being a member of the legislature, knew the legislative intent and reflected that intent in his construction of the law.¹⁹⁵

3.36. Weight accorded to usage and practice.

The principle of contemporaneous exposition, common usage and practice under the statute, or a course of conduct indicating a particular undertaking of it, is frequently of great value in determining its real meaning, especially where the usage has been acquiesced in by all the parties concerned and has extended over a long period of time.¹⁹⁶ For it has been said that the best interpreter of the law is usage. *Optimus interpres rerum usus*. Thus, where a statute granted the Philippine Charity Sweepstakes Office additional regular racing days, at the time of which enactment the long, continuous and uniform practice was that all sweepstakes draws and races were held on Sundays and during the whole day, it is safe to conclude that when the legislature chose not to specify in express terms how the additional sweepstakes draws and races would be held, it did not intend to disturb the then prevailing practice and the statute should thus be so construed as not to change the practice.¹⁹⁷

3.37. Construction of rules and regulations.

Rules and regulations issued by executive or administrative officers pursuant to, and as authorized by, law have the force and effect of laws.¹⁹⁸ Recognizing this rule-making power, authorities

¹⁹⁴*Ibid.*, at pp. 143-148.

¹⁹⁵*Cf. Government v. Municipality of Binalonan*, 32 Phil. 634 (1915).

¹⁹⁶*Manila Jockey Club, Inc. v. Games and Amusements Board*, 107 Phil. 151 (1960); *Phil. Long Distance Tel. Co. v. Collector of Internal Revenue*, 90 Phil. 674 (1952).

¹⁹⁷*Manila Jockey Club, Inc. v. Games and Amusements Board*, 107 Phil. 151 (1960).

¹⁹⁸*Victorias Milling Co., Inc. v. Social Security Commission*, 114 Phil. 555 (1962); *Warren Manufacturing Workers Union v. Bureau of Labor Relations*, 159 SCRA 387 (1988).

sustain the principle that the interpretation by those charged with their enforcement is entitled to great weight by the court in the latter's construction of such rules and regulations. It has been held that an administrative agency has the power to interpret its own rules and such interpretation becomes part of the rules.¹⁹⁹

3.38. Reasons why contemporaneous construction is given much weight.

A number of reasons account for the great weight given by the courts to contemporaneous construction of statutes. Contemporaneous construction is entitled to great weight because it comes from the particular branch of government called upon to implement the law thus construed.²⁰⁰ Executive officials are presumed to have familiarized themselves with all the considerations pertinent to the meaning and purpose of the law, and to have formed an independent, conscientious and competent expert opinion thereon.²⁰¹ In other words, the factors leading the court to give the principle of contemporaneous construction much weight are the respect due the government agency or officials charged with the implementation of the law, their competence, expertise, experience, and informed judgment, and the fact that they frequently are the drafters of the law they interpret.²⁰²

Moreover, there is the need for certainty and predictability in the law. A statute is enacted. A regulation is issued to implement it. It will in the normal course of events be years before the construction of the statute, in the light of the regulation, will come before the courts. In the meanwhile, people will go on living and transactions will be concluded under the statute. These circumstances argue in favor of giving much weight to contemporaneous construction.²⁰³

¹⁹⁹*Guekeo v. Araneja*, 102 Phil. 706 (1957), citing 42 Am. Jur. 431.

²⁰⁰*Ramos v. Court of Industrial Relations*, G.R. No. 22754, December 18, 1967, 21 SCRA 1282; *Salavaria v. Buenavista*, G.R. No. 45642, February 28, 1978, 81 SCRA 722.

²⁰¹*Richard v. Drewry-Hughes Co.*, 94 S.E. 989.

²⁰²*Asturias Sugar Central, Inc. v. Commissioner of Customs*, G.R. No. 19337, September 30, 1969, 29 SCRA 617; *University of the Philippines v. Court of Appeals*, G.R. No. 28153, January 28, 1971, 37 SCRA 54 (1971).

²⁰³*Lim Hao Ting v. Central Bank*, 104 Phil. 573 (1958), citing *Erwin N. Griswold, A Summary of the Regulations Problems*, 54 Harvard Law Rev., pp. 398, 404.

In *Cemco Holdings, Inc. v National Life Insurance Co.*, G.R. No. 171815 [August 7, 2007], the Court held:

The rule in this jurisdiction is that the construction given to a statute by an administrative agency charged with the interpretation and application of that statute is entitled to great weight by the courts, unless such construction is clearly shown to be in sharp contrast with the governing law or statute. The rationale for this rule relates not only to the emergence of the multifarious needs of a modern or modernizing society and the establishment of diverse administrative agencies for addressing and satisfying those needs; it also relates to accumulation of experience and growth of specialized capabilities by the administrative agency charged with implementing a particular statute.

3.39. When contemporaneous construction disregarded.

The contemporaneous construction of a statute is neither controlling nor binding upon the court, the duty and power to interpret the law being primarily a judicial function.¹⁹⁷ The court may disregard contemporaneous construction, where there is no ambiguity in the law,¹⁹⁸ where the construction is clearly erroneous,¹⁹⁹ where strong reason to the contrary exists,²⁰⁰ and where the court has previously given the statute a different interpretation.²⁰¹ If the contemporaneous construction is erroneous, the same must be declared null and void. It is the role of the judiciary to define and when necessary, to correct constitutional or statutory interpretation in the context of the interaction of the three branches of the government, almost always in situations where some agency of the state has engaged in action that stems ultimately from some legitimate area of government power. Thus, the policy instructions of the Secretary of Labor adding another group of employees as excluded from those entitled to holiday pay when the law itself did not so exclude them is void. An administrative interpretation which

diminishes the benefits of labor more than what the statute delimits or withholds is *ultra vires*.²⁰²

3.40. Erroneous contemporaneous construction does not preclude correction nor create rights, exceptions.

If through misapprehension of the law an executive or administrative officer called upon to implement it has erroneously applied and executed it, the error may be corrected when the true construction is ascertained. The doctrine of estoppel does not preclude correction of the erroneous construction by the officer himself, by his successor in office, or by the court in an appropriate case.²⁰³ Nor may a person be properly heard to say that he relied upon such construction by the executive or administrative officer and that, therefore, the court should not now apply an interpretation at variance therewith.²⁰⁴

As a rule, an erroneous contemporaneous construction creates no vested right on the part of those who relied upon, and followed, such construction. A vested right may not arise from a wrong interpretation of a law by an administrative or executive officer whose primary duty is to enforce, and not to construe, the law.²⁰⁵ And the government is never estopped by the mistake or error on the part of its agents.²⁰⁶ Consequently, those who benefited from the erroneous contemporaneous construction may not prevent correction of such construction, nor excuse themselves from complying with the construction as corrected; nor can they set up such error as legal obstacle against recovery from them of what they received pursuant to, and on the basis of, the erroneous application of law.²⁰⁷

The rule is not absolute, but admits exceptions in the interest of justice and fair play. This is particularly true in tax cases, where the interpretative circular²⁰⁸ addressed to internal revenue officers

¹⁹⁷Koppel (Phils.), Inc. v. Yateo, 77 Phil. 496 (1946); Orta v. Encarnacion, 59 Phil. 440 (1934).

¹⁹⁸Regalado v. Yulo, 61 Phil. 173 (1935).

¹⁹⁹Molina v. Raftery, 37 Phil. 545 (1918).

²⁰⁰Phil. Long Distance Tel. Co. v. Collector of Internal Revenue, 90 Phil. 674

(1952).

²⁰¹Asturias Sugar Central, Inc. v. Commissioner of Customs, *supra*.

²⁰²Chartered Bank Employees Assn. v. Ople, 138 SCRA 273 (1985).

²⁰³Phil. Long Distance Tel. Co. v. Collector of Internal Revenue, 90 Phil. 674 (1952); Republic v. Phil. Long Distance Tel. Co., G.R. No. 18841, January 27, 1969, 26 SCRA 620.

²⁰⁴Koppel (Phils.), Inc. v. Yateo, 77 Phil. 496 (1946).

²⁰⁵Hilado v. Collector of Internal Revenue, 100 Phil. 288 (1956).

²⁰⁶United Christian Missionary Society v. Social Security Commission, G.R. No. 26712, December 27, 1969, 30 SCRA 982; E. Rodriguez, Inc. v. Collector of Internal Revenue, G.R. No. 23041, July 31, 1969, 28 SCRA 1119.

²⁰⁷Legaspi v. Mathay, G.R. No. 36153, November 28, 1975, 68 SCRA 253; Cebu Portland Cement Co. v. De Jesus, G.R. No. 18146, March 30, 1963, 7 SCRA 572.

by the Commissioner of Internal Revenue is rendered necessary because the tax statute to be enforced is not too plain and simple to understand and where, in reliance on such circular, a taxpayer faithfully complied with the obligation of paying the tax required by it. In such case, the taxpayer may not be required to pay additional tax during the period that said circular had not been rescinded by a subsequent circular correcting the erroneous interpretation, for while as a rule the government is never estopped from collecting taxes because of mistake or error on the part of its agents, the principles of justice and good faith dictate and operate to create exceptions thereto.²⁰⁸

3.41. Legislative interpretation.

The fact that the interpretation of a statute is primarily a judicial function does not preclude the legislature from indicating its construction of a statute it enacts into law. It may thus provide in the statute itself an interpretative or declaratory clause prescribing rules of construction or indicating how its provisions should be construed.²⁰⁹ It may also define the terms used in a statute, enact a declaratory act construing a previous law, or pass a resolution indicating its sense or intention as to a given statute.²¹⁰ Legislative interpretation may likewise take the form of an implied acquiescence to, or approval of, an executive or judicial construction of a statute.²¹¹

The legislature, in indicating its construction of a law, cannot limit or restrict the power granted to the courts by the Constitution. For instance, it may not, by defining a term, make the definition conclusive not only as regards the statute which defines the term but also as regards other statutes or as used elsewhere.²¹² Nor can it validate a law which violates a constitutional provision so as to prevent an attack thereon in the courts, by a declaration that it shall be construed as not to contravene the constitutional limitation. To do so would be to usurp judicial prerogative.²¹³

²⁰⁸ *ABS-CBN Broadcasting Corp. v. Court of Tax Appeals*, G.R. No. 52306, October 12, 1981, 108 SCRA 142.

²⁰⁹ *Id.*, Sec. 4, *Batas Pambansa* Big. 337.

²¹⁰ *People v. Venutaje*, 47 Phil. 536 (1925); *De Ponce v. Sagario*, 85 Phil. 79 (1949).

²¹¹ See Secs. 3.42, *et seq.*, *infra*.

²¹² *City of Manila v. Manila Remnants Co., Inc.*, 100 Phil. 796 (1957); *Endencia v. David*, 93 Phil. 696 (1953).

²¹³ *Endencia v. David*, *supra*.

While legislative interpretation of a statute is not controlling, courts may resort to it to clarify ambiguity in the language thereof. Such legislative interpretation is entitled to respect, especially if the executive department has similarly construed the statute. The "contemporaneous construction of the law by two departments of the Government — one, the legislative branch responsible for its enactment and the other, the executive branch responsible for its enforcement — while not controlling on the judiciary, is entitled to respectful consideration. For the orderly and harmonious interpretation and advancement of the law, the court should, when possible, keep step with the other departments."²¹⁴

3.42. Legislative approval.

The legislature is presumed to have full knowledge of a contemporaneous or practical construction of a statute by an administrative or executive officer charged with its enforcement. The legislature may, by action or inaction, approve or ratify such contemporaneous construction. Such approval may be manifest in many ways, as when it reenacts a statute previously given a contemporaneous construction,²¹⁵ uses words similar in their import to the language of an earlier law which has received a practical interpretation,²¹⁶ or amends a prior statute without, in the amending act, providing anything which would restrict, change or nullify the previous contemporaneous construction placed upon the prior law.²¹⁷

Legislative ratification or adoption of a contemporaneous construction may also be shown by the legislature appropriating money for the officer designated to perform a task pursuant to an interpretation of a statute. Thus, where an administrative officer, charged with the implementation of a law, delegates to a hearing officer the authority to hear and receive evidence in an administrative case, on the strength of his interpretation of the law that notwithstanding the absence of an express provision he is authorized to make the delegation by necessary implication, the repeated appropriation by the legislature for hearing officers not

²¹⁴ *Yra v. Albana*, 52 Phil. 380, 384 (1928); See also *Bengson v. Secretary of Justice*, 62 Phil. 912 (1936); *Krivenko v. Register of Deeds*, 79 Phil. 461 (1947).

²¹⁵ See Sec. 3.43, *infra*.

²¹⁶ *In re Dick*, 38 Phil. 41 (1918).

²¹⁷ *Tamayo v. Manila Hotel Co.*, 101 Phil. 810 (1957).

only confirms the administrative construction but also constitutes a ratification of the act of the administrative officer as an agent of the legislature in the implementation of the law.²¹⁸

Where the legislature has notice or knowledge of a construction placed upon a statute by an executive officer charged with its implementation, without repudiating it, its silence is acquiescence equivalent to consent to continue the practice.²¹⁹ There is implied legislative approval by the legislature's failure to change a long-standing administrative construction.²²⁰ It is an axiom of law that legislative ratification is equivalent to a mandate, which is expressed in the maxim, *ratihabito mandato aequiparatur*.²²¹

3.43. Reenactment.

The most common act of legislative approval of a contemporaneous construction of a statute is by re-enactment. The principle of legislative approval by re-enactment states that the reenactment of a statute, previously given a contemporaneous construction, is a persuasive indication of the adoption by the legislature of the prior construction. Stated differently, the construction of a statute by an executive officer called upon to implement the statute is deemed to have been adopted by the legislature when it reenacted it in substantially the same language, the presumption being that the legislature knew of such construction when it made the reenactment.²²² Thus, where the legislature resorts to language similar in its import to the language of an earlier act which had received a practical construction, it is fair to presume that the language was used in the later act with a view to the contemporaneous construction so given the earlier law.²²³ To make the principle of reenactment applicable, the earlier law must have been reenacted and not merely amended and the contemporaneous construction thereof must be in the form of

regulation to implement the law and duly published and not merely administrative ruling embodied in a letter to a specified individual and not published.²²⁴

The contemporaneous construction as approved by the legislature by re-enactment is accorded greater weight and respect than the contemporaneous construction of the statute before its ratification. It has been held that "where a statute has received a contemporaneous and practical interpretation and the statute as interpreted is reenacted, the practical interpretation is accorded greater weight than it ordinarily receives, and is regarded as presumptively the correct interpretation of the law. The rule here is based upon the theory that the legislature is acquainted with the contemporaneous interpretation of a statute, especially when made by an administrative body or executive officer charged with the duty of administering or enforcing the law, and therefore adopts the interpretation upon re-enactment."²²⁵ The reason why such contemporaneous construction is given much weight in this interpretation of a statute is due to the fact that there is in this case an agreement between two departments — the executive and the legislative — to the meaning of the law, and it devolves upon the judiciary to give it a deferential treatment.²²⁶ The rule does not, however, operate to freeze a meaning which is in evident conflict with the clearly expressed legislative intent.²²⁷

In *Commissioner of Internal Revenue v. American Express*, G.R. No. 152609, June 29, 2005, the Court explained the rule of re-enactment and cited an example, as follows:

"(U)pon the enactment of RA 8424, which substantially carries over the particular provisions on zero rating of services under Section 102(b) of the Tax Code, the principle of legislative approval of administrative interpretation by reenactment clearly obtains. This principle means that 'the reenactment of a statute substantially unchanged is persuasive indication of the adoption by Congress of a prior executive construction.

²¹⁸*American Tobacco Co. v. Director of Patents*, G.R. No. 26803, October 14, 1975, 67 SCRA 287.

²¹⁹*In re Dick*, 38 Phil. 41 (1918).

²²⁰*Asturias Sugar Central, Inc. v. Commissioner of Customs*, G.R. No. 19837, September 30, 1969, 29 SCRA 617.

²²¹*Government v. Standard Oil Co.*, 20 Phil. 30 (1911); *Mitsui Bussan Kaisha v. Manila Electric Railroad & Light Co.*, 39 Phil. 624 (1919).

²²²*ABS-CBN Broadcasting Corp. v. Court of Tax Appeals*, G.R. No. 52306, October 12, 1981, 108 SCRA 142; *Alexander Howden & Co., Ltd. v. Collector of Internal Revenue*, G.R. No. 19392, April 14, 1965, 13 SCRA 601; *Interprovincial Autobus Co., Inc. v. Collector of Internal Revenue*, 98 Phil. 290 (1956).

²²³*In re Dick*, 38 Phil. 41 (1918); *Montelibano v. Ferrer*, 97 Phil. 228 (1955).

²²⁴*Alexander Howden & Co., Ltd. v. Collector of Internal Revenue*, G.R. No. 19392, April 14, 1965, 13 SCRA 601.

²²⁵*Laxamana v. Baltazar*, 92 Phil. 32, 34-35 (1952), quoting *Sutherland, Statutory Construction*, 5109.

²²⁶*Bengzon v. Secretary of Justice*, 62 Phil. 912 (1936).

²²⁷*Interprovincial Autobus Co., Inc. v. Collector of Internal Revenue*, 98 Phil. 290 (1956).

The legislature is presumed to have reenacted the law with full knowledge of the contents of the revenue regulations then in force regarding the VAT, and to have approved or confirmed them because they would carry out the legislative purpose. The particular provisions of the regulations we have mentioned earlier are, therefore, re-enforced. "When a statute is susceptible of the meaning placed upon it by a ruling of the government agency charged with its enforcement and the [legislature thereafter [re]enacts] the provisions [without] substantial change, such action is to some extent confirmatory that the ruling carries out the legislative purpose.

3.44. *Stare decisis.*

The decision of the Supreme Court applying or interpreting a statute is controlling with respect to the interpretation of that statute and is of greater weight than that of an executive or administrative officer in the construction of other statutes of similar import. The reason is that the interpretation of a statute by the Supreme Court forms part of the statute itself and of the legal system²²⁹ and comes from that branch of government entrusted with the duty to construe or interpret the law.²³⁰ It is an invaluable aid in the construction or interpretation of statutes of doubtful meaning.

The legal maxim which requires that past decisions of the court be followed in the adjudication of cases is known as *stare decisis et non quita movere*. It means one should follow past precedents and should not disturb what has been settled. The rule rests on the desirability of having stability in the law.²³¹ Accordingly, a ruling of the Supreme Court as to the construction of a law should be followed in subsequent cases involving similar questions. In other words, once a case has been decided one way, then another case, involving exactly the same point at issue, should be decided in the same manner.²³² For the "Supreme Court has the constitutional duty not only of interpreting and applying the law in accordance with prior doctrines but also of protecting society from the improvidence and

wantonness wrought by needless upheavals in such interpretations and applications. Interest *reipublice ut sit finis litium*." The interest of the State demands that there be an end to litigation.²³³

A ruling of the Supreme Court, in order that it will come within the doctrine of *stare decisis*, must be categorically stated on an issue expressly raised by the parties; it must be a direct ruling.²³⁴ Where the court resolved a question merely *sub silencio*, its decision does not come within the maxim of *stare decisis*, insofar as the question is concerned.²³⁵ Nor does an opinion expressed by the way, not upon the point in issue, fall within the maxim, for such is merely an *obiter dictum*.²³⁶

The principle presupposes that the facts of the precedent and the case to which it is applied are substantially the same. Where the facts are dissimilar, then the principle of *stare decisis* does not apply.²³⁷

An *obiter dictum* does not also fall within the doctrine. An *obiter dictum* has been defined as an opinion expressed by a court upon some question of law which is not necessary to the decision of the case before it. It is a remark made, or opinion expressed, by a judge, in his decision upon a cause 'by the way,' that is, incidentally, and not directly upon the question before him, or upon a point not necessarily involved in the determination of the cause, or introduced by way of illustration, or analogy or argument. An *obiter dictum* is not binding as a precedent.²³⁸

The rule of *stare decisis* is not absolute. "The principle of *stare decisis* does not mean blind adherence to precedents. The doctrine or rule laid down, which has been followed for years, no matter how sound it may be, if found to be contrary to law, must be abandoned. The principle of *stare decisis* does not and should not apply when there is a conflict between the precedent and the law. The duty of the court is to forsake and abandon any doctrine or rule found to be in violation of law in force."²³⁹ For more important than anything

²²⁹Art. 4, Civil Code, *People v. Jabinal*, G.R. No. 30061, February 27, 1974, 55 SCRA 607.

²³⁰*Endencia v. David*, 93 Phil. 696 (1953).

²³¹*Koppel (Phils.), Inc. v. Yaton*, 77 Phil. 496 (1946).

²³²*Associated Sugar, Inc. v. Commissioner of Customs*, G.R. No. 30391, November 25, 1962, 118 SCRA 567; *Phies City Educational Center v. NIRC*, 46 SCAD 179, 227 SCRA 655 (1993).

²³³*National Power Corp. v. Province of Iloilo del Sur*, 76 SCAD 223, 264 SCRA 271, 298 (1996).

²³⁴*People v. Macadaeg*, 91 Phil. 410 (1952).

²³⁵*Hebron v. Reyes*, 104 Phil. 175 (1958).

²³⁶*People v. Macadaeg*, 91 Phil. 410 (1952).

²³⁷*Tung Chin Hui v. Rodriguez*, 134 SCAD 252, 340 SCRA 766 (2000).

²³⁸*Delta Motors Corp. v. Court of Appeals*, 85 SCAD 40, 276 SCRA 212 (1997).

²³⁹*Tan Chong v. Secretary of Labor*, 79 Phil. 249, 257 (1947).

else is that the courts should be right.²³⁸ However, only the Supreme Court itself can change or abandon a precedent enunciated by it; it cannot be done by an inferior court, nor even by the legislature except when the latter amends or repeals the law itself.²⁴⁰ Hence, until the high tribunal shall have overruled a principle or doctrine enunciated in a case, inferior courts are bound to follow it. There is only one Supreme Court from whose decisions all other courts should take their bearings. If inferior courts feel that the doctrine laid down by the Supreme Court is against their way of reasoning, they may state their personal opinion on the matter but must decide the case in accordance with the doctrine and not with their personal view.²⁴¹ For inferior courts to deviate from this rule will have detrimental consequences beyond the immediate controversy.²⁴²

The Court in *Tung Chin Hui v. Rodriguez*, G.R. No. 137571 [September 21, 2000], further explained when *stare decisis* is applicable, as follows:

Petitioner insists, however, that the "application of Section 18, Rule 41 under the Revised Rules of Court must be maintained under the doctrine of *stare decisis*." Thus, he urges the Court to apply precedents that held that the 48-hour period for perfecting an appeal was mandatory and jurisdictional. He specifically cites *Saulo v. Cruz*, *Garcia v. Echiverti*, and *Elegante v. Madayag*.

The principle cited by petitioner is an abbreviated form of the maxim "*Stare decisis, et non quicquam mouere*." That is, "When the court has once laid down a principle of law as applicable to a certain state of facts, it will adhere to that principle and apply it to all future cases where the facts are substantially the same." This principle assures certainty and stability in our legal system.

It should be stressed that *stare decisis* presupposes that the facts of the precedent and the case to which it is applied are substantially the same. In this case, there is one crucial difference. All the incidents of the present controversy occurred

²³⁸Koppel (Phil.), Inc. v. Yateo, 77 Phil. 496 (1946).

²⁴⁰See Secs. 2.12 and 2.13, *supra*.

²⁴¹Albert v. Court of First Instance of Manila, G.R. No. 26364, May 29, 1968, 23 SCRA 948.

²⁴²Canon 18, Canons of Judicial Ethics.

when the 1997 Revised Rules of Court was already in effect. On the other hand, all the cited precedents had been resolved under the pre-1997 Rules. Accordingly, *stare decisis* cannot compel this Court to apply to the present case the alleged precedents decided during the regime of the pre-1997 Rules. The cited cases applied a specific provision of the Rules in effect at the time. But because that provision had already been repealed when the facts under present consideration occurred, the Court can no longer rely on those cases. Indeed, to rule otherwise is to bar the effectivity of the 1997 amendments, which conflict with jurisprudence decided under an old and repealed rule. Verily, petitioner's contention effectively precludes changes and freezes our procedural rules.

not clearly provided in the law cannot be extended to those matters outside its scope.⁵

Where the law is clear and unambiguous, it must be taken to mean exactly what it says and the court has no choice but to see to it that its mandate is obeyed. Where the law is clear and free from doubt or ambiguity, there is no room for construction or interpretation. Thus, where what is not clearly provided in the law is read into the law by construction because it is more logical and wise, it would be to encroach upon legislative prerogative to define the wisdom of the law, which is judicial legislation.⁶ For whether a statute is wise or expedient is not for the courts to determine. Courts must administer the law, not as they think it ought to be but as they find it and without regard to consequences.⁷

The case of *National Federation of Labor v. NLRB*⁸ illustrates the rule. The issue in this case is whether or not an employer that was compelled to cease its operation because of the compulsory acquisition by the government of its land for purposes of agrarian reform, is liable to pay separation pay to its affected employees. The employees, claiming such separation pay, cited Art. 283 of the Labor Code in support of their claim. Article 283 provides that the "employer may also terminate the employment of any employee" for reasons therein by serving notice thereof and paying separation pay to affected employees. The Court ruled that the employees were not entitled to such separation pay and explained why:

"Even assuming, *arguendo*, that the situation in this case were a closure of the business establishment called Patalon Coconut Estate of private respondents, still the petitioners/employees are not entitled to separation pay. The closure contemplated under Article 283 of the Labor Code is a unilateral and voluntary act on the part of the employer to close the business establishment as may be gleaned from the wording of the said legal provision that 'The employer may also terminate the employment of any employee due to . . . The use of the word 'may' in a statute, denotes that it is directory

Chapter IV

ADHERENCE TO, OR DEPARTURE FROM, LANGUAGE OF STATUTE

A. LITERAL INTERPRETATION

4.01. Literal meaning or plain-meaning rule.

As a general rule, the intent of the legislature to be ascertained and thereafter given effect is the intent expressed in the language of the statute.¹ If a statute is clear, plain and free from ambiguity, it must be given its literal meaning and applied without attempted interpretation. This is what is known as plain-meaning rule or *verba legis*. It is expressed in the maxim, *index animi sermo*, or speech is the index of intention.² The rule rests on the valid presumption that the words employed by the legislature in a statute correctly express its intent or will and preclude the court from construing it differently.³ The legislature is presumed to know the meaning of the words, to have used words advisedly, and to have expressed its intent by the use of such words as are found in the statute.⁴ *Verba legis non est recedendum*, or from the words of a statute there should be no departure.

The elementary rule in statutory construction is that when the words and phrases of a statute are clear and unequivocal, their meaning must be determined from the language employed and the statute must be taken to mean exactly what it says. Hence, what is

¹*Regalado v. Yulo*, 61 Phil. 173 (1935).

²*Bustamante v. NLRB*, 76 SCAD 652, 265 SCRA 61 (1996), citing *Ruben E. Agaplo, Statutory Construction* (1990 ed.), p. 94.

³*Espiritu v. Cipriano*, G.R. No. 32742, February 15, 1974, 55 SCRA 533; *Globe-Mackay Cable & Radio Corp. v. NLRB*, 206 SCRA 701 (1992), citing *Agaplo, Statutory Construction*, 1990 ed., p. 94.

⁴*Aparri v. Court of Appeals*, G.R. No. 30057, January 31, 1984.

(1988).

⁵*Baranda v. Guatilo*, 165 SCRA 757 (1988); *Dayrit v. Cruz*, 165 SCRA 571 (1988).

⁶*Rizal Commercial Banking Corp. v. Intermediate Appellate Court*, 116 SCAD 999, 320 SCRA 279 (1999).

⁷*Director of Lands v. Abaya*, 63 Phil. 559 (1936).

⁸107 SCAD 713, 327 SCRA 158 (2000).

in nature and generally permissive only.⁹ The 'plain-meaning rule' or *verba legis* in statutory construction is thus applicable in this case. Where the words of a statute are clear, plain and free from ambiguity, it must be given its literal meaning and applied without attempted interpretation.

In other words, Article 283 of the Labor Code does not contemplate a situation where the closure of the business establishment is forced upon the employer and ultimately for the benefit of the employees.¹⁰

The fundamental rule that the legislative intent must be determined from the language of the statute itself must be adhered to even though the court is convinced by extraneous circumstances that the legislature intended to enact something very different from that which it did enact. An absurdity cannot be created to be cleared up by construction, and hidden meanings at variance with the language used cannot be sought out. The court may not speculate as to the probable intent of the legislature different from that expressed in the words of the statute. To attempt to do so is a perilous undertaking and is apt to lead to an amendment of a law by judicial construction. To depart from the meaning expressed by the words is to alter the statute, to legislate and not to interpret.¹¹ *Maledicta est expositio quae corrumpit textum*, or it is dangerous construction which is against the text.¹²

4.02. *Dura lex sed lex.*

A statute, being the will of the legislature, should be applied in exactly the way the legislature has expressed itself clearly in the law. The clear, unambiguous and unequivocal language of a statute precludes the court from construing it and gives it no discretion but to apply the law.¹³ The statute in such a case must be taken to

⁹*Ibid.*, citing Agpalo, Ruben E., *Statutory Construction*, 1995 ed., p. 263.

¹⁰107 SCAD 713, 327 SCRA, p. 165.

¹¹Tanada v. Yulo, 61 Phil. 515 (1935).

¹²Regalado v. Yulo, 61 Phil. 173 (1935); Victoria v. COMELEC, 47 SCAD 224, 229 SCRA 269 (1994).

¹³Republic Flour Mills, Inc. v. Commissioner of Customs, G.R. No. 28464, May 31, 1971, 39 SCRA 269; Commissioner of Internal Revenue v. Limpan Investment Corp., G.R. No. 28571, July 31, 1970, 34 SCRA 148 (1970); Quifano v. Development Bank of the Phil., G.R. No. 26419, October 16, 1970, 35 SCRA 270; Ramos v. Court of Appeals, G.R. No. 53766, October 30, 1981, 108 SCRA 728.

A. Literal Interpretation

mean exactly what it says.¹⁴ Its literal meaning should be followed.¹⁵ *Absoluta sententia expositio non indiget*. When the language of the law is clear, no explanation of it is required.

It is an elementary rule in statutory construction that when the words and phrases of the statute are clear and unequivocal, their meaning must be determined from the language employed and the statute must be taken to mean exactly what it says. The courts may not speculate as to the probable intent of the legislature apart from the words. When the law is clear, it is not susceptible of interpretation. It must be applied regardless of who may be affected, even if it may be harsh or onerous.¹⁶

"The law may be harsh, but it is still the law." This principle is expressed in the legal maxim, *dura lex sed lex*. Another maxim expressive of the rule is *hoc quidem perquam durum est, sed ita lex scripta est*, or it is exceedingly hard but so the law is written. The principle requires that the statute should be applied regardless of whether it is unwise, hard or harsh. If the law is clear and free from doubt, it is the sworn duty of the court to apply it without fear or favor, to follow its mandate, and not to tamper with it.¹⁷ A decent regard to the legislative will should inhibit the court from engaging in judicial legislation to change what it thinks are unrealistic statutes that do not conform with ordinary experience or practice.¹⁸ Nor may the court rewrite the law under the guise of interpretation. For the duty of the court in interpreting a statute which is ambiguous is not to dispute its wisdom; the duty of the court is limited to inquiring into the legislative intent and, once this is determined, to making said intent effective.¹⁹ Moreover, the law is the law, and if there is a need to change, amend or repeal it, that may be done through legislative process, not by judicial decree.²⁰

¹⁴Banawa v. Mirano, G.R. No. 24750, May 16, 1980, 97 SCRA 517; Espiritu v. Cipriano, G.R. No. 32743, February 15, 1974, 55 SCRA 533.

¹⁵Tan Lin v. Republic, 112 Phil. 308 (1961).

¹⁶Pascual v. Pascual-Bautista, 207 SCRA 561 (1992); Fagel Tabin Agricultural Corp. v. Jacinto, 203 SCRA 189 (1991); People v. Amigo, 67 SCAD 28, 252 SCRA 43 (1996).

¹⁷Go v. Anti-Chinese League of the Phils., 84 Phil. 468 (1949); Gonzales v. Gonzales, 58 Phil. 67 (1933); Republic v. Go Bon Lee, 111 Phil. 805 (1961); Velasco v. Lopez, 1 Phil. 720 (1903).

¹⁸National Marketing Corp. v. Tecson, G.R. No. 29131, August 27, 1969, 29 SCRA 70.

¹⁹San Diego v. Sayson, G.R. No. 16258, August 31, 1961, 2 SCRA 1175; Inching v. Hernandez, 101 Phil. 1155 (1959).

²⁰Baking v. Director of Prisons, G.R. No. 30364, July 28, 1969, 28 SCRA 850; National Marketing Corp. v. Tecson, *supra*.

Once the intent or meaning of the law is ascertained by the application of the rules of statutory construction, the law must be enforced and obeyed. It has been held that there "may be discretion as to what a particular provision requires; there can be none whatsoever as to the enforcement and application thereof once its meaning has been ascertained. What it decrees must be followed; what it commands must be obeyed."²¹

Where the law is clear, appeals to justice and equity as justification to construe it differently are unavailing. For equity is available only in the absence of law and not its replacement. Equity is described as justice outside legality, which simply means that it cannot supplant although it may supplement the law. All abstract arguments based on equity should yield to positive rules. Appeals for justice and equity cannot justify disregard of the mandate of the law so long as it remains in force. The applicable maxim, which goes back to the ancient days of the Roman jurists and which is still observed is "*aequitas nunquam contravenit legis*."²² Equity never acts in contravention of the law.

B. DEPARTURE FROM LITERAL INTERPRETATION

4.03. Statute must be capable of interpretation, otherwise inoperative.

A statute must be capable of construction or interpretation. The court must use every authorized means to ascertain the intent of the statute and give it an intelligible meaning. The court may even depart from the language of the statute if to do so will enable it to effectuate legislative intent and purpose. However, after such effort is found impossible to solve the doubt and dispel the obscurity of a statute, if no judicial certainty can be had as to its meaning, the court is not at liberty to supply nor to make one. If the legislative intent is not expressed in some appropriate manner, the court may not by interpretation speculate as to its intent and supply a meaning not found in the phraseology of the law. The court may not assume some purpose in no way expressed and then construe the statute to

B. Departure from Literal Interpretation

accomplish it.²³ Where a statute totally fails to express a meaning, a becoming sense of judicial modesty forbids the court from assuming and, consequently, from supplying a meaning thereto.²⁴ The statute, in such a case, is necessarily inoperative.²⁵

An interesting case involving the foregoing principle is *Santiago v. COMELEC*.²⁶ The issue raised is whether Rep. Act No. 6735 is an adequate statute to implement Section 2, Article XVII of the 1987 Constitution, which reads:

"Sec. 2. Amendments to this Constitution may likewise be directly proposed by the people through initiative upon a petition of at least twelve *per centum* of the total number of registered voters, of which every legislative district must be represented by at least three *per centum* of the registered voters therein. No amendment under this section shall be authorized within five years following the ratification of this Constitution nor oftener than once every five years thereafter.

The Congress shall provide for the implementation of the exercise of this right."

The majority of the Court held that Rep. Act No. 6735 "is incomplete, inadequate, or wanting in essential terms and conditions insofar as initiative on amendments to the Constitution is concerned." It ruled that Rep. Act No. 6735 cannot be used as basis to implement the right of the people to propose amendments to the Constitution. It enumerated as reasons for its conclusion the following:

1. Contrary to the assertion of the proponent, Sec. 2 of the law, which provides that the "power of the people under a system of initiative and referendum to directly propose, enact, approve or reject, in whole or in part, the Constitution, laws, ordinances, or resolutions passed by any legislative body upon compliance with the requirements of this Act is hereby affirmed, recognized and guaranteed" does not suggest an initiative on amendments to the Constitution because it is silent as to

²¹*Regalado v. Yulo*, 61 Phil. 173 (1935).

²²*Demañiles v. Commission on Elections*, G.R. No. 28396, December 29, 1967, 21 SCRA 1462.

²³*Manilla Jockey Club, Inc. v. Games and Amusements Board*, 107 Phil. 151 (1960).

²⁴80 SCAD 782, 270 SCRA 106 (1997).

²¹*Phil. National Bank v. Bicolok Sawmill, Inc.*, 23 SCRA 1366, 1377 (1968).

²²*Aguila v. Court of First Instance of Batangas*, 160 SCRA 352 (1988).

amendments on the Constitution and the word "Constitution" is neither germane nor relevant to said section.

2. While Sec. 3 includes in the three systems of initiative "amendments to the Constitution," the law, unlike on the initiatives on statutes and local legislation, did not provide for the contents of a petition for initiative on the Constitution.

3. While the Act provides sub-titles for national laws and local legislation, it did not provide sub-titles for initiative on the Constitution.

4. While the Act empowered the Commission on Elections to issue rules and regulations, which it did to implement the initiatives on the Constitution, the delegation of authority is invalid because the Act is incomplete and it did not fix a sufficient standard.

The other members of the Court dissented. The dissenting opinion of Justice Reynato S. Puno makes the following arguments to sustain that Rep. Act No. 6735 sufficiently implements the right of the people to initiate amendments to the Constitution thru initiative:

a. The majority opinion concedes that Rep. Act No. 6735 was intended to cover not only initiatives to enact statutes and local legislation but also initiatives to amend the Constitution. Such legislative intent is shown not only by the provisions of the Act itself but also by the deliberations on the bill that became Rep. Act No. 6735. The intent of the law being clear and conceded by all, "it must be enforced even if it may not be consistent with the strict letter of the law and this ruling is as old as the mountain." Moreover, where a law is susceptible of more than one interpretation, that interpretation which will most tend to effectuate the manifest intent of the legislature will be adopted.

b. Republic Act No. 6735 defines "initiative as the power of the people to propose amendments to the Constitution or to propose and enact legislations through an election called for the purpose" and "plebiscite as the electoral process by which an initiative on the Constitution is approved or rejected by the people."

c. The law in Section 5(b) states what the petition for an initiative on the Constitution should contain.

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B. Departure from Literal Interpretation

d. Section 9(b) of the Act fixes the effectivity date of the amendment to the Constitution, which states that the proposition in the initiative on the Constitution approved by a majority of the votes cast in the plebiscite shall become effective as to the day of the plebiscite.

e. Republic Act No. 6735 provides sufficient standards, upon which the Commission on Elections can validly issue rules and regulations, as it did, to implement the law, found in the law itself and in the Constitution.

Apparently, the majority of the Court adopted a strict and literal rather than a liberal construction of the law, which is not in keeping with the maxim, *interpretatio fenda est ut res magis valeat quam pereat* or that interpretation as will give the thing efficacy is to be adopted, as well as the rule that provisions on initiative should be liberally construed to effectuate their purposes, to facilitate and not to hamper the exercise by voters of the rights granted thereby.²⁷

In the subsequent case of *Lambino v. Comelec*, [G.R. No. 174153, October 25, 2006], the Court affirmed the decision in *Santiago v. COMELEC*, *supra*, and rejected petitioners' plea to revisit the *Santiago* ruling.

4.04. What is within the spirit is within the law.

Language is rarely so free from ambiguity as to be incapable of being used in more than one sense. What the legislature had actually in mind is not sometimes accurately reflected in the language of a statute, and its literal interpretation may render it meaningless, lead to absurdity, injustice or contradiction.²⁸ When this happens and following the rule that the intent or spirit of the law is the law itself, resort is had to the principle that the spirit of the law controls its letter. The principle states that a thing which is within the intention of the statute is as much within the statute as if it were within the letter, and a thing which is within the letter of the statute is not within the statute unless it be within the intention of the lawmaker, and the statute should be so construed as to effectuate its intent or purpose, advance the remedy, and suppress

²⁷Vide dissenting opinions of Justices Francisco and Panganiban in said case.

²⁸*Hidalgo v. Hidalgo*, G.R. No. 25326, May 29, 1970, 33 SCRA 105; *Casela v. Court of Appeals*, G.R. No. 26754, October 16, 1970, 35 SCRA 279.

the mischief contemplated by the framers.³² The maxim expressive of the principle is *ratio legis*, or interpretation according to the spirit or reason of the law.

The principle has been variously formulated: "As a general rule of statutory construction, the spirit or intention of a statute prevails over the letter thereof, and what is within the spirit of a statute is within the statute although it is not within the letter thereof, while that which is within the letter but not within the spirit of the statute is not within the statute."³³ The spirit, rather than the letter, of a statute determines the construction thereof, and the court looks less to its words and more to its context, subject matter, consequence and effect.³⁴ A statute must be read according to its spirit and intent, and where legislative intent apparently conflicts with the letter of the law, the former prevails over the latter.³⁵

It has been held that "if a statute is valid, it is to have effect according to the purpose and intent of the lawmakers. The intent is the vital part, the essence of the law, and the primary rule of construction is to ascertain and give effect to that intent. The intention of the legislature in enacting a law is the law itself, and must be enforced when ascertained, although it may not be consistent with the strict letter of a statute when it leads away from the true intent and purpose of the legislature and to conclusion inconsistent with the general purpose of the act. Intent is the spirit which gives life to a legislative enactment. In construing statutes, the proper course is to start and follow the true intent of the legislature and to adopt that sense which harmonizes best with the context and promotes in the fullest manner the apparent policy and object of the legislature."³⁶

A law should accordingly be so construed as to be in accordance with, and not repugnant to, the spirit of the law.³⁷

³²U.S. v. Go Chio, 14 Phil. 128 (1909); Tañada v. Cuenco, 103 Phil. 1051 (1957); Villanueva v. City of Iloilo, G.R. No. 26621, December 28, 1968, 26 SCRA 578; Mat-abuena v. Cervantes, G.R. No. 28771, March 31, 1971, 38 SCRA 284.

³³Tañada v. Cuenco, 103 Phil. 1051, 1086 (1957), citing 82 C.J.S. 613.

³⁴Manila Race Horse Trainers Assn., Inc. v. De la Fuente, 88 Phil. 60 (1951); Go Chi v. Go Cho, 96 Phil. 622 (1955).

³⁵Tañada v. Cuenco, 103 Phil. 1051 (1957); Hidalgo v. Hidalgo, G.R. No. 25326, May 29, 1970, 38 SCRA 105; Roa v. Collector of Customs, 23 Phil. 315 (1912).

³⁶Torres v. Limjap, 56 Phil. 141, 145, 146 (1931), quoting II Sutherland, *Statutory Construction*, pp. 693-695.

³⁷Galuba v. Laureta, 157 SCRA 627 (1988); Phil. National Bank v. Office of the President, 67 SCAD 4, 252 SCRA 6 (1996).

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The court may consider the spirit and reason of a statute where a literal meaning would lead to absurdity, contradiction, injustice or would defeat the clear purpose of the lawmakers. There is a valid presumption that undesirable consequences were never intended by a legislative measure, and a construction of which a statute is fairly susceptible is favored, which will avoid all objectionable, mischievous, indefensible, wrongful, evil and injurious consequences.³⁸

4.05. Literal import must yield to intent.

The literal import or meaning of a statute must yield to its apparent intent, purpose or spirit. The intention of the legislature and its purpose or object, being the fundamental inquiry in judicial construction, control the literal interpretation of particular language of a statute, and a language capable of more than one meaning is to be taken in such sense as to harmonize with the intention and object and effectuate the purpose of the enactment.³⁹ *Verba intentioni, non e contra, debent inservire*, or words ought to be more subservient to the intent and not the intent to the words. Accordingly, where it is difficult to harmonize satisfactorily the complicated and sometimes perplexing provisions of a statute, it is the duty of the court to choose between conflicting theories that which best accords with the spirit or intent of the law.⁴⁰

"Conscience and equity should always be considered in the construction of a statute. The courts are not to be hedged in by the literal meaning of the language of the statute; the spirit and intentment thereof must prevail over its letter. This rule of construction is especially applicable where adherence to the letter of the statute would result in absurdity and injustice."⁴¹ Thus, where the interpretation of a statute according to its exact and literal import would lead to mischievous results or contravene the clear purpose of the legislature, it would be construed according to its

³⁸Melchor v. Commission on Audit, 200 SCRA 704 (1991).

³⁹U.S. v. Go Chio, 14 Phil. 128 (1909); Garcia v. Ambler, 4 Phil. 81 (1904); *McMicking v. Lichanoo*, 27 Phil. 396 (1914); *Hidalgo v. Hidalgo*, G.R. No. 25326, May 29, 1970, 38 SCRA 105.

⁴⁰*Ty Sue v. Hord*, 12 Phil. 485 (1909); *Macondray Transportation Workers Union v. Manila Yellow Taxi Cab Co.*, 80 Phil. 833 (1948); *Ledesma v. Picatin*, 79 Phil. 95 (1947).

⁴¹*Casela v. Court of Appeals*, G.R. No. 26754, October 16, 1970, 35 SCRA 279, 282; *Co v. Electoral Tribunal of House of Representatives*, 199 SCRA 692 (1991); see also *Hidalgo v. Hidalgo*, G.R. No. 25326, May 29, 1970, 38 SCRA 105.

spirit and reason, disregarding as far as necessary the letter of the law. A statute may therefore be extended to cases not within the literal meaning of its terms, so long as they come within its spirit or intent.³⁹

4.06. Intent of a statute is the law

The Court in *PNB v. Office of the President*, G.R. No. 104528 [January 18, 1996], citing an old case, ruled:

"The intent of a statute is the law. If a statute is valid it is to have effect according to the purpose and intent of the lawmaker. The intent is the vital part, the essence of the law, and the primary rule of construction is to ascertain and give effect to the intent. The intention of the legislature in enacting a law is the law itself, and must be enforced when ascertained, although it may not be consistent with the strict letter of the statute. Courts will not follow the letter of a statute when it leads away from the true intent and purpose of the legislature and to conclusions inconsistent with the general purpose of the act. Intent is the spirit which gives life to a legislative enactment. In construing statutes, the proper course is to start out and follow the true intent of the legislature and to adopt that sense which harmonizes best with the context and promotes in the fullest manner the apparent policy and objects of the legislature."

In *Solid Homes v. Tan*, 465 SCRA 137 [2005], the issue is whether or not Article 1385 of the Civil Code should be literally applied. Said article reads in part:

Article 1385. Rescission creates the obligation to return the things which were the object of the contract, together with their fruits, and the price with its interests; consequently, it can be carried out only when he who demands rescission can return whatever he may be obliged to restore.

When the contract is rescinded, will the lot buyer be entitled to the return of what he had paid or will he be entitled to receive from the lot seller the prevailing market value of the property? The ordinary rule is that he will be entitled only to the return of what he

³⁹Rufino Lopez & Sons, Inc. v. Court of Tax Appeals, 100 Phil. 860 (1957).

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had paid. However, there are exceptions to this rule. The Court in this case ruled:

Petitioner submits as erroneous the appellate court's ruling that "[e]quity and justice dictate that the injured party should be paid the market value of the lot, otherwise, respondents Solid Homes, Inc. & Purita Soliven would enrich themselves at the expense of herein lot owners when they sell the same lot at the present market value." To petitioner, equity may be availed of only in the absence of and never against statutory law or judicial rules of procedure. x x x

On surface, petitioner's argument appears infallible. However, a closer look at our laws and the reason and spirit behind their enactment, as well as established jurisprudence, negates petitioner's thesis.

It is true that this Court has, in the past, applied the provision of Article 1385 to cases of rescission due to breach of obligation under Article 1191. But this notwithstanding, the Court finds no reason to alter the ruling of the Court of Appeals.

x x x

In many instances, this Court has refused to apply the literal import of a particular provision of law when to do so would lead to unjust, unfair and absurd results. After all, it is the function of courts to see to it that justice is dispensed, fairness is observed and absurdity prevented. So it is that in *Commissioner of Internal Revenue v. Solidbank Corporation* we made the following pronouncement:

A literal application of any part of a statute is to be rejected if it will operate unjustly, lead to absurd results, or contradict the evident meaning of the statute taken as a whole. Unlike the CA, we find that the literal application of the aforesaid sections of the Tax Code and its implementing regulations does not operate unjustly or contradict the evident meaning of the statute taken as a whole. Neither does it lead to absurd results. Indeed, our courts are not to give words meanings that would lead to absurd or unreasonable consequences. We have repeatedly held thus:

x x x Statutes should receive a sensible construction, such as will give effect to the legislative intention and so as to avoid an unjust or an absurd conclusion. (Emphasis supplied.)

Were we to follow the letter of Article 1385, we will in effect be paving the way to an absurd situation whereby subdivision developers who have reneged on their contractual and legal obligation to provide utility systems and facilities for the use of subdivision lot owners may themselves profit from their very own wrongs and shortcomings. In the curt language of the Court of Appeals, to which we are in full accord:

Indeed, there would be unjust enrichment if respondents Solid Homes, Inc. & Purita Soliven are made to pay only the purchase price plus interest. It is definite that the value of the subject property already escalated after almost two decades from the time the petitioner paid for it. Equity and justice dictate that the injured party should be paid the market value of the lot, otherwise, respondents Solid Homes, Inc. & Purita Soliven would enrich themselves at the expense of herein lot owners when they sell the same lot at the present market value. Surely, such a situation should not be countenanced for to do so would be contrary to reason and therefore, unconscionable. Over time, courts have recognized with almost pedantic adherence that what is inconvenient or contrary to reason is not allowed in law.

The foregoing scenario becomes even more intolerable when it is considered that P.D. 959 was issued precisely as a measure against subdivision owners, developers, operators and/or sellers who reneged on their obligation to provide the needed utility systems and facilities in their subdivisions. As expressed in one of the decree's whereas clauses:

WHEREAS, numerous reports reveal that many real estate subdivision owners, developers, operators and/or sellers have reneged on their representations and obligations to provide and maintain properly subdivision roads, drainage, sewerage, water systems, lighting systems, and other similar basic requirements, thus endangering the health and safety of home and lot buyers.

4.07. Limitation of rule.

The principle that what is within the spirit of a statute is within the statute itself although it is not within its letter applies only when there is ambiguity in the language employed in the law.

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Where the law is clear and free from ambiguity, the letter of the law is not to be disregarded on the pretext of pursuing its spirit.⁴⁰

4.08. Construction to accomplish purpose.

The key to open the door to what the legislature intended which is vaguely expressed in the language of a statute is its purpose or the reason which induced it to enact the statute. If the statute needs construction, the most dominant in that process is the purpose of the act.⁴¹ Statutes should be construed in the light of the object to be achieved and the evil or mischief to be suppressed,⁴² and they should be given such construction as will advance the object, suppress the mischief, and secure the benefits intended.⁴³ Where a provision or section of a statute admits of more than one construction, that construction which gives effect to the evident purpose sought to be attained by the enactment of the statute must be followed.⁴⁴ A construction should be rejected that gives to the language used in a statute a meaning that does not accomplish the purpose for which the statute was enacted, and that tends to defeat the ends which are sought to be attained by the enactment.⁴⁵

Courts should not follow the letter of a statute when to do so would depart from the true intent of the legislature or would otherwise yield conclusions inconsistent with the purpose of the act. Legislation is an active instrument of government which, for purposes of interpretation, means that laws have ends to achieve, and they should be so construed as not to defeat but to carry out

⁴⁰Tañada v. Cuenco, 103 Phil. 1051 (1957).

⁴¹De Jesus v. City of Manila, 29 Phil. 73 (1914); Commissioner of Internal Revenue v. Filipinas Compania de Seguros, 107 Phil. 1055 (1960); Garcia v. Ambler, 4 Phil. 81 (1904); McMeeking v. Liebano, 27 Phil. 386 (1914).

⁴²LVN Pictures, Inc. v. Phil. Musicians Guild, 110 Phil. 725 (1961); People v. Purisima, G.R. No. 52050, November 20, 1978, 86 SCRA 642 (1978); Commissioner of Internal Revenue v. Filipinas Compania de Seguros, 107 Phil. 1055 (1960).

⁴³Rivera v. Campbell, 34 Phil. 348 (1916).

⁴⁴Sanciangco v. Reno, 137 SCRA 671 (1985).

⁴⁵Munoz & Co. v. Hord, 12 Phil. 624 (1909); Ty Sue v. Hord, 12 Phil. 485 (1909); Sarcos v. Castillo, G.R. No. 29755, January 31, 1969, 26 SCRA 853; Republic Flour Mills, Inc. v. Commissioner of Customs, G.R. No. 28463, May 31, 1971, 39 SCRA 269 (1971); People v. Gatchalian, 104 Phil. 664 (1958); Kapathran ng mga Maglilingkod sa Pamahalaan ng Filipinas v. Tan, 163 SCRA 371 (1988); De Villa v. Commission on Election, 208 SCRA 420 (1992).

such ends and purposes.⁴⁶ As between two statutory interpretations, that which better serves the purpose of the law should prevail.⁴⁷

The reason why legislative purpose looms high in the determination of legislative intent and in the construction of a statute is explained in a case:

"All statutes must be construed in the light of their purpose. The same thought has been phrased differently, thus: The purpose of Congress is a dominant factor in determining meaning. For, to paraphrase Frankfurter, legislative words are not inert but derive vitality from the obvious purposes at which they are aimed. The same jurist likewise had occasion to state: Regard for its purposes should infuse the construction of the legislation if it is to be treated as a working instrument of government and not merely as a collection of English words. In the sixth annual Benjamin Nathan Cardozo lecture delivered by him, entitled 'Some Reflections on the Reading of Statutes,' he developed the theme further: The generating consideration is that legislation is more than composition. It is an active instrument of government which, for purposes of interpretation, means that laws have ends to be achieved. It is in this connection that Holmes said 'words are flexible.' Again it was Holmes, the last judge to give no quarter to loose thinking or vague yearning, who said that 'the general purpose is a more important aid to the meaning than any rule which grammar or formal logic may lay down.' And it was Holmes who chided courts for being 'apt to err by sticking too closely to the words of law where those words import a policy that goes beyond them.'⁴⁸

In another case, the Court ruled that "It is axiomatic that laws should be given a reasonable interpretation, not one which defeats the very purpose for which they were passed. This Court has in many cases involving the construction of statutes always cautioned against narrowly interpreting a statute as to defeat the purpose of the legislator and stressed that it is of the essence of judicial duty to construe statutes so as to avoid such a deplorable result (of injustice

⁴⁶Mariano, Jr. v. COMELEC, 59 SCAD 506, 242 SCRA 211 (1995).

⁴⁷Salenillas v. Court of Appeals, 169 SCRA 829 (1989).

⁴⁸Sarcos v. Castillo, G.R. No. 29755, January 31, 1969, 26 SCRA 853, 861.

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or absurdity) and that therefore 'a literal interpretation is to be rejected if it would be unjust or lead to absurd results.'⁴⁹

It is an accepted tenet in statutory construction that "statutes are to be construed in the light of the purposes to be achieved and the evils sought to be remedied. Hence, in construing a statute, the reason for its enactment should be kept in mind and the statute should be construed with reference to the intended scope and purpose. The court may consider the spirit and reason of the statute, where a literal meaning would lead to absurdity, contradiction, injustice, or would defeat the clear purpose of the lawmakers." (*In Re: Request of Justice Pardo for Adjustment of his Longevity Pay, A.M. No. 02-1-12-SC, (March 14, 2007)*)

Interpretation to subserve and not defeat purpose of law

In *People v. Lacson*, [G.R. No. 149453, October 7, 2003], the issue is whether Sec. 8, Rule 117 of the new Rules of Court (Revised Criminal Procedure) should be construed retroactively. Said provision reads:

SEC. 8. Provisional dismissal. — A case shall not be provisionally dismissed except with the express consent of the accused and with notice to the offended party.

The provisional dismissal of offenses punishable by imprisonment not exceeding six (6) years or fine of any amount, or both, shall become permanent one (1) year after issuance of the order without the case having been revived. With respect to offenses punishable by imprisonment of more than six (6) years, their provisional dismissal shall become permanent two (2) years after issuance of the order without the case having been revived. (n).

The Court ruled:

The Court is not mandated to apply Section 8 retroactively simply because it is favorable to the accused. It must be noted that the new rule was approved by the Court not only to reinforce the constitutional right of the accused to a speedy disposition of the case. The time-bar under the new rule was fixed by the Court to excise the malaise that plagued the administration of the criminal justice system for the benefit of the State and the accused; not for the accused only.

⁴⁹Soriano v. Offshore Shipping and Manning Corp., 177 SCRA 513, 519 (1989).

The Court approved Section 8 pursuant to its power under Article VIII, Section 5, paragraph 5 of the Constitution. This constitutional grant to promulgate rules carries with it the power, *inter alia*, to determine whether to give the said rules prospective or retroactive effect. Moreover, under Rule 144 of the Rules of Court, the Court may not apply the rules to actions pending before it if in its opinion their application would not be feasible or would work injustice, in which event, the former procedure shall apply. The absence of a provision in Section 8 giving it prospective application only does not proscribe the prospective application thereof, nor does it imply that the Court intended the new rule to be given retroactive and prospective effect. If the statutory purpose is clear, the provisions of the law should be construed as is conducive to fairness and justice, and in harmony with the general spirit and policy of the rule. It should be construed so as not to defeat but to carry out such end or purpose. A statute derives its vitality from the purpose for which it is approved. To construe it in a manner that disregards or defeats such purpose is to nullify or destroy the law. In this case, when the Court approved Section 8, it intended the new rule to be applied prospectively and not retroactively, for if the intention of the Court were otherwise, it would defeat the very purpose for which it was intended, namely, to give the State a period of two years from notice of the provisional dismissal of criminal cases with the express consent of the accused. It would be a denial of the State's right to due process and a travesty of justice for the Court to apply the new rule retroactively in the present case as the respondent insists, considering that the criminal cases were provisionally dismissed by Judge Aguir, Jr. on March 29, 1999 before the new rule took effect on December 1, 2000. A retroactive application of the time-bar will result in absurd, unjust and oppressive consequences to the State and to the victims of crimes and their heirs. (*People v. Kacsib*, G.R. No. 149453, October 7, 2003)

In *Norhis Free and Independent Workers Union v. Norhis Trading Co.*, [G.R. No. 157098, June 30, 2005], the issue is whether a respondent violated the CBA in its refusal to grant its employees an across-the-board increase as a result of the passage of Wage Order No. ROVII-06.

Petitioner insists that respondent should have granted to the employees the increase stated in Wage Order No. ROVII-06. In

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addition to the increases both parties had mutually agreed upon, the CBA supposedly imposed upon respondent the obligation to implement the increases mandated by law without any condition or qualification. To support its claim, petitioner repeatedly invokes Section 2 of Article XII of the CBA, which reads:

"SECTION 2. Minimum Wage Law Amendment. In the event that a law is enacted increasing minimum wage, an across-the-board increase shall be granted by the Company according to the provisions of the law."

Given the entire sentence, it is clear that the above-quoted CBA provision does not support the unyielding view of petitioner that the issuance of Wage Order No. ROVII-06 entitles its members to an across-the-board increase, absolutely and without any condition.

The CA correctly observed that the import of Wage Order No. ROVII-06 should be considered in the implementation of the government-decreed increase. The present Petition makes no denial or refutation of this finding, but merely an averment of the silence of the CBA on the creditability of increases provided under the Agreement against those in the minimum wage under a wage order. It insists that the parties intended no such creditability; otherwise, they would have expressly stated such intent in the CBA.

We hold that the issue here is not about creditability, but the applicability of Wage Order No. ROVII-06 to respondent's employees. The Wage Order was intended to fix a new minimum wage only, not to grant across-the-board wage increases to all employees in Region VII. The intent of the Order is indicated in its title, "Establishing New Minimum Wage Rates," as well as in its preamble: The purpose, reason or justification for its enactment was "to adjust the minimum wage of workers to cushion the impact brought about by the latest economic crisis not only in the Philippines but also in the Asian region."

Parenthetically, there are two methods of adjusting the minimum wage. In *Employers Confederation of the Phils. v. National Wages and Productivity Commission*, these were identified as the "floor wage" and the "salary-ceiling" methods. The "floor wage" method involves the fixing of a determinate amount to be added to the prevailing statutory minimum wage rates. On the other hand, in the "salary-ceiling" method, the

wage adjustment was to be applied to employees receiving a certain denominated salary ceiling. In other words, workers already being paid more than the existing minimum wage (up to a certain amount stated in the Wage Order) are also to be given a wage increase.

A cursory reading of the subject Wage Order convinces us that the intention of the Regional Board of Region VII was to prescribe a minimum or "floor wage"; not to determine a "salary ceiling." Had the latter been its intention, the Board would have expressly provided accordingly. The text of Sections 2 and 3 of the Order states:

"Section 2. AMOUNT AND MANNER OF INCREASE. — Upon the effectivity of this Order, the daily minimum wage rates for all the workers and employees in the private sector shall be increased by Ten Pesos (P10.00) per day to be given in the following manner:

- i. Five Pesos (P5.00) per day effective April 1, 1998, and
- ii. Additional Five Pesos (P5.00) per day effective October 1, 1998.

"Section 3. UNIFORM WAGE RATE PER AREA CLASSIFICATION. — To effect a uniform wage rate pursuant to Section 1 hereof, the prescribed minimum wage after full implementation of this Order for each area classification shall be as follows:

Area Classification	Non-Agriculture	Sector
Agriculture Sector		
Class A	165.00	150.00
Class B	155.00	140.00
Class C	145.00	130.00
Class D	135.00	120.00"

These provisions show that the prescribed minimum wage after full implementation of the P10 increase in the Wage Order is P165 for Class A private non-agriculture sectors. It would be reasonable and logical, therefore, to infer that those

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employers already paying their employees more than P165 at the time of the issuance of the Order are sufficiently complying with the Order.

4.09. Illustration of rule.

To illustrate the rule, a few cases may be cited. In *King v. Hernandez*,⁶⁰ the issue raised is whether a Chinese may be employed in a noncontrol position in a retail establishment, a wholly nationalized business under Republic Act No. 1180, otherwise known as the Retail Trade Law. The answer to the issue hinges on the interpretation of Section 2-A of Commonwealth Act No. 108 (Anti-Dummy Law) prohibiting an alien from intervening "in the management, operation, administration or control thereof (business wholly or partly nationalized) whether as an officer, employee or laborer therein x x x." It is contended that this provision does not prohibit employment of aliens in noncontrol positions because they do not, as such, intervene in the management, operation, administration or control of the retail establishment. In rejecting this argument, the court ruled that "when the law says that you cannot employ an alien in any position pertaining to the management, operation, administration and control whether as an officer, employee, or laborer therein, it only means one thing: The employment of a person who is not a Filipino citizen even in a minor or clerical or noncontrol position is prohibited. The reason is obvious: To plug any loophole or close any avenue that an unscrupulous alien may resort to flout the law or defeat its purpose, for no one can deny that while one may be employed in a non-control position who apparently is harmless he may later turn out to be a mere tool to further the evil designs of the employer. It is imperative that the law be interpreted in a manner that would stave off any attempt at circumvention of the legislative purpose."⁶¹

In *Bustamante v. NLRC*,⁶² the issue refers to the method of computing the amount of backwages, to which an illegally dismissed employee would be entitled until his actual reinstatement. There were then three methods of computation: (1) to be deducted from the amount of backwages is the earnings elsewhere during the period of illegal dismissal; (2) the amount of backwages is fixed without

⁶⁰114 Phil. 730 (1962).

⁶¹*Ibid.*, at p. 740.

⁶²76 SCAD 652, 265 SCRA 61 (1996).

deductions or qualifications but limited to not more than three years; and (3) full backwages or without deductions from the time the laborer's compensation was withheld until his actual reinstatement. On November 1, 1974, the Labor Code took effect, Art. 279 of which reads:

"Art. 279. Security of tenure. — In cases of regular employment, the employer shall not terminate the services of an employee except for a just cause or when authorized by this Title. An employee who is unjustly dismissed from work shall be entitled to reinstatement without loss of seniority rights and to his backwages computed from the time his compensation was withheld from him up to the time of his reinstatement."

The method of computation of backwages prior to the enactment of the above provision is as stated in No. 1 above. Under the abovequoted provision, the computation authorized by the Court is as stated in No. 2 above, even when Art. 279 has fixed the amount of backwages from the time his compensation was withheld from him up to the time of his reinstatement. Then came Republic Act No. 6715, which took effect on March 21, 1989 and which amended Art. 279 of the Labor Code, as follows:

"Art. 279. Security of tenure. — An employee who is unjustly dismissed from work shall be entitled to reinstatement without loss of seniority rights and other privileges and to his full backwages inclusive of allowances, and to his other benefits or their monetary equivalent computed from the time his compensation is withheld from him up to the time of his actual reinstatement."

The above amendment prompted the Court to reconsider earlier rulings on the computation of backwages. It held:

"The Court deems it appropriate, however, to reconsider such earlier ruling on the computation of backwages as enunciated in said *Pinès City Educational Center* case, by now holding that conformably with the evident legislative intent as expressed in Rep. Act No. 6715, above-quoted, backwages to be awarded to an illegally dismissed employee, should not, as a general rule, be diminished or reduced by the earnings derived by him elsewhere during the period of his illegal dismissal. The underlying reason for this ruling is that the employee, while litigating the legality (illegality) of his dismissal, must still earn

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a living to support himself and family, while full backwages have to be paid by the employer as part of the price or penalty he has to pay for illegally dismissing his employee. The clear legislative intent of the amendment in Rep. Act No. 6715 is to give more benefits to workers than was previously given them under the *Mercury Drug* rule or the 'deduction of earnings elsewhere' rule. Thus, a closer adherence to the legislative policy behind Rep. Act No. 6715 points to 'full backwages' as meaning exactly that, i.e., without deducting from backwages the earnings derived elsewhere by the concerned employee during the period of his illegal dismissal. In other words, the provision calling for 'full backwages' to illegally dismissed employees is clear, plain and free from ambiguity and, therefore, must be applied without attempted or strained interpretation. *Index animi sermo est.*"⁶³

In *U.S. v. Toribio*,⁶⁴ the question involved is whether the slaughter of large cattle outside of the municipal slaughterhouse without a permit by the municipal treasurer is prohibited under Sections 30 and 33 of Act No. 1147 which provide that "no large cattle shall be slaughtered or killed for food at the municipal slaughterhouse except upon permit secured from the municipal treasurer" and "any person slaughtering or causing to be slaughtered for human consumption any large cattle except upon permit secured from the municipal treasurer, shall be punished x x x." The court said that the language of these sections fairly admits of two constructions: one, whereby the phrase "at the municipal slaughterhouse" may be taken as limiting and restricting both the words "slaughtered" and "killed for food," which is claimed to be the correct interpretation; and the other, whereby the phrase "at the municipal slaughterhouse" may be taken as limiting and restricting merely the words "killed for food" and "killing for food," so that the slaughter of large cattle outside of the slaughter house without the required permit comes within the prohibition. The court ruled that considering the whole act and keeping in mind the manifest purpose and object of the enactment — to protect large cattle against theft and to make easy recovery and return of such cattle to their owners, when lost, strayed or stolen — the latter construction should be adopted. It concluded that to adopt the first interpretation would abort the provisions for

⁶³*Ibid.*, pp. 70-71, citing Agpalo, *Statutory Construction*, 1990 2nd ed., p. 94; see also *Ala Mode Garments, Inc. v. NLRC*, 79 SCAD 786, 268 SCRA 497 (1997).

⁶⁴15 Phil. 85 (1910).

registry and record of brands and marks of identification of large cattle, since thieves in possession of such cattle could evade the provisions of the law by slaughtering them outside the municipal slaughter house and thus enjoy the fruits of their wrongdoing. Such construction should be avoided which would bring such result and defeat the object of the legislature sought to be attained by the enactment of the law.

In another case,⁵⁵ the issue raised is whether the Court of First Instance and a municipal court in the capital of a province have concurrent jurisdiction over the crime of libel. Article 360 of the Revised Penal Code confers jurisdiction upon Courts of First Instance of the province or city where libel was first published or where the offended parties actually reside, over the crime of libel, the purpose being to prevent inconvenience or even harassment to those accused of libel so as to avoid impairment of the constitutional right to freedom of speech and press. On the other hand, the Judiciary Act grants municipal courts in capitals of provinces concurrent jurisdiction in offenses where the penalty is not more than *prision correccional* or fine not exceeding P6,000.00 or both, of which libel is one of such offenses. The court said that to construe Article 360 of the Revised Penal Code and the Judiciary Act to mean that municipal courts have concerned jurisdiction in libel cases is to defeat the purpose of the law. The court explained that it is fundamental that once the purpose or policy of the statute has been ascertained or determined, the courts should give effect to it by giving the statute a construction that best accords with the purpose of the law, and rejecting such interpretation that would tend to defeat its purpose and object. A decent respect for the policy of the legislature must save the court from imputing to it a self-defeating, if not disingenuous purpose.⁵⁶

The Patent Law grants the patentee the exclusive right to make, use and sell his patented machine, article or product, and constitutes the making, using or selling by any person without authorization from the patentee as infringement entitling him to damages and injunction. To achieve this purpose, the courts have evolved the doctrine of equivalents pursuant to which infringement occurs when a device appropriates a prior invention by incorporating its innovative concept and, albeit with some modification and change, performs substantially the same function in substantially the same

⁵⁵Bocobo v. Estanislao, G.R. No. 30458, August 31, 1978, 72 SCRA 520.

⁵⁶See Sec. 3.14, *infra*.

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way to achieve substantially the same result. The reason for the doctrine is that to permit the imitation of a patented invention which does not copy any literal detail would be to convert the protection of the patent grant into a hollow and useless thing. Such imitation would leave room for the unscrupulous copyist to make unimportant and insubstantial changes and substitutions in the patent which, though adding nothing, would be enough to make the copied matter outside the claim, which would thereby defeat the purpose of the law.⁵⁷

The purpose of Rep. Act No. 6770 is to give the Ombudsman such powers as he may need to perform efficiently the task assigned to him by the Constitution. Such being the case, said statute should be given such interpretation that will effectuate the purposes and objectives of the Constitution. Any interpretation that will hamper the work of the Ombudsman should be avoided.⁵⁸

Laws are not just mere compositions, but have ends to be achieved and that the general purpose is a more important aid to the meaning of a law than any rule which grammar may lay down. It is the duty of the courts to look to the object to be accomplished, the evils to be remedied, or the purpose to be subserved, and should give the law a reasonable or liberal construction which will best effectuate its purpose.⁵⁹

Two apparently conflicting provisions should be so construed as to realize the purpose of the law. Thus, Sec. 12 of R.A. No. 6982 provides:

"Section 12. Benefits under Republic Act No. 809 and P.D. No. 621, as amended. — All liens and other forms of production sharing in favor of the workers in the sugar industry under Republic Act No. 809 and Presidential Decree No. 621, as amended, are hereby substituted by the benefits under this Act: *Provided*, That cases arising from such laws pending in the courts or administrative bodies at the time of the effectivity of this Act shall not be affected thereby," while Sec. 14 thereof states:

"Section 14. Non-Diminution of Benefits. — The provisions of Section 12 hereof notwithstanding, nothing in this Act shall be

⁵⁷Godines v. Court of Appeals, 44 SCAD 722, 226 SCRA 338 (1993).

⁵⁸Buenaseda v. Flavio, 44 SCAD 1026, 226 SCRA 645 (1993).

⁵⁹Commissioner of Internal Revenue v. S.C. Johnson and Sons, Inc., 108 SCAD 17, 309 SCRA 87 (1999).

construed to reduce any benefit, interest, right or participation enjoyed by the workers at the time of the enactment of this Act, and no amount recovered by any beneficiary under this Act shall be subject to any form of taxation."

Construing the above provisions together, the Court ruled that the word "substituted" in Sec. 12 cannot be interpreted literally, as it will reduce instead of increasing the workers' benefits, contrary to the purpose of the law. It ruled that all benefits under R.A. No. 6982 shall be in addition to the benefits under R.A. No. 809 and P.D. No. 621 because the law intended to benefit the sugar workers and as between two statutory interpretations, that which better serves the purpose of the law should prevail.⁶⁰

4.10. When reason of law ceases, law itself ceases.

The reason which induced the legislature to enact a law is the heart of the law. For this reason, the reason of the law plays a decisive role in its construction. Consequently, its cessation or nullification renders the law inoperative. It is a fundamental principle of statutory construction that when the reason of the law ceases, the law itself ceases. This principle is expressed in the maxim, *cessante ratione legis, cessat et ipsa lex*.⁶¹ Another maxim expressive of the principle is *ratio legis est anima* or the reason of the law is its soul. It is a consecrated legal axiom that the reason of the law is the life of the law. A lifeless law is a dead law.⁶²

A subsequent statute may render a prior law devoid of reason. In such a case, the later law will operate to repeal the prior law, even though the two laws contain no conflicting provisions. Thus, where a later law has a purpose in conflict with that of a prior statute on the same subject, the latter has lost all meaning and function and has ceased to exist.⁶³ For instance, the question raised in a case is whether a tenant who prereaped or prethreshed *palay* without the

⁶⁰Planters Association of Southern Negros, Inc. v. Ponferrada, 114 SCAD 886, 317 SCRA 463 (1999).

⁶¹People v. Almuete, G.R. No. 26551, February 27, 1976, 69 SCRA 410; Lanaria v. De Guzman, G.R. No. 20840, September 29, 1967, 21 SCRA 349; Comendador v. De Villa, 200 SCRA 80 (1991).

⁶²Justice Perfecto concurring, Gomez v. Government Insurance Board, 78 Phil. 221, 224 (1947), quoting Olland, *The Elements of Jurisprudence* as cited in Bocobo, *Cult of Legalism*.

⁶³Ramirez v. Court of Appeals, G.R. No. 23587, June 10, 1967, 71 SCRA 231.

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consent of the landlord in violation of the Agricultural Tenancy Act may be held criminally liable therefor. The Agricultural Tenancy Act punishes the prereaping or prethreshing of *palay* on a date other than that previously set without the mutual consent of the landlord and the tenant, which prohibition is predicated on a share-tenancy relationship between the tenant and the landlord. Subsequently, the Agricultural Land Reform Code was enacted, abolishing share tenancy and replacing it with leasehold tenancy. The court ruled that since under the leasehold system the prohibition against prereaping or prethreshing has no more *raison d'être* because the lessee is obligated to pay a fixed rental as prescribed in the Code, the tenant who prereaped or prethreshed *palay* could no longer be prosecuted for such offense after the enactment of said Code.⁶⁴

In *Comendador v. De Villa*,⁶⁵ one of the issues raised is whether P.D. No. 39, which withdrew the right to peremptorily challenge members of a military tribunal, had been rendered inoperative by Proclamation No. 2045 proclaiming the termination of a state of martial law. In answering the issue in the affirmative, the Court ruled, applying the principle of *cessante ratione legis, cessat et ipsa lex*, that with the termination of martial law and the dissolution of military tribunals created thereunder, the reason for the existence of P.D. No. 39 ceased automatically and the decree itself ceased.

The reason of a statute may cease in a given situation. This may happen when the purpose of the statute sought to be achieved by it is accomplished, or the mischief sought to be repressed is prevented, by an act or event independent of the statute itself. The statute, in such a case, though remaining in force and effect, finds no application in the given situation. Thus, the law bans aliens from acquiring and owning lands, the purpose being to preserve the nation's lands for future generations of Filipinos. A sale of land in favor of an alien, in violation of said law, may no longer be questioned after the alien becomes a Filipino citizen by naturalization, for the purpose of the law would not be thwarted but achieved by making lawful the acquisition of the land, the vendee having become a Filipino; and accordingly, the law banning the acquisition of land by aliens no longer applies.⁶⁶ And where the mischief sought to be remedied by a

⁶⁴People v. Almuete, G.R. No. 26551, February 27, 1976, 69 SCRA 410.

⁶⁵200 SCRA 80 (1991).

⁶⁶Vasquez v. Giap, 96 Phil. 447 (1955); Barsobia v. Cuenco, G.R. No. 33048, April 16, 1982, 113 SCRA 547.

statute has already been removed in a given situation, the statute may no longer apply in such situation.⁶⁷

4.11. Supplying legislative omission.

Where a literal import of the language of a statute shows that words have been omitted that should have been in the statute in order to carry out its intent and spirit, clearly ascertainable from the context, the court may supply the omission to make the statute conform to the obvious intent of the legislature or to prevent the act from being absurd.⁶⁸ This rule is a corollary of the principle that what is within the spirit of the law is as much a part of it as what is written pursuant to which an apparent omission in an interpretation purely literal of the language used may be remedied by adhering to its avowed objective and intent.⁶⁹ The court cannot, however, supply what it thinks the legislature would have supplied had its attention been called to the omission, as that would be judicial legislation.⁷⁰

4.12. Correcting clerical errors.

The court, in order to carry out the obvious intent of the legislature, may correct clerical errors, mistakes or misprints which, if uncorrected, would render the statute meaningless, empty or nonsensical or would defeat or impair its intended operation, so long as the meaning intended is apparent on the face of the whole enactment⁷¹ and no specific provision is abrogated.⁷² To correct the error or mistake is to prevent the nullification of the statute and give it a meaning and purpose. For it is the duty of the court to give a statute a sensible construction, one that will effectuate legislative intent and avoid injustice or absurdity.⁷³ It is its duty "to arrive at the legislative intent" and "in doing so, it should not adopt an arbitrary rule under which it must be held without variance or shadow of turning that the legislature intended to make a typographical error,

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the result of which would be to make nonsense of the act, and not to carry out the legislative scheme, but to destroy it."⁷⁴

In correcting a clerical error or obvious mistake, the court is not indulging in a judicial legislation. It is merely endeavoring to rectify and correct a clearly clerical error in the wording of the law, in order to give due course and carry out the evident intent of the legislature. The court should and can validly do that, for what is within the intent or spirit of the law is as much a part of the law as if written therein.⁷⁵

4.13. Illustration of rule.

The Supreme Court has corrected obvious errors or mistakes apparent on the face of statutes. In *Rufino Lopez & Sons, Inc. v. Court of Tax Appeals*,⁷⁶ the court changed the phrase "collector of customs" to "commissioner of customs" to correct an obvious mistake in the law. The law involved is Republic Act No. 1125, creating the Court of Tax Appeals, which provides in Section 7 thereof that the Court of Tax Appeals shall exercise exclusive appellate jurisdiction to review by appeal "decisions of the commissioner of customs x x x." However, Section 11 of said law states that persons "adversely affected by a decision or ruling of the x x x collector of customs x x x may file an appeal in the Court of Tax Appeals within thirty days after receipt of such decision or ruling." It further provides that "no appeal taken to the Court of Tax Appeals from the decision of the x x x collector of customs shall suspend the payment x x x." The court noted that "there is really a discrepancy between Sections 7 and 11," for while Section 7 grants the Court of Tax Appeals jurisdiction to review decisions of the Commissioner of Customs, Section 11 refers to the decision of the collector of customs that may be appealed to the tax court. Taken literally, Section 7 would be empty, meaningless and unenforceable because, while it grants the Court of Tax Appeals jurisdiction to review decisions of the commissioner of customs, under Section 11, no person affected by the commissioner of customs may appeal to the tax court. The court thus concluded that there is a clerical error in mentioning "collector" of customs in Section 11. "It should, as it was

⁶⁷*Velasco v. Blas*, G.R. No. 30456, July 30, 1982, 115 SCRA 640.

⁶⁸*Barrett v. Union Bridge Co.*, 243 P 93, 45 ALR 621 (1926); *Moruzzi v. Federal Life & Casualty Co.*, 75 P 2d 320, 115 ALR 407 (1938).

⁶⁹*Malabuenas v. Celvantes*, G.R. No. 28771, March 31, 1971, 38 SCRA 284.

⁷⁰*People v. Garcia*, 85 Phil. 657 (1950); *Morales v. Subido*, G.R. No. 29658, November 29, 1968, 26 SCRA 150.

⁷¹*Lamp v. Phipps*, 22 Phil. 456 (1912); *Rufino Lopez & Sons, Inc. v. Court of Tax Appeals*, 100 Phil. 850 (1957).

⁷²*State Ex Rel. Griffin v. Greene*, 67 P 2d 995, 111 ALR 770 (1937).

⁷³*Lamp v. Phipps*, *supra*.

⁷⁴*Lamons v. Yardbrough*, 55 SE 2d 551, 11 ALR 2d 717, 722 (1949).

⁷⁵*Lamp v. Phipps*, *supra*; *Rufino Lopez & Sons, Inc. v. Court of Tax Appeals*, 100 Phil. 850 (1957).

⁷⁶100 Phil. 850 (1957).

meant to be 'commissioner' of customs because under the Customs Code, the commissioner of customs has supervision and control over collectors of customs and the decisions of the latter are reviewable by the commissioner of customs, all of which would be destroyed if the literal meaning and wording in Section 11 are given effect. The legislature could not have intended this result."⁷⁷ It is more reasonable and logical to hold that in Section 11 of the Act, the legislature meant and intended to say, commissioner of customs, instead of collector of customs in the first paragraph of said Section. In thus holding, the courts are not exactly indulging in judicial legislation. They are merely endeavoring to rectify and correct a clerical error in the wording of a statute, in order to give due course and carry out the evident intention of the legislature. This, the courts should and can validly do. Under the rules of statutory construction, it is not the letter but rather the spirit of the law and intention of the legislature that is important and which matters. When the interpretation of the statute according to the exact and literal import of its words would lead to absurd or mischievous results, or would contravene the clear purpose of the legislature, it should be construed according to its spirit and reason, disregarding as far as necessary, the letter of the law. Statutes may be extended to cover cases not within the literal meaning of the terms, for that which is clearly within the intention of the legislature in enacting the law is as much within the statute as if it were within the letter. Here the error (clerical and misprint) is plain and obvious. It is not to correct the act of the legislature, but rather to carry out and give due course to the true intention of said legislature.⁷⁸

In a statute which provides that the remedy of *mandamus* may be availed of "if there is no other plain, speedy or adequate remedy in the ordinary courts of law," the word "courts" is obviously an error or mistake, for what the law intended, which the court should effectuate, is that it should read "course," so that the phrase should read "ordinary course of law."⁷⁹ Where a reference in one section of a statute to another by number is manifestly a typographical error, the courts in construing the statute should correct the error, to prevent its nullification and give its meaning.⁸⁰ A word in a statute inadvertently changed by compilers to a meaningless word, which

⁷⁷*Ibid.*, at p. 855.

⁷⁸*Lamp v. Phipps*, 22 Phil. 456 (1912).

⁷⁹*Lamons v. Yardbrough*, 55 SE2d 551, 11 ALR2d 717 (1949).

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change is inadvertently repeated in acts undertaken to make changes, should be restored by the courts so as to make the statutes correspond with the obvious legislative intent.⁸⁰

In *Fariñas v. Barba*,⁸¹ the question raised is who is the appointing power to fill a vacancy created by a *sanggunian* member who did not belong to any political party, under the provision of the Local Government Code which reads: "In case the permanent vacancy is caused by a *sanggunian* member who does not belong to any political party, the local chief executive shall, upon recommendation of the *sanggunian* concerned, appoint a qualified person to fill the vacancy." The Court ruled that considering Sec. 50 of the Code which vests in the President, the governor and the mayor in descending order the exercise of an executive power to appoint in order to fill vacancies in local councils or to suspend local officials, the phrase "local chief executive," which does not include the President, in the provision is a misnomer and the accurate generic phrase should be "authorities concerned," as this phrase can refer to the President, the governor or the mayor, as the case may be.

4.14. Qualification of rule.

What the courts may correct to reflect the real and apparent intention of the legislature are only those which are clearly clerical errors or obvious mistakes, omissions, and misprints.⁸² They may not, in the guise of construction, correct what they think is due to oversight as shown by an examination of extraneous circumstances, where the statute is clear and to correct it would be to change the meaning of the law, or specific provision will be abrogated. To do so is to rewrite the law and invade the domain of the legislature; it is judicial legislation in the guise of interpretation.⁸³

4.15. Construction to avoid absurdity.

It is well-settled that courts are not to give a statute a meaning that would lead to absurdities. It is their duty to construe the statute

⁸⁰*Daniels v. Johnson*, 226 SW2d, 15 ALR2d 1401 (1950).

⁸¹70 SCAD 336, 256 SCRA 396 (1996).

⁸²*Lamp v. Phipps*, 22 Phil. 456 (1912).

⁸³*Largado v. Masaganda*, 115 Phil. 519 (1962); *Caseo Phil. Chemical Co., Inc. v. Gimenez*, G.R. No. 17931, February 28, 1963, 7 SCRA 347.

in such a way as to avoid such consequences.⁸⁴ For Congress could not have intended absurd interpretation of the law.⁸⁵ If the words of a statute are susceptible of more than one meaning, the absurdity of the result of one construction is a strong argument against its adoption⁸⁶ and in favor of such sensible interpretation as will avoid such result.⁸⁷ Hence, general terms of a statute should be so limited in their application as not to lead to absurdities. It will always be presumed that the legislature intended exceptions to its language which would avoid consequences of this character.⁸⁸ Similarly, statutes may be extended to cover cases not within the literal meaning of the terms if their exact and literal import would lead to absurd or mischievous results.⁸⁹ *Interpretatio talis in ambiguis semper fienda est ut evitetur inconueniens et absurdum.* Where there is ambiguity, such interpretation as will avoid inconvenience and absurdity is to be adopted.⁹⁰

Where a literal adherence to the language of a statute would produce absurd result unless the appropriate word or words are written or omitted therein, the court has the power to supply or omit the words from a statute in order to prevent an absurd result.⁹¹

It is presumed that the legislature intended exceptions to its language which would avoid absurd consequences.⁹²

Courts test the law by its results. Where a law appears arbitrary when applied in a particular case because of its peculiar circumstances, the courts are not bound to apply it in slavish obedience to its language.⁹³

⁸⁴*Automotive Parts & Equipment Co. v. Lingad*, G.R. No. 26406, October 30, 1969, 30 SCRA 247; *In re Allen*, 2 Phil. 630 (1903); *Ledesma v. Pictain*, 79 Phil. 95 (1947); *Pritchard v. Republic*, 81 Phil. 244 (1948); *Chartered Bank v. Imperial*, 48 Phil. 931 (1921); *Director of Lands v. Abaya*, 63 Phil. 559 (1936); *People v. De Guzman*, 90 Phil. 132 (1951).

⁸⁵*Dargani v. Republic*, 106 Phil. 735 (1959).

⁸⁶*Chartered Bank of India v. Imperial*, 48 Phil. 931 (1921); *In re Allen*, *supra*.

⁸⁷*People v. Revilla*, 59 Phil. 236 (1933); *Lamp v. Phipps*, *supra*; *Bank of the Phil. Islands v. Herridge*, 47 Phil. 57 (1924).

⁸⁸*In re Allen*, 2 Phil. 630 (1903).

⁸⁹*Rufo Lopez & Sons, Inc. v. Court of Tax Appeals*, 100 Phil. 855 (1957).

⁹⁰*Commissioner of Internal Revenue v. TMX Sales, Inc.*, 205 SCRA 184 (1992).

⁹¹*U.S. v. Paguirigan*, 14 Phil. 450 [1909].

⁹²*Belo v. PNB*, G.R. No. 134330, March 1, 2001.

⁹³*Ibid.*

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Courts are not to give a statute a meaning that would lead to absurdities. If the words of a statute are susceptible of more than one meaning, the absurdity of the result of one construction is a strong argument against its adoption, and in favor of such sensible interpretation. The courts test the law by its result. A law should not be interpreted so as not to cause injustice. There are laws which are generally valid but may seem arbitrary when applied in a particular case because of its peculiar circumstances. Courts are not bound to apply them in slavish obedience to their language.⁹⁴

Courts should construe a statute to effectuate, and not to defeat, its provisions. Thus, where a term is defined in a statute, the court may not construe it to exclude what is included therein as to restrict its scope.⁹⁵ Neither should they give a word in a statute a meaning which would lead to absurd or unreasonable consequences or a meaning which would render compliance with its provisions impossible to perform.⁹⁶

The well-known principles of statutory interpretation are that statutes must be construed in such a way as to give effect to the intention of the legislature, and so as to give a sensible meaning to the language of the statute and thus avoid nonsensical or absurd results, departing to the extent unavoidable from the literal language of the statute.⁹⁷ For instance, Section 2 of Act No. 3326, as amended, provides in part: "Prescription shall begin to run from the day of the commission of the violation of the law, and if the same be not known at the time, from the discovery thereof and institution of judicial proceedings for its investigation and punishment." A literal reading of this provision shows that two (2) elements must coincide for the beginning of the running of the prescriptive period: first, the discovery of the commission of the crime, and second, institution of judicial proceedings, and since the latter, under prevailing rule, interrupts prescriptive period, such literal reading would give rise to the absurd result that would begin and be interrupted by the same occurrence and no prescriptive period would not have begun. The Court held that a "statute providing for prescription of defined criminal offenses is more than a statute of repose and constitutes an act of grace by which the State, after the lapse of a certain period of

⁹⁴*Ibid.*

⁹⁵*Go Ka Toc Sons & Co. v. Rice and Corn Board*, 20 SCRA 147 (1967).

⁹⁶*Yrazoza v. Republic*, 83 Phil. 727 (1949).

⁹⁷*People v. Duque*, 212 SCRA 607.

time, surrenders its sovereign power to prosecute the criminal act. A statute on prescription of crimes is an act of liberality on the part of the State in favor of the offender." To effectuate this legislative intent and to avoid the absurd result, the Court ruled that the phrase "institution of judicial proceedings for its investigation and punishment" may be either disregarded as surplusage or should be deemed preceded by the word "until."⁹⁸

The principle may be better appreciated by way of illustration. In *Oliveros v. Villaluz*,⁹⁹ the issue raised is whether or not the suspension order against an elective official following an information for violation of the Anti-Graft Law filed against him, applies not only to the current term of office but also to another term if the accused run for reelection and won. Section 13 of the Anti-Graft Law, under which the official was suspended, provides that "any public officer against whom any criminal prosecution under a valid information under this Act or under the provisions of the Revised Penal Code on bribery is pending in court, shall be suspended from office. Should he be convicted by final judgment, he shall lose all retirement or gratuity benefits under any law, but if he is acquitted, he shall be entitled to reinstatement and to the salaries and benefits which he failed to receive during suspension, unless in the meantime administrative proceedings have been filed against him." The court said that the "state's argument that the suspension order was not perforce limited to petitioner's term of office (1968-1971) and should be deemed to attach automatically to his new term (1972-1975) although not originally covered nor contemplated thereby is anchored on the provision of Section 13 of Republic Act No. 3019 that the suspended officer shall be entitled to reinstatement and to the salaries and benefits which he failed to receive during suspension in the event of acquittal from the charge. This provision reinforces petitioner's position, that it refers to the current term of the suspended officer (and not to a future unknown and uncertain new term unless supplemented by a new suspension order in the event of reelection) for if his term shall have expired at the time of acquittal, he would obviously be no longer entitled to reinstatement; otherwise, it would lead to the absurd result that a suspended officer, notwithstanding the fact that his term of office has long lapsed and he has been succeeded in office by others, would also invoke the

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provision literally and claim the right to reinstatement and salaries and benefits upon his acquittal."¹⁰⁰

*People v. Yu Hai*¹⁰¹ involves the interpretation of Article 90 of the Revised Penal Code in relation to Articles 9 and 26 of the same Code. Article 90 provides that crimes "punishable by a correctional penalty shall prescribe in ten years; with the exception of those punishable by *arresto mayor*, which shall prescribe in five years"; "libel prescribes in one year; and light offenses prescribe in two months." Article 9 defines light offenses as those "for the commission of which the penalty of *arresto menor* or a fine not exceeding 200 pesos or both is provided." Fine, on the other hand, is classified under Article 26 into afflictive, correctional, and light; and a fine not exceeding 6,000 pesos but not less than 200 pesos is correctional; light if it be less than 200 pesos. The question is: When does a crime punishable by *arresto menor* or fine not exceeding 200 pesos prescribe? It is argued that the crime prescribes in ten years because the crime may be punished by a maximum fine of 200 pesos, which is correctional under Article 26, and a crime punishable by a correctional penalty prescribes in ten years under Article 90. In rejecting this argument, the court said: "Article 90 could not have intended that light offenses as defined by Article 9 would have two prescriptive periods — two months if they are penalized by *arresto menor* and/or a fine of less than P200, and ten years if penalized by a maximum fine of P200." The "difference of only one peso in the impossible fine would mean all the difference of nine years and ten months in the prescriptive period of the offense. And what is worse, the proper prescriptive period could not be ascertained until and unless the court decided which of the alternative penalties should be imposed, which the court could not properly do if the offense had prescribed, for then it could no longer be prosecuted. These absurd results the lawmakers could not have wittingly intended, especially since more serious offenses as those punishable by *arresto mayor* (a correctional penalty) prescribe, also under Article 90, in five years while other 'less grave' offenses, like libel and oral defamation and slander, prescribe in even shorter periods of time, one year and six months, respectively."¹⁰²

⁹⁸*Ibid.*, pp. 614-615.

⁹⁹G.R. No. 34636, May 30, 1974, 57 SCRA 163.

¹⁰⁰*Ibid.*, at p. 173.

¹⁰¹99 Phil. 726 (1956).

¹⁰²*Ibid.*, at pp. 727-728.

In *People v. Reyes*,¹⁰⁸ the Court noted that "the penalty of *reclusion perpetua* was imposed by R.A. No. 7659 as the maximum penalty when the quantity of shabu involved in the offense is less than 200 grams and at the same time as the minimum penalty when the quantity of shabu involved is 200 grams or more. To avoid incongruity in the application of the law as written, Section 17 of R.A. No. 7659 should be read correctly to provide a penalty ranging from *prision correccional* to *reclusion temporal* only when the quantity involved is less than 200 grams. It is the duty of the Court to harmonize conflicting provisions to give effect to the whole law (*Rufino Lopez and Sons v. Court of Appeals*, 100 Phil. 850 [1957]). Furthermore, this Court has the duty to give a statute its logical construction as to effectuate the intention of the legislature. The Court should harmonize conflicting provisions to give effect to the whole law. This is to avoid an absurd conclusion with regard to the meaning of the statute (*Lamp v. Phipps*, 22 Phil. 456 [1912]).

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"In order to determine the penalty to be imposed on appellant, we divide the amount of 199 grams into three correspondent to the three applicable penalties, namely, *prision correccional*, *prision mayor* and *reclusion temporal*." "If the shabu seized weighs from 134 to 199 grams, the penalty to be imposed is *reclusion temporal*. If the shabu seized weighs from 66 to 133 grams, the penalty to be imposed is *prision mayor* and if the weight of the shabu involved is below 66 grams, the penalty to be imposed is *prision correccional*."¹⁰⁴

In *Malonzo v. Zamora*,¹⁰⁵ one of the contentions raised was that the City Counsel of Caloocan cannot validly pass an ordinance appropriating a supplemental budget for the purpose of expropriating a certain parcel of land, without first adopting or updating its house rules of procedure within the first 90 days following the election of its members, as required by Secs. 50 and 52 of the Local Government Code. In rejecting such contention, the Supreme Court ruled:

"Moreover, adoption or updating of house rules would necessarily entail work beyond the day of the first regular session. In fact, it took the members of the *Sangguniang Panlungsod* of Caloocan City until July 23, 1998 to complete the

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task of adopting their house rules. Does this mean that prior thereto, the local council's hands were tied and could not act on any other matter? That would certainly be absurd for it would result in a hiatus and paralysis in the local legislative work which could not have been intended by the law. *Interpretatio talis in ambiguis semper frienda est, ut evitatur inconveniens et absurdum*. Where there is ambiguity, such interpretation as will avoid inconvenience and absurdity is to be adopted."¹⁰⁶

Interpretation that would lead to absurdity or nullification of laws should be avoided

Paras v. Comelec [G.R. No. 123169, November 4, 1996] involves the interpretation of the phrase "regular election." The Court ruled that the term "regular election" refers to the election in which the official sought to be recalled was elected, and not to any other regular election. Held the Court:

Petitioner's argument is simple and to the point. Citing Section 74 (b) of Republic Act No. 7160, otherwise known as the Local Government Code, which states that "no recall shall take place within one (1) year from the date of the official's assumption to office or one (1) year immediately preceding a regular local election," petitioner insists that the scheduled January 13, 1996 recall election is now barred as the *Sangguniang Kabataan* (SK) election was set by Republic Act No. 7808 on the first Monday of May 1996, and every three years thereafter. In support thereof, petitioner cites *Associated Labor Union v. Letrondo-Montejo*, 237 SCRA 621, where the Court considered the SK election as a regular local election. Petitioner maintains that as the SK election is a regular local election, hence no recall election can be had for barely four months separate the SK election from the recall election. We do not agree.

The subject provision of the Local Government Code provides:

"SEC. 74. Limitations on Recall. — (a) Any elective local official may be the subject of a recall election only once during his term of office for loss of confidence.

¹⁰⁸55 SCAD 163, 236 SCRA 264 (1994).

¹⁰⁴55 SCAD 163, 236 SCRA, pp. 271-272.

¹⁰⁵*Malonzo v. Zamora*, 109 SCAD 773, 311 SCRA 224 (1999).

¹⁰⁶*Ibid.*, p. 244, citing *Agpalo, Statutory Construction*, 108 (1990).

(b) No recall shall take place within one (1) year from the date of the official's assumption to office or one (1) year immediately preceding a regular local election."

It is a rule in statutory construction that every part of the statute must be interpreted with reference to the context, i.e., that every part of the statute must be considered together with the other parts, and kept subservient to the general intent of the whole enactment. The evident intent of Section 74 is to subject an elective local official to recall election once during his term of office. Paragraph (b) construed together with paragraph (a) merely designates the period when such elective local official may be subject of a recall election, that is, during the second year of his term of office. Thus, subscribing to petitioner's interpretation of the phrase regular local election to include the SK election will unduly circumscribe the novel provision of the Local Government Code on recall, a mode of removal of public officers by initiation of the people before the end of his term. And if the SK election which is set by R.A. No. 7808 to be held every three years from May 1996 were to be deemed within the purview of the phrase "regular local election," as erroneously insisted by petitioner, then no recall election can be conducted rendering inutile the recall provision of the Local Government Code.

In the interpretation of a statute, the Court should start with the assumption that the legislature intended to enact an effective law, and the legislature is not presumed to have done a vain thing in the enactment of a statute. An interpretation should, if possible, be avoided under which a statute or provision being construed is defeated, or as otherwise expressed, nullified, destroyed, emasculated, repealed, explained away, or rendered insignificant, meaningless, inoperative or nugatory.

It is likewise a basic precept in statutory construction that a statute should be interpreted in harmony with the Constitution. Thus, the interpretation of Section 74 of the Local Government Code, specifically paragraph (b) thereof, should not be in conflict with the Constitutional mandate of Section 3 of Article X of the Constitution to "enact a local government code which shall provide for a more responsive and accountable local government structure instituted through a system of decentralization with effective mechanisms of recall, initiative, and referendum"

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Moreover, petitioner's too literal interpretation of the law leads to absurdity which we cannot countenance. Thus, in a case, the Court made the following admonition:

"We admonish against a too-literal reading of the law as this is apt to constrict rather than fulfill its purpose and defeat the intention of its authors. That intention is usually found not in the letter that killeth but in the spirit that vivifieth"

The spirit, rather than the letter of a law determines its construction; hence, a statute, as in this case, must be read according to its spirit and intent.

Finally, recall election is potentially disruptive of the normal working of the local government unit necessitating additional expenses, hence the prohibition against the conduct of recall election one year immediately preceding the regular local election. The proscription is due to the proximity of the next regular election for the office of the local elective official concerned. The electorate could choose the official's replacement in the said election who certainly has a longer tenure in office than a successor elected through a recall election. It would, therefore, be more in keeping with the intent of the recall provision of the Code to construe regular local election as one referring to an election where the office held by the local elective official sought to be recalled will be contested and be filled by the electorate.

4.16. Construction to avoid injustice.

It is presumed that undesirable consequences were never intended by a legislative measure, and that a construction of which the statute is fairly susceptible is favored, which will avoid all objectionable, mischievous, indefensible, wrongful, evil and injurious consequences. The presumption is that the legislature, in enacting a law, did not intend to work a hardship or an oppressive result, a possible abuse of authority or act of oppression, arming one person with a weapon to impose hardship on another.¹⁰⁷ *Ea est accipienda interpretatio quae vitio caret.* That interpretation is to be adopted which is free from evil or injustice.

¹⁰⁷People v. Purisima, G.R. No. 42050, November 20, 1978, 86 SCRA 542.

A classic example of the application of the principle is *Amatan v. Aujero*.¹⁰⁸ In this case, a person was charged with homicide. Upon arraignment, he and his counsel, the offended party and the public prosecutor entered into a plea bargaining whereby, with the approval of the judge, the information was amended to attempted homicide and the accused pleaded guilty thereto. The plea bargaining agreement was entered into and approved by the judge pursuant to Sec. 2, Rule 116 of the 1985 Revised Rules of Criminal Procedure, as amended, which allows an accused, with the consent of the offended party, to plead guilty to a lesser offense, regardless of whether or not such offense is necessarily included in the crime charged, or is cognizable by a court of lesser jurisdiction. Charged administratively for gross ignorance of the law for approving the plea bargaining agreement and sentencing the accused for the crime of attempted homicide, the judge explained that what he did was in accordance with Sec. 2, Rule 116 of the Revised Rules of Criminal Procedure. In holding the judge administratively liable for gross ignorance of law, the Court ruled:

"Section 2, Rule 116 of the 1985 Revised Rules of Criminal Procedure, as amended, allows the accused in a criminal case to plead guilty 'to a lesser offense regardless of whether or not it is necessarily included in the crime charged.' The fact of death of the victim for which the accused Rodrigo Umpad was criminally liable, cannot by simple logic and plain common sense be reconciled with the plea of guilty to the lesser offense of attempted homicide. The crime of homicide as defined in Article 249 of the Revised Penal Code necessarily produces death; attempted homicide does not. Concededly, hiatus in the law exists in the case before us, which could either lead to a misapprehension of Section 2 of Rule 116 or to outright confusion. Such a result was itself recognized by the Deputy Court Administrator when he recommended an amendment to the provision in his Memorandum.

However, the law is not entirely bereft of solutions in such cases. In instances where a literal application of a provision of law would lead to injustice or to a result so directly in opposition with the dictates of logic and everyday common sense as to be unconscionable, the Civil Code admonishes judges to take principles of right and justice at heart. In case of doubt the

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intent is to promote right and justice. *Fiat justitia, ruat coelum*. (Let right be done, though the heavens fall). Stated differently, when a provision of law is silent or ambiguous, judges ought to invoke a solution responsive to the vehement urge of conscience.¹⁰⁹

The principle is also illustrated in *People v. Purisima*,¹¹⁰ which involves the interpretation of Section 3 of Presidential Decree No. 9. Section 3 provides that "it shall be unlawful to carry outside of residence any bladed, pointed or blunt weapon such as fan knife, spear, bolo, *balisong*, *barong*, *kris*, or club, except where such articles are being used as necessary tools or implements to earn a livelihood and while being used in connection therewith; and any person found guilty thereof shall suffer the penalty of imprisonment ranging from five to ten years as a military court/tribunal/commission may direct." The issue raised is whether the act of carrying the weapon in furtherance of, or to abet, or in connection with, subversion, rebellion, insurrection, lawless violence, criminality, chaos, or public disorder, is a necessary element of the offense. It is claimed that the clear, literal import of the law shows that the prohibited acts need not be related to subversive activities recited in the preamble and that the law is essentially *malum prohibitum* penalized for reasons of public policy. In rejecting such argument because it would lead to injustice, hardship and unreasonable consequences and in holding that the carrying of the prohibited weapon outside of residence must be related to subversive or criminal activities mentioned in the preamble of the decree, the court said:

"In the construction or interpretation of a legislative measure — a presidential decree in these cases — the primary rule is to search for and determine the intent and spirit of the law. Legislative intent is the controlling factor," for "whatever is within the spirit of a statute is within the statute, and this has to be so if strict adherence to the letter would result in absurdity, injustice and contradiction." In the construction of P.D. No. 9(3), it becomes relevant to inquire into the consequences of the measure if a strict adherence to the letter of the paragraph is followed.

¹⁰⁸64 SCAD 563, 248 SCRA 511 (1995).

¹⁰⁹*Ibid.*, pp. 515-516; words in parenthesis supplied.
¹¹⁰G.R. No. 42050, November 20, 1978, 86 SCRA 542.

"It is to be presumed that when P.D. No. 9 was promulgated by the President of the Republic there was no intention to work a hardship or an oppressive result, a possible abuse of authority or an act of oppression, arming one person with a weapon to impose hardship on another." To illustrate such result or consequence, the court cited the trial court's observation that "it is not difficult to believe the murmurings of detained persons brought to court upon a charge of possession of bladed weapons under P.D. No. 9 that more than ever before, policemen — of course, not all can be heartless — now have in their hands P.D. No. 9 as a most convenient tool for extortion, what with the terrifying risk of being sentenced to imprisonment of five to ten years for a rusted kitchen knife or a pair of scissors, which only God knows where it came from."

Moreover, the court continued, "there exists a valid presumption that undesirable consequences were never intended by a legislative measure, and that a construction of which a statute is fairly susceptible is favored, which will avoid all objectionable, mischievous, indefensible, wrongful, evil, and injurious consequences." Thus, "if the contention of the prosecution is correct, then if a person happens to be caught while on his way home by the law enforcement officers carrying a kitchen knife that said person had just bought from a store that the same may be used by one's cook for preparing the meals in one's home, such person will be liable for punishment with such a severe penalty as imprisonment from five to ten years under the decree." There is also "a situation where a law-abiding citizen, a lawyer by profession, after gardening in his house remembers to return the bolo used by him to his neighbor who lives about 30 meters or so away and while crossing the street meets a policeman. The latter upon seeing the bolo being carried by that citizen places him under arrest and books him for violation of P.D. No. 9(3). Could the presidential decree have been conceived to produce such absurd, unreasonable and insensible results?"¹¹¹

In *Ursua v. Court of Appeals*,¹¹² the issue was whether the isolated use, at one instance, of a name other than a person's true name to secure a copy of a document from a government agency, constitutes a violation of Com. Act No. 142, as amended, the Anti-

Alias Law. This law provides that "Except as a pseudonym solely for literary, cinema, television, radio or other entertainment purposes and in athletic events where the use of pseudonym is a normally accepted practice, no person shall use any name different from the one with which he was registered at birth in the office of the local civil registry or with which he was baptized for the first time or in case of an alien, with which he was registered in the bureau of immigration upon entry; or such substitute name as may have been authorized by a competent court." The Court found that the purpose of the Anti-Alias Law is to prevent confusion and fraud in business transactions, which is absent in the use of a different name belonging to another person in a single instance, and accordingly held that such isolated use of a different name is not prohibited by the law; otherwise, there would be the undesirable consequence that an act not intended to be penalized would be made punishable. It added that the law should not be given a literal meaning as it would lead to absurdity, contradiction and injustice and defeat the clear purpose of the law, and as a statute has to be construed to avoid objectionable, mischievous, indefensible, wrongful, evil and injurious consequences.

4.17. Construction to avoid danger to public interest.

It is a well-established rule of statutory construction that where great inconvenience will result, or great public interest will be endangered or sacrificed, or great mischief done, from a particular construction of a statute, such construction is to be avoided. Courts should presume that such construction was not intended by the makers of the law.¹¹³ The drafters of the law could not have intended to create such a deplorable or impossible situation.¹¹⁴ Thus, the word "processes" in the proclamation that "all laws regulations and processes" of the so-called Republic of the Philippines during the Japanese occupation of the country "are null and void and without legal effect" may not be construed to embrace judicial processes because to adopt such construction great inconvenience and public hardship would result and great public interest would be endangered and sacrificed, for disputes or suits already adjudicated would have to be again settled, accrued or vested rights nullified, sentences passed on criminals set aside, and criminals might easily

¹¹¹*Ibid.* at pp. 558-562.

¹¹²70 SCAD 123, 256 SCRA 147 (1996).

¹¹³*Co Kim Cham v. Valdez Tan Teh*, 75 Phil. 113 (1945).

¹¹⁴*Pritchard v. Republic*, 81 Phil. 244 (1948).

escape punishment for evidence against them might have already disappeared.¹¹⁵

4.18. Construction in favor of right and justice.

"In case of doubt in the interpretation or application of law, it is presumed that the lawmaking body intended right and justice to prevail."¹¹⁶ The Code Commission which recommended the inclusion of the provision in the Civil Code says that while this rule is unquestionable, it is necessary that it be embodied in the Code "so that it may tip the scales in favor of right and justice when the law is doubtful or obscure. It will strengthen the determination of the court to avoid an injustice which may apparently be authorized by some way of interpreting the law."¹¹⁷ Accordingly, any doubt in the construction of a statute should be resolved in favor of right and justice.¹¹⁸

The fact that a statute is silent, obscure or insufficient with respect to a question before the court will not justify the latter from declining to render judgment thereon.¹¹⁹ The ancient maxim of the Roman Law states: *Jure naturae aequum est neminem cum alterius detrimento et injuria fieri locupletiores*, which was restated by the Partidas in these terms: *Ninguno non deve enriquecerse fortizamente con daño de otro*. Courts invoke these fundamental principles when the statutes are silent or obscure in order to arrive at a solution that would respond to the vehement urge of conscience.¹²⁰ "In balancing conflicting solutions, that one is perceived to tip the scales which the court believes will best promote the public welfare in its probable operation as a general rule or principle."¹²¹

A good illustration of the above principle is *Salvacion v. Central Bank*.¹²² The issue raised in this case is whether the dollar bank deposit in a Philippine bank of a foreign tourist can be attached to satisfy the moral damages awarded in favor of the latter's 12-year-old rape victim. The Philippine bank and the Central Bank refused

¹¹⁶Co Kim Cham v. Valdez Tan Teh, 75 Phil. 113 (1945).

¹¹⁷Art. 10, Civil Code.

¹¹⁸Report of the Code Commission, p. 78.

¹¹⁹Teehankee v. Director of Prisons, 76 Phil. 756 (1946).

¹²⁰Art. 9, Civil Code.

¹²¹De Padilla v. De Padilla, 74 Phil. 377 (1943).

¹²²Rubi v. Provincial Board of Mindoro, 39 Phil. 660, 718-719 (1919).

¹²³86 SCAD 142, 278 SCRA 27 (1997).

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to honor the writ of attachment, invoking Sec. 8 of Rep. Act No. 6426, as amended, which provides in part that "foreign currency deposits shall be exempt from attachment, garnishment, or any other order or process of any court, legislative body, government agency or any administrative body whatsoever." In rejecting the contention of the banks and holding that the peculiar circumstances obtaining make the law not applicable to the case of the 12-year-old rape victim and that the banks should comply with the writ of execution and release the dollar deposit in favor of the victim, the Court applied the principles of right and justice to prevail over the strict and literal words of the statute. The Court explained:

"Here is a child, a 12-year-old girl, who in her belief that all Americans are good and in her gesture of kindness by teaching his alleged niece the Filipino language as requested by the American, trustingly went with said stranger to his apartment, and there she was raped by said American tourist Greg Bartelli. Not once, but ten times. She was detained therein for four (4) days. This American tourist was able to escape from jail and avoid punishment. On the other hand, the child, having received a favorable judgment in the Civil Case for damages in the amount of more than P1,000,000.00, which amount could alleviate the humiliation, anxiety, and besmirched reputation she had suffered and may continue to suffer for a long, long time; and knowing that this person who wronged her has the money, could not, however get the award of damages because of this unreasonable law. This questioned law, therefore, makes futile the favorable judgment and award of damages that she and her parents fully deserve. x x x It is worth mentioning that R.A. No. 6426 was enacted in 1983 or at a time when the country's economy was in a shamble; when the foreign investments were minimal and presumably, this was the reason why said statute was enacted. But the realities of the present times show that the country has recovered economically; and even if not, the questioned law still denies those entitled to due process of law for being unreasonable and oppressive. The intention of the questioned law may be good when enacted. The law failed to anticipate the iniquitous effects producing outright injustice and inequality such as the case before us. x x x In fine, the application of the law depends on the extent of its justice. Eventually, if we rule that the questioned Section 113 of the Central Bank Circular No. 960 which exempts from attachment, garnishment, or any other

order or process of any court, legislative body, government agency or any administrative body whatsoever, is applicable to a foreign transient, injustice would result especially to a citizen aggrieved by a foreign guest like accused Greg Bartelli. This would negate Article 10 of the Civil Code which provides that 'in case of doubt in the interpretation or application of laws, it is presumed that the lawmaking body intended right and justice to prevail.' *Ninguno non deve enriquecerse tortizamente con daño de otro*. Simply stated, when the statute is silent or ambiguous, this is one of those fundamental solutions that would respond to the vehement urge of conscience.¹²³

4.19. Surplusage and superfluity disregarded.

Where a word, phrase or clause in a statute is devoid of meaning in relation to the context or intent of the statute, or where it suggests a meaning that nullifies the statute or renders it without sense, the word, phrase or clause may be rejected as surplusage and entirely ignored.¹²⁴ The statute should be construed in accordance with the evident intent of the legislature without regard to the rejected word, phrase or clause.¹²⁵ The rule is settled that surplusage does not vitiate a statute, expressed in the maxim, *surplusagium non nocet*. Nor is the useful vitiated by the non-useful, expressed in the maxim, *utile per inutile non vitiatur*.

*Demafles v. Commission on Elections*¹²⁶ illustrates the rule. One of the issues raised in this case is whether a pre-proclamation election case has become moot because the proclaimed winner had immediately taken his oath pursuant to Section 2 of Republic Act No. 4870 which provides that the "first mayor, vice-mayor and councilors of the municipality of Sebaste shall be elected in the next general elections for local officials and shall have qualified." It is argued that the phrase "shall have qualified" makes the term of office of the first municipal officials begin immediately after their proclamation. The court, rejecting the argument, ruled:

"In our view, the last portion of the provision — 'and shall have qualified' — is devoid of any meaning, is unmitigated

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jargon in or out of context, and does not warrant the respondent's reading that the term of office of the first municipal officials of Sebaste begins immediately after their proclamation. It is quite probable that is what the legislature meant. But here is a clear case of a failure to express a meaning, and a becoming sense of judicial modesty forbids the courts from assuming and, consequently, from supplying. 'If there is no meaning in it,' said the King in Alice in Wonderland, 'that saves a world of trouble, you know, as we needn't try to find any.' Frankfurter, who himself was fond of quoting this passage, admonishes that 'a judge must not rewrite a statute, neither to enlarge nor to contract it. Whatever temptations the statesmanship of policymaking might wisely suggest, construction must eschew interpolation and evisceration.' Accordingly, we have to go by the general rule that the term of municipal officials shall begin on the first day of January following their election, and so the assumption of office by the respondent Galido in no way affected the basic issues in this case.¹²⁷

4.20. Redundant words may be rejected.

Redundant words and phrases are not infrequently found in legislative enactments, and only the most skilfully drawn statutes are entirely free from such defects. So, while the general rule is that every effort should be made to give some meaning to every part of a statute,¹²⁸ this rule does not impose upon the courts an imperative obligation to give every redundant word or phrase a special significance, contrary to the manifest intention of the legislature; and a possible interpretation of a word or phrase which tends to defeat the whole purpose of the law is to be rejected, when the use of such word or phrase may fairly and properly be treated as a mere reiteration or repetition of other language in the statute, in itself sufficient to carry out the intention of the legislature.

4.21. Obscure or missing word or false description may not preclude construction.

Courts should not and cannot always be bound by the phraseology or literal meaning of a statute. They may at times

¹²³*Ibid.*, pp. 40-45.

¹²⁴*Demafles v. Commission on Elections*, G.R. No. 28396, December 29, 1967, 21 SCRA 1462. See Sec. 6.11, *infra*.

¹²⁵*Company "Bighani" v. Pablo*, 53 Phil. 886 (1928).

¹²⁶21 SCRA 1462 (1967).

¹²⁷*Ibid.*, at pp. 1465-1466.

¹²⁸*Munoz & Co. v. Ford*, 12 Phil. 624 (1909).

disregard loose or obscure words in order to arrive at the real meaning and spirit of the statute.¹³⁰ Lingual imperfection in the drafting of a statute should never be permitted to hamstring judicial search for legislative intent, which can otherwise be discovered.¹³⁰ Moreover, the fact that a sensible reading of the text of the law may show that some words are missing therein due to clerical error or oversight does not preclude giving the statute a construction that will carry out the intent of the law.¹³¹ Neither does false description preclude construction nor vitiate the meaning of the statute which is otherwise clear. *Falsa demonstratio non nocet, cum de corpore constat.*

4.22. Exemption from rigid application of law.

Every rule is not without an exception. *Ibi quid generaliter conceditur; inest haec exceptio, si non aliquid sit contra jus basque*, which means that where anything is granted generally, this exception is implied; that nothing shall be contrary to law and right. Equity as well as the exceptional situations in a case may require a departure from the established rule.¹³² Compelling reasons may justify reading an exception to a rule even where the latter does not provide any.¹³³ Where the rigorous application of the law would result in preventing a fair and impartial inquiry into the actual facts of a case, the exigencies of justice demand that the general rule should yield to occasional exceptions whenever there are weighty reasons therefor. Otherwise, the rigor of the law would become the highest injustice — *summum jus, summa injuria*.¹³⁴

Where strict and rigid application of law would work injustice, an exemption therefrom to prevent such result on humanitarian and equitable grounds is warranted, even though the literal import of the law suggests no such exemption.¹³⁵ For it is always presumed that the legislature intended exemption to its language which would

¹³⁰Salasay v. Castro, 98 Phil. 364 (1956).

¹³¹City of Baguio v. Marcos, G.R. No. 26100, February 28, 1969, 27 SCRA 342.

¹³²Pritchard v. Republic, 81 Phil. 244 (1948); Matabuena v. Cervantes, G.R. No.

28771, March 31, 1971, 38 SCRA 284.

¹³³Province of Cebu v. Intermediate Appellate Court, 147 SCRA 447.

¹³⁴De Villa v. Court of Appeals, 195 SCRA 722 (1991).

¹³⁵People v. Gutierrez, 36 SCRA 172 (1970).

¹³⁶Sinclair v. Court of Appeals, G.R. No. 52435, July 20, 1982, 115 SCRA 318; Ongchenego v. City of Zamboanga, G.R. No. 44657, January 22, 1980, 95 SCRA 313; Melchor v. Moya, G.R. No. 35256, March 17, 1983, 121 SCRA 11.

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avoid injustice or oppression. And it is the duty of the court to so construe a statute as to effectuate such presumed intent.¹³⁶

4.23. Law does not require the impossible.

It is well-settled that the law does not require that the impossible be done.¹³⁷ The law obliges no one to perform an impossibility, expressed in the maxim, *nemo tenetur ad impossibile*.¹³⁸ In other words, there is no obligation to do an impossible thing. *Impossibitium nulla obligatio est*. Hence, a statute may not be so construed as to require compliance with what it prescribes cannot, at the time, be legally accomplished. It should instead be construed in such a way that substantial compliance with what the law requires is sufficient. Thus, where the law requires that, in order that a court may acquire jurisdiction over a petition for naturalization, the petition be published in the Official Gazette weekly, for three times and consecutively, the first requirement of which cannot be legally accomplished because the Official Gazette was not, at the time, published weekly, compliance with the two other requirements would be deemed sufficient to enable the court to acquire jurisdiction over the naturalization case.¹³⁹

The statutory grant of stand-by power to the Commission on Elections on the registration of voters, as provided for in Sec. 28 of Republic Act No. 8436, which reads:

"If it shall no longer be reasonably possible to observe the periods and dates prescribed by law for certain pre-election acts, the Commission shall fix other periods and dates in order to ensure accomplishment of the activities so voters shall not be deprived of their suffrage," presupposes the possibility of its being exercised or availed of, and not otherwise. The provision must be given such interpretation that is in accordance with logic, common sense, reasonableness and practicality. Where time constraint and the surrounding circumstances make it impossible for the Commission on Elections to conduct special registration of voters, the Commission cannot be faulted for

¹³⁶In re Allen, 2 Phil. 630 (1903).

¹³⁷Reyes v. Republic, 104 Phil. 889 (1958).

¹³⁸Province of Cebu v. Intermediate Appellate Court, 147 SCRA 447 (1987).

¹³⁹Lim Co Chui v. Posadas, 47 Phil. 460 (1925).

refusing to do so, for the law does not require the impossible to be done; there is no obligation to do the impossible thing.¹⁴⁰

4.24. Number and gender of words.

It is a maxim of statutory construction that when the context of a statute so indicates, words in plural include the singular, and vice versa. A plural word in a statute may thus apply to a singular person or thing, just as a singular word may embrace two or more persons or things. Thus, Article 996 of the Civil Code which provides that "if a widow or widower and legitimate children and descendants are left, the surviving spouse has in the succession the same share as that of each of the children" applies to a situation where there is only one child because "children" includes "child."¹⁴¹ The term any "candidate" used in the Election Code comprehends "some candidates" or "all candidates"; "any person" is not limited to "any person" in the singular, but is applicable as well to two or more persons. A word may be construed to mean, and indeed it has been frequently used in its enlarged and plural or singular sense, as meaning "all," "all or every," "each," "each or all," "every," without limitation; indefinite number or quantity, an indeterminate unit or number of units out of many or all, one or more as the case may be, several, some.¹⁴²

It is also a rule of statutory construction that in construing a statute, the masculine, but not the feminine, includes all genders, unless the context in which the word is used in the statute indicates otherwise.¹⁴³

C. IMPLICATIONS

4.25. Doctrine of necessary implication.

No statute can be enacted that can provide all the details involved in its application. There is always an omission that may not meet a particular situation. What is thought, at the time of enactment, to be an all-embracing legislation may be inadequate

¹⁴⁰Akbanayan v. COMELEC, G.R. No. 147066, March 26, 2001.

¹⁴¹Sanitillon v. Miranda, G.R. No. 19281, June 30, 1965, 14 SCRA 568.

¹⁴²Gatchalian v. Commission on Elections, G.R. No. 32560, October 22, 1970,

35 SCRA 435.

¹⁴³Snyder's Estate v. Denit, 72 A2d 757, 18 ALR2d 663 (1950).

to provide for the unfolding events of the future. So-called gaps in the law develop as the law is enforced. One of the rules of statutory construction used to fill in the gap is the doctrine of necessary implication. The doctrine states that what is implied in a statute is as much a part thereof as that which is expressed.¹⁴⁴ Every statute is understood, by implication, to contain all such provisions as may be necessary to effectuate its object and purpose, or to make effective rights, powers, privileges or jurisdiction which it grants, including all such collateral and subsidiary consequences as may be fairly and logically inferred from its terms.¹⁴⁵ The principle is expressed in the maxim, *Ex necessitate legis* or from the necessity of the law. And every statutory grant of power, right or privilege is deemed to include all incidental power, right or privilege. This is so because the greater includes the lesser, expressed in the maxim, *in eo quod plus sit, semper inest et minus*.¹⁴⁶

The term "necessary implication" is one that is so strong in its probability that the contrary thereof cannot reasonably be supposed.¹⁴⁷ It is one which, under the circumstances, is compelled by a reasonable view of the statute, and the contrary of which would be improbable and absurd.¹⁴⁸ Necessity, the "great master of all things,"¹⁴⁹ defines what may properly and logically be inferred from and read into the statute. It includes such inferences as may logically be drawn from the purpose or object of the statute, from what the legislature must be presumed to have intended, and from the necessity of making the statute effective and operative. It excludes what is merely plausible, beneficial or desirable. The doctrine of necessary implication may not therefore be used to justify the inclusion in a statute of what to the court appears to be wise and just, unless it is at the same time necessarily and logically within its terms. Nor may the doctrine, the purpose of which, like other rules of construction, is to ascertain legislative intent, be employed

¹⁴⁴*In re Dick*, 38 Phil. 41 (1918); *City of Manila v. Gomez*, G.R. No. 37251, August 31, 1981, 107 SCRA 98; *Escobano v. Ovala*, G.R. No. 30375, September 12, 1978, 85 SCRA 245.

¹⁴⁵*Go Chio v. Martinez*, 45 Phil. 256 (1923); *Gatchalian v. Commission on Elections*, G.R. No. 32560, October 22, 1970, 35 SCRA 435; *People v. Uy Jui Pao*, 102 Phil. 679 (1957).

¹⁴⁶*Chua v. Civil Service Commission*, 206 SCRA 65 (1992), quoting *Agnalo, Statutory Construction*, pp. 118-119 (1986 ed.); See *People v. Aquino*, 83 Phil. 614 (1949).

¹⁴⁷*First National Bank v. De Bertiz*, 105 SE 900.

¹⁴⁸*Gilbert v. Craddock*, 67 Kan. 346, 72 P 867.

¹⁴⁹*U.S. v. Ah Chong*, 15 Phil. 488, 500 (1910).

to support an interpretation destructive of the object or purpose of the law. What may be necessarily implied from a statute should, in any event, be consistent with, and not contrary to, the Constitution or to existing laws. An implication which is violative of the law is unjustified or unwarranted.¹⁸⁰

Illustrative of the doctrine of necessary implication is *China v. Civil Service Commission*.¹⁸¹ The issue raised in this case is whether a co-terminous employee, or one whose appointment is co-existent with the duration of a government project, who has been employed as such for more than two years, is entitled to early retirement benefits under Section 2 of Republic Act No. 6683, which provides in part that the "benefits authorized under this Act shall apply to all regular, temporary, casual and emergency employees, regardless of age, who have rendered at least a total of two (2) consecutive years of government service as of the date of separation." Answering the issue in the affirmative, the Court ruled that a co-terminous employee is no different from a casual or temporary employee, and by necessary implication, the inclusion of the latter in the class of government employees entitled to the benefits of the law necessarily implies that the former should also be entitled to such benefits. The Court added that the "maxim of *expresio unius est exclusio alterius* should not be the applicable maxim in this case but the doctrine of necessary implication."

One of the issues in *Commission on Audit v. Province of Cebu*, G.R. No. 141386, November 29, 2001, is whether the law which authorizes the opening of extension classes includes payment of salaries and other benefits of extension teachers. The Court ruled:

Even under the doctrine of necessary implication, the allocation of the SEF for the establishment and maintenance of extension classes logically implies the hiring of teachers who should, as a matter of course be compensated for their services. Every statute is understood, by implication, to contain all such provisions as may be necessary to effectuate its object and purpose, or to make effective rights, powers, privileges or jurisdiction which it grants, including all such collateral and subsidiary consequences as may be fairly and logically inferred

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from its terms. *Ex necessitate legis*. Verily, the services and the corresponding compensation of these teachers are necessary and indispensable to the establishment and maintenance of extension classes.

Indeed, the operation and maintenance of public schools is lodged principally with the DECS. This is the reason why only salaries of public school teachers appointed in connection with the establishment and maintenance of extension classes, *inter alia*, pertain to the supplementary budget of the local school boards. Thus, it should be made clear that not every kind of personnel-related benefits of public school teachers may be charged to the SEF. The SEF may be expended only for the salaries and personnel-related benefits of teachers appointed by the local school boards in connection with the establishment and maintenance of extension classes. Extension classes as referred to mean additional classes needed to accommodate all children of school age desiring to enter in public schools to acquire basic education.

4.26. Remedy implied from a right.

It is a well-settled principle that where there is a right, there is a remedy for violation thereof. This is expressed in the maxim, *ubi ius, ibi remedium*. The existence of a right in favor of a person implies a corresponding obligation on the part of another who violates such right, and entitles the former to a remedy to assure its observance and vindication thereof. The fact that the statute is silent as to the remedy does not preclude him from vindicating his right, for such remedy is implied from such right.¹⁸² "Where a citizen after due hearing establishes a right in court, said right is paramount and must be given force and effect. The way must be cleared for its enforcement, and technicalities in procedure, judicial as well as administrative, must give way."¹⁸³

Where the Constitution declares that a right exists in certain specified circumstances, an action may be maintained to enforce such right notwithstanding the absence of any legislation on the subject; consequently, if there is no statute especially enacted to enforce such constitutional right, such right enforces itself by its own inherent

¹⁸⁰*Garcia v. Andanan*, 95 Phil. 604 (1954).

¹⁸¹206 SCRA 65 (1992), quoting *Agpalo, Statutory Construction*, pp. 118-119 (1986 ed.).

¹⁸²*Fejipe v. Leuterio*, 91 Phil. 482 (1952).

¹⁸³*Batungbakal v. National Development Co.*, 93 Phil. 182, 193 (1953).

potency and puissance, and from which all legislations must take their bearings. For where there is a right, there is remedy.¹⁵⁴

The principle is that where there is a wrong, there is a remedy which courts of general jurisdiction can grant. The word "wrong" means deprivation or violation of a right, and is not equivalent to "error." The principle assumes the existence of a right. Hence, where there is no right on the part of one who prays for a remedy or relief for alleged violation thereof, the principle does not apply and no relief may be granted.¹⁵⁵

*Batungbakal v. National Development Co.*¹⁵⁶ is a case in point. It appears that "a civil service employee was suspended and later dismissed without cause as shown by the fact that after investigation he was exonerated and found guiltless of the charge of gross negligence filed against him and was even recommended for reinstatement by the government committee that investigated him. In other words, his suspension and removal were illegal and in violation not only of the Administrative Code but of the Constitution itself." The court ruled that to "remedy the evil and wrong committed, the least that could be done is to restore him to the office and post of which he had been illegally deprived, and to include in that remedy or redress payment of the salary which he would have received during this period of illegal suspension and dismissal." However, there was a legal problem in the way to his reinstatement, for when he was suspended and eventually dismissed, somebody was appointed to his position, and it was argued that to reinstate him would be to remove the incumbent without cause in violation of law. In resolving the problem, the court resorted to a legal fiction, so as not to make the illegally dismissed employee without a remedy. The court ruled that inasmuch as the employee was illegally dismissed, legally speaking, his position never became vacant. Hence, there was no vacancy to which the present incumbent could be permanently appointed, and his occupancy of said position is temporary and does not come within the constitutional prohibition against dismissal without cause. In any event, the court added that the incumbent's being made to leave the post to give way to the employee's superior right may be considered as removal for cause.

¹⁵⁴*Manila Prince Hotel v. GSIS*, 78 SCAD 764, 267 SCRA 408 (1997).

¹⁵⁵*Felipe v. Leuterio*, 91 Phil. 482 (1952).

¹⁵⁶93 Phil. 182 (1953).

4.27. Grant of jurisdiction.

Settled is the rule that jurisdiction to hear and decide cases is conferred only by the Constitution or by statute. It cannot be conferred by the Rules of Court. Nor may jurisdiction be implied from the language of a statute, in the absence of a clear legislative intent to that effect.¹⁵⁷ Thus, the power conferred upon the Commission on Elections by Section 196 of the 1978 Election Code to exercise appellate jurisdiction over election cases filed with and decided by regional trial courts involving municipal elective officials does not imply the grant of authority upon said Commission to issue writs of *certiorari*, prohibition or *mandamus* concerning said election cases.¹⁵⁸ And where a statute grants a special court jurisdiction over criminal cases involving offenders under 16 years old at the time of the filing of the action, a subsequent statute defining a youthful offender as one who is over nine but below 21 years of age may not be so construed as to confer by implication upon said special court the authority to try cases involving offenders 16 but below 21 years of age.¹⁵⁹

4.28. What may be implied from grant of jurisdiction.

The grant of jurisdiction to try actions carries with it all necessary and incidental powers to employ all writs, processes and other means essential to make its jurisdiction effective.¹⁶⁰ Every regularly constituted court has power to do all things which are reasonably necessary for the administration of justice within the scope of its jurisdiction and for the enforcement of its judgments and mandates, even though the court may be called to decide matters which would not be within its cognizance as original causes of action.¹⁶¹ Hence, where a court has jurisdiction over the main cause of action, it can grant reliefs incidental thereto, even if they would otherwise be outside of its jurisdiction. Thus, in actions for forcible entry and detainer, which fall within the jurisdiction of municipal or metropolitan trial courts, the latter can order payment of rentals even though the amount thereof exceeds the jurisdictional amount

¹⁵⁷*Pimentel v. Commission on Elections*, G.R. No. 53581, December 19, 1980, 101 SCRA 769; *Dimagiba v. Hernandez*, 102 Phil. 1016 (1958).

¹⁵⁸*Pimentel v. Commission on Elections*, *supra*.

¹⁵⁹*People v. Palana*, G.R. No. 44113, March 31, 1977, 76 SCRA 243.

¹⁶⁰*Shioji v. Harvey*, 43 Phil. 333 (1922); *Suanes v. Chief Accountant of the Senate*, 81 Phil. 877 (1948).

¹⁶¹*Phil. Air Lines Employees' Assn. v. Phil. Air Lines*, 120 Phil. 383 (1964).

cognizable by them, for the same is merely incidental to the principal action.¹⁶² And a statute which provides that "any public officer against whom any criminal prosecution under a valid information under this Act (Anti-Graft Law) or under the provisions of the Revised Penal Code on bribery is pending in court, shall be suspended from office" necessarily implies that it is the court, and not the executive official concerned, that can suspend the official pending determination of the criminal case, the reason being that the determination as to whether the information is valid is a judicial function and suspension being a sequel to that findings, is an incident to the criminal prosecution before the court.¹⁶³

Statutes conferring jurisdiction to an administrative agency must be liberally construed to enable the agency to discharge its assigned duties in accordance with the legislative purpose. Thus, the power granted by P.D. No. 1344 to the National Housing Authority to hear and decide "claims involving refund and any other claims filed by subdivision lot or condominium unit buyers against the project owner, developer, dealer, broker or salesman" include the power to hear and decide "any and all claims which are incidental to or a necessary consequence of the claims/cases specifically included in the grant of jurisdiction to the National Housing Authority," such as attorney's fees and other damages.¹⁶⁴

In *GSIS v. Civil Service Commission*,¹⁶⁵ the Supreme Court ruled that the Civil Service Commission, in the exercise of its quasi-judicial function, has the power to order execution of its decision which has become final. It said that the grant to the tribunal or agency of adjudicatory power, or the authority to hear and adjudicate cases, should normally and logically be deemed to include the grant of authority to enforce or execute the judgments it thus renders, unless the law otherwise provides, for the authority to decide cases is inutile unless accompanied by the authority to see that what has been decided is carried.

¹⁶²Phil. Air Lines Employees' Assn. v. Phil. Air Lines, Inc., 120 Phil. 383 (1964); Gomez v. North Camarines Lumber Co., 104 Phil. 294 (1958).

¹⁶³Luciano v. Provincial Governor, G.R. No. 30306, June 20, 1969, 28 SCRA 517.

¹⁶⁴Solid Homes, Inc. v. Payawal, 177 SCRA 72 (1989).

¹⁶⁵GSIS v. Civil Service Commission, 202 SCRA 799 [1991].

4.29. Grant of power includes incidental power.

As a rule, where a general power is conferred or duty enjoined, every particular power necessary for the exercise of one or the performance of the other is also conferred.¹⁶⁶ The officer in whose favor general power is conferred may thus exercise such incidental powers or perform such acts as are necessary to make the power conferred effective. The incidental powers are those which are necessarily included in, and are therefore of lesser degree than the power granted. It cannot extend to other matters not embraced therein, nor are not incidental thereto.¹⁶⁷

Illustrations may be cited to explain the rule. Thus, the power to establish an office includes the authority to abolish it, unless there are constitutional provisions expressly or impliedly providing otherwise.¹⁶⁸ The constitutional provision that "no warrant shall issue but upon probable cause to be determined by the judge after examination under oath or affirmation of the complainant and the witnesses he may produce"¹⁶⁹ implies the grant of power to the judge to conduct preliminary investigations.¹⁷⁰ Where a statute authorizes the temporary detail for a fixed period of a judge in another district other than his own for the purpose of "trying" cases, the power so conferred includes the making and rendering of a decision after the period fixed in his detail in a case tried by him within the special term. For the law does not mean to authorize a judge to try a case and then deprive him of the power to render his decision after he has taken cognizance of it, the legislative purpose not being to make him a mere referee for another judge.¹⁷¹

The power to approve a license includes by implication, even if not expressly granted, the power to revoke it. By extension, the power to revoke is limited by the authority to grant the license, from which it is derived.¹⁷²

A statute which provides that the President "may not deport foreigners except upon investigation" implies the authority to

¹⁶⁶Angara v. Electoral Commission, 63 Phil. 139 (1936); People v. Gutierrez, G.R. No. 32282, November 26, 1970, 36 SCRA 172; People v. Lakandula, G.R. No. 31103, July 20, 1983; Radiowearth, Inc. v. Agregado, 96 Phil. 429 (1950).

¹⁶⁷University of Santo Tomas v. Board of Tax Appeals, 93 Phil. 376 (1953).

¹⁶⁸Castillo v. Pajo, 103 Phil. 515 (1958).

¹⁶⁹Art. III, Sec. 2, 1987 Constitution.

¹⁷⁰Secribano v. Ovala, G.R. No. 30375, September 12, 1975, 85 SCRA 245.

¹⁷¹DeIlino v. Paredes, 48 Phil. 645 (1926).

¹⁷²Gordon v. Verdiano, 167 SCRA 5 (1988).

deport.¹⁷³ The power to deport includes the power to order the arrest of the undesirable alien after investigation in order to carry out the deportation.¹⁷⁴ And pending arrangements for his deportation, an undesirable alien may also be detained for a reasonable period of time, such being a necessary step in the process of expulsion of undesirable aliens.¹⁷⁵ Where a statute confers upon the President the authority to "regulate, curtail, control and prohibit the exportation" of scrap materials, deemed included in said authority is the power to exact royalties for the permissive exportation of said materials as the consideration for the exercise of the privilege.¹⁷⁶ Generally, the power to appoint vested in the President includes the power to make temporary appointments, unless he is otherwise specifically prohibited by law, or the temporary or acting appointment is repugnant to the nature of the office filled. This is based upon the theory that the whole includes and is greater than the part.¹⁷⁷

Where the Minister of Justice appointed a lawyer "to assist a fiscal or prosecuting attorney in the discharge of his duties" as authorized by law, the attorney so appointed has the power to sign criminal informations, make investigations, and conduct prosecutions, such power being necessarily implied from the authority conferred. For the duties of a public office include all those which truly lie within its scope, those which are essential to the accomplishment of the main purposes for which the office was created, and those which, although incidental and collateral, are germane to the accomplishment of the principal purposes.¹⁷⁸

The express statutory grant of power to local governments to appropriate money for the general welfare of their inhabitants includes the implied authority to withdraw unexpended money already appropriated.¹⁷⁹ Their statutory power to regulate telephone service includes the power to establish and operate by themselves a telephone service.¹⁸⁰ Where a statute authorizes a city to reclaim part of the sea as an extension of its park, the reclaimed area acquires

¹⁷³*In re Dick*, 38 Phil. 41 (1918).

¹⁷⁴*Qua Chee Gan v. Deportation Board*, G.R. No. 10280, September 30, 1963, 9 SCRA 27.

¹⁷⁵*Tan Sim y. Deportation Board*, 104 Phil. 868 (1958).

¹⁷⁶*Marc Donnelly & Associates, Inc. v. Agregado*, 95 Phil. 142 (1954).

¹⁷⁷*Cabiling v. Pabualan*, 121 Phil. 1068 (1965).

¹⁷⁸*Lo Chan v. Ocampo*, 77 Phil. 635 (1946).

¹⁷⁹*Lanto v. Ali Dinaporo*, G.R. No. 21905, March 31, 1966, 16 SCRA 599.

¹⁸⁰*Phil. Long Distance Tel. Co. v. City of Davao*, G.R. No. 23080, October 30, 1965, 15 SCRA 244.

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the same character as the park, for the power to extend cannot authorize a transaction that is totally distinct from that which is granted.¹⁸¹ And where a city charter empowers the city to collect one and one-half percent of the assessed value as annual realty tax, a subsequent statute which imposes "an annual additional tax of one per centum on the assessed value of real property in addition to the real property tax regularly levied thereon under existing law" but the "total real tax shall not exceed a maximum of three per centum," implies that said city can, by ordinance, levy an additional one-half percent real tax, following the doctrine of necessary implication.¹⁸²

It has also been held that the power conferred by law upon an administrative officer to issue rules and regulations to carry out the purposes of a statute he is called upon to execute includes the authority to delegate to a subordinate officer the performance of a particular function, absent any express or implied provision to the contrary. The nature of the power and authority entrusted to him by the statute may imply the grant of administrative flexibility necessary for the prompt and expeditious discharge of his duties in the administration of the statute. This includes sub-delegation of power, which has been justified by sound principles of organization which demand that those at the top be able to concentrate their attention upon the larger and more important questions of policy and practice and that their time be freed as far as possible, from the consideration of the smaller and far less important matters of detail.¹⁸³ And the power conferred upon the head of a government institution to direct and supervise its operation and internal administration logically entails the power to prefer charges against erring officials of said institution and to see to it that the charges are properly investigated, it being an intrinsic element of the internal administration of said institution.¹⁸⁴

4.30. Grant of power excludes greater power.

The principle that the grant of power includes all incidental powers necessary to make the exercise thereof effective implies the exclusion of those which are greater than that conferred. Thus,

¹⁸¹*Manila Lodge No. 761 v. Court of Appeals*, G.R. No. 41001, September 30, 1976, 73 SCRA 162.

¹⁸²*City of Manila v. Gomez*, G.R. No. 37251, August 31, 1961, 107 SCRA 98.

¹⁸³*American Tobacco Co. v. Director of Patents*, G.R. No. 26803, October 14, 1975, 67 SCRA 287.

¹⁸⁴*Esperanza v. Castillo*, 123 Phil. 810 (1966).

the constitutional grant of power of supervision in favor of the President over local governments¹⁸⁵ does not, in the absence of law to that effect, include the power to suspend or remove local elective officials, nor to direct the form and manner in which local elective officials shall perform their duties,¹⁸⁶ they being acts of control which are greater than those of supervision.¹⁸⁷ Similarly, the President's power to reorganize the executive department, bureaus and offices, as conferred upon him by law, does not embrace the authority to deprive the courts of certain jurisdiction and to transfer it to a quasi-judicial tribunal, the same not being germane or incidental to the power conferred.¹⁸⁸ And the power to regulate business does not include the power to prohibit, the reason being that by prohibiting, nothing would be left to regulate, thereby rendering the authority to regulate nugatory.¹⁸⁹

4.31. What is implied should not be against the law.

The statutory grant of power does not include such incidental power which cannot be exercised without violating the Constitution, the statute conferring the power, or other laws on the same subject. Thus, while the power to appoint ordinarily carries with it the power to suspend or remove, the constitutional restriction against suspension or removal of civil service employees except for cause as provided for by law precludes such implication, unless the appointment is made outside the civil service law.¹⁹⁰ Where a statute empowers the President to appoint a public officer for a fixed term, unless sooner removed, the implication is that the President cannot remove him without just cause as provided for by law. An inferential authority to remove at pleasure cannot be deduced, since the existence of a defined term, *ipso facto*, negates such inference, and implies a contrary presumption, i.e., that the public officer shall hold office to the end of his term, subject to removal for cause.¹⁹¹ However, where the statute fixes the term of office to be at the pleasure of

¹⁸⁵Art. VII, Sec. 10(1), 1935 Constitution in relation to Art. VII, Sec. 16, New Constitution.

¹⁸⁶Hebron v. Reyes, 104 Phil. 175 (1958); Rodriguez v. Montinola, 94 Phil. 964 (1954).

¹⁸⁷Lacson v. Roque, 92 Phil. 456 (1953); Jover v. Borra, 93 Phil. 506 (1953).

¹⁸⁸University of Santo Tomas v. Board of Tax Appeals, 93 Phil. 376 (1953).

¹⁸⁹Phil. Long Distance Tel. Co. v. City of Davao, G.R. No. 23080, October 30, 1965, 15 SCRA 244; People v. Esguerra, 81 Phil. 33 (1948).

¹⁹⁰De los Santos v. Mallare, 87 Phil. 289 (1950).

¹⁹¹Jover v. Borra, 93 Phil. 506 (1953); Cuneeta v. Andanar, 95 Phil. 604 (1954).

the appointing power, as distinguished from a statute which makes the appointed officer removable at the pleasure of the appointing power, the power to appoint carries with it the power to remove at any time.¹⁹²

The power to investigate officials or employees as conferred by law upon a public officer does not include the power to delegate the authority to take testimony of witnesses whose appearance may be required by the compulsory process of subpoena. Nor does such power to investigate include the power to delegate the authority to administer oath.¹⁹³

4.32. Authority to charge against public funds may not be implied.

It is well-settled that unless a statute expressly so authorizes, no claim against public funds may be allowed. Accordingly, a statute may not be so construed as to authorize, by implication, a charge against public funds.¹⁹⁴ Thus, where a statute grants leave privileges in favor of appointive officials and employees of the government, the statute may not be so construed as to entitle elective officials to similar privileges.¹⁹⁵ And where a statute requires "employers" to pay a thirteenth month compensation to their employees receiving less than P1,000.00 a month, the statute may not be construed to include the sovereign, nor may the term "employers" be construed to embrace the government.¹⁹⁶

4.33. Illegality of act implied from prohibition.

Where a statute prohibits the doing of an act, the act done in violation thereof is by implication null and void. The prohibited act cannot serve as foundation of a cause of action for relief. The rule is expressed in the maxims: *ex dolo malo non oritur actio*, or no man can be allowed to found a claim upon his own wrongdoing or inequity; and *nullus commodum capere potest de injuria sua propria*, or no man should be allowed to take advantage of his own wrong. It is

¹⁹²Alba v. Evangelista, 100 Phil. 683 (1957).

¹⁹³Carmelo v. Ramos, G.R. No. 17778, November 30, 1962, 6 SCRA 836.

¹⁹⁴Macatangay v. Chairman of the Commission on Audit, G.R. No. 38728, September 30, 1962, 117 SCRA 231; Alliance of Government Workers v. Minister of Labor and Employment, G.R. No. 60403, August 3, 1983.

¹⁹⁵Macatangay v. Chairman of the Commission on Audit, *supra*.

¹⁹⁶Alliance of Government Workers v. Minister of Labor and Employment, G.R. No. 60403, August 3, 1983.

popularly known by the maxim, *in pari delicto potior est conditio defendentis*.¹⁹⁷

Public policy requires that parties to an act prohibited by statute be left where they are, to make the statute effective and to accomplish its object. Hence, a party to an illegal contract cannot come to a court of law and ask that his illegal object be carried out. The law will not aid either party to an illegal agreement; it leaves the parties where it finds them.¹⁹⁸ Thus, a citizen who sold his land to an alien in violation of the constitutional restriction cannot annul the same and recover the land, for both seller and buyer are guilty of having violated the Constitution.¹⁹⁹

4.34. Exceptions to the rule.

The principle of *pari delicto* recognizes certain exceptions, one of which is that it will not apply when its enforcement or application will violate an avowed fundamental policy or public interest. Thus, although the parties are *in pari delicto*, the court may interfere and grant relief at the suit of one of them, where public policy requires its intervention, even though the result may be that a benefit will be derived by plaintiff who is in equal guilt with defendant.²⁰⁰ For instance, the policy of the homestead law is to give and preserve in the homesteader and his family a piece of land for his house and for cultivation. To carry out such policy, the law prohibits the alienation of a homestead within five years following the issuance of the patent and provides that any contract of a conveyance in contravention thereof shall be null and void. In a sale of a homestead in violation of this restriction, the fact that the seller and buyer are at fault, or *in pari delicto*, will not preclude recovery of the land by the seller or his heirs, for it is not within the seller's competence to barter away what public policy seeks to preserve. For this reason, the purchaser, as against the seller or his heirs, is no more entitled to keep the land than any intruder.²⁰¹

¹⁹⁷Bough v. Cantiveros, 40 Phil. 210 (1919); Cabuatan v. Uy Hoo, 88 Phil. 103 (1951); Dinglasan v. Lee Hun, 99 Phil. 427 (1956).

¹⁹⁸Dinglasan v. Lee Hun, *supra*.

¹⁹⁹Cabuatan v. Uy Hoo, 88 Phil. 103 (1951); Krivenko v. Register of Deeds, 79 Phil. 461 (1947).

²⁰⁰Enrique T. Yuchengco, Inc. v. Velayo, G.R. No. 50439, July 20, 1982, 115 SCRA 307; Development Bank of the Phils. v. Court of Appeals, G.R. No. 28774, September 21, 1982, 116 SCRA 636.

²⁰¹De los Santos v. Roman Catholic Church, 94 Phil. 405 (1954); Acierio v. De los Santos, 95 Phil. 887 (1954).

Another exception is that when the transaction is not illegal *per se* but merely prohibited and the prohibition by law is designed for the protection of one party, the court may grant relief in favor of the latter.²⁰²

4.35. What cannot be done directly cannot be done indirectly.

What the law prohibits cannot, in some other way, be legally accomplished. This principle is expressed in the axiom that what cannot, by law, be done directly cannot be done indirectly. *Quando aliquid prohibetur ex directo, prohibetur et per obliquum*. Accordingly, where a corporation is forbidden from doing an act, the prohibition extends to the board of directors and to each director separately and individually. Thus, where the board of directors is prohibited from granting loans to its director, a loan to a partnership of which the wife of a director is a partner falls within the prohibition.²⁰³ Where a statute prohibits the payment of the principal obligation during a fixed period, the interest thereon during the existence of the restriction is not demandable.²⁰⁴

Where a law exempts retirement benefits of a public officer or employee from attachment, garnishment or other process, an earlier law which authorizes the government to withhold an amount due such officer or employee to pay his indebtedness to the government should not be construed to withhold so much of his retirement benefits to pay said indebtedness because the appropriation thereof would be tantamount to garnishing or attaching the same and enabling the government, by administrative action, to do indirectly what it cannot do directly because the retirement benefits are exempt from attachment, garnishment or other processes.²⁰⁵ Nor can the government, under the same principle, withhold payment of the retirement benefits of a public officer until his accountabilities with the government shall have been cleared, as such action is doing indirectly what the government is prohibited from doing directly.²⁰⁶

²⁰²Barsobia v. Cuenco, G.R. No. 33048, April 16, 1982, 113 SCRA 57.

²⁰³People v. Concepcion, 44 Phil. 126 (1922).

²⁰⁴Peoples Bank and Trust Co. v. Phil. National Bank, 89 Phil. 631 (1951).

²⁰⁵Cruz v. Tantioco, 166 SCRA 670 (1988).

²⁰⁶Tantioco, Jr. v. Domingo, 48 SCAD 577, 230 SCRA 391 (1994).

4.36. There should be no penalty for compliance with law.

A person who complies with what a statute requires cannot, by implication, be penalized thereby. For "simple logic, fairness and reason cannot countenance an exaction or a penalty for an act faithfully done in compliance with the law."²⁰⁷

Chapter V

INTERPRETATION OF WORDS AND PHRASES

A. IN GENERAL

5.01. Generally.

A word or phrase used in a statute may have an ordinary, generic, restricted, technical, legal, commercial or trade meaning. It may have been defined in the statute itself, or may have previously received a judicial construction. Which meaning should be given to a word or phrase in a statute depends upon what the legislature intended. The task involves ascertaining legislative intent primarily from the statute itself and secondarily, from extraneous and relevant circumstances and, having ascertained it, construing the word or phrase in such a way as to effectuate such intent.¹

It may thus be stated as a general rule that in interpreting the meaning and scope of a term used in the law, a careful review of the whole law involved, as well as the intentment of law, ascertained from a consideration of the statute as a whole and not of an isolated part or a particular provision alone, must be made to determine the real intent of the law.²

In *Hon. Secretary Vincent Perez v. LPG Refillers Assn. of the Philippines*, G.R. No. 159149 [August 28, 2007], the Court held that the use of general term in statute does not render the law uncertain, so long as the term is clear or made so from the whole statute.

A criminal statute is not rendered uncertain and void because general terms are used therein. The lawmakers have

¹*De Ponce v. Sagario*, 86 Phil. 79 (1949); *Molina v. Raftery*, 38 Phil. 167 (1918); *Gelano v. Court of Appeals*, G.R. No. 39050, February 24, 1981, 103 SCRA 90.

²*Alpha Investigation and Security Agency, Inc. v. NIRC*, 82 SCAD 800, 272 SCRA 653 (1997).

no positive constitutional or statutory duty to define each and every word in an enactment, as long as the legislative will is clear, or at least, can be gathered from the whole act, which is distinctly expressed in B.P. Blg. 33, as amended. Thus, respondent's reliance on the "void for vagueness" doctrine is misplaced.

Demonstrably, the specific acts and omissions cited in the Circular are within the contemplation of the B.P. Blg. 33, as amended. The DOE, in issuing the Circular, merely filled up the details and the manner through which B.P. Blg. 33, as amended may be carried out. Nothing extraneous was provided in the Circular that could result in its invalidity.

On the fourth, fifth and sixth grounds, respondent avers that the penalties imposed in the Circular exceeded the ceiling prescribed by B.P. Blg. 33, as amended. Respondent contends that the Circular, in providing penalties on a per cylinder basis, is no longer regulatory, but already confiscatory in nature.

Respondent's position is untenable. The Circular is not confiscatory in providing penalties on a per cylinder basis. Those penalties do not exceed the ceiling prescribed in Section 4 of B.P. Blg. 33, as amended, which penalizes "any person who commits any act [therein prohibited]." Thus, violation on a per cylinder basis falls within the phrase "any act" as mandated in Section 4. To provide the same penalty for one who violates a prohibited act in B.P. Blg. 33, as amended, regardless of the number of cylinders involved would result in an indiscriminate, oppressive and impractical operation of B.P. Blg. 33, as amended. The equal protection clause demands that "all persons subject to such legislation shall be treated alike, under like circumstances and conditions, both in the privileges conferred and in the liabilities imposed."

5.02. Statutory definition.

A statute sometimes defines particular words and phrases used therein. In such case, the legislative definition controls the meaning of the statutory word, irrespective of any other meaning the word or phrase may have in its ordinary or usual sense.³ Otherwise put,

where a statute defines a word or phrase employed therein, the word or phrase should not, by construction, be given a different meaning.⁴ For the legislature, in adopting a specific definition, is deemed to have restricted the meaning of the word within the terms of the definition.⁵ When the legislature defines a word used in a statute, it does not usurp the court's function to interpret the laws but it merely legislates what should form part of the law itself.⁶

It has been held that while a term or phrase in a statute is to be interpreted in accordance with its well-accepted meaning, nevertheless when the term or phrase is specifically defined in a particular law, the definition must be adopted in applying and enforcing such law.⁷ Thus, Section 8(f) of Republic Act No. 1161 defined "compensation" to include all remunerations, except bonuses, allowances and overtime pay. This definition was changed by the amendment of the law, by deleting the exceptions. The court held that such amendment shows the legislative intent that bonuses and overtime pay must now be included in the employee's remuneration in pursuance of the amendatory law. "By virtue of this express substantial change in the phraseology of the law, whatever prior judicial or executive construction may have been given to the phrase in question should give way to the clear mandate of the new law."⁸ In another case, the question raised is whether a person who practiced chiropractic without having been duly licensed to practice medicine may be criminally liable for violation of the medical law. The court held that while chiropractic may not in its ordinary sense fall within the meaning of the term "practice of medicine," the latter as statutorily defined clearly includes the manipulations employed in chiropractic and one who practices chiropractic without having been duly licensed to practice medicine is thus criminally liable.⁹ In a case where the issue is whether an alien who comes into the country as a temporary visitor is an "immigrant," the court said that while the term "immigrant" under its ordinary definition denotes an alien who comes to the Philippines for permanent residence, the Immigration Act makes its own definition of the term, which is "any

⁴Kuenzle & Steiff v. Collector of Customs, 32 Phil. 510 (1915); Chang Young Fa v. Giamon, 97 Phil. 913 (1965); People v. Venavale, 47 Phil. 536 (1926).

⁵Go Ka Toc & Sons v. Rice and Corn Board, 20 SCRA 147 (1967).

⁶De Ponce v. Sagario, 86 Phil. 79 (1949).

⁷Victorias Milling Co., Inc. v. Social Security Commission, *supra*.

⁸Victorias Milling Co., Inc. v. Social Security Commission, 114 Phil. 565, 561 (1962).

⁹People v. Buenaviale, *supra*.

³People v. Buenaviale, 47 Phil. 536 (1925); De Ponce v. Sagario, 86 Phil. 79 (1949); Victorias Milling Co., Inc. v. Social Security Commission, 114 Phil. 565 (1962).

alien departing from any place outside the Philippines destined for the Philippines, other than a non-immigrant." The term thus includes every alien coming into the country either to reside permanently or for temporary stay, unless he can bring himself within one of the exceptions.¹⁰

While definitions of terms in a statute must be given all the weight due them in the construction of the provision in which they are used, the terms or phrases being part and parcel of the whole statute must be given effect in their entirety as a harmonious, coordinated and integrated unit, not as a mass of heterogeneous and unrelated if not incongruous terms, clauses and sentences. The words and phrases should be construed in the light of the context of the whole statute.¹¹

5.03. Qualification of rule.

The statutory definition of a word or term "as used in this Act" is controlling only insofar as said act is concerned. The definition is not conclusive as to the meaning of the same word or term as used in other statutes, particularly with respect to transactions that took place prior to the enactment of the act.¹²

The general rule that the statutory definitions control the meaning of statutory words does not apply where its application creates obvious incongruities in the language of the statute, destroys one of its major purposes,¹³ or becomes illogical as a result of a change in its factual basis.¹⁴ In any such case, the statutory definition will be disregarded and the word given a meaning that will avoid any of such results or consequences.¹⁵ For instance, under Republic Act No. 4166 and Executive Orders 900 and 901, the term "sugarcane planter" is defined as a planter-owner of sugarcane plantation within the particular sugar mill district who has been

allocated export and/or domestic and reserve sugar quotas. This statutory definition excludes so-called emergency, non-quota, non-district and accommodation planters, they having no sugar quotas. However, in 1955, the quota system was abolished and had not been reintroduced. The court said that with such a change in situation, it would be illogical to continue adhering to the previous definitions that had already lost their legal effect.¹⁶ However, in a subsequent case, it was held that where a statute remains unchanged, it must be interpreted according to its clear and original mandate until the legislature taking into account the changes in situation subjected to be regulated, sees fit to enact the necessary amendment.¹⁷

5.04. Words construed in their ordinary sense.

In construing words and phrases used in a statute, the general rule is that, in the absence of legislative intent to the contrary, they should be given their plain, ordinary, and common usage meaning.¹⁸ The words should be read and considered in their natural, ordinary, commonly accepted and most obvious signification, according to good and approved usage and without resorting to forced or subtle construction. For words are presumed to have been employed by the lawmaker in their ordinary and common use and acceptance.¹⁹ And courts, as a rule, should not presume that the lawmaking body does not know the meaning of the words and the rules of grammar. Consequently, the grammatical and ordinary reading of a statute must be presumed to yield its correct sense.²⁰

Words in a statute should generally be given their ordinary or usual meaning; they should not be given a strict or limited signification in the absence of a legislative intent to that effect.²¹ Thus, in a statute which exempts certain importations from tax on foreign exchange, which are actually used in the manufacture or

¹⁰Chang Yung Fa v. Gianzon, 97 Phil. 913 (1955).

¹¹Collector of Internal Revenue v. Manila Lodge No. 761, 105 Phil. 893 (1956).

¹²City of Manila v. Manila Remnant Co., Inc., 100 Phil. 795 (1957); *Endencia v. David*, 93 Phil. 696 (1953); *Misamis Lumber Co., Inc. v. Collector of Internal Revenue*, 102 Phil. 116 (1957).

¹³*Lawson v. Suwannee Fruit & Steamship Co.*, 336 U.S. 198, 93 L. ed. 611 (1949).

¹⁴*Ernesto v. Court of Appeals*, G.R. No. 52178, September 28, 1982, 116 SCRA 755.

¹⁵*Lawson v. Suwannee Fruit & Steamship Co.*, 336 US 198, 93 L. ed. 61 (1949); *Ernesto v. Court of Appeals*, G.R. No. 52178, September 28, 1982, 116 SCRA 755.

¹⁶*Ernesto v. Court of Appeals*, *supra*.

¹⁷*Amadora v. Court of Appeals*, 160 SCRA 315 (1988).

¹⁸*Mustang Lumber, Inc. v. Court of Appeals*, 71 SCAD 166, 257 SCRA 430 (1996), citing *Ruben E. Agpalo, Statutory Construction*, Second ed. (1990), p. 131; *Central Azucarera Don Pedro v. Central Bank*, 104 Phil. 598 (1954); *Espino v. Cleofe*, G.R. No. 33410, July 13, 1973, 52 SCRA 92 (1973); *Phil. Acetylene Co. v. Central Bank*, 120 Phil. 829 (1964).

¹⁹*People v. Kottinger*, 45 Phil. 352 (1923).

²⁰*Espino v. Cleofe*, G.R. No. 33410, July 13, 1973, 52 SCRA 92; *Guevarra v. Inocentes*, G.R. No. 25577, March 15, 1966, 16 SCRA 383.

²¹*Central Azucarera Don Pedro v. Central Bank*, 104 598 (1954); *Lo Cham v. Ocampo*, 77 Phil. 635 (1946).

preparation of local products, forming part thereof, that are actually exported, the phrase "forming part thereof" does not mean that the imported articles should be merged into the local product by mechanical process or physically or materially mixed, or chemically combined, so as to lose its identity; it means, in its ordinary sense, that the imported article is needed to accomplish the export abroad of the product locally manufactured.²² Where the word "business" used in a tax statute is not qualified, it should be understood in its plain and ordinary meaning to embrace activities or affairs where profit is the purpose or livelihood is the motive; and in this sense, a fraternal social club selling liquor at its clubhouse in a limited scale only to its members and their guests, without intention to obtain profit, is not engaged in "business."²³ The term "present value" in the provision which states that "for those who are at least sixty-five years of age, lump sum payment of present value of annuity for the first five years and future annuity to be paid monthly. *Provided, however, That there shall be no discount from annuity for the first five years of those who are sixty-five or over on the date*" the law took effect, is used in its ordinary and not in its technical and restricted sense because said law grants to the retired employee substantial sum for his sustenance considering his age and any doubt in said law, being for his benefit, should be resolved in his favor. In that ordinary sense, there should be no discount from the present value of his annuity.²⁴ When a statute provides that "persons who were retired and paid gratuity" may at their option elect to receive in lieu of such gratuity the annual retirement pay as provided in the act, the court may not construe the words as including those military personnel who are yet to retire after the said law took effect, for a grammatical and ordinary sense of the words excludes the latter.²⁵

In *Matuguina Integrated Wood Products, Inc. v. Court of Appeals*,²⁶ one of the issues raised was whether a transferee of a forest concession is liable for obligations arising from the transferor's illegal encroachment into another forest concessionaire committed prior to the transfer. Section 61 of P.D. No. 705 provides that "the

²²Central Azucarera Don Pedro v. Central Bank, 104 Phil. 698 (1954).

²³Collector of Internal Revenue v. Manila Lodge No. 761, 105 Phil. 983 (1957);

Collector of Internal Revenue v. Club Filipino, Inc. of Cebu, 115 Phil. 310 (1962).

²⁴Phil. Assn. of Government Retirees, Inc. v. Government Service Insurance System, G.R. No. 20503, June 30, 1965, 14 SCRA 610.

²⁵Espino v. Cleofe, G.R. No. 33410, July 13, 1973, 53 SCRA 92.

²⁶75 SCAD 526, 263 SCRA 490 (1996).

transferee shall assume all the obligations of the transferor." The Court held that the transferee was not liable, and explained: "In construing statutes, the terms used therein are generally to be given their ordinary meaning, that is, such meaning which is ascribed to them when they are commonly used, to the end that absurdity in the law must be avoided. The term 'obligations' as used in the final clause of the second paragraph of Section 61 of P.D. No. 705 is construed to mean those obligations incurred by the transferor in the ordinary course of business. It cannot be construed to mean those obligations or liabilities incurred by the transferor as a result of transgressions of the law, as these are personal obligations of the transferor, and could not have been included in the term 'obligations' absent any modifying provision to that effect."²⁷

In *Mustang Lumber, Inc. v. Court of Appeals*,²⁸ the issue is whether or not the word "lumber" is included in the word "timber" as the latter is used in Sec. 68 of P.D. No. 705, which penalizes the cutting, gathering and/or collecting timber or other forest products without a license. In quashing the information charging a person with violation of said provision, the trial court held that the subject matter of the charge sheet is "lumber," which is neither "timber" nor "other forest products." In reversing the trial court's ruling, the Supreme Court held that the trial court gravely erred in quashing the information because lumber is included in the term timber. The Court explained:

"The Revised Forestry Code contains no definition of either timber or lumber. While the former is included in forest products as defined in paragraph (q) of Section 3, the latter is found in paragraph (aa) of the same section in the definition of "processing plant," which reads: (aa) 'Processing plant is any mechanical set-up, machine or combination of machine used for the processing of logs and other forest raw materials into lumber, veneer, plywood, wallboard, blackboard, paper board, pulp, paper or other finished wood products.'"

"This simply means that lumber is a processed log or processed forest raw material. Clearly, the Code uses the term lumber in its ordinary or common usage. In the 1993 copyright edition of Webster's Third International Dictionary, lumber is

²⁷*Ibid.*, p. 513.

²⁸71 SCAD 166, 257 SCRA 430 (1996).

defined, *inter alia*, as 'timber or logs after being prepared for the market.' Simply put, lumber is a processed log or timber."

"It is settled that in the absence of legislative intent to the contrary, words and phrases used in a statute should be given their plain, ordinary, and common usage meaning. And insofar as possession of timber without the required legal documents is concerned, Section 68 of P.D. No. 705, as amended, makes no distinction between raw or processed timber. Neither should we. *Ubi lex non distinguit nec nos distinguere debemus.*"³²

5.05. General words construed generally.

A word of general significance in a statute is to be taken in its ordinary and comprehensive sense, unless it is shown that the word is intended to be given a different or restricted meaning.³³ The rule is expressed in the maxim, *generalia verba sunt generaliter intelligenda*, or what is generally spoken shall be generally understood or general words shall be understood in a general sense. *Generale dictum generaliter est interpretandum*. A general statement is understood in a general sense.

Where a word used in a statute has both a restricted and general meaning, the general must prevail over the restricted unless the nature of the subject matter or the context in which it is employed clearly indicates that the limited sense is intended.³⁴ Thus, where a general word is used in a statute, its generic meaning may not be restricted by other words, unless the intention to do so is clear and manifest.³⁵ In other words, a general word should not be given a restricted meaning where no restriction is indicated.³⁶ For if the legislature has intended to limit the meaning of a word, it would have been easy for it to have done so. That it did not, gives rise to the presumption that it has not limited nor intended to limit the meaning of the word.³⁷

³²*Ibid.*, pp. 448-449.

³³*Caldier & Co. v. U.S.*, 334 (1907); *Malici v. Collector of Internal Revenue*, 99 Phil. 596 (1966); *People v. Chavez*, 120 Phil. 1019 (1964); *Phil. Acetylene Co. v. Central Bank*, 120 Phil. 829 (1964).

³⁴*Marcos v. Chief of Staff, AFP*, 89 Phil. 239 (1951); *Belo v. PNB, G.R. No. 134330*, March 1, 2001.

³⁵*Tolentino v. Catoy*, 82 Phil. 300 (1948).

³⁶*Lo Chuan v. Ocampo*, 77 Phil. 635 (1946); *Getz Corp. of the Phils., Inc. v. Court of Appeals, G.R. No. 53823*, August 21, 1982, 116 SCRA 86.

³⁷*Phil. Acetylene Co. v. Central Bank*, 120 Phil. 829 (1964).

5.06. Application of rule.

The maxim, *generalia verba sunt generaliter intelligenda*, is best understood by way of illustration. For instance, the word "foreigner" in the Election Code prohibiting any foreigner from contributing campaign funds includes a juridical person. The word "person" comprehends private juridical corporation, unless it appears that it is used in a more limited sense; and the word "person" under a penal statute which is intended to inhibit an act, must be "a person in law," that is, an artificial as well as a natural person.³⁸ The term "judge" without any modifying word or phrase accompanying it is to be construed in its generic sense to comprehend all kinds of judges, including judges of inferior courts and justices of the Supreme Court.³⁹ The word "government" used without qualification should be understood in its implied or generic sense and not in the strict signification of the term "National Government." In its implied or generic sense, it includes government-owned or controlled corporations.⁴⁰ The term "National Government" refers only to the central government, consisting of the legislative, executive and judicial departments as well as constitutional bodies, as distinguished from local governments and other governmental entities, and is not synonymous with the term "The Government of the Republic of the Philippines" or "Philippine Government," which are expressions broad enough to include not only the central government but also local governments and government-owned or controlled corporations.⁴¹ The term "product of the Philippines" should be taken in its usual signification to mean any product produced in the country; hence, bran (*ipa*) and pollard (*darak*) produced from wheat imported into the country are "products of the Philippines."⁴²

5.07. Generic term includes things that arise thereafter.

A word of general signification employed in a statute should be construed, in the absence of legislative intent to the contrary, to

³⁸*Gatchalian v. Commission on Elections*, G.R. No. 32560, October 22, 1970, 35 SCRA 435.

³⁹*Vargas v. Rillaroza*, 80 Phil. 297 (1948); *Collector of Customs v. Villaluz*, G.R. No. 34038, June 18, 1976, 71 SCRA 356.

⁴⁰*C & C Commercial Corp. v. National Waterworks & Sewerage Authority*, G.R. No. 27275, November 18, 1967, 21 SCRA 984.

⁴¹*Central Bank v. Court of Appeals*, G.R. No. 33022, April 22, 1976, 63 SCRA 431.

⁴²*Republic Flour Mills, Inc. v. Commissioner of Customs*, G.R. No. 28464, May 31, 1971, 39 SCRA 269.

comprehend not only peculiar conditions obtaining at the time of its enactment but those that may normally arise after its approval as well.⁴⁰ This rule of construction is known as progressive interpretation, which extends by construction the application of a statute to all subjects or conditions within its general purpose or scope that come into existence subsequent to its passage and thus keeps legislation from becoming ephemeral and transitory. It has been said that a general rule may, and frequently does, originate in some particular case or class of cases which is in the mind of the legislature at the time, but so long as it is expressed in general language the courts cannot, in the absence of express restrictions, limit its application to these cases, but must apply it to all cases that come within the terms and its general purpose and policy. Hence, statutes framed in general terms apply to new cases that arise, and to new subjects that are created, from time to time, and which come within their general scope and policy. It is a rule of statutory construction that legislative enactments in general and comprehensive terms, prospective in operation, apply alike to all persons, subjects and business within their general purview and scope coming into existence subsequent to their passage.⁴¹

Conformably with the rule, the phrase "articles of prohibited importation" used in the Tariff and Customs Code embrace not only those already declared prohibited at the time of its adoption but also goods and articles that may be the subject of activities undertaken in violation of subsequent laws.⁴² Similarly, where a statute speaks of "any election," it means not only election provided by law at the time but any election which may thereafter be held as well, including the election of delegates to the constitutional convention.⁴³

5.08. Words with commercial or trade meaning.

Words and phrases, which are in common use among merchants and traders, acquire trade or commercial meanings which are generally accepted in the community in which they have been in common use. When any of such words or phrases is used in a statute, it should not be given a new or strange interpretation, but should

⁴⁰*Geothina v. Court of Appeals*, G.R. No. 33500, August 30, 1971, 40 SCRA 362, 41 Justice Bocobo dissenting, *Dioquino v. Araneta*, 74 Phil. 705 (1944), citing 26 R.C.L., pp. 778-779.

⁴¹*Geothina v. Court of Appeals*, G.R. No. 33500, August 30, 1971, 40 SCRA 362.

⁴²*Geothina v. Court of Appeals*, G.R. No. 33500, August 30, 1971, 40 SCRA 362. ⁴³*Geothina v. Commission on Elections*, G.R. No. 32560, October 22, 1970, 35 SCRA 435.

be given such trade or commercial meaning as has been generally understood among merchants.⁴⁴ For settled is the rule that in the absence of legislative intent to the contrary, trade or commercial terms, when used in a statute, are presumed to have been used in their trade or commercial sense.⁴⁵

The rule is especially applicable to tariff laws and laws of commerce. The understanding of words used in such statutes on the part of traders and importers may determine the construction to be given to the language of such types of laws. The rule prevails particularly with respect to laws for the government of the importer. His business is regulated by them; and it is but reasonable that, like the language of marine policies and the terms of the law of merchant, supposed to be especially applicable to his class, these laws should be construed as universally understood by the importer or trader.⁴⁶

Examples may be cited to illustrate the principle. The phrase "dispose of" in its ordinary sense implies parting away with something, its delivery to another. However, the phrase has acquired a commercial meaning among merchants, as referring to "sell," so that when the phrase is used in a statute, such as in a tax law which provides that no tax shall be collected on articles which, before its taking effect, shall have been "disposed of," it should be understood in that sense.⁴⁷ The phrase "gross value in money" is another example. This phrase has a well-defined meaning in trade or commerce. It means "gross selling price" or the total amount of money or its equivalent which the purchaser pays to the vendor to receive the goods, and it should be taken in this sense when employed in a statute.⁴⁸

5.09. Words with technical or legal meaning.

As a general rule, words that have, or have been used in, a technical sense or those that have been judicially construed to have a certain meaning should be interpreted according to the sense in which they have been previously used, although the sense may vary

⁴⁴*Asiatic Petroleum Co. v. Collector of Internal Revenue*, 38 Phil. 510 (1918).

⁴⁵*San Miguel Corp. v. Municipal Council of Mandanae*, G.R. No. 30761, July 11, 1973, 52 SCRA 43.

⁴⁶*Calder & Co. v. U.S.*, 8 Phil. 334 (1907).

⁴⁷*Asiatic Petroleum Co. v. Collector of Internal Revenue*, *supra*.

⁴⁸*San Miguel Corp. v. Municipal Council of Mandanae*, *supra*; *Republic Cement Corp. v. Commissioner of Internal Revenue*, G.R. No. 20660, June 13, 1968, 23 SCRA 967 (1968).

from the strict or literal meaning of the words.⁶⁰ The presumption is that the language used in a statute, which has a technical or well-known legal meaning, is used in that sense by the legislature.⁶⁰

The technical or legal, not the ordinary or general, meaning of a word used in a statute should be adopted in the construction of the statute, in the absence of any qualification or intention to the contrary. Thus, Section 14 of Rule 59 of the Rules of Court, which prescribes the steps to be taken when property attached is claimed by a person other than the defendant or his agent, contains a proviso that "nothing herein contained shall prevent such third person from vindicating his claim to the property by any proper action." To the argument that the phrase "proper action" limits the third party's remedy to intervening in the action in which the writ of attachment was issued, the court said that the word "action" has acquired a well-defined, technical meaning as an "ordinary suit in a court of justice by which one party prosecutes another for the enforcement or protection of a right, or the prevention or redress of a wrong," while Section 2, Rule 2 of the Rules of Court under the heading "Commencement of Action" states that a "civil action may be commenced by filing a complaint with the proper court." "In employing the word 'commencement,' the rule clearly indicates an action which originates an entire proceeding and puts in motion the instruments of the court calling for summons, answer, etc., and not any intermediary step taken in the course of the proceeding whether by the parties themselves or by a stranger. It would be strange indeed if the framers of the Rules of Court should have employed the term 'proper action' instead of 'intervention' or equivalent expression if the intention had been just that. It was all the easier, simpler and the more natural thing to say intervention if that had been the purpose, since the asserted right of the third-party claimant necessarily flows out of the pending suit."⁶¹

Where a criminal case is dismissed, it is not equivalent to the accused being "acquitted," for the latter has a technical or legal meaning. For this reason, a public officer who was accused in a criminal case for violation of the Anti-Graft Law, which was dismissed, will not be entitled to the benefits of Section 13 thereof which provides that if a public officer is "acquitted, he shall be

⁶⁰Kritvenko v. Register of Deeds, 79 Phil. 461 (1947).

⁶¹Keepner v. U.S., 11 Phil. 669 (1904).

⁶²Manila Herald Publishing Co., Inc. v. Ramos, 88 Phil. 94, 99 (1951).

entitled to reinstatement and to his salaries and benefits which he failed to receive during suspension." The court ruled that the word "acquitted" has a legal meaning, which is a finding of not guilty based on the merit. It does not include a dismissal of the case because dismissal does not amount to acquittal, except when the dismissal comes after the prosecution has presented all its evidence and is based on insufficiency of such evidence.⁶³ The words "previously convicted" in the probation law which disqualifies from probation persons "who have been previously convicted by final judgment of an offense punished by imprisonment of not less than one month and one day and/or a fine of no less than two hundred pesos" refer to the date of conviction, not to date of commission of the crime, so that a person convicted on the same date of several offenses committed on different dates but jointly tried is not thereby disqualified under said provision.⁶³

5.10. How identical terms in same statute construed.

The general rule is that a word or phrase repeatedly used in a statute will bear the same meaning throughout the statute.⁶⁴ The word will not be so construed as to give it a meaning different from that of the same word in said statute.⁶⁵ The same word or substantially the same phrase appearing in different parts of a statute will be accorded a generally accepted and consistent meaning, unless a different intention appears or is clearly expressed.⁶⁶ Thus, a word or phrase in one part of a statute is to receive the same interpretation when used in every other part, unless it clearly appears from the context or otherwise that a different meaning is intended.⁶⁷

The reason for the rule is that a word used in a statute in a given sense is presumed to be used in the same sense throughout the law. While the rule is not, by some authorities, regarded as so rigid and peremptory as some of the rules of statutory construction, it is nevertheless particularly applicable where in the statute the words

⁶³Malayson v. Lising, G.R. No. 56028, July 30, 1961, 106 SCRA 237; People v. Salico, 84 Phil. 722 (1949).

⁶⁴Rura v. Lopena, 137 SCRA 121 (1986).

⁶⁵Kritvenko v. Register of Deeds, 79 Phil. 461 (1947).

⁶⁶Railroad & Warehouse Commission, 49 NW2d 386, 27 ALR2d 1197 (1951).

⁶⁷Morah v. Katsinas, 157 NE2d 38, 71 ALR2d 1108 (1959); Kritvenko v. Register of Deeds, 79 Phil. 461 (1947).

⁶⁸Lozada v. Commission on Elections, G.R. No. 59068, January 27, 1963, 120 SCRA 337.

appear so near each other physically, and particularly where the word has a technical meaning and that meaning has been defined in the statute.⁸⁸

Where, for instance, a statute classifies riceland in share tenancy according to average produce per hectare for the three agricultural years next preceding the current harvest, and in another provision of the same statute it classifies riceland in leasehold according to the normal average harvest of the three preceding years, the word "year" should also be understood as agricultural year and not calendar year, and an agricultural year represents one crop, so that if in one calendar year two crops are raised, then that represents two agricultural years.⁸⁹ Following the same principle, the term "agricultural land" in Section 1, Article XIII of the 1935 Constitution which states that "public agricultural land shall not be alienated" except in favor of Filipino citizens, and the term "agricultural land" in Section 5 thereof which provides that "no private agricultural land shall be transferred or assigned" except to Filipino citizens, should be construed as having the same meaning, both sections being based on the same policy of nationalization and having the same subject, namely, the non-transferability of agricultural lands to aliens.⁹⁰

5.11. Meaning of word qualified by purpose of statute.

The meaning of a word or phrase used in a statute may be qualified by the purpose which induced the legislature to enact the statute. The purpose may indicate whether to give a word or phrase an ordinary, popular, technical, legal, commercial, restricted, or expansive meaning.⁹¹ In construing a word or phrase, the court should adopt that interpretation that accords best with the manifest purpose of the statute or promotes or realizes its object.⁹² Where the language of a statute is fairly susceptible of two or more constructions, that construction should be adopted which will most tend to give effect to the manifest intent of the lawmaker and promote the object

for which the statute was enacted, and a construction should be rejected which would tend to render abortive other provisions of the statute and to defeat the object which the legislator sought to attain by its enactment.⁹³ It is thus generally recognized that if a statute is ambiguous and capable of more than one construction, the literal meaning of the word or phrase used therein may be rejected if the result of adopting such meaning will be to defeat the purpose which the legislature had in mind.⁹⁴ And where the purpose of a statute will be accomplished by giving a word employed therein non-technical sense, its technical or legal meaning will be rejected in favor of that construction which will effectuate intent or purpose.⁹⁵

5.12. Word or phrase construed in relation to other provisions.

The general rule is that a word, phrase or provision should not be construed in isolation but must be interpreted in relation to other provisions of the law. This rule is a variation of the rule that a statute should be construed as a whole, and each of its provisions must be given effect. In accordance with this rule, in construing the word "recall" in the provision of the Local Government Code, the Court did not confine its meaning to the one provision of the law alone, but gave it a meaning in relation to other provisions thereof. In *Claudio v. COMELEC*,⁹⁶ the issue is whether the first limitation regarding the one-year period in Sec. 74 of the Local Government Code to the effect that "No recall shall take place within one (1) year from the date of the official's assumption of office or one (1) year immediately preceding a regular election" embraces the entire recall proceedings, such as the preparatory recall assembly, etc. or only the recall election. In answering the issue that "recall" refers only to the recall election and not those proceedings prior thereto, which may take some time, the Court construed the word "recall" in relation to Sec. 69 of the Code to the effect that "the power of recall . . . shall be exercised by the registered voters of a local government unit to which the local elective official belongs." The Court stated

⁸⁸*Froehlich & Kuttner v. Collector of Customs*, 18 Phil. 461 (1911).

⁸⁹*De la Paz v. Court of Agrarian Relations*, G.R. No. 21488, October 14, 1968, 25 SCRA 479.

⁹⁰*Kritenko v. Register of Deeds*, 79 Phil. 461 (1947).

⁹¹*Munoz & Co. v. Hord*, 12 Phil. 624 (1909); *Gelano v. Court of Appeals*, G.R. No. 39050, February 24, 1981, 103 SCRA 90.

⁹²*Luzon Stevedoring Co. v. Natavidad*, 43 Phil. 803 (1922); *Molina v. Rafferty*, 38 Phil. 167 (1918).

⁹³*Ty Sue v. Hord*, 12 Phil. 485 (1909); *David v. Court of Appeals*, 161 SCRA 114 (1988).

⁹⁴*Riera v. Palmari*, 40 Phil. 105 (1919).

⁹⁵*Phil. Assn. of Government Retirees, Inc. v. Government Service Insurance System*, G.R. No. 20503, June 30, 1965, 14 SCRA 610 (1965).

⁹⁶126 SCAD 61, 331 SCRA 388, 404 (2000).

that "since the power vested on the electorate is not the power to initiate recall proceedings" but the power to elect an official into office, the limitations in Sec. 74 cannot be deemed to apply to the entire recall proceedings.

A word or provision should not be construed in isolation from, but should be interpreted in relation to, the other provisions of a statute or other statutes dealing on the same subject. The word or provision should not be given a meaning that will restrict or defeat, but should instead be construed to effectuate, what has been intended in an enacting law. This principle finds illustration in *Garcia v. COMELEC*,⁶⁷ where the issue raised is whether a local resolution of a municipal council can be the subject of an initiative and referendum. The Constitution requires that the legislature shall provide a system of initiative and referendum, whereby the people can directly approve or reject any act or law or part thereof passed by the Congress, or local legislative body. Congress thereafter enacted Rep. Act No. 6735, which includes resolutions as among the subjects of initiative. However, the Local Government Code, a later law, defines local initiative as "the process whereby the registered voters of a local government unit may directly propose, enact, or amend any ordinance." It is claimed that since a resolution is not included in this definition, then the same cannot be the subject of an initiative. In rejecting this claim, the Supreme Court ruled:

"We reject respondents' narrow and literal reading of the above provision for it will collide with the Constitution and will subvert the intent of the lawmakers in enacting the provisions of the Local Government Code of 1991 on initiative and referendum.

The Constitution clearly includes not only ordinances but resolutions as appropriate subjects of a local initiative. Section 32 of Article VI provides in luminous language: 'The Congress shall, as early as possible, provide for a system of initiative and referendum, and the exceptions therefrom, whereby the people can directly propose and enact laws or approve or reject any act or law or part thereof passed by the Congress or local legislative body x x x.' An act includes a resolution. x x x It is basic that a law should be construed in harmony with and not in violation of the Constitution. In line with this postulate, we

⁶⁷55 SCAD 789, 237 SCRA 279 (1994).

held in *In Re Guarina* that 'if there is doubt or uncertainty as to the meaning of the legislative, if the words or provisions are obscure, or if the enactment is fairly susceptible of two or more constructions, that interpretation will be adopted which will avoid the effect of unconstitutionality, even though it may be necessary, for this purpose, to disregard the more usual or apparent import of the language used.'

The constitutional command to include acts (*i.e.*, resolutions) as appropriate subjects of initiative was implemented by Congress when it enacted Republic Act No. 6735 entitled 'An Act Providing For a System of Initiative and Referendum and Appropriating Funds Therefor.' Thus, its Section 3(a) expressly includes resolutions as subjects of initiative on local legislations x x x. Similarly, its Section 16 states: 'Limitations Upon Local Legislative Bodies. — Any proposition on ordinance or resolution x x x.'

x x x

Contrary to the submission of the respondents, the subsequent enactment of the Local Government Code of 1991 which also deals with local initiative did not change the scope of its coverage. More specifically, the Code did not limit the coverage of local initiatives to ordinances alone. Section 120, Chapter 2, Title IX, Book I of the Code cited by respondents merely defines the concept of local initiative as the legal process whereby the registered voters of a local government unit may directly propose, enact, or amend any ordinance. It does not, however, deal with the subjects or matters that can be taken up in a local initiative. It is Section 124 of the same Code which does. It states:

"x x x

(b) Initiative shall extend only to subjects or matters which are within the legal powers of the *Sanggunians* to enact."

This provision clearly does not limit the application of local initiative to ordinances, but to all 'subjects or matters which are within the legal powers of the *Sanggunians* to enact,' which undoubtedly includes resolutions. This interpretation is supported by Section 125 of the same Code which provides: 'Limitations upon *Sanggunians*. — Any proposition or ordinance

approved through the system of initiative and referendum as herein provided shall not be repealed, modified or amended by the *sanggunian* concerned within six (6) months from the date of approval thereof x x x.' Certainly, the inclusion of the word proposition is inconsistent with respondents' thesis that only ordinances can be the subject of local initiatives. x x x."⁸⁸

To further illustrate, the Corporation Law authorizes a dissolved corporation to continue as a body corporate for three years for the purpose of defending and prosecuting suits by or against it, and during said period to convey all its properties to a "trustee" for the benefit of its members, stockholders, creditors and other interested persons, the transfer of the properties to the trustee being for the protection of its creditors and stockholders. The word "trustee" should be understood not in its legal or technical sense of one so appointed for the purpose, but in its general concept which would include a lawyer to whom was entrusted the prosecution of the cases for recovery of sums of money against the corporation's debtors, for to construe the word in its narrow sense is to allow such debtors to enrich themselves at the expense of another and thus defeat the purpose of the law.⁸⁹

To resolve the question as to whether the *Sandiganbayan* is a regular court within the meaning of Rep. Act No. 6975 which makes criminal actions involving members of the Philippine National Police come "within the exclusive jurisdiction of the regular courts," the Court considered the primary purpose of the law, which is to remove from courts-martial the jurisdiction over criminal cases involving members of the PNP and to vest it in the courts within the judicial system. It ruled that the terms civil and regular courts are used interchangeably by the legislators, and the term "regular courts" in Rep. Act No. 6975 means civil courts. "There could have been no other meaning intended since the primary purpose of the law is to remove from courts-martial the jurisdiction over criminal cases involving members of the PNP and to vest it in the courts within our judicial system, i.e., the civil courts which, as contradicting distinguished from courts-martial, are the regular courts. Courts-martial are not courts within the Philippine judicial system, they pertain to the executive department of the government and are simply instrumentalities of

the executive power." "Regular courts are those within the judicial department of the Government, namely, the Supreme Court and such lower courts as may be established by law," which include the *Sandiganbayan* created by P.D. No. 1486, as amended.⁹⁰

In a case, the question presented to the court is whether the phrase "agricultural products" includes domesticated animals and fish grown in ponds. The phrase is used in a tax statute which exempts such products from the payment of taxes, the purpose being to encourage the development of the resources of the country. The court ruled that the phrase includes not only vegetable substances directly resulting from the tillage of the soil but also domestic and domesticated animals, animal products, and fish or *bungus* grown in ponds. The court gave the phrase an expansive meaning to promote the object of the law.⁹¹

In another case, the issue raised is whether the word "consumption" is to be given a limited or broad meaning. The word is used in a statute which provides that "except as hereinafter specifically exempted, there shall be paid by each merchant and manufacturer a tax at the rate of one-third of one *per centum* on the gross value in money of all goods, wares, and merchandise sold, bartered, or exchanged for domestic consumption." The court ruled that considering the purpose of the law, which is to tax all merchants except those expressly exempted, it is reasonable and fair to conclude that the legislature used the term in its sense of use, commercial or otherwise, and not in its limited sense of total destruction of the thing sold.⁹²

Illustrative of the rule that a construction should be rejected which would negate the purpose of the law is: *Motoomul v. Dela Paz*.⁹³ The pivotal issue raised is whether the word "court" in Section 5 of Republic Act No. 5434, which reads: "Sec. 5. Effect of Appeal. — Appeal shall not stay the award, order, ruling, decision or judgment unless the officer or body rendering the same or the court, on motion, after hearing, and on such terms as it may deem just, should provide otherwise. The propriety of a stay granted by the officer or body rendering the award, order, ruling, decision or judgment may be

⁸⁸*Ibid.*, pp. 290-294.

⁸⁹*Gelano v. Court of Appeals*, G.R. No. 39050, February 24, 1981, 103 SCRA 90.

⁹⁰*Republic v. Asuncion*, 49 SCAD 573, 231 SCRA 211 (1994); *Quinon v. Sandiganbayan*, 82 SCAD 16, 271 SCRA 575 (1997).

⁹¹*Molina v. Rafferty*, 38 Phil. 167 (1918).

⁹²*Munoz & Co. v. Hord*, 12 Phil. 624 (1909).

⁹³187 SCRA 743, 752-753 (1990).

raised only by motion in the main case," refers to the Court of Appeals or the trial court. The Court held that the word "court" refers to the trial court and not to the Court of Appeals. It ruled that "the law unequivocally stated its declared objective that appeal shall not stay the appealed decision, award, order, etc. The exception given is where the officer or body rendering the same, or the court on motion, after hearing should provide otherwise. In line with the above objective, the law provides further that the propriety of a stay granted by the officer or body rendering the award, order, decision or ruling may be raised only by motion in the main case. Hence, the Court of Appeals correctly interpreted that if the adverse party intends to appeal from a decision of the SEC and pending appeal desires to stay the execution of the decision, then the motion must be filed with and be heard by the SEC before the adverse party perfects its appeal to the Court of Appeals." "By and large, such interpretation gives meaning and substance to the avowed purpose of the law where the need for immediacy of execution of decisions arrived at by said bodies, was recognized and considered imperative." "On the other hand, the contrary view would negate the express mandate of the law that appeal shall not stay the award, order, ruling, decision or judgment appealed from, should the appellate court and not the lower court or administrative body which tried the facts, be authorized to enjoin execution thereof."

5.13. Meaning of term dictated by context.

While ordinarily a word or term used in a statute will be given its usual and commonly understood meaning, the context in which the word or term is employed may dictate a different sense. The context in which the word is used oftentimes determines its meaning.⁷⁴ Differently stated, a word is to be understood in the context in which it is used. *Verba accipienda sunt secundum materiam*. Thus, in a statute which provides that the "family home extrajudicially formed shall be exempt from execution, forced sale or attachment, except" "for nonpayment of debts," the word "debts" in the context in which it is used should be taken in its generic sense, i.e., obligations in general.⁷⁵ Where a law classified all lands into timber, mineral and agricultural, it is apparent that the word "agricultural" is used in a

⁷⁴U.S. v. Estapia, 37 Phil. 17 (1917); Abotiz Shipping Corp. v. City of Cebu, 121 Phil. 425 (1965).

⁷⁵People v. Chavez, 120 Phil. 1019 (1964).

broad sense to include all lands that are neither timber nor mineral, such being the context in which the term is used.⁷⁶

The context may likewise give a broad sense to a word of otherwise ordinarily limited meaning. For instance, in a statute which provides that a riparian owner of the property adjoining foreshore lands, marshy lands or lands covered with water bordering upon shores of banks of navigable lakes or rivers shall have preference to apply for such lands adjoining his property, the word "riparian," while strictly speaking, refers only to rivers and a riparian owner is a person who owns land situated on the banks of river, is used in a broad sense as referring to any property having a water frontage, that being the sense in which the term is used when it mentions "foreshore lands," "marshy lands," or "lands covered with water."⁷⁷

The context may also limit the meaning of what otherwise is a word of broad signification.⁷⁸ Thus, the context in which the word "overthrow" is used in the Anti-Subversion Act, namely, "knowingly, wilfully and by overt acts," rejects its metaphorical, "peaceful" sense and limits its meaning to "overthrow" by force or violence.⁷⁹ Lastly, the context in which the same word is used in different parts of a statute may give it a generic sense in one part and a limited meaning in another part.⁸⁰ Where a municipal tax ordinance provides that "any owner or manager of fishponds" shall pay an annual tax of a fixed amount per hectare and it appears that the owner of the fishponds is the government which leased them to a private person who operates them, the word "owner" cannot be construed to include the government because of the ancient principle that the government is immune from taxes, and the one liable for taxes is the operator who is embraced in the word "manager."⁸¹

5.14. Where the law does not distinguish.

It is a well-recognized rule that where the law does not distinguish, courts should not distinguish. *Ubi lex non distinguit, nec*

⁷⁶Krivenko v. Register of Deeds, 79 Phil. 461 (1947).

⁷⁷Santulan v. Executive Secretary, G.R. No. 28021, December 15, 1977, 80 SCRA 548.

⁷⁸Phil. Rabbit Bus Lines, Inc. v. Phil. American Forwarders, Inc., G.R. No. 25152, March 25, 1975, 63 SCRA 231.

⁷⁹People v. Ferrer, G.R. No. 32613, December 27, 1972, 48 SCRA 382.

⁸⁰Marcos v. Chief of Staff, AFP, 89 Phil. 239 (1951); Ruffy v. Chief of Staff, 75 Phil. 875 (1946).

⁸¹People v. Nazario, 165 SCRA 186 (1988).

*nos distinguere debemus.*⁸² The rule, founded on logic, is a corollary of the principle that general words and phrases in a statute should ordinarily be accorded their natural and general significance.⁸³ The rule requires that a general term or phrase should not be reduced into parts and one part distinguished from the other so as to justify its exclusion from the operation of the law.⁸⁴ In other words, there should be no distinction in the application of a statute where none is indicated.⁸⁵ For courts are not authorized to distinguish where the law makes no distinction. They should instead administer the law not as they think it ought to be but as they find it and without regard to consequences.⁸⁶

A corollary of the principle is the rule that where the law does not make any exception, courts may not except something therefrom, unless there is compelling reason apparent in the law to justify it.⁸⁷

The axiom, *ubi lex non distinguit, nec non distinguere debemus*, applies not only in the construction of general words and expressions used in a statute but also in the interpretation of a rule laid down therein. Thus, where the legislature has clearly laid down a rule for one class of cases it is not readily to be supposed that, in the same act, a different rule has been prescribed for another class of cases within the same as the first. And it has been held that courts should strive to avoid imputation of a design to distinguish between cases upon a course of reasoning too unsubstantial and to finely draw for the regulation of the human action.⁸⁸

The principle that where the law does not distinguish, neither should the courts do so, assumes that the legislature made no qualification in the use of a general word or expression. The courts may distinguish when there are facts or circumstances showing that

⁸²Colgate-Palmolive Phils., Inc. v. Gimenez, G.R. No. 14787, January 28, 1961, 1 SCRA 267; Libudan v. Gil, G.R. No. 21163, May 17, 1972, 45 SCRA 17; Dominador v. Deryunan, 49 Phil. 452 (1926); Guevarra v. Inocentes, G.R. No. 25577, March 15, 1966, 16 SCRA 379; Director of Lands v. Gonzales, G.R. No. 32522, January 28, 1963; Ofato v. Commission on Elections, G.R. No. 52749, March 31, 1981, 103 SCRA 741; Commissioner of Internal Revenue v. COA, 218 SCRA 208 (1993), citing R.E. Agpalo, *Statutory Construction* (1986), pp. 143-144.

⁸³Lo Chan v. Ocampo, 77 Phil. 636 (1946).

⁸⁴Social Security System v. City of Bacolod, G.R. No. 35726, July 21, 1982, 115 SCRA 412; Director of Lands v. Gonzales, G.R. No. 32522, January 28, 1963.

⁸⁵Lo Chan v. Ocampo, 77 Phil. 636 (1946).

⁸⁶Velasco v. Lopez, 1 Phil. 720 (1903).

⁸⁷Tolentino v. Catoy, 82 Phil. 300 (1948).

⁸⁸Chartered Bank of India v. Imperial, 48 Phil. 931 (1921).

the legislature intended a distinction or qualification, for in such case, the courts merely give effect to the legislative intent.⁸⁹

Where law does not distinguish nor make any qualification, courts should not make any

The Court in *Guerrero v. Comelec*, [G.R. No. 137004, July 26, 2000], construing the word "qualification," ruled:

Art. VI, Sec. 17 of the Constitution provides:

"The Senate and the House of Representatives shall each have an Electoral Tribunal which shall be the sole judge of all contests relating to the election, returns and qualifications of their respective Members.

However, petitioner contends that the jurisdiction of the HRET as defined under Article VI, Section 17 of the Constitution is limited only to the qualifications prescribed under Article VI, Section 6 of the Constitution. Consequently, he claims that any issue which does not involve these constitutional qualifications is beyond the realm of the HRET. The filing of a certificate of candidacy being a statutory qualification under the Omnibus Election Code is outside the pale of the HRET, according to him.

This contention lacks cogency and is far from persuasive. Article VI, Section 17 of the Constitution cannot be circumscribed lexically. The word "qualifications" cannot be read as qualified by the term "constitutional." *Ubi lex non distinguit nec nos distinguere debemus*. Basic is the rule in statutory construction that where the law does not distinguish, the courts should not distinguish. There should be no distinction in the application of a law where none is indicated. For firstly, the drafters of the fundamental law, in making no qualification in the use of a general word or expression, must have intended no distinction at all. Secondly, the courts could only distinguish where there are facts or circumstances showing that the lawgiver intended a distinction or qualification. In such a case, the courts would merely give effect to the lawgiver's intent.

⁸⁹Social Security System v. City of Bacolod, G.R. No. 35726, July 21, 1982, 115 SCRA 412; Garrido v. Sales, Jr., 82 SCAD 188, 271 SCRA 767 (1997), citing Agpalo, *Statutory Construction*, pp. 142-143 (1990).

Petitioner further argues that the HRET assumes jurisdiction only if there is a valid proclamation of the winning candidate. He contends that if a candidate fails to satisfy the statutory requirements to qualify him as a candidate, his subsequent proclamation is void *ab initio*. Where the proclamation is null and void, there is no proclamation at all and the mere assumption of office by the proclaimed candidate does not deprive the COMELEC at all of its power to declare such nullity, according to petitioner. But as we already held, in an electoral contest where the validity of the proclamation of a winning candidate who has taken his oath of office and assumed his post as Congressman is raised, that issue is best addressed to the HRET. The reason for this ruling is self-evident, for it avoids duplicity of proceedings and a clash of jurisdiction between constitutional bodies, with due regard to the people's mandate.

Whether respondent Farinas was validly substituted in *Chevylle v. Farinas* and whether respondent became a legitimate candidate, in our view, must likewise be addressed to the sound judgment of the Electoral Tribunal. Only thus can we demonstrate fealty to the Constitutional provision that the Electoral Tribunal of each House of Congress shall be the "sole judge of all contests relating to the election, returns, and qualifications of their respective members."

5.15. Illustration of rule.

A few cases may be cited to illustrate the rule. Where a statute grants a person against whom the possession of "any land" is unlawfully withheld the right to bring an action for unlawful detainer, the phrase "any land" includes all kinds of land, whether agricultural, residential or mineral.⁸⁰ The phrase cannot be said to relate exclusively to public land any more than it could be said to relate exclusively to private land, the law not having made any distinction.⁸¹ Where the law authorizes the director of lands to file petitions for cancellation of patents covering public lands on the ground therein provided, without distinguishing whether the lands belong to the national or to any local government, he can do so even if the land has

been ceded to a local government unit.⁸² Similarly, where a statute exempts from the payment of realty taxes "properties owned by the Republic of the Philippines," there should be no distinction between properties held in a sovereign, governmental or political capacity and those possessed in a proprietary or patrimonial character so as to subject the latter to payment of taxes.⁸³

Where a statute requires that certain formalities be followed in order that an act may be considered valid, it excludes the idea of a distinction between essential and non-essential formalities and considers all formalities essential, however insignificant they may be in themselves or however meaningless they may be in relation to a particular case, for the validity of the act.⁸⁴ Where a law does not distinguish between "stabilizer and flavors" used in the preparation of food and those used in the manufacture of toothpaste or dental cream, the courts are not authorized to make any distinction, and must construe the words in their generic sense.⁸⁵ Where a statute allows the redemption or repurchase of a homestead property within five years from its "conveyance," the word "conveyance" refers to voluntary and involuntary conveyances as the law did not distinguish between the two kinds of conveyance.⁸⁶ And where the law grants an employee "leaves of absence with pay," the phrase "with pay" refers to full pay and not to half or less than full pay, and to all leaves of absence and not merely to sick or vacation leaves.⁸⁷ And where the law makes the Commission on Elections the sole judge of "all pre-proclamation controversies," the word "all" covers all pre-proclamation disputes involving national, provincial, city and municipal officials, the law not having made any distinction or qualification.⁸⁸ Similarly, where the Rules provide that a counter bond is to secure the payment of "any judgment," when execution is returned unsatisfied, the phrase "any judgment" includes not only final and executory judgment but also a judgment pending appeal

⁸⁰Director of Lands v. Gonzales, G.R. No. 32622, January 28, 1983.

⁸¹Social Security System v. City of Bacolod, G.R. No. 35726, July 21, 1982, 115 SCRA 412.

⁸²Velasco v. Lopez, 1 Phil. 720 (1903).

⁸³Colgate-Palmolive Phils., Inc. v. Gimenez, G.R. No. 14787, January 28, 1961, 1 SCRA 267.

⁸⁴Olivá v. Lamadrid, G.R. No. 23196, October 31, 1967, 21 SCRA 737.

⁸⁵Escosura v. San Miguel Brewery, Inc., 114 Phil. 225 (1962).

⁸⁶Oñato v. Commission on Elections, G.R. No. 52749, March 31, 1981, 103 SCRA 741.

⁸⁷Robles v. Zambales Chromite Co., 104 Phil. 688 (1958).

⁸⁸Government v. Municipality of Binalonan, 32 Phil. 634 (1915).

whose execution as ordered is returned unsatisfied, the Rules not having made any distinction.⁹⁹

Section 1 of Rep. Act No. 4200, entitled "An Act to Prohibit and Penalize Wire Tapping and Other Related Violations of Private Communications and Other Purposes," provides: "It shall be unlawful for any person, not being authorized by all the parties to any private communication or spoken word, to tap any wire or cable, or by using any other device or arrangement, to secretly overhear, intercept, or record such communication or spoken word by using a device commonly known as a dictaphone or dictagraph or detectaphone or walkie-talkie or tape recorder, or however otherwise described." The question raised in connection with this provision is whether violation thereof refers to the taping of a communication by a person other than a participant to the communication or even to the taping by a participant who did not secure the consent of the other party to the conversations. The court ruled that the provision clearly and unequivocally makes it illegal for any person, not authorized by law, the parties to any private conversation to secretly record such communication by means of a tape recorder. The law makes no distinction as to whether the party sought to be penalized by the statute ought to be a party other than or different from those involved in the private communication. The statute's intent to penalize all persons unauthorized to make such recording is underscored by the use of the qualifier "any." As the law did not distinguish, the court should not.¹⁰⁰

In *Ligget & Myers Tobacco Co. v. Collector of Internal Revenue*,¹⁰¹ involving the interpretation of a provision of the Tax Code which imposes a specific tax "on cigarettes containing Virginia tobacco and/or flue-cured tobacco of seventy-one millimeters or less in length weighing one and one-fourth kilos or less per thousand, wrapped in tinfoil or cellophane or packed in cartons covered with paraffin or wax paper or in tin cans, on each thousand, ten pesos; Provided, That if the length exceeds seventy-one millimeters or the weight per thousand exceeds one and one-fourth kilos, the tax shall be increased by one hundred per centum," the question raised is whether in measuring the length or weight of cigarettes, filters

⁹⁹Phil. British Assurance Co., Inc. v. Intermediate Appellate Court, 150 SCRA 520 (1987).

¹⁰⁰Ramirez v. Court of Appeals, 64 SCAD 636, 248 SCRA 590 (1995).

¹⁰¹G.R. No. 9415, April 22, 1957, 101 Phil. 106.

should be excluded therefrom, so that the tax would come under the general provision and not under the proviso. The court ruled that the law not having distinguished between filter cigarettes and non-filter cigarettes, neither the executive department, nor the court may distinguish one from the other, hence, the tax should be paid as fixed under the proviso. In *Tiu San v. Republic*,¹⁰² the question raised is whether the conviction of an applicant for naturalization for violation of a municipal ordinance would disqualify him from taking his oath as a citizen pursuant to a statute which provides that an applicant may be allowed to take his oath as a citizen if after two years from the promulgation of the decision granting his petition for naturalization he can show that during the intervening period he "has not been convicted of any offense or violation of government rules." The court ruled that as the law did not make any distinction between acts *mala in se* and those which are *mala prohibita*, the conviction of the applicant for violation of a municipal ordinance, even if the same is *malum prohibitum*, is comprehended within the statute and precluded the applicant from taking the oath. The phrase "convicted of any offense" indicates both classes of crimes are included within the purview of the law.¹⁰³

In *Peralta v. Civil Service Commission*,¹⁰⁴ the issue raised is whether the provision of Rep. Act No. 2625 stating that government employees are entitled to fifteen (15) days vacation leaves of absence with full pay and fifteen (15) days sick leaves with full pay, exclusive of Saturdays, Sundays and holidays in both cases, applies only to those who have accumulated leave credits and not to those who have none, as construed by the Civil Service Commission in its policy guideline. In holding that the policy guideline is invalid, the Court ruled that the "construction by respondent Commission of R.A. No. 2626 is not in accordance with the legislative intent." The "law speaks of the granting of a right and the law does not provide for a distinction between those who have accumulated leave credits and those who have exhausted their leave credits in order to enjoy such right. *Ubi lex non distinguit, nec nos distinguere debemus*."

Section 14 of Republic Act No. 7166 provides that "Every candidate x x x shall, within thirty (30) days after the day of the election, file x x x true and itemized statement of all contributions

¹⁰²96 Phil. 817 (1955).

¹⁰³Tiu San v. Republic, 96 Phil. 817 (1955).

¹⁰⁴212 SCRA 425, 433-434 (1992).

and expenditures in connection with the election." As the law did not distinguish between a candidate who pushed through with his candidacy and one who withdrew it, the term "every candidate" must be deemed to refer not only to a candidate who pursued his campaign, but also to one who withdrew his candidacy.¹⁰⁶

On the other hand, where the intent to make distinction appears from the statute, the courts should make the distinction. Illustrative of this rule is Section 13 of B.P. Blg. 697, which provides that "1) any person holding a public appointive office or position x x x shall *ipso facto* cease in office or position as of the time he filed his certificate of candidacy," and that "2) governors, mayors, members of the various *sanggunians* or *barangay* officials shall, upon the filing of candidacy, be considered on forced leave of absence from office." An elective *barangay* captain was elected President of the Association of *Barangay* Councils and pursuant thereto was appointed by the President as member of the *Sangguniang Panlungsod*. He thereafter ran for Congress but lost. He then wanted to resume his duties as member of the *Sangguniang Panlungsod*, saying that since Section (2) of the law did not distinguish between appointive and elective member of the *sanggunians*, he was merely on forced leave when he ran for Congress. The Secretary of Local Government denied his request because being an appointive *sanggunian* member, he was deemed automatically resigned when he filed his certificate of candidacy. In sustaining the Secretary of Local Government, the Supreme Court ruled: "Although it may be that Section 13(2) of B.P. Blg. 697 admits of more than one construction, taking into consideration the nature of the positions of the officials enumerated therein, namely, governors, mayors, members of the various *sanggunians* or *barangay* officials, the legislative intent to distinguish between elective positions in Section 13(2) as contrasted to appointive positions in Section 13(1) under the all-embracing clause reading 'any person holding public appointive office or position' is clear. It is a rule in statutory construction that when the language of a particular section of a statute admits of more than one construction, that construction which gives effect to the evident purpose and object sought to be attained by the enactment of the statute as a whole, must be followed."¹⁰⁶

In *Garvida v. Sales, Jr.*,¹⁰⁷ the issue was whether petitioner who was over 21 but below 22 years of age was qualified to be an elective SK member. Section 424 of the Local Government Code provides that a member of the *Katipunan ng Kabataan* must not be more than 21 years. Section 428 of the same Code provides that an elective official of the *Sangguniang Kabataan* must not be more than 21 years of age on the day of his election, adding the phrase "on the day of his election" as an additional qualification. The Supreme Court held that the petitioner was ineligible for being over 21 years of age:

"A closer look at the Local Government Code will reveal a distinction between the maximum age of a member in the *Katipunan ng Kabataan* and the maximum age of an elective SK official. Section 424 of the Code sets a member's maximum age at 21 years only. There is no further provision as to when the member shall have turned 21 years of age. On the other hand, Section 428 provides that the maximum age of an elective SK official is 21 years old 'on the day of his election.' The addition of the phrase 'on the day of his election' is an additional qualification. The member may be more than 21 years of age on election day or on the day he registers as member of the *Katipunan ng Kabataan*. The elective official, however, must not be more than 21 years old on the day of election. The distinction is understandable considering that the Code itself provides more qualifications for an elective SK official than for a member of the *Katipunan ng Kabataan*. *Dissimilium dissimilis est ratio*. (Of things dissimilar, the rule is dissimilar). The courts may distinguish when there are facts and circumstances showing that the legislature intended a distinction or qualification."¹⁰⁸

In *Alonto v. People*, [G.R. No. 140078, December 9, 2004], the Court ruled:

"Jurisprudence abounds with regard to the rule that B.P. 22 applies even in cases where dishonored checks are issued merely in the form of a deposit or a guarantee. The law does not make any distinction as to whether the checks within its contemplation are issued in payment of an obligation or

¹⁰⁶*Pilar v. COMELEC*, 62 SCAD 469, 245 SCRA 759 (1995).

¹⁰⁶*Sanctiago v. Rono*, 137 SCRA 671, 675, 676 (1985).

¹⁰⁷82 SCAD 186, 271 SCRA 767 (1997).

¹⁰⁸*Ibid.*, p. 783, citing *Agpalo, Statutory Construction*, pp. 142-143 (1990).

merely to guarantee the said obligation. In accordance with the pertinent rule of statutory construction, inasmuch as the law has not made any distinction in this regard, no such distinction can be made by means of interpretation or application. Further, it is the legislative intent to make the prohibition all-embracing, without making any exception from the operation thereof in favor of a guarantee. Consequently, what are important are the facts that the accused had deliberately issued the checks in question to cover accounts and that the checks were dishonored upon presentment regardless of whether or not the accused merely issued the checks as a guarantee.

In *United BF Homeowners v. Barangay Chairman*, G.R. No. 140092, September 8, 2006. The issue raised is whether the following provision of the Local Government Code applies only to multi-purpose halls in open space of subdivision open to the public, and not to the other multipurpose-buildings therein. Said provision reads:

SECTION 391. Powers, Duties, and Functions. —

(a) The *sanggunian* barangay, as the legislative body of the barangay, shall:

x x x

x x x

x x x

(7) regulate the use of the multi-purpose halls, multi-purpose pavements, grain or copra dryers, *paños* and other post harvest facilities, *barangay* waterworks, *barangay* markets, parking area or other similar facilities constructed with government funds within the jurisdiction of the *barangay* and charge reasonable fees for the use thereof.

The Court ruled that since the law did not make any distinction, the courts should not. It held:

We likewise cannot sustain petitioner's stand that RA 7160, Section 391 (a)(7) applies only to multi-purpose halls accessible to the public in general and not to those which cater to an exclusive segment such as the homeowners or residents of a subdivision. Well-recognized is the rule in statutory construction that where the law does not distinguish, neither should the courts distinguish — *ubi lex non distinguit, nec nos distinguere debemus*.

A close reading of Section 391(a)(7) shows that the legislature did not intend to make such a distinction. Therefore,

we cannot make any valid inference therefrom that the hall is different from the other multi-purpose halls referred to in the provision. The Court cannot read into the law something which was not intended by the legislature lest it be accused of encroaching on the latter's law-making power.

5.16. Disjunctive and conjunctive words.

The word "or" is a disjunctive term signifying disassociation and independence of one thing from each of the other things enumerated. It should, as a rule, be construed in the sense in which it ordinarily implies, as a disjunctive word.¹⁰⁸ Thus, the word "or" in Section 40 of Commonwealth Act 613, as amended, which punishes "any individual who shall bring into or land in the Philippines or conceals or harbors any alien not duly admitted by any immigration officer or not lawfully entitled to enter or reside within the Philippines" does not justify giving the word a nondisjunctive meaning, the words "bring into," "land," "conceals," and "harbors" being four separate acts each possessing its distinctive, different and disparate meaning.¹⁰⁹ And where a tax statute imposes an amusement tax on gross receipts of the "proprietor, lessee, or operator of the amusement place," the disjunctive word "or" positively implies that the tax should be paid by either the proprietor, the lessee, or the operator, as the case may be, singly and not by all at one and the same time.¹¹⁰

The use of the disjunctive word "or" between two phrases connotes that either phrase serves as qualifying phrase.¹¹²

The term "or" has sometimes been held to mean "and," when the spirit or context of the law so warrants.¹¹³ For instance, the word "or" in Section 2, Rule 112 of the Rules of Court authorizing a municipal judge (now municipal trial judge) to conduct "preliminary examination or investigation" may mean "and" because under the law he has the authority to conduct both the first and second stages of preliminary investigation.¹¹⁴

¹⁰⁸People v. Martin, G.R. No. 33487, May 31, 1971, 39 SCRA 430; *Katindig v. People*, 74 Phil. 45 (1942).

¹⁰⁹People v. Martin, *supra*.

¹¹⁰Collector of Internal Revenue v. Manila Jockey Club, Inc., 99 Phil. 289 (1956).

¹¹²Bautista v. Sandiganbayan, 126 SCAD 471, 332 SCRA 126 (2000).

¹¹³Gonzales v. Commission on Elections, G.R. No. 28196, November 9, 1967, 21 SCRA 774; *Trinidad v. Bernudez*, G.R. No. 25223, May 19, 1971, 39 SCRA 1.

¹¹⁴*Trinidad v. Bernudez*, G.R. No. 25223, May 19, 1971, 39 SCRA 1.

The word "or" may also be used as the equivalent of "that is to say," giving that which precedes it the same significance as that which follows it. It is not always disjunctive and is sometimes interpretative or expository of the preceding word. For example, the word "or" in an ordinance which imposes graduated quarterly fixed tax "based on the gross value in money or actual market value" of articles, should be construed to mean "that is to say," so that the phrase "or actual market value" was intended to explain "gross value in money."¹¹⁵

The word "or" may also mean successively. This is the sense in which the word "or" is used in Article 344 of the Revised Penal Code which states in part that "the offenses of seduction, abduction, rape or acts of lasciviousness, shall not be prosecuted except upon a complaint by the offended party or her parents, grandparents, or guardian, nor in any case, if the offender has been expressly pardoned by the above-named persons, as the case may be." It has been held that although these persons are mentioned disjunctively, the provision must be construed as meaning that the right to institute criminal proceedings in said cases is exclusively and successively reposed in said persons in the order in which they are named, so that no one of them has authority to proceed if there is any other person previously mentioned therein with legal capacity to appear and institute the action. For the right to institute criminal proceedings in these cases would not be reposed in the offended party, her parents, grandparents and guardian, at one and the same time, without occasioning grave difficulties in the administration of justice, resulting from the attempt of some of these persons to institute criminal proceedings contrary to the wish and desire of others; and that this was not the intention of the lawmaker becomes manifest in the light of the peculiar provision whereby the offended party is given the right to pardon the offender and this extinguishes the cause of the criminal action.¹¹⁶

On the other hand, the word "and" is a conjunction pertinently defined as meaning "together with," "joined with," "along or together with," "added to or linked to," used to conjoin word with word, phrase with phrase, clause with clause. The word "and" does not mean "or"; it is a conjunction used to denote a joinder or union, "binding

together," "relating the one to the other." However, "and" may mean "or" as an exception to the rule. The exception is resorted to only when a literal interpretation would pervert the plain intention of the legislature as gleaned from the context of the statute or from external factors.¹¹⁷

"And" in statutory construction implies conjunction, joinder or union. (*Licomben Incorporated v. Foundation Specialist, Inc., G.R. No. 169678, August 31, 2007*)

The word "and" is not only a conjunctive word, but may also be a means to restrict the meaning of a broad word when a restrictive word is separated by the word "and." Thus, when two words, one of which is broad and the other restrictive, are separated by the conjunction "and," the restrictive word limits the meaning of the broad word. For instance, the Court in *Rumarate v. Hernandez*, 489 SCRA 317 [2006] held:

"It must be underscored that the law speaks of 'possession and occupation.' Since these words are separated by the conjunction and, the clear intention of the law is not to make one synonymous with the other. Possession is broader than occupation because it includes constructive possession. When, therefore, the law adds the word occupation, it seeks to delimit the all-encompassing effect of constructive possession. Taken together with the words open, continuous, exclusive and notorious, the word occupation serves to highlight the fact that for one to qualify under paragraph (b) of the aforesaid section, his possession of the land must not be mere fiction."

The term "and/or" means that effect shall be given to both the conjunctive "and" and the disjunctive "or" or that one word or the other may be taken accordingly as one or the other will best effectuate the purpose intended by the legislature as gathered from the whole statute.¹¹⁸ The term is used to avoid a construction which by the use of the disjunctive "or" alone will exclude the combination of several of the alternatives or by the use of the conjunctive "and" will exclude the efficacy of any one of the alternatives standing alone.¹¹⁹

¹¹⁷Concurring opinion of Justice Castro, Phil. Constitutional Assn., Inc. v. Mathey, G.R. No. 26554, October 4, 1966, 18 SCRA 300, 329, 330.

¹¹⁸A.E. Davidson v. F.W. Wollworth Co., 198 SE 738, 118 ALR 1363 (1938).

¹¹⁹See Annotations, 118 ALR 1367 (1939); China Banking Corp. v. Members of Trustees, Home Development Mutual Fund, 106 SCAD 798, 397 SCRA 443, 457 (1999), quoting Ruben E. Aspalto, *Statutory Construction*, 1990 ed., p. 148.

¹¹⁵San Miguel Corp. v. Municipality of Mandaue, G.R. No. 30761, July 11, 1973, 53 SCRA 43.

¹¹⁶J.S. v. De la Sabta, 9 Phil. 22 (1907).

B. ASSOCIATED WORDS

5.17. *Noscitur a sociis*.

The maxim, *noscitur a sociis*, states that where a particular word or phrase is ambiguous in itself or is equally susceptible of various meanings, its correct construction may be made clear and specific by considering the company of words in which it is found or with which it is associated.¹²⁰ Stated differently, where a particular word is obscure or of doubtful meaning, taken by itself, the obscurity or doubt may be removed by reference to the meaning of associated or companion words.¹²¹ And where the law does not define a word used therein, it will be construed as having a meaning similar to that of words associated with or accompanied by it.¹²² For a word or phrase in a statute is always used in association with other words or phrases, and its meaning may thus be modified or restricted by the latter.¹²³ And taken by itself and in the abstract, a word or phrase might easily convey a meaning quite different from the one actually intended and evident when the word or phrase is considered with those with which it is associated. Thus, an apparently general word or phrase may have a limited application if viewed with other companion words or phrases.¹²⁴ Stated differently, a word or phrase should be interpreted in relation to, or given the same meaning of, words with which it is associated.¹²⁵

In accordance with the principle of *noscitur a sociis*, where most of the words in an enumeration of words in a statute are used in their generic and ordinary sense, the rest of the words should similarly be construed. Words in association should all be given their generic

¹²⁰*Co Kim Chan v. Valdez Tan Keh*, 75 Phil. 371 (1945); *Caltex (Phils.), Inc. v. Palomar*, G.R. No. 19650, September 29, 1966, 30 SCRA 247; *Aisporoma v. Court of Appeals*, G.R. No. 39419, April 12, 1982, 113 SCRA 459; *Soriano v. Sandiganbayan*, G.R. No. 65952, July 31, 1984.

¹²¹*Luzon Stevedoring Co. v. Trinidad*, 43 Phil. 803 (1922); *Chartered Bank of India v. Imperial*, 48 Phil. 931 (1921).

¹²²*Schmid & Oberly, Inc. v. RJL Martinez Fishing Corp.*, 166 SCRA 493 (1988); *Buenaseda v. Flavie*, 44 SCAD 1026, 226 SCRA (1993).

¹²³*Lu Do & Lu Ym Corp. v. Central Bank*, 108 Phil. 566 (1960).

¹²⁴*Aboitiz Shipping Corp. v. City of Cebu*, G.R. No. 14526, March 31, 1965, 13 SCRA 449; *Santulan v. Executive Secretary*, G.R. No. 28021, December 15, 1977, 80 SCRA 548.

¹²⁵*Magtajas v. Pryce Properties Corp., Inc.*, 53 SCAD 367, 234 SCRA 255 (1994).

and ordinary meaning, or, if such be the legislative intent, their restricted and technical sense. Some words may not be construed in their ordinary, while others in their technical signification.¹²⁶ Similarly, where a word with more than one meaning is associated with words having specific or particular signification, the former should be given a specific or particular meaning.¹²⁷ Differently put, a word with several meanings — i.e., limited and broad, ordinary and technical — should be construed in, and given a meaning consistent with, the sense in which its companion words or phrases are used.¹²⁸

5.18. Application of rule.

Section 13(3), Art. XI of the Constitution grants the Ombudsman the power to "Direct the officer concerned to take appropriate action against a public official or employee at fault, and recommend his removal, suspension, demotion, fine, censure or prosecution, and ensure compliance therewith." Pursuant to the rule of *noscitur a sociis*, the word "suspension" in this constitutional provision should be given the same sense as the other words with which it is associated, namely, as a penalty or punitive, not as a preventive, measure because the other words associated with it, namely, removal, demotion, fine and censure, are penalties in administrative cases. For where a particular word is equally susceptible of various meanings, such as "suspension" which can mean a preventive or punitive measure, its correct construction may be made specific by considering the company of terms in which it is found or with which it is associated.¹²⁹

When Sec. 458 of the Local Government Code authorized local government units to prevent or suppress "gambling and other prohibited games of chance," the word "gambling" pursuant to the rule of *noscitur a sociis* should be read as referring only to illegal gambling which, like other prohibited games of chance, must be prevented or suppressed and not to gambling which has been authorized by specific statutes. For this reason, a local government

¹²⁶*Carandang v. Santiago*, 97 Phil. 94 (1955).

¹²⁷*Commissioner of Customs v. Phil. Acetylene Co.*, G.R. No. 22443, May 29, 1971, 39 SCRA 70.

¹²⁸*Santulan v. Executive Secretary*, *supra*.

¹²⁹*Buenaseda v. Flavie*, 44 SCAD 1026, 226 SCRA 645 (1993).

unit has no power to prevent or suppress gambling which is authorized by specific law.¹³⁰

In *Carandang v. Santiago*,¹³¹ the issue raised is whether an offended party can file a separate and independent civil action for damages arising from physical injuries during the pendency of the criminal action for frustrated homicide. The offended party predicated his action on Article 33 of the Civil Code which provides that "[i]n cases of defamation, fraud, and physical injuries, a civil action for damages entirely separate and distinct from the criminal action, may be brought by the injured party. Such civil action shall proceed independently of the criminal prosecution, and shall require only a preponderance of evidence." Respondent, on the other hand, claimed that the term "physical injuries" does not include frustrated homicide because the term refers to the specific crime of physical injuries as defined in the Revised Penal Code and should be understood in its technical or legal sense, and not in its ordinary or generic sense of bodily injury. The court ruled that the term "physical injuries" should be understood to mean bodily harm or injury, such as physical injuries, frustrated homicide, or even death. Said the court: "The article in question uses the words 'defamation,' 'fraud' and 'physical injuries.' Defamation and fraud are used in their ordinary sense because there are no specific provisions in the Revised Penal Code using these terms as means of offenses defined therein, so that these two terms 'defamation' and 'fraud' must have been used not to impart to them any technical meaning in the laws of the Philippines, but in their generic sense. With this apparent circumstance in mind, it is evident that the term 'physical injuries' could not have been used in its specific sense as a crime defined in the Revised Penal Code for it is difficult to believe that the Code Commission would have used terms in the same article — some in their generic and another in its technical sense. In other words, the term 'physical injuries' should be understood to mean bodily injury, not the crime of physical injuries, because the terms used with the latter are generic terms."¹³²

In *Co Kim Chan v. Valdez Tan Keh*,¹³³ the question involved is whether proceedings in civil cases pending in court under the so-

¹³⁰*Magtajas v. Pryce Properties Corp., Inc.*, 53 SCAD 367, 234 SCRA 255 (1994).

¹³¹97 Phil. 94 (1955).

¹³²*Ibid.*, at pp. 96-97.

¹³³75 Phil. 371 (1945).

called Republic of the Philippines established during the Japanese military occupation of the country are affected by the proclamation of General Douglas MacArthur issued on October 23, 1944 declaring that "all laws, regulations and processes of any other government in the Philippines than that of the said Commonwealth are null and void and without legal effect." The answer hinges on whether the term "processes" includes judicial processes or proceedings. The court ruled that the term "processes" does not refer to judicial processes but to the executive orders of the Chairman of the Philippine Executive Committee, ordinances promulgated by the President of the so-called Republic of the Philippines and the constitution itself of said Republic, and others that are of the same class as the laws and regulations with which the word "processes" is associated. To fortify its conclusion, the court cited the following illustrations: "An English Act required license for houses, rooms, shops, or buildings, kept open for public entertainment. It was adjudged that the word 'entertainment' in this connection did not necessarily mean a concert, dramatic performance, or other divertissement, nor did it necessarily imply the furnishing of food or drink, but that, judged from its associations, it meant the reception and accommodation of the public. So where a policy of marine insurance is specified to protect the assured against 'arrests, restraints, and detentions of all kings, princes, and people,' the word 'people' means the ruling or governing power of the country, this significance being impressed upon it by its association with the words 'kings' or 'princes.' Again, in a statute relating to imprisonment for debt, which speaks of debtors who shall be charged with 'fraud, or undue preference to one creditor to the prejudice of another,' the word 'undue' means fraudulent. A statute of bankruptcy declaring that any fraudulent 'gift, transfer or delivery' of property shall constitute an act of bankruptcy, applies only to such deliveries as are in the nature of gift — such as change of the property, to the prejudice of creditors; it does not include a delivery to a bailee for safekeeping."¹³⁴

Section 6 of Republic Act No. 1394 provides that the "tax provided for in Section One of this Act shall not be imposed against the importation into the Philippines of machinery and/or raw materials to be used by new and necessary industry x x x; machinery, equipment, accessories and spare parts, for use of industries, miners, mining enterprises, planters and farmers; x x x." Is the word

¹³⁴*Ibid.*, at p. 377, citing Black on Interpretation of Laws, 2nd ed., pp. 194-196.

"industries" used in its ordinary and generic sense, which means enterprises employing relatively large amounts of capital and/or labor? The court held that since the term "industries" as used in the law for the second time "is classified together with the terms 'miners, mining industries, planters and farmers,' the obvious legislative intent is to confine the meaning of the term to activities that tend to produce or create or manufacture such as those of miners, mining enterprises, planters and farmers." The court added that to give the word an ordinary and general meaning would lead to patent inconsistency, in that while the first part of the law confines the exemption to new and necessary industry, another part would extend the exemption to all industries, regardless of their nature, which would then be illogical.¹³⁵

In another case, involving a prosecution for libel, the question is whether defamatory statements through the medium of an amplifier system constitutes slander or libel. Libel is committed by means of "writing, printing, lithography, engraving, radio, phonograph, painting, theatrical exhibition, cinematographic exhibition, or any similar means," and it is argued that an "amplifier is a means 'similar' to 'radio.'" In rejecting this argument, the court rules that the word "radio" should be considered in relation to the terms with which it is associated — writing, printing, *etc.* — all of which have a common characteristic, namely, their permanent nature as a means of publication, which is not present in utterances through an amplifier.¹³⁶ Following the same principle, where the word "lottery" is defined as a game of chance, one of the elements of which is consideration, the term "gift enterprise" and "scheme" in the provision of the Postal Law making unavailable "any lottery, gift, enterprise, or scheme for the distribution of money or any real or personal property by lot, chance, or drawing of any kind" means such enterprise as will require consideration as an element.¹³⁷

In *San Miguel Corporation v. National Labor Relations Commission*,¹³⁸ the issue raised is whether the claim of an employee against his employer for cash reward for submitting a process to eliminate defects in quality and taste of San Miguel product falls

¹³⁵*Commissioner of Customs v. Phil. Acetylene Co.*, G.R. No. 22443, May 29, 1971, 39 SCRA 70.

¹³⁶*People v. Santiago*, G.R. No. 17663, May 30, 1962, 5 SCRA 231.

¹³⁷*Caltex (Phils.), Inc. v. Palomar*, G.R. No. 19650, September 29, 1966, 30 SCRA 247.

¹³⁸161 SCRA 719, 124, 127 (1988).

within the jurisdiction of the labor arbiter and the NLRC. In holding that the claim falls outside the jurisdiction of these agencies, the Court said: "The jurisdiction of Labor Arbiters and the National Labor Relations Commission is outlined in Article 217 of the Labor Code, as last amended by Batas Pambansa Blg. 227," which includes in paragraph 3 thereof, "all money claims of workers, including those based on nonpayment or underpayment of wages, overtime compensation, separation pay and other benefits provided by law or appropriate agreement, except claims for employees' compensation, social security, medicare and maternity benefits." "While paragraph 3 above refers to 'all money claims of workers,' it is not necessary to suppose that the entire universe of money claims that might be asserted by workers against their employers has been absorbed into the original and exclusive jurisdiction of Labor Arbiters. In the first place, paragraph 3 should be read not in isolation from but rather within the context formed by paragraph 1 (relating to unfair labor practices), paragraph 2 (relating to claims concerning terms and conditions of employment), paragraph 4 (claims relating to household services, a particular species of employer-employee relations), and paragraph 5 (relating to certain activities prohibited to employees or employers). It is evident that there is a unifying element which runs through paragraphs 1 to 5 and that is, that they all refer to cases or disputes arising out of or in connection with an employer-employee relationship. This is, in other words, a situation where the rule of *noscitur a sociis* may be usefully invoked in clarifying the scope of paragraph 3, and any other paragraph of Article 217 of the Labor Code, as amended." "The Court, therefore, believes and so holds that the 'money claims of workers' referred to in paragraph 3 of Article 217 embraces money claims which arise out of or in connection with the employer-employee relationship."

In *Ebarle v. Sucaldito*,¹³⁹ the question raised is whether Executive Order No. 265, which outlines the procedure by which complainants charging government officials and employees with the commission of irregularities should be guided, applies to criminal actions or complaints. Executive Order No. 265 provides, among others, that "complaints against public officials and employees shall be promptly acted upon and disposed of by the officials or authorities concerned in accordance with pertinent laws and regulations so that the erring officials and employees can be soonest removed or

¹³⁹156 SCRA 803 (1987).

otherwise disciplined and the innocent, exonerated or vindicated in like manner, and to the end also that other remedies, including court action, may be pursued forthwith by the interested parties, after administrative remedies shall have been exhausted." The court held that the executive order does not apply to criminal actions. "To be sure, there is mention herein of court action (being pursued forthwith by interested parties but that does not, so we hold, cover proceedings such as criminal actions, which do not require a prior administrative course of action. It will indeed be noted that the term is closely shadowed by the qualification, 'after administrative remedies shall have been exhausted,' which suggests civil suits subject to previous administrative actions."

In *Motoomul v. Dela Paz*,¹⁴⁰ the question raised is whether the word "court" in Section 5 of Republic Act No. 5434, which reads: "Appeal shall not stay the award, order, ruling, decision or judgment unless the officer or body rendering the same or the court, on motion, after hearing, and on such terms as it may deem just, should provide otherwise. The propriety of a stay granted by the officer or body rendering the award, order, ruling, decision or judgment may be raised only by motion in the main case," refers to the Court of Appeals or to the trial court. Applying the maxim, *noscitur a sociis*, the Court ruled that the "correct construction of the word 'court' may be made clear by reference to Section 1 of R.A. No. 5434, where the court, officers, or bodies whose decision, award, etc., are appealable to the Court of Appeals, are enumerated as follows: Court of Agrarian Relations, the Secretary of Labor, the Land Registration Commission, the Securities and Exchange Commission, the Social Security Commission, the Civil Aeronautics Board, the Patent Office and the Agricultural Inventions Board." "From said grouping, the enumeration in Section 5 is obviously derived and from which it is easy to see the word 'court' means Court of Agrarian Relations and not the Court of Appeals which by no stretch of the imagination can be deemed to belong to the same group."

5.19. *Ejusdem generis*.

While general words or expressions in a statute are, as a rule, accorded their full, natural and generic sense, they will not be given such meaning if they are used in association with specific words or phrases. The general rule is that where a general word or phrase

¹⁴⁰187 SCRA 743, 753 (1990).

follows an enumeration of particular and specific words of the same class or where the latter follow the former, the general word or phrase is to be construed to include, or to be restricted to, persons, things or cases akin to, resembling, or of the same kind or class as those specifically mentioned.¹⁴¹ Or where general words follow an enumeration of persons or things, by words of a particular meaning, such general words are not to be construed in their widest extent, but are to be held as applying only to persons or things of the same kind or class specifically mentioned.¹⁴² Otherwise stated, where a statute describes things of particular class or kind accompanied by words of a generic character, the generic words will usually be limited to things of a kindred nature with those particularly enumerated, unless there be something in the context of the statute to repel such inference. This canon of statutory construction is known as *ejusdem generis* (or the same kind or specie).¹⁴³

The purpose of the rule of *ejusdem generis* is to give effect to both the particular and general words, by treating the particular words as indicating the class and the general words as indicating all that is embraced in said class, although not specifically named by the particular words. This is justified on the ground that if the lawmaking body intended the general terms to be used in their restricted sense, it would not have made an enumeration of particular subjects but would have used only general terms.¹⁴⁴

"The most frequent application of this rule is found where specific and generic terms of the same nature are employed in the same act, the latter following the former. While in the abstract, general terms are to be given their natural and full signification, yet where they follow specific words of like nature they take their meaning from the latter, and are presumed to embrace only things or persons of the kind designated by them."¹⁴⁵ The principle of *ejusdem generis* is based on the proposition that had the legislature intended

¹⁴¹*Go Tiaco y Hermanos v. Union Insurance Society of Canton*, 40 Phil. 40 (1919); *Chartered Bank of India v. Imperial*, 48 Phil. 931 (1921); *Mutuc v. Commission on Elections*, G.R. No. 32717, November 26, 1970, 36 SCRA 228; *Vera v. Cuevas*, G.R. No. 33693, May 31, 1979, 90 SCRA 379.

¹⁴²*Smith, Bill & Co. v. Register of Deeds*, 96 Phil. 53 (1954); *Republic v. Miguno*, 189 SCRA 289 (1990).

¹⁴³*Murphy, Morris & Co. v. Collector of Customs*, 11 Phil. 456 (1908); *Allada v. Court of Tax Appeals*, 99 Phil. 604 (1956).

¹⁴⁴*National Power Corp. v. Angas*, 208 SCRA 542 (1992).

¹⁴⁵*U.S. v. Santo Niño*, 13 Phil. 141, 142 (1909); see also *Director of Public Works v. Sing Juco*, 53 Phil. 205 (1929).

the general words to be used in their generic and unrestricted sense, it would not have enumerated the specific words.¹⁴⁶ The presumption is that usually the minds of the legislators are addressed specifically to the particularization, and accordingly the general words, though broad enough to comprehend other fields if they stood alone, should be understood in contemplation with that which the mind of the legislators are centered.¹⁴⁷

5.20. Illustration of rule.

Where an act makes unlawful the distribution of electoral propaganda gadgets, pens, lighters, fans, flashlights, athletic goods or materials "and the like," the term "and the like" does not embrace taped jingles for campaign purposes, said term being restricted only to things of the same kind or class as those specifically enumerated.¹⁴⁸ Similarly, where a statute makes the classification "dynamos, generators, exciters, and other machinery for the generation of electricity for lightning or for power," the phrase "other machinery" would not include steam turbines, pumps and condensers because these are not of the same class or kind of machinery as dynamos, generators and exciters which are for the generation of electricity.¹⁴⁹

The term "skimmed milk" in a statute which requires that "all condensed skimmed milk and all milk in whatever form" "shall be clearly and legibly marked on its immediate containers" "with the words: 'This milk is not suitable for nourishment for infants less than one year of age,'" restricts the phrase "all milk in whatever form" and excludes within its scope, filled milk.¹⁵⁰ Under a statute which provides that the vice-mayor shall be entitled to assume the office of the mayor during the "absence, suspension or other temporary disability of the mayor," the word "absence" should be construed on the same sense as "suspension" and "other forms of disability" to mean one which disables the mayor from exercising the power and prerogatives of his office, since the phrase "other temporary disability" follows the words "absence" and "suspension"

¹⁴⁶Go Tiaco y Hermanos v. Union Insurance Society of Canton, 40 Phil. 40 (1919); Murphy, Morris & Co. v. Collector of Customs, 11 Phil. 456 (1908).

¹⁴⁷Empire Insurance Co. v. Rufino, G.R. No. 38268, May 31, 1979, 90 SCRA 437.

¹⁴⁸Mutuc v. Commission on Elections, G.R. No. 32717, November 26, 1970, 36 SCRA 288.

¹⁴⁹Murphy, Morris & Co. v. Collector of Customs, 11 Phil. 456 (1908).

¹⁵⁰Vera v. Cuevas, G.R. No. 33693, May 31, 1979, 90 SCRA 379.

and is used as a modifier of the two preceding words.¹⁵¹ Similarly, in a statute which enumerates the grounds for removal or suspension of a public officer to include "neglect of duty, oppression, corruption, or other form of maladministration in office," the word "other" is limited to that which is of the same kind as its antecedents to that which is related to official action and not to personal behavior.¹⁵² And in a statute which uses the phrase "contract or transaction," the word "transaction" must be construed as analogous to the term which precedes it, involving consideration as an element.¹⁵³

Where a law grants a court exclusive jurisdiction to hear and decide "offenses or felonies committed by public officers and employees in relation to their office," the phrase "in relation to their office" qualifies or restricts the offense to one which cannot exist without the office, or the office is a constituent element of the crime defined in the statute or one perpetuated in the performance, though improper or irregular, of his official functions.¹⁵⁴

In *Cu Unjieng Sons, Inc. v. Board of Tax Appeals*,¹⁵⁵ the issue raised is whether the losses due to the war were to be deductible from the gross income in 1945 when they were sustained, or in 1950 when the Philippine War Damage Commission advised that no payment would be made for said losses. The resolution of the issue hinges on the interpretation of the statute which provides that "in the case of a corporation, all losses actually sustained and not charged off within the taxable year and not compensated for by insurance or otherwise." It is claimed that the assurances of responsible public officials before the end of 1945 that property owners would be compensated for their losses as a result of the war sufficed to place the losses within the phrase "compensated for x x x otherwise" than by insurance. The court rejected the claim as untenable. Said the court: "In general, the word 'otherwise' means but for, or under other circumstances x x x; in as different manner, in another way, or other ways x x x. However, when said term is immediately preceded by an enumeration, it would receive an *ejusdem generis* interpretation, or be limited in its application by the rule *noscitur a sociis*. x x x The word 'otherwise' in law, when used as a general phrase following an

¹⁵¹Graphilon v. Municipal Council of Cigara, 112 Phil. 24 (1961).

¹⁵²Cornejo v. Naval, 54 Phil. 809 (1930).

¹⁵³Soriano v. Sandiganbayan, G.R. No. 65952, July 31, 1984.

¹⁵⁴People v. Magallanes, 64 SCAD 968, 249 SCRA 212 (1995).

¹⁵⁵100 Phil. 1 (1956).

enumeration of particulars, is commonly interpreted in a restricted sense, as referring to such other matters as are kindred to the classes before mentioned, receiving an *ejusdem generis* interpretation x x x." In other words, the vocable 'otherwise' in the clause 'compensated for by insurance or otherwise' x x x should be construed to refer to compensation due under a title analogous or similar to insurance. Inasmuch as the latter is a contract establishing a legal obligation, x x x it follows that in order to be deemed "compensated for x x x 'otherwise,' the losses sustained by a taxpayer must be covered by a judicially enforceable right, springing from any of the juridical sources of obligations, namely, law, contract, quasi-contract, torts or crimes," and not mere pronouncement of public officials.¹⁵⁶

In *Cebu Institute of Technology v. Ople*,¹⁵⁷ one of the issues raised is whether teachers hired on contract basis are entitled to service incentive leave benefits as against the claim that they are not so entitled because Rule V of the Implementing Rules and Regulations of the Labor Code provides that "This rule (on service incentive leaves) shall apply to all employees, except" "field personnel and other employees whose performance is unsupervised by the employer including those who are engaged on task or contract basis." The Court ruled that the phrase "those who were employed on task or contract basis" should be related with "field personnel," applying the rule on *ejusdem generis* that the general and unlimited terms are restrained and limited by the particular terms that they follow, and that teachers are clearly not field personnel and are therefore entitled to service incentive leave benefits.

In *Cagayan Valley Enterprises, Inc. v. Court of Appeals*,¹⁵⁸ one of the issues raised is whether the phrase "other lawful beverages" in the provision which gives protection to a manufacturer who has registered with the Philippine Patent Office its duly stamped or marked bottles used for "soda water, mineral or aerated waters, cider, milk, cream or other lawful beverages" includes hard liquor. In holding that the phrase includes hard liquor, the Court stated that the "title of the law itself, which reads 'An Act to regulate the use of duly stamped or marked bottles, boxes, casks, kegs, barrels and other similar containers,'" clearly shows the legislative intent

¹⁵⁶Cu Unjieng & Sons, Inc. v. Board of Tax Appeals, 100 Phil. 1, 1618 (1956).

¹⁵⁷156 SCRA 629 (1987).

¹⁵⁸179 SCRA 218 (1989).

to give protection to all marked bottles and containers of all lawful beverages regardless of the nature of their contents.

In *National Power Corp. v. Angas*,¹⁵⁹ the issue raised is whether the term "judgments" in Central Bank Circular No. 416 which states that "by virtue of the authority granted to it under Section 1 of Act No. 2655, as amended, otherwise known as the Usury Law, the Monetary Board, in its Resolution No. 1622 dated July 29, 1974, has prescribed that the rate of interest for the loan or forbearance of any money, goods or credits and the rate allowed in judgments, in the absence of express contract as to such rate, shall be twelve per cent (12%) *per annum*," refers to any judgment directing the payment of legal interest. Applying the principle of *ejusdem generis*, the Court held that the word "judgments" should mean only judgments involving loans or forbearance of money, goods or credits, these latter specific terms having restricted the meaning of "judgments" to those of the same class or the same nature as those specifically enumerated.

In *Republic v. Migrino*,¹⁶⁰ a retired military officer was investigated by the Presidential Commission on Good Government (PCGG) for violation of the Anti-Graft Act in relation to Executive Order Nos. 1 and 2 authorizing the PCGG to recover ill-gotten wealth of the former President's "subordinates and close associates" "during his administration." On the issue as to whether PCGG has jurisdiction to investigate the former military officer for being in the service during the administration of the former President and was therefore his subordinate, the Court ruled that the term "subordinate" refers only to one who enjoys close association or relation with the former President and/or his wife, and not to any government officer during the former President's administration, the term "close associates" having restricted the meaning of "subordinates."

5.21. Limitations of *ejusdem generis*.

As may be gathered from the cases decided by the courts, the rule of *ejusdem generis*, to be applicable, requires that the following requisites concur: (1) a statute contains an enumeration of particular and specific words, followed by a general word or phrase; (2) the particular and specific words constitute a class or are of the same

¹⁵⁹National Power Corp. v. Angas, 208 SCRA 542 (1992).

¹⁶⁰189 SCRA 289 (1990).

kind; (3) the enumeration of the particular and specific words is not exhaustive or is not merely by examples; and (4) there is no indication of legislative intent to give the general words or phrases a broader meaning.¹⁶¹

The general rule that a general term may be restrained by specific words associated with it is applicable only to cases where, except for one general term, all the items in an enumeration belong to or fall under one specific class or are of the same nature. Where the enumeration includes classes and general terms as well,¹⁶² or where the specific things in the enumeration have no distinguishable common characteristics and greatly differ from one another, the rule of *ejusdem generis* does not apply.¹⁶³ Thus, where the term "stabilizer and flavors" is preceded by a number of articles classified as food or food products as well as other items that do not belong to such classification, the term is not restricted to articles used in the preparation of food but should be construed in its generic sense to include those used in the manufacture of toothpaste or dental cream.¹⁶⁴ Conversely, if the enumerated words are all general words, the meaning of each word will be unrestricted by the other words, unless the context in which they are used indicates otherwise.

Nor does the rule of *ejusdem generis* apply where the enumeration of the particular and specific words is exhaustive. If the specific words embrace all persons or objects of the class designated by the enumeration, the general words should include those comprehended in the general classification and beyond the specified class. Thus, in the enumeration of the words "action or suit or other proceeding," the words "action" and "suit" exhaust proceedings of judicial character, and the phrase "other proceeding" should therefore include proceedings other than judicial in nature, such as advertisement of sale of property. For to apply the rule of *ejusdem generis* is to render the phrase "other proceeding" a surplusage, in violation of the well-

¹⁶¹Commissioner of Customs v. Court of Appeals, G.R. No. 33471, January 31, 1972, 43 SCRA 192; Asturias Sugar Central, Inc. v. Commissioner of Customs, G.R. No. 19337, September 30, 1969, 29 SCRA 617; People v. Kottinger, 45 Phil. 352 (1923).

¹⁶²Colgate-Palmolive Phil., Inc. v. Jimenez, G.R. No. 14787, January 28, 1961, 1 Phil. 267.

¹⁶³Commissioner of Customs v. Court of Tax Appeals, G.R. No. 33471, January 31, 1972, 43 SCRA 192.

¹⁶⁴Colgate-Palmolive Phils., Inc. v. Jimenez, *supra*.

known canon of statutory construction that all words in a statute should, if possible, be given effect.¹⁶⁶

Where a statute uses a general word, followed by an enumeration of specific words embraced within the general word merely as examples, the enumeration does not thereby restrict the meaning of the general word, but should include others of the same class although not enumerated therein. For instance, where a statute mentions "containers, such as casks, large metal, glass, or other receptacles," the word "container" is a general term while the enumeration is merely by examples, which does not limit the meaning of the term "container." The general word may thus include other containers, such as jute bags.¹⁶⁶

The rule of *ejusdem generis* does not require the rejection of general terms entirely. The rule is intended merely as an aid in ascertaining the intention of the legislature and is taken in connection with the other rules of construction.¹⁶⁷ The rule should not be given such wide application as would operate to defeat the intent or purpose of the law. Its application must yield to the manifest intent of the legislature.¹⁶⁸ Thus, where, on consideration of the whole law on the subject and the purpose sought, it appears that the legislature intended the general words to go beyond the class designated by the specific and particular words in the enumeration, the rule does not apply.¹⁶⁹ In short, the rule of *ejusdem generis* is not of universal application; it should be used to carry out, not to defeat, the intent or purpose of the law.¹⁷⁰

The rule of *ejusdem generis* is resorted to for the purpose of determining what the intent of the legislature is in enacting a law. If that intent clearly appears from other parts of the law, and such intent thus clearly manifested is contrary to the result which will be reached by applying the rule of *ejusdem generis*, the rule must give way in favor of the legislative intent.¹⁷¹

¹⁶⁶Gates v. Chandler, 174 Miss. 815, 165 So 442 (1936). See Sec. 6.11, *infra*.

¹⁶⁷Asturias Sugar Central, Inc. v. Commissioner of Customs, G.R. No. 19337, September 30, 1969, 29 SCRA 617.

¹⁶⁸Colgate-Palmolive Phils., Inc. v. Jimenez, G.R. No. 14787, January 28, 1961, 1 SCRA 267.

¹⁶⁹Genetao Commercial Corp. v. Court of Tax Appeals, 104 Phil. 615 (1958); People v. Echaves, G.R. No. 47757, January 28, 1980, 95 SCRA 163 (1980).

¹⁷⁰City of Manila v. Lyric Music House, Inc., 62 Phil. 125 (1935).

¹⁷¹People v. Kottinger, 45 Phil. 352 (1923).

¹⁷²Cagayan Valley Enterprises, Inc. v. Court of Appeals, 179 SCRA 218 (1989).

In *Commissioner of Internal Revenue v. American Express*, G.R. No. 152609, June 29, 2005, the Court explained when *ejusdem generis* rule is not applicable. The Court ruled:

The canon of statutory construction known as *ejusdem generis* or "of the same kind or specie" does not apply to Section 4.102-2(b)(2) of RR 7-95 as amended by RR 5-96.

First, although the regulatory provision contains an enumeration of particular or specific words, followed by the general phrase "and other similar services," such words do not constitute a readily discernible class and are patently not of the same kind. Project studies involve investments or marketing; information services focus on data technology; engineering and architectural designs require creativity. Aside from calling for the exercise or use of mental faculties or perhaps producing written technical outputs, no common denominator to the exclusion of all others characterizes these three services. Nothing sets them apart from other and similar general services that may involve advertising, computers, consultancy, health care, management, messengerial work — to name only a few.

Second, there is the regulatory intent to give the general phrase "and other similar services" a broader meaning. Clearly, the preceding phrase "as well as" is not meant to limit the effect of "and other similar services."

Third, and most important, the statutory provision upon which this regulation is based is by itself not restrictive. The scope of the word "services" in Section 102(b)(2) of the Tax Code is broad; it is not susceptible of narrow interpretation.

The rule does not apply, where the law is clear and free from ambiguity. Thus, in *Garcia v. Social Security Commission*, G.R. No. 170735, December 17, 2000, the Court ruled:

Petitioner invokes the rule in statutory construction called *ejusdem generis*; that is, where general words follow an enumeration of persons or things, by words of a particular and specific meaning, such general words are not to be construed in their widest extent, but are to be held as applying only to persons or things of the same kind or class as those specifically mentioned. According to petitioner, to be held liable under Section 28(f) of the Social Security Law, one must be the "managing head," "managing director," or "managing

partner." This Court though finds no need to resort to statutory construction. Section 28(f) of the Social Security Law imposes penalty on:

- (1) the managing head;
- (2) directors; or
- (3) partners, for offenses committed by a juridical person.

The said provision does not qualify that the director or partner should likewise be a "managing director" or "managing partner. The law is clear and unambiguous.

In *U.S. v. Santo Niño*,¹⁷² which illustrates the principle that *ejusdem generis* should not be so applied as to defeat legislative intent, the question raised is whether the carrying of an unlicensed revolver concealed in the person constitutes a violation of a statute which reads: "It shall be unlawful for any person to carry concealed about his person any bowie, knife, direck, dagger, *kris*, or other deadly weapon: *Provided*, That this prohibition shall not apply to firearms in the possession of persons who have secured a license therefor or who are entitled to carry the same under the provisions of this Act." It is argued that following the rule of *ejusdem generis*, the phrase "other deadly weapon" does not include an unlicensed revolver. In rejecting this argument, the court said that the rule of *ejusdem generis* "is resorted to only for the purpose of determining what the intent of the legislature was in enacting the law. If that intent clearly appears from the other parts of the law, and such intent thus clearly manifested is contrary to the result which would be reached by the application of the rule of *ejusdem generis*, the latter must give way. In this case, the proviso of the Act clearly indicates that in the view of the legislature, the carrying of an unlicensed revolver would be a violation of the Act. By the proviso, it manifested its intention to include in the prohibition weapons other than *armas blancas* therein specified."¹⁷³

In *Cagayan Valley Enterprises, Inc. v. Court of Appeals*,¹⁷⁴ the Court held that the legislative intent of Republic Act No. 623, as amended by Republic Act No. 5700, as shown by its title, is to

¹⁷²13 Phil. 141 (1909).

¹⁷³*Ibid.* at p. 142.

¹⁷⁴179 SCRA 218 (1989).

give protection to all registered marked bottles and containers of all lawful beverages regardless of the nature of their contents, and for this reason, the words "other lawful beverages" in the provision which grants such protection to "persons engaged or licensed to engage in the manufacture, bottling, or selling of soda water, mineral or aerated waters, cider, milk, cream or other lawful beverages" may not be limited to the same kind or class as those specifically mentioned but should be taken in their general sense to include not only soft drinks but also hard liquor.

In *Roman Catholic Archbishop of Manila v. Social Security Commission*,¹⁷⁵ a religious institution invoking the rule of *ejusdem generis* claimed, that it is not included in the term "employer" as statutorily defined as "any person, natural or juridical, domestic or foreign, who carried in the Philippines any trade, business, industry, undertaking, or activity of any kind and uses the services of another person who is under his orders as regard the employment, except the Government and any of its political subdivisions, branches or instrumentalities, including corporations owned or controlled by the government." It is contended that the term "employer" should be limited to those who carry an "undertaking or activity which has the element of profit or gain" because the phrase "activity of any kind" in the definition is preceded by the words "any trade, business, industry, undertaking." The court rejected such contention. It said that the "rule of *ejusdem generis* applies only where there is uncertainty. It is not controlling where the plain purpose and intent of the legislature would thereby be hindered and defeated." The definition is "sufficiently comprehensive to include religious and charitable institutions or entities not organized for profit," and "this is made more evident by the fact that it contains exceptions in which said institutions or entities are not included."

5.22. *Expressio unius est exclusio alterius*.

It is a settled rule of statutory construction that the express mention of one person, thing, or consequence implies the exclusion of all others. The rule is expressed in the familiar maxim, *expressio unius est exclusio alterius*.¹⁷⁶

¹⁷⁵G.R. No. 15045, January 20, 1961, 1 SCRA 10 (1961).

¹⁷⁶*Canlas v. Republic*, 103 Phil. 712 (1958); *Lao Oh Kim v. Reyes*, 103 Phil. 1139 (1958); *People v. Aquino*, 83 Phil. 614 (1949); *Escribano v. Avila*, G.R. No. 30375, September 12, 1978, 85 SCRA 245; *People v. Lantin*, G.R. No. 24735, Oct. 31, 1969, 30 SCRA 81; *Manila Lodge No. 761 v. Court of Appeals*, G.R. No. 41001, September 30,

The rule of *expressio unius est exclusio alterius* is formulated in a number of ways. One variation of the rule is the principle that what is expressed puts an end to that which is implied. *Expressum facit cessare tacitum*.¹⁷⁷ Thus, where a statute, by its terms, is expressly limited to certain matters, it may not, by interpretation or construction, be extended to other matters.¹⁷⁸

Another variation of the rule is the canon that a general expression followed by exceptions therefrom implies that those which do not fall under the exceptions come within the scope of the general expression. Stated differently, a thing not being excepted must be regarded as coming within the purview of the general rule, expressed in the maxim: *exceptio firmat regulam in casibus non exceptis*.¹⁷⁹ A maxim of recognized utility is the rule that the express exception, exemption or saving excludes others.¹⁸⁰

Still another variation of the rule is the axiom that the expression of one or more things of a class implies the exclusion of all not expressed, even though all would have been implied had none been expressed. The rule is based on the fact that in human experience the minds of the parties usually are addressed specially to the particularization, and that the generalities, though broad enough to comprehend other fields if they stood alone, are used in contemplation of that upon which the minds of the parties are centered.¹⁸¹

The rule of *expressio unius est exclusio alterius* and its variations are canons of restrictive interpretation. They are based on the rules of logic and the natural workings of the human mind. They are predicated upon one's own voluntary act and not upon

1976, 73 SCRA 162; *Santos v. Court of Appeals*, G.R. No. 47750, February 29, 1980, 96 SCRA 448; *Lerum v. Cruz*, 87 Phil. 652 (1950); *Velasco v. Blas*, G.R. No. 30456, July 30, 1982, 115 SCRA 540.

¹⁷⁷*Espiritu v. Cipriano*, G.R. No. 32743, February 15, 1974, 55 SCRA 533.

¹⁷⁸*Hongkong & Shanghai Bank v. Peters*, 16 Phil. 824 (1910); *Collanta v. Carnation Phils., Inc.*, 145 SCRA 268 (1986).

¹⁷⁹*Villanueva v. City of Iloilo*, G.R. No. 26521, December 28, 1968, 26 SCRA 576; *Hodges v. Municipal Board of Iloilo*, G.R. No. 18276, January 12, 1967, 19 SCRA 143 (1967); *Province of Nueva Ecija v. Imperial Mining Co., Inc.*, G.R. No. 59463, November 19, 1982, 118 SCRA 632.

¹⁸⁰*In re Estate of Enriquez*, 29 Phil. 167 (1915).

¹⁸¹*Empire Insurance Co. v. Rufino*, G.R. No. 38268, May 31, 1979, 90 SCRA 437.

that of others.¹⁸² They proceed from the premise that the legislature would not have made specified enumerations in a statute had the intention been not to restrict its meaning and confine its terms to those expressly mentioned.¹⁸³ They are opposite the doctrine of necessary implication.¹⁸⁴

In *Parayno v. Jovellanos*, G.R. No. 148408, July 14, 2006, the Court held that since the ordinance made a distinction between "gasoline service station" and "gasoline filling station," the maxim, *ejusdem generis* does not apply and what is applicable is the maxim is *expresio unius exclusio alterius*. The Court ruled:

"We hold that the zoning ordinance of respondent municipality made a clear distinction between "gasoline service station" and "gasoline filling station." The pertinent provisions read:

xxx xxx xxx

Section 21. Filling Station. A retail station servicing automobiles and other motor vehicles with gasoline and oil only.

xxx xxx xxx

Section 42. Service Station. A building and its premises where gasoline oil, grease, batteries, tires and car accessories may be supplied and dispensed at retail and where, in addition, the following services may be rendered and sales and no other.

a. Sale and servicing of spark plugs, batteries, and distributor parts;

b. Tire servicing and repair, but not recapping or regrooving;

c. Replacement of mufflers and tail pipes, water hose, fan belts, brake fluids, light bulbs, fuses, floor mats, seat covers, windshield wipers and wiper blades, grease retainers, wheel, bearing, mirrors and the like;

¹⁸²*Tabora v. Gavino*, 79 Phil. 421 (1947); see also concurring opinion of Justice Fera, *Brodett v. De la Rosa*, 77 Phil. 758 (1946).

¹⁸³*Commissioner of Customs v. CTA*, 43 SCAD 486, 224 SCRA 665 (1993), citing *Agpalo, Statutory Construction*, 2nd Ed., 1990, pp. 160-161.

¹⁸⁴See Sec. 4.24, *supra*.

- d. Radiator cleaning and flushing;
- e. Washing and polishing, and sale of automobile washing and polishing materials;
- f. Grease and lubricating;
- g. Emergency wiring repairs;
- h. Minor servicing of carburetors;
- i. Adjusting and repairing brakes;
- j. Minor motor adjustments not involving removal of the head or crankcase, or raising the motor.

xxx xxx xxx

It is evident from the foregoing that the ordinance intended these two terms to be separate and distinct from each other. Even respondent municipality's counsel admitted this dissimilarity during the hearing on the application for the issuance of a writ of preliminary prohibitory and mandatory injunction.

Respondent municipality thus could not find solace in the legal maxim of *ejusdem generis* which means "of the same kind, class or nature." Under this maxim, where general words follow the enumeration of particular classes of persons or things, the general words will apply only to persons or things of the same general nature or class as those enumerated. Instead, what applied in this case was the legal maxim *expressio unius est exclusio alterius* which means that the express mention of one thing implies the exclusion of others. Hence, because of the distinct and definite meanings alluded to the two terms by the zoning ordinance, respondents could not insist that "gasoline service station" under Section 44 necessarily included "gasoline filling station" under Section 21. Indeed, the activities undertaken in a "gas service station" did not automatically embrace those in a "gas filling station."

In *San Pablo Manufacturing Corp. v. Commissioner of Internal Revenue*, G.R. No. 147949, June 22, 2006, the issue was whether petitioner's goods were exempt from tax. SPMC is a domestic corporation engaged in the business of milling, manufacturing and exporting of coconut oil and other allied products. It was assessed and ordered to pay by the Commissioner of Internal Revenue the total

amount of P8,182,182.85 representing deficiency miller's tax and manufacturer's sales tax, among other deficiency taxes, for taxable year 1987. The deficiency miller's tax was imposed on SPMC's sales of crude oil to United Coconut Chemicals, Inc. (UNICHEM) while the deficiency sales tax was applied on its sales of corn and edible oil as manufactured products.

The Court answered the issue in the negative, as follows:

"The language of the exempting clause of Section 168 of the 1987 Tax Code was clear. The tax exemption applied only to the exportation of rope, coconut oil, palm oil, *copra* by-products and desiccated coconuts, whether in their original state or as an ingredient or part of any manufactured article or products, by the proprietor or operator of the factory or by the miller himself.

The language of the exemption proviso did not warrant the interpretation advanced by SPMC. Nowhere did it provide that the exportation made by the purchaser of the materials enumerated in the exempting clause or the manufacturer of products utilizing the said materials was covered by the exemption. Since SPMC's situation was not within the ambit of the exemption, it was subject to the 3% miller's tax imposed under Section 168 of the 1987 Tax Code.

SPMC's proposed interpretation unduly enlarged the scope of the exemption clause. The rule is that the exemption must not be so enlarged by construction since the reasonable presumption is that the State has granted in express terms all it intended to grant and that, unless the privilege is limited to the very terms of the statute, the favor would be intended beyond what was meant.

Where the law enumerates the subject or condition upon which it applies, it is to be construed as excluding from its effects all those not expressly mentioned. *Expressio unius est exclusio alterius*. Anything that is not included in the enumeration is excluded therefrom and a meaning that does not appear nor is intended or reflected in the very language of the statute cannot be placed therein. The rule proceeds from the premise that the legislature would not have made specific enumerations in a statute if it had the intention not to restrict its meaning and confine its terms to those expressly mentioned.

The rule of *expressio unius est exclusio alterius* is a canon of restrictive interpretation. Its application in this case is consistent with the construction of tax exemptions in *strictissimi juris* against the taxpayer. To allow SPMC's claim for tax exemption will violate these established principles and unduly derogate sovereign authority."

Where expressio unius rule is not applicable

The Court in *Coconut Oil Refiners Assn., Inc. v. Torres*, G.R. No. 132527, July 29, 2005 ruled that *expressio unius est exclusio alterius* is not applicable where words are used by example only. Thus, the Court held:

The phrase "tax and duty-free importations of raw materials, capital and equipment" was merely cited as an example of incentives that may be given to entities operating within the zone. Public respondent SBMA correctly argued that the maxim *expressio unius est exclusio alterius*, on which petitioners impliedly rely to support their restrictive interpretation, does not apply when words are mentioned by way of example. It is obvious from the wording of Republic Act No. 7227, particularly the use of the phrase "such as," that the enumeration only meant to illustrate incentives that the SSEZ is authorized to grant, in line with its being a free port zone.

Furthermore, said legal maxim should be applied only as a means of discovering legislative intent which is not otherwise manifest, and should not be permitted to defeat the plainly indicated purpose of the Legislature.

5.23. Negative-opposite doctrine.

The principle that what is expressed puts an end to that which is implied is also known as negative-opposite doctrine or *argumentum a contrario*. The case of *Chung Fook v. White*¹⁸⁵ illustrates this doctrine. The statute involved in this case exempts the wife of a naturalized American from detention for treatment in a hospital, who is afflicted with a contagious disease. In denying a petition for a writ of *habeas corpus* filed by a native-born American citizen on behalf of his wife who was detained in a hospital for treatment of

¹⁸⁵264 U.S. 443 (1924).

a contagious disease, the court resorted to the negative-opposite doctrine by stating that the statute plainly relates only to the wife of a naturalized citizen and that it cannot interpolate the words "native-born citizen" without usurping the legislative function.

The *Chung Fook* case has been criticized for applying the negative-opposite doctrine or the *expressio unius* rule as a mechanical-technical tool that works injustice to native-born citizens in favor of naturalized citizens. The criticism is not without justification. The court should have disregarded the doctrine, as its application is productive of injustice not intended by the legislature, and should have used instead the doctrine of necessary implication, so as to justify the extension of the benefits of the law in favor of the wife of a native-born citizen, for naturalized and native-born citizens are both citizens and the legislature is not supposed to discriminate against native-born citizens.

5.24. Application of *expressio unius* rule.

The rule of *expressio unius est exclusio alterius* and its corollary canons are generally used in the construction of statutes granting powers, creating rights and remedies, restricting common rights, and imposing penalties and forfeitures, as well as those statutes which are strictly construed.

Pursuant to the *expressio unius* rule, where a statute directs the performance of certain acts by a particular person or class or persons, it implies that it shall not be done otherwise or by a different person or class of persons.¹⁸⁶ Accordingly, a law which specifically designates the persons who may bring actions for *quo warranto* excludes others from bringing such actions.¹⁸⁷ In actions for libel, the statute which provides that "preliminary investigations of criminal actions for written defamation x x x shall be conducted by the provincial or city fiscal of the province or city or by the municipal court of the city or capital of the province where such actions may be instituted" precludes all other municipal courts from conducting such preliminary investigations.¹⁸⁸ And the statutory enumeration of the crimes which cannot be prosecuted *de officio*, namely, adultery, concubinage, seduction, rape, or acts of lasciviousness, implies that all other crimes, such as a slanderous imputation that a person is a

¹⁸⁶*Escribano v. Avila*, G.R. No. 30375, September 12, 1978, 85 SCRA 245.

¹⁸⁷*Acosta v. Flor*, 5 Phil. 18 (1905).

¹⁸⁸*Escribano v. Avila*, *supra*.

prostitute or that a man and a woman had premarital relations, can be prosecuted *de officio*.¹⁸⁹

Where a statute has authorized a city to lease or sell the northern portion of a reclaimed area along the bay, the city has no power to dispose of the southern part thereof.¹⁹⁰ When the Labor Code provides that "all money claims accruing prior to the effectivity of this Code shall be filed with the appropriate entities established under this Code within one (1) year from the date of such effectivity," it implies that labor cases not involving money claims do not come within such provision but under the law in force when the cause of action accrued.¹⁹¹ Pursuant to the rule that a person who is interested "under a deed, will, contract, or other written instrument, and whose rights are affected by a statute or ordinance, may bring an action to determine any question of construction or validity arising under the instrument or statute and for a declaration of his rights or duties thereunder," the subject matter of such action must refer to a deed, will, contract or other written instrument, or to a statute or ordinance, and not to other matters, in order to warrant declaratory relief, such other matters not being mentioned therein being deemed excluded.¹⁹² Where a statute enumerates the barrios that comprise a city, the non-inclusion of a particular *barrio* in that city in the enumeration raises the conclusion that the statute abolished said *barrio* as part of the city.

If a statute enumerates the things upon which it is to operate, everything else must necessarily, and by implication, be excluded.¹⁹³ Thus, taxes due the government, not being mentioned in the rule that "all claims for money against the decedent, arising from contracts, express or implied, whether the same be due, not due, or contingent, all claims for funeral expenses and expenses for the last sickness of the decedent, and judgment for money against the decedent, must be filed within the time limit in the notice, otherwise they are barred forever," are deemed excluded from the operation of the rule, and such taxes can still be recovered even though the same

¹⁸⁹*People v. Lantin*, G.R. No. 24735, October 31, 1969, 30 SCRA 81.

¹⁹⁰*Manila Lodge No. 761 v. Court of Appeals*, G.R. No. 41001, September 30, 1976, 73 SCRA 162.

¹⁹¹*Santos v. Court of Appeals*, G.R. No. 47750, February 29, 1980, 96 SCRA 448.

¹⁹²*Lerum v. Cruz*, 87 Phil. 652 (1950).

¹⁹³*Central Barrio v. City Treasurer of Davao*, G.R. No. 25811, April 3, 1968, 23 SCRA 6.

are not presented as claims against the estate within the prescribed period in the notice, so long as they have not prescribed under the Tax Code.¹⁹⁴ Where a statute which changed the form of government of a municipality into a city provides that the incumbent mayor, vice-mayor and members of the municipal board shall continue in office until the expiration of their terms, all other municipal offices were deemed abolished.¹⁹⁵ And where the legislature has deliberately selected a particular method of giving notice, as when a co-owner is given the right of legal redemption within thirty days from notice in writing by the vendor in case the other co-owners sells his share in the co-owned property, that method of giving notice must be deemed exclusive and notice sent by the vendee is thus ineffective.¹⁹⁶

Under the Local Autonomy Act, local governments are given broad powers to tax everything, except those which are specifically mentioned therein. If a subject matter does not come within the exceptions, an ordinance imposing a tax on such subject matter is deemed to come within the broad taxing power, in accordance with the maxim, *exceptio firmat regulam in casibus non exceptis*.¹⁹⁷ Accordingly, a municipal ordinance imposing a tax on silica excavated within the municipality, it being conceded not falling within the exceptions, is a valid exercise of its taxing power.¹⁹⁸ Similarly, where the Probation Law expressly enumerates the persons disqualified to avail of its benefits, the clear intent is to allow the benefits of probation to those not included in the enumeration.¹⁹⁹ And where a statute enumerates the subject or things on which it is to operate, it is to be construed as excluding from its effects all those not expressly mentioned. Thus, where the law provides that positions in the government belong to the competitive service, except those declared by law to be in the noncompetitive service and those which are policy-determining, primarily confidential or highly technical in nature and enumerates those in the non-competitive as including secretaries of governors and mayors, the clear intent is that assistant secretaries of governors and mayors fall under the competitive

¹⁹⁴Vera v. Fernandez, G.R. No. 31364, March 30, 1979, 86 SCRA 199.

¹⁹⁵Mendenilla v. Omandia, G.R. No. 17893, June 30, 1962, 5 SCRA 536.

¹⁹⁶Butte v. Manuel Uy & Sons, Inc., G.R. No. 15499, February 28, 1962, 4 SCRA 526.

¹⁹⁷Villanueva v. City of Iloilo, G.R. No. 26521, December 28, 1968, 26 SCRA 578.

¹⁹⁸Nin Bay Mining Co. v. Roxas, Palawan, G.R. No. 20125, July 20, 1965, 14 SCRA 660.

¹⁹⁹Santos v. Pano, 120 SCRA 8 (1983).

service, for by making an enumeration, the legislature is presumed to have intended to exclude those not enumerated, for otherwise it would have included them in the enumeration.²⁰⁰

In another case,²⁰¹ the Court ruled that since the port of Kilawan is not listed in the list of national ports, said port is a municipal port, in accordance with the maxim, *expressio unius est exclusio alterius*. It added: "Where a statute, by its terms, is expressly limited to certain matters, it may not, by interpretation or construction, be extended to others. The rule proceeds from the premise that the legislature would not have made specified enumerations in a statute had the intention been not to restrict its meaning and to confine its terms to those expressly mentioned." (*Agpalo, Statutory Construction, 2nd Ed., 1990, pp. 160-161*)

In an action to recover insurance proceeds under an accident insurance policy arising from death of the insured from murder, the policy expressly enumerated ten (10) circumstances wherein no liability attaches to the insurance company for injury, disability or loss suffered by the insured. The insurance company disclaimed liability since death resulting from murder was impliedly excluded in the insurance policy because the cause of death of the insured was not accidental but rather a deliberate and intentional act, excluded by the very nature of a personal accident insurance. In holding the insurance company liable, the Court held that the "principle of *expressio unius est exclusio alterius* — the mention of one thing implies the exclusion of another thing — is x x x applicable in the instant case since murder and assault, not having been expressly included in the enumeration of the circumstances that would negate liability in said insurance policy cannot be considered by implication to discharge the petitioner insurance company from liability for any injury, disability or loss suffered by the insured. Thus, the failure of the petitioner insurance company to include death resulting from murder or assault among the prohibited risks leads inevitably to the conclusion that it did not intend to limit or exempt itself from liability for such death."²⁰²

²⁰⁰Samson v. Court of Appeals, 145 SCRA 654 (1986); see Phil. Petroleum Corp. v. Oil Industry Commission, 145 SCRA 433 (1986).

²⁰¹224 SCRA 665, 670 (1993).

²⁰²Finman General Insurance Corp. v. Court of Appeals, 213 SCRA 493, 497-498.

In *Centeno v. Villalon-Pomillos*,²⁰³ the issue is whether the solicitation for religious purposes, i.e., renovation of a church, without first securing a permit from the Regional Office concerned of the Department of Social Services, constitutes a violation of P.D. No. 1564, making it a criminal offense for any person "to solicit or receive contributions for charitable or public welfare purposes" without securing such permit. The resolution of the issue depends on whether the phrase "charitable x x x purposes" includes a religious purpose. The Court ruled in the negative, by applying the maxim, *expressio unius est exclusio alterius*, thus:

"It will be observed that the 1987 Constitution, as well as several other statutes, treat the words 'charitable' and 'religious' separately and independently of each other. Thus, the word 'charitable' is only one of three descriptive words used in Section 28(3), Article VI of the Constitution which provides that 'charitable institutions, churches and parsonages x x x and all lands, buildings and improvements, actually, directly, and exclusively used for religious, charitable or educational purposes shall be exempt from taxation.' x x x

That these legislative enactments specifically spelled out 'charitable' and 'religious' in an enumeration, whereas Presidential Decree No. 1564 merely stated 'charitable or public welfare purposes,' only goes to show that the framers of the law in question never intended to include solicitations for religious purposes within its coverage. Otherwise, there is no reason why it would not have so stated expressly."²⁰⁴

The issue in *Lopez v. CA, G.R. No. 144573*, September 24, 2002, is: Are decisions of the Ombudsman imposing the penalty of six (6) months and one (1) day suspension without pay immediately executory pending appeal?

Applying rules of *expressio unius est exclusio alterius* in statutory construction, the Court answered the issue in the negative. The Court ruled:

Section 27 of Republic Act No. 6770 15 provides:

Section 27. Effectivity and Finality of Decisions.
— (1) All provisional orders of the Office of the Ombudsman are immediately effective and executory.

²⁰³55 SCAD 100, 236 SCRA 197.

²⁰⁴*Ibid.*, pp. 203-204.

A motion for reconsideration of any order, directive or decision of the Office of the Ombudsman must be filed within five (5) days after receipt of written notice and shall be entertained only on the following grounds:

x x x

x x x

Findings of fact of the Office of the Ombudsman when supported by substantial evidence, are conclusive. Any order, directive or decision imposing the penalty of public censure or reprimand, suspension of not more than one month's salary shall be final and unappealable.

In all administrative disciplinary cases, orders, directives or decisions of the Office of the Ombudsman may be appealed to the Supreme Court by filing a petition for *certiorari* within ten (10) days from receipt of the written notice of the order, directive or decision or denial of the motion for reconsideration in accordance with Rule 45 of the Rules of Court.

x x x

x x x

Rule III, Section 7 of the Rules of Procedure of the Office of the Ombudsman, states:

Sec. 7. Finality of Decision. — Where the respondent is absolved of the charge and in case of conviction where the penalty imposed is public censure or reprimand, suspension of not more than one month, or a fine not equivalent to one month salary, the decision shall be final and unappealable. In all other cases, the decision shall become final after the expiration of ten (10) days from receipt thereof by the respondent, unless a motion for reconsideration or petition for *certiorari*, shall have been filed by him as prescribed in Section 27 of R.A. 6770.

Construing the above-quoted provisions, the Court held in *Lapid v. Court of Appeals* that only orders, directives or decisions of the Office of the Ombudsman in administrative cases imposing the penalty of public censure, reprimand, or suspension of not more than one month, or a fine not equivalent to one month salary shall be final and unappealable hence, immediately executory. In all other disciplinary cases where the penalty imposed is other than public censure, reprimand, or suspension of not more than one month, or a fine not equivalent to one month salary, the law gives the respondent the right to appeal. In these cases, the order, directive or decision becomes

final and executory only after the lapse of the period to appeal if no appeal is perfected, or after the denial of the appeal from the said order, directive or decision. It is only then that execution shall perforce issue as a matter of right. The fact that the Ombudsman Act gives parties the right to appeal from its decisions should generally carry with it the stay of these decisions pending appeal. Otherwise, the essential nature of these judgments as being appealable would be rendered nugatory. As explained by the Court —

Section 27 states that all provisional orders of the Office of the Ombudsman are immediately effective and executory; and that any order, directive or decision of the said Office imposing the penalty of censure or reprimand or suspension of not more than one [month, or a fine not equivalent to one month salary], is final and unappealable. As such the legal maxim "*expressio unius est exclusio alterius*" finds application. The express mention of the things included excludes those that are not included. The clear import of these statements taken together is that all other decisions of the Office of the Ombudsman which impose penalties that are not enumerated in the said section 27 are not final, unappealable and immediately executory. An appeal timely filed, such as the one filed in the instant case, will stay the immediate implementation of the decision. This finds support in the Rules of Procedure issued by the Ombudsman itself which states that "(I)n all other cases, the decision shall become final after the expiration of ten (10) days from receipt thereof by the respondent, unless a motion for reconsideration or petition for *certiorari* (should now be petition for review under Rule 43) shall have been filed by him as prescribed in Section 27 of R.A. 6770."

Petitioners' claim that the applicable provision is Rule 43, Section 12 of the 1997 Rule of Civil Procedure, which provides that "[t]he appeal shall not stay the award, judgment, final order or resolution sought to be reviewed unless the Court of Appeals shall direct otherwise upon such terms as it may deem just," lacks merit. While it is true that in *Fabian v. Desierto*, the Court declared unconstitutional Section 27 of Republic Act No. 6770, and all other provisions of law implementing the same, the declaration should be interpreted to mean that the said provisions are void only insofar as they provide that

administrative appeals from the Office of the Ombudsman shall be taken to the Supreme Court. Under the 1997 Rules of Civil Procedure, the proper forum for administrative appeals from the Office of the Ombudsman is the Court of Appeals. The provisions of Section 27 of Republic Act No. 6770 and the Rules of Procedure of the Office of the Ombudsman with respect to the finality and execution of decisions are not affected by the ruling in *Fabian v. Desierto*, and therefore still stand. It is a fundamental principle in statutory construction that a statute may be constitutional in one part and unconstitutional in another and that if the invalid part is severable from the rest, the portion which is unconstitutional may stand while that which is constitutional is stricken out and rejected. Whenever a statute contains unobjectionable provisions separable from those found to be unconstitutional, it is the duty of the court to so declare and to maintain the act insofar as it is valid. The separability clause found in Section 40 of Republic Act No. 6770 creates the presumption that the legislature intended separability, rather than complete nullity of the statute.

Likewise, the Court finds unavailing the claim of petitioners that the stay of execution pending appeal from the order, directive or decision of the Office of the Ombudsman violates the equal protection clause for being unfair to government employees charged under the Civil Service Law, where the decisions in disciplinary cases are immediately executory. The legislature has seen fit to grant a stay of execution pending appeal from disciplinary cases where the penalty imposed by the Office of the Ombudsman is not public censure, reprimand, or suspension of not more than one month, or a fine not equivalent to one month salary. Courts may not, in the guise of interpretation, enlarge the scope of a statute and include therein situations not provided for intended by the lawmakers. An omission at the time of enactment, whether careless or calculated, cannot be judicially supplied notwithstanding that later wisdom may recommend the inclusion.

All told, the Court of Appeals committed no grave abuse of discretion in issuing the Writ of Preliminary Mandatory Injunction enjoining the execution of private respondent's suspension pending appeal. The penalty imposed on private respondent for Conduct Prejudicial To The Best Interest of The Service was six (6) months and one (1) day suspension without pay. Considering that private respondent appealed from the

decision of the Office of the Ombudsman, the stay of execution of the penalty of suspension should therefore issue as a matter of right.

Finally, the Court of Appeals did not abuse its discretion in directing petitioners to explain within ten (10) days from notice why they should not be cited for indirect contempt of court for failing to implement the resolution dated March 16, 2000 restraining the execution pending appeal of the January 6, 2000 decision and February 4, 2000 order of the Office of the Ombudsman. It is within the inherent powers of the Court of Appeals to ensure compliance with its lawful orders.

5.25. Limitations of rule.

The rule of *expressio unius est exclusio alterius* is not a rule of law. It is a mere tool of statutory construction or a means of ascertaining the legislative intent. It is not of universal application. Like other rules of statutory construction, it cannot be used to defeat the plainly indicated purpose of the legislature.²⁰⁶ The rule, not being inflexible nor a mechanical or technical tool, must yield to what is clearly a legislative intent.²⁰⁶

The maxim, *expressio unius est exclusio alterius*, is no more than an auxiliary rule of interpretation to be ignored where other circumstances indicate that the enumeration was not intended to be exclusive.²⁰⁷ Thus, where the rule enumerates the provisions which are applicable to proceedings in municipal trial courts in cases falling within their jurisdictions, the fact that the provision making the date of mailing a pleading as shown by the post office registry receipt as the date of filing in court is not one of those enumerated does not mean that it is not applicable to proceedings in municipal trial courts. The reason is that there are circumstances indicating that the enumeration is not intended to be exclusive, as shown by the fact that to exclude the provision and others not mentioned therein would be productive of undesirable consequences not intended by its framers, and disruptive of the principle that uniformity of rules is designed to simplify procedures in all courts.²⁰⁸

²⁰⁶*Escribano v. Avila*, G.R. No. 30375, September 12, 1978, 85 SCRA 245, citing 82 C.J.S. 668.

²⁰⁶*Gomez v. Ventura*, 54 Phil. 726 (1930).

²⁰⁷*Escribano v. Avila*, G.R. No. 30375, September 12, 1978, 85 SCRA 245.

²⁰⁸*Manabat v. Aquino*, 92 Phil. 1025 (1953).

Nor does the maxim, *expressio unius est exclusio alterius*, apply where the enumeration is by way of example or to remove doubts only.²⁰⁹ The case of *Gomez v. Ventura*²¹⁰ illustrates this exception to the rule. The issue in this case is whether the prescription by a physician of opium for a patient whose physical condition did not require the use of such drug constitutes "unprofessional conduct" as to justify revocation of the physician's license to practice. Counsel for the physician contends that since the statute enumerates five instances constituting "unprofessional conduct," none of which refers to the prescription of opium on such patient, the same cannot be a valid ground for the revocation of the physician's license, in accordance with the rule of *expressio unius*. In rejecting such contention, the court said: "It cannot be seriously contended that aside from the five examples specified, there can be no other conduct of a physician deemed 'unprofessional.' Nor can it be convincingly argued that the legislature intended to wipe out all other forms of 'unprofessional' conduct therefor deemed grounds for revocation of licenses. The maxim *expressio unius est exclusio alterius* should be applied only as a means of discovering legislative intent and should not be permitted to defeat the plainly indicated purpose of the legislature. It does not apply when words are mentioned by way of example or to remove doubts. If, therefore, there exists 'unprofessional' conduct not specified in the law, with more reason does the criminal use of opium remain a specific cause for revocation of the license."²¹¹

The maxim *expressio unius est exclusio alterius* does not also apply in case a statute appears upon its face to limit the operation of its provision to particular persons or things by enumerating them, but no reason exists why other persons or things not so enumerated should not have been included and manifest injustice will follow by not including them.²¹² In other words, the maxim is not applicable if there is some special reason for mentioning one thing and none for mentioning another which is otherwise within the statute, so that the absence of any mention of such other will not exclude it.²¹³

²⁰⁹*Gomez v. Ventura*, 54 Phil. 726 (1930).

²¹⁰54 Phil. 726 (1930).

²¹¹*Ibid.* at pp. 732-734.

²¹²*People v. Manantan*, 115 Phil. 627 (1962); *City of Manila v. Lyric Music House, Inc.*, 62 Phil. 125 (1935); *Olfato v. Commission on Elections*, G.R. No. 52749, March 31, 1981, 103 SCRA 741.

²¹³*Escribano v. Avila*, G.R. No. 30375, September 12, 1978, 85 SCRA 245, citing 82 C.J.S. 670.

For instance, adherence to the legal maxim should be rejected if its application will result in incongruities or a violation of the equal protection clause of the Constitution.²¹⁴

The principle of *expressio unius est exclusio alterius* may be disregarded if adherence thereto would cause inconvenience, hardship, and injury to the public interest.²¹⁵ For instance, where a statute provides that the "majority of the (municipal) council elected shall constitute a quorum to do business," which "shall be presided by the mayor," and another statute requires that the vice-mayor, or in his place, the councilor who obtained the largest number of votes, should perform the duties of the mayor in the event of the latter's temporary incapacity, this enumeration would ordinarily be interpreted as exclusive, following the rule of *expressio unius est exclusio alterius* and therefore preclude the majority members of the council from transacting business should the mayor, vice-mayor and councilor receiving the largest number of votes boycott the council meeting. However, to construe the enumeration as exclusive or to apply the maxim would lead to inconvenience, hardship and injury to public service, as it would place in the hands of these three officials an instrument to defeat the law vesting the legislative power in the municipal council by merely boycotting or refusing to attend the sessions of the council. Hence, the maxim should be disregarded and the statute construed to mean that should these three officials be unable to discharge their duties for any reason, the councilor receiving the next highest number of votes can preside over the sessions of the council.²¹⁶

In the last analysis, the question as to whether the express enumeration of things, persons or consequences excludes all others not mentioned depends upon legislative intent. The maxim is resorted to as a guide in ascertaining the probable intention of the lawmaker.²¹⁷ Where the legislative intent shows that the enumeration is not exclusive, the maxim does not apply.²¹⁸

²¹⁴Chua v. Civil Service Commission, 206 SCRA 65 (1992).

²¹⁵Javellano v. Tayo, G.R. No. 18919, December 29, 1962, 6 SCRA 1042 (1962).

²¹⁶*Ibid.*

²¹⁷Tabora v. Gavino, 79 Phil. 421 (1949).

²¹⁸Escribano v. Avila, G.R. No. 30375, September 12, 1978, 85 SCRA 245; Tabora v. Gavino, 79 Phil. 421 (1949); Olfato v. Commission on Elections, G.R. No. 52749, March 31, 1981, 103 SCRA 741.

In *San Pablo Manufacturing Corp. v. Commissioner of Internal Revenue*, G.R. No. 147949, June 22, 2006, the issue was whether petitioner's goods were exempt from tax. The Court answered the issue in the negative, as follows:

"The language of the exempting clause of Section 168 of the 1987 Tax Code was clear. The tax exemption applied only to the exportation of rope, coconut oil, palm oil, *copra* by-products and dessicated coconuts, whether in their original state or as an ingredient or part of any manufactured article or products, by the proprietor or operator of the factory or by the miller himself.

The language of the exemption proviso did not warrant the interpretation advanced by SPMC. Nowhere did it provide that the exportation made by the purchaser of the materials enumerated in the exempting clause or the manufacturer of products utilizing the said materials was covered by the exemption. Since SPMC's situation was not within the ambit of the exemption, it was subject to the 3% miller's tax imposed under Section 168 of the 1987 Tax Code.

SPMC's proposed interpretation unduly enlarged the scope of the exemption clause. The rule is that the exemption must not be so enlarged by construction since the reasonable presumption is that the State has granted in express terms all it intended to grant and that, unless the privilege is limited to the very terms of the statute, the favor would be intended beyond what was meant.

Where the law enumerates the subject or condition upon which it applies, it is to be construed as excluding from its effects all those not expressly mentioned. *Expressio unius est exclusio alterius*. Anything that is not included in the enumeration is excluded therefrom and a meaning that does not appear nor is intended or reflected in the very language of the statute cannot be placed therein. The rule proceeds from the premise that the legislature would not have made specific enumerations in a statute if it had the intention not to restrict its meaning and confine its terms to those expressly mentioned.

The rule of *expressio unius est exclusio alterius* is a canon of restrictive interpretation. Its application in this case is consistent with the construction of tax exemptions in *strictissimi juris* against the taxpayer. To allow SPMC's claim

for tax exemption will violate these established principles and unduly derogate sovereign authority."

Where expressio, etc., is not applicable

The Court in *Coconut Oil Refiners Assn., Inc. v. Torres*, G.R. No. 132527, July 29, 2005 ruled that *expressio unius est exclusio alterius* is not applicable where words are used by example only. The Court ruled:

The phrase "tax and duty-free importations of raw materials, capital and equipment" was merely cited as an example of incentives that may be given to entities operating within the zone. Public respondent SBMA correctly argued that the maxim *expressio unius est exclusio alterius*, on which petitioners impliedly rely to support their restrictive interpretation, does not apply when words are mentioned by way of example. It is obvious from the wording of Republic Act No. 7227, particularly the use of the phrase "such as," that the enumeration only meant to illustrate incentives that the SSEZ is authorized to grant, in line with its being a free port zone.

Furthermore, said legal maxim should be applied only as a means of discovering legislative intent which is not otherwise manifest, and should not be permitted to defeat the plainly indicated purpose of the Legislature.

5.26. Doctrine of *casus omissus*.

The rule of *casus omissus pro omisso habendus est* states that a person, object or thing omitted from an enumeration must be held to have been omitted intentionally. The principle proceeds from a reasonable certainty that a particular person, object or thing has been omitted from a legislative enumeration. In other words, the maxim operates and applies only if and when the omission has been clearly established, and in such a case what is omitted in the enumeration may not, by construction, be included therein.²¹⁹ The court cannot under its power of interpretation supply the omission even though the omission may have resulted from inadvertence or because the case in question was not foreseen or contemplated.²²⁰

²¹⁹*People v. Manantan*, 115 Phil. 657 (1962).

²²⁰*Cartwright v. Cartwright*, 40 A2d 30, 155 ALR 1088 (1944).

The rule of *casus omissus* does not apply where it is shown that the legislature did not intend to exclude the person, thing or object from the enumeration.²²¹ If such legislative intent is clearly indicated, the court may supply the omission if to do so will carry out the clear intent of the legislature and will not do violence to its language.²²²

5.27. Doctrine of last antecedent.

Generally speaking, qualifying words restrict or modify only the words or phrases to which they are immediately associated. They do not qualify words or phrases which are distantly or remotely located.²²³ In other words, in the absence of legislative intent to the contrary, preferential and qualifying words and phrases must be applied only to their immediate or last antecedent, and not to the other remote or preceding words or association of words. This rule of legal hermeneutics is commonly known as the doctrine of last antecedent.²²⁴ Simply stated, the doctrine means that a qualifying word or phrase should be understood as referring to the nearest antecedent.²²⁵ The maxim expressive of this rule is *ad proximum antecedens fiat relatio nisi impediatur sententia*, or relative words refer to the nearest antecedents, unless the context otherwise requires.

The use of a comma to separate an antecedent from the rest exerts a dominant influence in the application of the doctrine of last antecedent. Thus, it has been held that the qualifying effect of a modifying word or phrase will be confined to its immediate antecedent if the latter is separated by a comma from the other antecedents.²²⁶

5.28. Illustration of rule.

Where a statute defines the word "tenant" as a "person who, himself and with the aid available from within his immediate

²²¹*People v. Manantan*, 115 Phil. 657 (1962).

²²²*Norville v. State Tax Commission*, 97 P2d 937, 126 ALR 1318 (1940). For detailed discussion on the subject, see Sec. 4.10, *supra*.

²²³*Felipe v. De la Cruz*, 99 Phil. 940 (1956); *Tirona v. Cudiamat*, G.R. No. 21235, May 31, 1965, 14 SCRA 264.

²²⁴*Pangilinan v. Alvendia*, 101 Phil. 794 (1957); *Florentino v. Phil. National Bank*, 98 Phil. 959 (1956).

²²⁵*Roldan v. Villaroman*, 69 Phil. 12 (1939).

²²⁶*Nera v. Garcia*, 106 Phil. 1031 (1960); *Florencio v. Phil. National Bank*, 98 Phil. 959 (1956).

farm household, cultivates the land belonging to, or possessed by another," and the phrase "immediate farm household" as "members of the family of the tenant, and such other person or persons, whether related or not, who are dependent upon him for support and who usually help operate the farm enterprise," the term "members of the family of the tenant" includes the tenant's son, son-in-law, or grandson even though they are not dependent upon him for support and living separately from him because the qualifying phrase "who are dependent upon him for support" refers solely to its last antecedent, namely, "such other person or persons, whether related to the tenant or not" and because in the absence of a clear and categorical imperative, the court will not construe statutes in a sense inconsistent with the rational unity of the Filipino family.²²⁷

In *Florentino v. Philippine National Bank*,²²⁸ the question raised is whether holders of backpay certificates can compel government-owned banks to accept said certificates in payment of the holder's obligations to the bank. A statute provides that the holder of a backpay certificate may apply the same for payment of "obligations subsisting at the time of the approval of this amendatory act for which the applicant may directly be liable to the government or to any of its branches or instrumentalities, or to corporations owned or controlled by the government, or to any citizens of the Philippines or to any association or corporation organized under the laws of the Philippines, who may be willing to accept the same for such settlement." The Philippine National Bank, a government-owned bank, contends that the phrase "who may be willing to accept the same for such settlement," which implies discretion, qualifies corporations owned or controlled by the government and it cannot therefore be compelled to accept such backpay certificate in payment of the holder's obligation with it. The court, invoking the doctrine of last antecedent, ruled that the phrase qualifies only its last antecedent, namely, "any citizen of the Philippines or association or corporation organized under the laws of the Philippines." It noted that there is a comma before the phrase "or to any citizen, etc.," separating said phrase from the proceeding one which thereby implies that the qualifying phrase applies only to its immediate antecedent. Accordingly, the court held that backpay certificate holders can compel government-owned banks to accept said certificates for payment of their obligations with the bank.

²²⁷*Pangilinan v. Alvendia*, 101 Phil. 794 (1957).

²²⁸98 Phil. 959 (1956).

5.29. Qualification of the doctrine.

The doctrine of last antecedent is subject to the exception that where the intention of the law is to apply the phrase to all antecedents embraced in the provision, the same should be made extensive to the whole. The principle of last antecedent is merely an aid to the construction of statutes and will not be adhered to where extension to a more remote antecedent is clearly required by a consideration of the entire act. Slight indication of legislative intent so to extend the relative term is sufficient.²²⁹ Nor does the doctrine apply where the intention is not to qualify the antecedent at all.²³⁰

Thus, it has been held that the word "and" in the phrase "facilities, improvements, infrastructures and other forms of development, x x x which are offered and indicated in the approved subdivision or condominium plans" indicates that the words "which are offered and indicated in the subdivision or condominium plans" refer not only to "other forms of development" but also to "facilities, improvements, infrastructures" because "and" is not meant to separate words but is a conjunction used to denote a joinder or union, in accordance with the rule, *ad proximum antecedens fiat relatio nisi impediatur sententia* or relative words refer to the nearest antecedent, unless it be prevented by the context.²³¹

5.30. *Reddendo singula singulis*.

A variation of the doctrine of last antecedent is the rule of *reddendo singula singulis*. The maxim means referring each to each; referring each phrase or expression to its appropriate object, or let each be put in its proper place, that is, the words should be taken distributively.²³² As a rule of statutory construction, *reddendo singula singulis* requires that the antecedents and consequences should be read distributively to the effect that each word is to be applied to the subject to which it appears by context most appropriately related and to which it is most applicable.²³³

²²⁹*Roldan v. Villaroman*, 69 Phil. 12 (1939); *Cornejo v. Naval*, 54 Phil. 908 (1930); *Ochate v. Deling*, 105 Phil. 384 (1959).

²³⁰*Heras Teehankee v. Director of Prisons*, 76 Phil. 756 (1946).

²³¹*Mapa v. Arroyo*, 175 SCRA 76 (1989).

²³²*People v. Tamani*, G.R. No. 22160, January 21, 1974, 55 SCRA 153, citing 76 C.J.S. 175.

²³³*King v. Hernaez*, 114 Phil. 730 (1962), citing 2 Sutherland, *Statutory Construction*, Sec. 4819.

*People v. Tamani*²³⁴ illustrates the application of *reddendo singula singulis*. One of the questions raised in this case is when to count the 15-day period within which to appeal a judgment of conviction in a criminal action — whether from the date of promulgation of judgment or from the date of receipt of the notice of judgment. Section 6, Rule 122 of the Rules of Court provides that “an appeal must be taken within fifteen (15) days from promulgation or notice of the judgment or order appealed from.” In holding that the 15-day period should be counted from the promulgation and not from receipt of copy of the judgment, the court said: “The word ‘promulgation’ in Section 6 should be construed as referring to ‘judgment’; while the word ‘notice’ should be construed as referring to ‘order.’ That construction is sanctioned by the rule of *reddendo singula singulis*.”²³⁵ In another case,²³⁶ which involves the question as to whether a Chinese holding a noncontrol position in a retail establishment, which is a wholly nationalized business, comes within the prohibition against aliens intervening “in the management, operation, administration or control thereof (nationalized or partly nationalized enterprise), whether as an officer, employee or laborer therein,” the court ruled that the words “management, operation, administration or control,” followed by the phrase “whether as an officer, employee or laborer therein” signify, following the rule of *reddendo singula singulis*, that the entire scope of personnel activity, including that of laborers, is covered by the prohibition against the employment of aliens. It added that by reading the words “management, operation, administration or control,” in connection with the positions therein enumerated, one cannot draw any other conclusion than that they cover the entire range of employment.

In *Amadora v. Court of Appeals*,²³⁷ one of the issues raised is whether Article 2180 of the Civil Code, which states that “Lastly, teachers or heads of establishments of arts and trade shall be liable for damages caused by their pupils and students or apprentices so long as they remain in their custody” applies to all schools, academic as well as non-academic. The Supreme Court ruled: “Where the school is academic rather than technical or vocational in nature,

²³⁴G.R. No. 22160, January 21, 1974, 55 SCRA 153 (1974).

²³⁵*Ibid.* at p. 157.

²³⁶*King v. Hernaez*, 114 Phil. 730 (1962).

²³⁷160 SCRA 315 (1988); see *Pasco v. Court of First Instance of Bulacan*, 160 SCRA 784 (1988).

responsibility for the tort committed by the student will attach to the teacher in charge of such student, following the first provision. This is the general rule. In case of the establishments of arts and trades, it is the head thereof, and only he, (who) shall be held liable as an exception to the general rule. In other words, teachers in general shall be liable for the acts of their students except where the school is technical in nature, in which case it is the head thereof who shall be answerable. Following the canons of *reddendo singula singulis*, ‘teachers’ should apply to the words ‘pupils and students’ and ‘heads of establishments of arts and trades’ to the words ‘apprentices.’”

C. PROVISOS, EXCEPTIONS AND SAVING CLAUSES

5.31. Provisos, generally.

Generally, the office of a proviso is either to limit the application of the enacting clause, section, or provision of a statute, or to except something therefrom, or to qualify or restrain its generality, or to exclude some possible ground of misinterpretation of it, as extending to cases not intended by the legislature to be brought within its purview.²³⁸ The common and usual role of a proviso is to restrain or qualify the generality of the enacting clause or section to which it refers. Its primary purpose is to limit or restrict the general language or operation of the statute, not to enlarge it.²³⁹

A proviso is commonly found at the end of a section, or provision of a statute, and is introduced, as a rule, by the word “Provided.” A proviso may also be introduced by some other words or phrases, such as “but nothing herein” which is nevertheless in the nature of a proviso and should be construed as such.²⁴⁰ The use of the word “provided” does not, however, necessarily make the clause or phrase to which it is associated a proviso. What determines whether a clause is a proviso is its substance rather than its form. If it performs any of the functions of a proviso, then it will be regarded as such,

²³⁸*Minis v. United States*, 15 Pet 445, 10 L. ed. 791 (1838); *Chartered Bank of India v. Imperial*, 48 Phil. 931 (1921); *U.S. v. Santo Niño*, 13 Phil. 141 (1909); *Arenas v. City of San Carlos*, G.R. No. 34024, April 5, 1978, 82 SCRA 318.

²³⁹*Chartered Bank of India v. Imperial*, 48 Phil. 931 (1921); *Borromeo v. Mariano*, 41 Phil. 322 (1921).

²⁴⁰*Borromeo v. Mariano*, *supra*.

irrespective of what word or phrase is used to introduce it. In short, it is a question of legislative intent.²⁴¹

5.32. Proviso may enlarge scope of law.

It has been held that "even though the primary purpose of the proviso is to limit or restrain the general language of a statute, the legislature, unfortunately, does not always use it with technical correctness; consequently, where its use creates an ambiguity, it is the duty of the court to ascertain the legislative intention, through resort to the usual rules of construction applicable to statutes generally and give it effect even though the statute is thereby enlarged, or the provision made to assume the force of independent enactment and although a proviso as such has no existence apart from which it is designed to limit or qualify."²⁴²

A proviso may thus enlarge, instead of restrict or limit, what otherwise is a phrase of limited import had there been no proviso qualifying it. For instance, a statute provides that "it shall be unlawful for any person to carry concealed about his person any bowie, knife, dagger, *kris*, or other deadly weapon: *Provided*, That this provision shall not apply to firearms in the possession of persons who have secured a license therefor or who are entitled to same under the provisions of this Act." It is claimed that under this provision, an unlicensed firearm concealed about the person does not come within the phrase "other deadly weapon," following the rule of *ejusdem generis*. The court said that such contention might be tenable had there been no proviso which, in excepting from the prohibition the carrying of a licensed firearm, clearly implies that an unlicensed firearm is included in the phrase "other deadly weapon." The court added that in this case, the proviso of the act clearly indicates that in the view of the legislature, the carrying of unlicensed revolver would be a violation of the Act. By the proviso it manifested its intention to include in the prohibition weapons other than the *armas blancas* therein specified.²⁴³

²⁴¹*Manila Electric Co. v. Public Utilities Employees' Assn.*, 79 Phil. 409 (1947).

²⁴²*Commissioner of Internal Revenue v. Filipinas Compania de Seguros*, 107 Phil. 1065, 1060 (1960), citing E.T. Crawford, *Statutory Construction*, pp. 604-605.

²⁴³*U.S. v. Santo Nino*, 13 Phil. 141 (1909).

5.33. Proviso as additional legislation.

A proviso may also assume the role of an additional legislation. Thus, it has been held that the "usual and primary office of a proviso is to limit generalities and exclude from the scope of the statute that which otherwise would be within its terms. But it may sometimes mean simply additional legislation. A clear and unqualified purpose expressed in the opening statement of a section of a statute comprising several subdivisions has been construed as controlling and limiting a proviso attached to one of the subdivisions, where the proviso, if segregated therefrom, would mean exactly the reverse of what it necessarily implied when read in connection with the limitation."²⁴⁴

5.34. What proviso qualifies.

The general rule is that the office of the proviso qualifies or modifies only the phrase immediately preceding it or restrains or limits the generality of the clause that it immediately follows. A proviso is to be construed with reference to the immediately preceding part of the provision, to which it is attached, and not to the statute itself or to other sections thereof.²⁴⁵ It should be confined to that which directly precedes it, or to the section to which it has been appended, unless it clearly appears that the legislature intended it to have a wider scope.²⁴⁶

Illustrative of the rule is the proviso in Section 15 of Republic Act No. 426 which states: "Any existing law, executive order or regulation to the contrary notwithstanding, no government office, agency, or instrumentality except the Import Control Commission shall allocate the import quota among the various importers: *Provided*, That the Philippine Rehabilitation and Trade Administration shall have exclusive power and authority to determine and regulate the allocation of wheat flour among importers." To the argument that this proviso excluded wheat flour from the scope of the Act itself, the court said that the proviso can only refer to the clause immediately preceding it and can have no other meaning than that the function of allocating the wheat flour instead of being assigned to the Import Control Commission was assigned to the Philippine Rehabilitation

²⁴⁴*Chartered Bank of India v. Imperial*, 48 Phil. 931, 948 (1921), citing *Ruling Case Law*, Vol. 3, par. 18, p. 179.

²⁴⁵*Chinese Flour Importers Assn. v. Price Stabilization Board*, 89 Phil. 469 (1961); *Arenas v. City of San Carlos*, G.R. No. 24024, April 5, 1978, 82 SCRA 318.

²⁴⁶*Collector of Internal Revenue v. Angeles*, 101 Phil. 1026 (1967).

and Trade Administration. If the intent of the law is to exempt wheat flour from the provisions of the Act, the proviso would have been placed in the section containing the repealing clause.²⁴⁷ Similarly, where an earlier section of a statute contains a proviso, which is not embodied in a later section thereof, the proviso should, in the absence of legislative intent to the contrary, be confined to qualify only the section to which it has been appended, for had the intent been to apply it to both sections, or words would have been inserted therein to make that intent clear.²⁴⁸

In *Flores v. Miranda*,²⁴⁹ the contention of petitioner that approval by the Public Service Commission of the sale of a public service vehicle was not necessary because of the proviso in Section 20 of Commonwealth Act No. 146 was rejected, said Section 20 reading in part that "it shall be unlawful for any public service vehicle or for the owner, lessee or operator thereof, without the previous approval and authority of the Commission previously had x x x to sell, alienate, x x x its property, franchise, certificate, privilege, or right, or any part thereof, x x x *Provided, however*, That nothing herein contained shall be construed to prevent the transaction from being negotiated or completed before its approval or to prevent the sale, alienation, or lease by any public service of any of its property in the ordinary course of business." The Supreme Court held that "the proviso x x x means only that the sale without the required approval is still valid and binding between the parties" and the "phrase in the ordinary course of business x x x could not have been intended to include the sale of the vehicle itself, but at most may refer only to such property that may be conceivably disposed of by the carrier in the ordinary course of its business, like junked equipment."

In another case, one of the issues raised is whether the proviso introduced by the phrase "Provided, That" qualifies both project employees and casual employees, or only the latter, in the provision which states: "x x x except where the employment has fixed for a specific project or undertaking the completion or termination of which has been determined at the time of the engagement of the employee or where the work or services to be performed is seasonal in nature and the employment is for the duration of the season."

²⁴⁷Chinese Flour Importers Assn. v. Price Stabilization Board, 89 Phil. 469 (1951).

²⁴⁸Collector of Internal Revenue v. Angeles, 101 Phil. 1026 (1957).

²⁴⁹105 Phil. 266, 270-271 (1959).

"An employment shall be deemed to be casual if it is not covered by the preceding paragraph: *Provided*, That, any employee who has rendered at least one year service, whether such service is continuous or broken, shall be considered a regular employee with respect to the activity in which he is employed and his employment shall continue while such actually exists." It was held that the proviso refers only to casual employees: "In the case of *Merrado, Sr. vs. National Labor Relations Commission*, this Court ruled that the proviso in the second paragraph of Article 280 relates only to casual employees and is not applicable to those who fall within the definition of said Article's first paragraph, i.e., project employee. The familiar grammatical rule is that a proviso is to be construed with reference to the immediately preceding part of the provision to which it is attached, and not to other sections thereof, unless the clear legislative intent is to restrict or qualify only the phrase immediately preceding the proviso but also earlier provisions of the statute or even the statute itself as a whole. No such intention is observable in Article 280 of the Labor Code."²⁵⁰

5.35. Exception to the rule.

The rule that a proviso should be construed to qualify only the immediately preceding part of the section to which it is attached is true only if no contrary legislative intent is indicated. Where the legislative intent is to restrain or qualify not only the phrase immediately preceding it but also earlier provisions of the statute or even the statute itself as a whole, then the proviso will be construed in that manner, in order that the intent of the law may be carried out.²⁵¹

5.36. Repugnancy between proviso and main provision.

A proviso should be so construed as to harmonize, and not to repeal or destroy, the main provision of the statute. Where there is, however, an irreconcilable conflict or repugnancy between a proviso and the main provision of a statute, that which is located in a later portion of the statute prevails, unless there is a legislative intent to the contrary or such construction will destroy the whole

²⁵⁰ALI-TUCP v. NIRC, 54 SCAD 49, 234 SCRA 678, 688 (1994).

²⁵¹*Arenas v. City of San Carlos*, G.R. No. 34024, April 5, 1978, 82 SCRA 318; *Commissioner of Internal Revenue v. Filipinas Compania de Seguros*, 107 Phil. 1055 (1960).

statute itself.²⁸² The latter provision, whether a proviso or not, is given preference because it is the latest expression of the intent of the legislation.²⁸³

5.37. Exceptions, generally.

An exception consists of that which would otherwise be included in the provision from which it is excepted.²⁸⁴ It is a clause which exempts something from the operation of a statute by express words. It is generally expressed in such words as "except," "unless otherwise," and "shall not apply," and such similar words as are used to take out of the enactment something which would otherwise be part of its subject matter.²⁸⁵ However, an exception need not be introduced by the words "except" or "unless." An exception will be construed as such if it removes something from the operation of a provision of law.²⁸⁶

The function of an exception is neither to color nor to dominate nor to destroy the general rule. It is often said that an exception confirms the general rule. It should not be construed to qualify the words or phrases constituting the general rule.²⁸⁷

It is well-settled that the express mention of exceptions operates to exclude other exceptions; and conversely, those which are not within the enumerated exceptions are deemed included in the general rule.²⁸⁸ Thus, where a statute expressly excepts certain matters from the operation of the statute, the implication is that without such exception the matter comes within the general rule. That is why there is need for the express exception.²⁸⁹ And a thing not being excepted, it must be regarded as coming within the purview of the general rule, expressed in the maxim, *exceptio firmat regulam in casibus non exceptis*.²⁹⁰

Exceptions, as a general rule, should be strictly but reasonably construed; they extend only so far as their language fairly warrants,

²⁸²Borromeo v. Mariano, 41 Phil. 322 (1921).

²⁸³Arenas v. City of San Carlos, G.R. No. 34024, April 6, 1978, 82 SCRA 318.

²⁸⁴Chartered Bank of India v. Imperial, 48 Phil. 931 (1921).

²⁸⁵Manila Electric Co. v. Public Utilities Employees' Assn., 79 Phil. 409 (1947).

²⁸⁶Pendon v. Diasnes, 91 Phil. 848 (1952).

²⁸⁷Heras Teehankee v. Director of Prisons, 76 Phil. 756 (1946).

²⁸⁸State v. Reed, 170 A2d 419, 91 ALR2d 797 (1961).

²⁸⁹Cervantes v. Central Bank, 91 Phil. 359 (1952). See Sec. 5.21, *supra*.

²⁹⁰Hodges v. Municipal Board of Iloilo, 19 SCRA 28 (1967).

and all doubts should be resolved in favor of the general provisions rather than the exception. Where a general rule is established by statute with exceptions, the court will not curtail the former nor add to the latter by implication.²⁹¹

5.38. Exception and proviso distinguished.

An exception differs from a proviso. An exception exempts something absolutely from the operation of a statute, by express words in the enacting clause. A proviso defeats its operation conditionally. An exception takes out of the statute something that otherwise would be a part of the subject matter of it. A proviso avoids them by way of defeasance or excuse. An exception is generally a part of the enactment itself, absolutely excluding from its operation some subject or thing that otherwise would fall within its scope. But when the enactment is modified by engraving upon it a new provision, by way of amendment, providing conditionally for a new case, it is in the nature of a proviso.²⁹²

However, as earlier noted, one of the functions of a proviso is to except something from an enacting clause. In this sense, an exception and a proviso are similar.²⁹³

5.39. Illustration of exception.

An illustration of the application of an exception is *Manila Electric Co. v. Public Utilities Employees' Association*,²⁹⁴ which involves the interpretation of Section 4 of Commonwealth Act No. 444 which reads: "No person, firm, or corporation, business establishment or place or center of labor shall compel an employee or laborer to work during Sundays and legal holidays, unless he is paid an additional sum of at least twenty-five per centum of his regular remuneration: *Provided, however*, That this prohibition shall not apply to public utilities performing some public service such as supplying gas, electricity, power, water, or providing means of transportation or communication." The question raised is whether *Manila Electric Co.*, which is a public utility company supplying electricity, is liable to pay an additional compensation of twenty-five per centum of the regular remuneration in favor of those employees required to work

²⁹¹Samson v. Court of Appeals, 145 SCRA 654 (1986).

²⁹²Rowell v. Janurim, 151 N.Y. 60, 45 N.E. 396.

²⁹³Chartered Bank of India v. Imperial, 48 Phil. 931 (1921).

²⁹⁴79 Phil. 409 (1947).

during Sundays and legal holidays. In resolving the question in the negative, the court held: "Said Section 4 consists of two parts: the first, which is the enactment clause, prohibits a person, firm or corporation, business establishment or place or center of labor from compelling an employee or laborer to work during Sundays and legal holidays, unless the former pays the latter an additional sum of at least twenty-five *per centum* of his regular remuneration; and the second part, which is an exception, exempts public utilities performing some public service ~~xxx~~ from the prohibition established in the enactment clause. As appellant is a public utility that supplies electricity and provides means of transportation to the public, it is evident that the appellant is exempt from the qualified prohibition established in the enactment clause, and may compel its employees or laborers to work during Sundays and legal holidays without paying them said extra compensation. To hold that the exception or second part of Section 4 only exempts public utilities mentioned therein from the prohibition to compel employees or laborers to work during those days, is to make an exception to a general rule that does not exist, because the prohibition in the enactment clause is not an absolute prohibition to compel a laborer or employee to work during Sundays and legal holidays. The prohibition to compel a laborer or employee to work during those days is qualified by the clause 'unless he is paid an additional sum of at least twenty-five per centum of his regular remuneration,' which is inseparable from the prohibition which they qualify and of which they are part and parcel. The second portion of Section 4 is in reality an exception, and not a proviso although it is introduced by the word 'provided,' and it is elemental that an exception takes out of an enactment, something which would otherwise be a part of the subject matter of it."²⁸⁶

In *Tolentino v. Secretary of Finance*,²⁸⁶ it is claimed that the "except" clause in the provision of Art. VI, Sec. 26(2) of the 1987 Constitution, which reads: "No bill passed by either House shall become a law unless it has passed three readings on separate days, and printed copies thereof in its final form have been distributed to its Members three days before its passage, except when the President certifies to the necessity of its immediate enactment to meet a public calamity or emergency," qualifies only its nearest antecedent, namely, the distribution of the printed bill in its final form three days from its final passage, and not the three readings

on separate days. The Court ruled: "The phrase 'except when the President certifies to the necessity of its immediate enactment, etc.,' in Art. VI, Sec. 26(2) qualifies the two stated conditions before a bill can become a law: (i) the bill has passed three readings on separate days, and (ii) it has been printed in its final form and distributed three days before it is finally approved." "In other words, the 'unless' clause must be read in relation to the 'except' clause, because the two are really coordinate clauses of the same sentence. To construe the 'except' clause as simply dispensing with the second requirement in the 'unless' clause (i.e., printing and distribution three days before final approval) would not only violate the rules of grammar. It would also negate the very premise of the 'except' clause: Necessity of securing the immediate enactment of a bill which is certified in order to meet a public calamity or emergency."²⁸⁷

The rule that an exception need not be introduced by the word "except" or "unless" is illustrated in *Pendon v. Diasnes*.²⁸⁸ The issue raised is whether a person convicted of a crime against property, who was granted absolute pardon by the President, is entitled to vote. The law involved provides that a person shall not be qualified to vote "who has been sentenced by final judgment to suffer one year or more of imprisonment, such disability not having been removed by plenary pardon," or "who has been declared by final judgment guilty of any crime against property." The court ruled that, by the terms of the first clause, two exceptions are provided, namely, a person penalized by less than one year, and a person granted an absolute pardon; and the second clause creates an exception to the first, but not to the second, exception, namely, that a person convicted of a crime against property cannot vote irrespective of the length of sentence meted out, unless given absolute pardon by the President. Construing the two clauses together, the court said that "absolute pardon for any crime for which one year of imprisonment or more was meted out restores the prisoner to his political rights. When the penalty is less than one year, disqualification does not attach, except when the crime committed is one against property, in which case the prisoner has to have a pardon."²⁸⁹

Another example of the rule that an exception need not be introduced by the word "except" or "unless" is *Gorspe v. Court of*

²⁸⁶*Ibid.*, at pp. 411-412.

²⁸⁶54 SCAD 671, 235 SCRA 630 (1994).

²⁸⁷*Ibid.*, pp. 664-665.

²⁸⁸91 Phil 848 (1952).

²⁸⁹*Ibid.*, at p. 852.

*Appeals.*²⁷⁰ The issue raised in this case is whether actual receipt of a registered mail after the five-day period provided for in Section 8, Rule 27 of the Rules of Court, which states that "service by registered mail is complete upon actual receipt by the addressee; but if he fails to claim his mail from the post office within five days from the date of first notice of the postmaster, the service shall take effect at the expiration of such time," is the date from which to count the prescriptive period to comply with certain requirements. The Supreme Court ruled that the service is completed on the fifth day after the first notice, even if he actually received the mail months later.²⁷¹ "Indeed, the structure of the sentence permits no other inference. The second part is separated by a semicolon, and begins with 'but' which indicates that the following is an exception to the rule enunciated in the first that service is completed upon actual receipt."

5.40. Saving clause.

A saving clause is a clause in a provision of law which operates to except from the effect of the law what the clause provides,²⁷² or to save something which would otherwise be lost.²⁷³ It is usually used to except or save something from the effect of a repeal of a statute. Thus, the legislature, in repealing a statute, may preserve, in the form of a saving clause, the right of the state to prosecute and punish offenses committed in violation of the repealed law.²⁷⁴ Where existing procedure is altered or substituted by another, it is usual to save those proceedings pending under the old law at the time the new law takes effect, by means of a saving clause.²⁷⁵

A saving clause should be construed in the light of the intent or purpose which the legislature had in mind in providing it in a statute, the principal consideration being to effectuate such intent or carry out such purpose. It should be given a liberal or strict construction depending upon the kind of interpretation that should, considering its nature, be given to the statute as a whole.

²⁷⁰106 Phil. 1144, 1148 (1959).

²⁷¹Bautista v. Fule, 85 Phil. 391 (1950).

²⁷²Shaw v. Aldecoa v. Hongkong & Shanghai Bank, 30 Phil. 228 (1915).

²⁷³Ong Chang Wing v. U.S., 40 Phil. 1046 (1910); Lagrimas v. Director of Prisons, 57 Phil. 247 (1932).

²⁷⁴Sanchez de Aldecoa v. Hongkong & Shanghai Bank, 30 Phil. 228 (1915).

Chapter VI

STATUTE CONSTRUED AS WHOLE AND IN RELATION TO OTHER STATUTES

A. STATUTE CONSTRUED AS WHOLE

6.01. Generally.

A statute is passed as a whole and not in parts or sections and is animated by one general purpose and intent. Consequently, each part or section should be construed in connection with every other part and section so as to produce a harmonious whole. It is not proper to confine the attention of one section to be construed. It is always an unsafe way of construing a statute to divide it by a process of etymological dissection, into separate words, and then apply to each, thus separated from its context, some particular definitions given by lexicographers, and then reconstruct the statute upon the basis of these definitions.¹

In other words, the whole and every part of a statute should be construed together.²

The Court explained why the whole statute must be construed as a whole, thus:

The law must be considered as a whole, just as it is necessary to consider a sentence in its entirety in order to grasp its true meaning. It is a dangerous practice to base construction

¹Sotto v. Sotto, 43 Phil. 688 (1922), citing Sutherland on *Statutory Construction*, 2nd ed., Sec. 386; Araneta v. Concepcion, 99 Phil. 709 (1956); Tamayo v. Gsell, 35 Phil. 953 (1916).

²National Tobacco Adm. v. COA, 110 SCAD 353, 311 SCRA 755 (1999), citing Ruben Agpalo, *Statutory Construction*, 1986 ed., p. 181.

upon only a part of a section since one portion may be qualified by the other portion. Where a requirement is made in explicit and unambiguous terms, no discretion is left to the judiciary. It must see to it that its mandate is obeyed. (*Cattis v. CA*, 482 SCRA 71 [2006])

In *Aguino v. Quezon City*, G.R. No. 137534, August 3, 2006, the Court ruled:

A rule of statutory construction is that a statute must be construed as a whole. The meaning of the law is not to be extracted from a single part, portion or section or from isolated words and phrases, clauses or sentences, but from a general consideration or view of the act as a whole. Every part of the statute must be interpreted with reference to the context. In line with this rule, the Court finds that Section 65's notice of delinquency should be read in line with the Section 67's statement that the different tax remedies do not require a formal demand for the payment but may be substituted by the notice of delinquency. Reference to the notice of delinquency in relation to tax remedies, in general, illustrates the former's function as a prerequisite to all the individual tax remedies subsequently detailed. Also, the phrase "notice of delinquency as required in Section sixty-five" found on the last part of Section 67 further underscores its mandatory nature and interrelation to the three remedies.

It is incorrect for the respondents to claim that notice of delinquency has limited application only to distraint of personal property. They mistakenly lumped Section 65 exclusively with Sections 68 to 72 and, in so doing, restricted its application from the other tax remedies. Section 65 is to be construed together with Sections 66 and 78 and all three operate in reference to tax methods in general. Definitely, there is no more logical way to construe the whole chapter on "Collection of Real Property Tax" (Sections 56 to 85) than to stress that while three methods are provided to enforce collection on real property taxes, a notice of delinquency is a requirement regardless of the method or methods chosen.

Thus, while the Court agrees with the respondents' interpretation that there are three methods by which taxes may be enforced, petitioners are correct in insisting that two notices must be sent to the taxpayer concerned. Nevertheless,

TO OTHER STATUTES

A. Statute Construed as Whole

respondents still prevail because the Court is satisfied that the two-notice requirement has been complied with by the Treasurer's Office.

Contrary to the stand taken by Petitioners Aquino, despite the provisions of Section 65, the local government concerned need not post and publish the notice of delinquency, it being sufficient that personal service was done. In *Talusan v. Tayag*, one of the issues raised was the lack of publication of the notice of delinquency. As to this issue the Court said, speaking through now Chief Justice Panganiban:

Petitioners assert that the tax sale should be annulled because of noncompliance with the requirement of publication prescribed in Section 65 of PD 464.

In this regard, we note that unlike land registration proceedings which are *in rem*, cases involving an auction sale of land for the collection of delinquent taxes are *in personam*. Thus, notice by publication, though sufficient in proceedings *in rem*, does not as a rule satisfy the requirement of proceedings *in personam*. As such, mere publication of the notice of delinquency would not suffice, considering that the procedure in tax sales is *in personam*. It was, therefore, still incumbent upon the city treasurer to send the notice of tax delinquency directly to the taxpayer in order to protect the interests of the latter.

In the present case, the notice of delinquency was sent by registered mail to the permanent address of the registered owner in Manila. In that notice, the city treasurer of Baguio City directed him to settle the charges immediately and to protect his interest in the property. Under the circumstances, we hold that the notice sent by registered mail adequately protected the rights of the taxpayer, who was the registered owner of the condominium unit.

Petitioners Aquino admit that notice of delinquency was mailed, hence, they cannot complain that their rights were not adequately protected. Publication and posting not being indispensable, there was proper compliance with Section 65.

Petitioner Heirs, on the other hand, made no such admission but, on the contrary, argued that no notice of delinquency was prepared by the City Treasurer much less sent to Solomon Torrado. The Court holds, for one, that this is a question of

fact that will generally not be resolved on a petition for review. Second, records bear out that a Notice of Intent to Sell dated October 6, 1982 was sent by the Treasurer's Office to Solomon Torrado. While this was not captioned as a "Notice of Delinquency," its contents sufficiently inform the recipient of the deficiency in real property taxes, and this notice is apart from the subsequent Notice of Sale sent immediately prior to the auction sale.

Hence, on the common issue concerning compliance with P.D. No. 464, the Court rules in favor of respondents.

The Court proceeds to the common issue of actual versus constructive notice of sale.

Petitioners Aquino argue that actual notice is required and, therefore, the mailing of the Notice of Sale to their last known address, which they had abandoned, did not constitute valid notice under the law. Petitioner Heirs likewise argue that constructive notice to the delinquent owner of the real property by mailing is not sufficient, especially when the local government concerned is aware that the mailed notices have not reached the owner.

The applicable provision in regard to this issue is found in the last paragraph of Section 73, quoted above. Under said provision, notices of the sale at public auction may be sent to the delinquent taxpayer, either (i) at the address as shown in the tax rolls or property tax record cards of the municipality or city where the property is located or (ii) at his residence, if known to such treasurer or barrio captain. Plainly, Section 73 gives the treasurer the option of where to send the notice of sale. In giving the treasurer the option, nowhere in the wordings is there an indication of a requirement that notice must actually be received by the intended recipient. Compliance by the treasurer is limited to strictly following the provisions of the statute: He may send it at the address of the delinquent taxpayer as shown in the tax rolls or tax records or to the residence if known by him or the *barrio* captain.

In both petitions, the City Treasurer opted to comply with the first option. Petitioners Aquino and Petitioner Heirs do not deny that notices were sent to their or their predecessor's address, as shown in the tax records. The named persons in the notices sent by City Treasurer were the correct delinquent

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taxpayers and were the registered owners of the property subject to tax, albeit the mailing addresses were not to their actual residences. Therefore, the prescribed procedure in auction sales of property for tax delinquency was followed punctiliously. Had the City Treasurer sent the notices to an address other than the one indicated in the tax records, and such address is not the residence known to the treasurer or *barangay* captain, or if sent to a person who is not the registered owner of the property, then the Court would be able to declare non-compliance with the law. But the fact that petitioners were not able to read their notices is of no consequence to the annulment of the auction sale.

Additionally, Petitioner Heirs maintain that the Treasurer's Office was already aware that Solomon Torrado's address stated in the tax records as "Butuan City" was insufficient so that the notices could not possibly be sufficient for the notices to reach the recipient. There was however a more complete address indicated in the tax records for the improvements to Lot 8, which was No. 20 North Road, Cubao, Quezon City. Petitioner Heirs argue that the City Treasurer could have used this address instead of repeatedly sending notice to an insufficient address which for certain would be returned unclaimed.

The fault herein lies with Solomon Torrado and not with the City Treasurer. Solomon Torrado's use in his tax declarations for Lot 8, as well as in TCT No. 21996, the minimal address of "Butuan City," is further compounded by the fact that he can no longer be found in Butuan City as he had moved to Quezon City since 1959. He, therefore, had more than 25 years, or 25 opportunities, to amend his address and provide the City Treasurer of a more complete and reliable one. By neglecting to do so, he was aware of the chances he was taking should notices be sent to him by the Treasurer's Office. Instead, he maintained the terse address of "Butuan City."

In contrast, the Treasurer's Office cannot be faulted for not sending the notices to Solomon Torrado's address at No. 20 North Road, Cubao, Quezon City, which was indicated in his tax declarations to his other properties. As discussed, the last paragraph of Section 73 instructs the treasurer on where to send the notice of sale: either at the address as shown in the tax rolls or property tax record cards of the municipality or

city where the property is located or at his residence, if known to such treasurer or barrio captain. Petitioner Heirs have not shown that the City Treasurer or *barrio* captain actually knew that Solomon Torrado's residence was No. 20 North Road, Cubao, Quezon City. Therefore, the City Treasurer could not be blamed for having mailed the notices to the address shown in the tax records, which was in conformity with Section 73.

In disposing of these two issues, there is no further need to discuss the issues of estoppel and good faith.

6.02. Intent ascertained from statute as whole.

The intent or meaning of a statute should be ascertained from the statute taken as a whole and not from an isolated part or provision thereof.³ The legislative meaning is to be extracted from the statute as a whole. Its clauses are not to be segregated, but every part of a statute is to be construed with reference to every other part and every word and phrase in connection with its context.⁴ This is so because the law is the best expositor of itself.⁵ *Optima statuti interpretatrix est ipsum statutum*. The best interpreter of a statute is the statute itself.⁶

It has been held that in the proper interpretation of statutes, it is not permissible to inquire into the motives which influenced the legislative body, except insofar as such motives are disclosed by the statute itself.⁷

The court in a case explained the rule in detail:

"The particular words, clauses and phrases should not be studied as detached and isolated expressions, but the whole and every part of the statute must be considered in fixing the meaning of any of its parts and in order to produce a harmonious

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whole. A statute must be so construed as to harmonize and give effect to all its provisions whenever possible. The meaning of the law, it must be borne in mind, is not to be extracted from any single part, portion or section or from isolated words and phrases, clauses or sentences but from a general consideration or view of the act as a whole. Every part of a statute must be interpreted with reference to the context. This means that every part of the statute must be considered together with the other parts, and kept subservient to the general intent of the whole enactment, not separately and independently.⁸ "For taken in the abstract, a word or phrase might easily convey a meaning quite different from the one actually intended and evident when the word or phrase is considered with those with which it is associated. Thus, an apparent general provision may have a limited application if viewed together with other provisions."⁹ And the details of one part may contain regulations restricting the extent of the general expression used in another part of the same act.¹⁰ For instance, the phrase "device or arrangement" in the provision that "it shall be unlawful for any person, not being authorized by all the parties to any private communication or spoken word to tap any wire or cable or by using any other device or arrangement, to secretly overhear, intercept, or record such communication or spoken word by using such device commonly known as dictaphone or dictagraph or detectaphone or walkie-talkie or tape recorder, or however otherwise described," cannot be construed in isolation to include "extension of a telephone unit" or a "party line," but should instead be interpreted in relation to the words "tap," "to secretly overhear, intercept or record," which would thus restrict the meaning of the phrase as excluding "extension of telephone unit" or "party line" because such words require that there be either a physical interruption through a wiretap or the deliberate installation of a device in order to overhear, intercept, or record the spoken words.¹¹

In *National Tobacco Adm. v. COA*,¹² the issue raised was whether educational assistance benefit given to individuals prior

³Manila Lodge No. 761 v. Court of Appeals, G.R. No. 41001, September 30, 1976, 73 SCRA 162; Borromeo v. Mariano, 41 Phil. 322 (1921).

⁴Tamayo v. Gsell, 35 Phil. 953 (1916); Aboitiz Shipping Corp. v. City of Cebu, G.R. No. 14626, March 61, 1965, 13 SCRA 449; Sanchaingo v. Rono, 137 SCRA 671 (1985); Commission of Internal Revenue v. TMX Sales, Inc., 205 SCRA 184 (1992).

⁵Lopez v. El Hogar Filipino, 47 Phil. 249 (1925).

⁶Loyola Grand Villas Homeowners (South) Assn., Inc. v. Court of Appeals, 276 SCRA 681 (1997), citing Agralo, *Statutory Construction*, 3rd ed., p. 197.

⁷Del Mar v. Phil. Amusement and Gaming Corp., 138 SCAD 952, 346 SCRA 485 (2000).

⁸Aisporma v. Court of Appeals, G.R. No. 39419, April 12, 1982, 113 SCRA 459, 466-467 (1982).

⁹Aboitiz Shipping Corp. v. City of Cebu, G.R. No. 14526, March 31, 1965, 13 SCRA 449, 453 (1965).

¹⁰Lopez v. El Hogar Filipino, 47 Phil. 249 (1925).

¹¹Gaanan v. Intermediate Appellate Court, 145 SCRA 112 (1986).

¹²110 SCAD 363, 311 SCRA 756 (1999).

to enactment of R.A. No. 6758 should continue to be received by them. This issue depends upon the proper interpretation of the first sentence of Sec. 12 of R.A. No. 6758, which states that "such other additional compensation not otherwise specified herein as may be determined by the DBM shall be deemed included in the standardized salary rates herein prescribed," and the second sentence of said Sec. 12, which provides that "Such other additional compensation, whether in cash or in kind, being received by incumbents only as of July 1, 1989 not integrated into the standard salary rates shall continue to be authorized." The Court ruled that the first sentence is a "catch-all provision" that refers to allowances, while the second sentence refers to benefits in the nature of financial assistance and not allowance. The Court cited rules of statutory construction to explain its conclusion, thus:

"Cardinal is the rule in statutory construction that the particular words, clauses and phrase should not be studied as detached and isolated expressions, but the whole and every part of the statute must be considered in fixing the meaning of any of its parts and in order to produce a harmonious whole. A statute must be so construed as to harmonize and give effect to all its provisions whenever possible.¹⁵ And the rule — that statute must be construed as a whole — requires that apparently conflicting provisions should be reconciled and harmonized, if possible. It is likewise a basic precept in statutory construction that the intent of the legislature is the controlling factor in the interpretation of the subject statute.¹⁶ With these rules and the foregoing distinction elaborated upon, it is evident that the two seemingly irreconcilable propositions are susceptible to perfect harmony. Accordingly, the Court concludes that under the aforesaid 'catch-all provision,' the legislative intent is just to include the fringe benefits which are in the nature of allowances and since the benefit under controversy is not in the same category, it is safe to hold that subject educational assistance is not one of the fringe benefits within the contemplation of the first sentence of Section 12 but rather, of the second sentence of Section 12, in relation to Section 17 of R.A. No. 6758 x x x."¹⁷

¹⁵Citing Ruben Agpalo, *Statutory Construction*, 1986 ed., pp. 181, 183, 38.
¹⁶110 SCAD 353, 311 SCRA, p. 767.

6.03. Purpose or context as controlling guide.

A statute must always be construed as a whole, and the particular meaning to be attached to any word or phrase is usually to be ascertained from the context, the nature of the subject treated and the purpose or intention of the body which enacted or framed the statute. In other words, statutes must receive a reasonable construction, reference being had to their controlling purpose, to all their provisions, force and effect being given not narrowly to isolated and disjointed clauses, but to their spirit, broadly taking all their provisions together in one rational view. Neither grammatical construction nor the letter of the statute nor its rhetorical framework should be permitted to defeat its clear and definite purpose to be gathered from the whole act, comparing part with part. A statute must receive such reasonable construction as will, if possible, make all its parts harmonize with each other, and render them consistent with its scope and object.¹⁵

6.04. Giving effect to statute as a whole.

Because a statute is enacted in whole and not in parts or sections, which implies that one part is as important as the other, the statute should be construed and given effect as a whole. A provision or section which is unclear by itself may be made clear by reading and construing it in relation to the whole statute. Accordingly, in order to properly and intelligently construe a provision or section of a statute, understand its meaning and scope, and apply it to an actual case, the courts should consider the whole act itself.¹⁶ In other words, every part of a statute should be given effect because a statute is enacted as an integrated measure and not as a hodgepodge of conflicting provisions.¹⁷

In construing a statute, courts "have to take the thought conveyed by the statute as a whole; construe the constituent parts together; ascertain the legislative intent from the whole act; consider each and every provision thereof in the light of the general purpose of the statute; and endeavor to make every part effective,

¹⁵*Soto v. Soto*, 43 Phil. 688 (1922), citing *Sutherland on Statutory Construction*, 2nd ed., Sec. 368; *Araneta v. Concepcion*, 99 Phil. 709 (1956).

¹⁶*Maddumba v. Ozaeta*, 82 Phil. 345 (1948); *Lopez v. El Hogar Filipino*, 47 Phil. 249 (1925).

¹⁷*JMM Promotions & Management, Inc. v. NIRC*, 46 SCAD 442, 228 SCRA 129 (1993).

harmonious, and sensible."¹⁸ Courts should adopt a construction that will give effect to every part of a statute, if at all possible. This rule is expressed in the maxim, *ut res magis valeat quam pereat* or that construction is to be sought which gives effect to the whole of the statute — its every word.¹⁹ Hence, where a statute is susceptible of more than one interpretation, the court should adopt such reasonable and beneficial construction as will render the provision thereof operative and effective and harmonious with each other.²⁰

In *JMM Promotions & Management, Inc. v. NLRB*,²¹ three provisions of the POEA rules are involved: (1) a provision which requires cash or surety bond as a requirement for perfecting an appeal; (2) another provision which requires cash bond and surety bond to answer for all valid and legal claims against the employer; and (3) another provision which requires the amount to be placed in escrow to answer for claims of recruited workers. It is claimed that the appeal cash or surety bond should not be required for perfection of appeal from a decision of the POEA because the recruitment agency has already posted bonds and escrow money. In rejecting such contention, the Court ruled: "Under the petitioner's interpretation, the appeal bond required by Section 6 of the aforementioned POEA Rule should be disregarded because of the earlier bonds and escrow money it has posted. The petitioner would in effect nullify Section 6 as a superfluity but we do not see any such redundancy; on the contrary, we find that Section 6 complements Sections 4 and 17. The rule is that a construction that would render a provision inoperative should be avoided; instead, apparently inconsistent provisions should be reconciled whenever possible as parts of a coordinated and harmonious whole."²²

¹⁸*Republic v. Reyes*, G.R. No. 22550, May 19, 1966, 17 SCRA 170, 193 (1966); U.P. Board of Regents v. Auditor General, G.R. No. 19617, October 31, 1969, 30 SCRA 5, 19 (1969).

¹⁹*Almeida v. Florentino*, G.R. No. 23800, December 21, 1965, 15 SCRA 514 (1965); *U.S. v. Estapita*, 37 Phil. 17 (1917); *JMM Promotions & Management, Inc. v. NLRB*, 46 SCAD 492, 228 SCRA 129 (1993).

²⁰*Javellana v. Teyo*, G.R. No. 18919, December 29, 1962, 6 SCRA 1042 (1962); *Radio-Telegraph Phil., Inc. v. Intermediate Appellate Court*, 199 SCRA 373 (1991), citing *Agpalo, Statutory Construction*, p. 182.

²¹46 SCAD 492, 228 SCRA 129 (1993).

²²*Ibid.*, p. 138.

6.05. Apparently conflicting provisions reconciled.

The rule that a statute must be construed and given effect as a whole requires that apparently conflicting provisions should be reconciled and harmonized, if at all possible. The various provisions should be read together so that all may, if possible, have their due and conjoint effect, without repugnancy or inconsistency.²³ All the provisions, even if apparently contradictory, should be allowed to stand and given effect by reconciling them.²⁴ The statute must be so construed as to prevent a conflict between parts of it. For it is only by so construing a statute that the statute will be given effect as a whole.²⁵

Accordingly, the courts, when confronted with apparently conflicting statutes should endeavor to reconcile them instead of declaring outright the invalidity of one against the other. Courts should harmonize them, if this is possible, because they are equally the handiwork of the same legislature.²⁶

In *Republic v. Court of Appeals*,²⁷ the issue raised is whether in cases involving claims for just compensation under Rep. Act No. 6657, otherwise known as the Comprehensive Agrarian Reform Law, an appeal from the decision of the provincial adjudicator to the DARAB must first be made before a landowner can resort to the Regional Trial Court under Sec. 57. The Republic and the Land Bank sustain the affirmative proposition and they cite Sec. 50 which reads that: "The DAR is hereby vested with primary jurisdiction to determine and adjudicate agrarian reform matters and shall have exclusive original jurisdiction over all matters involving the implementation of agrarian reform, except those falling under the exclusive jurisdiction of the Department of Agriculture (DA) and the Department of Environment and Natural Resources (DENR)." They argue that the fixing of just compensation for the taking of lands is a matter involving the implementation of agrarian reform within the contemplation of the provision. They invoke Sec. 16(f), which provides that "any party who disagrees to the decision [of the DAR] may bring the matter to the court of proper jurisdiction for final determination of just compensation," as confirming their

²³*Lichauco & Co. v. Apostol*, 44 Phil. 138 (1922).

²⁴*Araneta v. Concepcion*, 99 Phil. 709 (1956).

²⁵*People v. Uy Jui Pto.*, 102 Phil. 679 (1957).

²⁶*Akayan v. COMELEC*, G.R. No. 147066, March 26, 2001.

²⁷75 SCAD 741, 263 SCRA 758 (1996).

construction of Sec. 50. The Court held that the contention has no merit:

"It is true that Sec. 50 grants the DAR primary jurisdiction to determine and adjudicate 'agrarian reform matters' and exclusive original jurisdiction over 'all matters involving the implementation of agrarian reform,' except those falling under the exclusive jurisdiction of the Department of Agriculture and the Department of Environment and Natural Resources. It is also true, however, that Sec. 57 provides x x x The Special Agrarian Courts shall have original and exclusive jurisdiction over all petitions for the determination of just compensation to landowners, and the prosecution of all criminal offenses under this Act. x x x The provision of Sec. 50 must be construed in harmony with this provision by considering cases involving the determination of just compensation and criminal cases for violations of R.A. No. 6657 as excepted from the plenitude of power conferred on the DAR. Indeed, there is a reason for this distinction. The DAR is an administrative agency which cannot be granted jurisdiction over cases of eminent domain (for such are takings under R.A. No. 6657) and 'over criminal cases' because 'the valuation of property in eminent domain is essentially a judicial function which cannot be vested in administrative agencies x x x.'²⁸

*Sajonas v. Court of Appeals*²⁹ involves the issue as to what period an adverse claim annotated at the back of a transfer certificate of title is effective, which in turn depends upon the interpretation of Sec. 70 of P.D. No. 1529, which reads in part: "The adverse claim shall be effective for a period of thirty days from the date of registration. After the lapse of said period, the annotation of adverse claim may be cancelled upon filing of a verified petition therefor by the party in interest. *Provided, however,* That after cancellation, no second adverse claim based on the same ground shall be registered by the same claimant." In holding that the effectivity of a duly annotated adverse claim does not lapse after thirty days but continues until cancelled by the court in a verified petition filed for the purpose, the Court applied the rules of statutory construction, thus:

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"In construing the law aforesaid, care should be taken that every part thereof be given effect and a construction that could render a provision inoperative should be avoided, and inconsistent provisions should be reconciled whenever possible as parts of a harmonious whole. For taken in solitude, a word or phrase might easily convey a meaning quite different from the one actually intended and evident when a word or phrase is considered with those with which it is associated. In ascertaining the period of effectivity of an inscription of an adverse claim, we must read the law in its entirety. Sentence three, paragraph two of Section 70 of P.D. No. 1529 provides:

"The adverse claim shall be effective for a period of thirty days from the date of registration."

At first blush, the provision in question would seem to restrict the effectivity of the adverse claim to thirty days. But the above provision cannot and should not be treated separately, but should be read in relation to the sentence following, which reads:

"After the lapse of said period, the annotation of adverse claim may be cancelled upon filing of a verified petition therefor by the party in interest."

If the rationale of the law was for the adverse claim to *ipso facto* lose force and effect after the lapse of thirty days, then it would not have been necessary to include the foregoing caveat to clarify and complete the rule. For then, no adverse claim need be cancelled. If it has been automatically terminated by mere lapse of time, the law would not have required the party in interest to do a useless act.

x x x

It should be noted that the law employs the phrase 'may be cancelled,' which obviously indicates x x x that the court may or may not order the cancellation of an adverse claim x x x. It will therefore depend upon the evidence at a proper hearing for the court to determine whether it will order the cancellation of the adverse claim or not.

x x x

The reason why the law provides for a hearing where the validity of the adverse claim is to be threshed out is to afford

²⁸*Ibid.*, pp. 762-763.

²⁹71 SCAD 542, 258 SCRA 79 (1996).

the adverse claimant an opportunity to be heard, providing a venue where the propriety of his claimed interest can be established or revoked, all for the purpose of determining at last the existence of any encumbrance on the title arising from such adverse claim. This is in line with the provision immediately following:

Provided, however, That after cancellation, no second adverse claim shall be registered by the same claimant."³⁰

6.06. Special and general provisions in same statute.

Where there is a particular or special provision and a general provision in the same statute and the latter in its most comprehensive sense would overrule the former, the particular or special provision must be operative and the general provision must be taken to affect only the other parts of the statute to which it may properly apply. In other words, the particular or special provision is construed as an exception to the general provision. In this way, all the provisions are given effect.³¹

6.07. Construction as not to render provision nugatory.

Another corollary of the rule that the whole statute should, if possible, be given effect is that a provision of a statute should be so construed as not to nullify or render nugatory another provision of the same statute.³²

Thus, Sec. 24 of P.D. No. 464, otherwise known as "The Real Property Tax Code," which provides the effective date of assessment or re-assessment of property subject to tax and made applicable protectively, and Sec. 25 thereof which covers other property subject to assessment and to back taxes, should be construed together and both given effect, for "if Section 24 is the only applicable provision in cases where a taxpayer has eluded the payment of the correct amount of taxes for more than nine (9) years, as in this case, Section 25 of P.D. No. 464 which requires the payment of back taxes will be rendered superfluous and nugatory."³³

³⁰*Ibid.*, pp. 95-98.

³¹*Lichanoo & Co. v. Apostol*, 44 Phil. 138 (1922); *Cassion v. Banco Nacional Filipino*, 89 Phil. 560 (1951).

³²*People v. Gatchalian*, 104 Phil. 664 (1958).

³³*Sesobreno v. Central Board of Assessment Appeals*, 81 SCAD 62, 270 SCRA 360 (1997).

The principle is expressed in the maxim, *interpretatio fenda est ut res magis valeat quam pereat*, which means that a law should be interpreted with a view to upholding rather than destroying it. One portion of a statute should not be construed to destroy the other. A construction that would render a provision inoperative or ineffective should be avoided.³⁴ The provisions should be harmonized and reconciled, if possible; they should be construed together as means to effect the purpose of the law. The most general and absolute terms of one section may be qualified and limited by conditions and exceptions contained in another so that all may stand together.³⁵

6.08. Reason for the rule.

The construction that requires that apparently conflicting provisions of a statute be reconciled and harmonized, if at all possible, and that a provision should be so construed as not to nullify another, is based on the presumption that the legislature has enacted a statute whose provisions are in harmony and consistent with each other and that conflicting intentions in the same statute are never supposed or regarded.³⁶ For "consistency in statutes is of prime importance. All laws are presumed to be consistent with each other. In interpreting statutes, courts are hidebound by the rule that theirs is to reconcile and to harmonize; and if possible, to avoid inconsistency and repugnancy; to give the laws a conjoint, not discordant effect."³⁷

6.09. Qualification of rule.

If notwithstanding efforts, one part of a statute cannot be reconciled or harmonized with another part without nullifying one in favor of the other, the court should, in construing the statute, choose one which will best effectuate the legislative intent. The rule is that, where absolute harmony between parts of a statute is demonstrably not possible, the court must reject that one which is least in accord

³⁴*Javellana v. Tayo*, G.R. No. 18919, December 29, 1962, 6 SCRA 1042; *People v. Derilo*, 271 SCRA 633 (1997).

³⁵*Chartered Bank of India v. Imperial*, 48 Phil. 931 (1921); *People v. Palmon*, 86 Phil. 350 (1950); *Ilocos Norte Electric Co., Inc. v. Municipality of Laoag*, G.R. No. 21058, November 23, 1966, 18 SCRA 703.

³⁶*People v. Garcia*, 85 Phil. 651 (1950); *Araneta v. Concepcion*, 99 Phil. 350 (1950).

³⁷*U.P. Board of Regents v. Auditor General*, G.R. No. 19617, October 31, 1969, 30 SCRA 5, 19 (1969).

with the general plan of the whole statute. However, if there be no such ground for choice between inharmonious provisions or sections, the latter provision or section, being the last expression of the legislative will, must, in construction, vacate the former to the extent of the repugnancy.³⁸ It has been held that in case of irreconcilable conflict between two provisions of the same statute, the last in order of position is frequently held to prevail, unless it clearly appears that the intent of the legislature is otherwise.³⁹ Thus, where a provision of a statute states that the board of medical examiners shall be composed of six members to be appointed by the President from a list of not more than twelve names approved and submitted by the Philippine Medical Association, and a later provision of the same statute allows the reappointment of members whose terms expired, a person reappointed by the President need not be in the list of recommendees of the Philippine Medical Association.⁴⁰

Where there is apparent conflict between two laws or provisions of a law which refer to the same subject matter and they cannot be harmonized and made to stand together by a fair and reasonable interpretation, the circumstances of their passage, among other aids to construction, should be inquired into to determine which should prevail. For instance, Rep. Act No. 1631 granted letter carriers a P1.00 post allowance per day, while Rep. Act No. 1800, a general appropriations act, prescribed post allowances for letter carriers and special delivery messengers of P0.50 each day. In holding that letter carriers were not entitled to P0.50 in addition to P1.00 under Rep. Act No. 1631, the Court took into account the fact that at the time the P0.50 post allowance was proposed, Rep. Act 1631 had not been enacted, indicating the legislative intent not to grant letter carriers the P0.50 post allowance in addition to what had been provided in Rep. Act No. 1631, and the fact that the subsequent appropriations act granted letter carriers and special delivery messengers post allowances of P1.00 and P0.50 each day, respectively. In this instance, the earlier law was made to prevail over the later law.⁴¹

³⁸*Lichauco & Co. v. Apostol*, 44 Phil. 138 (1922).

³⁹*Cuyegkeng v. Cruz*, 108 Phil. 1147 (1960); *Montenegro v. Castaneda*, 91 Phil. 882 (1952).

⁴⁰*Cuyegkeng v. Cruz*, 108 Phil. 1147 (1960).

⁴¹*Manila Letter Carriers' Assn. v. Auditor General*, 108 Phil. 605 (1960).

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6.10. Construction as to give life to law.

Laws must receive sensible interpretation to promote the ends for which they are enacted.⁴² They should be so given reasonable and practical construction⁴³ as will give life to them, if it can be done without doing violence to reason.⁴⁴ Conversely, a law should not be so construed as to allow the doing of an act which is prohibited by law,⁴⁵ nor so interpreted as to afford an opportunity to defeat compliance with its terms, create an inconsistency, or contravene the plain words of the law.⁴⁶ *Interpretatio fœdenda est ut res magis valeat quam pereat*, or that interpretation as will give the thing efficacy is to be adopted.

In construing a statute, courts should start with the assumption that the legislature did not do a vain thing in the enactment of the statute. It is presumed that the law enacted by the legislature is complete by itself, that the legislature did perform its function well, and that it intended to impart to its enactment such a meaning as will render it operative and effective.⁴⁷ It is a general principle, embodied in the maxim, *ut res magis valeat quam pereat*, that the courts should, if reasonably possible to do so without violence to the spirit and language of an act, so interpret a statute as to give it efficient operation and effect as a whole. An interpretation should, if possible, be avoided under which a statute or provision being construed is defeated, or as otherwise expressed, nullified, destroyed, emasculated, repealed, explained away, or rendered insignificant, meaningless, inoperative, or nugatory.⁴⁸ Accordingly, in case of doubt or obscurity, that construction as will avoid any of such results and as will instead make it fully operative and effective will be given the statute.⁴⁹

⁴²*Lo Chuan v. Ocampo*, 77 Phil. 636 (1946).

⁴³*Arabay, Inc. v. Court of First Instance of Zamboanga*, G.R. No. 37684, September 10, 1975, 66 SCRA 617 (1975).

⁴⁴*Gonzales v. De Dios*, 88 Phil. 770 (1951).

⁴⁵*Uy Ha v. City Mayor of Manila*, 108 Phil. 400 (1960).

⁴⁶*Asturias Sugar Central, Inc. v. Commissioner of Customs*, G.R. No. 19337, September 30, 1969, 29 SCRA 617 (1969).

⁴⁷*People v. Martin*, G.R. No. 38019, May 16, 1980, 97 SCRA 591 (1980); *Asturias Sugar Central, Inc. v. Commissioner of Customs*, G.R. No. 19337, 1969, 29 SCRA 617.

⁴⁸*Asturias Sugar Central, Inc. v. Commissioner of Customs*, G.R. No. 19337, September 30, 1969, 29 SCRA 617 (1969).

⁴⁹*U.S. v. Go Chio*, 14 Phil. 128 (1909); *People v. Martin*, G.R. No. 38019, May 16, 1980, 97 SCRA 591 (1980).

Illustrative of the rule is *Paras v. COMELEC*.⁵⁰ The issue raised in this case refers to the interpretation of the phrase "regular local election," in Sec. 74 of the Local Government Code of 1991 which states that "Any elective local official may be the subject of a recall election only once during his term of office for loss of confidence" and "No recall shall take place within one (1) year from the date of the official's assumption of office or one (1) year immediately preceding a regular local election." The question is whether the phrase "regular local election" includes the SK election which is set by Rep. Act No. 7808 to be held very three years from May 1996, while the regular local election was held in May 1995, also every three years thereafter. Pursuant to Sec. 74 of the Code, there would be no recall election from May 1995 to May 1996 nor from May 1997 to May 1998, except from May 1996 to May 1997. If the SK election which was scheduled in May 1996 is included in the phrase "regular local election," there would be no recall election from May 1996 to May 1997, which would mean that there would be no recall election at all, rendering the recall provision nugatory. The Court ruled that to construe the phrase "regular local election" as including SK elections, "no recall election can be conducted rendering inutile the recall provision of the Local Government Code." It held that it would "be more in keeping with the intent of the recall provision of the Code to construe regular local election as one referring to an election where the office held by the local elective official sought to be recalled will be contested and be filled by the electorate." It added that this construction is in accordance with the rule that in the "interpretation of a statute, the Court should start with the assumption that the legislature intended to enact an effective law, and the legislature is not presumed to have done a vain thing in the enactment of a statute." An interpretation should, if possible, be avoided under which a statute or provision being construed is defeated, or as otherwise expressed, nullified, destroyed, emasculated, repealed, explained away, or rendered insignificant, meaningless, inoperative or nugatory. x x x It is likewise a basic precept in statutory construction that a statute should be interpreted in harmony with the Constitution. Thus, the interpretation of Section 74 of the Local Government Code, specifically paragraph (b) thereof, should not be in conflict with the Constitutional mandate of Section 3 of Article X of the Constitution to "enact a local government code which shall provide for a more responsive and ac-

countable local government structure instituted through a system of decentralization with effective mechanisms of recall, initiative, and referendum x x x. Moreover, petitioner's too literal interpretation of the law leads to absurdity which we cannot countenance. Thus, in a case, the Court made the following admonition: "We admonish against a too-literal reading of the law as this is apt to constrict rather than fulfill its purpose and defeat the intention of its authors. That intention is usually found not in the letter that killeth but in the spirit that vivifieth."⁵¹

Another illustration of the rule is *Lalican v. Vergara*.⁵² The issue raised is whether the possession of "lumber" without the required legal documents is punishable under Sec. 68 of P.D. No. 705, as amended, which provides that "any person who shall x x x possess timber or other forest products without the legal documents as required under existing forest laws and regulations shall be punished with penalties imposed under Articles 309 and 310 of the Revised Penal Code." Respondent claimed that since the word "lumber" is not mentioned in the law, he cannot be held criminally liable for his possession of lumber without the required legal documents. In brushing aside such argument, the Court ruled that to "exclude possession of 'lumber' from the acts penalized in Sec. 68 would certainly emasculate the law itself. A law should not be so construed as to allow the doing of an act which is prohibited by law, nor so interpreted as to afford an opportunity to defeat compliance with its terms, create an inconsistency, or contravene the plain words of the law. After all, the phrase 'forest products' is broad enough to encompass lumber which, to reiterate, is manufactured timber. Hence, to mention lumber in Sec. 68 would merely result in tautology."⁵³

6.11. Construction to avoid surplusage.

The rule that a statute should be given effect as a whole requires that the statute be so construed as to make no part or provision thereof a surplusage. Each and every part of the statute should be given its due effect and meaning in relation to the rest. It is well-settled that whenever possible, a legal provision must not be so construed as to be a useless surplusage, and, accordingly,

⁵¹*Ibid.*, pp. 64-65.

⁵²276 SCRA 518.

⁵³*Ibid.*, p. 527, citing Agpalo, *Statutory Construction*, 3rd ed. (1995), p. 202.

meaningless in the sense of adding nothing to the law or having no effect whatsoever therein.⁸⁴ Nor should a word be so construed as to render other words or phrases associated with it serve no purpose.⁸⁵ This means that all efforts should be exerted to give some meaning to every word or phrase used in a statute. For the legislature, in enacting a law, is presumed to have used the word or phrase for a purpose. In short, the legislature, in enacting a statute, is supposed not to insert a provision which is unnecessary and a surplusage.⁸⁶

6.12. Application of rule.

Some cases may be cited to illustrate the rule. In *Mejia v. Balalong*,⁸⁷ the issue raised refers to the interpretation of Section 88 of the City Charter of Dagupan City⁸⁸ which reads: "The city government provided for in this charter shall be organized on such a date as may be fixed by the President of the Philippines and upon the qualification of the city mayor and the appointment or election of the members of the municipal board. Pending the next general election and municipal officials, the offices of the members of the board shall be filled by the appointment of the President of the Philippines, with the consent of the Commission on Appointments." Should the phrase "next general election" be the next one after the creation or coming into existence of the city, which is the date the law took effect, or should it be the next one after the organization of the city government by Presidential proclamation? The court ruled that the phrase refers to the next general election after the city came into being and not the one after its organization by Presidential proclamation. "To hold that the next general elections to which the law refers are those to be held after the date of the organization of the city government, set by the President, would make the alternative provision for the election of the members of the board nugatory or superfluous, because on the date set for organization of the government of the City of Dagupan, there would never be members of the Municipal Board elected."⁸⁹

⁸⁴*Uyengsu v. Republic*, 95 Phil. 890 (1954); *People v. Gatchalian*, 104 Phil. 664 (1958); *Mejia v. Balalong*, 81 Phil. 497 (1948); *Niere v. Court of First Instance of Negros Occidental*, G.R. No. 30324, November 29, 1973, 54 SCRA 165. See Sec. 4.18, *supra*.

⁸⁵*Javeliana v. Kintanar*, G.R. No. 33169, July 30, 1982, 115 SCRA 627.

⁸⁶*McCree v. Republic*, 94 Phil. 820 (1954).

⁸⁷81 Phil. 497 (1948).

⁸⁸Republic Act No. 170.

⁸⁹*Mejia v. Balalong*, *supra*.

In *Niere v. Court of First Instance of Negros Occidental*,⁹⁰ the law involved is Republic Act No. 4585, otherwise known as the Charter of the City of La Carlota, which provides in Section 1 thereof that the "Mayor shall appoint the city treasurer, the city health officer, the chief of police and fire department, and other heads and other employees of such city department as may be created." The question raised is: Does the city mayor have the power to appoint a city engineer pursuant to such law? The court answered the question in the negative and said that the phrase "and other heads and other employees of such departments as may be created," whom the mayor can appoint, refers to the heads of city departments that may be created after the law took effect, and does not embrace the city engineer. To rule otherwise is to render the first conjunction "and" before the words "fire department" a superfluity and without meaning at all.

In *Uyengsu v. Republic*,⁹¹ the issue involved is whether the requirement for naturalization that the applicant "will reside continuously in the Philippines from the date of the filing of the petition up to the time of his admission to Philippine citizenship" refers to actual residence or merely to legal residence or domicile. The court held that such requirement refers to actual or physical residence because to construe it otherwise is to render the clause a surplusage. Said the court: "It should be noted that to become a citizen of the Philippines by naturalization, one must reside therein for not less than 10 years, except in some special cases in which 5 years of residence is sufficient (Sections 2 and 3, Commonwealth Act No. 473). Pursuant to the provision above-quoted, he must also file an application stating therein, among other things, that he 'has the qualification required' by the law. Inasmuch as these qualifications include the residence requirements already referred to, it follows that the applicant must prove that he is a resident of the Philippines at the time, not only of the filing of the application, but also of its hearing. If the residence thus required is the actual or constructive permanent home, otherwise known as legal residence or domicile, then the applicant must be domiciled in the Philippines on both dates. Consequently, when Section 7 of Commonwealth Act No. 473 imposes upon the applicant the duty to state in his sworn application 'that he will reside continuously in the Philippines' in the intervening period, it cannot refer merely to the need of an

⁹⁰G.R. No. 30324, November 29, 1973, 54 SCRA 165.

⁹¹95 Phil. 890 (1954).

uninterrupted domicile or legal residence, irrespective of actual residence, for said legal residence or domicile is obligatory under the law, even in the absence of the requirement contained in said clause, and it is well-settled that, whenever possible, a legal provision must not be so construed as to be a useless surplusage, and, accordingly, meaningless, in the sense of adding nothing to the law or having no effect whatsoever thereon. This consequence may be avoided only by construing the clause in question as demanding actual residence in the Philippines from the filing of the petition for naturalization to its determination by the court."⁶²

In *Manila Lodge No. 761 v. Court of Appeals*,⁶³ the law involved is Public Act 1360, which authorized the City of Manila to reclaim a portion of Manila Bay, to form part of the Luneta extension and stipulated that the reclaimed land "shall be property of the City of Manila." The Act also provided that the City of Manila "is hereby authorized to set aside a portion thereof at the north end for a hotel site and either to lease or sell the same." The question is whether said reclaimed land is patrimonial land or of public dominion intended for public use. The answer to the question would determine the main issue of whether the sale of a portion of the reclaimed area without legislative authorization is null and void. The court held that if the land is patrimonial, it can be disposed of without statutory authorization. The Act uses the phrase "is hereby authorized." To authorize means to empower, to give a right to act, and "hereby" means "by means of this statute or action." To hold that the reclaimed land is patrimonial property, which can be disposed of without statutory authorization, is to render the provision of the law to the effect that the City of Manila "is hereby authorized to lease or sell" a portion thereof superfluous. And to so construe the statute as to render the phrase superfluous would violate the elementary rule of legal hermeneutics that effect must be given to every word, clause, and sentence of the statute and that a statute must be so interpreted that no part thereof becomes inoperative.

6.13. Statute and its amendments construed together.

The rule that all parts of a statute are to be harmonized and reconciled so that effect may be given to each and every part thereof

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applies to the construction of a statute and its amendments.⁶⁴ Changes made by the legislature in the form of amendments to a statute should be given effect, together with other parts of the amended act. It is not to be presumed that the legislature, in making such changes, was indulging in mere semantic exercise. There must be some purpose in making them, which should be ascertained and given effect.⁶⁵

The statute and its amendment should be read together and harmonized.⁶⁶ For instance, a city charter provides that "the municipal board shall have a secretary who shall be appointed by it to serve during the term of office of the members thereof." The charter was later amended by providing that the "vice-mayor shall appoint all employees of the board who may be suspended or removed in accordance with law." The amendment should be harmonized and construed with the earlier provision of the charter to the end that said provision and the amendment are both given effect. As thus construed with this end in view, the power of the vice-mayor to make appointment pursuant to the amendatory act is limited to the appointment of all employees of the board other than the board secretary who is to be appointed by the board itself.⁶⁷

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6.14. Statute construed in harmony with the Constitution.

As the Constitution is the fundamental law to which all laws are subservient, a statute should not be interpreted independently of the Constitution. The statute should be construed in harmony with, and not in violation of, the fundamental law.⁶⁸ The legislature, in enacting a statute, is presumed to have adhered to the constitu-

⁶⁴*People v. Garcia*, 85 Phil. 651 (1950).

⁶⁵*Tan Kim Kee v. Court of Appeals*, G.R. No. 18080, April 22, 1963, 7 SCRA 670; *Collector of Internal Revenue v. Reyes*, G.R. No. 10963, April 30, 1963, 7 SCRA 872.

⁶⁶*People v. Garcia*, 85 Phil. 651 (1950).

⁶⁷*Alameda v. Florentino*, G.R. No. 23800, December 21, 1965, 16 SCRA 514.

⁶⁸*Phil. Long Distance Telephone Co. v. Collector of Internal Revenue*, 90 Phil. 674 (1952); *Hebron v. Reyes*, 104 Phil. 175 (1958); *Primitias v. Purgos*, 80 Phil. 71 (1948); *Garcia v. COMELEC*, 55 SCAD 789, 237 SCRA 279 (1994), citing *Agpalo, Statutory Construction*, 2nd 1990 ed., p. 189.

⁶²*Ibid.*, at p. 893.

⁶³G.R. No. 41001, September 30, 1976, 73 SCRA 162 (1976).

tional limitations. Courts should accordingly presume that it was the intention of the legislature to enact a valid, sensible, and just law and one which operates no further than may be necessary to effectuate the specific purpose of the law.⁶⁹

It is a well-settled rule of statutory construction that a statute should be construed whenever possible in a manner that will avoid conflict with the Constitution.⁷⁰ The statute must be read and understood in the light of such provisions of the constitution as may bear on the subject so as to harmonize the former with the latter and avoid their conflicting with each other. It should not be construed in such a way as will give rise to a constitutional doubt.⁷¹ Nor should it be interpreted in such a manner as will render its application violative of a constitutional inhibition.⁷² Under the same principle, the constitutionality of a statute should not be prejudiced by applying the statute in a manner that will render it unconstitutional.⁷³ The statute should instead be interpreted to assure its being in consonance with, rather than repugnant to, any constitutional command or prescription. It should be given a construction that is in harmony with the tenets of the fundamental law.⁷⁴

Where a statute is reasonably susceptible of two constructions, one constitutional and the other unconstitutional, that construction in favor of its constitutionality shall be adopted,⁷⁵ and the construction that will render it invalid rejected.⁷⁶ To save the statute from a declaration of unconstitutionality, it must be given a reasonable

⁶⁹*In re Guarina*, 24 Phil. 37 (1913).

⁷⁰*Teekhankee v. Rovira*, 75 Phil. 634 (1945); *San Miguel Corp. v. Aveino*, G.R. No. 39699, March 14, 1979, 89 SCRA 69; *Automotive Parts & Equipment Co. v. Linagad*, G.R. No. 26406, October 31, 1969, 30 SCRA 248; *Sanchez v. Lyon Construction*, 87 Phil. 309 (1950); *In re Guarina*, 24 Phil. 37 (1913).

⁷¹*Abellana v. Marave*, G.R. No. 27760, May 29, 1974, 57 SCRA 106.

⁷²*People v. Zeta*, 98 Phil. 143 (1955).

⁷³*Asosacion Agricultores de Talisay-Silay, Inc. v. Talisay-Silay Milling Co., Inc.*, G.R. No. 19937, February 19, 1979, 88 SCRA 294.

⁷⁴*Mutuc v. Commission on Elections*, G.R. No. 32717, November 26, 1970, 36 SCRA 228; *J.M. Tuason & Co., Inc. v. Land Tenure Adm.*, G.R. No. 21064, February 18, 1970, 31 SCRA 413; *American Bible Society v. City of Manila*, 101 Phil. 386 (1957).

⁷⁵*Alba v. Evangelista*, 100 Phil. 683 (1957); *Maddumba v. Ozaeta*, 82 Phil. 345 (1948); *Benguet Exploration, Inc. v. Department of Agriculture and Natural Resources*, G.R. No. 29634, February 28, 1977, 75 SCRA 285 (1977); *De la Cruz v. Paras*, G.R. No. 42591, July 25, 1983, 123 SCRA 569.

⁷⁶*Asosacion Agricultores de Talisay-Silay, Inc. v. Talisay-Silay Milling Co., Inc.*, G.R. No. 19937, February 19, 1979, 88 SCRA 294.

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construction that will bring it within the fundamental law. Every intendment of the law should lean towards its validity, and the court should favor that construction which gives it the greater chance of surviving the test of constitutionality.⁷⁷ "It may be said to be an elementary, fundamental, and a universal rule of construction, applied when considering constitutional questions, that when a law is susceptible of two constructions one of which will maintain and the other destroy it, the courts will always adopt the former. Whenever a law can be so construed as to uphold it, it will be so construed although the construction so adopted does not appear to be as natural as another construction."⁷⁸ For this reason, courts may even be justified in disregarding the more usual and apparent import of the language used in the statute and in straining the ordinary meaning of words to avert any collusion or repugnancy between what the statute provides and what the Constitution requires, the objective being to reach an interpretation, if at all possible, that is free from constitutional defect.⁷⁹ Stated differently, if "there is doubt or uncertainty as to the meaning of the legislature, if the words or provisions are obscure, or if the enactment is fairly susceptible of two or more constructions, that interpretation will be adopted which will avoid the effect of unconstitutionality, even though it may be necessary, for this purpose, to disregard the more usual or apparent import of the language employed."⁸⁰ However, the court cannot, in order to bring a statute within the fundamental law, amend it by construction.⁸¹

Conformably with the rule that a law or phrase should be so construed as not to collide with or violate the Constitution or any of its precepts, the phrase "unless it is otherwise provided" in Article 2 of the Civil Code which provides that "laws shall take effect after fifteen days following the completion of their publication in the Official Gazette, unless it is otherwise provided" must be construed to refer to the date of effectivity of the law and not to the requirement of publication itself, which cannot in any event be dispensed with by the legislature. For the legislature to make

⁷⁷*San Miguel Corp. v. Aveino*, G.R. No. 39699, March 14, 1979, 89 SCRA 69; *Sanchez v. Lyon Construction*, 87 Phil. 309 (1950); *Galman v. Pamaran*, 138 SCRA 294 (1985).

⁷⁸*Uy Cong Yu v. Trinidad*, 47 Phil. 385, 415 (1925).

⁷⁹*Mutuc v. Commission on Elections*, G.R. No. 32717, November 26, 1970, 36 SCRA 228; *Galman v. Pamaran*, 138 SCRA 294 (1985).

⁸⁰*In re Guarina*, 24 Phil. 37, 47 (1913).

⁸¹*Yu Cong Eng v. Trinidad*, 271 U.S. 500, 70 L. ed. 1059 (1926).

laws effective upon approval or on any other date without previous publication is to collide with or violate the due process clause of the Constitution which requires publication of a law before it becomes binding. Hence, where the law merely provides that it shall take effect immediately, it means that it shall take effect after fifteen days from publication in the Official Gazette, unless it provides a different date of effectivity from publication in the Official Gazette or in a newspaper of general publication, in which case it shall take effect as thus otherwise provided.⁸²

6.15. Statutes *in pari materia*.

Statutes are *in pari materia* when they relate to the same person or thing, or have the same purpose or object, or cover the same specific or particular subject matter.⁸³ The later statute may specifically refer to the prior statutes. However, the fact that no reference is made to the prior law does not mean that the two laws are not *in pari materia*.⁸⁴ It is sufficient, in order that they may be considered *in pari materia*, that the two or more statutes relate to the same specific subject matter. Conversely, two or more laws are not *in pari materia* if they refer to different specific matters, although they both fall under the same broad subject.⁸⁵

6.16. How statutes *in pari materia* construed.

The rule is that a statute should be so construed not only to be consistent with itself but also to harmonize with other laws on the same subject matter, as to form a complete, coherent and intelligible system. The rule is expressed in the maxim, *interpretare et concordare leges legibus est optimus interpretandi modus*, or every statute must be so construed and harmonized with other statutes as to form a uniform system of jurisprudence.⁸⁶ Consistency in statutes as in executive issuances is of prime importance, and, in the absence

of a showing to the contrary, all laws are presumed to be consistent with each other. Where it is possible to do so, it is the duty of courts, in the construction of statutes, to harmonize and reconcile them, and to adopt a construction of a statutory provision which harmonizes and reconciles it with other statutory provisions.⁸⁷

Stated differently, every statute should be construed in such a way that will harmonize it with existing laws. To interpret and do it in such a way as to harmonize laws with laws is the best method of interpretation.⁸⁸

Statutes *in pari materia* should be construed together to attain the purpose of an express national policy. For the assumption is that whenever the legislature enacts a law, it has in mind the previous statutes relating to the same subject matter, and in the absence of any express repeal or amendment, the new statute is deemed enacted in accord with the legislative policy embodied in those prior statutes.⁸⁹ Provisions in an act which are omitted in another act relative to the same subject matter will be applied in a proceeding under the other act, when not inconsistent with its purpose. Prior statutes relating to the same subject matter are to be compared with the new provisions, and if possible by reasonable construction, both to be construed that effect is given to every provision of each. Statutes *in pari materia*, although in apparent conflict, are as far as reasonably possible construed to be in harmony with each other.⁹⁰ Similarly, every new statute should be construed in connection with those already existing in relation to the same subject matter and all should be made to harmonize and stand together, if they can be done by any fair and reasonable interpretation.⁹¹ *Interpretare et concordare leges legibus, est optimus interpretandi modus*, which means that the best method of interpretation is that which makes laws consistent with other laws. Accordingly, courts of justice, when confronted with apparently conflicting statutes, should endeavor to reconcile them instead of declaring outright the invalidity of one

⁸²*Tubada v. Tavera*, 146 SCRA 446 (1986).

⁸³*City of Naga v. Agna*, G.R. No. 36049, May 31, 1976, 71 SCRA 285; *Bagatsing v. Ramirez*, G.R. No. 41631, December 17, 1976, 74 SCRA 306.

⁸⁴*Government v. Municipality of Binangonan*, 32 Phil. 643 (1915).

⁸⁵*Flores v. San Pedro*, 102 Phil. 44 (1957).

⁸⁶*Republic v. Asuncion*, 49 SCAD 573, 231 SCRA 211, citing *Ruben E. Agpalo, Statutory Construction*, p. 192 (2nd ed., 1990); *Cabada v. Alunan III*, 73 SCAD 521, 260 SCRA 838 (1996), citing *Ruben E. Agpalo, Statutory Construction*, 192 (2nd ed., 1990); *Valera v. Tanson*, 80 Phil. 823 (1948); *Corona v. Court of Appeals*, 214 SCRA 378 (1992), citing *Agpalo, Statutory Construction*, p. 192.

⁸⁷*Phil. International Trading Corp. v. Angeles*, 75 SCAD 464, 263 SCRA 421 (1996).

⁸⁸*Manila Jockey Club, Inc. v. CA*, 300 SCRA 181 (1998).

⁸⁹*Corona v. Court of Appeals*, *supra*.

⁹⁰*C & C Commercial Corp. v. National Waterworks & Sewerage Authority*, G.R. No. 27275, November 18, 1967, 21 SCRA 984, citing *Sutherland, Statutory Construction*, Vol. 2, pp. 530-532.

⁹¹*City of Naga v. Agna*, *supra*.

against the other. Courts should harmonize them, if this is possible, because they are equally the handiwork of the same legislature.⁸²

The Court sums up the rule in case,⁸³ thus:

(W)e ruled that statutes *in pari materia* should be construed together to attain the purpose of an expressed national policy.

"On the assumption that whenever the legislature enacts a provision it has in mind the previous statutes relating to the same subject matter, it is held that in the absence of any express repeal or amendment therein, the new provision was enacted in accord with the legislative policy embodied in those prior statutes, and they all should be construed together. Provisions in an act which are omitted in another act relating to the same subject matter will be applied in a proceeding under the other act when not inconsistent with its purpose. Prior statutes relating to the same subject matter are to be compared with the new provisions, and if possible by reasonable construction, both are to be construed that effect is given to every provision of such. Statutes *in pari materia*, although in apparent conflict, are so far as reasonably possible construed to be in harmony with each other."

It has been held that "in the construction of a particular statute, or in the interpretation of any of its provisions, all acts relating to the same subject, or having the same general purpose should be read in connection with it, as together constituting one law. The endeavor should be made by tracing the history of the legislation on the subject, to ascertain the uniform and consistent purpose of the legislature, or to discover how the policy of the legislature with reference to the subject matter has been changed or modified from time to time. With this purpose in view, therefore, it is proper to consider not only acts passed at the same session of the legislature, but also acts passed at prior and subsequent sessions, and even those which have been repealed."⁸⁴

⁸²Gordon v. Veridiano II, 167 SCRA 51 (1988).

⁸³Vda. de Urbano v. GSIS, G.R. No. 137904, October 19, 2001.

⁸⁴Old Homestead Bakery v. Marsh, 75 Cal. App. 247, 242 P 749 (1926); see also Valera v. Tusaon, 80 Phil. 823 (1948).

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Where two or more statutes on the same subject were enacted at different times and under dissimilar circumstances or conditions, their interpretation should be in accordance with the circumstances or conditions peculiar to each, in order that the statutes may be harmonized or better understood. This rule is based on the old legal maxim: *distingue tempora et concordabis jura*, or distinguish times and you will harmonize laws.⁸⁵

In cases involving harmonization of two or more laws relating to the same subject matter, the usual question is whether the later act has impliedly amended or repealed the earlier statute. A statute will not, however, be construed as repealing prior act or acts on the same subject in the absence of words to that effect, unless there is an irreconcilable repugnancy between them or unless the new law is evidently intended to supersede all prior acts on the matter and to comprise itself the sole and complete system of legislation on the subject.⁸⁶ The rule in this connection is that in case of doubt, the doubt will be resolved against implied amendment or repeal and in favor of harmonization of all the laws on the subject.⁸⁷ And assuming that there is an implied amendment, the latter statute should be so construed as to modify the prior law on the subject no further than may be necessary to effect the specific purpose of the latter enactment.⁸⁸

6.17. Reasons why laws on same subject are reconciled.

In enacting a statute, the legislature is presumed to have been aware of, and have taken into account, prior laws on the subject of legislation.⁸⁹ The lawmaking body cannot be said to have intended the establishment of conflicting and hostile systems on the same subject, or to leave in force provisions of a prior law which may thwart and overthrow the will of the legislature. Such a result would render legislation a useless and idle ceremony, and subject the laws to uncertainty and unintelligibility.⁹⁰

⁸⁵Commissioner of Customs v. Superior Gas & Equipment Co., 108 Phil. 225 (1960).

⁸⁶City of Naga v. Agna, G.R. No. 36049, May 31, 1976, 71 SCRA 176.

⁸⁷People v. Orlarte, 108 Phil. 756 (1960). See Sec. 10.24, *infra*.

⁸⁸*In re Guarina*, 24 Phil. 37 (1913).

⁸⁹Lacson v. Roque, 92 Phil. 456 (1953); Manila Lodge No. 761 v. Court of Appeals, G.R. No. 41001, September 30, 1976, 731, 72; Roman Catholic Administration of Davao, Inc. v. Land Registration Commission, 102 Phil. 596 (1967).

⁹⁰Bagatong v. Ramirez, G.R. No. 41631, December 17, 1976, 74 SCRA 306.

Statutes *in pari materia* should be read and construed together because enactments of the same legislature on the same subject are supposed to form part of one uniform system; later statutes are supplementary or complimentary to the earlier enactments and in the passage of its acts, the legislature is supposed to have in mind the existing legislations on the subject and to have enacted its new act with reference thereto. Having thus in mind the previous statutes relating to the same subject matter, whenever the legislature enacts a new law, it is deemed to have enacted the new provision in accordance with the legislative policy embodied in those prior statutes and, unless there is an express repeal of the old laws, they all should be construed together. In construing them, the old statutes relating to the same matter should be compared with the new provisions and if possible, by reasonable construction, both should be construed that effect may be given to every provision of each.¹⁰¹

6.18. Where harmonization is impossible.

If two or more laws on the same subject cannot possibly be reconciled or harmonized, one has to give way in favor of the other. There cannot be two conflicting laws on the same subject. Either the two laws are reconciled and harmonized or, if they cannot, the earlier one must yield to the later one, it being the later expression of legislative will.¹⁰²

6.19. Illustration of the rule.

Where a statute provides that the "mayor shall hold office for four years unless sooner removed," the phrase "unless sooner removed" should be read in relation to removal statutes and construed to mean that the mayor cannot be removed during his term except for cause as provided by law and after due process, since the legislature is presumed to have such removal statutes in mind when it employed the phrase.¹⁰³ A statute which directs that "when the imbecile or lunatic has committed an act which the law defines as a grave felony, the court shall order his confinement in one of the asylums established for persons thus afflicted, who shall not be permitted to leave without first obtaining permission of the same

¹⁰¹City of Naga v. Agna, G.R. No. 36049, May 31, 1976, 71 SCRA 176.

¹⁰²City of Naga v. Agna, *supra*; Errana v. Vergel de Dios, 85 Phil. 17 (1947).

¹⁰³Lacson v. Roque, 92 Phil. 456 (1953).

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court" and another statute which requires that "when in the opinion of the Director of Health, any patient in any government hospital or other place for the insane is temporarily or permanently cured, or may be released without danger, he may discharge such patient, and shall notify the judge of the Court of First Instance who ordered the confinement by order of the court," are laws *in pari materia* and should therefore be construed together, so as to give effect to both. As thus construed together, the two statutes mean that the release of the patient can be made only with the approval of both the court and the Director of Health. In this sense, one statute compliments the other.¹⁰⁴

In *King v. Hernaez*,¹⁰⁵ it was held that Republic Act No. 1180, otherwise known as the Retail Trade Nationalization Act, implies that the nationalization of the retail trade is merely confined to its ownership and not to management, control or operation. Nevertheless, the court said that this apparent flaw in the law cannot be availed of by an unscrupulous alien as a convenient pretext to flout the law or subvert its nationalistic purpose, for *in pari materia* with such law is Commonwealth Act No. 108, otherwise known as the Anti-Dummy Law, which punishes "acts of evasion of the laws of nationalization of certain rights, franchises or privileges," such as the employment of aliens in wholly or partly nationalized businesses.

In *Dialdas v. Perdices*,¹⁰⁶ it appears that an alien who operated a retail store in Cebu pursuant to law, decided to close his Cebu store and transfer it to Dumaguete. The retail trade law authorizes an alien, who on May 15, 1954 is actually engaged in retail, to continue to engage therein until his voluntary retirement from such business, but not to establish or open additional stores or branches for retail business. On the other hand, Section 199 of the Tax Code provides that any business for which the privilege tax has been paid may be removed and continued in any other place without payment of additional tax. The question is whether the transfer by the alien of his retail store from Cebu to Dumaguete can be considered as a voluntary retirement from business. The trial court answered the question in the affirmative and held that the transfer of business to

¹⁰⁴Chin Oh Foo v. Concepcion, 54 Phil. 775 (1930); see also Pasmu v. Ravina, 54 Phil. 378 (1930).

¹⁰⁵114 Phil. 730 (1962).

¹⁰⁶101 Phil. 756 (1957).

another province is prohibited by the retail trade law. The Supreme Court ruled otherwise and said that the retail trade law and Section 199 of the Tax Code are *in pari materia*. It stated that the trial court "overlooked entirely, however, the clear provision of Section 199 of the Internal Revenue Code x x x which has not been repealed either expressly or impliedly by Republic Act No. 1180." "The legality of such transfer, therefore, can in no wise be questioned and consequently petitioner's business in Dumaguete should not be considered as a new one in contemplation of the aforesaid Republic Act No. 1180."

In *C & C Commercial Corp. v. National Waterworks & Sewerage Authority*,¹⁰⁷ the issue refers to the interpretation of two statutes requiring that preference be made in the purchase and use of Philippine-made materials and products. Republic Act No. 912 in Section 2 provides that "in the construction or repair work undertaken by the Government, x x x Philippine-made materials and products, whenever available, practical and usable x x x shall be used in said construction or repair work x x x." On the other hand, Commonwealth Act No. 138, otherwise known as the Flag Law, gives native products preference in the purchase of articles by the Government, including government-owned or controlled corporations. The argument has been advanced that since Commonwealth Act No. 138 expressly includes purchases by government-owned companies while Republic Act No. 912 merely relates to construction or repair by the Government, government-owned or controlled corporations have been excepted from the operation of the later statute. In rejecting such argument, the court said that being statutes *in pari materia*, they should be construed to attain the same objective — to give preference to locally produced materials in purchases, works or projects of the Government — the accomplishment of which will be defeated if government-owned or controlled corporations are excluded from the operation of Republic Act No. 912.

In *Cabada v. Alunan III*,¹⁰⁸ the issue is whether or not an appeal lies from the decision of regional appellate board imposing disciplinary action against a member of the Philippine National Police under Sec. 45 of Rep. Act No. 6975, which reads:

"Sec. 45. Finality of disciplinary action. — The disciplinary action imposed upon a member of the PNP shall be final and executory: *Provided*, That a disciplinary action imposed by

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the regional director or by the PLERB involving demotion or dismissal from the service may be appealed to the regional appellate board within ten (10) days from receipt of the copy of the notice of decision: *Provided, further*, That the disciplinary action imposed by the Chief of the PNP involving demotion or dismissal may be appealed to the National Appellate Board within ten (10) days from receipt thereof: *Provided, furthermore*, That the regional or national appellate board, as the case may be, shall decide the appeal within sixty (60) days from receipt of the notice of appeal: *Provided, finally*, That failure of the regional appellate board to act on the appeal within said period shall render the decision final and executory without prejudice, however, to the filing of an appeal by either party with the Secretary."

The Court said that "Section 45 of the DILG Act of 1990 specifically provides that if a RAB fails to decide an appeal within the reglementary period of sixty (60) days, the appealed decision becomes final and executory without, however, prejudice to the right of the aggrieved party to appeal to the Secretary of the DILG. The said provision is, however, silent as regards the availability of an appeal from a decision rendered by a RAB within the reglementary period. x x x This gap in Section 45 cannot be construed to prohibit appeals from decisions of the RAB rendered within the reglementary period, for while the epigraph of the section is worded 'Finality of Disciplinary Action, there is nothing therein that explicitly bars any further appeal. Complementary laws on discipline of government officials and employees must then be inquired into considering that in conformity with the mandate of the Constitution, that the PNP must be national in scope and civilian in character, it is now a part, as a bureau, of the reorganized DILG. As such, it falls within the definition of the civil service in Section 2(1), Article IX-B of the Constitution. x x x In view then of the aforementioned gap in Section 45 of the DILG Act of 1990, the provisions of the Civil Service Law and the rules and regulations implementing it must be taken into account in the light of the maxim *interpretare concordare legibus est optimus interpretandi* or every statute must be so construed and harmonized with other statutes as to form a uniform system of jurisprudence. x x x As thus construed and harmonized, it follows that if a RAB fails to decide an appealed case within sixty (60) days from receipt of the notice of appeal, the appealed decision is deemed final and executory, and the aggrieved party may forthwith appeal

¹⁰⁷G.R. No. 27275, November 18, 1967, 21 SCRA 984 (1967).

¹⁰⁸73 SCAD 521, 260 SCRA 838 (1996).

therefrom to the Secretary of the DILG. Likewise, if the RAB has decided the appeal within the sixty-day period, its decision may still be appealed to the Secretary of the DILG.⁷¹⁰⁸

In *Manila Jockey Club, Inc. v. CA*,¹¹⁰⁷ the issue raised was who was entitled to "breakages," which refers to the fraction of ten centavos from dividend of winning horse race tickets. Republic Act No. 309 as amended by R.A. No. 6631 and R.A. No. 6632 is silent on the matter, but the practice is to use breakages for anti-bookie drive and other sale promotions of activities of the horse racing club. Thereafter, Executive Orders Nos. 88 and 89 allocated the breakages to beneficiaries therein specified. The Court ruled that R.A. No. 309, as amended, and the Executive Orders should be harmonized, and as thus harmonized, all breakages derived from all races on any race day should be distributed and allocated in accordance with the Executive Orders because "No law can be viewed in a condition of isolation or as the beginning of a new legal system. A supplemental law becomes an addition to the existing statutes, or section thereof, and its effect is not to change in any way the provisions of the latter but merely to extend the operation thereof, or give additional power to enforce its provisions, as the case may be. In enacting a particular statute, legislators are presumed to have full knowledge and to have taken full cognizance of the existing laws on the same subject or those relating thereto."¹¹⁰⁸

6.20. General and special statutes.

A general statute is a statute which applies to all of the people of the state or to all of a particular class of persons in the state with equal force.¹¹⁰⁹ It is one which embraces a class of subjects or places and does not omit any subject or place naturally belonging to such class.¹¹¹⁰ It is one of universal application affecting the entire community.¹¹¹¹ On the other hand, a special statute, as the term is generally understood, is one which relates to particular persons or

things of a class¹¹¹² or to a particular portion or section of the state only.¹¹¹³

A general law and a special law on the same subject are statutes *in pari materia* and should, accordingly, be read together and harmonized, if possible, with a view to giving effect to both. The rule is that where there are two acts, one of which is special and particular and the other general which, if standing alone, would include the same matter and thus conflict with the special act, the special must prevail since it evinces the legislative intent more clearly than that of a general statute and must be taken as intended to constitute an exception to the general act.¹¹¹⁴ It is an established rule in the construction of statute that a subsequent act, treating a subject in general terms and not expressly contradicting the provisions of a prior special statute, is not to be considered as intended to affect the more particular and specific provisions of the earlier act, unless it is absolutely necessary so to construe it in order to give its words any meaning at all. Hence, where there are two acts or provisions, one of which is special and particular and certainly includes the matter in question, and the general, which, if standing alone, would include the same matter, thus conflict with the special act or provision, the special act must be taken as intended to constitute an exception to the general act, as the legislature is not presumed to have intended a conflict.¹¹¹⁵ The fact that one law is special and the other general creates a presumption that the special act is to be considered as remaining an exception of the general act, one as a general law of the land and the other as the law of the particular case.¹¹¹⁶

The circumstance that the special law is passed before or after the general act does not change the principle. Where the special law is later, it will be regarded as an exception to, or a qualification of, the prior general act; and where the general act is later, the special statute will be construed as remaining an exception to its terms, unless repealed expressly or by necessary implication.¹¹¹⁷

¹¹⁰⁷*Ibid.*, pp. 844-848, citing Ruben E. Agpalo, *Statutory Construction*, 192 (2nd ed., 1990).

¹¹⁰⁸300 SCRA 181 (1998).

¹¹⁰⁹*Ibid.*, p. 195.

¹¹¹⁰*U.S. v. Serapio*, 23 Phil. 584 (1912).

¹¹¹¹*Valera v. Tusson*, 80 Phil. 823 (1948); *Villegas v. Subido*, G.R. No. 31711, September 30, 1971, 41 SCRA 190 (1971).

¹¹¹²*Bagatsing v. Ramirez*, G.R. No. 41631, December 17, 1976, 74 SCRA 306.

¹¹¹³*Valera v. Tusson*, 80 Phil. 823 (1948).

¹¹¹⁴*U.S. v. Serapio*, 23 Phil. 584 (1912).

¹¹¹⁵*Ichelco & Co. v. Apostol*, 44 Phil. 138 (1922); *De Jesus v. People*, G.R. No. 61998, February 22, 1983, 120 SCRA 760.

¹¹¹⁶*Garcia v. Pascual*, 113 Phil. 632, 635 (1932), citing *Black on Interpretation of Laws*, pp. 328-329.

¹¹¹⁷*Butuan Sawmill, Inc. v. City of Butuan*, G.R. No. 21516, April 29, 1966, 16 SCRA 758; *Bagatsing v. Ramirez*, G.R. No. 41631, December 17, 1976, 74 SCRA 306; *Manila Railroad Co. v. Rafferty*, 40 Phil. 224 (1919).

¹¹¹⁸See dissenting opinion, *Villena v. Roque*, 93 Phil. 370, 373 (1953), citing 69 C.J. 1056-1058.

Thus, P.D. No. 959, as amended, which confers upon the National Housing Authority exclusive jurisdiction to hear and decide cases involving unsound real estate business practices and claims involving refund and any other claims against land developers prevail over B.P. Blg. 129 which grants Regional Trial Courts general jurisdiction over such cases, even when the latter was enacted later than the former because B.P. Blg. 129 is a general law and P.D. No. 957, as amended, is a special law.¹²¹

P.D. No. 1869 authorized the PAGCOR to centralize and regulate all games of chance, including casinos on land and sea within Philippine territorial jurisdiction. On the other hand, the Local Government Code of 1991, a later law, empowers local government units to enact ordinances to prevent and suppress "gambling and other prohibited games of chance." The Court ruled that these two statutes should be harmonized. "On the assumption of a conflict between P.D. No. 1869 and the Code, the proper action is not to uphold one and annul the other but to give effect to both by harmonizing them if possible. This is possible in the case before us. The proper solution of the problem at hand is to hold that under the Local Government Code, local government units may (and indeed must) prevent and suppress all kinds of gambling within their territories except only those allowed by statutes like P.D. No. 1869. The exception reserved in such laws must be read into the Code, to make both the Code and such laws equally effective and mutually complementary."¹²²

Where two statutes are of equal theoretical application to a particular case, the one designed therefor specially should prevail. In accordance with this rule, Republic Act No. 776 which empowers the general manager of the Civil Aeronautics Administration to lease real property under its administration prevails over the Administrative Code, a general law, which authorizes the President of the Philippines to execute a lease contract relating to real property belonging to the Republic.¹²³

In *Calisingin v. CA*, [G.R. No. 154616, July 12, 2004], the Court citing *Lapid v. CA*, ruled that where two laws apply to a particular

¹²¹*Solid Homes, Inc. v. Payawal*, 177 SCRA 72 (1989).

¹²²*Magrajas v. Pryce Properties Corp., Inc.*, 53 SCAD 367, 234 SCRA 255, 272 (1994).

¹²³*Leveriza v. Intermediate Appellate Court*, 157 SCRA 282 (1988).

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case, that which was specifically intended for the particular case prevails, thus:

In Lapid v. Court of Appeals, We held that it is a principle of statutory construction that where there are two statutes that apply to a particular case, that which was specially intended for the said case must prevail. The case on hand involves a disciplinary action against an elective local official. Thus, the Local Government Code is the applicable law and must prevail over the Administrative Code which is of general application. Further, the Local Government Code of 1991 was enacted much later than the Administrative Code of 1987. In statutory construction, all laws or parts thereof which are inconsistent with the later law are repealed or modified accordingly.

Besides, even though appeal to the Court of Appeals is granted under Sec. 1, Rule 43 of the Revised Rules of Court, Sec. 12, Rule 43 of the Revised Rules of Court in relation to Sec. 68 of the Local Government Code provides for the immediate execution pending appeal. Under the same case of *Lapid v. Court of Appeals*, we enunciated that the decisions of the Office of the President under the Local Government Code are immediately executory even pending appeal because the pertinent laws under which the decisions were rendered mandated them to be so.

6.21. Reason for the rule.

The reason for the rule that a special law is considered an exception to the general law on the same subject is that the legislature in passing a law of special character has its attention directed to the special facts and circumstances which the special act is intended to meet. The legislature considers and makes provisions for all the circumstances of the particular case. The legislature having specially considered all the facts and circumstances in the particular case in enacting the special law, it will not be considered that the legislature, by adopting a general act containing provisions repugnant to the provisions of the special act and without making any mention of its intention to amend or modify the special act, intended to amend, repeal or modify said act.¹²⁴

¹²⁴*Manila Railroad Co. v. Rafferty*, 40 Phil. 224 (1919).

6.22. Qualifications of the rule.

The rule that the general law must yield to the special law in the specific and particular subject embraced in the latter, irrespective of the date of passage of the special law, is not absolute. One exception is that where the legislature clearly intended the later general enactment to cover the whole subject and to repeal all prior laws inconsistent therewith, the general law prevails over a special law on the subject. In such case, there is a repeal of the special law.¹²⁶

Another exception to the principle is where the special law merely establishes a general rule while the general law creates a specific and special rule, in which case the general law prevails over the special law.¹²⁸ The principle that a special law on a subject prevails over a general law on the same subject presupposes that the general law refers to the subject in general and the special law treats the same subject in particular. The rule does not apply where the situation is reversed, that is, the general law treats the subject in particular and the special law refers to it in general. In this situation, the general law prevails over the special law in the event of repugnancy or conflict between the two laws.¹²⁷

6.23. Reference statutes.

A reference statute is a statute which refers to other statutes and makes them applicable to the subject of legislation. It is incorporation in a statute of another statute by reference. The adoption of a statute by reference makes it as much a part of the adopting statute as if it had been incorporated therein in full. Reference statutes are frequently used to avoid encumbering the statute books of unnecessary repetition, and they have been recognized as an approved method of legislation, in the absence of constitutional restrictions.¹²⁸

The adoption by reference of a statute that was previously repealed revives the statute. The adoption takes the adopted statute as it exists at the time of adoption and does not include subsequent changes or modification of the statute so taken, unless it does so expressly.¹²⁹

A reference statute should be so construed as to harmonize with, and give effect to, the adopted statute. A construction that will render meaningless an adopted statute by reference is not favored.¹³⁰ For instance, Section 49 of Republic Act No. 409 (Revised Charter of Manila) provides that the "aid of assessors in the trial of any civil or criminal action x x x within the City may be invoked in the manner provided in the Code of Civil Procedure." The pertinent provisions of the Code of Civil Procedure are thus incorporated in Republic Act No. 409 by reference and shall, if properly invoked, be followed in the prosecution of a civil or criminal action in the City of Manila.¹³¹ Another example is the Science Stamp Tax Act which provides that the science stamp tax "shall be collected at the same time, in the same manner and subject to the same penalties as documentary stamp imposed under the National Internal Revenue Code, as amended." This reference makes the penalties for violation of the documentary stamp tax provisions of the National Internal Revenue Code, as amended, part of the Science Stamp Tax Act, so that one who has in his possession counterfeit science stamps can be punished with the same penalty as that imposed for possession of counterfeit documentary stamps.¹³²

6.24. Supplemental statutes.

A supplemental act is one intended to supply deficiencies in an existing statute and to add, to complete, or extend the statute without changing or modifying its original text. The original statute and the supplemental act should be read and construed together to make an intelligible whole.¹³³

¹²⁶*Lichauco v. Civil Aeronautics Board*, G.R. No. 32979, February 29, 1972, 43 SCRA 670; *Gaerlan v. Catubig*, G.R. No. 23964, June 1, 1966, 17 SCRA 376; *Mannuel v. De la Fuente*, 32 Phil. 302 (1952).

¹²⁷*City of Manila v. Teotico*, G.R. No. 23052, January 29, 1968, 22 SCRA 276. See Sec. 10.28, *infra*, for detailed discussion as to when a later general law repeals a prior special law on the same subject.

¹²⁸*Bagatsing v. Ramirez*, G.R. No. 41636, December 17, 1976, 74 SCRA 306 (1976).

¹²⁹*Primicias v. Ocampo*, 93 Phil. 446 (1953); *People v. Martin*, G.R. No. 38019, May 16, 1980, 97 SCRA 691 (1980).

¹³⁰*Hassett v. Welch*, 303 U.S. 303, 82 L. ed. 868 (1938); *De Heath*, 144 U.S. 92, 36 L. ed. 368 (1892).

¹³¹*Wisconsin C.R. Co. v. United States*, 164 U.S. 190, 41 L. ed. 399 (1896).

¹³²*Primicias v. Ocampo*, 93 Phil. 446 (1953).

¹³³*People v. Martin*, G.R. No. 38019, May 16, 1980, 97 SCRA 691.
¹³⁴*Lost Creek School v. York*, 21 NE2d 58, 127 ALR 1287 (1939); *First State Bank of Shelby v. Bottineau County Bank*, 185 P 162, 8 ALR 631 (1919).

6.25. Reenacted statutes.

A statute which reenacts a previous statute or the provisions thereof is known as a reenacted statute. A reenactment is one in which the provisions of an earlier statute are reproduced in the same or substantially the same words.¹³⁴ The reenactment may also be made by reference. Thus, where a statute provides that all laws not inconsistent with the provisions thereof are deemed incorporated and made integral parts thereof by reference, such previous laws on the same subject matter are deemed reenacted.¹³⁵

It is presumed that the legislature knows a construction which has been given by the courts to a statute which has been reenacted by it. The reenactment is a legislative expression of intention to adopt the construction as well as the language of the prior act. It is accordingly a settled rule of statutory construction that when a statute or a provision thereof has been construed by the court of last resort and the same is substantially reenacted, the legislature may be regarded as adopting such construction, and the construction becomes an integral part of the reenacted statute with the force and effect of a legislative command.¹³⁶ In the interpretation of the reenacted statute, the courts will follow the construction which the adopted statute previously received.¹³⁷

The case of *Montelibano v. Ferrer*¹³⁸ illustrates the application of the rule. Section 3 of the City Charter of Manila provides that the "prosecuting attorney of the City of Manila (city fiscal) shall have charge of the prosecution of all crimes, misdemeanors, and violations of city ordinances, in the Court of First Instance and municipal courts of the City of Manila. He shall investigate all charges of crimes, misdemeanors, and violations of ordinances and prepare the necessary informations or make the necessary complaints against the persons accused, and discharge all other duties in respect to criminal prosecutions enjoined upon provincial fiscals." The court has construed this provision to mean that criminal complaints filed by offended parties directly with the courts without the intervention

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of the City Fiscal of Manila cannot legally be done. The said provision was substantially incorporated in the City Charter of Bacolod City, and the question arose as to whether a criminal complaint directly filed by an offended party in the city court of Bacolod City is valid in view of said provision. The court ruled that "considering that said provision of the Charter of the City of Manila had been consistently construed in the manner above indicated, before being incorporated in the Charter of the City of Bacolod, the conclusion is inevitable that the framers of the latter had reproduced the former with the intent of adopting also its settled interpretation by the judicial department." The court thus held that the criminal complaint filed directly by the offended party is invalid and it ordered the city court to dismiss it.

In the *Montelibano* case, the provision of the City Charter of Manila on the prosecution of crimes by the city fiscal and the provision of the City Charter of Bacolod on the same subject are identically worded. Hence, they should receive the same construction. The rule is that two statutes with a parallel scope, purpose and terminology should, each in its own field, have a like interpretation, unless in particular instances there is something peculiar in the question under consideration, or dissimilar in the terms of the act relating thereto, requiring a different conclusion.¹³⁹

6.26. Adoption of contemporaneous construction.

The reenactment of a statute which has received a practical or contemporaneous construction by those charged with the duty of executing it is a persuasive indication of the adoption by the legislature of the prior practical or executive construction, the legislature being presumed to know the existence of such construction when it made the reenactment.¹⁴⁰ In construing the reenacted statute, the court should take into account such prior contemporaneous construction and give due weight and respect to it, as the joint construction placed upon the statute by the legislature that enacted it and the executive that implements it.¹⁴¹

¹³⁴*In re Dick*, 38 Phil. 41 (1918); *Dykes v. Wisconsin Tax Commission*, 259 NW 700, 98 ALR 1332 (1935).

¹³⁵*Lazaro v. Commission on Elections*, 123 Phil. 907 (1966).

¹³⁶*In re Dick*, *supra*.

¹³⁷*Montelibano v. Ferrer*, 97 Phil. 228 (1955).

¹³⁸97 Phil. 228 (1955).

¹³⁹*In re Dick*, 38 Phil. 41 (1918), citing 50 Am. Jur. 343.

¹⁴⁰*ABS-CBN Broadcasting Corp. v. Court of Tax Appeals*, G.R. No. 52306, October 12, 1981, 108 SCRA 142; *In re Dick*, *supra*.

¹⁴¹See Sec. 3.41, *supra*.

6.27. Qualification of the rule.

The rule that when a judicial or contemporaneous construction has been given to a statute, the reenactment of the statute is generally held to be in effect a legislative adoption of the construction, applies only when the statute is capable of the construction given to it and when that construction has become a settled rule of conduct.¹⁴²

6.28. Adopted statutes.

An adopted statute is a statute patterned after, or copied from a statute of a foreign country. In construing an adopted statute, it is proper for the court to take into consideration the construction of the law by the courts of the country from which it is taken, as well as the law itself and the practices under it, for the legislature is presumed to have adopted such construction and practices with the adoption of the law.¹⁴³ The presumption does not, however, apply to construction given the statute subsequent to its adoption, although it has persuasive effect on the interpretation of the adopted statute.¹⁴⁴

Chapter VII

STRICT OR LIBERAL CONSTRUCTION

A. IN GENERAL

7.01. Generally.

Whether a statute is to be given a strict or liberal construction will depend upon the nature of the statute, the purpose to be subserved and the mischief to be remedied, and a strict or liberal interpretation will be given a statute that will best accomplish the end desired and effectuate legislative intent.

7.02. Strict construction, generally.

Strict construction is that construction according to the letter of a statute, which recognizes nothing that is not expressed, takes the language used in its exact meaning, and admits no equitable consideration.¹ It does not mean giving a statute its narrowest meaning of which it is susceptible.² Nor does it mean that words shall be so restricted as not to have their full meaning.³ It simply means that the scope of a statute shall not be extended or enlarged by implication, intendment, or equitable consideration beyond the literal meaning of its terms.⁴ It is a close and conservative adherence to the literal or textual interpretation. Strict construction is the antithesis of liberal construction.⁵

¹Priest v. Captain, 139 S.W. 204.

²Cummins v. Kansas City Public Service Co., 66 S.W. 920.

³State v. Aetna Banking & Trust Co., 87, p. 268.

⁴People v. Garcia, 85 Phil. 651 (1950); Moore v. Western Union Tel. Co., 148 S.W. 167.

⁵Franklin Country Co. v. Ames, 194 N.E. 157; Warner v. King, 197 N.E. 837.

¹⁴²The Dollar Savings Bank v. United States, 22 L. ed. 80 (1873).

¹⁴³See Sec. 3.28, *supra*, for a detailed discussion on the subject.

¹⁴⁴State v. Hill, 869 P2d 363, 91 ALR 2d 750 (1962).

7.03. Liberal construction, defined.

Liberal construction means such equitable construction as will enlarge the letter of a statute to accomplish its intended purpose, carry out its intent, or promote justice.⁹ It does not mean enlargement of a provision which is clear, unambiguous and free from doubt, for a statute which is plain and clear is not subject to construction.⁷ Nor does it mean that the words should be forced out of their natural meaning. Liberal construction is that construction which expands the meaning of a statute to meet cases which are clearly within the spirit or reason thereof or within the evil which the statute was designed to remedy, or which gives a statute its generally accepted meaning to the end that the most comprehensive application thereof may be accorded, without being inconsistent with its language or doing violence to any of its terms.⁸ In short, liberal construction means that the words should receive a fair and reasonable interpretation, so as to attain the intent, spirit and purpose of the law.⁹

7.04. Liberal construction applied, generally.

Where a statute is ambiguous and capable of more than one construction, the literal meaning of the words used may be rejected if the result of adopting said meaning would be to defeat the purpose of the law.¹⁰ Instead, the statute will be given a liberal interpretation so as to save the statute from obliteration. No rule of construction is better accredited than that which is expressed in the Latin maxim, *ut res magis valeat quam pereat*.¹¹ By liberal construction, the court from the language used, the subject matter, and the purpose of the legislature will be able to find out the true meaning of the statute. There is a sharp distinction, however, between construction of this nature and the act of the court in engrafting upon a law something which it believes ought to have been embraced therein. The former is liberal construction and is a legitimate exercise of judicial power. The latter is judicial legislation forbidden by the tripartite division of

⁹Causey v. Guilford County, 136 S.E. 40.

¹⁰See Sec. 2.15, *supra*.

¹¹Crescent City v. Griffin, 87 P2d 414; Maryland Casualty Co. v. Smith, 40 S.W. 2d 913.

¹²Laurence v. McCalmont, 43 U.S. 426, 11 L. ed. 316 (1844).

¹³Riera v. Palmorali, 40 Phil. 105 (1919).

¹⁴Javellana v. Nuñez, 40 Phil. 761 (1920).

powers among the three departments of government, the executive, the legislative and the judicial.¹²

A statute may not be liberally construed to read into it something which its clear and plain language rejects. The rule of liberal interpretation cannot prevail against the categorical provisions of the law.¹³

7.05. Construction to promote social justice.

The principles of social justice as enshrined in the Constitution should be taken into account in the interpretation and application of laws. The constitutional mandate on social justice is addressed not only to the legislature but also to the two other branches of government. An authority on the subject writes:

"It (social justice mandate) is meant for the three departments: the legislative, executive, and judicial, because the latter two are no less than the agencies of the state than the first. For what use would it be for the National Assembly to pass laws calculated to enhance social justice if the executive officials should enforce them in such a way, and the courts should give them such an interpretation, as to defeat social justice? Certainly, this principle of social justice in our Constitution as generously conceived and so tersely phrased, was not included in the fundamental law as a mere popular gesture. It was meant to be a vital, articulate, compelling principle of public policy. It should be observed in the interpretation not only of future legislations, but also of all laws already existing on November 15, 1935. It was intended to change the spirit of our laws, present and future. Thus, all the laws which on the great historic event when the Commonwealth of the Philippines was born, were susceptible of two interpretations — strict or liberal, against or in favor of social justice — now have to be construed broadly in order to promote and achieve social justice."¹⁴

¹²Tanada v. Yulo, 61 Phil. 515 (1935).

¹³People v. Castillo, 127 SCAD 692, 337 SCRA 176 (2000).

¹⁴Bocobo, *Cult of Legalism*, quoted in Justice Perfecto's concurring opinion; Gomez v. Government Insurance Board, 78 Phil. 221, 225 (1947).

7.06. Construction taking into consideration general welfare or growth of civilization.

Some authorities advocate a construction which seeks an expansive application of statutes to attain the general welfare. This construction is based on the maxim, *salus populi est suprema lex*. Thus, statutes enacted for the public good are to be construed liberally. *Statuta pro publico commodo late interpretantur*. An authority on the subject expounds, on this type of construction: "There is for me in all cases a principle of statutory construction not to be found in the books, but which for the Philippine Islands is all-important. In the resolution of all questions, I begin with these queries: What is for the best interest of the Filipino people? How under the law can the progress of the Philippine Islands be advanced? From this viewpoint, which as a matter of fact is herein in accord with the logical interpretation of the law, there is but one possible result — to assist the legislature in its enactment of the law and the executive in its enforcement of the law by a judicial interpretation which will make legislative intention and executive action effective."¹⁵

Another authority thinks along similar lines: "The statute in general has two, articulate organs for lawmaking purposes — the legislature and the tribunal. The first organ makes new law, the second attests and confirms old law, though under cover of doing it introduces many new principles. For statutes and judicial decisions alike come into being and grow out of the same common roots, the supreme good of society. It is a consecrated legal axiom that the reason of the law is the life of the law. The reason lies in the soil of the common welfare. Consequently, if the judge limits himself to the printed pages of the statute, and does not go out into the open spaces of actuality and dig down deep into his common soil, he fails in his noble calling, and becomes subservient to formalism."¹⁶

It has also been held that statutes must be interpreted in the light of the growth of civilization and varying conditions. The interpretation that "if the man is too long for the bed, his head should be chopped off rather than enlarge the old bed or purchase a new one" should not be given such statutes.¹⁷

¹⁵Justice Malcolm dissenting, U.S. v. Setapia, 37 Phil. 26, 29 (1917).

¹⁶Justice Perfecto concurring, Gomez v. Government Insurance Board, 78 Phil. 221, 224 (1947).

¹⁷Enriquez v. A.S. Watson & Co., 22 Phil. 623, 637, 638 (1912).

B. STATUTES STRICTLY CONSTRUED

7.07. Penal statutes, generally.

Penal statutes refer to those laws by which punishments are imposed for violation or transgression of their provisions.¹⁸ Penal statutes are those acts of the legislature which prohibit certain acts and establish penalties for their violation, or those that define crimes, treat of their nature and provide for their punishment.¹⁹ The test employed if a statute is penal is whether a penalty is imposed for the punishment of a wrong to the public or for the redress of an injury to an individual.²⁰ Strictly and properly speaking, penal or criminal laws are those which impose punishment for an offense committed against the state, and which the chief executive has the power to pardon. In common use, however, this sense has been enlarged to include within the term "penal statutes" all statutes which command or prohibit certain acts, and establish penalties for their violation, and even those which, without expressly prohibiting certain acts, impose a penalty upon their commission.²¹ A statute which decrees the forfeiture in favor of the state of unexplained wealth acquired by a public official while in office is criminal in nature.²²

The Court in *Yu On v. CA* [G.R. No. 125297, June 6, 2003] defines penal law as follows:

A penal law, as defined by this Court, is an act of the legislature that prohibits certain acts and establishes penalties for its violations. It also defines crime, treats of its nature and provides for its punishment. R.A. No. 7691 does not prohibit certain acts or provides penalties for its violation; neither does it treat of the nature of crimes and its punishment. Consequently, R.A. No. 7691 is not a penal law, and therefore, Art. 22 of the RPC does not apply in the present case.

7.08. Penal statutes strictly construed.

It is a well-known rule of legal hermeneutics that penal or criminal laws are strictly construed against the State and liberally

¹⁸Fillarzo v. Ariaga, G.R. No. 23848, October 31, 1967, 21 SCRA 717.

¹⁹Subido v. Sandiganbayan, 78 SCAD 104, 266 SCRA 379 (1997).

²⁰Buenaseda v. Flavier, 44 SCAD 1026, 226 SCRA 646 (1993).

²¹Lorenzo v. Posadas, 64 Phil. 353 (1937).

²²Cabel v. Kapunan, 116 Phil. 1361 (1962).

in favor of the accused.²⁶ This means that penal statutes cannot be enlarged or extended by intendment, implication, or any equitable consideration.²⁷ And the court must not bring cases within the provision of a statute that are not clearly embraced by it, nor by a narrow, technical, or forced construction exclude cases from it that are obviously within its provision.²⁸ Thus, where a statute penalizes the commission of an act on certain specific occasions, it cannot be construed to penalize it on all occasions.²⁹

The language of a penal statute cannot be enlarged beyond the ordinary meaning of its terms in order to carry into effect the general purpose for which the statute was enacted. Only those persons, offenses, and penalties clearly included, beyond any reasonable doubt, will be considered within the operation of the statute. They must come clearly within both the spirit and the letter of the statute, and where there is a reasonable doubt, it must be resolved in favor of the person accused of violating the statute.³⁰ In other words, no person should be brought within the terms of a statute who is not clearly within them, nor should any act be pronounced criminal which is not clearly made so by the statute.³¹

For instance, Sec. 11 of R.A. No. 7659, which amended Art. 335 of the Revised Penal Code, provides that the death penalty for rape may be imposed if the "offender is a parent, ascendant, step-parent, guardian, relative by consanguinity or affinity within the third civil degree, or the common law spouse of the parent of the victim." This provision cannot be extended to apply to an offender who is not the common law spouse of the parent of the victim, but is the common-law husband of the girl's grandmother because he is not one of those enumerated therein. For "Courts must not bring cases within the provision of the law which are not clearly embraced by it. No act can

be pronounced criminal which is not clearly made so by statute; so, too, no person who is not clearly within the terms of a statute can be brought within them. Any reasonable doubt must be resolved in favor of the accused."³²

The rule that penal statutes are strictly construed does not mean that every penal law must be so narrowly construed as to defeat the law itself; it merely means that they are not to be construed so strictly as to nullify or destroy the obvious purpose of the legislature.³³ As the court said in a case: "Statutes then being penal must be construed with such strictness as to carefully safeguard the rights of the defendant and at the same time preserve the obvious intention of the legislature. If the language be plain, it will be construed as it reads, and the words of the statute given their full meaning; if ambiguous, the court will lean more strongly in favor of the defendant than it would if the statute were remedial. In both cases, it will endeavor to effect substantial justice."³⁴

In the interpretation of a penal statute, the rule is to subject it to careful scrutiny and to construe it with such strictness as to safeguard the rights of the accused. If the statute is ambiguous and admits two reasonable but contradictory constructions, that which operates in favor of a party accused under its provision is to be preferred. The principle is that acts in and of themselves innocent and lawful cannot be held to be criminal unless there is a clear and unequivocal expression of the legislative intent to make them such. Whatever is not plainly within the provisions of a penal statute should be regarded as without its intendment. Thus, since P.D. No. 1564, which punishes a person who solicits or receives contribution for "charitable or public welfare purposes" without any permit first secured from the Department of Social Services, did not include "religious purposes" in the acts punishable, the law cannot be construed to punish the solicitation of contributions for religious purposes, such as for the repair or renovation of a church, for while "charitable purposes" include "religious purposes," not all charitable purposes include religious purposes; hence, following the rule that penal laws should be strictly construed and what is not clearly

²⁶People v. Subido, G.R. No. 21734, September 5, 1975, 66 SCRA 545; People v. Yu Jai, 99 Phil. 725 (1956); People v. Elkanish, 90 Phil. 53 (1951); Say Sui v. People, 92 Phil. 684 (1953); People v. Estapia, 37 Phil. 17 (1917); People v. Jacson, 54 Phil. 176 (1929); People v. Purisima, G.R. No. 42050, November 20, 1978, 86 SCRA 542; People v. Terrado, G.R. No. 23625, November 25, 1983, 125 SCRA 648.

²⁷People v. Garcia, 85 Phil. 651 (1950).

²⁸Northern Securities Co. v. United States, 193 U.S. 197, 48 L. ed. 679 (1904).

²⁹U.S. v. Estapia, 37 Phil. 17 (1917); Go Chico v. Martinez, 45 Phil. 256 (1923).

³⁰People v. Garcia, 85 Phil. 651 (1950), citing Crawford, *Statutory Construction*, pp. 460-462.

³¹U.S. v. Abad Santos, 36 Phil. 243 (1917); U.S. v. Madrigal, 27 Phil. 347 (1914).

³²People vs. Atop, 91 SCAD 561, 286 SCRA 163, 170-171 (1998), citing Aguado, *Statutory Construction*, 1990 ed., 208.

³³U.S. v. Go Chico, 14 Phil. 128 (1909).

³⁴U.S. v. Go Chico, 14 Phil. 128, 141 (1909), citing Bollers v. Outing Co., 175 U.S. 262, 265; see also People v. Subido, G.R. No. 21734, September 5, 1975, 66 SCRA 545.

included as punishable is excluded, the term "charitable" should be strictly construed so as to exclude solicitation for "religious" purposes in the scope of the law.²²

In *Laurel v. Abrogar*, G.R. No. 155076, February 22, 2006, one of the issues was whether or not international telephone calls using Bay Super Orient Cards through the telecommunication services provided by PLDT for such calls, or, in short, PLDT's business of providing said telecommunication services, are proper subjects of theft under Article 308 of the Revised Penal Code. The Court ruled that the information charging such alleged offense did fall under Article 308 of the Revised Penal Code and ordered the information dismissed. The Court held:

"On the second issue, we find and so hold that the international telephone calls placed by Bay Super Orient Card holders, the telecommunication services provided by PLDT and its business of providing said services are not personal properties under Article 308 of the Revised Penal Code. The construction by the respondents of Article 308 of the said Code to include, within its coverage, the aforesaid international telephone calls, telecommunication services and business is contrary to the letter and intent of the law.

The rule is that, penal laws are to be construed strictly. Such rule is founded on the tenderness of the law for the rights of individuals and on the plain principle that the power of punishment is vested in Congress, not in the judicial department. It is Congress, not the Court, which is to define a crime, and ordain its punishment. Due respect for the prerogative of Congress in defining crimes/felonies constrains the Court to refrain from a broad interpretation of penal laws where a "narrow interpretation" is appropriate. The Court must take heed to language, legislative history and purpose, in order to strictly determine the wrath and breath of the conduct the law forbids. However, when the congressional purpose is unclear, the court must apply the rule of lenity, that is, ambiguity concerning the ambit of criminal statutes should be resolved in favor of lenity.

Penal statutes may not be enlarged by implication or intent beyond the fair meaning of the language used, and may

²²Centeno v. Villalon-Pornillos, 55 SCAD 100, 236 SCRA 197 (1994).

not be held to include offenses other than those which are clearly described, notwithstanding that the Court may think that Congress should have made them more comprehensive. Words and phrases in a statute are to be construed according to their common meaning and accepted usage.

As Chief Justice John Marshall declared, "it would be dangerous, indeed, to carry the principle that a case which is within the reason or mischief of a statute is within its provision, so far as to punish a crime not enumerated in the statute because it is of equal atrocity, or of kindred character with those which are enumerated. When interpreting a criminal statute that does not explicitly reach the conduct in question, the Court should not base an expansive reading on inferences from subjective and variable understanding."

Article 308 of the Revised Penal Code defines theft as follows:

Art. 308. Who are liable for theft.—Theft is committed by any person who, with intent to gain but without violence, against or intimidation of persons nor force upon things, shall take personal property of another without the latter's consent.

x x x

For one to be guilty of theft, the accused must have an intent to steal (*animus furandi*), personal property, meaning the intent to deprive another of his ownership/lawful possession of personal property which intent is apart from and concurrently with the general criminal intent which is an essential element of a felony of *dolo* (*dolus malus*).

An information or complaint for simple theft must allege the following elements: (a) the taking of personal property; (b) the said property belongs to another; (c) the taking be done with intent to gain; and (d) the taking be accomplished without the use of violence or intimidation of person/s or force upon things.

One is apt to conclude that "personal property" standing alone, covers both tangible and intangible properties and are subject of theft under the Revised Penal Code. But the words "Personal property" under the Revised Penal Code must be considered in tandem with the word "take" in the law.

The statutory definition of "taking" and movable property indicates that, clearly, not all personal properties may be the proper subjects of theft. The general rule is that, only movable properties which have physical or material existence and susceptible of occupation by another are proper objects of theft. As explained by Cuello Callon: "*Cosa jurídicamente es toda sustancia corporal, material, susceptible de ser aprehendida que tenga un valor cualquiera.*"

According to Cuello Callon, in the context of the Penal Code, only those movable properties which can be taken and carried from the place they are found are proper subjects of theft. Intangible properties such as rights and ideas are not subject of theft because the same cannot be "taken" from the place it is found and is occupied or appropriated.

x x x

Thus, movable properties under Article 308 of the Revised Penal Code should be distinguished from the rights or interests to which they relate. A naked right existing merely in contemplation of law, although it may be very valuable to the person who is entitled to exercise it, is not the subject of theft or larceny. Such rights or interests are intangible and cannot be "taken" by another. Thus, right to produce oil, good will or an interest in business, or the right to engage in business, credit or franchise are properties. So is the credit line represented by a credit card. However, they are not proper subjects of theft or larceny because they are without form or substance, the mere "breath" of the Congress. On the other hand, goods, wares and merchandise of businessmen and credit cards issued to them are movable properties with physical and material existence and may be taken by another; hence, proper subjects of theft.

There is "taking" of personal property, and theft is consummated when the offender unlawfully acquires possession of personal property even if for a short time; or if such property is under the dominion and control of the thief. The taker, at some particular amount, must have obtained complete and absolute possession and control of the property adverse to the rights of the owner or the lawful possessor thereof. It is not necessary that the property be actually carried away out of the physical possession of the lawful possessor or that he should have made his escape with it. Neither asportation nor

actual manual possession of property is required. Constructive possession of the thief of the property is enough.

The essence of the element is the taking of a thing out of the possession of the owner without his privity and consent and without *animus revertendi*.

Taking may be by the offender's own hands, by his use of innocent persons without any felonious intent, as well as any mechanical device, such as an access device or card, or any agency, animate or inanimate, with intent to gain. Intent to gain includes the unlawful taking of personal property for the purpose of deriving utility, satisfaction, enjoyment and pleasure.

We agree with the contention of the respondents that intangible properties such as electrical energy and gas are proper subjects of theft. The reason for this is that, as explained by this Court in *United States v. Carlos and United States v. Tambunting*, based on decisions of the Supreme Court of Spain and of the courts in England and the United States of America, gas or electricity are capable of appropriation by another other than the owner. Gas and electrical energy may be taken, carried away and appropriated. In *People v. Menegas*, the Illinois State Supreme Court declared that electricity, like gas, may be seen and felt. Electricity, the same as gas, is a valuable article of merchandise, bought and sold like other personal property and is capable of appropriation by another. It is a valuable article of merchandise, bought and sold like other personal property, susceptible of being severed from a mass or larger quantity and of being transported from place to place. Electrical energy may, likewise, be taken and carried away. It is a valuable commodity, bought and sold like other personal property. It may be transported from place to place. There is nothing in the nature of gas used for illuminating purposes which renders it incapable of being feloniously taken and carried away.

In *People ex rel Brush Electric Illuminating Co. v. Wemple*, the Court of Appeals of New York held that electric energy is manufactured and sold in determinate quantities at a fixed price, precisely as are coal, kerosene oil, and gas. It may be conveyed to the premises of the consumer, stored in cells of different capacity known as an accumulator; or it may be sent through a wire, just as gas or oil may be transported

either in a close tank or forced through a pipe. Having reached the premises of the consumer, it may be used in any way he may desire, being, like illuminating gas, capable of being transformed either into heat, light, or power, at the option of the purchaser. In *Woods v. People*, the Supreme Court of Illinois declared that there is nothing in the nature of gas used for illuminating purposes which renders it incapable of being feloniously taken and carried away. It is a valuable article of merchandise, bought and sold like other personal property, susceptible of being severed from a mass or larger quantity and of being transported from place to place.

Gas and electrical energy should not be equated with business or services provided by business entrepreneurs to the public. Business does not have an exact definition. Business is referred as that which occupies the time, attention and labor of men for the purpose of livelihood or profit. It embraces everything that which a person can be employed. Business may also mean employment, occupation, or profession. Business is also defined as a commercial activity for gain, benefit or advantage. Business, like services in business, although are properties, are not proper subjects of theft under the Revised Penal Code because the same cannot be "taken" or "occupied." If it were otherwise, as claimed by the respondents, there would be no juridical difference between the taking of the business of a person or the services provided by him for gain, *vis-à-vis*, the taking of goods, wares or merchandise, or equipment comprising his business. If it was its intention to include "business" as personal property under Article 308 of the Revised Penal Code, the Philippine Legislature should have spoken in language that is clear and definite: that business is personal property under Article 308 of the Revised Penal Code.

We agree with the contention of the petitioner that, as gleaned from the material averments of the Amended Information, he is charged of "stealing the international long distance calls belonging to PLDT" and the use thereof, through the ISR. Contrary to the claims of the OSG and respondent PLDT, the petitioner is not charged of stealing P20,370,651.95 from said respondent. Said amount of P20,370,651.95 alleged in the Amended Information is the aggregate amount of access, transmission or termination charges which the PLDT expected from the international long distance calls of the callers with the use of Baynet Super Orient Cards sold by Baynet Co. Ltd.

In defining theft, under Article 308 of the Revised Penal Code, as the taking of personal property without the consent of the owner thereof, the Philippine legislature could not have contemplated the human voice which is converted into electronic impulses or electrical current which are transmitted to the party called through the PSTN of respondent PLDT and the ISR of Baynet Card Ltd. within its coverage. When the Revised Penal Code was approved, on December 8, 1930, international telephone calls and the transmission and routing of electronic voice signals or impulses emanating from said calls, through the PSTN, IPL and ISR, were still non-existent. Case law is that, where a legislative history fails to evidence congressional awareness of the scope of the statute claimed by the respondents, a narrow interpretation of the law is more consistent with the usual approach to the construction of the statute. Penal responsibility cannot be extended beyond the fair scope of the statutory mandate.

Respondent PLDT does not acquire possession, much less, ownership of the voices of the telephone callers or of the electronic voice signals or current emanating from said calls. The human voice and the electronic voice signals or current caused thereby are intangible and not susceptible of possession, occupation or appropriation by the respondent PLDT or even the petitioner, for that matter. PLDT merely transmits the electronic voice signals through its facilities and equipment. Baynet Card Ltd., through its operator, merely intercepts, reroutes the calls and passes them to its toll center. Indeed, the parties called receive the telephone calls from Japan.

In this modern age of technology, telecommunications systems have become so tightly merged with computer systems that it is difficult to know where one starts and the other finishes. The telephone set is highly computerized and allows computers to communicate across long distances. The instrumentality at issue in this case is not merely a telephone but a telephone inexplicably linked to a computerized communications system with the use of Baynet Cards sold by the Baynet Card Ltd. The corporation uses computers, modems and software, among others, for its ISR.

The conduct complained of by respondent PLDT is reminiscent of "phreaking" (a slang term for the action of making a telephone system to do something that it normally

should not allow by "making the phone company bend over and grab its ankles"). A "phreaker" is one who engages in the act of manipulating phones and illegally markets telephone services. Unless the phone company replaces all its hardware, phreaking would be impossible to stop. The phone companies in North America were impelled to replace all their hardware and adopted full digital switching system known as the Common Channel Inter Office Signaling. Phreaking occurred only during the 1960's and 1970's, decades after the Revised Penal Code took effect.

The petitioner is not charged, under the Amended Information, for theft of telecommunication or telephone services offered by PLDT. Even if he is, the term "personal property" under Article 308 of the Revised Penal Code cannot be interpreted beyond its seams so as to include "telecommunication or telephone services" or computer services for that matter. The word "service" has a variety of meanings dependent upon the context, or the sense in which it is used; and, in some instances, it may include a sale. For instance, the sale of food by restaurants is usually referred to as "service," although an actual sale is involved. It may also mean the duty or labor to be rendered by one person to another; performance of labor for the benefit of another. In the case of PLDT, it is to render local and international telecommunications services and such other services as authorized by the CPCA issued by the NTC. Even at common law, neither time nor services may be taken and occupied or appropriated. A service is generally not considered property and a theft of service would not, therefore, constitute theft since there can be no caption or asportation. Neither is the unauthorized use of the equipment and facilities of PLDT by the petitioner theft under the aforementioned provision of the Revised Penal Code.

If it was the intent of the Philippine Legislature, in 1930, to include services to be the subject of theft, it should have incorporated the same in Article 308 of the Revised Penal Code. The Legislature did not. In fact, the Revised Penal Code does not even contain a definition of services.

x x x

In the Philippines, Congress has not amended the Revised Penal Code to include theft of services or theft of business as

felonies. Instead, it approved a law, Republic Act No. 8484, otherwise known as the Access Devices Regulation Act of 1998, on February 11, 1998. Under the law, an access device means any card, plate, code, account number, electronic serial number, personal identification number and other telecommunication services, equipment or instrumentalities-identifier or other means of account access that can be used to obtain money, goods, services or any other thing of value or to initiate a transfer of funds other than a transfer originated solely by paper instrument. Among the prohibited acts enumerated in Section 9 of the law are the acts of obtaining money or anything of value through the use of an access device, with intent to defraud or intent to gain and fleeing thereafter; and of effecting transactions with one or more access devices issued to another person or persons to receive payment or any other thing of value. Under Section 11 of the law, conspiracy to commit access devices fraud is a crime. However, the petitioner is not charged of violation of R.A. 8484."

In *Villaseñor v. Oco-Perquerra*, G.R. No. 180700, March 4, 2008, the Court distinguished penal statute, which is strictly construed and procedural laws regarding preventive suspension not as a penalty. The Court held:

"Section 13 of R.A. No. 3019 on preventive suspension is not a penal provision. It is procedural in nature. Hence, the strict construction rule finds no application. The Court expounded on this point in *Buenaseda v. Flavio*."

Penal statutes are strictly construed while procedural statutes are liberally construed (*Crawford, Statutory Construction, Interpretation of Laws*, pp. 460-461; *Lacson v. Romero*, 92 Phil. 456 [1953]). The test in determining if a statute is penal is whether a penalty is imposed for the punishment of a wrong to the public or for the redress of an injury to an individual (59 *Corpus Juris*, Sec. 658; *Crawford, Statutory Construction*, pp. 496-497). A Code prescribing the procedure in criminal cases is not a penal statute and is to be interpreted liberally (*People v. Adler*, 140 N.Y. 331; 35 N.E. 644). (Underlining supplied)

As we have already established, preventive suspension is not, in actual fact, a penalty at all. It is a procedural rule.

7.09. Reason why penal statutes are strictly construed.

The reason for the rule that penal statutes are construed strictly against the State and liberally in favor of the accused is that the law is tender in favor of the rights of an individual; the object is to establish a certain rule by conformity to which mankind would be safe, and the discretion of the court limited. The purpose of strict construction is not to enable a guilty person to escape punishment through a technicality but to provide a precise definition of forbidden acts.³³

7.10. Acts mala in se and mala prohibita.

The general rule is that a penal statute will not be construed to make the commission of certain prohibited acts criminal without regard to the intent of the doer, unless there is a clear legislative intent to the contrary. In other words, to constitute a crime, evil intent must combine with an act. *Actus non facit reum nisi mens sit rea*, the act itself does not make a man guilty unless his intention were so. *Actus me invito factus non est meus actus*, an act done by me against my will is not my act.³⁴

In acts *mala in se*, such as those penalized under the Revised Penal Code, criminal intent, apart from the act itself, is required, but in those which are *mala prohibita* the only inquiry is, has the law been violated. Whether a statute is to be so construed depends upon the intent of the legislature, taking into consideration the nature of the offense, the purpose to be accomplished and such other factors as will throw light upon the meaning of the language.³⁵ Such words as "voluntarily," "knowingly," or "willfully" impart criminal intent as a prerequisite.³⁶ Where a statute plainly prohibits an act to be done and uses no word implying that the prohibited act shall be done knowingly or willfully, and the act is done, the statute implies the guilty intent, although the offender was honestly mistaken as to the meaning of the law he violated. Where the language is plain and positive, and the offense is not made to depend upon the positive, willful intent and purpose, nothing is left to interpretation.³⁷

³³People v. Purisima, G.R. No. 42050, November 20, 1978, 86 SCRA 542; Paanan v. Intermediate Appellate Court, 145 SCRA 112 (1986); Ursua v. Court of Appeals, 70 SCAD 123, 256 147 (1996).

³⁴U.S. v. Ah Chong, 15 Phil. 488 (1910).

³⁵U.S. v. Go Chio, 14 Phil. 128 (1909).

³⁶U.S. v. Ah Chong, *supra*; People v. Salazar, 106 Phil. 221 (1959).

³⁷U.S. v. Go Chio, *supra*.

7.11. Application of rule.

The rule that no person should be brought within the terms of a statute who is not clearly within them, nor should an act be considered criminal which is not clearly made so by the statute has been applied in a number of cases. Thus, in accordance with the rule, a statute which penalizes a "person assisting a claimant" in connection with the latter's claim for veterans benefit, who shall collect a fee therefor exceeding twenty pesos per claim or shall collect such fee before the claim is actually paid, does not, strictly construed, penalize "one who offers to assist, but does not assist," the latter not being clearly within the terms of the law.³⁸ Where a statute penalizes a store owner who sells commodities beyond the retail ceiling price fixed by law, the ambiguity in the executive order classifying the same commodity into two classes and fixing different ceiling prices for each class, pursuant to which the price of goods sold by a store owner is less than the price in one class but more than that of the other class, should be resolved in favor of the accused, as to render him not liable for violation of the law.³⁹ Where a statute punishes a person "who fraudulently represents the weight or measure of anything to be greater or less than it is," the act of a person who violates such law cannot be imputed to that of another as to hold the latter liable therefor even without his knowledge or consent to the act of the former.⁴⁰ Where selling "flame" tickets is not prohibited, a person who sold such tickets could not be held criminally liable therefor.⁴¹ Where a crime is punishable both by the Revised Penal Code and by a special law, each of which prescribes a different prescriptive period, one longer than the other, the shorter period should apply as to whether the crime has already prescribed, as it is more favorable to the accused.⁴²

The language of penal statutes has been frequently narrowed where the letter includes situations inconsistent with the legislative purpose.⁴³ Thus, the language of a statute which penalizes the mere carrying outside of residence of bladed weapons, such as a knife or bolo, not in connection with one's work or occupation, with a very

³⁸People v. Yadao, 94 Phil. 726 (1954).

³⁹Suy v. People, 92 Phil. 684 (1953).

⁴⁰U.S. v. Madrigal, 27 Phil. 347 (1914).

⁴¹People v. Garcia, 94 Phil. 814 (1956).

⁴²People v. Terreda, G.R. No. 23625, November 25, 1983, 125 SCRA 648.

⁴³People v. Manantan, 115 Phil. 637 (1962).

heavy penalty ranging from five to ten years of imprisonment, has been narrowed and strictly construed as to include, as an additional element of the crime, the carrying of the weapon in furtherance of rebellion, insurrection or subversion, such being the evil sought to be remedied or prevented by the statute as disclosed in its preamble.⁴⁴

The rule that a penal statute should be so construed with strictness so as to safeguard the rights of the defendant finds application in *Azarcon v. Sandiganbayan*.⁴⁵ The question is whether a private person can be considered a public officer by reason of his being designated by the Bureau of Internal Revenue as a depository of distrained property, so as to make the conversion thereof the crime of malversation falling within the jurisdiction of the Sandiganbayan. The Court ruled in the negative, thus: "However, we find no provision in the NIRC constituting such person a public officer by reason of such requirement. The BIR's power authorizing a private individual to act as a depository cannot be stretched to include the power to appoint him as a public officer. The prosecution argues that 'Article 222 of the Revised Penal Code x x x defines the individuals covered by the term 'officers' under Article 217 x x x' of the same Code. And accordingly, since Azarcon became 'a depository of the truck seized by the BIR, he also became a public officer who can be prosecuted under Article 217 x x x.' The Court is not persuaded. Article 222 of the RPC reads: 'Officers included in the preceding provisions. — The provisions of this chapter shall apply to private individuals who, in any capacity whatever, have charge of any insular, provincial, or municipal funds, revenues, or property and to any administrator or depository of funds or property attached, seized or deposited by public authority, even if such property belongs to a private individual.' x x x 'Legislative intent is determined principally from the language of a statute. Where the language of a statute is clear and unambiguous, the law is applied according to its express terms, and interpretation would be resorted to only where a literal interpretation would be either impossible or absurd or would lead to an injustice.' This is particularly observed in the interpretation of penal statutes which 'must be construed with such strictness as to carefully safeguard the rights of the defendant x x x.' The language of the foregoing provision is clear. A private individual who has in his charge any of the public

funds or property enumerated therein and commits any of the acts defined in any of the provisions of Chapter Four, Title Seven of the RPC, should likewise be penalized with the same penalty meted to erring public officers. Nowhere in this provision is it expressed or implied that a private individual falling under said Article 222 is to be deemed a public officer."⁴⁶

7.12. Limitation of rule.

The rule that penal statutes are given a strict construction is not the only factor in the interpretation of criminal laws. The rule merely serves as an additional factor to be considered as an aid in ascertaining the meaning of penal laws. A strict construction should not be permitted to defeat the intent, policy, and purpose of the statute. The court should consider the spirit and reason of a statute where a literal meaning would lead to absurdity, contradiction, injustice, or would defeat the clear purpose of the law, for strict construction of a criminal statute does not mean such construction as to deprive it of the meaning intended.⁴⁷

Where a penal statute is capable of two interpretations, one which will operate to exempt an accused from liability for violation thereof and another which will give effect to the manifest intent of the statute and promote its object, the latter interpretation should be adopted. The rule that penal statutes should be strictly construed against the state and liberally in favor of the accused will not justify such construction as will defeat the object of the law sought to be attained.⁴⁸ For although penal statutes are to be strictly construed, they are not to be so strictly construed as to defeat the obvious purpose of the legislature. Thus, a law which punishes the display of flags "used during" the insurrection against the United States may not be so construed as to exempt from criminal liability a person who displays a replica of said flag because said replica is not the one "used" during the rebellion, for to so construe it is to nullify the statute altogether. The rules of interpretation are rules of construction, not destruction.⁴⁹

⁴⁴*Ibid.*, pp. 761-763, citing *Agpalo, Statutory Construction*, 1990, p. 209.

⁴⁵*People v. Manantan*, 115 Phil. 637 (1962); *People v. Gatchalian*, 104 Phil. 664 (1958).

⁴⁶*U.S. v. Toribio*, 15 Phil. 85 (1910); *U.S. v. Go Chio*, 14 Phil. 128 (1909).

⁴⁷*U.S. v. Go Chio*, *supra*.

⁴⁸*People v. Purisma*, G.R. No. 42050, November 20, 1978, 86 SCRA 542 (1978).

⁴⁹79 SCAD 954, 268 SCRA 747 (1997).

Moreover, the rule that penal statutes are to be strictly construed against the State applies only where the law is ambiguous and there is doubt as to its meaning. Where the law is clear and unambiguous, the rule does not apply. For instance, where a statute requires that an employer shall pay a minimum wage of not less than a specified amount and punishes any person who willfully violates any of its provisions, the fact that the nonpayment of the minimum wage is not specifically declared unlawful, unlike other prohibited acts therein mentioned, does not mean that an employer who pays his employees less than the prescribed minimum wage is not liable criminally, for the nonpayment of the minimum wage is the very act sought to be enjoined by the law and to strictly construe it by saying that such act is not criminally punishable is to defeat the object of the law, which is to provide a rockbottom wage to be observed by all employers.⁵⁹

7.13. Statutes in derogation of rights.

People in a republican state enjoy certain rights, which are either inherent or guaranteed by the Constitution or protected by law. However, rights are not absolute, and the state, in the exercise of its police power, may enact legislations curtailing or restricting their enjoyment. As these statutes are in derogation of common or general rights, they are generally strictly construed and rigidly confined to cases clearly within their scope or purpose.⁶⁰ Thus, statutes authorizing the expropriation of private land or property, allowing the taking of deposition,⁶¹ fixing the ceiling of the price of commodities⁶² limiting the exercise of proprietary rights by individual citizens,⁶³ and suspending the period of prescription of actions, are statutes in derogation of common or general rights, and are accordingly construed strictly.⁶⁴

⁵⁹*People v. Gatchalian*, 104 Phil. 664 (1958).

⁶⁰*Realty Investment, Inc. v. Valderama*, 84 Phil. 842 (1951); *Phil. National Bank v. Jacinto*, 88 Phil. 376 (1951); *Herrerias v. Javellana*, 84 Phil. 608 (1949).

⁶¹*Arriete v. Director of Public Works*, 58 Phil. 507 (1938).

⁶²*Núñez v. Muñoz*, 53 Phil. 782 (1928).

⁶³*Herrerias v. Javellana*, 84 Phil. 608 (1949).

⁶⁴*Republic v. Sandiganbayan*, 96 SCAD 842, 293 SCRA 440, 455-456 (1998), citing *Agpalo, Statutory Construction*, 1990 ed., p. 212.

⁶⁵*Realty Investments, Inc. v. Villanueva*, 84 Phil. 842 (1951); *Phil. National Bank v. Jacinto*, *supra*.

It has been held that of two reasonably possible constructions, one which would diminish or restrict fundamental right of the people and the other of which would not do so, the latter construction must be adopted so as to allow full enjoyment of such fundamental right.⁶⁷

7.14. Statutes authorizing expropriations.

The power of eminent domain is essentially legislative in nature.⁶⁸ The legislature may not, however, by itself, exercise such power by enacting a law directly expropriating a particular land and fixing the amount of just compensation thereof.⁶⁹ It may delegate the power, by law, subject to hearing as to just compensation, to the President,⁷⁰ local government units,⁷¹ or a public utility company.⁷² Statutes expropriating or authorizing the expropriation of property are strictly construed against the expropriating authority and liberally in favor of property owners.⁷³ The reason is that the "exercise of the right of eminent domain, whether by the State, or by its authorized agents, is necessarily in derogation of private rights, and the rule in that case is that the authority must be strictly construed. No specie of property is held by individuals with greater tenacity, and none is guarded by the constitution and laws more sedulously, than the right to freehold of inhabitants. When the legislature interferes with that right, and, for greater purposes, expropriates the land of an individual without his consent, the plain meaning of the law should not be enlarged by doubtful interpretation."⁷⁴

7.15. Statutes granting privileges.

Statutes granting advantages to private persons or entities have in many instances created special privileges or monopolies for the grantees and have thus been viewed with suspicion and strictly construed. This is altogether appropriate in the majority of situations, for if public advantage is gained by the grant, it narrowly

⁶⁷*Provincial Chapter of Laguna, Nacionalista Party v. Commission on Elections*, G.R. No. 53460, May 27, 1983, 122 SCRA 423.

⁶⁸*City of Manila v. Chinese Community of Manila*, 40 Phil. 349 (1919).

⁶⁹*Mannok v. National Housing Authority*, 160 SCRA 89 (1987).

⁷⁰Sec. 64(h), Revised Administrative Code.

⁷¹Sec. 9, Batas Pambansa Blg. 387.

⁷²*Tenorio v. Manila Railroad Co.*, 22 Phil. 411 (1912).

⁷³*Arriete v. Director of Public Works*, 58 Phil. 507 (1938); *City of Manila v. Chinese Community of Manila*, 40 Phil. 349 (1919).

⁷⁴*City of Manila v. Chinese Community of Manila*, 40 Phil. 349 (1919).

appears to be of secondary significance compared with the advantage gained by the grantee.⁶⁵

Strict construction requires that those who invoke a special privilege granted by a statute must comply strictly with its provisions.⁶⁶ *Privilegia recipiunt largam interpretationem voluntati consonam concedentis*, or privileges are to be interpreted in accordance with the will of him who grants them.⁶⁷ And he who fails to strictly comply with the will of the grantor loses such privileges. Thus, where an entity is granted a legislative franchise to operate electric light and power, on condition that it should start operation within a specified period, its failure to start operation within the period resulted in the forfeiture of the franchise.⁶⁸ For rights or privileges which exist only by virtue of statutes come into being only after strict compliance with all the conditions found in the statutes.⁶⁹ In the matter of rights and privileges granted subject to conditions, the maxim *dura lex sed lex* may properly be applied.⁷⁰

7.16. Legislative grants to local government units.

Legislative grants in favor of local government units are grants of a public nature, and hence, should be strictly construed against the grantee. One compelling reason given for the strict interpretation of a public grant is that there is in such a grant a gratuitous donation of public money or property which results in an unfair advantage to the grantee and for that reason, the grant should be narrowly restricted in favor of the public. Hence, the letter of the statute should be narrowed to exclude matters which, if included, would defeat the policy of the legislature.⁷¹

7.17. Statutory grounds for removal of officials.

Statutes relating to suspension or removal of public officials are strictly construed. The rule is expressed in different ways which

⁶⁵C & C Commercial Corp. v. National Waterworks & Sewerage Authority, G.R. No. 27275, November 18, 1967, 21 SCRA 984.

⁶⁶Pagdangnan v. Court of Agrarian Relations, 104 Phil. 910 (1958).

⁶⁷Barreto v. Tiuason, 50 Phil. 888 (1926).

⁶⁸Butuan Sawmill, Inc. v. Bayview Theater, Inc., 96 Phil. 137 (1954).

⁶⁹C & C Commercial Corp. v. National Waterworks & Sewerage Authority, G.R. No. 27275, November 18, 1967, 21 SCRA 984.

⁷⁰Butuan Sawmill, Inc. v. Bayview Theater, Inc., *supra*.

⁷¹Manila Lodge No. 761 v. Court of Appeals, G.R. No. 41001, September 30, 1976, 73 SCRA 162.

convey the same idea: Removal is to be confined within the limits prescribed for it; the causes, manner and conditions fixed must be pursued with strictness; where the cause of removal is specified, the specification amounts to a prohibition to remove for a different cause, which is a paraphrase of the maxim *expressio unius est exclusio alterius*.⁷² The reason for the stringent rule is said to be that the remedy of removal is a drastic one and penal in nature. Injustice and harm to the public interest would likely emerge should such laws be not strictly interpreted against the power of suspension or removal.⁷³

In accordance with the rule of strict construction, where a statute provides that a public official may be removed for "neglect of duty, oppression, corruption or other forms of maladministration in office," the phrase "in office" should be construed to qualify the enumerated grounds, in that the grounds must be such as affect the officer's performance of his duties as an officer and not such as affect only his character as a private person. It distinguishes between the character of the man and the character of the officer, and limits the grounds for removal to only those as enumerated.⁷⁴ Similarly, where a statute outlines in detail the procedure to be taken in the investigation, suspension or removal of a public officer, the legislature clearly manifests a purpose to exclude other modes of proceeding by other authorities under a general statute. Thus, if by statute, local elective officials are to be removed or suspended, after investigation, by the provincial board, subject to appeal to the President, the latter has no authority on his own to conduct the investigation and to suspend such elective local officials.⁷⁵

7.18. Naturalization laws.

It is well-settled that laws on naturalization are strictly construed against an applicant for citizenship and rigidly followed and enforced.⁷⁶ The reason is that the right of an alien to become a citizen by naturalization is a statutory rather than a natural

⁷²Lacson v. Roque, 92 Phil. 456 (1953); Hebrón v. Reyes, 104 Phil. 175 (1958).

⁷³Hebrón v. Reyes, 104 Phil. 175 (1958).

⁷⁴Ochate v. Deling, 105 Phil. 384 (1959); Cornejo v. Naval, 54 Phil. 809 (1930).

⁷⁵Hebrón v. Reyes, 104 Phil. 175 (1958); Villena v. Roque, 93 Phil. 363 (1953).

⁷⁶Co y Quing Reyes v. Republic, 104 Phil. 889 (1958); Pardo v. Republic, 85 Phil. 323 (1950); Ng v. Republic, 94 Phil. 366 (1954); Bautista v. Republic, 87 Phil. 818 (1950).

one, and it does not become vested until he files a petition and establishes by competent and satisfactory evidence that he has all the qualifications and none of the disqualifications specified by law.⁷⁷ In case of doubt, the doubt is resolved against the applicant, and his petition for naturalization is denied.⁷⁸

7.19. Statutes imposing taxes and customs duties.

The power to tax is an incident of sovereignty and is unlimited in its range, acknowledging in its very nature no limits, so that security against its abuse is to be found only in the responsibility of the legislature which imposes the tax on the constituency who are to pay it. So potent is the power that it was once opined that the "power to tax involves the power to destroy."⁷⁹ Taxation is a destructive power which interfered with the personal and property rights of the people and takes from them a portion of their property for the support of the government. Accordingly, tax statutes must be construed strictly against the government and liberally in favor of the taxpayer.⁸⁰

Where the question is whether a statute subjects a matter, property, or person to tax, the statute is to be construed strictly against the subjection to tax liability, and it will not be construed as imposing a tax unless it does so clearly, expressly and unambiguously.⁸¹ A tax cannot be imposed without clear and express words for that purpose. The general rule of requiring adherence to the letter in construing statutes applies with peculiar strictness to tax laws and the provisions of a taxing act are not to be extended by implication. In case of doubt, tax statutes are to be construed most strongly against the government and in favor of the subjects or citizens because burdens are not to be imposed nor presumed to be imposed beyond what statutes expressly and clearly import.⁸²

⁷⁷Mo Yuen Tsi v. Republic, 115 Phil. 401 (1962).

⁷⁸Cu v. Republic, 115 Phil. 606 (1962).

⁷⁹Mactan Cebu International Airport Authority v. Marcos, 74 SCAD 295, 261 SCRA 667 (1996), citing Agpalo, *Statutory Construction* (1990 ed.), p. 216; Quimpo v. Mendoza, G.R. No. 38092, August 31, 1981, 107 SCRA 73; Froehlich & Kuttner v. Collector of Customs, 18 Phil. 461 (1911); Collector of Internal Revenue v. Angeles, 101 Phil. 1026 (1957).

⁸⁰Marinduque Iron Mines Agents, Inc. v. Municipal Council of Hinabangan, Samar, G.R. No. 18924, June 30, 1964, 11 SCRA 416.

⁸¹Commissioner of Internal Revenue v. Court of Appeals, 82 SCAD 45, 271 SCRA 605 (1997).

Tax or customs laws may not be extended by implication beyond the clear import of their language, nor their operation enlarged so as to embrace matters not specifically provided.⁸³ If a person sought to be taxed comes within the letter of the law, he must be taxed, however great the hardship may appear to be to the judicial mind. On the other hand, if the government seeking to collect tax or customs duties cannot bring the subject within the letter of the law, the subject is free, however, apparently within the spirit of the law the case might otherwise appear to be.⁸⁴

The reason underlying the rule of strict construction of statutes imposing taxes or customs duties is that taxation is a destructive power which interferes with the personal and property rights of the people and takes from them a portion of their property for the support of the government. Accordingly, in every case of doubt, tax statutes are construed most strongly against the government and in favor of the taxpayer because burdens are not to be imposed, nor presumed to be imposed, beyond what the statutes expressly and clearly import.⁸⁵

7.20. Statutes granting tax exemptions.

Taxes are what the people pay for civilized society. They are the lifeblood of the nation. Consequently, the law frowns against exemptions from taxation. Laws granting tax exemptions are thus construed *strictissimi juris* against the taxpayer and liberally in favor of the taxing authority. Taxation is the rule and exemption is the exception. The burden of proof rests upon the party claiming exemption to prove that it is in fact covered by the exemption so claimed.⁸⁶

The law frowns against exemption from taxation. For this reason, statutes granting tax exemptions are construed *strictissimi*

⁸³Collector of Internal Revenue v. La Tondaña, Inc., 115 Phil. 841 (1962).

⁸⁴Groehlich & Kuttner v. Collector of Customs, 18 Phil. 461 (1911).

⁸⁵Manila Railroad Co. v. Collector of Customs, 52 Phil. 950 (1929). Collector of Internal Revenue of La Tondaña, 115 Phil. 841 (1962); Batangas Transp. Co. v. Provincial Treasurer, 52 Phil. 190 (1928); Commissioner of Internal Revenue v. Fireman's Fund Ins. Co., 148 SCRA 315 (1987); Republic v. Intermediate Appellate Court, 196 SCRA 335 (1991).

⁸⁶Mactan Cebu International Airport Authority v. Marcos, 74 SCAD 245, 261 SCRA 667 (1996), citing Agpalo, *Statutory Construction*, (1990 ed.), p. 217; Commissioner of Internal Revenue v. Mitsubishi Metal Corp., 181 SCRA 214, 224 (1990).

juris against the taxpayer and liberally in favor of the taxing authority.⁸⁸ Exemptions contained in tax statutes must be strictly construed against those claiming the exceptions.⁸⁹ The basis for the rule of strict construction is to minimize the different treatment and foster impartiality, fairness, and equality of treatment among taxpayers.⁹⁰ Accordingly, he who claims an exemption from his share of the common burden of taxation must justify his claim by showing that the legislature intended to exempt him by words too plain to be mistaken.⁹¹ For exemptions from taxation are not favored in law, nor are they presumed. They must be expressed in the clearest and most unambiguous language and not left to mere implications.⁹² It has been held that "exemptions are never presumed, the burden is on the claimant to establish clearly his right to exemption and an alleged grant of exemption will be strictly construed and cannot be made out by inference or implications but must be beyond reasonable doubt. In other words, since taxation is the rule and exemption the intention to make an exemption ought to be expressed in clear and unambiguous terms."⁹³

Illustrative of the rule that tax exemptions should be strictly construed is *Commissioner of Internal Revenue v. CA*.⁹⁴ The issue raised is whether containers and packaging materials can be credited against the miller's deficiency tax. The BIR claimed that there should be no tax credit pursuant to the proviso of Sec. 168 of the Tax Code, which reads:

⁸⁸*Resins, Inc. v. Auditor General*, G.R. No. 17888, October 29, 1968, 25 SCRA 754; *Eso Standard Eastern, Inc. v. Acting Commissioner of Customs*, G.R. No. 21841, October 28, 1966, 18 SCRA 18; *Commissioner of Internal Revenue v. Guerrero*, G.R. No. 20812, September 22, 1967, 21 SCRA 180; *Government v. Monte de Piedad*, 26 Phil. 42 (1916); *Asiatic Petroleum v. Ramos*, 49 Phil. 466 (1926); *Houss vs. Posadas*, 53 Phil. 338 (1929); *Greenfield v. Meer*, 77 Phil. 394 (1946).

⁸⁹*Union Government Co., Inc. v. Court of Tax Appeals*, G.R. No. 16809, January 31, 1962, 4 SCRA 304.

⁹⁰*Maceda v. Macaraeg*, 197 SCRA 771 (1991).

⁹¹*Surigao Consolidated Mining Co., Inc. v. Collector of Internal Revenue*, G.R. No. 14878, December 26, 1963, 9 SCRA 728.

⁹²*Jai Alai Corp. v. Court of Tax Appeals*, 106 Phil. 345 (1959); *Commissioner of Internal Revenue v. Guerrero*, G.R. No. 28812, September 22, 1967, 21 SCRA 180; *Commissioner of Internal Revenue v. Visayan Electric Co., G.R. No. 22611*, May 27, 1968, 23 SCRA 715.

⁹³*Song Kiat Chocolate Factory v. Central Bank*, 102 Phil. 477, 480 (1957), citing *Cooley on Taxation*, 4th ed., Vol. 2, p. 1303.

⁹⁴103 SCAD 720, 303 SCRA 508 (1999).

"x x x *Provided, finally*, That credit for any sales, miller's or excise taxes and raw materials or supplies used in the milling process shall not be allowed against the miller's tax due, except in the case of a proprietor or operator of a refined sugar factory as provided hereunder."

The Court ruled that the proviso should be strictly construed to apply only to raw materials and not to containers and packing materials which are not raw materials; hence, the miller is entitled to tax credit. It explained:

"Notably, the law relied upon by the BIR Commissioner as the basis for not allowing Cenvoco's tax credit is just a proviso of Section 168 of the old Tax Code. The restriction in the said proviso, however, is limited only to sales, miller's excise taxes paid 'on raw materials used in the milling process.'

Under the rules of statutory construction, exceptions, as a general rule, should be strictly but reasonably construed. They extend only so far as their language fairly warrants, and all doubts should be resolved in favor of the general provisions rather than the exception. Where a general rule is established by statute with exceptions, the court will not curtail the former nor add to the latter by implication x x x. (*Samson vs. Court of Appeals*, 145 SCRA 659 [1986]).

The exception provided for in Section 168 of the old Tax Code should thus be strictly construed. Conformably, the sales, miller's and excise taxes paid on all other materials (except on raw materials used in the milling process), such as the sales taxes paid on containers and packaging materials of the milled products under consideration, may be credited against the miller's tax due therefor.

It is a basic rule of interpretation that words and phrases used in the statute, in the absence of a clear legislative intent to the contrary, should be given their plain, ordinary and common usage or meaning." (*Mustang Lumber, Inc. v. CA*, 157 SCRA 430 [1996], citing *Ruben E. Agpalo, Statutory Construction*, second ed. [1990], 131)⁹⁵

Tax exemptions cannot be created by mere implication, but must be clearly provided by law. In case of doubt, non-exemption

⁹⁵303 SCRA 515.

is favored. Thus, where P.D. No. 1955 withdrew all tax exemptions, except those embodied in the Real Property Code, a law which grants certain industries real estate tax exemptions under the Real Estate Code, the intention to limit the exemption to only those provided in the Code and to exclude those prescribed in other laws is clear, in keeping with the principle of statutory construction that tax exemptions are construed strictly against taxpayers and cannot be granted by implication.⁹⁴

Courts may not indulge in expansive construction and write into the law an exemption not therein set forth. Where a statute has granted in express terms certain exemptions, those are the only exemptions to be considered.⁹⁵ To illustrate: Where a statute exempts from special import tax, equipment "for use of industries," the exemption does not extend to those used in dispensing gasoline at retail in gasoline stations.⁹⁶ A statute authorizing the holding by the Philippine Charity Sweepstakes Office of horse races and providing that the "racing club holding these races shall be exempt from the payment of any municipal or national tax" cannot be construed to exempt the racing club from paying income tax on rentals paid to it for use of the race tracks and other paraphernalia, for what the law exempts refers only to those to be paid in connection with said races.⁹⁷ The constitutional provision exempting from taxation charitable institutions, churches, parsonages or convents appurtenant thereto, mosques, and nonprofit cemeteries, and all lands, buildings and improvements actually, directly and exclusively used for religious or charitable purposes, refers only to exemption from payment of taxes assessed on such properties thus enumerated, as property taxes, and not from all kinds of taxes.⁹⁸ Where a statute provides that the tax provided therein shall not be collected on foreign exchange used for the payment of "fertilizers when imported by planters or farmers directly or through their cooperatives," the importation of fertilizers by an entity which is neither a planter nor a farmer nor a cooperative of planters or farmers is not exempt from payment of the

tax, even though said entity merely acted as agent of the planter or farmer as a sort of accommodation without making any profit from the transaction, for the law uses the word "directly" which means without any one intervening in the importation and the phrase "through their cooperatives" as the only exception.⁹⁹ A company engaged in packaging petroleum gas is not entitled to tax exemption under a statute which provides that tax shall not be imposed against importation of machinery and/or raw materials to be used in "new and necessary industry" and machinery, equipment and spare parts for use of "industries, miners, mining enterprises, planters and farmers," because it is not embraced in the term "industries," the meaning of which is confined to those that tend to produce or create or manufacture, such as those of miners, mining enterprises, planters and farmers, and not to its ordinary and general significance, for if the term is all-inclusive and meant industries in general, there would be no point in making a separate classification with respect to new and necessary industries.¹⁰⁰

It is also settled that, as the power of taxation is a high prerogative of sovereignty, its relinquishment is never presumed and any reduction or diminution thereof with respect to its mode or its rate must be strictly construed, and the same must be couched in clear and unmistakable terms in order that it may be applied. For instance, where a law which grants a franchise to a communication outfit to render communications services to end users and provides that any statute granting more favorable terms to similar franchise holders than that of the earlier law, such as reduced rate of tax on gross receipts, will equally apply to the first franchise holder, the fact that the latter franchise holder enjoying favorable tax rate is licensed to operate only as "carrier's carrier" and not to offer its services to end users preclude the first franchise holder from enjoying the favorable tax benefits of the later franchisee, the two franchise holders not being competitors, the purpose of the "most favored treatment clause" being to place competitors on equal footing, and the subsequent statute being strictly construed.¹⁰¹

⁹⁴Benguet Corporation v. Central Board of Assessment Appeals, 210 SCRA 579 (1992).

⁹⁵Esso Standard Eastern, Inc. v. Acting Commissioner of Customs, G.R. No. 21841, October 28, 1966, 18 SCRA 488.

⁹⁶Esso Standard Eastern, Inc. v. Acting Commissioner of Customs, *supra*.

⁹⁷Collector of Internal Revenue v. Manila Jockey Club, Inc., 98 Phil. 670 (1956).

⁹⁸Lladoc v. Commissioner of Internal Revenue, G.R. No. 19201, June 16, 1965, 14 SCRA 292.

⁹⁹Ta Carlota Sugar Central v. Jimenez, 112 Phil. 232 (1961).

¹⁰⁰Commissioner of Customs v. Phil. Acetylene Co., G.R. No. 22443, May 29, 1971, 39 SCRA 70.

¹⁰¹Phil. Telegraph & Telephone Corp. v. Commissioner on Audit, 146 SCRA 190.

Illustrative case on strict construction of statute granting tax exemption

In *PLDT v. Province of Laguna*, G.R. No. 151899, August 16, 2006, the issue is whether or not PLDT is exempt from paying franchise taxes, pursuant to the following provisions of R.A. 7925, which reads:

SEC. 23. Equality of Treatment in the Telecommunications Industry – Any advantage, favor, privilege, exemption, or immunity granted under existing franchises, or may hereafter be granted, shall *ipso facto* become part of previously granted telecommunications franchises and shall be accorded immediately and unconditionally to the grantees of such franchises: *Provided, however*, That the foregoing shall neither apply to nor affect provisions of telecommunications franchises concerning territory covered by the franchise, the life span of the franchise, or the type of the service authorized by the franchise.

PLDT is a holder of a legislative franchise, pursuant to which it is exempt from the payment of franchise tax. However, the Local Government Code of 1991 withdrew existing tax exemptions, which included that of PLDT. Consequently, the Province of Laguna, in the exercise of its taxing power under the Local Government Code, imposed franchise taxes on PLDT. Thereafter, RA No. 7925 was enacted, Sec. 23 of which grants "Equality of Treatment in the Telecommunications Industry." Invoking Sec. 23 of said law, PLDT filed a claim for refund of taxes, contending that Sec. 23 grants it tax exemptions.

Thus, the issue raised is whether or not under Sec. 23 of RA 7925 PLDT is entitled to tax exemption. The Court ruled that PLDT is not tax exempt. It held:

In *PLDT vs. City of Davao*, and again in *PLDT vs. City of Bacolod, et al.*, this Court has interpreted Section 23 of Rep. Act No. 7925. There, we ruled that Section 23 does not operate to exempt PLDT from the payment of franchise tax. We quote what we have said in *Davao* and reiterated in *Bacolod*.

In sum, it does not appear that, in approving Sec. 23 of R.A. No. 7925, Congress intended it to operate as a blanket tax exemption to all telecommunications entities. Applying the rule of strict construction of laws granting tax exemptions and the rule that doubts should be resolved in favor of municipal

corporations in interpreting statutory provisions on municipal taxing powers, we hold that Sec. 23 of R.A. No. 7925 cannot be considered as having amended petitioner's franchise so as to entitle it to exemption from the imposition of local franchise taxes. Consequently, we hold that petitioner is liable to pay local franchise taxes in the amount of P3,681,985.72 for the period covering the first to the fourth quarter of 1999 and that it is not entitled to a refund of taxes paid by it for the period covering the first to the third quarter of 1998.

The Court explains further:

To begin with, tax exemptions are highly disfavored. The reason for this was explained by this Court in *Asiatic Petroleum Co. v. Llanes*, in which it was held:

... Exemptions from taxation are highly disfavored, so much so that they may almost be said to be odious to the law. He who claims an exemption must be able to point to some positive provision of law creating the right... As was said by the Supreme Court of Tennessee in *Memphis vs. U. & P. Bank* (91 Tenn., 546, 550), "The right of taxation is inherent in the State. It is a prerogative essential to the perpetuity of the government; and he who claims an exemption from the common burden must justify his claim by the clearest grant of organic or statute law." Other utterances equally or more emphatic come readily to hand from the highest authority. In *Ohio Life Ins. and Trust Co. vs. Debolt* (16 Howard, 416), it was said by Chief Justice Taney, that the right of taxation will not be held to have been surrendered, "unless the intention to surrender is manifested by words too plain to be mistaken." In the case of the *Delaware Railroad Tax* (18 Wallace, 206, 226), the Supreme Court of the United States said that the surrender, when claimed, must be shown by clear, unambiguous language, which will admit of no reasonable construction consistent with the reservation of the power. If a doubt arises as to the intent of the legislature, that doubt must be solved in favor of the State. In *Erie Railway Company vs. Commonwealth of Pennsylvania* (21 Wallace, 492, 499), Mr. Justice Hunt, speaking of exemptions, observed that a State cannot strip itself of the most essential power of taxation by doubtful words. "It cannot, by ambiguous language, be deprived of this highest attribute of sov-

eignty.' In *Tennessee vs. Whitworth* (117 U.S., 129, 136), it was said: 'In all cases of this kind the question is as to the intent of the legislature, the presumption always being against any surrender of the taxing power.' In *Farrington vs. Tennessee and County of Shelby* (95 U.S., 379, 686), Mr. Justice Swayne said: '... When exemption is claimed, it must be shown indubitably to exist. At the outset, every presumption is against it. A well-founded doubt is fatal to the claim. It is only when the terms of the concession are too explicit to admit fairly of any other construction that the proposition can be supported.'

The tax exemption must be expressed in the statute in clear language that leaves no doubt of the intention of the legislature to grant such exemption. And, even if it is granted, the exemption must be interpreted in *strictissimi juris* against the taxpayer and liberally in favor of the taxing authority.

x x x

x x x

x x x

The fact is that the term 'exemption' in Sec. 23 is too general. A cardinal rule in statutory construction is that legislative intent must be ascertained from a consideration of the statute as a whole and not merely of a particular provision. For, taken in the abstract, a word or phrase might easily convey a meaning which is different from the one actually intended. A general provision may actually have a limited application if read together with other provisions. Hence, a consideration of the law itself in its entirety and the proceedings of both Houses of Congress is in order.

x x x

x x x

x x x

R.A. No. 7925 is thus a legislative enactment designed to set the national policy on telecommunications and provide the structures to implement it to keep up with the technological advances in the industry and the needs of the public. The thrust of the law is to promote gradually the deregulation of the entry, pricing, and operations of all public telecommunications entities and thus promote a level playing field in the telecommunications industry. There is nothing in the language of Sec. 23 nor in the proceedings of both the House of Representatives and the Senate in enacting R.A. No. 7925 which shows that it contemplates the grant of tax exemptions to all telecommuni-

cations entities, including those whose exemptions had been withdrawn by the LGC.

What this Court said in *Asiatic Petroleum Co. v. Llanes* applies *mutatis mutandis* to this case: 'When exemption is claimed, it must be shown indubitably to exist. At the outset, every presumption is against it. A well-founded doubt is fatal to the claim. It is only when the terms of the concession are too explicit to admit fairly of any other construction that the proposition can be supported.' In this case, the word 'exemption' in Sec. 23 of R.A. No. 7925 could contemplate exemption from certain regulatory or reporting requirements, bearing in mind the policy of the law. It is noteworthy that, in holding Smart and Globe exempt from local taxes, the BLGF did not base its opinion on Sec. 23 but on the fact that the franchises granted to them after the effectivity of the LGC exempted them from the payment of local franchise and business taxes.

As before, PLDT argues that because Smart Communications, Inc. (SMART) and Globe Telecom (GLOBE) under whose respective franchises granted after the effectivity of the Local Government Code, are exempt from franchise tax, it follows that petitioner is likewise exempt from the franchise tax sought to be collected by the Province of Laguna, on the reasoning that the grant of tax exemption to SMART and GLOBE *ipso facto* applies to PLDT, consistent with the "most-favored-treatment" clause found in Section 23 of the Public Telecommunications Policy Act of the Philippines (Rep. Act No. 7925).

Again, there is nothing novel in petitioner's contention. For sure, in *Davao*, this Court even adverted to PLDT's similar argument therein, thus:

Finally, it [PLDT] argues that because Smart and Globe are exempt from the franchise tax, it follows that it must likewise be exempt from the tax being collected by the City of Davao because the grant of tax exemption to Smart and Globe *ipso facto* extended the same exemption to it, which argument this Court rejected in said case in the following wise:

The acceptance of petitioner's theory would result in absurd consequences. To illustrate: In its franchise, Globe is required to pay a franchise tax of only one and one-half *per centum* (1/2% *sic*) of all gross receipts from its transactions while Smart

is required to pay a tax of three percent (3%) on all gross receipts from business transacted. Petitioner's theory would require that, to level the playing field, any "advantage, favor, privilege, exemption, or immunity" granted to Globe must be extended to all telecommunications companies, including Smart. If, later, Congress again grants a franchise to another telecommunications company imposing, say, one percent (1%) franchise tax, then all other telecommunications franchises will have to be adjusted to "level the playing field" so to speak. This could not have been the intent of Congress in enacting Section 23 of Rep. Act 7925. Petitioner's theory will leave the Government with the burden of having to keep track of all granted telecommunications franchises, lest some companies be treated unequally. It is different if Congress enacts a law specifically granting uniform advantages, favor, privilege, exemption or immunity to all telecommunications entities.

On PLDT's motion for reconsideration in *Davao*, the Court added in its *en banc* Resolution of March 25, 2003, that even as it is a state policy to promote a level playing field in the communications industry, Section 23 of Rep. Act No. 7925 does not refer to tax exemption but only to exemption from certain regulations and requirements imposed by the National Telecommunications Commission:

x x x. The records of Congress are bereft of any discussion or even mention of tax exemption. To the contrary, what the Chairman of the Committee on Transportation, Rep. Jerome V. Paras, mentioned in his sponsorship of H.B. No. 14028, which became R.A. No. 7925, were 'equal access clauses' in interconnection agreements, not tax exemptions. He said:

There is also a need to promote a level playing field in the telecommunications industry. New entities must be granted protection against dominant carriers through the encouragement of equitable access charges and equal access clauses in interconnection agreements and the strict policing of predatory pricing by dominant carriers. Equal access should be granted to all operators connecting into the inter-

exchange network. There should be no discrimination against any carrier in terms of priorities and/or quality of services.

Nor does the term 'exemption' in Sec. 23 of R.A. No. 7925 mean tax exemption. The term refers to exemption from certain regulations and requirements imposed by the National Telecommunications Commission (NTC). For instance, R.A. No. 7925, Sec. 17 provides: 'The Commission shall exempt any specific telecommunications service from its rate or tariff regulations if the service has sufficient competition to ensure fair and reasonable rates or tariffs.' Another exemption granted by the law in line with its policy of deregulation is the exemption from the requirement of securing permits from the NTC every time a telecommunications company imports equipment.

PLDT's third assigned error has likewise been squarely addressed in the same *en banc* Resolution, when the Court rejected PLDT's contention that the "in-lieu-of-all-taxes" clause does not refer to "tax exemption" but to "tax exclusion" and hence, the *strictissimi juris* rule does not apply. The *en banc* explains that these two terms actually mean the same thing, such that the rule that tax exemption should be applied in *strictissimi juris* against the taxpayer and liberally in favor of the government applies equally to tax exclusions:

Indeed, both in their nature and in their effect there is no difference between tax exemption and tax exclusion. Exemption is an immunity or privilege; it is freedom from a charge or burden to which others are subjected. Exclusion, on the other hand, is the removal of otherwise taxable items from the reach of taxation, e.g., exclusions from gross income and allowable deductions. Exclusion is thus also an immunity or privilege which frees a taxpayer from a charge to which others are subjected. Consequently, the rule that tax exemption should be applied in *strictissimi juris* against the taxpayer and liberally in favor of the government applies equally to tax exclusions. To construe otherwise the 'in lieu of all taxes' provision invoked is to be inconsistent with the theory that R.A. No. 7925, Sec. 23 grants tax exemption because of a similar grant to Globe and Smart.

As in *Davao*, PLDT presently faults the trial court for not giving weight to the ruling of the BLGF which, to petitioner's mind, is an administrative agency with technical expertise and mastery over the specialized matters assigned to it. Again, to quote from our ruling in *Davao*:

To be sure, the BLGF is not an administrative agency whose findings on questions of fact are given weight and deference in the courts. The authorities cited by petitioner pertain to the Court of Tax Appeals, a highly specialized court which performs judicial functions as it was created for the review of tax cases. In contrast, the BLGF was created merely to provide consultative services and technical assistance to local governments and the general public on local taxation, real property assessment, and other related matters, among others. The question raised by petitioner is a legal question, to wit, the interpretation of Sec. 23 of R.A. No. 7925. There is, therefore, no basis for claiming expertise for the BLGF that administrative agencies are said to possess in their respective fields.

With the reality that the arguments presently advanced by petitioner are but a mere reiteration if not a virtual repetition of the very same arguments it has already raised in *Davao* and in *Bacolod*, all of which arguments and submissions have been extensively addressed and adequately passed upon by this Court in its decisions in said two (2) PLDT cases, and noting that the instant recourse has not raised any new fresh issue to warrant a second look, it, too, must have to fall.

7.21. Qualification of rule.

The rule that statutes granting tax exemptions are to be strictly construed against the taxpayer and liberally in favor of the taxing power is not absolute. Where the provision of the law is clear and unambiguous, so that there is no occasion for the court seeking the legislative intent, the law must be taken as it is, devoid of judicial addition or subtraction. For where the law provides no qualification for the granting of tax exemption, the court is not at liberty to supply one.¹⁰² For instance, a tax-free product comprehends tax-free

¹⁰²Republic Flour Mills, Inc. v. Commissioner of Internal Revenue, G.R. No. 25602, February 18, 1970, 31 SCRA 520; Commissioner of Customs v. Manila Electric Co., G.R. No. 23623, June 30, 1977, 77 SCRA 469.

materials,¹⁰³ and an exemption from all taxes on insulators includes those on insulating oil.¹⁰⁴

The reason for the rule of strict construction of a statute granting tax exemption does not apply in the case of tax exemptions in favor of the government itself or its agencies. In such case, the practical effect of an exemption is merely to reduce the amount of money that has to be handled by government in the course of its operations. For these reasons, provisions granting exemptions to government agencies may be construed liberally in favor of non-tax liability of such agencies. It has been held that in the case of property owned by the state or a city or other public corporations, the express exemption should not be construed with the same degree of strictness that applies to exemptions contrary to policy of the state, since as to such property exemption is the rule and taxation is the exception. Thus, the statute granting the National Power Corporation, which is a government instrumentality, exemption from all forms of taxes is liberally construed, following which such exemption from "all forms of taxes" embraces exemption not only from direct but also from indirect taxes.¹⁰⁵

7.22. Statutes concerning the sovereign.

It is an old rule of statutory construction that restrictive statutes which impose burdens on the public treasury or which diminish rights and interests are strictly construed. For this reason, such statutes, no matter how broad their terms are, do not embrace the sovereign, unless the sovereign is specifically mentioned.¹⁰⁶ Similarly, unless so specified, the government does not fall within the terms of any legislation.¹⁰⁷ Thus, Presidential Decree No. 851 which requires "employers" to pay a thirteenth month salary to their employees receiving a basic compensation of not more than

¹⁰³Republic Flour Mills, Inc. v. Commissioner of Internal Revenue, G.R. No. 25602, February 18, 1970, 31 SCRA 520.

¹⁰⁴Commissioner of Customs v. Manila Electric Co., G.R. No. 23523, June 30, 1977, 77 SCRA 469.

¹⁰⁵Maceda v. Macaraeg, 197 SCRA 771 (1991).

¹⁰⁶Alliance of Government Workers v. Minister of Labor and Employment, G.R. No. 60403, August 3, 1983.

¹⁰⁷Chief Justice Fernando concurring, Alliance of Government Workers v. Minister of Labor and Employment, G.R. No. 60403, August 3, 1983.

P1,000.00 a month does not embrace the Republic of the Philippines, the law not having expressly included it within its scope.¹⁰⁸

7.23. Statutes authorizing suits against the government.

The Constitution provides that the "State may not be sued without its consent."¹⁰⁹ This provision reaffirms the universal rule that the sovereign is exempt from suit, in the absence of its consent to be sued usually in the form of a statute to that effect, not because of any formal conception or absolute theory but on the logical and practical ground that there can be no legal right as against the authority that makes the law on which the right depends. *Nullum tempus occurrat regi.*¹¹⁰ Moreover, to allow suits against the state or any of its agencies, without its consent or waiver, is to subject the state to inconvenience and loss of governmental efficiency, with adverse results far greater than those that may arise if the doctrine of non-suitability is abandoned or restricted.¹¹¹ For these reasons, a statute whereby the state gives its consent to be sued is strictly construed, and the waiver of immunity from suit, being in derogation of sovereignty, will not be lightly inferred.¹¹² To justify a suit against the state or any of its agencies, the statute conferring the right to maintain the action must be plain and positive, and its meaning should not be left to doubt.¹¹³ Thus, the law authorizing the Bureau of Customs, an agency of the government, to lease arrastre operations, a proprietary function necessarily incident to its governmental function, may not be construed to mean that the state has consented to be sued, when it undertakes to conduct arrastre services itself, for damage to cargo.¹¹⁴

¹⁰⁸ *Alliance of Government Workers v. Minister of Labor and Employment*, G.R. No. 60403, August 3, 1983. See *Angat River Irrigation System v. Angat River Workers' Union*, 102 Phil. 789 (1957).

¹⁰⁹ Art. XVI, Sec. 3, Constitution.

¹¹⁰ *Republic v. Villamor*, G.R. No. 30671, November 28, 1973, 54 SCRA 83; *Kawanakoa v. Polyblank*, 205 U.S. 349, 51 L. ed. 834 (1907).

¹¹¹ *Providence Washington Ins. Co. v. Republic*, G.R. No. 26386, September 30, 1969, 29 SCRA 598; *Switzerland General Ins. Co., Ltd. v. Republic*, G.R. No. 27389, March 30, 1970, 32 SCRA 227; *Metropolitan Transp. Service v. Paredes*, 79 Phil. 819 (1948).

¹¹² *Mobil Phil. Exploration, Inc. v. Customs Arrastre Service*, G.R. No. 23139, December 17, 1966, 18 SCRA 1127; *Equitable Ins. & Casualty Co., Inc. v. Smith, Bell & Co. (Phils.)*, Inc., G.R. No. 24383, August 26, 1967, 20 SCRA 1121.

¹¹³ *Compañía General de Tabacos de Filipinas v. Government*, 45 Phil. 663 (1924).

¹¹⁴ *Mobil Phil. Exploration, Inc. v. Customs Arrastre Service*, G.R. No. 23139, December 17, 1966, 18 SCRA 1120.

The rule establishing state immunity from suit may not be circumvented by directing the action against the officers of the state instead of against the state itself. In such cases, the state's immunity may be validly invoked against the action as long as it can be shown that the suit really affects the property, rights, or interests of the state and not merely those of the officer nominally made party defendant.¹¹⁵

Even if the state consents, by law, to be sued, strict construction thereof requires that the law should not be interpreted to authorize garnishment of public funds to satisfy a judgment against the government, or the issuance of a writ of execution against government property. Basic considerations of public policy forbid it. Disbursement of public funds must be covered by the corresponding appropriation as required by law. The functions and public service rendered by the state cannot be allowed to be paralyzed or disrupted by the diversion of public funds from their legitimate and specific objects, as appropriated by law.¹¹⁶

7.24. Statutes prescribing formalities of will.

Statutes prescribing the formalities to be observed in the execution of wills are strictly construed. This means that a will must be executed in accordance with the statutory requirements, otherwise it is entirely void. And the court can neither suspend nor dispense with such requirements. For in construing statutory provisions in regard to the formal requisites of a will, the court is seeking to ascertain and apply the intent of the legislators and not that of the testator, and the latter's intention is frequently defeated by the non-observance of what the statute requires.¹¹⁷

7.25. Exceptions and provisos.

As a rule, exceptions should be strictly but reasonably construed; they extend only so far as their language fairly warrants,

¹¹⁵ *Tan v. Director of Forestry*, G.R. No. 24548, October 27, 1963, 125 SCRA 302.

¹¹⁶ *Republic v. Villamor*, G.R. No. 30671, Nov. 28, 1973, 54 SCRA 83; *Commissioner of Public Highways v. San Diego*, G.R. No. 30098, February 18, 1970, 31 SCRA 616 (1970).

¹¹⁷ *Uy Coque v. Siosa*, 43 Phil. 405 (1922); *Quinto v. Morata*, 54 Phil. 481 (1930).

and all doubts should be resolved in favor of the general provision rather than the exceptions. Where a general rule is established by a statute with exceptions, the court will not curtail the former nor add to the latter by implication, and it is a rule that an express exception excludes all others, although it is always proper in determining the applicability of this rule to inquire whether, in the particular case, it accords with reason and justice.¹¹⁸

The rule on execution pending appeal must be strictly construed being an exception to the general rule. Applying this rule on statutory construction, it should be interpreted only so far as the language thereof fairly warrants, and all doubts should be resolved in favor of the general rule rather than the exceptions.¹¹⁹

Similarly, a statute, rule or situation which allows exceptions to the requirement of warrant of arrest or search warrant must be strictly construed. It cannot be construed liberally to extend arrests or seizures without warrant beyond the cases specifically provided or allowed by law. To do so would infringe upon personal liberty and set back a basic right.¹²⁰

A preference is an exception to the general rule and it is what its name implies. By it, one person is given a superior right or claim over the other. For this reason, the law as to preference should be strictly construed.¹²¹

A proviso should be interpreted consistently with the legislative intent. In an attempt to determine the legislative intent, the proviso should be strictly construed. The reason is that the legislative purpose set forth in the general enactment expresses the legislative policy and only those expressly exempted by the proviso should be freed from the operation of the statute.¹²²

¹¹⁸*Salasay v. Castro*, 98 Phil. 364 (1956), citing 69 C.J. Sec. 643; Commissioner of Internal Revenue v. CA, 103 SCAD 720, 303 SCRA 508 (1999).

¹¹⁹*Planters' Products, Inc. v. CA*, 114 SCAD 886, 317 SCRA 195 (1999), citing Agpalo, R., *Statutory Construction*, 1986 ed., p. 224.

¹²⁰*People v. Valdez*, 104 SCAD 551, 304 SCRA 140 (1999).

¹²¹*Ramon v. Herridge*, 47 Phil. 98 (1924).

¹²²*Salasay v. Castro*, 98 Phil. 364 (1956), citing Sutherland, *Statutory Construction*, 3rd ed., Vol. 2, pp. 471-472.

C. STATUTES LIBERALLY CONSTRUED

7.26. General social legislation.

Statutes which have been enacted to implement the social justice and protection-to-labor provisions of the Constitution are known as general welfare legislations. These statutes are construed liberally. In the interpretation of general welfare legislations, the courts will be guided by more than just an inquiry into the letter of the law as against its spirit and will ultimately resolve any doubt in favor of the persons whom the law intended to benefit. For it is only by giving such statutes a liberal construction that the constitutional mandate concerning the promotion of social justice to ensure the well-being and economic security of the people and the protection to labor may be better realized.¹²³

General welfare legislations which are construed liberally include labor laws,¹²⁴ tenancy laws,¹²⁵ land reform laws¹²⁶ and social security laws.¹²⁷ However, while general welfare legislations are construed liberally in favor of those intended to be benefited, this principle holds true only when there is doubt or ambiguity in the law and not when the law itself is clear and free from doubt.¹²⁸ Thus, where the law grants employees the benefits of holiday pay except those therein enumerated, all employees, whether monthly paid or not, who are not among those excepted are entitled to the holiday pay, in consonance with the principle that all doubts in the implementation and interpretation of the Labor Code shall be resolved in favor of labor and the presumption that the legislature intended to enact a valid and permanent statute which would have the most beneficial effect that its language permits.¹²⁹

¹²³*Alfanta v. Noe*, G.R. No. 32362, September 19, 1973, 53 SCRA 76; *Hidalgo v. Hidalgo*, G.R. No. 25326, May 29, 1970, 33 SCRA 105; *Mantego v. Castelo*, 101 Phil. 293 (1957).

¹²⁴*Villavert v. Employees' Compensation Commission*, G.R. No. 48605, December 14, 1981, 110 SCRA 233; *Santos v. Court of Appeals*, G.R. No. 47750, February 29, 1980, 96 SCRA 448.

¹²⁵*Sibulo v. Altar*, 83 Phil. 513 (1949).

¹²⁶*David v. Court of Appeals*, 161 SCRA 114 (1988).

¹²⁷*Vicente v. Workmen's Compensation Commission*, G.R. No. 18241, December 27, 1963, 9 SCRA 825; *Phil. Assn. of Government Retirees, Inc. v. Government Service Insurance System*, G.R. No. 20503, June 30, 1965, 14 SCRA 610; *International Pharmaceuticals, Inc. v. Secretary of Labor*, 205 SCRA 59 (1992).

¹²⁸*Tamayo v. Manila Hotel Co.*, 101 Phil. 810 (1957).

¹²⁹*Insular Bank of Asia & America Employees' Union v. Inciong*, 132 SCRA 663, *Chartered Bank Employees Assn. v. Ople*, 138 SCRA 273 (1985).

It has also been held that "in carrying out and interpreting the Labor Code's provisions and its implementing regulations, the workingman's welfare should be the primordial and paramount consideration. This kind of interpretation gives meaning and substance to the liberal and compassionate spirit of the law as provided for in Article 4 of the New Labor Code which states that 'all doubts in the implementation and interpretation of the provisions of the Labor Code including its implementing rules and regulations shall be resolved in favor of labor.'"¹⁹⁰

The rule that labor and social welfare legislation should be liberally construed in favor of the laborer is based on the premise that the statute is ambiguous. The liberal construction and interpretation does not apply where the labor and social legislation is clear and leaves no room for interpretation, in which case the law has to be applied without construction.¹⁹¹

When two holidays fall on the same date, will the worker be entitled to only one holiday pay? Stated differently, if there are ten holidays, will the fact that two holidays fall on the same day reduce holiday pay by one day holiday pay? The Supreme Court said "no," in *Asian Transmission Corp. v. CA, G.R. No. 144664* [March 15, 2004], applying the liberal interpretation of labor laws.

Holiday pay is a legislated benefit enacted as part of the Constitutional imperative that the State shall afford protection to labor. Its purpose is not merely "to prevent diminution of the monthly income of the workers on account of work interruptions. In other words, although the worker is forced to take a rest, he earns what he should earn, that is, his holiday pay." It is also intended to enable the worker to participate in the national celebrations held during the days identified as with great historical and cultural significance.

Independence Day (June 12), Araw ng Kagitingan (April 9), National Heroes Day (last Sunday of August), Bonifacio Day (November 30) and Rizal Day (December 30) were declared national holidays to afford Filipinos with a recurring opportunity to commemorate the heroism of the Filipino people, promote national identity, and deepen the spirit of patriotism. Labor Day (May 1) is

¹⁹⁰*Manila Electric Co. v. NLRG*, 175 SCRA 277, 283 (1989).

¹⁹¹*Corporal v. Employees' Compensation Commission*, 54 SCAD 243, 235 SCRA 165 (1994).

a day traditionally reserved to celebrate the contributions of the working class to the development of the nation, while the religious holidays designated in Executive Order No. 203 allow the worker to celebrate his faith with his family.

As reflected above, Art. 94 of the Labor Code, as amended, affords a worker the enjoyment of ten paid regular holidays. The provision is mandatory, regardless of whether an employee is paid on a monthly or daily basis. Unlike a bonus, which is a management prerogative, holiday pay is a statutory benefit demandable under the law. Since a worker is entitled to the enjoyment of ten paid regular holidays, the fact that two holidays fall on the same date should not operate to reduce to nine the ten holiday pay benefits a worker is entitled to receive.

It is elementary, under the rules of statutory construction, that when the language of the law is clear and unequivocal, the law must be taken to mean exactly what it says. In the case at bar, there is nothing in the law which provides or indicates that the entitlement to ten days of holiday pay shall be reduced to nine when two holidays fall on the same day.

Petitioner's assertion that *Wellington v. Trujano* has "overruled" the DOLE March 11, 1993 Explanatory Bulletin does not lie. In *Wellington*, the issue was whether monthly-paid employees are entitled to an additional day's pay if a holiday falls on a Sunday. This Court, in answering the issue in the negative, observed that in fixing the monthly salary of its employees, *Wellington* took into account "every working day of the year including the holidays specified by law and excluding only Sunday." In the instant case, the issue is whether daily-paid employees are entitled to be paid for two regular holidays which fall on the same day.

In any event, Art. 4 of the Labor Code provides that all doubts in the implementation and interpretation of its provisions, including its implementing rules and regulations, shall be resolved in favor of labor. For the working man's welfare should be the primordial and paramount consideration.

Moreover, Sec. 11, Rule IV, Book III of the Omnibus Rules to Implement the Labor Code provides that "Nothing in the law or the rules shall justify an employer in withdrawing or reducing any benefits, supplements or payments for unworked regular holidays as provided in existing individual or collective agreement or employer practice or policy."

7.27. General welfare clause.

The general welfare clause on the power of local government has two branches. One branch attaches itself to the main trunk of municipal authority and relates to such ordinances and regulations as may be necessary to carry into effect and discharge the powers and duties conferred upon local legislative bodies by law. The second branch is much more independent of the specific functions enumerated by law. It authorizes such ordinances as shall seem necessary and proper to provide for the health and safety, promote the prosperity, improve the morals, peace, good order, comfort, and convenience of the local government unit and the inhabitants thereof, and for the protection of property therein.¹³²

The general welfare clause should be construed liberally in favor of the local government units.¹³³ It should be so interpreted, in case of doubt, as to give more powers to local governments in promoting the economic condition, social welfare, and material progress of the people in the community.¹³⁴ An interpretation that would limit the general welfare clause to such governmental functions only as are without proprietary aspects would thereby often cripple local governments in the face of the very evils that said clause intended to remedy. The general welfare clause is elastic and must be responsive to various social conditions; it is not confined within the narrow circumscription of precedents resting on past conditions; it must follow the legal progress of a democratic way of life. The very essence of the general welfare clause requires that it be given a liberal construction.¹³⁵

7.28. Grant of power to local governments.

The trend with respect to the powers of municipal corporations is from a limited self-government to full autonomy. The interpretation of statutes affecting local governments follows such trend, from strict to liberal interpretation. The old rule is that municipal corporations, being mere creatures of the law, have only

¹³²Phil. Long Distance Telephone Co. v. City of Davao, G.R. No. 23060, October 30, 1965, 15 SCRA 244.

¹³³Ortigas & Co., Ltd. v. First Bank & Trust Co., G.R. No. 24670, December 14, 1979, 94 SCRA 633; Proctor & Gamble P.M.C. v. Municipality of Jagana, G.R. No. 24265, December 28, 1979, 94 SCRA 894.

¹³⁴Sec. 12, Rep. Act No. 2264; Sec. 4, Batas Pambansa Blg. 337.

¹³⁵Phil. Long Distance Tel. Co. v. City of Davao, *supra*.

such powers as are expressly granted to them and those which are necessarily implied or incidental to the exercise thereof,¹³⁶ and that grants of power to them are to be construed strictly and any doubt should be resolved in favor of the national government and against the political subdivision concerned.¹³⁷

The rule of construction changed with the enactment of Republic Act No. 2264, otherwise known as the Local Autonomy Act. Section 12 of said Act provides in part that the "implied power of a province, a city or a municipality shall be liberally construed in its favor. Any fair and reasonable doubt as to the existence of the power should be interpreted in favor of the local government and it shall be presumed to exist."¹³⁸ This liberal construction is fortified by the Constitution. "The thrust of the 1973 Constitution is towards the fullest autonomy of local government units. In the Declaration of Principles and State Policies, it is stated that: "The state shall guarantee and promote the autonomy of local government units especially the *barrio*, to ensure their fullest development as self-reliant communities." To this end, the Constitution directs the National Assembly to "enact a local government code which may not thereafter be amended except by a majority vote of all its members, defining a more responsive and accountable local government structure with an effective system of recall, allocating among the different local governments their powers, responsibilities, and resources and providing for their qualifications, election and removal, term, salaries, powers, functions, and duties and operation of the local units," and empowered local government units "to create its own sources of revenue and to levy taxes, subject to limitations as may be provided by law."¹³⁹

Following the constitutional mandate, the Batasang Pambansa enacted the Local Government Code, which provides in Section 4 thereof that "any power of a *barangay*, municipality, city or province shall be liberally construed in its favor. Any fair and reasonable doubt as to the exercise of power shall be interpreted in favor of the local government unit concerned." "The general welfare provision of this Code shall be liberally interpreted so as to give more power to local governments in promoting the economic uplift, social welfare

¹³⁶City of Misamis v. Lumbas, G.R. No. 30727, July 15, 1975, 65 SCRA 33.

¹³⁷Quinsing v. Lachica, 112 Phil. 110 (1961).

¹³⁸See *Llanto v. Dinaporo*, G.R. No. 21905, March 31, 1966, 16 SCRA 599.

¹³⁹*Centize v. Commission on Elections*, G.R. No. 52304, January 28, 1980, 95 SCRA 763, 770, 771.

and material progress of the people in the community." Section 5 of the Local Government Code of 1991 provides:

"In the interpretation of the provisions of this Code, the following rules shall apply:

(a) Any provision on a power of a local government unit shall be liberally interpreted in its favor, and in case of doubt, any question thereon shall be resolved in favor of devolution of powers and of the lower local government unit. Any fair and reasonable doubt as to the existence of the power shall be interpreted in favor of the local government unit concerned;

(b) In case of doubt, any tax ordinance or revenue measure shall be construed strictly against the local government unit enacting it, and liberally in favor of the taxpayer. Any tax exemption, incentive or relief granted by any local government unit pursuant to the provisions of this Code shall be construed strictly against the person claiming it;

(c) The general welfare provisions in this Code shall be liberally interpreted to give more powers to local government units in accelerating economic development and upgrading the quality of life for the people in the community;

(d) Rights and obligations existing on the date of effectivity of this Code and arising out of contracts or any other source of prestation involving a local government unit shall be governed by the original terms and conditions of said contracts or the law in force at the time such rights were vested; and

(e) In the resolution of controversies arising under this Code where no legal provision or jurisprudence applies, resort may be had to the customs and traditions in the place where the controversies take place.¹⁴⁰

7.29. Statutes granting taxing power.

Before the 1973 Constitution took effect on January 17, 1973, the rule is that a local government unit, unlike the sovereign state, is clothed with no inherent power of taxation. The charter or statute must plainly show an intent to confer that power or the city or

¹⁴⁰Sec. 5, Rep. Act No. 7160.

municipality cannot assume it. And the taxing power when granted is to be construed *strictissimi juris*. Any doubt or ambiguity arising out of the terms used in granting that power must be resolved against the local government unit. Inferences, implications, and deductions have no place in the interpretation of the taxing power of a municipal corporation.¹⁴¹

Thus, pursuant to the strict construction of legislative grant of taxing power to local governments prevailing before the new Constitution became effective, the proviso in a statute providing that nothing in said law shall be construed to exempt any motor vehicle from the payment of any lawful and equitable insular, local, or municipal property tax imposed therein will not, by said proviso alone, operate to confer upon a city or municipality the power to levy property tax on motor vehicles kept in the city or municipality. There should be a specific law on the matter before it can so tax.¹⁴²

The rule that statutes granting local governments the power of taxation are to be strictly construed is based on the concept that local governments, unlike the sovereign state, are allocated with no inherent power to tax. The new Constitution has changed such concept. The Constitution provides that "Each local government unit shall have the power to create its own sources of revenue and to levy taxes, fees, and charges subject to such guidelines and limitations as the Congress may provide, consistent with the basic policy of local autonomy."¹⁴³ The clear implication of this provision is that statutes prescribing limitations on the taxing power of local government units must be strictly construed against the national government and liberally in favor of the local government units, and any doubt as to the existence of the taxing power will be resolved in favor of the local government.

7.30. Statutes prescribing prescriptive period to collect taxes.

Statutes prescribing the period of limitation of action for the collection of taxes is beneficial both to the government and its citizens; to the government because tax officers would be obliged to

¹⁴¹*Isard v. City Council of Baguio*, 83 Phil. 870 (1949); *City of Iloilo v. Villanueva*, 105 Phil. 337 (1959); *Cu Unjieng v. Patstone*, 42 Phil. 818 (1922).

¹⁴²*Isard v. City of Council of Baguio*, *supra*.

¹⁴³Art. X, Sec. 5, 1987 Constitution.

act promptly in the making of assessment, and to citizens because after the lapse of the period of prescription, citizens would have a feeling of security against unscrupulous tax agents who will always find an excuse to inspect the books of taxpayers, not to determine the latter's real liability, but to take advantage of every opportunity to molest peaceful, law-abiding citizens. The laws on prescription being a remedial measure should be interpreted liberally in a way conducive to bringing about the beneficial purpose of affording protection to the taxpayers.¹⁴⁴

7.31. Statutes imposing penalties for nonpayment of tax.

Statutes imposing penalties for nonpayment of taxes within the required period are liberally construed in favor of the government and strictly observed and interpreted against the taxpayer. Strong reasons of public policy support this rule. Such laws are intended to hasten tax payments or to punish evasions or neglect of duty in respect thereto. If delays in tax payment are to be condoned for light reasons, the laws imposing penalties for delinquencies would be rendered nugatory, and the maintenance of the government and its multifarious activities would be precarious, as taxpayers are willing or unwilling to pay their obligations to the state in time. The imperatives of public welfare will not approve of this result.¹⁴⁵

Similarly, while courts will not enlarge, by construction, the government's power of taxation, they will not place upon tax laws so loose a construction as to permit evasions on merely fanciful and insubstantial distinctions. When proper, a tax statute should be construed to avoid the possibilities of tax evasions. Constructed this way, the statute, without resulting in injustice to the taxpayer, becomes fair to the government.¹⁴⁶

7.32. Election laws.

Election laws should be reasonably and liberally construed to achieve their purpose — to effectuate and safeguard the will of the electorate in the choice of their representatives — for the application of election laws involves public interest and imposes upon the Commission on Elections and the courts the imperative

duty to ascertain by all means within their command who is the real candidate elected by the people.¹⁴⁷

Generally speaking, election laws may be divided into three parts for purposes of applying the rules of statutory construction. The first part refers to the provisions for the conduct of elections which election officials are required to follow. The second part covers those provisions which candidates for office are required to perform. The third part embraces those procedural rules which are designed to ascertain, in case of dispute, the actual winner in the elections. Different rules and canons of statutory construction govern such provisions of the election law.

The "rules and regulations for the conduct of elections are mandatory before the election, but when it is sought to enforce them after the elections they are held to be directory only, if that is possible, especially where, if they are held to be mandatory, innocent voters will be deprived of their votes, without any fault on their part."¹⁴⁸ Generally, "the provisions of a statute as to the manner of conducting the details of an election are not mandatory, but directory merely, and irregularities in conducting an election and counting the votes, not proceeding from any wrongful intent and which deprives no legal voter of his vote, will not vitiate an election or justify the rejection of the entire votes of a precinct."¹⁴⁹

"The various and numerous provisions of the election law are adopted to assist the voters in their participation in the affairs of the government, and not to defeat that object. When the voters have honestly cast their ballots, the same should not be nullified simply because the officers appointed, under the law to direct the election and guard the purity of elections, have not done their duty. The law provides a remedy, by criminal action, against them. They should be prosecuted, and the will of the honest voter, as expressed through his ballot, should be protected and upheld."¹⁵⁰ For "innocent voters should not be deprived of their participation in the affairs of their government for mere irregularities on the part of the election officers, for which they are in no way responsible. A different rule

¹⁴⁴Republic v. Ablaza, 108 Phil. 1105 (1960).

¹⁴⁵Jamora v. Meer, 74 Phil. 22 (1942).

¹⁴⁶Lorenzo v. Posadas, 64 Phil. 393 (1937).

¹⁴⁷Basco vs. Ila, 110 Phil. 553 (1960); Purisima vs. Salonga, 15 SCRA 704 (1965); Miro vs. COMELEC, 121 SCRA 466 (1983); Rodriguez vs. COMELEC, 119 SCRA 465 (1982).

¹⁴⁸Lino Luna vs. Rodriguez, 39 Phil. 208, 214 (1918).

¹⁴⁹Ibid., at pp. 214-215.

¹⁵⁰Ibid., at p. 218.

would make the manner and method of performing a public duty of greater importance than the duty itself."¹⁶¹

The provisions of the election law which candidates for office are required to comply are generally regarded as mandatory. Thus, the provisions prescribing the qualifications of candidates, requiring the filing of certificates of candidacy,¹⁶² defining election offenses, and limiting the period within which to file election contests, are mandatory and failure to comply with such provisions are fatal. Moreover, where the law provides that a departure from the prescribed form or statutory requirement will be fatal, such law is mandatory.

The provisions of the election law designed to determine the will of the electorate are liberally construed. The courts frown upon any interpretation that would hinder in any way not only the free and intelligent casting of the votes in an election but also the correct ascertainment of the results thereof.¹⁶³ Technical and procedural barriers should not be allowed to stand if they constitute an obstacle in the choice of their elective officials.¹⁶⁴

Election laws intended to safeguard the will of the people in their choice of their representatives should be construed liberally to achieve such purpose.¹⁶⁵ Courts should accordingly interpret election laws in such a way as to give effect to the express will of the electorate.¹⁶⁶ For the application of election laws involves public interest and imposes upon the courts the imperative duty to ascertain by all means within their command who is the real candidate elected by the people.¹⁶⁷

One of such laws is the law governing election protests, which should be liberally construed to the end that the popular will expressed in the election of public officers will not, by reason of purely technical objections, be defeated.¹⁶⁸ Technicalities should not

be sanctioned when it will be an obstacle in the determination of the true will of the electorate in the choice of public officials.¹⁶⁹ The court frowns upon any interpretation of election laws that would render in any way not only the free and intelligent casting of votes in an election but also the correct ascertainment of the results thereof.¹⁷⁰ For election contest does not merely concern the personal interests of the rival candidates for an office. Over and above their claims is the deep public interest involved, the need to imperatively determine the correct expression of the will of the electorate. Hence, a rigid application of the law that will preclude the court from ascertaining the popular will should be rejected in favor of a liberal construction thereof that will subserve such end.¹⁷¹ Conversely, where a rigid and strict application and enforcement of provisions of the election law will safeguard popular will and prevent transgression of suffrage and the mandate of the majority, the provisions will be given strict construction.¹⁷²

The laws and statutes governing election contests, especially appreciation of ballots, must be liberally construed to the end that the will of the electorate in the choice of public officials may not be defeated by technical infirmities.¹⁷³ Generally, the provisions of the election law regarding certificates of candidacy, such as signing and swearing on the same, as well as the information required to be stated therein, are considered mandatory prior to the elections and thereafter are regarded as merely directory, in favor of the candidate who obtains the majority vote, so as to give effect to the will of the electorate. For where a candidate has received popular mandate, overwhelmingly and clearly expressed, all possible doubts should be resolved in favor of the candidate's eligibility, for to rule otherwise is to defeat the will of the electorate.¹⁷⁴

¹⁶¹*Ibid.*, at pp. 214-215; *Lambonao vs. Tero*, 15 SCRA 716 (1965); *De Guzman vs. Board of Canvassers*, 48 Phil. 211 (1925).

¹⁶²*Lino vs. Rodriguez*, 39 Phil. 208 (1918).

¹⁶³*Rodriguez vs. COMELEC*, 119 SCRA 465.

¹⁶⁴*Ginepe vs. Arangel*, 21 SCRA 1178; *Juliano vs. Court of Appeals*, 20 SCRA 808.

¹⁶⁵*Ibasco v. Ilo*, 110 Phil. 553 (1960).

¹⁶⁶*Purisima v. Salonga*, G.R. No. 22335, December 31, 1965, 15 SCRA 704.

¹⁶⁷*Ibasco v. Ilo*, *supra*; *De Leon v. Guadiz*, G.R. No. 56922, May 26, 1981, 104 SCRA 951.

¹⁶⁸*Miro v. Commission on Elections*, G.R. No. 57574, April 20, 1983.

¹⁶⁹*Macasunding v. Macalangon*, G.R. No. 22779, March 31, 1965, 13 SCRA 577; *De Leon v. Guadiz*, *supra*.

¹⁷⁰*Rodriguez v. Commission on Elections*, *supra*.

¹⁷¹*De Leon v. Guadiz*, G.R. No. 56922, May 22, 1981, 104 SCRA 591; *Maquinar v. Blera*, G.R. No. 54230, October 30, 1980, 100 SCRA 702 (1980).

¹⁷²*See Acuña v. Golez*, 122 Phil. 1129 (1966).

¹⁷³*Punzalan v. COMELEC*, 289 SCRA 702 (1998).

¹⁷⁴*Sinaca v. Mula*, 315 SCRA 266 (1999); *Rodriguez v. COMELEC*, 72 SCAD 474, 259 SCRA 296, 318 (1996).

7.33. Amnesty proclamations.

Amnesty proclamations should be liberally construed so as to carry out their purpose, which is to encourage the return to the fold of the law of those who have veered from the law. Hence, in case of doubt as to whether certain persons come within the amnesty proclamation, the doubt should be resolved in their favor and against the state.¹⁶⁵

Amnesty and pardon are synonymous, and for this reason, the grant of pardon should likewise be construed liberally in favor of those pardoned and strictly against the state, for where two words are synonymous, the rules for interpreting one will apply to the other.¹⁶⁶

7.34. Statutes prescribing prescriptions of crimes.

A statute of limitation or prescription of offenses is in the nature of an amnesty granted by the state, declaring that after a certain time, oblivion shall be cast over the offense. Hence, statutes of limitations are liberally construed in favor of the accused, not only because such liberality of construction belongs to all acts of amnesty and grace, but because the very existence of the statute is a recognition and notification by the legislature of the fact that time, while it gradually wears out proofs and innocence, has assigned to it fixed and positive periods in which it destroys proofs of guilt.¹⁶⁷

Thus, in the interpretation of the law on prescription of crimes, that which is most favorable to the accused is to be adopted. In accordance with this rule, the date from which prescription must commence under Article 91 of the Revised Penal Code which states that 'the period of prescription shall commence to run from the day the crime is discovered by the offended party, the authorities, or their agents' should be construed, insofar as crimes of falsification of public documents which are registered with the Registry of Deeds are concerned, must be reckoned from the time the document is registered and not from the time the crime is discovered, registration being a constructive notice to the whole world. The application of the rule on constructive notice in the construction of Art. 91 of

¹⁶⁵People v. Gojo, 84 Phil. 107 (1949); Tolentino v. Catoy, 82 Phil. 300 (1948).

¹⁶⁶Tolentino v. Catoy, 82 Phil. 300 (1948).

¹⁶⁷People v. Moran, 44 Phil. 387 (1923); Yapiangco v. Buencamino, G.R. No. 28841, June 24, 1983; Francisco v. Court of Appeals, G.R. No. 45674, May 30, 1983; People v. Doque, 212 SCRA 607 (1992).

the Revised Penal Code would be favorable to the accused since the prescriptive period of the crime shall have to be reckoned with earlier, i.e., from the time the notarized deed was recorded in the Registry of Deeds.¹⁶⁸

7.35. Adoption statutes.

Adoption statutes are construed liberally in favor of the child to be adopted. This construction is in consonance with the liberal concept that adoption statutes, being humane and salutary, hold the interest and welfare of the child to be of paramount consideration and are designed to provide homes, parental care and education for the unfortunate, needy or orphaned children and give them the protection of society and family in the person of the adopter. Such laws allow childless couples or persons to experience the joys of parenthood and give them legally a child in the person of the adopted for the manifestation of their natural parental instincts. Adoption statutes are accordingly given a liberal interpretation so as to promote the noble and compassionate objectives of the law.¹⁶⁹

7.36. Veteran and pension laws.

Veteran and pension laws are enacted to compensate a class of men who suffered in the service for the hardships they endured and the dangers they encountered in line of duty. They are expression of gratitude to and recognition of those who rendered service to the country by extending to them regular monetary benefit. For these reasons, such statutes are construed liberally to the end that their noble purpose is best accomplished.¹⁷⁰ Thus, where a statute grants pension benefits to war veterans, except those who "are actually receiving a similar pension from other government funds," the phrase "government funds" refers to funds of the same government and does not preclude war veterans receiving similar pensions from the United States Government from enjoying the benefits therein provided.¹⁷¹ And where a veteran pension law is silent as to the

¹⁶⁸People v. Reyes, 175 SCRA 597 (1989).

¹⁶⁹Malibiso v. Agrava, G.R. No. 36309, November 26, 1973, 54 SCRA 66; Duncan v. Court of First Instance of Rizal, G.R. No. 30576, February 10, 1976, 69 SCRA 298.

¹⁷⁰Board of Administrators, Phil. Veterans Adm. v. Bautista, G.R. No. 37867, February 22, 1982, 112 SCRA 59; Del Mar v. Phil. Veterans Administration, G.R. No. 27299, June 27, 1973, 51 SCRA 340 (1973).

¹⁷¹Del Mar v. Phil. Veterans Administration, *supra*.

effectivity of pension awards, it shall be construed to take effect from the date it becomes due and not from the date the application for pension is approved, so as to grant the pensioner more benefits and to discourage inaction on the part of the officials who administer the law.¹⁷² However, while veteran or pension laws are to be construed liberally, they should be so construed as to prevent a person from receiving double pension or compensation, unless the law provides otherwise.¹⁷³

Retirement or pension laws are also liberally construed. Being remedial in character, a statute creating pension or establishing retirement plan should be liberally construed and administered in favor of the persons intended to be benefited thereby. The liberal approach aims to achieve the humanitarian purposes of the law in order that the efficiency, security and well-being of government employees may be enhanced.¹⁷⁴

The Court in *Santiago v. Commission on Audit*¹⁷⁵ explained the reasons why retirement laws are liberally construed in favor of the retirees: "Retirement laws should be interpreted liberally in favor of the retiree because their intention is to provide for sustenance, and hopefully even comfort, when he no longer has the stamina to continue earning his livelihood. After devoting the best years of his life to the public service, he deserves the appreciation of a grateful government as best concretely expressed in a generous retirement gratuity commensurate with the value and length of his service. That generosity is the least he should expect now that his work is done and his youth is gone. Even as he feels the weariness in his bones and glimpses the approach of the lengthening shadows, he should be able to luxuriate in the thought that he did his task well, and was rewarded for it."

In *Ortiz v. Commission on Elections*,¹⁷⁶ the question raised is whether a commissioner of the Commission on Elections is deemed to have completed his term and entitled to full retirement benefits

¹⁷²Board of Administrators Veterans Adm. v. Bautista, G.R. No. 37867, February 22, 1982, 112 SCRA 59.

¹⁷³Chavez v. Matbay, G.R. No. 29311, February 27, 1971, 37 SCRA 776; Legaspi v. Executive Secretary, G.R. No. 36153, November 28, 1975, 68 SCRA 253; Borromeo v. Government Service Insurance System, 110 Phil. 1 (1960).

¹⁷⁴Ortiz v. Commission on Elections, 162 SCRA 812 (1988); Borromeo v. CSC, 199 SCRA 911 (1991); *In Re Judge Reyes*, 216 SCRA 728 (1992).

¹⁷⁵199 SCRA 125, 133 (1991); see also Lopez v. Court of Appeals, 215 SCRA 514 (1992).

¹⁷⁶162 SCRA 812 (1988).

under the law which grants him five-year lump sum gratuity and thereafter lifetime pension, who "retires from the service after having completed his term of office," when his courtesy resignation submitted in response to the call of the President following the EDSA Revolution is accepted. Applying the liberal approach, the Supreme Court ruled that the acceptance of his courtesy resignation resulted in the completion of his term so as to entitle him to all retirement benefits. It held that the "courtesy resignation" is not resignation in contemplation of law because the act lacked the clear intention to surrender his position and was a mere manifestation of submission to the will of the political authority and appointing power. It added that the curtailment of his term being not attributable to any voluntary act on his part, equity and justice demand that he should be deemed to have completed his term, albeit much ahead of the date stated in his appointment paper, similar to that of an official holding a primarily confidential position whose tenure ends upon his superior's loss of confidence in him.

In *In Re Application for Gratuity Benefits of Associate Justice Efrén I. Plana*,¹⁷⁷ the issue raised is whether Justice Plana is entitled to gratuity and retirement pay when, at the time his courtesy resignation was accepted following the EDSA revolution and establishment of a revolutionary government under the Freedom Constitution on March 25, 1986, he lacked a few months to meet the age requirement for retirement under the law but had accumulated a number of leave credits which, if added to his age at the time, would exceed the age requirement. The Supreme Court, applying the liberal approach, ruled that Justice Plana was entitled to full retirement benefits under the law because his accrued leave credits would have entitled him to go on leave until well beyond the age requirement for retirement and thereafter he could have been entitled to retire. It noted that in the executive branch, where a public officer who has accumulated a number of leave credits which, if added to his length of service, would qualify him to meet the length-of-service requirement to retire, failed to serve the required length of service for reasons beyond his control, such as physical disability, death or government reorganization, he would be entitled to receive retirement benefits under the law, in accordance with the liberal interpretation of retirement statutes.

¹⁷⁷Administrative Matter No. 5460, Supreme Court Resolution dated March 24, 1988; see *In re Rannon B. Britanico*, 173 SCRA 421 (1989).

In *In re Pineda*,¹⁷⁸ the Court clarified the *Plana* doctrine. It stated that "when in the interest of liberal construction the Court allows seeming exceptions to fixed rules" on retirement, "there are ample reasons behind each grant of an exception. The crediting of accumulated leaves to make up for lack of required age or length of service is not done indiscriminately." "There must be present an essential factor before an application under the *Plana* or *Britanico* rulings may be granted. The Court allows a making up or compensating for lack of required age or service only if satisfied that the career of the retiree was marked by competence, integrity, and dedication to the public service."

In *In re Martin*,¹⁷⁹ the issue raised is whether a justice of the Supreme Court, who availed of the disability retirement benefits pursuant to the provision that "if the reason for the retirement be any permanent disability contracted during his incumbency in office and prior to the date of retirement he shall receive only a gratuity equivalent to ten years salary and allowances aforementioned with no further annuity payable monthly during the rest of the retiree's natural life," is entitled to a monthly lifetime pension after the ten-year period. Following the liberal interpretation of retirement laws, the Court ruled that "if at the time of retirement he was already entitled to retire under Section 1 of R.A. No. 910 and to receive his 5-year lump sum plus a lifetime pension after five years, his having applied for disability retirement under Section 3 of the law in order that he may receive the 10-year lump sum gratuity, should not result in the forfeiture of his right to a lifetime pension if he should still be alive after ten (10) years from his retirement." "The ten-year lump sum payment provided in Section 3 of R.A. No. 910 is intended to assist the stricken retiree in meeting his hospital and doctors' bills and expenses for his support. The law is not intended to deprive him of his lifetime pension if he is also alive after ten years. The retirement law aims to assist the retiree in his old age, not to punish him for having survived."

In *Cena v. Civil Service Commission*,¹⁸⁰ the issue raised is whether or not a government employee who has reached the compulsory retirement age of 65 years, but who has rendered 11 years, 9 months and 6 days of government service, may be allowed to continue in the service to complete the 15-year service requirement

to enable him to retire with the benefits of an old-age pension under Section 11, par. (b) of P.D. No. 1146. Said section provides that "old-age pension shall be paid to a member who" "unless service is extended by appropriate authorities, retirement shall be compulsory for an employee of sixty-five years of age with at least fifteen years of service. *Provided*, That if he has less than fifteen years of service, he shall be allowed to continue in the service to complete the fifteen years." On the other hand, Civil Service Memorandum Circular No. 27, series of 1990, provides in part that "Any request for extension of compulsory retirees to complete the fifteen (15) years service requirement for retirement shall be allowed only to permanent appointees in the career service who are regular members of the Government Service Insurance System (GSIS), and shall be granted for a period not exceeding one (1) year." In resolving the issue in the affirmative and declaring CSC Memorandum Circular No. 27, series of 1990, unconstitutional, the Supreme Court ruled:

"Being remedial in character, a statute creating a pension or establishing retirement plan should be liberally construed and administered in favor of the persons intended to be benefited thereby. The liberal approach aims to achieve the humanitarian purposes of the law in order that the efficiency, security and well-being of government employees may be enhanced." "There is thus no justifiable reason in not allowing ordinary employees in the Executive Branch on a case to case basis, to continue in the service to complete the 15-year service requirement to avail of the old-age pension under Section 11 of P.D. No. 1146. By limiting the extension of service to only one (1) year would defeat the beneficial intent of the retirement provisions of P.D. No. 1146." "There is nothing in the original text as well as in the revised version which would serve as basis for providing the allowable extension period to only one (1) year. There is likewise no indication that Section 11, par. (b) of P.D. No. 1146 contemplates a borderline situation where a compulsory retiree on his 65th birthday has completed more than 14, but less than 15 years of government service, i.e., only a few months short of the 15-year requirement which would enable him to collect an old-age pension." "The Civil Service Memorandum Circular No. 27 being in the nature of an administrative regulation must be governed by the principle that administrative regulations adopted under legislative authority by a particular department must be in harmony with the provi-

¹⁷⁸187 SCRA 469, 475 (1990).

¹⁷⁹187 SCRA 477, 482 (1990).

¹⁸⁰211 SCRA 179 (1992).

sions of the law, and should be for the sole purpose of carrying into effect its general provisions."

7.37. Rules of Court.

The Rules of Court, being procedural, are to be construed liberally with the end in view of realizing their purpose — the proper and just determination of a litigation.¹⁸¹ A liberal construction of the Rules of Court requires the courts, in the exercise of their functions, to act reasonably and not capriciously, and enjoins them to apply the rules in order to promote their object and to assist the parties in obtaining a just, speedy and inexpensive determination of their cases.¹⁸² While procedural laws are no other than technicalities in their entirety, they were adopted not as ends in themselves for the compliance with which courts have been organized and functions, but as means conducive to the realization of the administration of law and justice. Technicalities, when they are not an aid to justice, deserve scant consideration from the courts.¹⁸³ For this reason, the Rules of Court should not be interpreted to sacrifice substantial rights of a litigant at the altar of technicalities to the consequent impairment of the principles of justice.¹⁸⁴ Nor should technicalities be resorted to in derogation of the intent and purpose of the rules.¹⁸⁵ The rules should instead be so construed as to give litigants ample opportunity to prove their respective claims, and that a possible denial of substantial justice, due to legal technicalities, should be avoided.¹⁸⁶

As well said in a case: "Lapses in the literal observance of a rule of procedure will be overlooked when they do not involve public

policy, when they arose from an honest mistake or unforeseen accident, when they have not prejudiced the adverse party and have not deprived the court of its authority. Conceived in the best traditions of practical and moral justice and common sense, the Rules of Court frown upon hair-splitting technicalities that do not square with their liberal tendency and with the ends of justice."¹⁸⁷ However, where a decision of a court is satisfactorily supported by the records and is in strict accordance with the rules, a liberal construction of such rules so as to justify setting aside the decision is not warranted.¹⁸⁸

The literal stricture of the rules have been relaxed in favor of liberal construction in the following cases: (1) where a rigid application will result in a manifest failure or miscarriage of justice; (2) where the interest of substantial justice will be served; (3) where the resolution of the emotion is addressed solely to the sound and judicious discretion of the court; and (4) where the injustice to the adverse party is not commensurate with the degree of his thoughtlessness in not complying with the prescribed procedure.¹⁸⁹

While litigation is not a game of technicalities and the rules of procedure should not be strictly enforced at the cost of substantial justice, it does not mean that the Rules of Court may be ignored at will and at random to the prejudice of the orderly presentation and assessment of the issues and their just resolution. Procedural rules should not be belittled or dismissed simply because their non-observance may have caused prejudice to a party's substantial rights. Like all rules, they are required to be followed except only for the most persuasive of reasons.¹⁹⁰

7.38. Other statutes.

Curative statutes are enacted to cure defects in a prior law or to validate legal proceedings which would otherwise be void for want of conformity with certain legal requirements. They are intended to supply defects, abridge superfluities and curb certain evils. They are intended to enable persons to carry into effect that which they have designed or intended, but has failed of expected legal consequence by reason of some statutory disability or irregularity in their own

¹⁸¹*Berkenkotter v. Court of Appeals*, G.R. No. 36629, September 28, 1973, 53 SCRA 228 (1973); *Haberer v. Martinez*, G.R. No. 39386, January 29, 1975, 62 SCRA 162 (1975); *City of Baguio v. Marcos*, G.R. No. 26100, February 28, 1969, 27 SCRA 342 (1969).

¹⁸²*Cabunillas v. Court of Appeals*, G.R. No. 46476, December 29, 1977, 80 SCRA 706 (1977); *Alonso v. Villamor*, 16 Phil. 315 (1910); *Mitschener v. Barrios*, 76 Phil. 55 (1946).

¹⁸³*Blanco y. Bernabe*, 63 Phil. 124 (1936); *McEntee v. Manotok*, 113 Phil. 249 (1961).

¹⁸⁴*Cabunillas v. Court of Appeals*, *supra*.

¹⁸⁵*Berkenkotter v. Court of Appeals*, *supra*.

¹⁸⁶*Quibuyen v. Court of Appeals*, G.R. No. 16854, December 26, 1963, 9 SCRA 741 (1963); *Phil. Rabbit Bus Lines, Inc. v. Galauran & Piaras Const. Co.*, G.R. No. 35630, November 25, 1982, 118 SCRA 664 (1982).

¹⁸⁷*Case v. Jugo*, 77 Phil. 517, 522 (1946).

¹⁸⁸*Domalanta v. Court of Appeals*, 148 SCRA 534 (1987).

¹⁸⁹*Tan v. CA*, 98 SCAD 648, 295 SCRA 755 (1998).

¹⁹⁰*Sea Power Shipping Enterprises, Inc. v. CA*, G.R. No. 138270, June 6, 2001.

action. They make valid that which, before the enactment of the statute was invalid. Their purpose is to give validity to acts done that would have been invalid under existing laws, as if existing laws have been complied with. Curative statutes, by their very nature, are retroactive.¹⁹¹

Redemption laws, being remedial in nature, are to be construed liberally to carry out their purpose, which is to enable the debtor to have his property applied to pay as many debtor's liabilities as possible.¹⁹² Similarly, statutes providing exemptions from execution are interpreted liberally in order to give effect to their beneficent and humane purpose; and to this end, any reasonable doubt should be construed in favor of the exemption from execution.¹⁹³ Laws on attachment are also liberally construed in order to promote their objects and assist the parties in obtaining speedy justice.¹⁹⁴

As instruments of credit, warehouse receipts play a very important role in modern commerce, and accordingly, warehouse receipt laws are given liberal construction in favor of *bona fide* holders of such receipts.¹⁹⁵

The purpose of the probation being to give first-hand offenders a second chance to maintain his place in society through the process of reformation, it should be liberally construed to achieve its objective. Thus, the probation law may liberally be construed by extending the benefits thereof to any one not specifically disqualified.¹⁹⁶

A statute granting powers to an agency created by the Constitution should be liberally construed for the advancement of the purposes and objectives for which it was created.¹⁹⁷

¹⁹¹Narzales v. NLRC, G.R. No. 141959, October 29, 2000, 134 SCAD 773; Zulueta v. Asia Brewery, Inc., G.R. No. 138137, March 8, 2001.

¹⁹²Enage v. Escano, 38 Phil. 657 (1918); Javelana v. Nuñez, 40 Phil. 761 (1920).

¹⁹³Belan v. De Leon, G.R. No. 16412, November 30, 1962, 6 SCRA 793.

¹⁹⁴Central Capiz v. Salas, 43 Phil. 930 (1922).

¹⁹⁵Bank of the Philippine Islands v. Herridge, 47 Phil. 57 (1924).

¹⁹⁶Santos To v. Paño, G.R. No. 55130, January 17, 1983, 120 SCRA 8. But see Tolentino v. Alconcel, G.R. No. 63400, March 18, 1983, 121 SCRA 92.

¹⁹⁷Buenaseda v. Flaviet, 44 SCAD 1026, 226 SCRA 645 (1993).

Chapter VIII

MANDATORY AND DIRECTORY STATUTES

A. IN GENERAL

8.01. Generally.

Statutes may be classified either as mandatory or directory. The classification is important in resolving the question of what effect should be given to the mandate of a statute. Will an act done in violation of a statute render it void? Will the nonperformance of what a statute prescribes make the proceedings to which it relates invalid? Will the person violating the statute be held liable therefor? The answers to these and similar questions depend on whether the statute is considered mandatory or merely directory.

8.02. Mandatory and directory statutes, generally.

A mandatory statute is a statute which commands either positively that something be done, or performed in a particular way, or negatively that something be not done,¹ leaving the person concerned no choice on the matter except to obey? A mandatory statute is one that contains words of command or of prohibition,² the omission to follow which renders the proceeding to which it relates illegal and void, or the violation of which makes the decision therein rendered invalid.³ Acts executed against the provisions of mandatory or prohibitory laws shall be void, except when the law

¹Brehn v. Republic, G.R. No. 18566, September 30, 1963, 9 SCRA 172.

²Sartina v. Court of First Instance of Bukidnon, G.R. No. 28511, August 22, 1968, 24 SCRA 715.

³Brehn v. Republic, *supra*.

⁴Provincial Treasurer of Negros Occ. v. Azcona, 115 Phil. 618 (1962).

itself authorizes their validity.⁵ Where a statute is mandatory, the court has no power to distinguish between material and immaterial breach thereof or omission to comply with what it requires. What the law decrees must be obeyed against pain of sanction or declaration of nullity of what is done in disregard thereof.⁶

A directory statute is a statute which is permissive or discretionary in nature and merely outlines the act to be done in such a way that no injury can result from ignoring it or that its purpose can be accomplished in a manner other than that prescribed and substantially the same result obtained.⁷ A statute which merely operates to confer discretion upon a person, namely, to act according to the dictates of his own judgment and conscience and not controlled by the judgment and conscience of others, is directory.⁸ Considering the nature of a directory statute, the nonperformance of what it prescribes, though constituting in some instances an irregularity or subjecting the official concerned to disciplinary or administrative sanction, will not vitiate the proceedings therein taken.⁹

8.03. When statute is mandatory or directory.

There is no universal rule by which directory provisions in a statute may in all circumstances be distinguished from those which are mandatory. Neither is there an absolute test for determining whether a statutory direction is to be considered mandatory or directory. In the determination of this question, the primary object is to ascertain legislative intent. The legislative intent must be obtained from all the surrounding circumstances, and the determination does not depend on the form of the statute. Consideration must be given to the entire statute, its object, purpose, legislative history, and the consequences which would result from construing it one way or the other, and the statute must be construed in connection with other related statutes. Words of permissive character may be given a mandatory significance in order to effect the legislative intent, and, when the terms of a statute are such that they cannot

⁵Art. 5, Civil Code, *Buyco v. Phil. National Bank*, 112 Phil. 588 (1961).

⁶*Sarina v. Court of First Instance of Bulidnon*, G.R. No. 28611, August 22, 1968, 24 SCRA 715.

⁷*Miller v. Lakewood Housing Co.*, 180 NE 700, 81 ALR 1239 (1932).

⁸*Capati v. Ocampo*, G.R. No. 28742, April 30, 1982, 113 SCRA 794; *Meralco Securities Corp. v. Savellano*, G.R. No. 36181, October 23, 1982, 117 SCRA 804.

⁹*Marcelino v. Cruz*, G.R. No. 42428, March 18, 1983, Phil. Assn. of Free Labor Unions v. Secretary of Labor, G.R. No. 2228, February 27, 1969, 27 SCRA 40.

be made effective to the extent of giving each and all of them some reasonable operation, without construing the statute as mandatory, such construction should be given.¹⁰

On the other hand, the language of a statute, however mandatory in form, may be deemed directory whenever the legislative purpose can best be carried out by such construction, but the construction of mandatory words as directory should not be lightly adopted and never where it would in fact make a new law instead of that passed by the legislature. Whether a statute is mandatory or directory depends on whether the thing directed to be done is of the essence of the thing required, or is a mere matter of form, and what is a matter of essence can often be determined only by judicial construction. Accordingly, when a particular provision of a statute relates to some immaterial matter, as to which compliance with the statute is a matter of convenience rather than substance, or where the directions of a statute are given merely with a view to the proper, orderly and prompt conduct of business, it is generally regarded as directory, unless followed by words of absolute prohibition; and a statute is regarded as directory where no substantial rights depend on it, no injury can result from ignoring it, and the purpose of the legislature can be accomplished in a manner other than that prescribed, with substantially the same result. On the other hand, a provision relating to the essence of the thing to be done, that is, to matters of substance, is mandatory, and when a fair interpretation of a statute, which directs acts or proceedings to be done in a certain way, shows that the legislature intended a compliance with such provision to be essential to the validity of the act or proceeding, or when some antecedent and prerequisite conditions must exist prior to the exercise of the power, or must be performed before certain other powers can be exercised, the statute must be regarded as mandatory.¹¹

8.04. Test to determine nature of statute.

The test generally employed to determine whether a statute is mandatory or directory is to ascertain the consequences that will follow in case what the statute requires is not done or what it

¹⁰*Tañada v. Cuenco*, 103 Phil. 1061 (1957), citing 82 C.J.S. 869-874; *Portillo v. Salvañi*, 54 Phil. 543 (1930); *Chartered Bank v. National Government Office*, 149 SCRA 58 (1987).

¹¹*Tañada v. Cuenco*, *supra*.

forbids is performed. Does the statute prescribe a result in addition to, or apart from, what it requires? Will third parties suffer as a consequence of what the person charged by the statute to do within a prescribed limit fails to do? Does the law give a person no alternative choice? Is what the statute prescribes a matter of substance and not of form? Will there be more injury to the public by a disregard of what the law provides? If the answers are in the affirmative, the statute is, as a rule, mandatory; otherwise, it is directory.

Whether a statutory requirement is mandatory or directory depends on its effect. If no substantial rights depend on it and no injury can result from ignoring it, and the purpose of the legislature can be accomplished in a manner other than that prescribed and substantially the same results obtained, then the statute will generally be regarded as directory; but if not, it will be mandatory.¹²

Similarly, statutory requirements intended for the protection of the citizens and by a disregard of which their rights are injuriously affected are regarded as mandatory; they must be followed or the acts done will be invalid. The power of the officer in such cases is limited by the manner and conditions for its exercise.¹³

A statute will not be construed as mandatory and requiring a public officer to act within a certain time limit even if it is couched in words of positive command if it will cause hardship or injustice on the part of the public who is not at fault.¹⁴ Nor will a statute be interpreted as mandatory if it will lead to absurd, impossible or mischievous consequences. The statute will instead be construed as directory, so as to avoid such results, without prejudice to subjecting the officer concerned to administrative sanction for his failure to do what the law requires.¹⁵

8.05. Language used.

Statutes using words of command, such as "shall," "must," "ought" or "should," or prohibition, such as "cannot," "shall not," or "ought not," are generally regarded as mandatory.¹⁶ The use of words of command or of prohibition indicates the legislative intent

¹² *Miller v. Lakewood Housing Co.*, 180 NE 700, 81 ALR 1239 (1932).

¹³ *Lyons v. Alley*, 32 L. ed. 899 (1889).

¹⁴ *Querin v. Court of Appeals*, 82 Phil. 226 (1946).

¹⁵ *Marcelino v. Cruz*, G.R. No. 42428, March 18, 1983.

¹⁶ *Brehn v. Republic*, G.R. No. 18566, September 10, 1963, 9 SCRA 172.

to make the law mandatory.¹⁷ On the other hand, statutes using permissive words, such as "may" or words importing permissiveness, are generally directory. It has been held that the intention of the legislature as to the mandatory or directory nature of particular statutory provision is determined primarily from the language thereof.¹⁸

8.06. Use of "shall" or "must."

As a general rule, the use of the word "shall" in a statute implies that the statute is mandatory. It means "ought to," "must" and when used in a statute or regulation, expresses what is mandatory. In common parlance and in its ordinary signification, the term "shall" is a word of command, and one which has or which must be given a compulsory meaning, and it is generally imperative or mandatory. It has invariable significance to impose a duty which may be enforced, particularly if the public is in favor of this meaning or when addressed to public officials, or where public interest is involved, or where the public or persons have rights which ought to be exercised or enforced, unless a contrary intent appears. The presumption is that the word "shall" in a statute is used in an imperative, and not in a directory, sense. If a different interpretation is sought, it must rest upon something in the character of the legislation or in the context which will justify a different meaning.¹⁹

In *Enriquez v. Enriquez*, G.R. No. 139303 [August 25, 2005], the issue is whether payment of docket and other lawful fees is mandatory and jurisdictional, in view of the use of the word "shall."

The pertinent provision of Sec. 4, Rule 41 of the new 1987 Rules of Civil Procedure reads:

"Section 4. Appellate court docket and other lawful fees. — Within the period for taking an appeal, the appellant shall pay to the clerk of the court which rendered the judgment or final order appealed from, the full amount of the appellate court docket and other lawful fees. Proof of payment of said fees shall

¹⁷ *Guiao v. Figueroa*, 94 Phil. 1018 (1954); *McGee v. Republic*, 94 Phil. 820 (1954).

¹⁸ *Stanley v. Mueller*, 315 P2d 125, 71 ALR 2d 715 (1957); *Brannon v. Perkey*, 31 SE2d 898, 158 ALR 631 (1944).

¹⁹ *Poblete v. Rehabilitation Finance Corp.*, 91 Phil. 608 (1952), citing 39 Words & Phrases Ter. Ed., 90, 93; *Boranda v. Gueito*, 165 SCRA 757 (1988); *Gonzales v. Chavez*, 205 SCRA 816 (1992).

be transmitted to the appellate court together with the original record of the record or the record on appeal."

The Court sustained the dismissal of the appeal by the appellate court, thus:

"The use of the word 'shall' underscores the mandatory character of the Rule. The term 'shall' is a word of command, and one which has always or which must be given a compulsory meaning, and it is generally imperative or mandatory. Petitioners cannot give a different interpretation to the Rule and insist that payment of docket fee shall be made only upon their receipt of a notice from the trial court to pay. For it is a rule in statutory construction that every part of the statute must be interpreted with reference to the context, i.e., that every part of the statute must be interpreted together with the other parts, and kept subservient to the general intent of the whole enactment. Indeed, petitioners cannot deviate from the Rule.

Also under Rule 41 of the same Rules, an appeal to the Court of Appeals from a case decided by the RTC in the exercise of the latter's original jurisdiction, shall be taken within fifteen (15) days from the notice of judgment or final order appealed from. Such appeal is made by filing a notice thereof with the court that rendered the judgment or final order and by serving a copy of that notice upon the adverse party. Furthermore, within this same period, appellant shall pay to the clerk of court the full amount of the appellate court docket and other lawful fees. The payment of docket fee within this period is mandatory for the perfection of appeal. Otherwise, the appellate court would not be able to act on the subject matter of the action, and the decision sought to be appealed from becomes final and executory.

Time and again, this Court has consistently held that payment of docket fee within the prescribed period is mandatory for the perfection of an appeal. Without such payment, the appellate court does not acquire jurisdiction over the subject matter of the action and the decision sought to be appealed from becomes final and executory.

Petitioners argue that the Appellate Court, in issuing the assailed Resolutions, gave premium to technicalities rather

than substance and disregarded the merits of the petition. They ask for a liberal construction of the Rules.

Appeal is not a right but a statutory privilege, thus, appeal must be made strictly in accordance with the provision set by law. The requirement of the law under Section 4, Rule 41 is clear. The payment of appellate docket fee is not a mere technicality of law or procedure but an essential requirement for the perfection of an appeal.

The payment of the docket fee within the period is a condition *sine qua non* for the perfection of an appeal. Contrary to petitioners' submission, the payment of the appellate court docket and other lawful fees is not a mere technicality of law or procedure. It is an essential requirement, without which the decision or final order appealed from would become final and executory as if no appeal was filed at all.

Like the word "shall," the term "must" or "ought" is a word of command. It connotes compulsion or mandatoryness.²⁰ This rule is not, however, absolute. The import of the word ultimately depends upon a consideration of the entire provision, its nature, object and the consequences that would follow from construing it one way or the other.²¹

The word "must" in a statute, like "shall" is not always imperative. It may be consistent with discretion. If the language of a statute considered as a whole and with due regard to its nature and object reveals that the legislature intended to use the word "must" to be directory, it should be given that meaning. For instance, Sec. 46 of the Corporation Code provides that: "Every corporation formed under this Code, must within one (1) month after receipt of official notice of the issuance of its certification of incorporation by the Securities and Exchange Commission, adopt a code of by-laws for its government not inconsistent with this Code." The Court ruled that considering that Sec. 46 allows the filing of by-laws prior to incorporation, the non-filing of the by-laws does not imply the "demise" of the corporation. P.D. No. 902-A, which is *in pari materia* with the Corporation Code, provides in Sec. 6 thereof that there should be notice and hearing before the certificate of registration may be cancelled by the failure to file the by-laws. This provision shows that the legislative

²⁰People v. Tamani, G.R. No. 22160, January 21, 1974, 55 SCRA 153.

²¹Gachon v. Devera, Jr., 84 SCAD 12, 274 SCRA 540 (1997).

intent not to use the word "must" as mandatory but merely as directory is evident and it should be given such meaning.²²

One test used to determine whether the word "shall" is mandatory or discretionary is whether non-compliance with what is required will result in the nullity of the act. If it results in the nullity of the act, the word is used as a command. Thus, in *Director of Lands v. Court of Appeals*,²³ the law requires in petitions for land registration that "upon receipt of the order of the court setting the time for initial hearing, the Commissioner of Land Registration shall cause a notice of initial hearing to be published in the Official Gazette and once in a newspaper of general circulation in the Philippines." The Court held that the law expressly requires that the initial hearing be published not only in the Official Gazette but also in a newspaper of general circulation because due process demands it and the reality that the Official Gazette is not as widely read and circulated as newspapers of general circulation. These make the use of the word "shall" imperative, so that the decision in the land registration case which was tried without the initial hearing being published in a newspaper of general circulation is a nullity.

8.07. Use of "may."

The word "may" is an auxiliary verb showing, among others, opportunity or possibility. Under ordinary circumstances, the phrase "may be" implies the possible existence of something.²⁴

Generally speaking, the use of the word "may" in a statute denotes that it is directory in nature. The word "may" is generally permissive only and operates to confer discretion.²⁵

The word "may" as used in adjective laws, such as remedial statutes which are construed liberally, is only permissive and not mandatory. Thus, the word "may" in Sec. 63 of the Corporation Code to the effect that "shares of stock so issued are personal property and may be transferred by delivery of the certificate or certificates

²²*Loyola Grand Villas Homeowners (South) Assn., Inc. v. Court of Appeals*, 85 SCAD 420, 276 SCRA 681 (1997).

²³*Supra*.

²⁴*Legazpi v. Estrella*, 189 SCRA 58 (1990).

²⁵*Grego v. COMELEC*, 83 SCAD 923, 274 SCRA 481 (1997), citing *R.E. Agpalo, Statutory Construction*, p. 239 (2nd ed., 1990); *Bersabel v. Salvador*, G.R. No. 35910, July 21, 1978, 84 SCRA 176; *Dizon v. Encarnacion*, 119 Phil. 20 (1963); *Cabaluna v. Ventura*, 47 Phil. 165 (1924); *Castillo v. Sian*, 105 Phil. 622 (1959).

endorsed by the owner" is merely permissive and indicates that transfer of the shares may be effected in a manner different from that provided for in the law.²⁶

8.08. When "shall" is construed as "may" and vice versa.

While the ordinary acceptance of the words "shall" and "may" may be resorted to as guide in the ascertainment of the mandatory or directory character of statutory provisions, it is in no wise absolute and inflexible criterion in the vast areas of law and equity. Depending upon a consideration of the entire provision, its nature, its object and the consequences that would follow from construing it one way or the other, the convertibility of said terms either as mandatory or directory is a standard recourse in statutory construction.²⁷ It is well-settled that the word "may" should be read as "shall" where such construction is necessary to give effect to the apparent intention of the legislature. Thus, whether the word "may" is to be construed as mandatory and imposing a duty, or merely as permissive and conferring discretion, is to be determined in each case from the apparent intention of the statute as gathered from the context, as well as from the language of the particular provision. The question in each case is whether, taken as a whole and viewed in the light of surrounding circumstances, it can be said that a purpose existed on the part of the legislature to enact a law mandatory in character. If it can, then it should be given a mandatory effect.²⁸ The word "may" in such a case should be taken as "must" or "shall."²⁹

The word "may" will, as a rule, be construed as "shall" where a statute provides for the doing of some act which is required by justice or public duty, or where it vests a public body or officer with power and authority to take such action which concerns the public interest or rights of individuals.³⁰ On the other hand, the word "shall" may be construed as "may" when so required by the context or by the intention of the legislature. It shall be construed merely as permissive when no public benefit or private right requires that it be given an imperative meaning.³¹

²⁶*Tan v. Securities and Exchange Commission*, 206 SCRA 740 (1992).

²⁷*De Mesa v. Mencias*, G.R. No. 24583, October 29, 1966, 18 SCRA 533.

²⁸*In re Guarina*, 24 Phil. 37 (1913).

²⁹*Dizon v. Encarnacion*, 119 Phil. 20 (1963).

³⁰*De Mesa v. Mencias*, G.R. No. 24583, October 29, 1966, 18 SCRA 533; *Gabriel v. Encarnacion*, 94 Phil. 917 (1954).

³¹*Diockno v. Rehabilitation Finance Corp.*, 91 Phil. 608 (1952).

For instance, the word "shall" in Section 2 of Republic Act No. 304 which states that "banks or other financial institutions owned or controlled by the Government shall, subject to availability of funds x x x, accept at a discount at not more than two *per centum* for ten years such (backpay) certificate" implies not a mandatory, but a discretionary, meaning because of the phrase "subject to availability of funds."³² Similarly, the word "shall" in the provision to the effect that a corporation violating the Corporation Law "shall, upon such violation being proved, be dissolved by *quo warranto* proceedings" has been construed as "may."³³

Section 68 of Rep. Act No. 7160, the Local Government Code of 1991, provides that an appeal from an adverse decision against a local executive elective official to the President "shall not prevent a decision from becoming final or executory." It has been held that the word "shall" in the provision is not mandatory because there is room to construe said provision as giving discretion to the reviewing officials to stay the execution of the appealed decision and there is nothing to infer therefrom that the reviewing officials are deprived of the authority to order a stay of the appealed order.³⁴

Illustrative case in the use of "shall"

In *Acosta v. Adaza*, G.R. No. 168617 [February 19, 2007], the issue is whether the Secretary of Justice can still entertain a petition for review of the resolution of the prosecutor when the information has been filed in court and the accused has already been arraigned. The resolution of the issue depends upon whether there is a conflict between Sec. 7 and Sec. 12 of the Rules of Procedure of the Department of Justice, and requires reconciliation of these provisions and application of rules of statutory construction. In holding that the petition for review filed after the accused has been arraigned has to be dismissed, the Court ruled:

In a Resolution dated 11 July 2002, the DOJ reversed and set aside the 30 August 2001 resolution of the Office of the City Prosecutor of Iligan City and directed the said office to withdraw the Information for Estafa against petitioner.

The said DOJ resolution prompted the Office of the City Prosecutor of Iligan City to file a "Motion to Withdraw Information" on 25 July 2002.

On 26 July 2002, respondent filed a motion for reconsideration of said resolution of the DOJ arguing that the DOJ should have dismissed outright the petition for review since Section 7 of DOJ Circular No. 70 mandates that when an accused has already been arraigned and the aggrieved party files a petition for review before the DOJ, the Secretary of Justice cannot, and should not take cognizance of the petition, or even give due course thereto, but instead deny it outright. Respondent claimed Section 12 thereof mentions arraignment as one of the grounds for the dismissal of the petition for review before the DOJ.

In a resolution dated 30 January 2003, the DOJ denied the Motion for Reconsideration opining that under Section 12, in relation to Section 7, of DOJ Circular No. 70, the Secretary of Justice is not precluded from entertaining any appeal taken to him even where the accused has already been arraigned in court. This is due to the permissive language "may" utilized in Section 12 whereby the Secretary has the discretion to entertain an appealed resolution notwithstanding the fact that the accused has been arraigned.

Meanwhile, on 27 February 2003, the trial court issued an order granting petitioner's "Motion to Withdraw Information" and dismissing Criminal Case No. 8782. No action was taken by respondent or any party of the case from the said order of dismissal.

Aggrieved by the resolution of the DOJ, respondent filed a Petition for *Certiorari* before the Court of Appeals. Respondent raised the following issues before the appellate court:

1. Whether or not the Department of Justice gravely abused its discretion in giving due course to petitioner's petition for review despite its having been filed after the latter had already been arraigned;
2. Whether or not there is probable cause that the crime of estafa has been committed and that petitioner is probably guilty thereof;
3. Whether or not the petition before the Court of Appeals has been rendered moot and academic by the order of the Regional Trial Court dismissing Criminal Case No. 8782.

³²*Diolino v. Rehabilitation Finance Corp., supra.*

³³*Government v. El Hogar Filipino*, 50 Phil. 399 (1927).

³⁴*Berces, Sr. v. Guingona, Jr.*, 59 SCAD 131, 241 SCRA 539 (1996).

The Court of Appeals in a Decision dated 21 July 2004 granted respondent's petition and reversed the Resolutions of the DOJ dated 11 July 2002 and 30 January 2003.

In resolving the first issue, the Court of Appeals, relying heavily on Section 7 of DOJ Circular No. 70 which states "[i]f an information has been filed in court pursuant to the appealed resolution, the petition shall not be given due course if the accused had already been arraigned," ruled that since petitioner was arraigned before she filed the petition for review with the DOJ, it was imperative for the DOJ to dismiss such petition. It added that when petitioner pleaded to the charge, she was deemed to have waived her right to reinvestigation and right to question any irregularity that surrounds it.

Anent the second issue, the Court of Appeals declared that the existence of probable cause or the lack of it, cannot be dealt with by it since factual issues are not proper subjects of a Petition for *Certiorari*.

In disposing of the last issue, the Court of Appeals held that the order of the trial court dismissing the subject criminal case pursuant to the assailed resolutions of the DOJ did not render the petition moot and academic. It said that since the trial court's order relied solely on the resolutions of the DOJ, said order is void as it violated the rule which enjoins the trial court to assess the evidence presented before it in a motion to dismiss and not to rely solely on the prosecutor's averment that the Secretary of Justice had recommended the dismissal of the case.

Dissatisfied by the Court of Appeals' ruling, petitioner filed a Motion for Reconsideration setting forth the following grounds:

1. That the over-all language of Sections 7 and 12 of Department Circular No. 70 is permissive and directory such that the Secretary of Justice may entertain an appeal despite the fact that the accused had been arraigned;
2. That the contemporaneous construction by the Secretary of Justice should be given great weight and respect;
3. That Section 7 of the Circular applies only to resolutions rendered pursuant to a preliminary investigation, not on a reinvestigation;
4. That the trial court's order of dismissal of the criminal case has rendered the instant petition moot and academic;

5. That her arraignment was null and void it being conducted despite her protestations; and

6. That despite her being arraigned, the supposed waiver of her right to preliminary investigation has been nullified or recalled by virtue of the trial court's order of reinvestigation.

The Court of Appeals stood firm by its decision. This time, however, it tried to construe Section 7 side by side with Section 12 of DOJ Circular No. 70 and attempted to reconcile these two provisions. According to the appellate court, the phrase "shall not" in paragraph two, first sentence of Section 7 of subject circular, to wit:

If an information has been filed in court pursuant to the appealed resolution, the petition shall not be given due course if the accused had already been arraigned . . . employed in the circular denotes a positive prohibition. Applying the principle in statutory construction — that when a statute or provision contains words of positive prohibition, such as "shall not," "cannot," or "ought not" or which is couched in negative terms importing that the act shall not be done otherwise than designated, that statute or provision is mandatory, thus rendering the provision mandatory — it opined that the subject provision simply means that the Secretary of Justice has no other course of action but to deny or dismiss a petition before him when arraignment of an accused had already taken place prior to the filing of the petition for review.

On the other hand, reading Section 12 of the same circular which reads:

The Secretary may reverse, affirm or modify the appealed resolution. He may, *motu proprio* or upon motion, dismiss the petition for review on any of the following grounds:

- x x x x x x x x x
- (e) That the accused had already been arraigned when the appeal was taken; . . .

The Court of Appeals opined that the permissive word "may" in Section 12 would seem to imply that the Secretary of Justice has discretion to entertain an appeal notwithstanding the fact that the accused has been arraigned. This provision should not be treated separately, but should be read in relation to Section 7. The two provisions, taken together, simply meant that when an accused was already arraigned when the aggrieved party files a petition for review,

the Secretary of Justice cannot, and should not take cognizance of the petition, or even give due course thereto, but instead dismiss or deny it outright. The appellate court added that the word "may" in Section 12 should be read as "shall" or "must" since such construction is absolutely necessary to give effect to the apparent intention of the rule as gathered from the context.

As to the contemporaneous construction of the Secretary of Justice, the Court of Appeals stated that the same should not be given weight since it was erroneous.

Anent petitioner's argument that Section 7 of the questioned circular applies only to original resolutions that brought about the filing of the corresponding informations in court, but not to resolutions rendered pursuant to a motion for reinvestigation, the appellate court simply brushed aside such contention as having no basis in the circular questioned.

It also rejected petitioner's protestation that her arraignment was forced upon her since she failed to present any evidence to substantiate the same.

It is petitioner's contention that despite her being arraigned, the supposed waiver of her right to preliminary investigation has been nullified by virtue of the trial court's order or reinvestigation. On this score, the Court of Appeals rebuffed such argument stating that there was no "supposed waiver of preliminary investigation" to speak of for the reason that petitioner had actually undergone preliminary investigation.

Petitioner remained unconvinced with the explanations of the Court of Appeals.

Hence, the instant petition.

Again, petitioner contends that the DOJ can give due course to an appeal or petition for review despite its having been filed after the accused had already been arraigned. It asserts that the fact of arraignment of an accused before the filing of an appeal or petition for review before the DOJ "is not at all relevant" as the DOJ can still take cognizance of the appeal or Petition for Review before it. In support of this contention, petitioner set her sights on the ruling of this Court in *Crespo v. Mogul*, to wit:

The rule therefore in this jurisdiction is that once a complaint or information is filed in Court any disposition of the case as to its dismissal or the conviction or acquittal of the

accused rests in the sound discretion of the Court. Although the fiscal retains the direction and control of the prosecution of criminal cases even while the case is already in Court he cannot impose his opinion on the trial court. The Court is the best and sole judge on what to do with the case before it. The determination of the case is within its exclusive jurisdiction and competence. A motion to dismiss the case filed by the fiscal should be addressed to the Court who has the option to grant or deny the same. It does not matter if this is done before or after the arraignment of the accused or that the motion was filed after a reinvestigation or upon instructions of the Secretary of Justice who reviewed the records of the investigation.

To bolster her position, petitioner cites *Roberts v. Court of Appeals*, which stated:

There is nothing in *Crespo vs. Mogul* which bars the DOJ from taking cognizance of an appeal, by way of a petition for review, by an accused in a criminal case from an unfavorable ruling of the investigating prosecutor. It merely advised the DOJ to, "as far as practicable, refrain from entertaining a petition for review or appeal from the action of the fiscal, when the complaint or information has already been filed in Court" (Emphasis supplied)

Petitioner likewise invokes *Marcelo v. Court of Appeals* where this Court declared:

Nothing in the said ruling forecloses the power or authority of the Secretary of Justice to review resolutions of his subordinates in criminal cases. The Secretary of Justice is only enjoined to refrain as far as practicable from entertaining a petition for review or appeal from the action of the prosecutor once a complaint or information is filed in court. In any case, the grant of a motion to dismiss, which the prosecution may file after the Secretary of Justice reverses an appealed resolution, is subject to the discretion of the court.

The Court is unconvinced.

A cursory reading of *Crespo v. Mogul* reveals that the ruling therein does not concern the issue of an appeal or petition for review before the DOJ after arraignment. Verily, the pronouncement therein has to do with the filing of a motion to dismiss and the court's discretion to deny or grant the

same. As correctly pointed out by respondent, the emphasized portion in the *Crespo* ruling is a parcel of the entire paragraph which relates to the duty and jurisdiction of the trial court to determine for itself whether or not to dismiss a case before it, and which states that such duty comes into play regardless of whether such motion is filed before or after arraignment and upon whose instructions. The allusion to the Secretary of Justice as reviewing the records of investigation and giving instructions for the filing of a motion to dismiss in the cited ruling does not take into consideration of whether the appeal or petition before the Secretary of Justice was filed after arraignment. Significantly, in the *Crespo* case, the accused had not yet been arraigned when the appeal or petition for review was filed before the DOJ. Undoubtedly, petitioner's reliance on the said case is misplaced.

Also unavailing is petitioner's invocation of the cases of *Roberts v. Court of Appeals* and *Marcelo v. Court of Appeals*. As in *Crespo v. Mogul*, neither *Roberts v. Court of Appeals* nor *Marcelo v. Court of Appeals* took into account of whether the appeal or petition before the Secretary of Justice was filed after arraignment. Just like in the *Crespo* case, the accused in both *Roberts v. Court of Appeals* and *Marcelo v. Court of Appeals* had not yet been arraigned when the appeal or petition for review was filed before the DOJ.

Moreover, petitioner asserts that the Court of Appeals' interpretation of the provisions of DOJ Circular No. 70 violated three basic rules in statutory construction. First, the rule that the provision that appears last in the order of position in the rule or regulation must prevail. Second, the rule that the contemporaneous construction of a statute or regulation by the officers who enforce it should be given weight. Third, petitioner lifted a portion from Agpalo's Statutory Construction where the word "shall" had been construed as a permissive, and not a mandatory language.

The all too-familiar rule in statutory construction, in this case, an administrative rule of procedure, is that when a statute or rule is clear and unambiguous, interpretation need not be resorted to. Since Section 7 of the subject circular clearly and categorically directs the DOJ to dismiss outright an appeal or a petition for review filed after arraignment, no resort to interpretation is necessary.

Petitioner's reliance to the statutory principle that "the last in order of position in the rule or regulation must prevail" is not applicable. In addition to the fact that Section 7 of DOJ Circular No. 70 needs no construction, the cited principle cannot apply because, as correctly observed by the Court of Appeals, there is no irreconcilable conflict between Section 7 and Section 12 of DOJ Circular No. 70. Section 7 of the circular provides:

SECTION 7. Action on the petition. — The Secretary of Justice may dismiss the petition outright if he finds the same to be patently without merit or manifestly intended for delay, or when the issues raised therein are too unsubstantial to require consideration. If an information has been filed in court pursuant to the appealed resolution, the petition shall not be given due course if the accused had already been arraigned. Any arraignment made after the filing of the petition shall not bar the Secretary of Justice from exercising his power of review.

On the other hand, Section 12 of the same circular states:

SECTION 12. Disposition of the Appeal. — The Secretary may reverse, affirm or modify the appealed resolution. He may, *motu proprio* or upon motion, dismiss the petition for review on any of the following grounds:

- (a) That the petition was filed beyond the period prescribed in Section 3 hereof;
- (b) That the procedure or any of the requirements herein provided has not been complied with;
- (c) That there is no showing of any reversible error;
- (d) That the appealed resolution is interlocutory in nature, except when it suspends the proceedings based on the alleged existence of a prejudicial question;
- (e) That the accused had already been arraigned when the appeal was taken;
- (f) That the offense has already prescribed; and
- (g) That other legal or factual grounds exist to warrant a dismissal.

It is noteworthy that the principle cited by petitioner reveals that, to find application, the same presupposes that "one part of the statute cannot be reconciled or harmonized with another part without nullifying one in favor of the other." In the instant case, however, Section 7 is neither contradictory nor irreconcilable with Section 12. As can be seen above, Section 7 pertains to the action on the petition that the DOJ must take, while Section 12 enumerates the options the DOJ has with regard to the disposition of a petition for review or of an appeal.

As aptly observed by respondent, Section 7 specifically applies to a situation on what the DOJ must do when confronted with an appeal or a petition for review that is either clearly without merit, manifestly intended to delay, or filed after an accused has already been arraigned, *i.e.*, he may dismiss it outright if it is patently without merit or manifestly intended to delay, or, if it was filed after the accused has already been arraigned, the Secretary shall not give it due course.

Section 12 applies generally to the disposition of an appeal. Under said section, the DOJ may take any of four actions when disposing an appeal, namely:

1. reverse the appealed resolution;
2. modify the appealed resolution;
3. affirm the appealed resolution;
4. dismiss the appeal altogether, depending on the circumstances and incidents attendant thereto.

As to the dismissal of a petition for review or an appeal, the grounds are provided for in Section 12 and, consequently, the DOJ must evaluate the pertinent circumstances and the facts of the case in order to determine which ground or grounds shall apply.

Thus, when an accused has already been arraigned, the DOJ must not give the appeal or petition for review due course and must dismiss the same. This is bolstered by the fact that arraignment of the accused prior to the filing of the appeal or petition for review is set forth as one of the grounds for its dismissal. Therefore, in such instance, the DOJ, noting that the arraignment of an accused prior to the filing of an appeal or petition for review is a ground for dismissal under Section 12,

must go back to Section 7 and act upon as mandated therein. In other words, the DOJ must not give due course to, and must necessarily dismiss, the appeal.

Likewise, petitioner's reliance on the principle of contemporary construction, *i.e.*, the DOJ is not precluded from entertaining appeals where the accused had already been arraigned, because it exercises discretionary power, and because it promulgated itself the circular in question, is unpersuasive. As aptly ratiocinated by the Court of Appeals:

True indeed is the principle that a contemporaneous interpretation or construction by the officers charged with the enforcement of the rules and regulations it promulgated is entitled to great weight by the court in the latter's construction of such rules and regulations. That does not, however, make such a construction necessarily controlling or binding. For equally settled is the rule that courts may disregard contemporaneous construction in instances where the law or rule construed possesses no ambiguity, where the construction is clearly erroneous, where strong reason to the contrary exists, and where the court has previously given the statute a different interpretation.

If through misapprehension of law or a rule an executive or administrative officer called upon to implement it has erroneously applied or executed it, the error may be corrected when the true construction is ascertained. If a contemporaneous construction is found to be erroneous, the same must be declared null and void. Such principle should be as it is applied in the case at bar.

Petitioner's posture on a supposed exception to the mandatory import of the word "shall" is misplaced. It is petitioner's view that the language of Section 12 is permissive and therefore the mandate in Section 7 has been transformed into a matter within the discretion of the DOJ. To support this stance, petitioner cites a portion of Agpal's Statutory Construction which reads:

For instance, the word "shall" in Section 2 of Republic Act 304 which states that "banks or other financial institutions owned or controlled by the Government shall, subject to availability of funds . . . , accept at a discount at

not more than two *per centum* for ten years such (backpay) certificate" implies not a mandatory, but a discretionary, meaning because of the phrase "subject to availability of funds." Similarly, the word "shall" in the provision to the effect that a corporation violating the corporation law "shall, upon such violation being proved, be dissolved by *quo warranto* proceedings" has been construed as "may."

After a judicious scrutiny of the cited passage, it becomes apparent that the same is not applicable to the provision in question. In the cited passage, the word "shall" departed from its mandatory import connotation because it was connected to certain provisos/conditions: "Subject to the availability of funds" and "upon such violation being proved." No such proviso/condition, however, can be found in Section 7 of the subject circular. Hence, the word "shall" retains its mandatory import.

At this juncture, the Court of Appeals' disquisition in this matter is enlightening:

Indeed, if the intent of Department Circular No. 70 were to give the Secretary of Justice a discretionary power to dismiss or to entertain a petition for review despite its being outrightly dismissible, such as when the accused has already been arraigned, or where the crime the accused is being charged with has already prescribed, or there is no reversible error that has been committed, or that there are legal or factual grounds warranting dismissal, the result would not only be incongruous but also irrational and even unjust. For then, the action of the Secretary of Justice of giving due course to the petition would serve no purpose and would only allow a great waste of time. Moreover, to give the second sentence of Section 12 in relation to its paragraph (e) a directory application would not only subvert the avowed objectives of the Circular, that is, for the expeditious and efficient administration of justice, but would also render its other mandatory provisions — Sections 3, 5, 6 and 7, nugatory.

In her steadfast effort to champion her case, petitioner contends that the issue as to whether the DOJ rightfully entertained the instant case, despite the arraignment of the accused prior to its filing, has been rendered moot and academic

with the order of dismissal by the trial court dated 27 February 2003. Such contention deserves scant consideration.

It must be stressed that the trial court dismissed the case precisely because of the Resolutions of the DOJ after it had, in grave abuse of its discretion, took cognizance of the petition for review filed by petitioner. Having been rendered in grave abuse of its discretion, the Resolutions of the DOJ are void. As the order of dismissal of the trial court was made pursuant to the void Resolutions of the DOJ, said order was likewise void. The rule in this jurisdiction is that a void judgment is a complete nullity and without legal effect, and that all proceedings or actions founded thereon are themselves regarded as invalid and ineffective for any purpose. That respondent did not file a motion for reconsideration or appeal from the dismissal order of the trial court is of no moment. Since the dismissal was void, there was nothing for respondent to oppose.

Petitioner further asserts that Section 7 of DOJ Circular No. 70 applies only to appeals from original resolution of the City Prosecutor and does not apply in the instant case where an appeal is interposed by petitioner from the Resolution of the City Prosecutor denying her motion for reinvestigation. This claim is baseless.

A reading of Section 7 discloses that there is no qualification given by the same provision to limit its application to appeals from original resolutions and not to resolutions on reinvestigation. Hence, the rule stating that "when the law does not distinguish, we must not distinguish" finds application in this regard.

8.09. Use of negative, prohibitory or exclusive terms.

A negative statute is mandatory. A negative statute is one expressed in negative words or in the form of an affirmative proposition qualified by the word "only," said word having the force of an exclusionary negation.³⁸

The use by the legislature of negative, prohibitory or exclusive terms or words in a statute is indicative of the legislative intent to make the statute mandatory. A statute or provision which contains

³⁸*Valdez v. Tuson*, 40 Phil. 943 (1920).

words of positive prohibition, such as "shall not," "cannot," or "ought not," or which is couched in negative terms importing that the act shall not be done otherwise than designated is mandatory.³⁶ Prohibitive or negative words can rarely, if ever, be directory, for there is but one way to obey the command, "thou shall not," and that is to completely refrain from doing the forbidden act.³⁷

B. MANDATORY STATUTES

8.10. Statutes conferring power.

Statutes which confer upon a public body or officer power to perform acts which concern the public interests or rights of individuals, are generally regarded as mandatory although the language used is permissive only since such statutes are construed as imposing rather than conferring privileges.³⁸ The power is given not for the benefit of the public officer but for that of third persons. It is placed with the depository to meet the demands of rights, and to prevent a failure of justice. It is given as a remedy to those entitled to invoke its aid, and who would otherwise be remediless. In all such cases, it is held that the intent of the legislature was not to devolve a mere discretion, but to impose a positive and absolute duty which can be enforced.³⁹

8.11. Statutes granting benefits.

Statutes which require certain steps to be taken or certain conditions to be met before persons concerned can avail of the benefits conferred by law are, with respect to such requirements, considered mandatory. For this reason, failure of a person to take the required steps or to meet the conditions will ordinarily preclude him from availing of the statutory benefits. The rule is based on the maxim, *vigilantibus et non dormientibus jura subveniunt*, or the laws aid the vigilant, not those who slumber on their rights.⁴⁰ *Potior*

³⁶Bretn v. Republic, 118 Phil. 1442 (1963); McGee v. Republic, 94 Phil. 820 (1954).

³⁷McGee v. Republic, 94 Phil. 820 (1954).

³⁸De Mesa v. Mencias, G.R. No. 24583, October 29, 1966, 18 SCRA 533; Primicias v. Municipality of Urdaneta, G.R. No. 26702, October 18, 1979, 93 SCRA 462.

³⁹In re Guarina, 24 Phil. 37 (1913).

⁴⁰Mendoza v. Cayra, 98 Phil. 107 (1955).

est in tempore, potior est in jure — he who is first in time is preferred in right.⁴¹

8.12. Statutes prescribing jurisdictional requirements.

The general rule is that statutory requirements by which courts or tribunals acquire jurisdiction to hear and decide particular actions must be strictly complied with before the courts or tribunals can have authority to proceed. Hence, statutes prescribing the various steps and methods to be taken for acquisition of jurisdiction by the courts or tribunals over certain matters are considered mandatory.⁴² For instance, the statutory requirement of publication must be followed before the court can acquire jurisdiction to hear petitions for land registration,⁴³ reconstitution of title,⁴⁴ or naturalization,⁴⁵ so that failure to comply with such publication requirement will preclude the court from acquiring jurisdiction or render its decision thereon null and void.⁴⁶ It has also been held that the provision of the Tax Code to the effect that before an action for refund of tax is filed in court, a written claim therefor shall be presented with the Commissioner of Internal Revenue within the prescribed period is mandatory and failure to comply with such requirement is fatal to the action.⁴⁷

8.13. Statutes prescribing time to take action or to appeal.

Statutes or rules prescribing the time for litigants to take certain actions or to appeal from an adverse decision is generally mandatory.⁴⁸ Such statutes or rules have been held as absolutely indispensable to the prevention of needless delays and to the orderly and speedy discharge of business, and are a necessary incident to the proper, efficient, and orderly discharge of judicial functions. This

⁴¹Register of Deeds of Pampanga v. Phil. National Bank, 84 Phil. 600 (1949).

⁴²Palisoc v. Tarnondong, 43 Phil. 789 (1922); Gonzales v. Court of Appeals, G.R. No. 14532, May 26, 1965, 14 SCRA 79 (1965).

⁴³Sec. 23, Presidential Decree No. 1529.

⁴⁴Tahanan Development Corp. v. Court of Appeals, G.R. No. 55771, November 15, 1982, 118 SCRA 273 (1982).

⁴⁵Co y Gung Reyes v. Republic, 104 Phil. 889 (1958).

⁴⁶Santiago Syjoco, Inc. v. Philippine National Bank, 86 Phil. 320 (1950); MWSS v. Sison, G.R. No. 40809, August 31, 1983.

⁴⁷Gonzales v. Court of Appeals, G.R. No. 14532, May 26, 1965, 14 SCRA 79.

⁴⁸Miranda v. Guanzon, 92 Phil. 168 (1952); Galina v. Court of Appeals, G.R. No. 21046, January 31, 1966, 16 SCRA 141; People v. Tamani, G.R. No. 22160, January 21, 1974, 55 SCRA 153.

is the underlying reason why such statutes or rules are construed as mandatory.⁴⁹

Such statutes or rules require strict, not substantial, compliance. Accordingly, they are not waivable, nor can they be the subject of agreements or stipulations by litigants.⁵⁰

For instance, Section 187 of R.A. No. 7160 requires that the dissatisfied taxpayer who questions the validity or legality of a tax ordinance must file his appeal to the Secretary of Justice, within 30 days from effectivity thereof. In case the Secretary decides the appeal, a period also of 30 days is allowed for an aggrieved party to go to court. But if the Secretary does not act thereon, after the lapse of 60 days, a party could already proceed to seek relief in court. These three separate periods are clearly given for compliance as a prerequisite before seeking redress in a competent court. Such statutory periods are set to prevent delays as well as enhance the orderly and speedy discharge of judicial functions. For this reason the courts construe these provisions of statutes as mandatory.⁵¹

The provisions of the law and the rules concerning the manner and the period of taking appeal are mandatory and jurisdictional, compliance with which is essential to enable the appellate court to take cognizance of the appeal.⁵² Unless the requirements of law are complied with, the decision of the lower court will become final and preclude the appellate court from acquiring jurisdiction to review it.⁵³ The reason is that sound public policy demands that, at the risk of occasional errors, judgments of courts as well as administrative tribunals should become final at some definite date fixed by law.⁵⁴ Interest *reipublicae ut sit finis litium* — public interest requires that by the very nature of things there must be an end to a legal controversy.⁵⁵

⁴⁹*Shioji v. Harvey*, 43 Phil. 333 (1922); *Alvero v. De la Rosa*, 76 Phil. 428 (1946).

⁵⁰*Aldez v. Ocaman*, 106 Phil. 929 (1960); *Altavas v. Court of Appeals*, 106 Phil. 940 (1960); *Gachon v. Devera, Jr.*, 84 SCAD 12, 274 SCRA 540 (1997); *Valdez v. Actmen*, 106 Phil. 929 (1960).

⁵¹*Reyes v. COA*, 105 SCAD 290, 230 SCRA 486, 492 (1999), citing *Agnalo, Statutory Construction*, Third Edition, 1995, p. 266.

⁵²*Gutierrez v. Court of Appeals*, G.R. No. 25972, November 26, 1968, 26 SCRA 32.

⁵³*Alvero v. De la Rosa*, 76 Phil. 428 (1946); *People v. Tamani*, G.R. No. 22160, January 21, 1974, 55 SCRA 153.

⁵⁴*Antique v. Sawmill, Inc. v. Zayco*, G.R. No. 20061, May 30, 1966, 17 SCRA 316; *Espiritu San Miguel*, 63 Phil. 615 (1936).

⁵⁵*Government v. Del Rosario*, 54 Phil. 138 (1929).

In *Gachon v. Devera, Jr.*,⁵⁶ the issue is whether Sec. 6 of the Rule on Summary Procedure, which reads: "Should the defendant fail to answer the complaint within the period above provided, the Court, *motu proprio*, or on motion of the plaintiff, shall render judgment as may be warranted by the facts alleged in the complaint and limited to what is prayed for therein," is mandatory or directory, such that an answer filed out of time may be accepted. In holding that the provision is mandatory, the Court explained:

"The Rule on Summary Procedure, in particular, was promulgated for the purpose of achieving 'an expeditious and inexpensive determination of cases.' For this reason, the Rule frowns upon delays and prohibits altogether the filing of motions for extension of time. Consistent with this reasoning is Section 6 of the Rule which allows the trial court to render judgment, even *motu proprio*, upon the failure of a defendant to file an answer within the reglementary period.

"Indeed, the Judiciary Reorganization Act of 1980, mandating the promulgation of the Rule on Summary Procedure, authorizes the Court to stipulate that the period for filing pleadings in cases covered by the Rules on Summary Procedure shall be 'non-extensible.'

"x x x

"From the foregoing, it is clear that the use of the word 'shall' in the Rule on Summary Procedure underscores the mandatory character of the challenged provisions. Giving the provisions a directory application would subvert the nature of the Rule on Summary Procedure and defeat its objective of expediting the adjudication of suits. Indeed, to admit a late answer, as petitioners suggest, is to put premium on dilatory maneuvers — the very mischief that the Rule seeks to redress. In this light, petitioners' invocation of the general principle in Rule 1, Section 2 of the Rules of Court is misplaced."⁵⁷

8.14. Statutes prescribing procedural requirements.

In statutes relating to procedure, every act which is jurisdictional, or of the essence of the proceedings, or is prescribed for the

⁵⁶84 SCAD 12, 274 SCRA 540 (1997).

⁵⁷274 SCRA, p. 549.

protection or benefit of the party affected, is mandatory.⁶⁸ A statute which requires a court to exercise its jurisdiction in a particular manner, follow a particular procedure, or subject to certain limitations, is mandatory, and an act beyond those limits is void as in excess of jurisdiction.⁶⁹ Where failure to comply with certain procedural requirements will have the effect of rendering the act done in connection therewith void, the statute prescribing such requirements is regarded as mandatory,⁷⁰ even though the language used therein is permissive in nature.⁷¹

For instance, then Section 17, Rule 3 of the old Rules of Court provided that "after a party dies and the claim is not thereby extinguished, the court shall order, upon proper notice, the legal representative of the deceased, to appear and to be substituted for the deceased, within a period of thirty (30) days, or within such time as may be granted. If the legal representative fails to appear within said period, the court may order the opposing party to produce the appointment of a legal representative of the deceased within a time to be specified by the court, and the representative shall immediately appear and on behalf of the interest of the deceased." While this provision, because of the use of the permissive word "may" seems to imply that it is discretionary for the court to order the opposing party to produce the appointment of a legal representative when the legal representative of the deceased, notwithstanding notice, fails to appear, the procedural requirement goes to the very jurisdiction of the court, for "unless and until a legal representative is for him duly named and within the jurisdiction of the trial court, no adjudication in the cause could have been accorded any validity or binding effect upon any party, in representation of the deceased, without trenching upon the fundamental right to a day in court which is the very essence of the constitutionally enshrined guarantee of due process," and accordingly, the provision is mandatory.⁷²

8.15. Election laws on conduct of election.

The provisions of election laws governing the conduct of elections and prescribing the steps election officials are required to do in connection therewith are mandatory before the elections;

⁶⁸*De Mesa v. Mencias*, G.R. No. 24583, October 29, 1966, 18 SCRA 533.

⁶⁹*Burnett v. King*, 205 P2d 657, 12 ALR2d 333 (1949).

⁷⁰*Gabriel v. Encarnacion*, 94 Phil. 917 (1954).

⁷¹*De Mesa v. Mencias*, G.R. No. 24583, October 29, 1966, 18 SCRA 533.

⁷²*De Mesa v. Mencias*, G.R. No. 24583, October 29, 1966, 18 SCRA 533.

however, when it is sought to enforce them after the elections, they are held to be directory only, if that is possible, especially where, if they are held to be mandatory, innocent voters will be deprived of their votes without any fault on their part.⁷³ It has been held that the provisions of the election law as to the conduct of the elections are mandatory if enforcement is sought before election in a direct proceeding for that purpose; but after election, all should be held directory only, in support of the result, unless of a character to affect an obstruction to the free and intelligent casting of the votes, or to the ascertainment of the result, or unless the provision affects an essential element of the election, or unless it is expressly declared by the statute that the particular act is essential to the validity of an election, or that its omission shall render it void.⁷⁴

The various provisions of the election laws were adopted to assist the voters in their participation in the affairs of the government and not to defeat that object. When the voters have honestly cast their ballots, the same should not be nullified simply because the officers appointed under the law to direct the elections and guard the purity of the ballot have not done their duty.⁷⁵ To hold election laws on the conduct of the election mandatory even after the election, the effect of which will be to nullify the votes affected by a violation thereof, except in the cases indicated, might tempt irregularities contrived for the very purpose of vitiating the votes and might lead to more fraud than it would prevent.⁷⁶

Pursuant to the foregoing rule, the circumstance that the coupon bearing the number of a ballot is not detached at the time the ballot is voted, as required by law, does not justify the court in rejecting the ballot. The duty of detaching the coupon is placed by law upon the election officials, and the voter must not be deprived of the franchise by reason of their failure to perform such duty.⁷⁷ Nor does the irregularity on the part of the election officials invalidate the ballot or deprive a candidate, who has been overwhelmingly elected by the electorate, of his right to office. The will of the electorate, in

⁷³*Lina Luna v. Rodriguez*, 39 Phil. 208 (1918); *De los Reyes v. Rodriguez*, 46 Phil. 595 (1924).

⁷⁴*Gardner v. Romulo*, 26 Phil. 521 (1914); *Rodriguez v. Commission on Elections*, G.R. No. 61545, December 27, 1982, 119 SCRA 465.

⁷⁵*Lina Luna v. Rodriguez*, *supra*; *De los Reyes v. Rodriguez*, *supra*.

⁷⁶*Gardner v. Romulo*, *supra*.

⁷⁷*De los Reyes v. Rodriguez*, *supra*.

such a case, should be respected, which can be effected by construing the provision of the law involved as directory.⁶⁸

8.16. Election laws on qualification and disqualification.

The rule that election laws are mandatory before but not after the elections applies only to those provisions which are procedural in nature affecting the conduct of the elections as well as to those which direct or require election officials to do or perform certain acts, the purpose of such construction being to preserve the sanctity of the ballot and carry out the will of the electorate.⁶⁹

The rule does not apply to provisions of the election laws prescribing the time limit to file certificates of candidacy and the qualifications and disqualifications to elective office. These provisions are considered mandatory even after the elections. Thus, where a candidate filed his certificate of candidacy beyond the period required by law, he is disqualified to run for the office as his certificate is void.⁷⁰ Where a candidate is, by law, disqualified, the circumstance that he received the highest number of votes does not qualify him for the office, nor does it validate his election. If the petition for his disqualification is filed before the election but finally resolved against him thereafter, in consequence of which he was allowed to continue with his candidacy and to be voted, the votes cast in his favor are considered void and he shall be ousted from office.⁷¹

8.17. Statutes prescribing qualifications for office.

Eligibility to a public office is of a continuing nature and must exist at the commencement of the term and during the occupancy of the office. Statutes prescribing the eligibility or qualifications of persons to a public office are, as a rule, regarded as mandatory. This means that if a person is not qualified at the time he assumed office, or if he loses such eligibility or qualifications during the

⁶⁸De los Reyes v. Rodriguez, *supra*.

⁶⁹See Sec. 8.16, *supra*.

⁷⁰Gafor v. Commission on Elections, G.R. No. 52365, January 22, 1980, 95 SCRA 431.

⁷¹Teason v. Commission on Elections, G.R. No. 52451, March 31, 1981, 103 SCRA 671; Santos v. Commission on Elections, G.R. No. 52390, March 31, 1981, 103 SCRA 628; Sanchez v. Del Rosario, G.R. No. 16678, April 26, 1961, 1 SCRA 1102.

continuance of his incumbency, he may be ousted from office.⁷² For instance, a person who, claiming to be a lawyer, is appointed judge will be ousted from such position upon discovery that he is in fact not a lawyer;⁷³ and a judge will be removed from office upon his disbarment as a lawyer, since, remaining a lawyer of good standing is an indispensable qualification for the office of a judge.⁷⁴

8.18. Statutes relating to assessment of taxes.

It is a general rule that the provisions of a statute relating to the assessment of taxes, which are intended for the security of the citizens, or to insure the equality of taxation, or for certainty as to the nature and amount of each other's tax, are mandatory, but those designed merely for the information or direction of officers or to secure methodical and systematic modes of proceedings are merely directory. In other words, when the laws are intended for the protection of the citizens and to prevent a sacrifice of their property, and a disregard of which their rights might be, and generally would be, injuriously affected, they are not directory but mandatory. In the majority of jurisdictions, statutes requiring the assessor to notify the taxpayer of the assessment on his property within a prescribed period is held to be mandatory, so that the assessor cannot make a valid assessment unless he has given proper notice.⁷⁵

8.19. Statutes concerning public auction sale.

Statutes authorizing public auction sale of properties and prescribing the procedure to be followed are in derogation of property rights and due process, and are construed, with respect to the prescribed procedure, to be mandatory. The prescribed steps must be followed strictly; otherwise, the sale at public auction shall be void.⁷⁶

⁷²Aguila v. Genato, G.R. No. 55151, March 17, 1981, 103 SCRA 380.

⁷³In re Paraguanas, G.R. Adm. Matter, July 6, 1976, 72 SCRA 11.

⁷⁴Viojan v. Duran, 114 Phil. 322 (1962).

⁷⁵Roxas v. Rafferty, 37 Phil. 957 (1918).

⁷⁶Ramos v. Villaverde, 88 Phil. 651 (1951).

C. DIRECTORY STATUTES

8.20. Statutes prescribing guidance for officers.

There are statutory requisitions intended for guidance of officers in the conduct of business devolved upon them which do not limit their power or render its exercise in disregard of the requisitions ineffectual. Such generally are regulations designed to secure order, system and dispatch in proceedings, and by a disregard of which the rights of parties interested may not be injuriously affected. Provisions of this character are not usually regarded as mandatory, unless accompanied by negative words importing that the acts required shall not be done in any other manner or time than that designated.⁷⁷

8.21. Statutes prescribing manner of judicial action.

Statutes prescribing the requirements as to the manner of judicial action that judges should follow in the discharge of their functions are, as a rule, merely directory. It should not be assumed in the absence of specific language to the contrary that the legislature intended that the right of parties should be seriously affected by the failure of a court or some officer to comply strictly with the statutory requirements of official action. The legislature often enacts statutes for the purpose of providing an orderly procedure for the conduct of public business, but procedure is secondary in importance to substantive right, and the non-observance of such procedure should never be permitted to affect substantive right, unless the intention of the legislature is clearly expressed. The direction is as to a matter which is not of the essence of the thing to be done, and if there is nothing to suggest that the legislature intended that strict compliance therewith should be essential to the validity of a decision, the decision thus rendered is valid. It is universally held that statutes of this nature are merely directory, and non-compliance therewith is not necessary to the validity of the proceedings.⁷⁸

⁷⁷*Lyron v. Alley*, 32 L. ed. 899 (1889).

⁷⁸*Ocampo v. Cabangis*, 15 Phil. 626 (1910); *Fuentes v. Director of Prisons*, 46 Phil. 22 (1924).

8.22. Statutes requiring rendition of decision within prescribed period.

The Constitution provides that the maximum period within which a case or matter shall be decided or resolved from the date of its submission, shall be twenty-four months for the Supreme Court, and, unless reduced by the Supreme Court, twelve months for lower collegiate courts, and three months for all other lower courts.⁷⁹ Each Constitutional Commission shall decide any case brought before it within sixty days from the date of its submission for resolution.⁸⁰

The foregoing constitutional provisions prescribe the various periods within which judgment should be rendered from date of submission of the case for resolution. Prior to the adoption of the Constitution, statutes also prescribed certain periods within which the courts or tribunals should decide the cases brought before them. Are these provisions mandatory? Will the court or tribunal lose jurisdiction after the prescribed period shall have lapsed without having decided the case? Will a decision rendered after the prescribed period be null and void?

Before the Constitution took effect, the prevailing rule is "that legal provisions prescribing the period within which a decision should be rendered are directory, not mandatory in nature — in the sense that a judgment promulgated after the expiration of said period is not null and void, although the officer who failed to comply with the law may be dealt with administratively in consequence of his delay — unless the intention to the contrary is manifest." "Where a statute specifies the time at or within which an act is to be done by a public officer or body, it is generally held to be directory only as to the time, and not mandatory, unless time is of the essence of the thing to be done, or the language of the statute contains negative words, or shows that the designation of the time was intended as a limitation of power, authority or right."⁸¹

The question as to whether time provision is mandatory or directory is one of legislative intent. If by the terms of the statute or by necessary implication the judge or public official loses jurisdiction to resolve the case after the prescribed period and any judgment thus rendered is null and void for want of jurisdiction, then the

⁷⁹Sec. 16(1), Art. VIII, 1987 Constitution.

⁸⁰Sec. 7, Art. IX(A), 1987 Constitution.

⁸¹*Phil. Association of Free Labor Unions v. Secretary of Labor*, G.R. No. 22228, February 27, 1969, 27 SCRA 40, 48-49; *Tanseco v. Arceche*, 57 Phil. 227 (1932).

statute is mandatory.⁸² The better rule is that where a construction of a time provision as mandatory will cause great injury to persons not at fault or result in a miscarriage of justice, such consequence should be avoided by construing the statute as directory, for reasons of fairness, justice and fair play require such construction.⁸³

It has been held that a statute requiring rendition of judgment within a specified time is generally construed to be merely directory, so that non-compliance with them does not invalidate the judgment on the theory that if the statute had intended such result, it would have clearly indicated it. The difference between a mandatory and a directory provision is often made on grounds of expediency, the reasons being that less injury results to the general public by disregarding than enforcing the letter of the law and that judges would otherwise abstain from rendering decisions after the period to render them had lapsed because they lacked jurisdiction to do so.⁸⁴

*Querubin v. Court of Appeals*⁸⁵ is a case in point. This case involves a petition challenging the jurisdiction of the Court of Appeals from continuing to decide an election case because the required period to resolve it has expired. The statute involved provides that appeals in election cases "shall be decided within three months after the filing of the case in the office of the clerk of court." The court, construing this provision, ruled that while its purpose is to impress the need for speedy disposal of election contests, as imperatively demanded by public interests, it is merely directory in nature. "To dismiss an election contest or the appeal taken therein because the respective courts, regardless of cause or reason, have failed to render final decisions within the time limits of said actions is to defeat the administration of justice upon factors beyond the control of the parties. That would defeat the purpose of the due process of law and would make of the administration of justice in election contests an aleatory process where the litigants, irrespective of the merits of their respective claims, will be gambling for a deadline. The dismissal in such cases will constitute a miscarriage of justice. The speedy trial required by the law would be turned into a denial of

justice."⁸⁶ Conformably with the foregoing principle, it has been held that the failure of judges to comply with the injunction that they decide cases within the prescribed period from submission merely deprives them of their right to collect their salaries or to apply for leaves, but does not deprive them of the jurisdiction to act on the cases pending before them.⁸⁷

However, while the period fixed by law to resolve a case is merely directory, it cannot be disregarded or ignored completely, with absolute immunity. It cannot be assumed that the law has included a provision that is deliberately intended to become meaningless and to be treated as a dead letter.⁸⁸

8.23. Constitutional time provision directory.

Does the Constitution alter the general rule and render time provision to decide mandatory? Is a decision rendered beyond the period prescribed in the Constitution — twenty-four months for the Supreme Court, twelve months for lower collegiate courts, and three months for other lower courts — null and void? The Supreme Court in *Marcelino v. Cruz*⁸⁹ gave negative answers to these questions. Said the Court:

"To date, no authoritative interpretation of the above-quoted provision has been rendered by this Court. Thus, in approaching this novel question, We now tread upon what Mr. Coolly characterizes as 'very dangerous ground when they (referring to courts) venture to apply rules which distinguish directory and mandatory statutes to the provisions of a constitution.'

In *Trapp v. McCormick*, a case calling for the interpretation of a statute containing a limitation of thirty (30) days within which a decree may be entered without the consent of counsel, it has been held that 'the statutory provisions which may be thus departed from with impunity, without affecting the validity of statutory proceedings, are usually those which relate to the mode or time of doing that which is essential to effect the aim and purpose of the legislature or some incident of

⁸²See *Portillo v. Salvanti*, 54 Phil. 543 (1930), which was subsequently overruled in *Querubin v. Court of Appeals*, 82 Phil. 226 (1948).

⁸³*Marcelino v. Cruz*, G.R. No. 42428, March 18, 1983; *Querubin v. Court of Appeals*, 82 Phil. 226 (1948).

⁸⁴*Romualdez-Marcos v. COMELEC*, 64 SCAD 358, 248 SCRA 300 (1995).

⁸⁵82 Phil. 226 (1948).

⁸⁶*Ibid.*, at pp. 229-230.

⁸⁷*Dimson v. Elepiano*, 99 Phil. 733 (1956).

⁸⁸*Tatad v. Sandiganbayan*, 159 SCRA 70 (1988).

⁸⁹G.R. No. 42428, March 18, 1983, 121 SCRA 51.

the essential act.' Thus, in said case, the statute under examination was construed merely to be directory.

On this view, authorities are one in saying that... 'Statutes requiring the rendition of judgment forthwith or immediately after the trial or verdict have been held by some courts to be merely directory so that non-compliance with them does not invalidate the judgment, on the theory that if the statute had intended such result it would clearly have indicated it.' x x x

Such construction applies equally to the constitutional provision under consideration. In *McKell v. School Dis. of Philadelphia*, it was ruled that 'the legal distinction between directory and mandatory laws is applicable to fundamental as it is to statutory laws.'

To Our mind, the phraseology of the provision in question indicates that it falls within the exception rather than the general rule. By the phrase 'unless reduced by the Supreme Court,' it is evident that the period prescribed therein is subject to modification by this Court in accordance with its prerogative under Section 5(5) of Article X of the New Constitution to 'promulgate rules concerning pleading, practice and procedure in all courts x x x.' And there can be no doubt that said provision having been incorporated for reasons of expediency, relates merely to matters of procedure. *Albermarle Oil & Gas Co. v. Morris* declares that constitutional provisions are directory and not mandatory, where they refer to matters merely procedural.

In practice, we have assumed a liberal stand with respect to this provision. This Court had at various times, upon proper application and for meritorious reasons, allowed judges of inferior courts additional time beyond the three-month period within which to decide cases submitted to them. The reason is that a departure from said provision would result in less injury to the general public than would its strict application. To hold that non-compliance by the courts with the aforesaid provision would result in loss of jurisdiction, would make the courts, through, which conflicts are resolved, the very instruments to foster unresolved causes by reason merely of having failed to render a decision within the allowed term. Such an absurd situation could not have been intended by the framers of our fundamental law.

As foreseen by Mr. Henry Campbell Black in his *Construction and Interpretation of the Laws*, the constitutional provision in question should be held merely as directory. 'Thus, where the contrary construction would lead to absurd, impossible or mischievous consequences, it should not be followed.'

One last point. Notwithstanding our conclusions that courts are not divested of their jurisdiction for failure to decide a case within the ninety-day period, We here emphasize the rule, for the guidance of the judges manning our courts, that cases pending before their *salas* must be decided within the aforementioned period. Failure to observe said rule constitutes a ground for administrative sanction against the defaulting judge. In fact, a certification to this effect is required before judges are allowed to draw their salaries.⁹⁰

⁹⁰*Ibid.*, at pp. 56-58.

new duty, or attaches a new disability in respect of transactions or considerations already past.⁴

Chapter IX

PROSPECTIVE AND RETROACTIVE STATUTES

A. IN GENERAL

9.01. Prospective and retroactive statutes, defined.

According to their application, statutes may be prospective or retroactive. A prospective statute is one which operates upon facts or transactions that occur after the statute takes effect, one that looks and applies to the future.¹ A retroactive law is a law which creates a new obligation, imposes a new duty or attaches a new disability in respect to a transaction already past. However, a statute is not made retroactive because it draws on antecedent facts for its operation, or in other words, part of the requirements for its action and application is drawn from a time antedating its passage.²

For instance, a law may be made operative partly on facts that occurred prior to the effectivity of such law without being retroactive, such as Republic Act No. 7167 granting increased personal exemptions from income tax to be available thenceforth, that is, after said Act became effective and on or before the deadline for filing income tax returns, with respect to compensation income earned or received during the calendar year prior to the date the law took effect.³ Another definition states: "A retroactive law, in a legal sense, is one which takes away or impairs vested rights acquired under existing laws, or creates a new obligation and imposes a

9.02. Laws operate prospectively, generally.

It is a well-settled rule of statutory construction that statutes are to be construed as having only prospective operation, unless the intentment of the legislature to give them a retroactive effect is expressly declared or is necessarily implied from the language used.⁴ It has been held that a "sound canon of statutory construction is that a statute operates prospectively, unless the legislative intent to the contrary is made manifest either by the express terms of the statute or by necessary implication." "Putting the rule more strongly, a statute ought not to receive a construction making it retroactive, unless the words are so clear, strong, and imperative that no other meaning can be annexed to them, or unless the intention of the legislature cannot be otherwise satisfied. No court will hold a statute to be retroactive when the legislature has not said so." This has been the consistent rule.⁵

The rule that laws operate prospectively and not retroactively, unless the intention to the contrary appears, is embodied in Article 4 of the Civil Code. Said article provides that "laws shall have no retroactive effect, unless the contrary is provided." The rule is expressed in the maxim: *Lex prospectit, non respicit*, or the law looks forward, not backward; and *lex de futuro, juxta de praeterito*, or the law provides for the future, the judge for the past.⁶ The fact that the law is silent as to the date of its application and that it is couched in the past tense does not necessarily imply that it should have retroactive effect. A statute, despite the generality in its language, must not be so construed as to overreach acts, events or matters which transpired before its passage.⁷ Thus, the provision of Sec. 400(h) of the Local Government Code disqualifying those removed

¹Lacoste v. Santos, 56 Phil. 472 (1932); Lopez v. Cow, 40 Phil. 997 (1919).

²Camacho v. Court of Industrial Relations, 80 Phil. 848 (1948); Magno v. Bautista, 83 Phil. 967 (1949).

³Umali v. Estanislao, 209 SCRA 446 (1992).

⁴Castro v. Segales, 94 Phil. 208, 210 (1935), citing 50 Am. Jur. 505.

⁵Montilla v. Agustina Corp., 24 Phil. 220 (1913); Segovia v. Noel, 47 Phil. 543 (1925); Iburan v. Labes, 87 Phil. 234 (1950); Napiza v. Miliño, 100 Phil. 254 (1956); De Garcia v. San Jose, 94 Phil. 623 (1954); Nepomuceno v. Ocampo, 95 Phil. 292 (1954); Universal Corn Products, Inc. v. Rice and Corn Board, G.R. No. 21013, August 17, 1967, 20 SCRA 1048; Nilo v. Court of Appeals, G.R. No. 34586, April 2, 1984.

⁶Segovia v. Noel, *supra*.

⁷Universal Corn Products, Inc. v. Rice and Corn Board, *supra*.

⁸Lacoste v. Santos, 56 Phil. 472 (1932).

⁹Grego v. COMELEC, 83 SCAD 923, 274 SCRA 481 (1997), citing R.E. Agpalo, *Statutory Construction*, 254 (2nd ed., 1990).

from office as a result of an administrative case from running for local elective positions cannot be applied retroactively to disqualify a person who was administratively removed from his position prior to the effectivity of said Code from thereafter running for an elective position.¹⁰

The reason for the general rule, as embodied in Article 4 of the Civil Code, is that a law is a rule established to guide actions with no binding effect until it is enacted; hence, it has no application to past but only to future times. This is why it is said that the law looks to the future only, and has no retroactive effect unless the legislature may have formally given that effect to the law.¹¹ *Nova constitutio futuris formam imponere debet non praeteritis*. A new statute should affect the future, not the past.

The principle of prospectivity applies to statutes, administrative rulings and circulars and judicial decisions. In *Co v. Court of Appeals*,¹² the Court cited instances applying the principle of prospectivity, thus:

"The principle of prospectivity of statutes, original or amendatory, has been applied in many cases. These include: *Buycor v. PNB*, 2 SCRA 682 (June 30, 1961), holding that Republic Act No. 1576 which divested the Philippine National Bank of authority to accept back pay certificates in payment of loans, does not apply to an offer of payment made before effectivity of the act; *Largado v. Masaganda, et al.*, 5 SCRA 522 (June 30, 1962), ruling that R.A. No. 2613, as amended by R.A. No. 3090 on June, 1991, granting inferior courts jurisdiction over guardianship cases, could not be given retroactive effect, in the absence of a saving clause; *Larga v. Ranaña, Jr.*, 64 SCRA 18, to the effect that Sections 9 and 10 of Executive Order No. 90, amending Section 4 of P.D. No. 1752, could have no retroactive application; *People v. Que Po Lay*, 94 Phil. 640, holding that a person cannot be convicted of violating Circular No. 20 of the Central Bank, when the alleged violation occurred before publication of the Circular in the Official Gazette; *Ballazar v.*

Court of Appeals, 104 SCRA 619, denying retroactive application to P.D. No. 27 decreeing the emancipation of tenants from the bondage of the soil, and P.D. No. 316, prohibiting ejectment of tenants from rice and corn farmholdings, pending the promulgation of rules and regulations implementing P.D. No. 27; *Nilo v. Court of Appeals*, 128 SCRA 519, adjudging that R.A. No. 6389 which removed 'personal cultivation' as a ground for the ejectment of a tenant cannot be given retroactive effect in the absence of a statutory statement for retroactivity; *Tac-An v. Court of Appeals*, 129 SCRA 319, ruling that the repeal of the old Administrative Code by R.A. No. 4252 could not be accorded retroactive effect; *Ballardo v. Borromeo*, 161 SCRA 500, holding that R.A. No. 6389 should have only prospective application (see also *Bonifacio v. Dizon*, 177 SCRA 294 and *Balabat v. Court of Appeals*, 205 SCRA 419).

The prospectivity principle has also been made to apply to administrative rulings and circulars, to wit: *ABS-CBN Broadcasting Corporation v. CTA*, October 12, 1981, 108 SCRA 142, holding that a circular or ruling of the Commissioner of Internal Revenue may not be given retroactive effect adversely to a taxpayer; *Sanchez v. COMELEC*, 193 SCRA 317, ruling that Resolution No. 90-0590 of the Commission on Elections, which directed the holding of recall proceedings, had no retroactive application; *Romualdez v. CSC*, 197 SCRA 168, where it was ruled that CSC Memorandum Circular No. 29, s. 1989 cannot be given retrospective effect so as to entitle to permanent appointment an employee whose temporary appointment had expired before the Circular was issued.

The principle of prospectivity has also been applied to judicial decisions which, although in themselves not laws, are nevertheless evidence of what the laws mean, (this being) the reason why under Article 8 of the New Civil Code, judicial decisions applying or interpreting the laws or the Constitution shall form a part of the legal system.¹³

9.03. Presumption against retroactivity.

It is settled that the question of whether a statute operates retroactively or only prospectively depends upon legislative intent.

¹⁰Grego v. COMELEC, *supra*, citing R.E. Agpalo, *Statutory Construction*, 254 (2nd ed., 1990).

¹¹Lopez v. Cow, 40 Phil. 997 (1919); *Nilo v. Court of Appeals*, G.R. No. 34586, April 2, 1984; *Boisbot v. Court of Appeals*, 205 SCRA 419 (1992).

¹²45 SCAD 538, 227 SCRA 444 (1993).

¹³*Ibid.*, pp. 448-450.

The presumption is that all laws operate prospectively, unless the contrary clearly appears or is clearly, plainly and unequivocally expressed or necessarily implied.¹⁴ In every case of doubt, the doubt will be resolved against the retroactive operation of laws.¹⁵ Hence, where a statute is susceptible of a construction other than that of retroactivity,¹⁶ or where a retroactive application will render the law unconstitutional, the statute will be given a prospective effect and operation.¹⁷ The presumption applies whether the statute is in the form of an original enactment, an amendment, or a repeal.¹⁸

The presumption against the retroactive operation of statutes is stronger with reference to substantive laws affecting pending actions or proceedings. It has accordingly been held that, unless the contrary clearly appears, no substantive statute shall be so construed retroactively as to affect pending litigations.¹⁹

9.04. Words or phrases indicating prospectivity.

Apart from the presumption that laws operate prospectively, the legislature sometimes indicates its intent not to give a statute a retroactive effect on past or pending actions, matters or transactions. Where by its terms a statute is to apply "hereafter," or "hereafter," or is to take effect immediately or at a fixed future date, or where a statute contains, in the enacting clause, the phrase "from and after the passing of this Act," or employs such words as "shall have been made" or "from and after" a designated date, the statute is prospective in operation only.²⁰ The word "shall" in a statute implies that the lawmakers intend the enactment to be effective only in future.²¹ Where a statute provides that it "shall take effect upon

its approval,"²² or on the date the President shall have issued a proclamation or executive order, as provided in the statute, it shows that the statute should have no retroactive but prospective effect.²³

9.05. Retroactive statutes, generally.

The Constitution does not prohibit the enactment of retroactive statutes which do not impair the obligations of contract, deprive persons of property without due process of law, or divest rights that have become vested,²⁴ or which are not in the nature of *ex post facto* laws.²⁵ However, since the general rule is that laws operate prospectively, unless otherwise provided, whether a statute will be construed as having a retroactive effect is a question of legislative intent.²⁶ Some statutes are, by their nature, intended to be retroactive, such as remedial or curative statutes²⁷ as well as statutes which create new rights.²⁸ Where a statute expressly provides that it shall apply retroactively, or where it uses words which clearly indicate such intent, the problem of statutory construction is not whether it will be construed to operate retroactively as the clear language of the law leaves no doubt as to what it says, but whether the statute as applied retroactively violates any of the constitutional restrictions.²⁹ If it does, then the statute will not be applied or construed retroactively, so as to avoid a frontal clash with the Constitution and save the law from being declared unconstitutional.³⁰

¹⁴*Iburan v. Labes*, 87 Phil. 234 (1950); *People v. Zeta*, 98 Phil. 143 (1955); *Castro v. Collector of Internal Revenue*, G.R. No. 12174, December 28, 1962, 6 SCRA 886; *Commissioner v. Lingayen Gulf Electric Power Co., Inc.*, 164 SCRA 27 (1988).

¹⁵*Montilla v. Agustina Corp.*, 24 Phil. 220 (1913); *Cebu Portland Cement Co. v. Collector of Internal Revenue*, G.R. No. 20563, October 29, 1968, 25 SCRA 789 (1968).

¹⁶*Anderbilt v. Atlantic Coast Line, R. Co.*, 126 S.E. 387, 52 ALR 267 (1924).

¹⁷*Farmers National Bank & Trust Co. v. Berks Country Real Estate*, 5 A2d 94, 121 ALR 905 (1935).

¹⁸*Commissioner of Internal Revenue v. Filipinas Compania de Seguros*, 107 Phil. 1065 (1960); *Lorenzo v. Posadas*, 64 Phil. 353 (1937).

¹⁹*Iburan v. Labes*, *supra*.

²⁰*Iburan v. Labes*, *supra*; *Co v. Collector of Internal Revenue*, 100 Phil. 464 (1956).

²¹*Cebu Portland Cement Co. v. Collector of Internal Revenue*, G.R. No. 20563, October 29, 1968, 25 SCRA 789 (1968).

²²*Commissioner of Internal Revenue v. Filipinas Compania de Seguros*, 107 Phil. 1065 (1960).

²³*Iburan v. Labes*, *supra*.

²⁴*Isaac v. Tan Chuan Leong*, 89 Phil. 24 (1951); *Francisco v. Certiza*, G.R. No. 16849, November 29, 1961, 3 SCRA 565.

²⁵See Sec. 9.97, *infra*.

²⁶See Sec. 9.02, *infra*.

²⁷See Secs. 9.17, *et seq.*, *infra*.

²⁸*Privaldo v. Comelec*, 71 SCAD 413, 257 SCRA 727 (1996).

²⁹*Santos v. Alvarez*, 78 Phil. 503 (1947); *Radia v. Review Committee*, 159 SCRA 749 (1988).

³⁰*Farmers National Bank & Trust Co. v. Berks Country Real Estate*, *supra*; *People v. Zeta*, 98 Phil. 143 (1955).

B. STATUTES GIVEN PROSPECTIVE EFFECT

9.06. Penal statutes, generally.

As a general rule, penal laws or those laws which define offenses and prescribe penalties for their violation operate prospectively.³¹ Article 21 of the Revised Penal Code provides that "no felony shall be punishable by any penalty not prescribed by law prior to its commission." This provision is a recognition of the universally accepted rule that no penal law can have a retroactive effect, which means that no act or omission shall be held to be a crime, nor its author punished, except by virtue of a law in force at the time the act was committed.³² It is based on the well-known legal maxim, *nullum crimen sine poena, nulla poena sine legis*, or there is no crime without a penalty, and there is no penalty without a law.

9.07. *Ex post facto* law.

The Constitution provides that no *ex post facto* law shall be enacted.³³ This constitutional provision prohibits the retroactive application of penal laws which are in the nature of *ex post facto* laws. An *ex post facto* law is any of the following: (1) a law which makes criminal an act done before the passage of the law and which was innocent when done, and punishes such act; (2) a law which aggravates a crime, or makes it greater than it was, when committed; (3) a law which changes the punishment and inflicts a greater punishment than that annexed to the crime when committed; (4) a law which alters the legal rules of evidence, and authorizes conviction upon less or different testimony than the law required at the time of the commission of the offense; (5) a law which assumes to regulate civil rights and remedies only, but in effect imposes penalty or deprivation of a right for something which when done was lawful; and (6) a law which deprives a person accused of a crime of some lawful protection to which he has become entitled, such as protection of a former conviction or acquittal, or a proclamation of amnesty.³⁴

The test as to whether the *ex post facto* clause of the Constitution is violated is: Does the law sought to be applied retroactively take from an accused any right that was regarded at the time as vital for the protection of life and liberty? If so, the law may be regarded as *ex post facto* law.³⁵

The prohibition against *ex post facto* law is limited in scope and applies only to criminal or penal matters, and not to laws which concern civil proceedings generally, or which affect or regulate civil or private rights or political privilege.³⁶ Explains the court in a case: "The act in question is not an *ex post facto* law, as it is not penal in its nature. It has long been settled that the phrase '*ex post facto* laws' is not applicable to civil laws, but to penal and criminal laws which punish a party for acts antecedently done which were not punishable at all, or not punishable to the extent or in the manner prescribed. In short *ex post facto* laws relate to penal and criminal proceedings, which impose punishment or forfeitures, and not to civil proceedings, which affect private rights retroactively."³⁷ Hence, retroactive laws, which are not criminal in nature, do not violate the prohibition against *ex post facto* laws and may not be held invalid unless obnoxious or on other constitutional grounds.³⁸ For instance, the law which provides that "as of the date of the effectivity of this decree, any case cognizable by the *Sandiganbayan* within its exclusive jurisdiction where none of the accused has been arraigned shall be transferred to the *Sandiganbayan*" is not an *ex post facto* law because it is not a penal statute nor dilutes the right of appeal of the accused.³⁹

9.08. Bill of attainder.

The Constitution provides that no bill of attainder shall be enacted.⁴⁰ A bill of attainder is a legislative act which inflicts punishment without judicial trial. Its essence is the substitution of a legislative for a judicial determination of guilt. The constitutional

³¹People v. Moran, 44 Phil. 387 (1923).

³²U.S. v. Macaset, 11 Phil. 447 (1908); People v. Moran, *supra*.

³³Art. III, Sec. 22, 1987 Constitution.

³⁴*In re Kay Villegas Kami, Inc.*, G.R. No. 32485, October 22, 1970, 35 SCRA 429; Tolentino v. Angeles, 99 Phil. 309 (1956); Nuñez v. Sandiganbayan, G.R. No. 50581, January 30, 1982, 111 SCRA 433 (1982); Meja v. Pamaran, 160 SCRA 457 (1988).

³⁵Nuñez v. Sandiganbayan, *supra*.

³⁶Santos v. Commission on Elections, G.R. No. 52390, March 31, 1981, 103 SCRA 628; Geronimo v. Commission on Elections, G.R. No. 52413, September 26, 1981, 107 SCRA 614.

³⁷Concepcion v. Garcia, 54 Phil. 81, 83-84 (1929).

³⁸Republic v. Fernandez, 99 Phil. 934 (1956); *In re Kay Villegas Kami, Inc.*, *supra*.

³⁹Alvia v. Sandiganbayan, 137 SCRA 63 (1985).

⁴⁰Art. III, Sec. 22, 1987 Constitution.

bar against bills of attainder serves to implement the principle of separation of powers by confining the legislature to rule-making and thereby forestalling legislative usurpation of judicial functions. History in perspective, bills of attainder were employed to suppress unpopular causes and political minorities, and it is against this evil that the constitutional prohibition is directed. The singling out of a definite minority, the imposition of a burden on it, a legislative intent, and the retroactive application to past conduct suffice to stigmatize a statute as a bill of attainder. The requirement that the law must apply retroactively and reach past conduct follows from the nature of a bill of attainder as a legislative adjudication of guilt. Thus, a bill of attainder is doubly objectionable because of its *ex post facto* features. This is the historic explanation for uniting the two mischiefs in one clause — "no *ex post facto* law or bill of attainder shall be enacted." Accordingly, if a statute is a bill of attainder, it is also an *ex post facto* law. But if it is not an *ex post facto* law, the reasons that establish that it is not, are persuasive that it is not a bill of attainder.⁴¹

9.09. When penal laws applied retroactively.

It is a well-settled principle that penal laws cannot be given retroactive effect, except when they are favorable to the accused.⁴² Article 22 of the Revised Penal Code provides that "[p]enal laws shall have a retroactive effect insofar as they favor the person guilty of a felony, who is not a habitual criminal, as this term is defined in Rule 5 of Article 62 of this Code, although at the time of the application of such laws a final sentence has been pronounced and the convict is serving the same."⁴³ This class of penal laws does not fall under the term *ex post facto* law, the enactment of which is prohibited by the Constitution.⁴⁴ The provision authorizing the retroactive application of penal laws favorable to the accused is one of the exceptions to the general rule that all laws operate prospectively.⁴⁵

The rule that penal laws which are favorable to the accused are given retroactive effect is founded on the very principles on which

the right of the state to punish and impose penalty is based, and regards it not as an exception based on political considerations, but as a rule founded on principles of justice.⁴⁶ "Conscience and good law justify this exception, which is contained in the well-known aphorism: *Favorabilia sunt amplianda, adiose restringenda*. As one distinguished author put it, the exception was inspired by sentiments of humanity, and accepted by science."⁴⁷

The assumption of the rule is that there are two laws affecting the liability of the accused: one in force at the time of the commission of the crime, and the other enacted during or after the trial of the criminal action. If during the pendency of the criminal action, a statute is passed reducing the degree of penalty that may be imposed, eliminating the offense itself, removing subsidiary imprisonment in case of insolvency to pay the civil liability,⁴⁸ prescribing grounds for mitigation or extinction of criminal liability,⁴⁹ or for prescription of the offense,⁵⁰ such statute if favorable to the accused will be applied retroactively, and the trial court before the finality of judgment or the appellate court on appeal from such judgment should take such statute into consideration. However, where there is already a final judgment and the accused is serving sentence, the remedy of the accused is to file a petition for habeas corpus, alleging that his continued imprisonment is illegal pursuant to said statute and praying that he be forthwith released.⁵¹

The rule that penal laws favorable to the accused shall have retroactive effect admits of exceptions. The rule does not apply where the accused is a habitual delinquent,⁵² where the later statute expressly provides that it shall not apply to existing actions or pending cases,⁵³ or where the accused disregards the later law and invokes the prior statute under which he was prosecuted.⁵⁴ In these instances, the penal law favorable to the accused is not applied retroactively but prospectively.

⁴¹People v. Ferrer, G.R. No. 32613, December 27, 1972, 48 SCRA 382; Montenegro v. Castañeda, 91 Phil. 882 (1952).

⁴²U.S. v. Macasaet, 11 Phil. 447 (1908); People v. Alcaraz, 50 Phil. 520 (1932).

⁴³Escalante v. Santos, 56 Phil. 483 (1932); see also Art. 366 of the Revised Penal Code.

⁴⁴People v. Moran, 44 Phil. 387 (1923).

⁴⁵Lacoste v. Santos, 56 Phil. 472 (1932).

⁴⁶People v. Moran, 44 Phil. 387 (1923).

⁴⁷Lacoste v. Santos, 56 Phil. 472, 475 (1932).

⁴⁸People v. Subido, G.R. No. 21734, September 5, 1975, 66 SCRA 545.

⁴⁹Lacoste v. Santos, *supra*.

⁵⁰People v. Moran, *supra*.

⁵¹Director v. Director of Prisons, 56 Phil. 692 (1932).

⁵²Art. 22, Revised Penal Code; People v. Alcaraz, 56 Phil. 520 (1932).

⁵³Tavera v. Valdez, 1 Phil. 468 (1902); People v. Moran, 44 Phil. 387 (1923).

⁵⁴Ferrer v. Peason, 92 Phil. 172 (1952).

The general rule that an amendatory statute rendering an illegal act prior to its enactment no longer illegal is given retroactive effect does not apply if the amendatory statute expressly provides that it shall not apply retroactively but only prospectively from and after a specific date. In such instance, courts cannot give the amendatory statute retroactive effect.⁵⁵

9.10. Statutes substantive in nature.

A substantive law is a law which creates, defines or regulates rights concerning life, liberty or property, or the powers of agencies or instrumentalities for the administration of public affairs.⁵⁶ Substantive law creates substantive right, and the two terms in this respect are said to be synonymous. The term "substantive right" is one which includes those rights which one enjoys under the legal system prior to the disturbance of normal relations. Substantive law is that part of the law which creates, defines, and regulates rights, or which regulates rights and duties which give rise to a cause of action, as opposed to adjective or remedial law, which prescribes the method of enforcing rights or obtains redress for their invasion; that part of the law which courts are established to administer.⁵⁷ As applied to criminal law, substantive law is that which declares what acts are crimes and prescribes the punishment for committing them.⁵⁸

By its very nature and essence, substantive law operates prospectively.⁵⁹ A substantive law may not be construed retroactively without somehow affecting previous or past rights or obligations; hence, it should be given a strict and prospective construction, in the absence of clear, plain, and unambiguous intent to the contrary.⁶⁰ Thus, in the absence of a contrary intent, a statute which lays down certain requirements to be complied with before a case can be brought to court,⁶¹ or freezes the amount of monthly rentals for residential

houses during a fixed period⁶² will not be given retroactive operation, such statute being substantive in character.

Where the Comprehensive Land Reform Law granting complainants tenancy rights to fishponds and pursuant to which they filed actions to assert such rights was subsequently amended to exempt fishponds from coverage of the statute, the amendatory law is substantive in nature as it exempts fishponds from its coverage; hence, in the absence of contrary legislative intent, the subsequent law should not be given retroactive effect as to affect the rights of the claimants whose actions are pending at the time the exempting law was enacted. It should be given a prospective operation and may not affect rights claimed under the previous law.⁶³

Whether a rule is procedural or substantive, the test is whether the rule really regulates procedure, that is, the judicial process for enforcing rights and duties recognized by substantive law and for justly administering remedy and redress for a disregard or infraction of them. If it takes away vested right, it is not procedural. If the rule creates right such as the right to appeal, it is substantive; but if it operates as a means of implementing an existing right then the rule deals merely with procedure.⁶⁴ Where to prosecute an appeal or transferring the venue of appeal is procedural, such as decreeing that appeals from decisions of the Ombudsman in administrative actions be made to the Court of Appeals⁶⁵ or requiring that appeals from decisions of the NLRC be filed with the Court of Appeals.⁶⁶ Generally, procedural rules are retroactive and are applicable to actions pending and undermined at the time of the passage of the procedural law,⁶⁷ while substantive laws are prospective.

9.11. Effects on pending actions.

A statute which affects substantive rights and not merely procedural matters may not be given retroactive operation so as to govern pending proceedings, in the absence of a clear legislative intent to the contrary.⁶⁸ Thus, where a court originally obtains and exercises jurisdiction over certain actions in accordance with

⁵⁵*Larga v. Rañada*, 164 SCRA 18 (1988).

⁵⁶*Primicias v. Ocampo*, 93 Phil. 446 (1953).

⁵⁷*Bustos v. Lucero*, 81 Phil. 648 (1948); *First Lepanto Ceramics, Inc. v. Court of Appeals*, 49 SCAD 405, 231 SCRA 30 (1994).

⁵⁸*Bustos v. Lucero*, *supra*; *Aguino v. Military Commission No. 2*, G.R. No. 37364, May 9, 1975, 63 SCRA 546.

⁵⁹*Tolentino v. Alzate*, 98 Phil. 781 (1956).

⁶⁰*Espiritu v. Cipriano*, G.R. No. 32743, February 15, 1974, 55 SCRA 533.

⁶¹*Tolentino v. Alzate*, *supra*.

⁶²*Espiritu v. Cipriano*, *supra*.

⁶³*Spouses Throna v. Alejo*, G.R. No. 129313, October 10, 2001.

⁶⁴*Fabian v. Desierto*, 98 SCAD 414, 295 SCRA 470 (1998).

⁶⁵*Id.*

⁶⁶*Martin Funeral Houses v. NLRC*, 98 SCAD 435, 295 SCRA 494 (1998).

⁶⁷*Ruiz v. CA*, 108 SCAD 832, 303 SCRA 637 (1999).

⁶⁸*Republic v. Santa*, G.R. No. 17569, May 31, 1963, 8 SCRA 533.

the existing law on the subject, a later statute restricting such jurisdiction or transferring it to another tribunal will not be so construed as to affect the pending action, unless the statute itself so provides or unless express prohibitory words are used.⁶⁹ Conversely, where a court has no jurisdiction over a certain case but nevertheless decides it, from which appeal is taken, a statute enacted during the pendency of the appeal vesting jurisdiction upon such trial court over the subject matter or such case may not be given retroactive effect so as to validate the judgment of the court *a quo*, in the absence of a saving clause.⁷⁰ Where a complaint pending in court is defective because it did not allege sufficient cause of action, it may not be validated by a subsequent law which affects substantive rights and not merely procedural matters.⁷¹

The rule against the retroactive operation of statutes in general applies more strongly with respect to substantive laws that affect pending actions or proceedings. Unless the contrary clearly and plainly appears and only when no vested rights are impaired, statutes which are substantive in character are presumed intended not to be applicable to pending cases and proceedings.⁷²

Thus, a law which abolished personal cultivation by a landowner as a ground to dispossess a tenant from his landholding would not be applied to a pending appealed case which was heard and decided by the trial court under an earlier law which authorized a landowner to dispossess his tenant on the ground of personal cultivation of the land, absent a legislative intent to make the law applicable to pending cases.⁷³

In *Yu Oh v. CA* [G.R. No. 125297, June 6, 2003], the Court ruled:

R.A. No. 7691 which took effect on June 15, 1994, amended B.P. Blg. 129, and vested on the Metropolitan, Municipal and Municipal Circuit Trial Courts jurisdiction to try cases punishable by imprisonment of not more than six (6) years. Since R.A. No. 7691 vests jurisdiction on courts, it is apparent that said law is substantive.

⁶⁹*Iburan v. Labes*, 87 Phil. 234 (1950).

⁷⁰*Largado v. Masaganda*, 115 Phil. 519 (1962).

⁷¹*Republic v. Prieto*, G.R. No. 17946, April 30, 1963, 7 SCRA 1004.

⁷²*Iburan v. Labes*, *supra*.

⁷³*Balabhat v. Court of Appeals*, 205 SCRA 419 (1992).

In the case of *Cang vs. Court of Appeals*, this Court held that "jurisdiction being a matter of substantive law, the established rule is that the statute in force at the time of the commencement of the action determines the jurisdiction of the court." R.A. No. 7691 was not yet in force at the time of the commencement of the cases in the trial court. It took effect only during the pendency of the appeal before the Court of Appeals. There is therefore no merit in the claim of petitioner that R.A. No. 7691 should be retroactively applied to this case and the same be remanded to the MTC. The Court has held that a "law vesting additional jurisdiction in the court cannot be given retroactive effect."

9.12. Qualification of rule.

A substantive law will be construed as applicable to pending actions if such is the clear intent of the law,⁷⁴ or if the statute, by the very nature of its purpose as a measure to promote social justice or in the exercise of police power, is intended to apply to pending actions.⁷⁵

As a rule, a case must be decided in the light of the law as it exists at the time of the decision by the appellate court, where the statute changing the law is intended to be retroactive and to apply to pending litigations or is retroactive in effect; and this rule is true though it may result in the reversal of a judgment which was correct at the time it was rendered by the trial court. The rule is, however, subject to the limitation concerning constitutional restrictions against impairment of vested rights.⁷⁶

In *Municipality of Sta. Fe v. Municipality of Arico*, G.R. No. 148308 [September 21, 2007], the Court held:

Petitioner, however, contends that the provisions of the 1987 Constitution and the LGC of 1991 on the settlement of municipal boundary disputes should be applied prospectively. The Court is not unmindful of the rule that where a court

⁷⁴*Espiritu v. Cipriano*, G.R. No. 32743, February 15, 1974, 55 SCRA 633; *Tiu Son v. Republic*, 96 Phil. 817 (1955).

⁷⁵*Santos v. De Alvarez*, 78 Phil. 503 (1947); *Ortigas & Co., Ltd. v. Feati Bank & Trust Co.*, G.R. No. 24670, December 14, 1979, 94 SCRA 633.

⁷⁶*Ramirez v. Court of Appeals*, G.R. No. 23587, June 10, 1976, 71 SCRA 231; *Justice Feria concurring*, *Santos v. De Alvarez*, 78 Phil. 503, 508 (1947), citing 3 Am. Jur. 668, 669.

has already obtained and is exercising jurisdiction over a controversy, its jurisdiction to proceed to the final determination of the case is not affected by new legislation placing jurisdiction over such proceedings in another tribunal. An exception to this rule, however, lies where the statute either expressly provides or is construed to the effect that it is intended to operate on actions pending before its enactment. Hence, this Court has held that a law may be given retroactive effect if it so provided expressly or if retroactivity is necessarily implied therefrom and no vested right or obligation of contract is impaired and it does not deprive a person of property without due process of law.

It is readily apparent from the provisions of the 1987 Constitution and the LGC of 1991 that their new provisions and requirements regarding changes in the constitution of political units are intended to apply to all existing political subsidiaries immediately, i.e., including those with pending cases filed under the previous regime, since the overarching consideration of these new provisions is the need to empower the local government units without further delay.

Furthermore, the RTC can still review the decision of the *Sangguniang Panlalawigan* under the new set-up, in the exercise of its appellate jurisdiction, so no substantial prejudice is caused by allowing retroactivity.

The Court, therefore, sees no error, much less grave abuse of discretion, on the part of the CA in affirming the trial court's dismissal of petitioner's complaint.

9.13. Statutes affecting vested rights.

A vested right or interest may be said to mean some right or interest in property that has become fixed or established and is no longer open to doubt or controversy.⁷⁷ Rights are vested when the right to enjoyment, present or prospective, has become the property of some particular person or persons, as a present interest. The right must be absolute, complete, and unconditional, independent of a contingency, and a mere expectancy of future benefit or a contingent interest in property founded on anticipated continuance of existing

laws does not constitute a vested right. So, inchoate rights which have not been acted on are not vested.⁷⁸

A statute may not be construed and applied retroactively if it impairs substantive right that has become vested, as disturbing or destroying existing right embodied in a judgment, or creating new obligations with respect to past transactions as by establishing a substantive right to fundamental cause of action where none existed before and making such right retroactive, or by arbitrarily recreating a new right or liability already extinguished by operation of law.⁷⁹ While a law creating new right in favor of a class of persons may be given retroactive operation, it may not be so applied if the new right collides with or impairs any vested right acquired before the establishment of the new right.⁸⁰ Nor may a statute, by the terms of which it is retroactive, be so applied if it adversely affects vested rights⁸¹ unsettles matters already done as required by existing law,⁸² or works injustice to those affected thereby.⁸³

While a person has no vested right in any rule of law entitling him to insist that it shall remain unchanged for his benefit, nor has he a vested right in the continued existence of a statute which precludes its change or repeal, nor in any omission to legislate on a particular matter, a subsequent statute cannot be so applied retroactively as to impair his right that accrued under the old law.⁸⁴ Courts have thus given statutes strict construction to prevent their retroactive operation in order that the statutes would not impair or interfere with vested or existing rights. The principal explanation given by the courts, however, is that the statute must be so construed as to sustain its constitutionality, and prospective operation will be presumed where a retroactive application will produce invalidity.⁸⁵

⁷⁷Benguet Consolidated Co. v. Pineda, 98 Phil. 711, 722 (1956); Ayog v. Cusi, G.R. No. 46729, November 19, 1982, 118 SCRA 492.

⁷⁸Chavez v. Court of Agrarian Relations, G.R. No. 17814, October 31, 1963, 9 SCRA 412; Espejo v. Auditor General, 97 Phil. 216 (1955); China Ins. & Surety Co. v. Judge of First Instance of Manila, 63 Phil. 320 (1936).

⁷⁹Rattan Art & Decorations, Inc. v. Collector of Internal Revenue, 121 Phil. 605 (1965).

⁸⁰Remata v. Javier, 37 Phil. 571 (1918); Asiatic Petroleum v. Llanos, 49 Phil. 466 (1926).

⁸¹Co v. Collector of Internal Revenue, 100 Phil. 464 (1956).

⁸²Javillonar v. National Planning Commission, 100 Phil. 485 (1956).

⁸³Benguet Consolidated Mining Co. v. Pineda, 98 Phil. 711 (1956); Laurel v. Misa, 76 Phil. 372 (1946).

⁸⁴People v. Zeta, 98 Phil. 143 (1955).

⁷⁷Buyco v. Phil. National Bank, 112 Phil. 588 (1961).

The rule is illustrated by the abolition of the death penalty and its subsequent re-imposition, that is, those accused of crimes prior to the re-imposition of the death penalty have acquired vested rights under the law abolishing it, as the Court in a case explained:

"In the light of the discussion above, there is no question that the abolition of the death penalty benefits herein accused-appellants. Perforce, the subsequent re-imposition of the death penalty will not affect them. x x x

There is no question that a person has no vested right in any rule of law which entitles him to insist that it shall remain unchanged for his benefit, nor has he a vested right in the continued existence of a statute which precludes its change or repeal, nor in any omission to legislative on a particular matter. However, a subsequent statute cannot be so applied retroactively as to impair a right that accrued under the old law (*Agpalo, Statutory Construction, 1986 ed., p. 264, citing Benguet Consolidated Mining Co. vs. Pineda, 98 Phil. 711 [1956]; Laurel vs. Misco, 76 Phil. 372 [1946]*). Courts have thus given statutes strict construction to prevent their retroactive operation in order that the statutes would not impair or interfere with vested or existing rights. Clearly, accused-appellant's rights to be benefited by the abolition of the death penalty accrued or attached by virtue of Article 22 of the Revised Penal Code. This benefit cannot be taken away from them."⁸⁶

9.14. Statutes affecting obligations of contract.

It is well-settled that any contract entered into must be in accordance with, and not repugnant to, the applicable law at the time of execution. Such law forms part of, and is read into, the contract even without the parties expressly saying so.⁸⁷ Laws existing at the time of the execution of contracts are the ones applicable to such transactions and not later statutes, unless the latter provide that they shall have retroactive effect.⁸⁸ Later statutes will not, however, be given

⁸⁶*People v. Patah, Jr.*, 311 SCRA 186, 211-212 (1999).

⁸⁷*Enrique T. Yupangco, Inc. v. Velayo*, G.R. No. 50439, July 20, 1982, 115 SCRA 307 (1982); *Liberation Steamship Co., Inc. v. Court of Industrial Relations*, G.R. No. 25389, June 27, 1968, 28 SCRA 1115 (1968); *Ortigas & Co., Ltd. v. First Bank & Trust Co.*, G.R. No. 24670, December 14, 1979, 94 SCRA 538.

⁸⁸*Phil. Virginia Tobacco Adm. v. Gonzales*, G.R. No. 34628, July 30, 1979, 92 SCRA 172 (1979).

retroactive effect if to do so will impair the obligation of contracts, for the Constitution prohibits the enactment of a law impairing the obligation of contracts.⁸⁹ Any law which enlarges, abridges, or in any manner changes the intention of the parties necessarily impairs that contract itself.⁹⁰ And a statute which authorizes any deviation from the terms of the contract by postponing or accelerating the period of performance which it prescribes, imposing conditions not expressed in the contract, or dispensing with those which are however minute or apparently immaterial in their effect upon the contract, impairs the obligation,⁹¹ and such statute should not therefore be applied retroactively.⁹² As between two feasible interpretations of a statute, the court should adopt that which will avoid the impairment of contract.⁹³

If a contract is legal at its inception, it cannot be rendered illegal by a subsequent legislation.⁹⁴ Consequently, a law by the terms of which a transaction or agreement would be illegal cannot be given retroactive effect so as to nullify such transaction or agreement executed before said law took effect.⁹⁵ Similarly, the importation of certain goods without import license which was legal under the law existing at the time of shipment is not rendered illegal by the fact that when the goods arrived there was already another law prohibiting importation without import license.⁹⁶ To rule otherwise in any of these instances is to impair the obligations of contract.⁹⁷

9.15. Illustration of rule.

In *People v. Zeta*,⁹⁸ it appears that pursuant to the then existing law authorizing a lawyer to charge not more than 5% of the amount involved as attorney's fees in the prosecution of certain veteran's claim, a lawyer entered into a contract for professional services on contingent basis and actually rendered service to its successful

⁸⁹Art. III, Sec. 10, 1987 Constitution.

⁹⁰*U.S. v. Diaz Conde*, 42 Phil. 766 (1922).

⁹¹*Green v. Biddle*, 8 Wheat 84, 5 L. ed. 547 (1823).

⁹²*People v. Zeta*, 98 Phil. 143 (1955).

⁹³*Mitsui Bussan Kaisha v. Manila Railroad & Light Co.*, 39 Phil. 624 (1919).

⁹⁴*U.S. v. Diaz Conde*, 42 Phil. 766 (1922).

⁹⁵*De la Cruz v. Better Living, Inc.*, G.R. No. 26936, August 19, 1977, 78 SCRA 274.

⁹⁶*U.S. Tobacco Corp. v. Lina*, 87 Phil. 4 (1950).

⁹⁷*U.S. v. Diaz Conde*, 42 Phil. 766 (1922).

⁹⁸98 Phil. 143 (1955).

conclusion. Before the claim was collected, a statute was enacted prohibiting the collection of attorney's fees for services rendered in prosecuting veteran's claims. For collecting his fees pursuant to the contract for professional services, the lawyer was prosecuted for violation of the statute. In exonerating the lawyer, the court said that the statute prohibiting the collection of attorney's fees cannot be applied retroactively so as to adversely affect the contract for professional services and the fees themselves. The court added that the fact that the 5% fee was contingent and did not become absolute and unconditional until the veteran's claim had been collected by the claimant when the statute was already in force did not alter the situation. For the distinction between vested and absolute rights is not helpful and that a better view to handle the problem is to declare those statutes attempting to affect rights which the courts find to be unalterable, invalid as arbitrary and unreasonable, thus lacking in "due process." The court concluded that the 5% fee allowed by the old law is "not unreasonable." Services were rendered thereunder to claimant's benefits. The right to the fees accrued upon such rendition. Only the payment of the fee was contingent upon the approval of the claim; therefore, the right was not contingent. For a right to accrue is one thing; enforcement thereof by actual payment is another. The subsequent law enacted after the rendition of the services should not as a matter of simple justice affect the agreement, which was entered into voluntarily by the parties as expressly directed in the previous law. To apply the new law to the case of defendant-appellant so as to deprive him of the agreed fee would be arbitrary and unreasonable as destructive of the inviolability of contracts, and therefore invalid as lacking in due process; to penalize him for collecting such fees, repugnant to our sense of justice.⁹⁹

9.16. Repealing and amendatory acts.

Statutes which repeal earlier or prior laws operate prospectively, unless the legislative intent to give them retroactive effect clearly appears. However, although a repealing statute is intended to be retroactive, it will not be so construed if it will impair vested rights or the obligations of contract, or unsettle matters that had been legally done under the old law.¹⁰⁰ Repealing statutes which are penal in nature are generally applied retroactively if favorable to

the accused, unless the contrary appears or the accused is otherwise not entitled to the benefits of the repealing act.¹⁰¹

While an amendment is generally construed as becoming a part of the original act as if it had always been contained therein,¹⁰² it may not be given a retroactive effect unless it is so provided expressly or by necessary implication and no vested right or obligations of contract are thereby impaired. In short, the general rule on the prospective operation of statutes also applies to amendatory acts.¹⁰³

Examples may be given. Republic Act No. 401, which condoned the interest on pre-war debts from January 1, 1942 to December 31, 1945, was amended by Republic Act No. 671 on June 16, 1951 by virtually re-enacting the old law and providing that "if the debtor, however, makes voluntary payment of the entire pre-war unpaid principal obligation on or before December 31, 1952, the interest on such principal obligation corresponding from January 1, 1946 to day of payment are likewise condoned." It has been held that under this amendment, a debtor who paid his pre-war obligation together with the interests on March 14, 1951 or before the amendment was approved into law, is not entitled to a refund of the interest paid from January 1, 1946 to March 14, 1951, the date the debtor paid the obligation, because the phrase "makes voluntary payment" denotes a present or future act, thereby indicating that the intent is not to apply the amendment retroactively; and the words "unpaid principal obligation" and "condone" imply that the amendment does not cover refund of interests paid before its approval.¹⁰⁴ Where a statute which imposes a tax on certain business activities is amended by eliminating the clause providing a tax on some of such activities, and the amended act is further amended, after the lapse of a length of time, by restoring the very clause previously eliminated, the obvious legislative intent was not to impose the tax during said period, which requires that the last amendment should not be given retroactive effect so as to cover the whole period.¹⁰⁵ Similarly, an amendment which imposes a tax on a certain business which the statute prior to its amendment does not tax, may not be applied retroactively so as

⁹⁹*Ibid.*, at pp. 147-148.

¹⁰⁰See Sec. 9.13, *supra*.

¹⁰¹See Sec. 9.09, *supra*.

¹⁰²*People v. Garcia*, 85 Phil. 651 (1951).

¹⁰³*Puyco v. Phil. National Bank*, 112 Phil. 688 (1961); *Pacia v. Kapsanan ng mga Manggagawa sa MRR Co.*, 99 Phil. 45 (1956).

¹⁰⁴*San Jose v. Rehabilitation Finance Corp.*, 98 Phil. 38 (1955).

¹⁰⁵*Collector of Internal Revenue v. La Tondena, Inc.*, 115 Phil. 841 (1962).

to require payment of the tax on such business for the period prior to the amendment.¹⁰⁸

In *Buyco v. Philippine National Bank*,¹⁰⁹ the question raised is whether petitioner Buyco can compel the Philippine National Bank to accept his backup certificate in payment of his indebtedness to the bank. At the time (April 24, 1956) he offered to pay with his backup certificate, Republic Act No. 897 gave him the right to have said certificate applied in payment of his obligation. Subsequently, however, Republic Act No. 1576 was enacted on June 16, 1956 amending the charter of the Philippine National Bank and providing that the bank shall have no authority to accept backup certificate in payment of indebtedness to the bank. For this reason, the bank refused to accept petitioner Buyco's backup certificate. In holding that petitioner Buyco acquired a vested right to have his certificate applied in payment of his obligation to the bank, the court said: "Laws shall have no retroactive effect unless the contrary is provided. It is said that the law looks to the future only and has no retroactive effect unless the legislature may have formally given that effect to some legal provisions; that all statutes are to be construed as having only prospective operation, unless the purpose and intention of the legislature to give them a retroactive effect is expressly decreed or is necessarily implied from the language used; and that every case of doubt must be resolved against retroactive effect. These principles also apply to amendments of statutes. Republic Act No. 1576 does not contain any provision regarding its retroactive effect nor such may be implied from its language. It simply states its effectivity upon approval. The amendment, therefore, has no retroactive effect, and the present case should be governed by the law at the time the offer in question was made. The rule is familiar that after an act is amended, the original act continues to be in force with regard to all rights that had accrued prior to such amendment."¹⁰⁸

Where a contract is entered into by the parties on the basis of the law then prevailing, the amendment of said law will not affect the terms of said contract. The rule applies even if one of the contracting parties is the government.¹⁰⁹

¹⁰⁸*Imperial v. Collector of Internal Revenue*, 97 Phil. 992 (1955).

¹⁰⁹112 Phil. 588 (1961).

¹⁰⁹*Ibid.*, at p. 592.

¹⁰⁹*Insular Government v. Frank*, 13 Phil. 236 (1909).

C. STATUTES GIVEN RETROACTIVE EFFECT

9.17. Laws not retroactive; Exception.

The general rule is that laws have no retroactive effect. However, there are exceptions to the general rule, such as procedural laws and curative laws, which are given retroactive operation.¹¹⁰

Procedural laws are adjective laws which prescribe rules and forms of procedure of enforcing rights or obtaining redress for their invasion; they refer to rules of procedure by which courts applying laws of all kinds can properly administer justice.¹¹¹ They include rules of pleadings, practice and evidence.¹¹² As applied to criminal law, they provide or regulate the steps by which one who commits a crime is to be punished.¹¹³

The general rule that statutes are prospective and not retroactive does not ordinarily apply to procedural laws. It has been held that "a retroactive law, in a legal sense, is one which takes away or impairs vested rights acquired under laws, or creates a new obligation and imposes a new duty, or attaches a new disability, in respect of transactions or considerations already past. Hence, remedial statutes or statutes relating to remedies or modes of procedure, which do not create new or take away vested rights, but only operate in furtherance of the remedy or confirmation of rights already existing, do not come within the legal conception of a retroactive law, or the general rule against the retroactive operation of statutes."¹¹⁴ The general rule against giving statutes retroactive operation whose effect is to impair the obligations of contract or to disturb vested rights does not prevent the application of statutes to proceedings pending at the time of their enactment where they neither create new nor take away vested rights. A new statute which

¹¹⁰*Zulueta v. Asia Brewery, Inc.*, G.R. No. 138137, March 8, 2001.

¹¹¹*Subido v. Sandiganbayan*, 78 SCAD 104, 266 SCRA 379 (1997), citing *Ruben E. Arenal, Statutory Construction*, p. 268 (2nd ed., 1990); *Primicias v. Ocampo*, 93 Phil. 446 (1953); *Bustos v. Lucero*, 81 Phil. 648 (1948); *Lopez v. Gloria*, 40 Phil. 26 (1919); *People v. Sumilang*, 77 Phil. 764 (1946).

¹¹²*Hosana v. Diplomano*, 56 Phil. 741 (1927); *Bustos v. Lucero*, *supra*.

¹¹³*Aguino v. Military Commission No. 2*, G.R. No. 37364, May 9, 1975, 63 SCRA 546; *Bustos v. Lucero*, *supra*.

¹¹⁴*Castro v. Segales*, 94 Phil. 208, 210 (1953), citing 50 Am. Jur. 505.

deals with procedure only is presumptively applicable to all actions — those which have accrued or are pending.¹¹⁵

Statutes regulating the procedure of the courts will be construed as applicable to actions pending and undetermined at the time of their passage. Procedural laws are retroactive in that sense and to that extent.¹¹⁶ The fact that procedural statutes may somehow affect the litigants' rights may not preclude their retroactive application to pending actions. The retroactive application of procedural laws is not violative of any right of a person who may feel that he is adversely affected.¹¹⁷ Nor is the retroactive application of procedural statutes constitutionally objectionable.¹¹⁸ The reason is that as a general rule, no vested right may attach to, nor arise from, procedural laws.¹¹⁹ It has been held that "a person has no vested right in any particular remedy, and a litigant cannot insist on the application to the trial of his case, whether civil or criminal, of any other than the existing rules of procedure."¹²⁰

Thus, the provision of Batas Pambansa Bilang 129 in Section 39 thereof prescribing that "no record on appeal shall be required to take an appeal" is procedural in nature and should therefore be applied retroactively to pending actions. Hence, the question as to whether an appeal from an adverse judgment should be dismissed for failure of appellant to file a record on appeal within thirty days as required under the old rules, which question is pending resolution at the time Batas Pambansa Bilang 129 took effect, became academic upon the effectivity of said law because the law no longer requires the filing of a record on appeal and its retroactive application removed the legal obstacle to giving due course to the appeal.¹²¹ A statute which transfers the jurisdiction to try certain cases from a court to

a quasi-judicial tribunal is a remedial statute that is applicable to claims that accrued before its enactment but formulated and filed after it took effect, for it does not create new nor take away vested rights. The court that has jurisdiction over a claim at the time it accrued cannot validly try the claim where at the time the claim is formulated and filed, the jurisdiction to try it has been transferred by law to a quasi-judicial tribunal, for even actions pending in one court may be validly taken away and transferred to another and no litigant can acquire a vested right to be heard by one particular court.¹²²

An administrative rule which is interpretative of a pre-existing statute and not declarative of certain rights with obligations thereunder is given retroactive effect as of the date of the effectivity of the statute.¹²³

In *Atlas Consolidated Mining & Development Corp. v. Court of Appeals*,¹²⁴ the question raised is whether a trial court has been divested of jurisdiction to hear and decide a pending case involving a mining controversy upon the promulgation of P.D. No. 1281 which vests upon the Bureau of Mines original and exclusive jurisdiction to hear and decide mining controversies. In answering the question in the affirmative, the Court held: "Presidential Decree No. 1281 is a remedial statute. It does not create new rights nor take away rights that are already vested. It only operates in furtherance of a remedy or confirmation of rights already in existence. It does not come within the legal purview of a prospective law. As such, it can be given retrospective application of statutes. Being procedural in nature, it shall apply to all actions pending at the time of its enactment except only with respect to those cases which had already attained the character of a final and executory judgment. Were it not so, the purpose of the Decree, which is to facilitate the immediate resolution of mining controversies by granting jurisdiction to a body or agency more adept to the technical complexities of mining operations, would be thwarted and rendered meaningless. Litigants in a mining controversy cannot be permitted to choose a forum of convenience. Jurisdiction is imposed by law and not by any of the parties to such proceedings." "Furthermore, Presidential Decree No. 1281 is a special law and under a well-accepted principle in

¹¹⁵Hosana v. Diomano, 56 Phil. 741 (1927).

¹¹⁶People v. Sumilang, 77 Phil. 764 (1946); Alday v. Camillon, G.R. No. 60316, January 31, 1963; Enrile v. Court of First Instance of Bulacan, 36 Phil. 574 (1917); Hosana v. Diomano, 56 Phil. 741 (1927); Guevara v. Laico, 64 Phil. 149 (1937).

¹¹⁷Gregorio v. Court of Appeals, G.R. No. 22802, November 29, 1968, 26 SCRA 229; Tino v. Mina, G.R. No. 29488, December 24, 1968, 26 SCRA 515; Yakult Philip-pines v. Court of Appeals, 190 SCRA 357 (1990); Atienza v. Brillantes, 60 SCAD 119, 243 SCRA 32 (1995).¹¹⁸

¹¹⁸Laurel v. Misa, 76 Phil. 372 (1946).

¹¹⁹Billones v. Court of Industrial Relations, G.R. No. 17566, July 30, 1965, 14 SCRA 674; Pastoriza v. Division Superintendent, 106 Phil. 216 (1959); Arts (Phils.), Inc. v. NLRC, 200 SCRA 246 (1991).

¹²⁰Concepcion v. Garcia, 54 Phil. 81, 83 (1929).

¹²¹Alday v. Camillon, G.R. No. 60316, January 31, 1963.

¹²²Castro v. Sagales, 94 Phil. 208 (1953).

¹²³Adamson Ozanam Educational Institution, Inc. v. Adamson University Faculty, 179 SCRA 279 (1989).

¹²⁴182 SCRA 166, 180-181 (1990).

statutory construction, the special law will prevail over a statute or law of general application. Jurisdiction having been conferred by a special statute therefore prevails over the jurisdiction granted by a general law."

In *Subido, Jr. v. Sandiganbayan*,¹²⁶ the Court ruled that "R.A. No. 7975, in further amending P.D. No. 1606 as regards the *Sandiganbayan's* jurisdiction, mode of appeal, and other procedural matters, is clearly a procedural law, i.e., one which prescribes rules and forms of procedure of enforcing rights or obtaining redress for their invasion, or those which refer to rules of procedure by which courts applying laws of all kinds can properly administer justice. Moreover, the petitioners even suggest that it is likewise curative or remedial statute: one which cures defects and adds to the means of enforcing existing obligations. x x x All told, as a procedural and curative statute, R.A. No. 7975 may validly be given retroactive effect, there being no impairment of contractual or vested rights."¹²⁶

Statutes regulating the procedure of the courts will be construed as applicable to actions pending and undermined at the time of their passage. In that sense and to that extent, procedural laws are retroactive. Thus, where at the time the action was filed, the Rules of Court provides that a "petition to be allowed to appeal as pauper shall not be entertained by the appellate court," the subsequent amendment thereto deleting the sentence implies that the appellate court is no longer prohibited from entertaining petitions to appeal as pauper litigants, and may grant the petition then pending action, so long as its requirements are complied with.¹²⁷

9.18. Exceptions to the rule.

The rule that procedural laws are applicable to pending actions or proceedings admits certain exceptions. The rule does not apply where the statute itself expressly or by necessary implication provides that pending actions are excepted from its operation, or where to apply it to pending proceedings would impair vested rights.¹²⁸ Under appropriate circumstances, courts may deny the retroactive application of procedural laws in the event that to do so

¹²⁶78 SCAD 104, 266 SCRA 379 (1997).

¹²⁷*Ibid.*, pp. 390-391, citing Ruben E. Agpalo, *Statutory Construction*, pp. 268-272 (2nd ed., 1990).

¹²⁸*Martinez v. People*, 127 SCAD 113, 332 SCRA 694 (2000).

¹²⁹*Hosana v. Diomano*, 56 Phil. 741 (1927).

would not be feasible or would work injustice.¹²⁹ Nor may procedural laws be applied retroactively to pending actions if to do so would involve intricate problems of due process or impair the independence of the courts.¹³⁰

*Tayag v. Court of Appeals*¹³¹ illustrates the exception to the rule. Pursuant to Article 285 of the Civil Code, an illegitimate minor through his guardian may file action for recognition even after the death of the presumed parents in case the father or mother died during the minority of the child, before the expiration of four years from the attainment of his majority. On the other hand, Article 175 of the Family Code repealed Article 285 of the Civil Code, and now requires that the action for recognition be brought during the lifetime of the alleged parent. The issue raised is whether an action for recognition filed by an illegitimate minor after the death of his alleged parent when Article 285 of the Civil Code was still in effect and has remained pending when Article 175 of the Family Code took effect can still be prosecuted considering that Article 175, which is claimed to be procedural in nature and retroactive in application, does not allow filing of the action after the death of the alleged parent. The Court held that "the rule that a statutory change in matters of procedure may affect pending actions and proceedings, unless the language of the act excludes them from its operation, is not so pervasive that it may be used to validate or invalidate proceedings taken before it goes into effect, since procedure must be governed by the law regulating it at the time the question of procedure arises especially where vested rights may be prejudiced. Accordingly, Article 175 of the Family Code finds no proper application to the instant case since it will ineluctably affect adversely a right of private respondent and, consequently, of the minor child she represents, both of which have been vested with the filing of the complaint in court. The trial court is, therefore, correct in applying the provisions of Article 285 of the Civil Code and in holding that private respondent's cause of action has not yet prescribed."

The issue in *Tan, Jr. v. CA*, G.R. No. 136368 [January 16, 2002] is whether or not the redemption of subject property valid under the then existing rule of procedure at the time of redemption remains valid even if the new rule, if applied retroactively, makes

¹²⁹*Gregorio v. Court of Appeals*, G.R. No. 22802, November 29, 1968, 26 SCRA 229.

¹³⁰*Cadwallader v. Abeleda*, G.R. No. 31927, June 25, 1980, 98 SCRA 123.

¹³¹*Tayag v. Court of Appeals*, 209 SCRA 665, 675-676 (1992).

the redemption void. The Court of Appeals applied the new rule retroactively and thus invalidated the redemption. Applying the rules of statutory construction, the Court reversed the appellate court and ruled in favor of the validity of the redemption. The Court explained why:

It is evident that if we apply the old rule on finality of judgment, petitioner redeemed the subject property within the 120-day period of redemption reckoned from the appellate court's entry of judgment. The appellate court, however, did not apply the old rule but the 1997 Revised Rules of Civil Procedure. In fine, it applied the new rule retroactively and we hold that given the facts of the case at bar this is an error.

There is no dispute that rules of procedure can be given retroactive effect. This general rule, however, has well-delineated exceptions. We quote author Agpalo.¹⁸⁸

9.19. Procedural laws.

Procedural laws are adjective laws which prescribe rules and forms of procedure of enforcing rights or obtaining redress for their invasion; they refer to rules of procedure by which courts applying laws of all kinds can properly administer justice. They include rules of pleadings, practice and evidence. As applied to criminal law, they provide or regulate the steps by which one who commits a crime is to be punished.

The general rule that statutes are prospective and not retroactive does not ordinarily apply to procedural laws. It has been held that "a retroactive law, in a legal sense, is one which takes away or impairs vested rights acquired under laws, or creates a new obligation and imposes a new duty, or attaches a new disability, in respect of transactions or considerations already past. Hence, remedial statutes or statutes relating to remedies or modes of procedure, which do not create new or take away vested rights, but only operate in furtherance of the remedy or confirmation of a rights already existing, do not come within the legal conception of a retroactive law, or the general rule against the retroactive operation of statutes." The general rule against giving statutes retroactive operation whose effect is to impair the obligations of contract or to

disturb vested rights does not prevent the application of statutes to proceedings pending at the time of their enactment where they neither create new nor take away vested rights. A new statute which deals with procedure only is presumptively applicable to all actions — those which have accrued or are pending.

Statutes regulating the procedure of the courts will be construed as applicable to actions pending and undetermined at the time of their passage. Procedural laws are retroactive in that sense and to that extent. The fact that procedural statutes may somehow affect the litigants' rights may not preclude their retroactive application to pending actions. The retroactive application of procedural laws is not violative of any right of a person who may feel that he is adversely affected. Nor is the retroactive application of procedural statutes constitutionally objectionable. The reason is that as a general rule no vested right may attach to, nor arise from, procedural laws. It has been held that "a person has no vested right in any particular remedy, and a litigant cannot insist on the application to the trial of his case, whether civil or criminal, of any other than the existing rules of procedure."

Thus, the provision of Batas Pambansa Blg. 129 in Section 39 thereof prescribing that "no record on appeal shall be required to take an appeal" is procedural in nature and should therefore be applied retroactively to pending actions. Hence, the question as to whether an appeal from an adverse judgment should be dismissed for failure of appellant to file a record on appeal within thirty days as required under the old rules, which question is pending resolution at the time Batas Pambansa Blg. 129 took effect, became academic upon the effectivity of said law because the law no longer requires the filing of a record on appeal and its retroactive application removed the legal obstacle to giving due course to the appeal. A statute which transfers the jurisdiction to try certain cases from a court to a quasi-judicial tribunal is a remedial statute that is applicable to claims that accrued before its enactment but formulated and filed after it took effect, for it does not create new nor take away vested rights. The court that has jurisdiction over a claim at the time it accrued cannot validly try the claim where at the time the claim is formulated and filed the jurisdiction to try it has been transferred by law to a quasi-judicial tribunal, for even actions pending in one court may be validly taken away and transferred to another and no litigant can acquire a vested right to be heard by one particular court.

¹⁸⁸Statutory Construction, 1986 ed., pp. 269-272.

9.20. Exceptions to the rule.

The rule that procedural laws are applicable to pending actions or proceedings admits certain exceptions. The rule does not apply where the statute itself expressly or by necessary implication provides that pending actions are excepted from its operation, or where to apply it to pending proceedings would impair vested rights. Under appropriate circumstances, courts may deny the retroactive application of procedural laws in the event that to do so would not be feasible or would work injustice. Nor may procedural laws be applied retroactively to pending actions if to do so would involve intricate problems of due process or impair the independence of the courts.

We hold that section 1, Rule 39 of the 1997 Revised Rules of Procedure should not be given retroactive effect in this case as it would result in great injustice to the petitioner. Undoubtedly, petitioner has the right to redeem the subject lot and this right is a substantive right. Petitioner followed the procedural rule then existing as well as the decisions of this Court governing the reckoning date of the period of redemption when he redeemed the subject lot. Unfortunately for petitioner, the rule was changed by the 1997 Revised Rules of Procedure which if applied retroactively would result in his losing the right to redeem the subject lot. It is difficult to reconcile the retroactive application of this procedural rule with the rule of fairness. Petitioner cannot be penalized with the loss of the subject lot when he faithfully followed the laws and the rule on the period of redemption when he made the redemption. The subject lot may only be 34,829 square meters but as petitioner claims, "it is the only property left behind by their father, a private law practitioner who was felled by an assassin's bullet."

Petitioner fought to recover this lot from 1988. To lose it because of a change of procedure on the date of reckoning of the period of redemption is inequitable. The manner of exercising the right cannot be changed and the change applied retroactively if to do so will defeat the right of redemption of the petitioner which is already vested.

9.21. Curative statutes.

Curative remedial statutes are healing acts. They are remedial by curing defects and adding to the means of enforcing existing obligations. The rule in regard to curative statutes is that if the

thing omitted or failed to be done, and which constitutes the defect sought to be removed or made harmless, is something which the legislature might have dispensed with by a previous statute, it may do so by a subsequent one.¹³⁶

Curative statutes are intended to supply defects, abridge superfluities in existing laws,¹³⁷ and curb certain evils.¹³⁸ They are intended to enable persons to carry into effect that which they have designed and intended, but has failed of expected legal consequence by reason of some statutory disability or irregularity in their own action. They make valid that which, before the enactment of the statute, was invalid.¹³⁹

Their purpose is to give validity to acts done that would have been invalid under existing laws, as if existing laws have been complied with.¹³⁷

The Court in *Privado v. COMELEC*,¹⁴⁰ restated the definition of curative statutes by quoting two authorities on the subject:

"According to Tolentino, curative statutes are those which undertake to cure errors and irregularities, thereby validating judicial or administrative proceedings, acts of public officers, or private deeds and contracts which otherwise would not produce their intended consequences by reason of some statutory disability or failure to comply with some technical requirement. They operate on conditions already existing, and are necessarily retroactive in operation. Agpalo, on the other hand, says that curative statutes are healing acts x x x curing defects and adding to the means of enforcing existing obligations x x x (and) are intended to supply defects, abridge superfluities in existing laws, and curb certain evils x x x By their very nature, curative statutes are retroactive x x x (and) reach back to past events to correct errors or irregularities and

¹³⁶Government v. Municipality of Binalonan, 32 Phil. 634 (1915); Subido v. Sandiganbayan, 78 SCAD 104, 266 SCRA 379 (1997), citing Ruben E. Agpalo, *Statutory Construction*, pp. 270-271 (2nd ed., 1990 ed.).

¹³⁷Del Castillo v. Securities & Exchange Commission, 96 Phil. 119 (1954).

¹³⁸Santos v. Duata, G.R. No. 20901, August 31, 1965, 14 SCRA 1041.

¹³⁹Development Bank of the Phils., v. Court of Appeals, G.R. No. 28774, February 28, 1980, 96 SCRA 342; Alman III v. Mirasol, 85 SCAD 277, 276 SCRA 501 (1997).

¹⁴⁰Briad Agro Dev. Corp. v. Dela Serna, 174 SCRA 524 (1989).

¹³⁹⁷1 SCAD 413, 257 SCRA 727 (1996).

to render valid and effective attempted acts which would be otherwise ineffective for the purpose the parties intended.¹³⁸

By their very nature, curative statutes are retroactive. They are forms of retroactive legislations which reach back on past events to correct errors or irregularities and to render valid and effective attempted acts which would be otherwise ineffective for the purpose the parties intended.¹³⁹ A few examples may be cited. "E.O. No. 111, amended Article 217 of the Labor Code to widen the workers' access to the government for redress of grievances by giving the Regional Directors and the Labor Arbiters concurrent jurisdiction over cases involving money claims. This amendment, however, created a situation where the jurisdiction of the Regional Directors and the Labor Arbiters overlapped. As a remedy, R.A. No. 6715 further amended Article 217 by delineating their respective jurisdictions. Under R.A. No. 6715, the Regional Director has exclusive original jurisdiction over cases involving claims; provided: (1) the claim is presented by an employer or person employed in domestic or household service, or house helper under the Code; (2) the claimant, no longer being employed, does not seek reinstatement; and (3) the aggregate money claim of the employee or house helper does not exceed P5,000.00. All other cases are within the exclusive and original jurisdiction of the Labor Arbitrer. E.O. No. 111 and R.A. No. 6715 are therefore curative statutes. A curative statute is enacted to cure defects in a prior law or to validate legal proceedings, instruments or acts of public authorities which would otherwise be void for want of conformity with certain existing legal requirements."¹⁴⁰ Statutes intended to validate what otherwise are void or invalid marriages, being curative, will be given retroactive effect.¹⁴¹ A statute which provides that a contract shall be presumed an equitable mortgage in any of the cases therein enumerated, and which is designed primarily to curtail evils brought about by contracts of sale with right of repurchase, is remedial in nature and will be applied retroactively to cases arising prior to the effectivity of the statute.¹⁴² Where at the time an action is filed in court the latter

has no jurisdiction over the subject matter thereof but a subsequent statute clothes it with jurisdiction before the action is decided, the statute is in the nature of a curative law with retroactive operation to pending proceedings and cures the defect of lack of jurisdiction of the court at the commencement of the action.¹⁴³ However, where such curative statute is enacted after the court has rendered judgment, which judgment is naturally void as the court has at the time no jurisdiction over the subject matter of the action, the enactment of the statute conferring jurisdiction to the court does not thereby validate the void judgment,¹⁴⁴ for the legislature has no power to make a judgment rendered without jurisdiction a valid judgment.¹⁴⁵

A good example of a law which has been considered a curative and remedial statute as well as one which creates new rights and new remedies, which are generally held to be retroactive in nature, is P.D. No. 725, which liberalizes the procedure of repatriation. In *Frituldo v. COMELEC*,¹⁴⁶ the Court held not only P.D. No. 725 but the re-acquisition of Filipino citizenship by administrative repatriation pursuant to said Decree as retroactive. Explained the Court:

"A reading of P.D. No. 725 immediately shows that it creates a new right, and also provides for a new remedy, thereby filling certain voids in our laws. Thus, in its preamble, P.D. No. 725 expressly recognizes the plight of 'many Filipino women (who) had lost their Philippine citizenship by marriage to aliens' and who could not, under the existing law (C.A. No. 63, as amended) avail of repatriation until 'after the death of their husbands or the termination of their marital status' and who could neither be benefited by the 1973 Constitution's new provision allowing 'a Filipino woman who marries an alien to retain her Philippine citizenship x x x' because 'such provision of the new Constitution does not apply to Filipino women who had married aliens before said constitution took effect.' Thus, P.D. No. 725 granted a new right to these women — the right to re-acquire Filipino citizenship even during their marital coverture, which right did not exist prior to P.D. No. 725. On the other hand, said statute also provided a new remedy and

¹³⁸*Ibid.*, p. 754, citing Agpelo, *Statutory Construction*, 1990 ed., pp. 270-271.

¹³⁹*Development Bank of the Phils. v. Court of Appeals*, G.R. No. 28774, February 28, 1980, 96 SCRA 342; *Santos v. Duata*, G.R. No. 20901, August 1965, 14 SCRA 1041.

¹⁴⁰*Efectors, Inc. v. NLRB*, 70 SCAD 512, 256 SCRA 629, 635 (1996).

¹⁴¹*Adong v. Cheong Seng Gee*, 43 Phil. 43 (1922).

¹⁴²*Santos v. Duata*, G.R. No. 20901, August 31, 1965, 14 SCRA 1041.

¹⁴³*Abad v. Phil. American General Ins. Co., Inc.*, G.R. No. 50563, October 30, 1981, 108 SCRA 717; *Garcia v. Martinez*, G.R. No. 47629, May 28, 1979, 90 SCRA 331; *Calderon v. Court of Appeals*, G.R. No. 52235, October 28, 1980, 100 SCRA 459.

¹⁴⁴*Largada v. Maesagada*, 115 Phil. 519 (1962).

¹⁴⁵*Government of Municipality of Binalonan*, 32 Phil. 634 (1915).

¹⁴⁶71 SCAD 413, 257 SCRA 727 (1996).

a new right in favor of other 'natural-born Filipinos who (had) lost their Philippine citizenship but now desire to re-acquire Philippine citizenship,' because prior to the promulgation of P.D. No. 725 such former Filipinos would have had to undergo the tedious and cumbersome process of naturalization, but with the advent of P.D. No. 725 they could now re-acquire their Philippine citizenship under the simplified procedure of repatriation.

x x x

In the light of the foregoing, and prescinding from the wording of the preamble, it is unarguable that the legislative intent was precisely to give the statute retroactive operation. '(A) retroactive operation is given to a statute or amendment where the intent that it should so operate clearly appears from a consideration of the act as a whole, or from the terms thereof.' It is obvious to the Court that the statute was meant to 'reach back' to those persons, events and transactions not otherwise covered by prevailing law and jurisprudence. And inasmuch as it has been held that citizenship is a political and civil right equally as important as the freedom of speech, liberty of abode, the right against unreasonable searches and seizures and other guarantees enshrined in the Bill of Rights, therefore the legislative intent to give retrospective operation to P.D. No. 725 must be given the fullest effect possible. '(I)t has been said that a remedial statute must be so construed as to make it effect the evident purpose for which it was enacted, so that if the reason of the statute extends to past transactions, as well as to those in the future, then it will be so applied although the statute does not in terms so direct, unless to do so would impair some vested right or violate some constitutional guaranty.' This is all the more true of P.D. No. 725, which did not specify any restrictions on or delimit or qualify the right of repatriation granted therein.

At this point, a valid question may be raised: How can the retroactivity of P.D. No. 725 benefit Frivaldo considering that said law was enacted on June 5, 1975, while Frivaldo lost his Filipino citizenship much later, on January 20, 1983, and applied for repatriation even later, on August 17, 1994?

While it is true that the law was already in effect at the time that Frivaldo became an American citizen, nevertheless,

it is not only the law itself (P.D. No. 725) which is to be given retroactive effect, but even the repatriation granted under said law to Frivaldo on June 30, 1995 is to be deemed to have retroacted to the date of his application therefor, August 17, 1994. The reason for this is simply that if, as in this case, it was the intention of the legislative authority that the law should apply to past events — i.e., situations and transactions existing even before the law came into being — in order to benefit the greatest number of former Filipinos possible thereby enabling them to enjoy and exercise the constitutionally guaranteed right of citizenship, and such legislative intention is to be given the fullest effect and expression, then there is all the more reason to have the law apply in a retroactive or retrospective manner to situations, events and transactions subsequent to the passage of such law. That is, the repatriation granted to Frivaldo on June 30, 1995 which can and should be made to take effect as of date of his application. As earlier mentioned, there is nothing in the law that would bar this or would show a contrary intention on the part of the legislative authority; and there is no showing that damage or prejudice to anyone, or anything unjust or injurious would result from giving retroactivity to his repatriation. Neither has Lee shown that there will result the impairment of any contractual obligation, disturbance of any vested right or breach of some constitutional guaranty.¹⁴⁹

What has been given retroactive effect in *Frivaldo*, *supra*, is not only the law itself but also Philippine citizenship re-acquired pursuant to said law to the date of his application for repatriation, which meant that his lack of Filipino citizenship at the time Frivaldo registered as a voter, one of which qualification is Filipino citizenship, or at the time he filed his certificate of candidacy for governor, one of which qualification as a candidate is Filipino citizenship or at the time he took his oath of office as governor, which requires that he be a Filipino, was cured by the retroactive application of his repatriation. It is similar to making lawful the purchase by an alien of a piece of land, who is disqualified under the Constitution to own land, upon the latter's subsequent naturalization as a Filipino, the

¹⁴⁹*Ibid.*, pp. 755-757.

grant of which, in effect, retroacted to the date of the contract of sale.¹⁴⁹

An example of a curative statute is one which confirms, ratifies and validates the sale or transfer of a public land awarded to a grantee, which a prior law prohibits its sale within a certain period and makes such sale null and void, because the former legalizes what otherwise is an invalid transaction under the old law.¹⁵⁰ Section 442(d) of the Local Government Code of 1991, which provides that municipal districts organized pursuant to presidential issuances or executive orders and which have their respective sets of elective municipal officials holding office at the time of the effectivity of the Code shall henceforth be considered as regular municipalities, is also a curative statute, as it validates the creation of municipalities by executive orders which had been held to be an invalid usurpation of legislative power.¹⁵¹

Where there is doubt as to whether a government agency, under the then existing law, has the authority to enter into a negotiated contract for the construction of a government project under the build-lease-and-transfer scheme, the subsequent enactment of a statute which recognizes direct negotiation of contracts under such arrangement is a curative statute as all doubts and procedural lapses that might have attended the negotiated contract have been cured by the subsequent statute.¹⁵²

9.22. Limitations of rule.

While remedial or curative statutes are forms of retroactive laws, they will not be given retroactive effect if to do so will impair the obligations of contract or disturb vested rights.¹⁵³ Only such administrative or curative features of the statute as will not adversely affect existing rights will be given retroactive operation.¹⁵⁴

¹⁴⁹De Castro v. Tan, 129 SCRA 85 (1984); Llantino v. Co Long Chong, 188 SCRA 592 (1990).

¹⁵⁰Republic v. Atencio, 178 SCRA 713 (1989).

¹⁵¹Municipality of San Narciso, Quezon v. Mendez, Sr., 57 SCAD 332, 239 SCRA 11 (1994).

¹⁵²Tatad v. Garcia, Jr., 60 SCAD 480, 243 SCRA 436 (1996).

¹⁵³Development Bank of the Phil. v. Court of Appeals, G.R. No. 28774, February 29, 1980, 96 SCRA 342; Resolution on motion for reconsideration, September 21, 1982, 116 SCRA 636.

¹⁵⁴Asiatic Petroleum Co. v. Lanes, 49 Phil. 466 (1926).

The exception to the foregoing limitations of the rule is a remedial or curative statute which is enacted as a police power measure. Statutes of this type may be given retroactive effect even though they impair vested rights or the obligations of contract, if the legislative intent is to give them retrospective operation. The reason is that the constitutional restriction against impairment of the obligations of contract or vested rights does not preclude the legislature from enacting statutes in the exercise of its police power, which somehow affect contractual or vested right.¹⁵⁵

9.23. Police power legislations.

One limitation of the rule that statutes which impair vested rights or the obligations of contract may not be given retroactive effect is that on police power legislation. As a rule, statutes which are enacted in the exercise of police power to regulate certain activities, are applicable not only to those activities or transactions coming into being after their passage, but also to those already in existence.¹⁵⁶ The reason is that the non-impairment of the obligations of contract or of vested rights must yield to the legitimate exercise of the power, by the legislature, to prescribe regulations to promote the health, morals, peace, education, good order, safety and general welfare of the people.¹⁵⁷ Any right acquired under a statute or under a contract is subject to the condition that it may be impaired by the state in the legitimate exercise of its police power, since the reservation of the essential attributes of sovereign power, one of which is the police power, is deemed read into every statute or contract as a postulate of the legal order.¹⁵⁸

9.24. Statutes relating to prescription.

The general rule is that a statute relating to prescription of action, being procedural in nature, applies to all actions filed after its effectivity. In other words, such a statute is both prospective in the sense that it applies to causes that accrued and will accrue after it

¹⁵⁵Ongsiako v. Gamboa, 86 Phil. 50 (1950).

¹⁵⁶Cebu Transit Co. v. Public Service Commission, 79 Phil. 386 (1947); Santos v. Alvarez, 78 Phil. 503 (1947); Co Chiong v. Guaderno, 83 Phil. 242 (1949); Melchor v. Moya, G.R. No. 38256, March 17, 1983, 121 SCRA 1.

¹⁵⁷Ortigas & Co., Ltd. v. First Bank & Trust Co., G.R. No. 24670, December 14, 1979, 94 SCRA 533; Juarez v. Court of Appeals, 214 SCRA 476 (1992).

¹⁵⁸Phil. American Life Insurance Co. v. Auditor General, G.R. No. 19255, January 18, 1968, 22 SCRA 135.

took effect, and retroactive in the sense that it applies to causes that accrued before its passage.¹⁸⁸ However, a statute of limitations will not be given retroactive operation to causes of action that accrued prior to its enactment if to do so will remove a bar of limitation which has become complete or disturb existing claims without allowing a reasonable time to bring actions thereon.¹⁸⁹

The legislature usually indicates its intent to apply a statute of limitations retroactively. For instance, Article 1116 of the Civil Code provides that "[p]rescription already running before the effectivity of this Code shall be governed by laws previously in force; but if since the time this Code took effect the entire period herein required for prescription should elapse, the present Code shall be applicable even though by the former laws a longer period might be required." This provision in a sense is retroactive since it applies to a cause that accrued prior to its effectivity which, when filed, has prescribed under the new Civil Code even though the period of prescription prescribed under the old law has not ended at the time the action is filed in court.¹⁹⁰ It has been held that the legislature intended a statute of limitations to have a retroactive operation to existing causes, where it requires that "actions already commenced before the effective date of this Act shall not be affected by the period herein prescribed" since it applies, by such provision, to all causes still to be filed,¹⁹¹ or where it provides that it shall go into effect after a fixed period since it applies to all existing causes to be prosecuted within the fixed period.¹⁹²

The fact that the legislature has indicated that a statute relating to prescription should be given retroactive effect will not warrant giving it such operation if to do so will impair vested rights. A statute of limitations prescribing a longer period to file an action than that specified under the old law may not be so construed as having a retroactive operation, even if it so provides, as to revive a cause that already prescribed under the old statute, for that will impair the vested right of the person against whom the cause

is asserted.¹⁹³ Similarly, a statute which shortens the period of prescription and requires that causes which accrued prior to its effectivity be prosecuted or filed not later than a specific date may not be construed to apply to existing causes which, pursuant to the old law under which they accrued, will not prescribe until a much longer period than that specified in the later enactment because the right to bring an action is founded on law which has become vested before the passage of the new statute of limitations.¹⁹⁴

9.25. Apparently conflicting decisions on prescription.

In *Billones v. Court of Industrial Relations*,¹⁹⁵ the question raised is whether Section 7-A of Commonwealth Act No. 144, as amended by Republic Act No. 1993, to the effect that "any action to enforce any cause (i.e., nonpayment of wages or overtime compensation) under this Act shall be commenced within three years after such cause of action accrued; otherwise, such action shall be forever barred: *Provided, however, That actions already commenced before the effective date of this Act shall not be affected by the period herein prescribed*" should be given retroactive effect on existing causes. As the statute shortened the period of prescription from six to three years from the date the cause of action accrued, it was contended that to give it retroactive effect would impair vested rights since it would operate to preclude the prosecution of claims that accrued more than three but less than six years from their accrual. The court ruled that a statute of limitations is procedural in nature and no vested right can attach thereto nor arise therefrom. It said that when the legislature provided that "actions already commenced before the effective date of this Act shall not be affected by the period herein prescribed," it intended to apply the statute to all existing actions filed after the effectivity of the law. The court added, however, that because the statute shortened the period within which to bring an action and in order not to violate the constitutional mandate concerning due process, claimants whose claims were injuriously affected thereby should have a reasonable period of one year from the time the new statute took effect within which to sue on such claims.

¹⁸⁸Kozisek v. Brigham, 210 N.W. 622, 49 ALR 1260 (1926).

¹⁸⁹Billones v. Court of Industrial Relations, G.R. No. 17566, July 30, 1965, 14 SCRA 674; Louisville Coöperage Co. v. Rudd, 124 SW2d 1063, 114 ALR 763 (1939).

¹⁹⁰Nagrámpa v. Nagrámpa, 109 Phil. 1077 (1960).

¹⁹¹Billones v. Court of Industrial Relations, G.R. No. 17566, July 30, 1965, 14 SCRA 674.

¹⁹²Louisville Coöperage Co. v. Rudd, 124 SW2d 1063, 144 ALR 763 (1939).

¹⁹³Bussey v. Bishop, 160 S.E. 78, 67 ALR 287 (1929).

¹⁹⁴Corales v. Employees Compensation Commission, G.R. No. 44063, February 27, 1979, 88 SCRA 647; Billones v. Employees' Compensation Commission, G.R. No. 44031, February 14, 1980, 96 SCRA 111.

¹⁹⁵G.R. No. 17566, July 30, 1965, 14 SCRA 674.

However, in *Corales v. Employees' Compensation Commission*,¹⁶⁷ a similar issue as that in *Billones* was raised but the court arrived at a different conclusion. The question raised in the *Corales* case is whether a claim for workmen's compensation which accrued under the old Workmen's Compensation Act but filed after March 31, 1975 is barred by the provision of the New Labor Code which repealed the Workmen's Compensation Act and requires that "workmen's compensation claims accruing prior to the effectivity of this Code x x shall be filed with the appropriate regional offices of the Department of Labor not later than March 31, 1975, otherwise they shall be barred forever."¹⁶⁸ The court ruled that this provision does not apply to claims for workmen's compensation that accrued before the Labor Code took effect, even if such claims were not filed not later than March 31, 1975, because the "prescriptive period for claims which accrued under the Workmen's Compensation Act, as amended, is ten (10) years" which "is a right founded on statute" and "hence is a vested right" that cannot be impaired by the retroactive application of the Labor Code.

In *Billones* and *Corales* cases, the statutes respectively involved therein shortened the period of prescription to bring and file actions. In *Corales*, the court considered the right to prosecute the action that accrued under the old law as one founded on law and a vested right. In *Billones*, while the court said that such right to bring an action that accrued under the old law is not a vested right, it did say that the right is one protected by the due process clause of the Constitution. The problem confronting the court in both cases is how to safeguard the right to bring the action whose prescriptive period to institute it has been shortened by law. To solve the problem, the court in the *Corales* case construed the statute of limitations as inapplicable to the action that accrued before the new law took effect; the court in the *Billones* case gave the claimants whose rights have been affected, one year from the date the law took effect within which to sue on their claims. The court certainly has the power to construe statutes; it is generally held that the court has no power to read into the law something which the law itself did not provide expressly or impliedly. On this basis, the *Corales* case appears to be predicated on firmer grounds.

9.26. Prescription in criminal and civil cases.

As a general rule, the laws on prescription of actions apply as well to crimes committed before the enactment as afterwards. There is, however, a distinction between a statute of limitations in criminal actions and that of limitations in civil suits, as regards their construction. In a civil suit, the statute is enacted by the legislature as an impartial arbiter between two contending parties. In the construction of such statute, there is no intentment to be made in favor of either party. Neither grants the right to the other; there is therefore no grantor against whom no ordinary presumptions of construction are to be made.¹⁶⁹

The rule is otherwise in statutes of limitations concerning criminal cases. Here, the state is the grantor, surrendering by act of grace its right to prosecute or declare that the offense is no longer subject of prosecution after the prescriptive period. Such statutes are not only liberally construed but are applied retroactively if favorable to the accused, as well.¹⁷⁰

9.27. Statutes relating to appeals.

The right to appeal from an adverse judgment, other than that which the Constitution grants, is statutory and may be restricted or taken away. A statute relating to appeals is remedial or procedural in nature and applies to pending actions in which no judgment has yet been promulgated at the time the statute took effect. Such statute, like other statutes, may not however be construed retroactively so as to impair vested rights. Hence, a statute which eliminates the right to appeal and considers the judgment rendered in a case final and unappealable, destroys the right to appeal a decision rendered after the statute went into effect,¹⁷¹ but not the right to prosecute an appeal that has been perfected before the passage of the law, for in the latter case, the right of the appellant to appeal has become vested under the old law and may not therefore be impaired.¹⁷²

In the absence of a clear legislative intent to the contrary, a statute shortening the period for taking appeals is to be given

¹⁶⁷G.R. No. 44063, February 27, 1979, 88 SCRA 547; see also *Billones v. Employees' Compensation Commission*, G.R. No. 44031, February 14, 1980, 96 SCRA 111, which reiterated the doctrine laid down in the *Billones* case.

¹⁶⁸Art. 292, Labor Code.

¹⁶⁹*People v. Moran*, 44 Phil. 387 (1923).

¹⁷⁰*People v. Moran*, *supra*.

¹⁷¹*Payon v. Phil. Island Telephone & Telegraph Co.*, 9 Phil. 247 (1907); *Prilo v. Prilo*, 9 Phil. 566 (1908).

¹⁷²*Un Pak Leung v. Nigorra*, 9 Phil. 486 (1908).

prospective effect and may not be applied to pending proceedings in which judgment has already been rendered at the time of its enactment. Thus, where a statute shortened the period for taking appeals from thirty days to fifteen days from notice of judgment, an appeal taken within thirty days but beyond fifteen days from notice of the judgment promulgated before the statute took effect is deemed seasonably perfected.¹⁷³

Chapter X

AMENDMENT, REVISION, CODIFICATION AND REPEAL

A. AMENDMENT

10.01. Power to amend.

The legislature has the authority to amend, subject to constitutional requirements, any existing law. The authority to amend is part of the legislative power to enact, alter and repeal laws.¹ Even statutes in the nature of contracts, such as legislative franchises to establish and operate public utilities, may be altered or modified by the legislature unilaterally, without impairing the obligations of contract, for deemed read into the legislative franchise is the constitutional provision that "it shall be subject to amendment, alteration or repeal by the Congress when the common good so requires."² But the Supreme Court, in the exercise of its rule-making power or of its power to interpret the law, has no authority to amend or change the law, such authority being the exclusive prerogative of the legislature.³

10.02. How amendment effected.

Amendment means the change or modification, by addition, deletion, or alteration, of a statute which survives in its amended form. The amendment of statute is effected by the enactment of an amendatory act modifying or altering some provisions of the statute

¹*Oceña v. Commission on Elections*, G.R. No. 52265, January 28, 1980, 95 SCRA 756.

²Sec. 11, Art. XII, 1987 Constitution.

³*Crisolo v. Macadaag*, 94 Phil. 862 (1954); *Philippine National Bank v. Asuncion*, G.R. No. 46095, November 23, 1977, 80 SCRA 321.

¹⁷³*Berliner v. Roberts*, 349 P.2d 498, 81 ALR 2d 413 (1960); *Cook v. Massey*, 220 P.1088, 35 ALR 200 (1923).

either expressly or impliedly.⁴ Express amendment is done by providing in the amendatory act that specific sections or provisions of a statute are amended as recited therein⁵ or, as commonly indicated, "to read as follows:" The section or sections affected are then reproduced as amended.⁶

10.03. Amendment by implication.

An amendment by implication is neither presumed nor favored. On the contrary, every statute should be harmonized with other laws on the same subject, in the absence of a clear inconsistency between them.⁷ The legislative intent to amend a prior law on the same subject is usually shown by a statement in the later act that any provision of law which is inconsistent therewith is modified accordingly.⁸ The absence of such a provision in the statute does not, however, mean that the subsequent law may no longer operate to amend or modify a prior act on the same subject; it so operates as long as there is an irreconcilable repugnancy between them.⁹

There is an implied amendment where a part of a prior statute embracing the same subject as the later act may not be enforced without nullifying the pertinent provision of the latter, in which event, the prior act is deemed amended or modified to the extent of the repugnancy. Thus, where a statute which requires that the annual realty tax on lands or buildings be paid on or before a specified date, subject to penalty of a percentage of the whole amount of tax due in case of delayed payment, is amended by authorizing payment of the tax in four equal installments to become due on or before specified dates, the penalty provision of the earlier statute is deemed modified by implication in the sense that the penalty for late payment of an installment under the later law will be collected and computed only on the installment that became due and unpaid, and not on the whole amount of annual tax as provided in the old statute. The legislative intent to change the basis on which to compute the penalty is clear when the later law allowed payment of the annual tax in four installments. For to compute the penalty on the whole amount of annual tax for late payment of only one install-

ment, which would be the case if the penalty provision is not deemed modified, would clearly be unjust and arbitrary.¹⁰ And where a statute punishing an act which is also a crime under the Revised Penal Code provides a penalty in terms of the classification and duration of the penalties as prescribed in the said Code, such statute is not a special law but an amendment by implication of the pertinent provision of the Revised Penal Code.¹¹

10.04. When amendment takes effect.

An amendatory act takes effect after fifteen days following its publication in the Official Gazette or newspaper of general circulation, unless a date is specified therein after such publication.¹² Since an amendment is a part of the original act that is already in force and in effect, it must necessarily become effective as part of the amended law at the time the amendatory act takes effect.¹³

10.05. How amendment is construed, generally.

A statute and its amendment should be read together as a whole. An amended act is ordinarily to be construed as if the original statute has been repealed and a new and independent act in the amended form had been adopted in its stead. In other words, the amended act is regarded as if the statute has been originally enacted in its amended form. The amendment becomes a part of the original statute as if it had always been contained therein.¹⁴ The amendment to a section of an act should be read in connection with other sections as if all had been enacted in the same statute, and, as far as possible, effect should be given to all of them in furtherance of the general design of the act.¹⁵

The provisions of the original act which are not affected by the amendment and those portions of the section amended which are repealed in the amendment remain in force, while those parts of the section amended which are omitted in the amendment are deemed repealed.¹⁶ In other words, where an amendment leaves certain

⁴David v. Dancel, G.R. No. 21485, July 25, 1966, 17 SCRA 696.

⁵Estrada v. Caeda, 84 Phil. 791 (1949).

⁶People v. Garcia, 85 Phil. 651 (1950).

⁷People v. Olarte, 108 Phil. 756 (1960).

⁸Manila Railroad Co. v. Raftery, 40 Phil. 224 (1919).

⁹Garcia Valdez v. Tusson, 40 Phil. 943 (1920).

¹⁰Quimpo v. Mendoza, G.R. No. 33052, August 31, 1981, 107 SCRA 73.

¹¹People v. Macatanda, G.R. No. 51368, November 6, 1981, 109 SCRA 35.

¹²Art. 2, Civil Code.

¹³See Sec. 1.42, *supra*.

¹⁴Estrada v. Caeda, 84 Phil. 791 (1949); People v. Garcia, 85 Phil. 651 (1950).

¹⁵Sotto v. Sotto, 43 Phil. 688 (1922).

¹⁶Parras v. Land Registration Commission, 108 Phil. 1142 (1960).

portions of an act unchanged, such portions are continued in force, with the same meaning and effect they have before the amendment. So where an amendatory act provides that an existing statute shall be amended to read as recited in the amendatory act, such portions of the existing law as are retained either literally or substantially are regarded as a continuation of the existing law and not as a new enactment.¹⁷ For instance, where a statute which provides that it shall be in force for a period of two years from its approval is amended by another statute which provides that it shall be in force for a period of four years after its approval, the four years is to be counted from the date the original statute was approved and not from the date the amendatory act was enacted.¹⁸

10.06. Meaning of law changed by amendment.

An amendatory act is construed by comparing it with the original statute to determine its proper construction. As a rule, an amended act should be given a construction different from that of the law prior to its amendment, for it is presumed that the legislature would not have amended it had it not wanted to change its meaning.¹⁹ The fact that the amendment was made shows, as a rule, that prior to the introduction of the amendment, the statute had a different meaning,²⁰ which the amendment changed in all the particulars touching which a material change in the language of the later act exists.²¹ The deliberate selection of language in the amendatory act differing from that of the original act indicates that the legislature intended a change in the law or in its meaning, and the court should endeavor to give effect to such intent.²² Thus, where a statutory definition of term containing a general rule and an exception thereto is amended by eliminating the exception, the legislative intent is clear that the term should now include the exception within the scope of the general rule.²³ And where a section of a statute requiring payment of publication fees in land registration proceedings, except in cases where the value of the land does not exceed P50,000.00, is

amended by deleting the excepting clause, it means that the statute as amended now requires payment of publication fees regardless of the value of the land involved, for the suppression of the excepting clause amounts to the withdrawal of the exemption allowed under the original act.²⁴

10.07. Amendment operates prospectively.

The general rule is that an amendatory act operates prospectively. An amendment will not be construed as having a retroactive effect, unless the contrary is provided or the legislative intent to give it a retroactive effect is necessarily implied from the language used and only if no vested right is impaired.²⁵ Every case of doubt will be resolved against retroactive effect of an amendment.²⁶ Thus, where a statute amending a tax law is silent as to whether it operates retroactively, the amendment will not be given a retroactive effect so as to subject to tax past transactions not subject to tax under the original act.²⁷

However, it has been held that statutes relating to procedure in courts are applicable to actions pending and undetermined at the time of their passage. Procedural laws are retroactive in that sense.²⁸

10.08. Effect of amendment on vested rights.

An amendment will not be construed retroactively, even though it so provides, if to do so will impair vested rights or the obligations of contract.²⁹ The rule is settled that after a statute is amended, the original act continues to be in force with regard to all rights that had accrued prior to the amendment or to obligations that were contracted under the prior act, and such rights or obligations will continue to be governed by the law before its amendment.³⁰ Stated

¹⁷*Estrada v. Casada*, 84 Phil. 791 (1949); *People v. Garcia*, 85 Phil. 615 (1950).
¹⁸*Estrada v. Casada*, *supra*.

¹⁹*Manila Electric Co. v. Board of Utility Commissioners*, 30 Phil. 387 (1915).

²⁰*Palanca v. City of Manila*, 41 Phil. 125 (1920).

²¹*U. S. v. Pashaw*, 50 F. 749, 38 L. ed. 505 (1894).

²²*Sarcos v. Castillo*, G.R. No. 23756, January 31, 1969, 26 SCRA 853, *Portillo v. Salvani*, 54 Phil. 543 (1930).

²³*Victorias Milling Co., Inc. v. Social Security System*, 114 Phil. 555 (1962).

²⁴*Parras v. Land Registration Commission*, 108 Phil. 1142 (1960).

²⁵*Buyco v. Phil. National Bank*, 112 Phil. 588 (1961); *Pacia v. Kapisanan ng mga Manggagawa sa MRR Co.*, 99 Phil. 45 (1956).

²⁶*Monilla v. Agustinian Corp.*, 24 Phil. 220 (1913). See Sec. 9.16, *supra*.

²⁷*Imperial v. Collector of Internal Revenue*, G.R. No. 7924, Sept. 30, 1955, on motion for reconsideration, November 18, 1955; *Collector of Internal Revenue v. La Tondña, Inc.*, 115 Phil. 841 (1962).

²⁸*Din v. Court of Appeals*, 66 SCAD 749, 251 SCRA 472 (1995).

²⁹*Buyco v. Phil. National Bank*, *supra*; *Escasura v. San Miguel, Inc.*, 114 Phil. 225 (1962).

³⁰*Buyco v. Phil. National Bank*, *supra*.

differently, rights which have become vested under a statute before its amendment may not be affected by such amendment, as the amendatory act should not be applied retroactively so as to nullify such rights.³¹

10.09. Effect of amendment on jurisdiction.

It is well-settled that the jurisdiction of a court to try cases is determined by the law in force at the time the action is instituted.³² Once jurisdiction to try a case is acquired, that jurisdiction remains with the court until the case is finally decided therein. In the absence of a clear legislative intent to the contrary, a subsequent statute amending a prior act with the effect of divesting the court of jurisdiction may not be construed to operate to oust jurisdiction that has already attached under the prior law,³³ for it will be a "subversion of the judicial process to take a cause from a court having jurisdiction before its final decision is given."³⁴ Thus, where a court originally obtains and exercises jurisdiction pursuant to an existing law, such jurisdiction will not be overturned and impaired by the subsequent amendment of the law, unless express prohibitory words or words of similar import are used.³⁵

The rule applies to quasi-judicial bodies. P.D. Nos. 1691 and 1391 vested Labor Arbiters with original and exclusive jurisdiction over all cases involving employer-employee relations, including money claims arising out of any law or contract involving Filipino workers for overseas employment. Pursuant to such laws, an overseas worker filed a money claim against his recruiter, and while this case was pending, E.O. No. 797 was enacted, which vested the POEA with original and exclusive jurisdiction over all cases, including money claims, arising out of law or contract involving Filipino workers for overseas employment. The issue was whether the decision of the labor arbiter in favor of the overseas worker was invalid, as he proceeded to hear and try the case notwithstanding the promulgation of E.O. No. 797. The Court sustained the validity of the decision and ruled that the labor arbiter still had the authority

to decide the case because E.O. No. 797 did not divest the labor arbiter of his authority to hear and decide the case filed by the overseas worker prior to its effectivity. It explained that the rule is that jurisdiction over the subject matter is determined by the law in force at the time of the commencement of the action; that laws should only be applied prospectively unless the legislative intent to give them retroactive effect is expressly declared or is necessarily implied from the language used; and that the language of E.O. No. 797 did not show any intention to give it retroactive effect.³⁶

10.10. Effect of nullity of prior or amendatory act.

An invalid or unconstitutional law does not in legal contemplation, generally speaking, exist.³⁷ Hence, where a statute which has been amended is invalid, nothing in effect has been amended. The amendatory act, if complete by itself, will be considered as an original or independent act.³⁸ On the other hand, where the amendatory act is declared unconstitutional, it is as if the amendment did not exist, and the original statute before the attempted amendment remains unaffected and in force.³⁹

B. REVISION AND CODIFICATION

10.11. Generally.

The legislature sometimes enacts revised or codified statutes, specially in fields or subjects in which the legislature has passed various laws. The purpose is to restate the existing laws into one statute, simplify complicated provisions, and make the laws on the subject easily found. However, in the course of revision or codification, some new provisions are inserted, some old provisions are omitted, the phraseology is changed, and sections are rearranged. The problem involved is what meaning or significance may be attached to any of these modifications or changes.

³¹*Escasaura v. San Miguel, Inc.*, 114 Phil. 25 (1962); *Buyco v. Phil. National Bank, supra*; *People v. Butler*, G.R. No. 50276, January 27, 1963, 120 SCRA 281.

³²*Rillarova v. Arriaga*, G.R. No. 23848, October 31, 1967, 21 SCRA 717.

³³*Rillarova v. Arriaga, supra*.

³⁴*Government v. Gale*, 24 Phil. 95, 100 (1913).

³⁵*Duran v. Labes*, 87 Phil. 234 (1950).

³⁶*Efectors, Inc. v. NIRC*, 70 SCAD 512, 256 SCRA 629 (1996).

³⁷*Manila Motor Co., Inc. v. Flores*, 99 Phil. 738 (1956).

³⁸*People v. Lim*, 108 Phil. 1091 (1960).

³⁹*Government v. Agoncillo*, 50 Phil. 348 (1927); *Government v. Springer*, 50 Phil. 259 (1927).

10.12. Construction to harmonize different provisions.

In the revision or codification of laws, the presumption is that its author has maintained a consistent philosophy or position. Consequently, the different provisions of a revised statute or code should be read and construed together. Such construction will be adopted as will reconcile or harmonize the various provisions and avoid a conflict between them.⁴⁶ The rule is that a code is enacted as a single, comprehensive statute, and is to be considered as such and not as a series of disconnected articles or provisions.⁴⁷ Where there is, however, an irreconcilable conflict between parts of a revised statute or a code, that which is best in accord with the general plan or, in the absence of circumstances upon which to base a choice, that which is later in physical position, being the latest expression of legislative will, will prevail.⁴⁸

10.13. What is omitted is deemed repealed.

In the revision or codification of laws, all parts and provisions of the old laws that are omitted in the revised statute or code are deemed repealed, unless the statute or code provides otherwise, expressly or impliedly.⁴⁹ The reason is that a revision or codification is, by its very nature and purpose, intended to be a complete enactment on the subject and an expression of the whole law thereon, which thereby indicates an intent on the part of the legislature to abrogate those provisions of the old laws that are not reproduced in the revised statute or code.⁵⁰

The repeal by revision or codification of former laws is possible only if the revised statute or code was intended to cover the whole subject to be a complete and perfect system in itself. It is the rule that a subsequent statute is deemed to repeal a prior law if the former revises the whole subject matter of the former statute. When both intent and scope clearly evince the idea of a repeal, then all parts and provisions of the prior act that are omitted from the revised act are deemed repealed. Before there can be an implied repeal under this category, it must be the clear intent of the legislature that the later act be the substitute to the prior act.⁵¹

⁴⁶*Sanchez v. Rigos*, G.R. No. 25494, June 14, 1972, 45 SCRA 368.

⁴⁷*Baking v. Director of Prisons*, G.R. No. 30364, July 28, 1969, 28 SCRA 350.

⁴⁸*Elchaco & Co. v. Apostol*, 44 Phil. 138 (1922).

⁴⁹*People v. Benuya*, 61 Phil. 208 (1935).

⁵⁰*Joquin v. Navarro*, 81 Phil. 373 (1948).

⁵¹*Mecano v. Commission on Audit*, 216 SCRA 500 (1992).

Illustrative of the rule is *Mecano v. Commission on Audit*.⁵² The case involved a claim for reimbursement by a government official of medical and hospitalization expenses pursuant to Section 699 of the Revised Administrative Code of 1917, which authorizes the head of office to cause reimbursement or payment of medical and hospital expenses of a government official in case of sickness or injury caused by or connected directly with the performance of his official duty. The Commission on Audit denied the claim on the ground that the Administrative Code of 1987, which revised the old Administrative Code, repealed Sec. 699 because it was omitted in the revised Code. In reversing the Commission on Audit and granting the claim, the Supreme Court ruled that the legislature did not intend, in enacting the new Code, to repeal Section 699 of the old Code. By providing in its repealing clause that "all laws, decrees, orders, rules and regulations, or portions thereof, inconsistent with this Code are hereby repealed or modified accordingly," the new Code did not expressly repeal the old Code as the new Code fails to identify or designate the act or acts that are intended to be repealed.

Nor can it be said, the Supreme Court in the *Mecano* case added, that the new Code impliedly repealed Section 699. "There are two categories of repeal by implication. The first is where provisions in the two acts on the same subject matter are in an irreconcilable conflict, the later act to the extent of the conflict constitutes an implied repeal of the earlier one. The second is if the later act covers the whole subject of the earlier one and is clearly intended as a substitute, it will operate to repeal the earlier law." "Comparing the two Codes, it is apparent that the new Code does not cover nor attempt to cover the entire subject matter of the old Code. There are several matters treated in the old Code which are not found in the new Code." There is no irreconcilable conflict between the two Codes on the matter of sickness benefits: "because the provision on sickness benefits" "has not been restated in the" new Code. This non-restatement does not imply that what has been omitted is deemed repealed. "The fact that a later enactment may relate to the same subject matter as that of an earlier statute is not of itself sufficient to cause an implied repeal of the prior act, since the new statute may merely be cumulative or a continuation of the old one. What is necessary is a manifest indication of legislative purpose to repeal." The whereas clause of the 1987 Code to the effect that

⁵²*Id.*

the "effectiveness of the Government will be enhanced by a new Administrative Code which incorporates in a unified document the major structural, functional and procedural principles and rules of governance" does not evince a legislative intent to entirely supplant the old Code. What this whereas clause shows "is the intent to cover only those aspects of government that pertain to administration, organization and procedure, understandably because of the many changes that transpired in the government structure since the enactment of the old Code."

10.14. Change in phraseology.

The change in phraseology in the revised statute or Code from that of the old laws does not, by itself, imply that it was the intention of the lawmakers to amend or change the construction of the old laws. For it is a well-settled rule that in the revision or codification of statutes, neither an alteration in phraseology nor the omission or addition of words in the later statute shall be held necessarily to alter the construction of the former acts. And the court is only warranted in holding the construction of a statute, when revised or codified, to be changed, where the intent of the legislature to make such change is clear, or the language used in the new act plainly requires such change of construction. It should be remembered that condensation is a necessity in the work of revision or codification. Very frequently, words which do not materially affect the sense will be omitted from the statute as incorporated in the revised statute or code, or that some general idea will be expressed in brief phrases. No design of altering the law itself could rightly be predicated upon such modification of the language.⁴⁷ Of course, if there has been a material change or omission, which clearly indicates an intent to depart from the previous construction of the old laws, then such construction as will effectuate such intent will be adopted.⁴⁸

10.15. Continuation of existing laws.

A codification should be construed as a continuation of the existing statutes. In such case, the presumption obtains that the codifiers did not intend to change the law as it formerly existed. The rearrangement of sections or parts of a statute, or the placing of

portions of what formerly was a single section in separate sections, does not operate to change the operation, effect or meaning of the statute, unless the changes are of such nature as to manifest clearly and unmistakably a legislative intent to change the former laws.⁴⁹

C. REPEAL

10.16. Power to repeal.

Subject to constitutional limitations, the legislature has plenary power to repeal, abrogate or revoke existing laws. The power to repeal a law is as complete as the power to enact one. The legislature cannot in and of itself enact irrevocable laws or limit its future legislative acts.⁵⁰

The Supreme Court has no power to repeal laws. While it has the power to promulgate rules of procedure, it cannot in the exercise of such power alter, change or repeal substantive laws.⁵¹

10.17. The Constitution prohibits passage of irrevocable laws; all laws are repealable

In *City of Davao v. RTC*, G.R. No. 127383, August 18, 2005, the issue is whether the Local Government Code of 1991 repealed or withdrew the tax-exemption of GSIS.

The City of Davao claims that the exemption granted in Section 33 of P.D. No. 1146, as amended, in favor of GSIS was effectively withdrawn upon the enactment of the Local Government Code, particularly Sections 193 and 294 thereof. These provisions made the GSIS, along with all other GOCCs, subject to realty taxes. Petitioners point out that under Section 534(f) of the Local Government Code, even special laws, such as PD No. 1146, which are inconsistent with the Local Government Code, are repealed or modified accordingly.

On the other hand, GSIS contends, as the RTC held, that the requisites for repeal are laid down in Section 33 of P.D. No. 1146, as amended, namely (1) that it be done expressly and categorically by

⁴⁷*Greenfield v. Meer*, 77 Phil. 394 (1946), citing *Black on Construction and*

Interpretation of Laws, 2nd ed., pp. 594-595.

⁴⁸See Sec. 3.25, *supra*.

⁴⁹*Re Estate of Johnson*, 75 NW2d 313, 55 ALR2d 1049 (1965).

⁵⁰*Duarte v. Dade*, 32 Phil. 36 (1915).

⁵¹*Chua Wee v. Republic*, G.R. No. 27731, April 21, 1971, 38 SCRA 409, Phil. National Bank v. Asuncion, G.R. No. 46095, December 23, 1977, 80 SCRA 321.

law, and (2) that a provision be enacted to substitute the declared policy of exemption from taxes as an essential factor for the solvency of the GSIS fund, had not been met. It further contends that the Local Government Code did not comply with the second condition imposed by law, namely, by providing a declared policy of exemption from taxes as an essential factor for the solvency of the GSIS fund.

The Court ruled the condition imposed by Sec. 33 tied the hands of future legislators and hence, the withdrawal of tax exemption by the LGC is valid and has not been affected by the conditions imposed Sec. 33. The Court held:

"However, P.D. No. 1981 did not stop there, serving merely as it should to restore the previous exemptions on the GSIS. It also attempted to proscribe future attempts to alter the tax-exempt status of the GSIS by imposing unorthodox conditions for its future repeal. Thus, as intimated earlier, a second paragraph was added to Section 33, containing the restrictions relied upon by the RTC and presently invoked by the GSIS before this Court.

x x x

Absent Section 33 of P.D. No. 1146, as amended, there would be no impediment in squarely applying the express provisions of Sections 193, 232 and 234 of the Local Government Code, as the Court did in *Macian* and recently in *Philippine Rural Electric Cooperatives Association, Inc. et al. v. Secretary of Interior And Local Government, et al.* and in ruling that the tax exemptions of GSIS were withdrawn by the Code. Thus, the crucial proposition is whether the GSIS tax exemptions can be deemed as withdrawn by the Local Government Code notwithstanding Section 33 of P.D. No. 1146 as amended.

Concededly, it does not appear that at the very least, the second conditionality of Section 33 has been met. No provision has been enacted "to substitute the declared policy of exemption from any and all taxes as an essential factor for the solvency of the fund." Yet the Court is averse to employing this framework, in the first place as utilized by the RTC, for we recognize a fundamental flaw in Section 33, particularly the amendatory second paragraph introduced by P.D. No. 1981.

The second paragraph of Section 33 of P.D. No. 1146, as amended, effectively imposes restrictions on the competency of

the Congress to enact future legislation on the taxability of the GSIS. This places an undue restraint on the plenary power of the legislature to amend or repeal laws, especially considering that it is a lawmaker's act that imposes such burden. Only the Constitution may operate to preclude or place restrictions on the amendment or repeal of laws. Constitutional *dicta* is of higher order than legislative statutes, and the latter should always yield to the former in cases of irreconcilable conflict.

It is a basic precept that among the implied substantive limitations on the legislative powers is the prohibition against the passage of irrepealable laws. Irrepealable laws deprive succeeding legislatures of the fundamental best senses carte blanche in crafting laws appropriate to the operative milieu. Their allowance promotes an unhealthy stasis in the legislative front and dissuades dynamic democratic impetus that may be responsive to the times. As Senior Associate Justice Reynato S. Puno once observed, "[t]o be sure, there are no irrepealable laws just as there are no irrepealable Constitutions. Change is the predicate of progress and we should not fear change."

x x x

The Court's position is aligned with entrenched norms of statutory construction. In *Duarte v. Dade*, the Court cited with approval Lewis' *Southerland* on Statutory Construction, which states:

A state legislature has a plenary law-making power over all subjects, whether pertaining to persons or things, within its territorial jurisdiction, either to introduce new laws or repeal the old, unless prohibited expressly or by implication by the federal constitution or limited or restrained by its own. It cannot bind itself or its successors by enacting irrepealable laws except when so restrained. Every legislative body may modify or abolish the acts passed by itself or its predecessors. This power of repeal may be exercised at the same session at which the original act was passed; and even while a bill is in its progress and before it becomes a law. This legislature cannot bind a future legislature to a particular mode of repeal. It cannot declare in advance the intent of subsequent legislatures or the effect of subsequent legislation upon existing statutes. (Emphasis supplied.)

The citation is particularly apropos to our present task, since the question for resolution is primarily one of statutory construction, i.e., whether or not Section 33 of P.D. No. 1146 has been repealed by the Local Government Code. It is evident that we cannot render effective the amendatory second paragraph of Section 33 as the RTC did, for by doing so, we would be giving sanction to a disingenuous means employed through legislative power to bind subsequent legislators to a particular mode of repeal.

10.18. Repeal, generally.

The repeal of a statute is either total or partial, express or implied. A statute which has been totally repealed is rendered revoked completely, while a partial repeal leaves the unaffected portions of the statute in force. A declaration in a statute, usually in its repealing clause, that a particular and specific law, identified by its number of title, is repealed is an express repeal; all other repeals are implied repeals.⁸² The failure to add a specific repealing clause indicates that the intent was not to repeal any existing law, unless an irreconcilable inconsistency and repugnancy exist in the terms of the new and old laws, which latter situation falls under the category of an implied repeal.⁸³

Laws are repealed only by the enactment of subsequent laws; they are not repealed, nor their violation nor non-observance excused, by disuse or customs and practice to the contrary.⁸⁴ The change in condition and circumstances after the passage of a law, which necessitated the enactment of a statute to overcome the difficulties brought about by such change does not operate to repeal the prior law, nor make the later statute so inconsistent with the prior act as to repeal it.⁸⁵

10.19. Repeal by implication.

Repeal by implication proceeds on the premise that where a statute of later date clearly reveals an intention on the part of the legislature to abrogate a prior act on the subject, that intention

⁸²Mecano v. Commission on Audit, 216 SCRA 500 (1992), citing Agpalo, *Statutory Construction*, p. 289 (1986).

⁸³Mecano v. Commission on Audit, *supra*.

⁸⁴David v. Dancel, G.R. No. 21485, July 26, 1966, 17 SCRA 696.

⁸⁵City of Manila v. Reyes, 99 Phil. 986 (1956).

must be given effect. However, before repeal by implication will be decreed, there must be a sufficient revelation of the legislative intent to repeal; the intention to repeal must be clear and manifest; otherwise, at least as a general rule, the latter act is to be construed as a continuation of, and not a substitute for, the first act and will continue to speak, so far as the two acts are the same, from the time of the first enactment.⁸⁶

There are two well-settled categories of repeals by implication. The first is where provisions in the two acts on the same subject matter are in an irreconcilable conflict, the later act to the extent of the conflict constitutes an implied repeal of the earlier one. The second is, if the later act covers the whole subject of the earlier one and is clearly intended as a substitute, it will operate similarly as a repeal of the earlier act.⁸⁷

10.20. Irreconcilable inconsistency.

Implied repeal brought about by irreconcilable repugnancy between two laws takes place when the two statutes cover the same subject matter; they are so clearly inconsistent and incompatible with each other that they cannot be reconciled or harmonized; and both cannot be given effect, that is, that one law cannot be enforced without nullifying the other.⁸⁸ To bring about an implied repeal, the earlier and later statutes should embrace the same subject and should have the same object. In other words, it is necessary that the object of the two statutes be the same, for if the object of one is different from that of the other, the two laws can stand together, although they refer to the same subject matter.⁸⁹

The fact that a later enactment may relate to the same subject matter as that of an earlier statute is not of itself sufficient to cause an implied repeal of the prior act, since the new statute may merely be cumulative or a continuation of the old one.⁹⁰ Nor is the mere difference in the terms and provisions of the two statutes sufficient

⁸⁶Jachanco & Co. v. Apostol, 44 Phil. 138 (1922); Posadas v. National City Bank, 296 U.S. 497, 80 L. ed. 351 (1935).

⁸⁷Posadas v. National City Bank, 296 U.S. 497, 80 L. ed. 351 (1935); Mecano v. Commission on Audit (1992), citing Agpalo, *Statutory Construction*, 289 (1986).

⁸⁸Phil. American Management Co., Inc. v. Phil. American Management Employees Assn., G.R. No. 35254, January 29, 1973, 49 SCRA 194; Villagas v. Subido, G.R. No. 31711, September 30, 1971, 41 SCRA 190.

⁸⁹People v. Castro, 43 Phil. 842 (1922); People v. Perfecto, 43 Phil. 887 (1922).

⁹⁰Valera v. Tuson, 80 Phil. 823 (1948).

to create repugnancy. In order to effect a repeal by implication, the later statute must be so irreconcilably inconsistent and repugnant with the existing law that they cannot be made to reconcile and stand together. The clearest case possible must be made before the inference of implied repeal may be drawn, for inconsistency is never presumed.⁶⁴ "It is necessary then," says the court in a case, "before such repeal is deemed to exist that it be shown that the statutes or statutory provisions deal with the same subject matter and that the latter be inconsistent with the former. There must be a showing of repugnancy, clear and convincing in character. The language used in the later statute must be such as to render it irreconcilable with what had been formerly enacted. An inconsistency that falls short of that standard does not suffice. What is needed is a manifest indication of legislative purpose to repeal."⁶⁵

The fact that the terms of an earlier and later provisions of law differ is not sufficient to create repugnancy, as to constitute the latter an implied repeal of the former. For instance, the fact that Section 28 of Rep. Act No. 7166 pertaining to canvassing by boards of canvassers is silent as to how the board of canvassers shall prepare the certificate of canvass and as to what will be its basis, which details are provided in the second paragraph of Sec. 231 of the Omnibus Election Code, an earlier statute, which states that the "respective boards of canvassers shall prepare a certificate of canvass duly signed and affixed with the imprint of the thumb of the right hand of each member, supported by a statement of the votes and received by each candidate in each polling place and, on the basis thereof, shall proclaim as elected the candidates who obtained the highest number of votes cast in the province, city, municipality or *barangay*" and "Failure to comply with this requirement shall constitute an election offense," did not thereby impliedly repeal the second paragraph of Section 231 of the Omnibus Election Code and render the failure to comply with the requirement no longer an election offense, the provisions being reconcilable.⁶⁶

Irreconcilable inconsistency between two laws embracing the same subject may also exist when the later law nullifies the reason

or purpose of the earlier act, so that the latter loses all meaning and function.⁶⁶ It has been held that a prior law is impliedly repealed by a later act where the reason for the earlier act is beyond peradventure removed.⁶⁸

Repeal by implication is based on the cardinal rule that in the science of jurisprudence, two inconsistent laws on the same subject cannot co-exist in one jurisdiction.⁶⁹ There cannot be two conflicting laws on the same subject. Either they are reconciled or, if they cannot, the later law repeals the prior law. *Leges posteriores priores contrarias abrogant*. This maxim embodies the principle of implied repeal.⁶⁷

In *Mecano v. Commission on Audit*,⁶⁸ the issue raised is whether Section 699 of the Revised Administrative Code has been repealed by the 1987 Administrative Code. Section 699 provides:

"When a person in the service of the national government or in the service of the government of a province, city, municipality or municipal district is so injured in the performance of duty as thereby to receive some actual physical hurt or wound, the proper head of department may direct that absence during any period of disability thereby occasioned shall be on full pay, though not more than six months, and in such case he may in his discretion also authorize the payment of the medical attendance, necessary transportation, subsistence and hospital fees of the injured person. Absence in the case contemplated shall be charged first against vacation leave, if there be any.

If a person in such service is killed or dies of injuries received or sickness contracted in line of duty, the Department Head shall authorize the payment of reasonable burial expenses and of six months' salary or wages in no case less than one thousand pesos to the surviving spouse or dependent child or children of such deceased person.

⁶⁴*Illoilo Palay & Corn Planters Assn., Inc. v. Feliciano*, G.R. No. 24022, March 3, 1965, 13 SCRA 377.

⁶⁵*Villegas v. Subido*, G.R. No. 31711, September 30, 1971, 41 SCRA 190, 196-197; *Jalandan v. Endaya*, G.R. No. 23894, January 24, 1974, 55 SCRA 261.

⁶⁶*Aguietas v. Court of Appeals*, 73 SCAD 560, 261 SCRA 17 (1996), citing *Ruben E. Agpelo, Statutory Construction*, 1990 ed., pp. 287-288.

⁶⁷*Ramirez v. Court of Appeals*, G.R. No. 23587, June 10, 1976, 71 SCRA 231; *Commissioner of Internal Revenue v. Radio Tuba Nickel Mining Corp.*, 202 SCRA 137.

⁶⁸*Smith, Bell & Co. v. Estate of Marconilla*, 41 Phil. 557 (1916).

⁶⁹*Garcia Valdez v. Tuason*, 40 Phil. 943 (1920).

⁶⁷*Erna v. Vergel de Dios*, 85 Phil. 17 (1949).

⁶⁸216 SCRA 500 (1992).

In case of sickness caused by or connected directly with the performance of some act in the line of duty, the department head may in his discretion authorize the payment of the necessary hospital fees.

For employees of a city, the time allowance and disbursements contemplated above shall not be granted except upon recommendation of the Municipal Board or Council of the city, in the case of employees of a provincial government, upon the recommendation of the provincial board, and in the case of employees of a municipal or municipal district government, upon the recommendation of the municipal council or municipal district mayor, as the case may be."

The 1987 Administrative Code provides that "All laws, decrees, orders, rules and regulations, or portions thereof, inconsistent with this Code are hereby repealed or modified accordingly." The Court held that the new Code did not repeal Section 699 of the old Code:

"There are two categories of repeal by implication. The first is where provisions in the two acts on the same subject matter are in an irreconcilable conflict, the later act to the extent of the conflict constitutes an implied repeal of the earlier one. The second is if the later act covers the whole subject of the earlier one and is clearly intended as a substitute, it will operate to repeal the earlier law.

Implied repeal by irreconcilable inconsistency takes place when two statutes cover the same subject matter; they are so clearly inconsistent and incompatible with each other that they cannot be reconciled or harmonized, and both cannot be given effect, that is, that one law cannot be enforced without nullifying the other.

Comparing the two Codes, it is apparent that the new Code does not cover nor attempt to cover the entire subject matter of the old Code. There are several matters treated in the old Code which are not found in the new Code, such as the provisions on notaries public; the leave law, the public bonding law, military reservations, claims for sickness benefits under Section 699 and still others.

Moreover, the COA failed to demonstrate that the provisions of the two Codes on the matter of the subject claim are in an irreconcilable conflict. In fact, there can be no such

conflict because the provision on sickness benefits of the nature being claimed by petitioner has not been restated in the Administrative Code of 1987. However, the COA would have us consider that the fact that Section 699 was not restated in the Administrative Code of 1987 meant that the same section had been repealed. It further maintained that to allow the particular provisions not restated in the new Code to continue in force argues against the Code itself. x x x. It argues, in effect, that what is contemplated is only one Code — the Administrative Code of 1987. This contention is untenable.

The fact that a later enactment may relate to the same subject matter as that of an earlier statute is not of itself sufficient to cause an implied repeal of the prior act, since the new statute may merely be cumulative or a continuation of the old one. What is necessary is a manifest indication of legislative purpose to repeal.

We come now to the second category of repeal — the enactment of a statute revising or codifying the former laws on the whole subject matter. This is only possible if the revised statute or code was intended to cover the whole subject to be a complete and perfect system in itself. It is the rule that a subsequent statute is deemed to repeal a prior law if the former revises the whole subject matter of the former statute. When both intent and scope clearly evince the idea of a repeal, then all parts and provisions of the prior act that are omitted from the revised act are deemed repealed. Furthermore, before there can be an implied repeal under this category, it must be the clear intent of the legislature that the later act be the substitute of the prior act.

According to Opinion No. 73, s. 1991, of the Secretary of Justice, what appears clear is the intent to cover only those aspects of government that pertain to administration, organization and procedure, understandably because of the many changes that transpired in the government structure since the enactment of the RAC decades of years ago. x x x. It has been held that opinions of the Secretary and Undersecretary of Justice are material in the construction of statutes *in pari materia*.

Lastly, it is well-settled rule of statutory construction that repeals of statutes by implication are not favored. The

presumption is against inconsistency and repugnancy for the legislature is presumed to know the existing laws on the subject and not to have enacted inconsistent or conflicting statutes."⁸⁶

In *Ty v. Trampe*,⁸⁷ the issue raised is whether P.D. No. 921 on real estate taxes has been repealed impliedly by Rep. Act No. 7160, otherwise known as the Local Government Code of 1991 on the same subject. In holding that there has been no implied repeal, the Court said:

"From the above, it is clear that the two laws are not co-extensive and mutually inclusive in their scope and purpose. While R.A. No. 7160 covers almost all governmental functions delegated to local government units all over the country, P.D. No. 921 embraces only Metropolitan Manila Area and is limited to the administration of financial services therein, especially the assessment and collection of real estate (and some other local) taxes.

Coming down to specifics, Sec. 9 of P.D. No. 921 requires that the schedule of values of real properties in the Metropolitan Manila Area shall be prepared jointly by the city assessors in the districts created therein; while Sec. 212 of R.A. No. 71 states that the schedule shall be prepared by the provincial, city and municipal assessors of the municipalities within the Metropolitan Manila Area for the different classes of real property situated in their respective local government units for enactment by ordinance of the *sanggunian* concerned." x x x.

It is obvious that harmony in the provisions is not only possible, but in fact desirable, necessary and consistent with the legislative intent and policy. x x x."

In *Hagad v. Gozo-Dadole*,⁸⁸ it is claimed that Sec. 19 of Rep. Act No. 6770, the Ombudsman Act, which grants disciplinary authority to the Ombudsman to discipline elective and appointive officials, except those impeachable officers, has been repealed by Rep. Act No. 7160, the Local Government Code, insofar as local elective officials are concerned, because the latter is a subsequent law which vests

disciplinary authority against elective local officials in the various officials therein named. In rejecting the claim, the Court ruled that both laws should be given effect because "there is nothing in the Local Government Code to indicate that it has repealed, whether expressly or impliedly, the pertinent provisions of the Ombudsman Act. The two statutes on the specific matter in question are not so inconsistent, let alone irreconcilable, as to compel us to uphold one and strike down the other. Well-settled is the rule that repeals of laws by implication are not favored, and that courts must generally assume their congruent application. The two laws must be absolutely incompatible, and a clear finding thereof must surface, before the inference of implied repeal may be drawn. The rule is expressed in the maxim, *interpretare et concordare leges legibus, est optimus interpretandi modus*, i.e., every statute must be so interpreted and brought into accord with other laws as to form a uniform system of jurisprudence. The fundament is that the legislature should be presumed to have known the existing laws on the subject and not to have enacted conflicting statutes. Hence, all doubts must be exerted in order to harmonize and give effect to all laws on the subject."⁸⁹

Another example of the rule that implied repeal will not be decreed unless there is an irreconcilable inconsistency between two provisions or laws is Republic Act No. 7354 in relation to P.D. No. 1597. Republic Act No. 7354 provides in part that the Postmaster General, subject to the approval of the Board of Directors of the Philippine Postal Corporation, shall have the power —

"To determine the staffing pattern and the number of personnel, define their duties and responsibilities, and fix their salaries and emoluments in accordance with the approved compensation structure of the Corporation."

On the other hand, Sec. 6 of P.D. No. 1597 provides that "Exemptions notwithstanding, agencies shall report to the President, through the Budget Commission, on their position classification and compensation plans, policies, rates and other related details following such specifications as may be prescribed by the President." Since the Commission on Audit denied the allowances granted by the Philippine Postal Corporation as they were not reported to the President thru the DBM, the issue raised is whether Sec. 6 of P.D. No. 1597 has been repealed by R.A. No. 7354. The Court ruled that

⁸⁶*Ibid.*, pp. 506-508, citing *Azpalo, Statutory Construction*, 289 (1986).

⁸⁷66 SCAD 115, 250 SCRA 500 (1995).

⁸⁸*Ibid.*, p. 516.

⁸⁹66 SCAD 543, 251 SCRA 242 (1995).

⁹⁰*Ibid.*, pp. 251-252.

there was neither express nor implied repeal of Sec. 6 of P.D. No. 1597, the two laws being reconcilable. For while the Philippine Postal Corporation is allowed to fix its own personnel compensation structure through its board of directors, the latter is required to follow certain standards in formulating said compensation system, and the role of the DBM is merely to ensure that the action taken by the board of directors complies with the requirements of the law.⁷⁴

Section 3(a) of P.D. No. 451 and Section 42 of Batas Pambansa Blg. 232 illustrate repeal by implication. Section 3(a) provides that "no increase in tuition or other school fees or charges shall be approved unless sixty per centum (60%) of the proceeds is allocated to increase in salaries or wages of the members of the faculty." Subsequently, Batas Pambansa Blg. 232 was enacted, Section 43 of which provides that "each private school shall determine its rate of tuition and other school fees or charges. The rates and charges adopted by schools pursuant to this provision shall be collectible, and their application or use authorized, subject to rules and regulations promulgated by the Ministry of Education, Culture and Sports." The issue raised is whether Section 42 of Batas Pambansa Blg. 232 impliedly repealed Section 3(a) of P.D. No. 451. The Court held that there was implied repeal because there are irreconcilable differences between the two laws. "Under Pres. Decree No. 451, the authority to regulate the imposition of tuition and other school fees or charges by private schools is lodged with the Secretary of Education and Culture," while under Section 42 of Batas Pambansa Blg. 232, the private school determines "its rate of tuition and other school fees or charges." P.D. No. 451 "provides that 60% of the incremental proceeds of tuition fee increases shall be applied or used to augment the salaries and wages of members of the faculty and other employees of the school, while B.P. Blg. 232 provides that the increment shall be applied or used in accordance with the regulations promulgated by the Ministry of Education."⁷⁵

In *GSIS v. City Assessor of Iloilo*, G.R. No. 147192, June 27 2006, one of the issues raised is whether RA 8291, a subsequent law, which grants tax exemptions to GSIS funds and properties, has repealed Sec. 234 of the Local Government Code of 1991, which withdrew tax exemptions. The Court answered the issue in the negative and explained why and the effects of repeal, as follows:

AMENDMENT, REVISION, CODIFICATION AND REPEAL
C. Repeal

"Petitioner, however, claims that RA 8291, which took effect in 1997, abrogated Section 234 (a) of the LGC of 1991.

We disagree.

The abrogation or repeal of a law cannot be assumed; the intention to revoke must be clear and manifest. RA 8291 made no express repeal or abrogation of the provisions of RA 7160, particularly Section 234 (a) thereof.

Repeal by implication in this case is not at all convincing either. To bring about an implied repeal, the two laws must be absolutely incompatible. They must be clearly repugnant in a way that the later law (RA 8291) cannot exist without nullifying the prior law (RA 7160).

Indeed, there is nothing in RA 8291 which abrogates, expressly or impliedly, that particular provision of the LGC. The two statutes are not inconsistent on that specific point, let alone so irreconcilable as to compel us to uphold one and strike down the other.

The rule is that every statute must be interpreted and brought into accord with other laws in a way that will form a uniform system of jurisprudence. The legislature is presumed to have known existing laws on the subject and not to have enacted conflicting laws. Thus, the legislature cannot be presumed to have intended Section 234 (a) to run counter to Section 39 of RA 8291.

This conclusion is buttressed by the Court's 2003 decision in *National Power Corporation v. City of Cabanatuan* where we declared that the tax provisions of the LGC were the most significant provisions therein insofar as they removed the blanket exclusion of instrumentalities and agencies of the national government (like petitioner) from the coverage of local taxation. In that case, petitioner National Power Corporation (NPC) claimed that it was an instrumentality of the government exempt under its charter from paying franchise tax. The Court overruled NPC and upheld the right of respondent city government to impose the franchise tax on its privilege to transact business in its area.

Again, in the 2004 case of *Rubia v. Government Service Insurance System*, the Court declared that any interpretation that gave Section 39 an expansive construction to exempt all

⁷⁴*Infinita, Jr. v. COA*, 106 SCAD 226, 306 SCRA 593 (1999).

⁷⁵*Cebu Institute of Technology v. Ople*, 156 SCRA 629 (1987).

GSIS assets and properties from legal processes was unwarranted. These processes included the levy and garnishment of its assets for taxes or claims enforced against it. The Court there ruled that the exemption under Section 39 of the GSIS Charter should be read consistently with its avowed purpose – the maintenance of its actuarial solvency to finance the retirement, disability and life insurance benefits of its members. The Court meant that the tax-exempt properties and assets of GSIS referred to those that remained at its disposal and use, either for investment or for income-generating purposes. Properties whose actual and beneficial use had been transferred to private taxable persons, for consideration or otherwise, were excluded and were thus taxable.

In *Mactan Cebu International Airport Authority v. Marcos*, the Court ruled that the exemption of a government-owned or controlled corporation from taxes and other charges was not absolute and could be withdrawn, as in fact certain provisions of the LGC, including Section 234 (a), were deemed to have expressly withdrawn the tax-exempt privilege of petitioner as a government-owned corporation.

Irreconcilable conflict between two laws resulting in implied repeal of the former law is exemplified by *David v. Comelec* [G.R. No. 127116, April 8, 1997]. The Court ruled:

It is basic that in case of an irreconcilable conflict between two laws of different vintages, the later enactment prevails. *Legis posteriores priores contrarias abrogant*. The rationale is simple: A later law repeals an earlier one because it is the later legislative will. It is to be presumed that the lawmakers knew the older law and intended to change it. In enacting the older law, the legislators could not have known the newer one and hence could not have intended to change what they did not know. Under the Civil Code, laws are repealed only by subsequent ones – and not the other way around.

Under Sec. 43-c of RA 7160, the term of office of *barangay* officials was fixed at "three (3) years which shall begin after the regular election of *barangay* officials on the second Monday of May 1994." This provision is clearly inconsistent with and repugnant to Sec. 1 of RA 6679 which states that such "term shall be for five years." Note that both laws refer to the same officials who were elected "on the second Monday of May 1994."

Second. RA 6679 requires the *barangay* voters to elect seven *kagawads* and the candidate obtaining the highest number of votes shall automatically be the *punong barangay*. RA 6653 empowers the seven elected *barangay kagawads* to select the *punong barangay* from among themselves. On the other hand, the Local Autonomy Code mandates a direct vote on the *barangay* chairman by the entire *barangay* electorate, separately from the seven *kagawads*. Hence, under the Code, voters elect eight *barangay* officials, namely, the *punong barangay* plus the seven *kagawads*. Under both RA 6679 and 6653, they vote for only seven *kagawads*, and not for the *barangay* chairman.

Third. During the *barangay* elections held on May 9, 1994 (second Monday), the voters actually and directly elected one *punong barangay* and seven *kagawads*. If we agree with the thesis of petitioners, it follows that all the *punong barangays* were elected illegally and thus, Petitioner Alex David cannot claim to be a validly elected *barangay* chairman, much less president of the national league of *barangays* which he purports to represent in this petition. It then necessarily follows also that he is not the real party-in-interest and on that ground, his petition should be summarily dismissed.

Fourth. In enacting the general appropriations act of 1997, Congress appropriated the amount of P400 million to cover expenses for the holding of *barangay* elections this year. Likewise, under Sec. 7 of RA 8189, Congress ordained that a general registration of voters shall be held "immediately after the *barangay* elections in 1997." These are clear and express contemporaneous statements of Congress that *barangay* officials shall be elected this May, in accordance with Sec. 43-c of RA 7160.

Fifth. In *Paras vs. Comelec*, this Court said that "the next regular election involving the *barangay* office concerned is barely seven (7) months away, the same having been scheduled in May, 1997." This judicial decision, per Article 8 of the Civil Code, is now a "part of the legal system of the Philippines."

Sixth. Petitioners pompously claim that RA 6679, being a special law, should prevail over RA 7160, an alleged general law pursuant to the doctrine of *generalia specialibus non derogant*. Petitioners are wrong. RA 7160 is a codified set of laws that

specifically applies to local government units. It specifically and definitively provides in its Sec. 43-c that "the term of office of *barangay* officials . . . shall be for three years." It is a special provision that applies only to the term of *barangay* officials who were elected on the second Monday of May 1994. With such particularity, the provision cannot be deemed a general law. Petitioner may be correct in alleging that RA 6679 is a special law, but they are incorrect in stating (without however giving the reasons therefor) that RA 7160 is necessarily a general law. It is a special law insofar as it governs the term of office of *barangay* officials. In its repealing clause, RA 7160 states that "all general and special laws . . . which are inconsistent with any of the provisions of this Code are hereby repealed or modified accordingly." There being a clear repugnance and incompatibility between the two specific provisions, they cannot stand together. The later law, RA 7160, should thus prevail in accordance with its repealing clause. When a subsequent law encompasses entirely the subject matter of the former enactments, the latter is deemed repealed.

10.21. Implied repeal by revision or codification.

The legislative intent to repeal a prior law is also shown by the enactment of a statute revising or codifying the former laws on the whole subject matter. The revised statute or code is in effect a legislative declaration that whatever is embraced in the new statute shall prevail and whatever is excluded therefrom shall be discarded.⁷⁶ The revised statute or Code, as disclosed by its framework and substance, must be intended to cover the whole subject to be a complete and perfect system in itself in order that the prior statutes or parts thereof which are not repeated in the new statute will be deemed impliedly repealed.⁷⁷ Thus, where a statute is revised, or a series of legislative acts on the same subject are revised and consolidated into one, covering the entire field of subject matter, all parts and provisions of the former act or acts that are omitted from the revised act are deemed repealed.⁷⁸ The

fact that the revised statute or code is all-comprehensive and covers the whole field of a particular subject matter, specially if it provides that all acts inconsistent therewith are repealed, reveals the intent to establish a uniform system of rules and to nullify existing laws on the subject.⁷⁹

It has also been held that where a new statute is intended to furnish the exclusive rule on a certain subject, it repeals by implication the old law on the same subject, or where a new statute covers the whole subject matter of an old law and adds new provisions and makes changes, and where such law, whether it be in the form of an amendment or otherwise, is evidently intended to be a revision of the old act, it repeals the old act by implication.⁸⁰ The complete enactment on a subject matter, intended as a substitute for the old statute, may be regarded as the expression of the whole law thereon, and operates as a repeal of the prior statute, although the two statutes are not repugnant.⁸¹

Illustrative of the rule is the revision of the Agricultural Tenancy Act by the Agricultural Land Reform Code. Section 39 of the Agricultural Tenancy Act (Republic Act No. 1199) provides that "it shall be unlawful for either the tenant or landlord without mutual consent, to reap or thresh a portion of the crop at any time previous to the date set, for its threshing." While an action for violation of this penal provision is pending in court, the Agricultural Land Reform Code superseded the Agricultural Tenancy Act, abolished share tenancy and replaced it with leasehold tenancy. Section 39 which was based on share tenancy, was not reproduced in the Agricultural Land Reform Code. The effect of such non-reenactment is a repeal of Section 39. For it is a rule of legal hermeneutics that an act which purports to set out in full all that it intends to contain, operates as a repeal of anything omitted which was contained in the old act and not included in the act as revised. A substitute statute, and evidently intended as the substitute for it, operates to repeal the former statute. The revising statute is in effect a legislative declaration that whatever is embraced in the new statute prevails and whatever is excluded therefrom shall be discarded.⁸²

⁷⁶People v. Almudé, G.R. No. 26551, February 27, 1976, 69 SCRA 410; People v. Benuya, 61 Phil. 208 (1935).

⁷⁷In re Guzman, 73 Phil. 51 (1941); U.S. v. Palacio, 33 Phil. 208 (1916); see Pamil v. Teloron, G.R. No. 34854, November 1978, 86 SCRA 413.

⁷⁸People v. Benuya, 61 Phil. 208 (1916); People v. Castro, 43 Phil. 842 (1922); People v. Perfecto, 43 Phil. 887 (1922).

⁷⁹Chinese Flour Importers Assn., Inc. v. Price Stabilization Board, 89 Phil. 439 (1951).

⁸⁰Government v. Municipality of Binangonan, 32 Phil. 634 (1915).

⁸¹Sioquin v. Navarro, 81 Phil. 373 (1948).

⁸²People v. Almudé, G.R. No. 26551, February 27, 1976, 69 SCRA 410.

In *Tung Chin Hui v. Rodriguez*,⁸⁵ the issue raised is whether Sec. 18 of Rule 41 of the pre-1997 Rules of Court, which provided that appeal in *habeas corpus* cases be taken within 48 hours from notice of the judgment, has been repealed by the 1997 Rules of Civil Procedure, which provides in Sec. 3, Rule 41 thereof, that appeal from judgment or final order shall be taken within 15 days from receipt thereof, in view of the fact that the Sec. 18 of the pre-1997 Rules of Court, Rule 41 was omitted in Sec. 41 of the 1997 Rules. The Court ruled that Sec. 18 was repealed, in accordance with the well-settled rule of statutory construction that provisions of an old law that were not reproduced in the revision thereof covering the same subject are deemed repealed and discarded. The omission shows the intention of the rule-making body, the Supreme Court in this case, to abrogate those provisions of the old laws that are not reproduced in the revised statute or Code.

10.22. Repeal by reenactment.

Where a statute is a reenactment of the whole subject in substitution of the previous laws on the matter, the latter disappears entirely and what is omitted in the reenacted law is deemed repealed.⁸⁶ The reenactment, if complete and comprehensive, is regarded as the expression of the whole law on the subject, and thereby operates as an implied repeal of the prior law on the same subject.⁸⁷

Where a law amends a specific section of a prior act by providing that the same is amended so as to read as follows, which then quotes the amended provision, what is not included in the reenactment is deemed repealed. The new statute is a substitute for the original section and all matters in the section that are omitted in the amendment are considered repealed.⁸⁸

In *GSIS v. City Assessor of Iloilo*, G.R. No. 147192, June 27 2006, one of the issues raised is whether RA 8291, a subsequent law, which grants tax exemptions to GSIS funds and properties, has repealed Sec. 234 of the Local Government Code of 1991, which withdrew tax exemptions. The Court answered the issue in the negative, follows:

⁸⁵134 SCAD 252, 340 SCRA 765 (2000), citing *Agpalo, Statutory Construction*, 1990 ed., p. 284.

⁸⁶*Parras v. Land Registration Commission*, 108 Phil. 1142 (1960).

⁸⁷*Joquin v. Navarro*, 81 Phil. 373 (1948).

⁸⁸*Parras v. Land Registration Commission*, 108 Phil. 1142 (1960).

"Petitioner, however, claims that RA 8291, which took effect in 1997, abrogated Section 234 (a) of the LGC of 1991.

We disagree.

The abrogation or repeal of a law cannot be assumed; the intention to revoke must be clear and manifest. RA 8291 made no express repeal or abrogation of the provisions of RA 7160, particularly Section 234 (a) thereof.

Repeal by implication in this case is not at all convincing either. To bring about an implied repeal, the two laws must be absolutely incompatible. They must be clearly repugnant in a way that the later law (RA 8291) cannot exist without nullifying the prior law (RA 7160).

Indeed, there is nothing in RA 8291 which abrogates, expressly or impliedly, that particular provision of the LGC. The two statutes are not inconsistent on that specific point, let alone so irreconcilable as to compel us to uphold one and strike down the other.

The rule is that every statute must be interpreted and brought into accord with other laws in a way that will form a uniform system of jurisprudence. The legislature is presumed to have known existing laws on the subject and not to have enacted conflicting laws. Thus, the legislature cannot be presumed to have intended Section 234 (a) to run counter to Section 39 of RA 8291.

This conclusion is buttressed by the Court's 2003 decision in *National Power Corporation v. City of Cabanatuan* where we declared that the tax provisions of the LGC were the most significant provisions therein insofar as they removed the blanket exclusion of instrumentalities and agencies of the national government (like petitioner) from the coverage of local taxation. In that case, petitioner National Power Corporation (NPC) claimed that it was an instrumentality of the government exempt under its charter from paying franchise tax. The Court overruled NPC and upheld the right of respondent city government to impose the franchise tax on its privilege to transact business in its area.

Again, in the 2004 case of *Rubia v. Government Service Insurance System*, the Court declared that any interpretation that gave Section 39 an expansive construction to exempt all

GSIS assets and properties from legal processes was unwarranted. These processes included the levy and garnishment of its assets for taxes or claims enforced against it. The Court there ruled that the exemption under Section 39 of the GSIS Charter should be read consistently with its avowed purpose — the maintenance of its actuarial solvency to finance the retirement, disability and life insurance benefits of its members. The Court meant that the tax-exempt properties and assets of GSIS referred to those that remained at its disposal and use, either for investment or for income-generating purposes. Properties whose actual and beneficial use had been transferred to private taxable persons, for consideration or otherwise, were excluded and were thus taxable.

In *Maclean Cebu International Airport Authority v. Marcos*, the Court ruled that the exemption of a government-owned or controlled corporation from taxes and other charges was not absolute and could be withdrawn, as in fact certain provisions of the LGC, including Section 234 (a), were deemed to have expressly withdrawn the tax-exempt privilege of petitioner as a government-owned corporation.

10.23. Other forms of implied repeal.

The most powerful implication of repeal is that which arises when the later of two laws is expressed in the form of a universal negative. The repugnance of two statutes is more readily seen when the later act is in the form of a negative proposition than when both laws are stated in the affirmative. There is a clear distinction between affirmative and negative statutes in regard to their repealing effects upon prior legislation, which may be expressed by saying that while an affirmative statute does not impliedly repeal the prior law unless an intention to effect a repeal is manifest, a negative statute repeals all conflicting provisions unless the contrary intention is disclosed.⁸⁷

The legislative intent to repeal is also shown where it enacts something in general terms and afterwards it passes another on the same subject, which though expressed in affirmative language introduces special conditions or restrictions, the subsequent statute will usually be considered as repealing by implication the former

regarding the matter covered by the subsequent act; and more specially so when the later act is expressed in negative terms, as where for example it prohibits a certain thing from being done, or where it declares that a given act shall be performed in a certain manner and not otherwise.⁸⁸

The express repeal of a provision of law from which an executive official derives his authority to enforce another provision of the same law operates to repeal by implication the latter and to deprive the official of the authority to enforce it.⁸⁹ Similarly, the enactment of a statute on a subject, whose purpose or object is diametrically opposed to that of an earlier law on the same subject, which thereby deprives it of its reason for being, operates to repeal by implication the prior law, even though the provisions of both laws are not inconsistent.⁹⁰

10.24. "All laws or parts thereof which are inconsistent with this Act are hereby repealed or modified accordingly," construed.

Statutes usually contain a repealing clause which states: "All laws or parts thereby which are inconsistent with the provisions of this Act are hereby repealed or modified accordingly." The question that may be asked is: What is the nature of this repealing clause? It certainly is not an express repealing clause because it fails to identify or designate the act or acts that are intended to be repealed. Rather, it is a clause which predicates the intended repeal upon the condition that a substantial conflict must be found on existing and prior acts of the same subject matter. Such being the case, the presumption against implied repeal and the rule on strict construction regarding implied repeal apply *ex proprio vigore*. For the legislature is presumed to know the existing laws so that, if repeal of particular or specific law or laws is intended, the proper step is to so express it. The failure to add a specific repealing clause particularly mentioning the statute to be repealed indicates that the intent was not to repeal any existing law on the matter, unless an irreconcilable inconsistency and repugnancy exist in the terms of the new and the old laws.⁹¹

⁸⁸Manila Electric Co. v. Public Utilities Employees Assn., 79 Phil. 409 (1947).

⁸⁹Vera v. Cuevas, G.R. No. 33693, May 31, 1979, 90 SCRA 379.

⁹⁰Ramirez v. Court of Appeals, G.R. No. 23587, June 10, 1976, 71 SCRA 231.

⁹¹Illollo Palay & Corn Planters Assn., Inc. v. Feliciano, G.R. No. 24022, March 3, 1965, 13 SCRA 377; City of Naga v. Agna, G.R. No. 36049, May 31, 1976, 71 SCRA 176.

⁸⁷Valdez v. Tuason, 40 Phil. 943 (1920).

The circumstance that a later statute which is inconsistent with a prior law on the same subject does not contain a clause repealing generally all laws and parts thereof which are repugnant therewith does not prevent it from operating to repeal by implication such inconsistent laws or parts thereof. It has been held that "such a clause repeals nothing that would not be equally repealed without it. Either with or without it, the real question to be determined is whether the new statute is in fundamental and irreconcilable conflict with the prior statute on the subject."⁸² Such being the rule, it may well be asked: What then is the significance of the repealing clause to the effect that "all laws or parts thereof which are inconsistent with the provisions of this Act are hereby repealed or modified accordingly?" The significance is that the presence of such general repealing clause in a later statute clearly indicates the legislative intent to repeal all prior inconsistent laws on the subject matter, whether or not the prior law is a special law. Without such clause, a later general law will ordinarily not repeal a prior special law on the same subject, as the latter is generally regarded as an exception to the former.⁸³ But with such clause contained in the subsequent general law, the prior special law will be deemed repealed, as the clause is a clear legislative intent to bring about that result,⁸⁴ unless the general law contains a saving clause.⁸⁵

10.25. Repeal by implication not favored.

It is a well-settled rule of statutory construction that repeals of statutes by implication are not favored.⁸⁶ The presumption is against inconsistency or repugnancy and, accordingly, against implied repeal.⁸⁷ For the legislature is presumed to know the existing laws on the subject and not to have enacted inconsistent or conflicting

⁸²Valdez v. Tnason, 40 Phil. 943, 950 (1920).

⁸³See Secs. 10, 26, *et seq.*, *infra*.

⁸⁴Guerran v. Catubig, G.R. No. 23964, June 1, 1966, 17 SCRA 376.

⁸⁵Manila Railroad Co. v. Rafferty, 40 Phil. 224 (1919).

⁸⁶Sta. Ignacia Rural Bank, Inc. v. Court of Appeals, 49 SCAD 33, 230 SCRA 513 (1994), citing *Agpalo, Statutory Construction*, 1986 ed., p. 236; Valdez v. Tnason, 40 Phil. 943 (1920); *Phil. American Management Co., Inc. v. Phil. American Management Employees Assn.*, G.R. No. 35254, January 29, 1973, 49 SCRA 194; *Villegas v. Subido*, G.R. No. 31711, September 30, 1971, 41 SCRA 190 (1971); *De Jesus v. People*, G.R. No. 61098, February 22, 1983, 120 SCRA 760.

⁸⁷*Toledo Palay & Corn Planters Assn., Inc. v. Feliciano*, G.R. No. 24022, March 3, 1965, 13 SCRA 377.

statutes.⁸⁸ Hence, all efforts should be exerted to harmonize and give effect to all laws on the subject.⁸⁹ A construction which in effect will repeal a statute altogether should, if possible, be rejected.⁹⁰ For this reason, in case of doubt as to whether a later statute has impliedly repealed a prior law on the same subject, the doubt should be resolved against implied repeal.⁹¹

The court in a case explains the principle in detail as follows:

"Repeals by implication are not favored, and will not be decreed unless it is manifest that the legislature so intended. As laws are presumed to be passed with deliberation and with full knowledge of all existing ones on the subject, it is but reasonable to conclude that in passing a statute it was not intended to interfere with or abrogate any former law relating to some matter, unless the repugnancy between the two is not only irreconcilable, but also clear and convincing, and flowing necessarily from the language used, unless the later act fully embraces the subject matter of the earlier, or unless the reason for the earlier act is beyond peradventure removed. Hence, every effort must be used to make all acts stand and if, by any reasonable construction, they can be reconciled, the later act will not operate as a repeal of the earlier."⁹²

*National Power Corp. v. Angus*⁹³ illustrates the application of the principle that repeal or amendment by implication is not favored. The issue raised is whether Central Bank Circular No. 416, which reads:

"By virtue of the authority granted to it under Section 1 of Act No. 2655, as amended, otherwise known as the Usury Law, the Monetary Board, in its Resolution No. 1622 dated July 29, 1974, has prescribed that the rate of interest for the loan or forbearance of any money, goods or credits and the rate allowed in judgments, in the absence of express contract as to such rate of interest, shall be twelve per cent (12%) *per annum*."

⁸⁸*U.S. v. Palacio*, 33 Phil. 208 (1916); *Maceda v. Macaraeg*, 197 SCRA 771 (1991).

⁸⁹*People v. Olarte*, 108 Phil. 756 (1960).

⁹⁰*Martin v. Nacionceno*, 19 Phil. 238 (1911).

⁹¹*Bocobo v. Estanislao*, G.R. No. 30458, August 31, 1976, 72 SCRA 520.

⁹²*U.S. v. Palacio*, 33 Phil. 208, 216 (1916); see also *Smith, Bell & Co. v. Estate of Maronilla*, 41 Phil. 557 (1916); *Velunta v. Chief, P.C.*, 157 SCRA 147 (1988); *National Power Corp. v. Province of Lanao del Sur*, 76 SCAD 223, 264 SCRA 271 (1996).

⁹³208 SCRA 542, 549 (1992).

has impliedly repealed or amended Article 2209 of the Civil Code which states that:

"Art. 2209. If the obligation consists in the payment of a sum of money, and the debtor incurs in delay, the indemnity for damages, there being no stipulation to the contrary, shall be the payment of the interest agreed upon, and in the absence of stipulation, the legal interest, which is six percent *per annum*."

In answering the issue in the negative, the Court ruled that "repeals or even amendments by implication are not favored if two laws can be fairly reconciled. x x x In this case, Central Bank Circular No. 416 and Art. 2209 of the Civil Code contemplate different situations and apply to different transactions. In transactions involving loan or forbearance of money, goods or credits, as well as judgments relating to such loan or forbearance of money, goods or credits, the Central Bank Circular applies. It is only in such transactions or judgments where the Presidential Decree allowed the Monetary Board to dip its fingers into. On the other hand, in cases requiring the payment of indemnities as damages, in connection with any delay in the performance of an obligation other than those involving loan or forbearance of money, goods or credits, Art. 2209 of the Civil Code applies. For the Court, this is the most fair, reasonable, and logical interpretation of the two laws. We do not see any conflict between Central Bank Circular No. 416 and Art. 2209 of the Civil Code or any reason to hold that the former has repealed the latter by implication."

Courts are slow to hold that one statute has repealed another by implication, and they will not make such adjudication if they can refrain from doing so, or if they can arrive at another result by any construction which is just and reasonable. Moreover, courts will not enlarge the meaning of one act in order to decide that it repeals another by implication, nor will they adopt an interpretation leading to an adjudication of repeal by implication unless it is inevitable and a clear and explicit reason therefor can be adduced.¹⁰⁴

¹⁰⁴National Power Corp. v. Angas, 208 SCRA 542 (1992).

10.26. As between two laws, one passed later prevails.

As between two laws on the same subject matter, which are irreconcilably inconsistent, that which is passed later prevails, since it is the latest expression of legislative will.¹⁰⁵ *Leges posteriores priores contrarias abrogant*, or later statute repeals prior ones which are repugnant thereto. The rule applies even if the later act is made to take effect ahead of the earlier law. Thus, it has been held that, as between two acts, the one passed later and going into effect earlier will prevail over one passed earlier and going into effect later. For instance, an act passed April 16th and in force April 21st was held to prevail over an act passed April 9th and in effect July 4th of the same year. And an act going into effect immediately has been held to prevail over an act passed before but going into effect later.¹⁰⁶

Whenever two statutes of different dates and of contrary tenor are of equal theoretical application to a particular case, the statute of later date must prevail, being a later expression of legislative will.¹⁰⁷ Conformably with this rule, as between the order of preference of credit set forth in Articles 2241 to 2245 of the Civil Code and that of Article 110 of the Labor Code, giving first preference to unpaid wages and other monetary claims of labor, the former must yield to the latter, being the law of later enactment.¹⁰⁸

The later law repeals an earlier one because it is the later legislative will. It is to be presumed that the lawmakers knew the older law and intended to change it. In enacting the older law, the legislators could not have known the newer one and, hence, could not have intended to change what they did not know. Under the Civil Code, laws are repealed only by subsequent ones, and not the other way around. To illustrate, Sec. 1 of Rep. Act No. 6679 provides that the term of *barangay* officials who were to be elected "on the second Monday of May 1994" is five (5) years. However, the later Act, Rep. Act No. 7160, in Sec. 43(c) thereof, states that the term of office of *barangay* officials who were to be elected also on the second Monday of May 1994 is three (3) years. There being a clear

¹⁰⁵Pacia v. Averia, G.R. No. 22526, November 29, 1966, 18 SCRA 907; Lopez v. Commissioner of Customs, G.R. No. 28235, January 30, 1971, 37 SCRA 327; Llabres v. Executive Secretary, G.R. No. 21505, October 24, 1963, 9 SCRA 261; David v. COMELEC, 81 SCAD 482, 271 SCRA 90 (1997), citing Agpalo, *Statutory Construction*, 1990 ed., p. 294.

¹⁰⁶Manila Trading & Supply Co. v. Phil. Labor Union, 72 Phil. 7 (1941).

¹⁰⁷Herman v. Radio Corp. of the Phil., 50 Phil. 490 (1927).

¹⁰⁸Phil. National Bank v. Cruz, 180 SCRA 206 (1989).

inconsistency between the two laws, the later law fixing the term of *barangay* officials at three (3) years shall prevail.¹⁰⁹

10.27. General law does not repeal special law, generally.

It is a well-established principle of legal hermeneutics that a general law on a subject does not operate to repeal a prior special law on the same subject,¹¹⁰ unless it clearly appears that the legislature has intended by the later general act to modify or repeal the earlier special law.¹¹¹ The presumption against implied repeal is stronger when, of two laws, one is special and the other general, and this rule applies even though the terms of the general act are broad enough to include the matter covered by the special statute.¹¹² The principle is expressed in the maxim, *generalia specialibus non derogant*. A general law does not nullify a specific or special law.¹¹³

The reason why a special law prevails over a general law is that the legislature considers and makes provision for all the circumstances of the particular case. The legislature having specially considered all of the facts and circumstances in the particular case in granting a special charter, it will not be considered that the legislature, by adopting a general law containing provisions repugnant to the provisions of the charter, and without making any mention of its intention to amend or modify the charter, intended to amend, repeal or modify the special act.¹¹⁴

The general and special laws are read and construed together, and that repugnancy between them is reconciled by constituting the special law as an exception to the general law. In other words, the general law yields to the special law in the specific and particular subject embraced in the latter.¹¹⁵ The principle applies irrespective

¹⁰⁹David v. COMELEC, 81 SCAD 482, 271 SCRA 90 (1997).

¹¹⁰See Sec. 6.20, *supra*.

¹¹¹Carnacho v. Court of Industrial Relations, 80 Phil. 848 (1948); Valera v. Tugson, 80 Phil. 823 (1948); Lichauco & Co. v. Apostol, 44 Phil. 138 (1922); Butuan Sawmill, Inc. v. City of Butuan, G.R. No. 21516, April 29, 1966, 16 SCRA 758.

¹¹²Manila Railroad Co. v. Raftery, 40 Phil. 224 (1919); Commissioner of Internal Revenue on Court of Appeals, 207 SCRA 487 (1992).

¹¹³Lichauco & Co. v. Apostol, 44 Phil. 138 (1922).

¹¹⁴De Villa v. Court of Appeals, 195 SCRA 722 (1991).

¹¹⁵Kepler v. U.S., 11 Phil. 669 (1904); Bagateling v. Ramirez, G.R. No. 41631, April 17, 1976, 74 SCRA 306; Butuan Sawmill, Inc. v. City of Butuan, G.R. No. 21516, April 29, 1966, 16 SCRA 758; Commissioner of Internal Revenue v. Court of Tax Appeals, 195 SCRA 444 (1991).

of the date of passage of the special law. Where the special law is later, it will be regarded as a qualification of the general one, and where the general law is later, the special law will be construed as an exception to its terms.¹¹⁶

10.28. Application of rule.

The rule of *generalia specialibus non derogant* has been applied in a number of cases involving the question as to whether a subsequent general law has repealed a prior special law on the same subject. In these cases, the court invariably ruled that the special law is not impliedly repealed and constitutes an exception to the general law whenever the legislature failed to indicate in unmistakable terms its intent to repeal or modify the prior special act.¹¹⁷

In *National Power Corp. v. Arca*,¹¹⁸ the question raised is whether Section 2 of Com. Act 120, creating the National Power Corporation, a government-owned corporation, and empowering it "to sell electric power and to fix the rates and provide for the collection of the charges for any service rendered: *Provided*, That the rates of charges shall not be subject to revision by the Public Service Commission" has been repealed by Republic Act No. 2677 amending the Public Service Act and granting the Public Service Commission the jurisdiction to fix the rate of charges of public utilities owned or operated by the government or government-owned corporations. In answering the issue in the negative, the court held that a special law, like Com. Act No. 120, providing for a particular case or class of cases, is not repealed by a subsequent statute, general in its terms, like Republic Act No. 2677, although the terms of the general statute are broad enough to include the cases embraced in the special law, in the absence of a clear intent to repeal. "In the present case," said the court, "there appears no such legislative intent to repeal or abrogate the provisions of the earlier law. From the explanatory note to House Bill No. 4030, that later became Republic Act No. 2677, it was explicit that the jurisdiction conferred upon the Republic Service Commission over the public utilities operated by government-owned or controlled corporations is to be confined to the fixing of rates of

¹¹⁶Opes v. Civil Service Commission, 195 SCRA 777 (1991). See dissenting opinion, Villena v. Roque, 93 Phil. 370, 373 (1953).

¹¹⁷Sto. Domingo v. De los Angeles, G.R. No. 30135, February 21, 1980, 96 SCRA 139; Gordon v. Court of Appeals, G.R. No. 37831, November 23, 1981, 109 SCRA 388.

¹¹⁸G.R. No. 23309, October 31, 1968, 25 SCRA 931.

such public services, 'in order to avoid cutthroat or ruinous and unfair competition detrimental to operators and to the public interests.' By the nature of the service being rendered by the National Power Corporation, i.e., the harnessing and then distribution and sale of electric power to the consuming public, the contingency intended to be met by the legal provision under consideration would not exist. No other conclusion appears possible, therefore, than that the authority of the Public Service Commission under Republic Act No. 2677 over the fixing of rates of charges of public utilities owned or operated by government-owned or controlled corporations, can only be exercised where the charter of the government corporation concerned does not contain any provision to the contrary."¹¹⁹

In *Philippine Railway Co. v. Collector of Internal Revenue*,¹²⁰ it appears that the Philippine Railway Co. was granted a legislative franchise to operate a railway line pursuant to Act No. 1497, Section 13 of which reads: "In consideration of the premises and of the operation of this concession or franchise, there shall be paid by the grantee to the Philippine Government, annually, x x x an amount equal to one-half of one *per centum* of the gross earnings of the grantee x x x." On the other hand, Section 259 of the Internal Revenue Code, as amended by Republic Act No. 39, provides that "there shall be collected in respect to all existing and future franchises, upon the gross earnings or receipts from the business covered by the law granting a franchise tax of five *per centum* of such taxes, charges, and percentages as are specified in the special charters of the corporation upon whom such franchises are conferred, whichever is higher, unless the provisions hereof preclude the imposition of a higher tax x x x." The question is whether Section 259 of the Tax Code has repealed Section 13 of Act No. 1497. The court ruled that there was no implied repeal and said that charters or special laws, such as Act No. 1497, stand upon a different footing from general laws. Once granted, a charter becomes a private contract and cannot be altered nor amended except by consent of all concerned, unless the right to alter or repeal is expressly reserved. The reason is that the legislature, in passing a special charter, has its attention directed to the special facts and circumstances which the act or charter is intended to meet. The legislature having specially considered all of the facts and circumstances in the particular case in granting a special charter, it will not be considered that the legislature, by

¹¹⁹*Ibid.* at pp. 935-936.
¹²⁰91 Phil. 35 (1952).

adopting a general law containing the provisions repugnant to the provisions of the charter, and without any mention of its intention to amend or modify the charter, intended to amend, repeal or modify the special act. Section 259 of the Code not only does not show any intention to levy a higher percentage tax on existing franchises, but, on the contrary, evinces the purpose of respecting the tax rates incorporated in the charters, as shown by the clause "whose provisions preclude the imposition of a higher tax," which could only refer to charters such as Act No. 1497.

In *Laguna Lake Development Authority v. Court of Appeals*,¹²¹ the issue raised is: Which agency of the Government — the Laguna Lake Dev. Authority or the towns and municipalities comprising the region — should exercise jurisdiction over the Laguna Lake and its environs insofar as the issuance of permits for fishery privileges is concerned. The Laguna Lake Development Authority statute specifically provides that the Laguna Lake Development Authority shall have exclusive jurisdiction to issue permits for the use of all surface water for any projects in or affecting the said region, including the operation of fishpens. On the other hand, Republic Act No. 7160, the Local Government Code of 1991, grants the municipalities the exclusive authority to grant fishery privileges in municipal waters. The Court ruled that the two laws should be harmonized, and that the Laguna Lake Authority statute, being a special law, must be taken as an exception to Rep. Act No. 7160, a general law, thus:

"We hold that the provisions of Republic Act No. 7160 do not necessarily repeal the aforementioned laws creating the Laguna Lake Development Authority and granting the latter water rights authority over Laguna de Bay and the lake region.

The Local Government Code of 1991 does not contain any express provision which categorically expressly repeals the charter of the Authority. It has to be conceded that there was no intent on the part of the legislature to repeal Republic Act No. 4850 and its amendments. The repeal of laws should be made clear and expressed.

It has to be conceded that the charter of the Laguna Lake Development Authority constitutes a special law. Republic Act No. 7160, the Local Government Code of 1991, is a general law.

¹²¹66 SCAD 370, 251 SCRA 42 (1995).

It is basic in statutory construction that the enactment of a later legislation which is a general law cannot be construed to have repealed a special law. It is well-settled rule in this jurisdiction that a special statute, provided for a particular case or class of cases, is not repealed by a subsequent statute, general in its terms, provisions and application, unless the intent to repeal or alter is manifest, although the terms of the general law are broad enough to include the cases embraced in the special law.¹²²

Where there is a conflict between a general law and a special statute, the special statute should prevail since it evinces the legislative intent more clearly than the general statute. The special law is to be taken as an exception to the general law in the absence of special circumstances forcing a contrary conclusion. This is because implied repeals are not favored and as much as possible, effect must be given to all enactments of the legislature. A special law cannot be repealed, amended or altered by a subsequent general law by mere implication.¹²³

Where a statute provides that clerks of courts of municipal courts shall be appointed by the municipal judge at the expense of the municipality and where a later law was enacted providing that employees whose salaries are paid out of the municipal funds shall be appointed by the municipal mayor, the later law cannot be said to have repealed the prior law as to vest in the municipal mayor the power to appoint municipal clerk of court, as the subsequent law should be construed to comprehend only subordinate officials of the municipality and not those of the judiciary.¹²⁴ A city charter giving real estate owner a period of one year within which to redeem a real property sold by the city for nonpayment of realty tax from the date of such auction sale, being a special law, prevails over a general law granting landowners a period of two years to make the redemption.¹²⁵ Similarly, the Civil Service Law on the procedure for the suspension or removal of civil service employees does not apply with respect to the suspension or removal of members of the local police force, as the Police Act, which is a special law, governs the matter.¹²⁶

¹²²*Ibid.*, pp. 56-57.

¹²³*Garcia v. Pascual*, 113 Phil. 632 (1961).

¹²⁴*Gordon v. Court of Appeals*, G.R. No. 37831, November 23, 1961, 109 SCRA 388.

¹²⁵*Sto. Domingo v. De los Angeles*, G.R. No. 30135, February 21, 1960, 96 SCRA 139.

10.29. When special or general law repeals the other.

Where a later special law on a particular subject is repugnant to, or inconsistent with, a prior general law on the same subject, a partial repeal of the latter will be implied to the extent of the repugnancy or an exception granted upon the general law. In short, there is always a partial repeal where the later act is a special law.¹²⁶

On the other hand, whether a subsequent general law on a subject has repealed or amended a prior special act on the same subject by implication is a question of legislative intent. The legislative intent to repeal may be shown in the act itself, the explanatory note to the bill before its passage into law, the discussions on the floor of the legislature,¹²⁷ and the history of the two legislations.¹²⁸ There is intent to repeal the earlier special law where the later general act provides that all laws or parts thereof which are inconsistent therewith are repealed or modified accordingly,¹²⁹ where the general law contains a provision stating that it shall apply notwithstanding any other provisions of law relating to the same matter,¹³⁰ where the general law uses words and phrases which would be rendered meaningless if the special law is not thereby repealed or modified,¹³¹ or where the later statute is so broad in its terms and so clear and explicit in its words as to show that it was intended to cover the whole subject and therefore to displace the prior statute.¹³² If the intention to repeal the special law is clear, then the rule that the special law will be considered as an exception to the general law does not apply; what applies is the rule that the special law is deemed impliedly repealed.¹³³ For there is no prohibition against the repeal even by implication of a special or specific act by a general or broad law.¹³⁴

¹²⁶*Lagman v. City of Manila*, G.R. No. 23305, June 30, 1966, 17 SCRA 579 (1966); *Corona v. Court of Appeals*, 214 SCRA 378 (1992).

¹²⁷*Libares v. Executive Secretary*, G.R. No. 21505, October 24, 1963, 9 SCRA 261.

¹²⁸*Valera v. Tuason*, 80 Phil. 823 (1948).

¹²⁹*Lichoco v. Civil Aeronautics Board*, G.R. No. 32979, February 29, 1972, 43 SCRA 670 (1972); *Gaerlan v. Catubig*, G.R. No. 23964, June 1, 1966, 17 SCRA 376.

¹³⁰*Baga v. Phil. National Bank*, 99 Phil. 889 (1956).

¹³¹*Manuel v. De la Fuente*, 92 Phil. 302 (1952).

¹³²*Lichauco & Co. v. Apostol*, 44 Phil. 138 (1922).

¹³³*Libares v. Executive Secretary*, *supra*.

¹³⁴*Begatsing v. Ramirez*, G.R. No. 41631, December 17, 1976, 74 SCRA 306.

The general rule that a general law cannot be construed to have repealed a special law by mere implication admits of exception, as when the intent to repeal or alter is manifest. For instance, Sec. 1 of P.D. No. 551 provides that any provision of law or local ordinance to the contrary, the franchise tax payable by all grantees of franchise to generate, distribute and sell electric current for light, heat and power shall be two percent (2%) of their gross receipts. On the other hand, Sec. 137 of the Local Government Code (R.A. No. 7160) states that "Notwithstanding any exemption granted by any law or other special law, the province may impose a tax on business enjoying a franchise, at a rate not exceeding fifty percent (50%) of one percent (1%) of the gross annual receipts x x x." The Court ruled that the phrase "notwithstanding any exemption granted by any law or other special law" is all-encompassing and clear that the legislature intended to withdraw all tax exemptions enjoyed by franchise holders, and this intent is made more manifest by Sec. 193 of the Code, when it provides that unless otherwise provided in this code, tax exemptions or incentives granted to or presently enjoyed by all persons, except local water districts, cooperatives, and non-stock and non-profit hospitals and educational institutions, are withdrawn upon the effectivity of the Code. Such express mention of those who are to enjoy tax exemptions excludes all others not expressly mentioned.¹⁸⁵

*Gaerlan v. Catubig*¹⁸⁶ illustrates the principle. The question raised is whether Section 12 of Republic Act No. 170, as amended, the City Charter of Dagupan City, which fixed the minimum age qualification for members of the city council at twenty-three years, has been repealed by Section 6 of Republic Act No. 2259 entitled "An Act making elective the offices of mayor, vice-mayor and councilors in chartered cities" which fixed the age qualification for such positions at twenty-five years. The court ruled that there was an implied repeal of Section 12 of the charter of Dagupan City because the legislative intent to repeal the charter provision is clear from the fact that Dagupan City, unlike some cities, is not one of those cities expressly excluded by the law from its operation and from the circumstance that it provides that all acts or parts thereof which are inconsistent therewith are repealed. Moreover, the court added: "Given the fact that Dagupan City beyond peradventure is removed

from the exceptions, it stands to reason itself that its charter provision on the age limit is thereby repealed. And this, because the last statute is so broad in its terms and so clear and explicit in its words so as to show that it was intended to cover the whole subject, and therefore to displace the prior statute."¹⁸⁷

The court, in *Bagatsing v. Ramirez*,¹⁸⁸ explains why city charters should yield to general laws affecting cities in general: A charter of a city, which is a special law, may be impliedly modified or superseded by a later statute, and where a statute is controlling, it must be read into the charter, notwithstanding any of its particular provisions. A subsequent general law, similarly applicable to all cities prevails over any conflicting charter provision, for the reason that a charter must not be inconsistent with the general laws and public policy of the state. A chartered city is not an independent sovereignty. The statute remains supreme in all matters not purely local. Otherwise stated, a charter must yield to the constitution and general laws of the state. When a charter is enacted, the charter is deemed to incorporate therein the general laws affecting local governments.

In *Philippine International Trading Corp. v. COA*,¹⁸⁹ PITC's charter expressly exempted it from the law decreeing the position classification and compensation system. On the other hand, COA contended that the PITC charter had been impliedly repealed by Sec. 16 of R.A. No. 6758, which provides that —

"Section 16. Repeal of Special Salary Laws and Regulations. — All laws, decrees, executive orders, corporate charters, and other issuances or parts thereof, that exempt agencies from the coverage of the System, or that authorize and fix position classifications, salaries, pay rates or allowances of specified positions, or groups of officials, and employees or of agencies, which are inconsistent with the System, including the proviso under Section 2 and Section 16 of P.D. No. 985 are hereby repealed."

The Court ruled that there was implied repeal, the legislative intent to do so being manifest. "In the case at bar, the repeal by Section 16 of R.A. No. 6758 of all corporate charters that exempt agencies from the coverage of the System' was clear and expressed necessarily

¹⁸⁵City Government of San Pablo v. Reyes, 105 SCAD 144, 305 SCRA 353 (1999).

¹⁸⁶G.R. No. 23964, June 1, 1966, 17 SCRA 376 (1966).

¹⁸⁷*Ibid.*, at p. 382.

¹⁸⁸G.R. No. 41631, December 17, 1976, 74 SCRA 306 (1976).

¹⁸⁹108 SCAD 103, 309 SCRA 177 (1999).

to achieve the purposes for which the law was enacted, that is, the standardization of salaries of all employees in government-owned and/or controlled corporations to achieve 'equal pay for substantially equal work.' Henceforth, PITC should now be considered as covered by laws prescribing a compensation and position classification system in the government including R.A. No. 6758.¹⁴⁰

10.30. Effects of repeal, generally.

The appeal of a statute renders it inoperative as of the date the repealing act takes effect. The repeal is by no means equivalent to a declaration that the repealed statute is invalid from the date of its enactment. On the contrary, it continues in the statute book as the law of the land touching the subject matter of which it treats; and unless the contrary appears, the repealed statute loses none of its force and effects as a law governing acts which it is applicable prior to its repeal.¹⁴¹

The repeal of a law does not undo the consequences of the operation of the statute while in force, unless such result is directed by express language or by necessary implication, except as it may affect rights which become vested when the repealed act was in force.¹⁴² Neither the repeal of a law renders illegal what under the repealed act is legal, nor, absent any legislative intent to the contrary, makes legal what under the former law is illegal.¹⁴³

For instance, *Batas Pambansa Blg. 337*, known as the Local Government Code, was repealed by Republic Act No. 7160, known as the Local Government Code of 1991, which took effect on January 1, 1992. Section 5(d) of the new Code provides that rights and obligations existing on the date of the effectivity of the new Code and arising out of contracts or any other source of prestation involving a local government unit shall be governed by the original terms and conditions of said contracts or the law in force at the time such rights were vested.¹⁴⁴

¹⁴⁰309 SCRA, p. 191.

¹⁴¹*U.S. v. Cuna*, 12 Phil. 241 (1908); *U.S. v. Soliman*, 36 Phil. 5 (1917).

¹⁴²*Ramos v. Municipality of Daet*, 105 Phil. 154 (1959).

¹⁴³*Ramos v. Municipality of Daet*, *supra*.

¹⁴⁴*Macastano v. Diokno*, 212 SCRA 464 (1992).

10.31. On jurisdiction, generally.

Jurisdiction to try and decide actions is determined by the law in force at the time the action is filed. Generally speaking, neither the repeal nor the expiration of the law deprives the court or administrative tribunal of the authority to act on the pending action and to finally decide it.¹⁴⁵ Stated differently, the general rule is that where a court or tribunal has already acquired and is exercising jurisdiction over a controversy, its jurisdiction to proceed to final determination of the cause is not affected by the new legislation repealing the statute which originally conferred jurisdiction,¹⁴⁶ unless the repealing statute provides otherwise, expressly or by necessary implication.¹⁴⁷

The rule that once the court acquires jurisdiction over a controversy, it shall continue to exercise such jurisdiction until the final determination of the case and it is not affected by subsequent legislation vesting jurisdiction over such proceedings in another tribunal admits of exceptions. A recognized exception is when the statute expressly provides, or is construed to the effect that it is intended to operate upon actions pending before its enactment. However, where such retroactive effect is not provided for, statutes altering the jurisdiction of a court cannot be applied to cases already pending prior to their enactment.¹⁴⁸

The repeal or expiration of a statute, under which a court or tribunal originally acquired jurisdiction to try and decide a case, does not make its decision subsequently rendered thereon null and void for want of authority, unless otherwise provided.¹⁴⁹ This rule assumes that at the time the repeal of the statute took effect, the case is pending adjudication. Where the action, which accrued before the passage of the repealing act, has not yet been commenced or filed in court when the repeal went into effect, the court or tribunal acquires no jurisdiction over the action subsequently filed and its decision thereon is accordingly null and void.¹⁵⁰

¹⁴⁵*Assali v. Commissioner of Customs*, G.R. No. 24170, December 16, 1968, 26 SCRA 382; *Roxas v. Sayoc*, 100 Phil. 448 (1956); *Bombay Department Store v. Commissioner of Customs*, G.R. No. 20460, September 30, 1965, 15 SCRA 104.

¹⁴⁶*Turan v. Labes*, 87 Phil. 224 (1950); *Insurance Co. of North America v. United States Lines Co.*, G.R. No. 21021, May 27, 1966, 17 SCRA 301.

¹⁴⁷*Bengzon v. Inciong*, G.R. No. 48706, June 29, 1979, 91 SCRA 248 (1979).

¹⁴⁸*Alarilla v. Sandiganbayan*, 338 SCRA 485, 496 (2000).

¹⁴⁹*Roxas v. Sayoc*, 100 Phil. 448 (1956); *Tanada v. Legaspi*, G.R. No. 22537, March 31, 1965, 13 SCRA 566.

¹⁵⁰*Galang v. Reyes*, 93 Phil. 425 (1953); *Getz Corp. of the Philippines, Inc. v. Court of Appeals*, G.R. No. 58623, August 21, 1982, 116 SCRA 86.

In the absence of a legislative intent to the contrary, the expiration or repeal of a statute does not render legal what, under the old law, is an illegal transaction, so as to deprive the court or tribunal of the authority to act on a case involving such illegal transaction. Thus, where a law declares certain importations to be illegal, subject to forfeiture by the Commissioner of Customs, pursuant to which the latter initiated forfeiture proceedings, the expiration of the law during the pendency of the proceedings does not divest the Commissioner of Customs of the jurisdiction to continue to resolve the case, nor does it have the effect of making the illegal importation legal or of setting aside the decision of the commissioner on the matter. If the expiration of the law is brought about by the passage of a repealing statute, the latter may not be given retroactive effect so as to defeat any action or transaction effected under the old statute, unless the contrary is provided.¹⁵¹

10.32. On jurisdiction to try criminal case.

It is well-settled that the jurisdiction of a court to try a criminal case is determined by the law in force at the time the action is instituted.¹⁵² Once jurisdiction to try a criminal case is acquired, that jurisdiction remains with the court until the case is finally determined. A subsequent statute amending or repealing a prior act under which the court acquired jurisdiction over the case with the effect of removing the court's jurisdiction may not operate to oust jurisdiction that has already attached,¹⁵³ unless the contrary is provided, express prohibitory words are used,¹⁵⁴ or the criminal law violated is itself repealed.¹⁵⁵

10.33. On actions, pending or otherwise.

The general rule is that the repeal of a statute defeats all actions and proceedings, including those which are still pending,

¹⁵¹*Lazaro v. Commissioner of Customs*, G.R. No. 22511, May 16, 1966, 17 SCRA 36.

¹⁵²*Rillaroza v. Arciaga*, G.R. No. 23848, October 31, 1967, 21 SCRA 717; *Ferrer v. Peson*, 92 Phil. 172 (1952); *People v. Adolfo*, G.R. No. 24191, March 21, 1965, 13 SCRA 599 (1965).

¹⁵³*Rillaroza v. Arciaga*, *supra*; *People v. Pegrum*, 58 Phil. 715 (1938); *People v. Veloso*, 67 SCAD 101, 252 SCRA 135 (1996).

¹⁵⁴*Ibura v. Labes*, 87 Phil. 234 (1950); *Rillaroza v. Arciaga*, *supra*.

¹⁵⁵*People v. Almunez*, G.R. No. 26561, February 27, 1976, 69 SCRA 410; *People v. Pastor*, 77 Phil. 1000 (1947).

which arose out of or are based on said statute.¹⁵⁶ The rule applies to cases pending appeal. It has been held that an appellate court, in reviewing a judgment on appeal, will dispose of a question according to the law prevailing at the time of disposition and not according to the law prevailing at the time of rendition of the appealed judgment. The court will, therefore, reverse a judgment which was correct at the time it was originally rendered where, by statute, there has been an intermediate change in the law which renders such judgment erroneous at the time the case was finally disposed of on appeal. Thus, if pending appeal from the judgment of the lower court the law is changed, or the statute under which it was decided has been repealed, the appellate court must dispose of the case under the law in force when its decision is rendered. The court must conform its decision to the law then existing and may, therefore, reverse a judgment which was correct when pronounced in the subordinate tribunal, if it appears that pending appeal a statute which was necessary to support the judgment of the lower court has been withdrawn by an absolute repeal.¹⁵⁷

10.34. On vested rights.

The repeal of a statute does not destroy or impair rights that accrued and became vested under the statute before its repeal. If any other construction is possible, the statute should not be construed so as to affect the rights which have vested under the old law then in force, or as requiring the abatement of actions instituted for the enforcement of such rights.¹⁵⁸ It has been held that rights accrued and vested while a statute is in force ordinarily survive its repeal. The repeal of a statute does not operate to impair or otherwise affect rights which have become vested or accrued while the statute was in force. This rule is applicable alike to rights acquired under contracts and to rights of action to recover damages for torts. Where a new statute continues in force provisions of an old statute, although in form it repeals them at the moment of passage, a right of action created by the old statute is not thereby destroyed.¹⁵⁹ For the Constitution forbids the state from impairing, by enactment or

¹⁵⁶*Aisporna v. Court of Appeals*, G.R. No. 47533, October 27, 1981, 108 SCRA 481.

¹⁵⁷*Ramirez v. Court of Appeals*, G.R. No. 23587, June 10, 1976, 71 SCRA 231.

¹⁵⁸*Aisporna v. Court of Appeals*, *supra*.

¹⁵⁹*Biliones v. Employees' Compensation Commission*, G.R. No. 46200, July 30, 1979, 92 SCRA 320; *Escasura v. San Miguel, Inc.*, 114 Phil. 225 (1962).

repeal of a law, vested rights or the obligations of contract, except in the legitimate exercise of police power.¹⁶⁰

Examples may be cited to illustrate the principle. Where a statute gives holders of backpay certificates the right to use said certificates to pay their obligations to government financial institutions, the repeal of the law disallowing such payment will not deprive holders thereof whose rights become vested under the old law of the right to use the certificates to pay their obligations to such financial institutions.¹⁶¹ Rights to workmen's compensation benefits which accrued under the Workmen's Compensation Act can be enforced even after its repeal by the new Labor Code, although under the latter, illness is no longer compensable.¹⁶² Where a statute gives an appellant the right to appeal from an adverse decision, the repeal of such statute after an appellant has already perfected his appeal will not destroy his right to prosecute the appeal, nor deprive the appellate court of the authority to decide the appealed case.¹⁶³

In *Republic v. Migrino*,¹⁶⁴ one of the issues raised is whether prosecution for unexplained wealth under Republic Act No. 1379 entitled an "act declaring forfeited in favor of the state any property found to have been unlawfully acquired by any public officer or employee and providing for the procedure therefor," has already prescribed. The Court ruled: "In his pleadings, private respondent contends that he may no longer be prosecuted because of prescription. He relies on Section 2 of Rep. Act No. 1379 which provides that 'the right to file such petition [for forfeiture of unlawfully acquired wealth] shall prescribe within four years from the date of resignation, dismissal or separation or expiration of the term of the officer or employee concerned.' He retired on May 9, 1984, or more than six (6) years ago. However, it must be pointed out that Section 2 of Republic Act No. 1379 should be deemed amended or repealed by Article XI, Section 15 of the 1987 Constitution which provides that 'the right of the State to recover properties unlawfully acquired by public officials or employees, from them or from their nominees or transferees, shall not be barred by prescription, laches, or estoppel.'

¹⁶⁰*Avog v. Cusi*, G.R. No. 46729, November 19, 1982, 118 SCRA 492.

¹⁶¹*Bayco v. Phil. National Bank*, G.R. No. 14406, June 30, 1961, 2 SCRA 662.

¹⁶²*Billones v. Employees' Compensation Commission*, G.R. No. 46200, July 30, 1979, 92 SCRA 320.

¹⁶³*Un Pak Leung v. Nigorra*, 9 Phil. 486 (1908); *Priolo v. Priolo*, 9 Phil. 566 (1908).

¹⁶⁴189 SCRA 289, 302 (1990).

Considering that Sec. 2 of Rep. Act No. 1379 was deemed amended or repealed before the prescription period provided therein had lapsed insofar as private respondent is concerned, we cannot say that he had already acquired a vested right that may not be prejudiced by a subsequent enactment."

In *GSIS v. City Assessor of Iloilo*, G.R. No. 147192, June 27 2006, the Court held:

"Lastly, even if we were to construe that RA 8291 abrogated Section 234(a) of the LGC, still it cannot be made to apply retroactively without impairing the vested rights of private respondent. The appellate court thus correctly stated:

x x x It has been the courts' consistent ruling that a repealing statute must not interfere with vested rights or impair the obligation of contracts; that if any other construction is possible, the act should not be construed so as to affect rights which have vested under the old law. Private respondent[s], we reiterate, have become the private owner[s] of the properties in question in the regular course of proceedings established by law, and after the decisions granting such rights have become final and executory. The enactment of the new GSIS Charter cannot be applied in a retroactive manner as to divest the private respondent[s] of [their] ownership."

10.35. On contracts.

Where a contract is entered into by the parties on the basis of the law then obtaining, the repeal or amendment of said law will not affect the terms of the contract, nor impair the right of the parties thereunder.¹⁶⁶ The rule applies even if one of the contracting parties is the government.¹⁶⁶

10.36. Effect of repeal of tax laws.

The repeal of a tax law does not preclude the collection of taxes assessed under the old law before its repeal, unless the repealing statute provides otherwise.¹⁶⁷ It has been held that the rule favoring

¹⁶⁶*Insular Government v. Frank*, 13 Phil. 236 (1909); *Aisporna v. Court of Appeals*, G.R. No. 47533, October 27, 1981, 108 SCRA 481.

¹⁶⁷*Insular Government v. Frank*, *supra*.

¹⁶⁸*Co v. Collector of Internal Revenue*, 100 Phil. 464 (1956).

a prospective construction of statutes is applicable to statutes which repeal tax laws. Where such statute is not made retroactive, a tax assessed before the repeal is collectible afterwards according to the law in force when the assessment or levy was made.¹⁶⁶

10.37. Repeal and reenactment, effect of.

The simultaneous repeal and reenactment of a statute does not affect the rights and liabilities which have accrued under the original statute, since the reenactment neutralizes the repeal and continues the law in force without interruption.¹⁶⁷ The rule applies to the simultaneous repeal and reenactment of a penal law. Thus, the repeal of a penal law, under which a person is charged with violation thereof, and its simultaneous reenactment penalizing the same act done by him under the old law, will not preclude the accused's prosecution, nor deprive the court of the jurisdiction to try and convict him.¹⁷⁰ However, where the reenactment of the repealed law is not simultaneous such that the continuity of the obligation and the sanction for its violation from the repealed law to the reenacted law is broken, the repeal carries with it the deprivation of the court of its authority to try, convict and sentence the person charged with violation of the old law prior to its repeal.¹⁷¹

10.38. Effect of repeal of penal laws.

The repeal without qualification of penal law deprives the court of the jurisdiction to punish persons charged with a violation of the old law prior to its repeal.¹⁷² In short, where the repeal is absolute, so that the crime no longer exists, prosecution of the person charged under the old law cannot be had and the action should be dismissed.¹⁷³ The same effect results where the repealing statute wholly fails to penalize the acts which constituted the offense defined and penalized in the repealed law.¹⁷⁴

Where the repeal of a penal law is total and absolute and the act which was penalized by a prior law ceases to be criminal under the new law, the previous offense is obliterated. It is a recognized rule that a total repeal deprives the courts of jurisdiction to try, convict and sentence persons charged with violations of the old law prior to the repeal.¹⁷⁵ Thus, the total repeal of R.A. No. 1700, as amended (the Anti-Subversion Act) by R.A. No. 7636 entitled the accused charged with violation of R.A. No. 1700 to a dismissal of the case pending against him, as the offense no longer exists and as the total repeal has deprived the court of jurisdiction to try the case.¹⁷⁶

The repeal of a statute which provides an indispensable element in the commission of a crime as defined in the Revised Penal Code likewise operates to deprive the court of the authority to decide the case, except to dismiss it. The rule rests on the same principle as that concerning the effect of a repeal of a penal law without qualification.¹⁷⁷

The reason for the rule is that the repeal of a penal law without qualification is a legislative act of rendering legal what is previously decreed as illegal, so that the person who committed it is as if he never committed an offense.¹⁷⁸ There are, however, exceptions to the rule. One exception is that where the repealing act reenacts the statute and penalizes the same act previously penalized under the repealed law, the act committed before the reenactment continues to be a crime, and pending cases are not thereby affected, although the penalty to be imposed is that which is more favorable to the accused as provided either in the old or in the new law.¹⁷⁹ Another exception is that where the repealing act contains a saving clause providing that pending actions shall not be affected, the latter will continue to be prosecuted in accordance with the old law.¹⁸⁰

¹⁶⁶Co v. Collector of Internal Revenue, *supra*, citing Cooley, *Taxation*, 538, Vol.

¹⁶⁷American Bible Society v. City of Manila, 101 Phil. 386 (1957).

¹⁶⁸U.S. v. Curie, 12 Phil. 241 (1908); Ong Ching v. U.S., 40 Phil. 1046 (1910).

¹⁶⁹People v. Almutete, G.R. No. 26551, February 27, 1976, 69 SCRA 410.

¹⁷⁰People v. Almutete, *supra*.

¹⁷¹People v. Tamayo, 61 Phil. 225 (1936); Phil. Assn. of Free Labor Unions v.

Court of First Instance of Rizal, G.R. No. 49580, January 17, 1923, 120 SCRA 1.

¹⁷²People v. Pastor, 77 Phil. 1000 (1947).

¹⁷³People v. Pimental, 93 SCAD 310, 288 SCRA 542 (1998).

¹⁷⁴*Ibid.*

¹⁷⁵Ramirez v. Court of Appeals, G.R. No. 23587, June 10, 1976, 71 SCRA 231.

¹⁷⁶Buscayno v. Military Commission Nos. 1, 2, 6 and 25, G.R. No. 58284, November 19, 1981, 109 SCRA 273; People v. Pastor, 77 Phil. 1000 (1947).

¹⁷⁷Buscayno v. Military Commission Nos. 1, 2, 6 and 25, *supra*; People v. Con-

cepcion, 44 Phil. 126 (1922); U.S. v. Cuna, 12 Phil. 241 (1908).

¹⁷⁸Buscayno v. Military Commission Nos. 1, 2, 6 and 25, *supra*.

10.39. Distinction as to effect of repeal and expiration of law.

There is a difference between absolute repeal of a penal law and expiration of a criminal statute by its own force, insofar as their effects are concerned. In absolute repeal, the crime is obliterated, and the stigma of conviction of an accused for violation of the penal law before its repeal is erased. The expiration of a penal law by its own force does not have that effect.¹⁸¹

10.40. Effect of repeal of municipal charter.

In the absence of a provision to the contrary, the superseding of the old charter by a new one has the effect of abolishing the offices under the old charter. The general rule is that the repeal of a charter destroys all offices under it, and puts an end to the functions of the incumbents. Thus, the conversion of a municipality into a city by the passage of a charter or a statute to that effect has the effect of abolishing all municipal offices then existing under the old municipality, save those excepted in the charter itself.¹⁸²

10.41. Repeal or nullity of repealing law, effect of.

When a law which expressly repeals a prior law is itself repealed, the law first repealed shall not be thereby revived unless expressly so provided. Thus, the express repeal of B.P. Blg. 395, which repealed Sec. 1 of P.D. No. 666 declassifying the ship building and ship repair industry as a public utility, by E.O. No. 226 did not revive Sec. 1 of P.D. No. 666, as said executive order did not provide otherwise.¹⁸³

Where a repealing statute is declared unconstitutional, it will have no effect of repealing the former statute. The former or old statute continues to remain in force.¹⁸⁴

¹⁸¹ *Ang Beng v. Commissioner of Immigration*, 100 Phil. 801 (1957).

¹⁸² *Mendenilla v. Omandia*, G.R. No. 17803, June 30, 1962, 5 SCRA 636.

¹⁸³ *JG Summit Holdings, Inc. v. CA, G.R. No. 124293*, November 20, 2000, 137 SCAD 838.

¹⁸⁴ *Cruz v. Youngberg*, 56 Phil. 234 (1931).

Chapter XI

CONSTITUTIONAL CONSTRUCTION

11.01. Constitution defined.

A constitution is a fundamental law which sets up a form of government and defines and delimits the powers thereof and those of its officers, reserving to the people themselves plenary sovereignty.¹ It has also been variously defined as follows: A constitution is a fundamental law or basis of government, established by the people in their sovereign capacity, to promote their happiness and to secure their rights, property, independence and common welfare. It is a written charter enacted and adopted by the people by which a government for them is established and by which the people give organic and corporate form to that ideal thing, the state, for all time to come. It is an instrument of a permanent nature, intended not merely to meet existing conditions, but to govern the future. It does not deal in details but enumerates general principles and general directions which are intended to apply to all new facts which may come into being and which may be brought within those general principles or directions.²

A constitution is a system of fundamental laws for the governance and administration of a nation. It is supreme, imperious, absolute and unalterable except by the authority from which it emanates. It is the fundamental and paramount law of the nation. It prescribes the permanent framework of a system of government, assigns to the different departments their respective powers and duties, and establishes certain fixed principles on which government is founded. The fundamental conception is that it is a supreme law to which all other laws must conform and in accordance with which

¹ *Legaspi v. Ministry of Finance*, G.R. No. 58289, July 24, 1982, 115 SCRA 418.

² *Lopez v. De los Reyes*, 55 Phil. 186, 188, *et seq.* (1930).

all private rights must be determined and all public authority administered.³

11.02. Origin and history of the Philippine Constitutions.

The present Philippine Constitution is what is commonly known as the 1987 Constitution, which is a revision of the 1935 and 1973 Constitutions. While the new Constitution has superseded the 1935 and 1973 Constitutions, a number of the provisions of the latter were re-enacted in the 1987 Constitution.

How the 1935 Constitution came about is explained in a case: "By the Act of Congress (of the United States) of March 24, 1934, popularly known as the Tydings-McDuffie Law, the people of the Philippine Islands were authorized to adopt a constitution, subject to the conditions and qualifications prescribed in said Act. The law required three distinct steps for the adoption of the constitution. The first was the drafting and approval of the constitution by the constitutional convention authorized to be called under the Act; the second was the certification by the President of the United States that the constitution so drafted and approved conformed with the provisions of the same Act; and the third was the ratification of the constitution by the people of the Philippine Islands at an election or plebiscite called for the purpose of ratifying or rejecting the same. On July 30, 1934, the constitutional convention met for the purpose of drafting a constitution, and the constitution subsequently drafted was approved by the convention on February 8, 1935. The constitution was submitted to the President of the United States on March 18, 1935; and on March 23, 1935, the President certified that the Constitution conformed substantially with the provisions of the Act of Congress approved March 24, 1934. On May 14, 1935, the Constitution was ratified by the people."⁴

On the other hand, the 1973 Constitution was adopted in response to popular clamor for meaningful changes in the fundamental law to meet mounting problems of the country. Accordingly, "on March 16, 1967, Congress of the Philippines passed Resolution No. 2, which was amended by Resolution No. 4, of said body, adopted on June 17, 1967, calling a convention to propose amendments to the

Constitution of the Philippines. Said Resolution No. 2, as amended, was implemented by Republic Act No. 6132 approved on August 24, 1970, pursuant to the provisions of which the election of delegates to said convention was held on November 10, 1970, and the 1971 Convention began to perform its functions on June 1, 1971. While the Convention was in session on September 21, 1972, the President issued Proclamation No. 1081 placing the entire Philippines under Martial Law. On November 29, 1972, the Convention approved its proposed Constitution of the Republic of the Philippines. The next day, November 30, 1972, the President of the Philippines issued Presidential Decree No. 73, submitting to the Filipino people for ratification or rejection the Constitution of the Republic of the Philippines proposed by the 1971 Constitutional Convention, and appropriating funds therefor, as well as setting the plebiscite for said ratification or rejection of the proposed Constitution on January 15, 1973.⁵ On January 17, 1973, the President issued Proclamation No. 1102 certifying and proclaiming "that the Constitution proposed by the nineteen hundred and seventy-one (1971) Constitutional Convention has been ratified by an overwhelming majority of all the votes cast by the members of all the *Barangays* (citizens assemblies) throughout the Philippines, and has thereby come into effect." Thus, the 1973 Constitution went into effect on January 17, 1973.⁶ It had undergone several amendments, the latest of which was in 1984.

After the EDSA Revolution, the Constitution underwent revisions. A constitutional commission was created, which drafted a new Constitution. This new Constitution took effect on February 2, 1987 and is known as the 1987 Charter.

11.03. Primary purpose of constitutional construction.

The primary task of constitutional construction is to ascertain the intent or purpose of the framers of the constitution as expressed in the language of the fundamental law, and thereafter to assure its realization.⁷ As the Court aptly said in a case: "The fundamental principle of constitutional construction is to give effect to the intent of the framers of the organic law and of the people adopting it. The intention to which force is to be given is that which is embodied

³Manila Prince Hotel v. GSIS, 78 SCAD 764, 267 SCRA 408 (1997).

⁴People v. Linsangan, 62 Phil. 646, 648-649 (1935).

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⁵Javellana v. Executive Secretary, G.R. No. 36142, March 31, 1973, 50 SCRA

⁶Aquino v. Enrile, G.R. No. 35538, September 17, 1974, 59 SCRA 183.

⁷J.M. Tusson & Co., Inc. v. Land Tenure Administration, G.R. No. 21064, February 18, 1970, 31 SCRA 413; Co v. Electoral Tribunal, 199 SCRA 692 (1991).

and expressed in the constitutional provisions themselves.⁹ It has also been said that the Philippine Constitution has one fundamental purpose, which is to protect and enhance the people's interests, as a nation collectively and as persons individually. The interpretation of the Constitution should be done with a view to realizing this fundamental objective.⁹

11.04. Constitution construed as enduring for ages.

A constitution is not intended to provide merely for the exigencies of a few years but is to endure through a long lapse of ages, the events of which are locked up in the inscrutable purposes of Providence.¹⁰ It governs the life of the people not only at the time of its framing but far into the indefinite future. It is neither so inflexible nor immobile as to bar the adoption of novel and unorthodox measures. It is adaptable to various crisis of human affairs. It embodies not only rules for the passing hour, but principles for an expanding future as well.¹¹ It is something solid, permanent and substantial. Its stability protects the rights, liberty and property of the rich and the poor alike.¹²

A constitution should be construed in the light of what actually is, a continuing instrument to govern not only the present but also the unfolding events of the indefinite future. Although the principles embodied in a constitution remain fixed and unchanged from the time of its adoption, a constitution must be construed as a dynamic process intended to stand for a great length of time, to be progressive and not static.¹³ Its construction ought not to change with emergencies or conditions.¹⁴ Nor should a constitution be construed to inflexibly identify its text with the circumstances that inspired its adoption, for that would make it incapable of responding to the needs of the future. Neither should it be interpreted narrowly or pedantically, for

⁹Gold Creek Mining Corp. v. Rodriguez, 66 Phil. 259, 264 (1938); People v. Derilo, 271 SCRA 633 (1997).

¹⁰Acar v. Rosal, G.R. No. 21707, March 18, 1967, 19 SCRA 625.

¹¹Commissioner of Internal Revenue v. Guerrero, G.R. No. 20812, September 22, 1967, 21 SCRA 180.

¹²J.M. Tuason & Co., Inc. v. Land Tenure Administration, G.R. No. 21064, February 18, 1970, 31 SCRA 413.

¹³U.S. v. Ang Tang Ho, 43 Phil. 1 (1922).

¹⁴Roman Catholic Apostolic Administration of Davao, Inc. v. Land Registration Commission, 102 Phil. 596 (1957).

¹⁵U.S. v. Ang Tang Ho, *supra*.

the prescriptions therein contained are not mathematical formulas but organic living institutions. Hence, words employed therein are not to be construed to yield fixed and rigid answers but as impressed with the necessary attributes of flexibility and accommodation to enable them to meet adequately whatever problems the future has in store.¹⁵ The constitution should be given such meaning and should be so applied as to meet new or changed conditions as they arise.¹⁶

The Constitution must be viewed as a continuously operative charter of government. It must not be interpreted as demanding the impossible or the impractical, or as affecting the unreasonable or absurd. Courts should always endeavor to give such interpretation that would make the constitutional provision consistent with reason, justice and the public interest.¹⁷

11.05. How language of constitution construed.

The primary source from which to ascertain constitutional intent or purpose is the language of the constitution itself. The presumption is that the words in which the constitutional provisions are couched express the objective sought to be attained.¹⁸

The words of the constitution do not have a narrow or constricted meaning, but are used in a broad sense, with a view of covering all contingencies.¹⁹ The words should as much as possible be understood in the sense they have in common use and given their ordinary meaning, except when technical terms are employed, in which case the significance thus attached to them prevails.²⁰ In other words, the plain, clear and unambiguous language of the constitution should be construed in that sense, and should not be given a construction that changes such meaning. "As the Constitution is not primarily a lawyer's document, its language should be understood in the sense

¹⁵J.M. Tuason & Co., Inc. v. Land Tenure Administration, G.R. No. 21064, February 18, 1970, 31 SCRA 413; *Herrera v. Reyes*, G.R. No. 60549, October 26, 1983, 125 SCRA 220.

¹⁶Roman Catholic Apostolic Administration of Davao, Inc. v. Land Registration Commission, 102 Phil. 596 (1957).

¹⁷United Pepsi-Cola Supervisor Union (UPSU) v. Lagunesma, 92 SCAD 750, 283 SCRA 15, 64 (1998).

¹⁸J.M. Tuason & Co., Inc. v. Land Tenure Administration, *supra*.

¹⁹Oceña v. Commission on Elections, G.R. No. 52265, January 28, 1980, 95 SCRA 765.

²⁰J.M. Tuason & Co., Inc. v. Land Tenure Administration, *supra*; Ordillo v. Commission on Elections, 192 SCRA 100 (1990).

that it may have in common. Its words should be given their ordinary meaning except where technical terms are employed.²¹

It is a well-established rule that the language of the constitution, as much as possible, should be understood in the sense it has in common use and that the words in constitutional provisions are to be given their ordinary meaning except where technical terms are employed.²²

Where the Constitution does not specifically define the terms used therein, they should be construed in their general and ordinary sense. Thus, since Sec. 7, Art. XIII of the Constitution does not provide a definition of the term "subsistence fishermen" in the provision which states that "the State shall protect the rights of subsistence fishermen, especially of local communities, to the preferential use of the communal marine and fishing resources, both inland and offshore" and such "protection shall extend to offshore fishing grounds of subsistence fishermen against foreign intrusion," the term should be understood in its general and ordinary sense, to refer to those whose catch yields are the irreducible minimum for their livelihood.²³

In *Ordillo v. Commission on Elections*,²⁴ the issue raised is whether the sole province of Ifugao can validly be constituted the Cordillera Autonomous Region under Section 15, Article X of the 1987 Constitution, which states that "There shall be created autonomous regions in Muslim Mindanao and in the Cordilleras consisting of provinces, cities, municipalities and geographical areas sharing common and distinctive historical and cultural heritage, economic and social structures, and other relevant characteristics within the framework of this Constitution and the national sovereignty as well as territorial integrity of the Republic of the Philippines." In answering the issue in the negative, the Court ruled that the keywords — provinces, cities, municipalities and geographical areas connote that "region" is to be made up of more than one constituent unit. In its ordinary sense, "region" means two or more provinces. Following the rule that the language of the Constitution, as much as possible, should be understood in the sense it has in common use and that

the words used in constitutional provisions are to be given their ordinary meaning, except where technical terms are employed, the province of Ifugao cannot be constituted the Cordillera Autonomous Region under Section 15, Article X of the Constitution.

The reason why the language of the constitution should generally be construed in its broad and ordinary sense, except when the contrary is indicated, is because the fundamental law is not primarily a lawyer's document but essentially that of the people, in whose consciousness it should ever be present as an important condition for the rule of law to prevail.²⁵

Where words used in a constitution have both restricted and general meanings, the rule is that the general prevails over the restricted unless the context in which they are employed clearly indicates that the limited sense is intended.²⁶ Thus, following such rule, the words "any court" used in Section 17, Article XVII of the 1935 Constitution prohibiting members of Congress from appearing as counsel "in any criminal case in which an officer or employee of the Government is accused of an offense committed in relation to his office" refer not only to civil but also to a military court or court-martial since the latter is also a court of law and justice as is any civil tribunal.²⁷ On the other hand, the words "inferior courts" used in Article VII, Section 2 of the same 1935 Constitution, in connection with the appellate jurisdiction of the Supreme Court to "review on appeal, *certiorari* or writ of error, as the law or Rules of Court may provide, final judgments of inferior courts in all criminal cases in which the penalty imposed is death or life imprisonment" are intended to be used in a restricted sense, and accordingly do not include courts-martial or military courts, for the latter, while courts of law and justice, are agencies of executive character and do not belong to the judicial branch of government represented by the Supreme Court.²⁸

It is also a settled rule that a word or phrase in one part of the constitution is to receive the same interpretation when used in every other part, unless it clearly appears from the context or otherwise that a different meaning should be applied. For instance,

²¹*People v. Dertlo*, 271 SCRA 633, 668 (1997); *Oceña v. Commission on Elections*, *supra*.

²²*Tano v. Socrates*, 278 SCRA 154 (1997).

²³*Ordillo v. Commission on Elections*, 192 SCRA 100 (1992).

²⁴*Supra*.

²⁵*J.M. Tuason & Co., Inc. v. Land Tenure Administration*, *supra*.

²⁶*Marcos v. Chief of Staff*, AFP, 89 Phil. 239 (1951).

²⁷*Marcos v. Chief of Staff*, *supra*.

²⁸*Ruffy v. Chief of Staff*, 75 Phil. 875 (1946).

the term "Batasang Pambansa," which means the regular national assembly, found in many sections of the 1973 Constitution refers to the regular, not to the interim, Batasang Pambansa.²⁹

Words which have acquired a technical meaning before they are used in the constitution must be taken in that sense when such words as thus used are construed. It may be presumed that what the members of the constitutional convention had in mind when they drafted the constitution are the well-known technical meanings of the words then prevailing. Indeed, certain expressions which appear in the constitution are obviously technical, and where such words have such use prior to the adoption of the constitution, it is presumed that its framers and the people who ratified it have used such expressions in accordance with their technical meaning.³⁰

11.06. Aids to construction, generally.

Apart from the language of the constitution as the primary and intrinsic aid to constitutional construction, courts likewise resort to such extraneous aids as the history or realities existing at the time of the adoption of the constitution, proceedings of the convention, changes in phraseology, prior laws and judicial decisions, contemporaneous constructions, and consequences of alternative interpretations, to shed light on and ascertain the true intent or purpose of the provision being construed.

It has been held that the most important single factor in determining the intention of the people from whom the constitution emanated is the language in which it is expressed. The imperfections of language, however, as a vehicle for conveying meanings result in ambiguities that must be resolved by resorting to extraneous aids for discovering the intent of the framers. One of the more important of these is a consideration of the history of the times when the provision was adopted. The debates of the constitutional convention, contemporaneous construction and practical interpretation by the legislative and executive departments, especially if long continued, may be resorted to to resolve, but not to create, ambiguities. Consideration of the consequences flowing from alternative constructions of doubtful provisions constitutes an important interpretative device. The purposes of many of the broadly phrased

constitutional limitations are the promotion of policies that do not lend themselves to definite and specific formulation. The courts have had to define those policies and have often drawn on natural law and natural rights theories in doing so. The interpretation of a constitution tends to respond to changing conceptions of political and social values. The extent to which those extraneous aids affect the judicial construction of a constitution cannot be formulated in precise rules, but their influence cannot be ignored in describing the essentials of the process.³¹

11.07. Realities existing at time of adoption; object to be accomplished.

While the organic law is basically for the future, couched in a language that can adjust itself with the changing times, the framers of the Constitution did take into account the realities existing at the time of its adoption.³² History many a time holds the key that unlocks the door to understanding. For this reason, courts look to the history of the times, examine the state of things existing when the constitution was framed and adopted, and interpret it in the light of these factors.³³

The Court in *Legaspi v. Minister of Finance*³⁴ explains the importance of considering the historical background of the constitution in construing it, as follows: "Constitutional law is not simply the literal application of the words of the charter. The ancient and familiar rule of constitutional construction that has consistently maintained its intrinsic and transcendental worth is that the meaning and understanding conveyed by the language, albeit plain, of any of its provisions do not only portray the influence of current events and developments but likewise the inescapable imperative considerations rooted in the historical background of the environment at the time of its adoption and thereby caused their being written as part and parcel thereof."³⁵

³¹Roman Catholic Apostolic Administration of Davao, Inc. v. Land Registration Commission, 102 Phil. 596 (1957), citing *Rottschaeffer on Constitutional Law*, p. 1819 (1939).

³²*Aguino v. Commission on Elections*, G.R. No. 40004, January 31, 1975, 62 SCRA 275.

³³*Commissioner of Internal Revenue v. Guerrero*, G.R. No. 20812, September 12, 1967, 21 SCRA 180; *De los Santos v. Millare*, 87 Phil. 289 (1950); *Schneckenburger v. Moran*, 63 Phil. 249 (1936).

³⁴G.R. No. 58289, July 24, 1982, 115 SCRA 418.

³⁵115 SCRA 429-430.

²⁹*Lozada v. Commission on Elections*, G.R. No. 59068, January 27, 1983, 120 SCRA 337.

³⁰*Kritvenko v. Register of Deeds*, 79 Phil. 461 (1947).

The existing realities that confronted the framers of the Constitution can help unravel the intent behind a constitutional provision. Thus, what otherwise is a vague constitutional provision may be clarified by a resort to the realities then existing. For instance, to what does the term "incumbent President" in Section 3, Article XVII on the transitory provisions of the 1973 Constitution refer? The Court in *Aquino v. Commission on Elections*³⁶ inquired into the factual setting of the provision in resolving the question, thus:

"The next issue is whether he (President Ferdinand E. Marcos) is the incumbent President of the Philippines within the purview of Section 3 of Article XVII on the transitory provisions of the new or 1973 Constitution. As heretofore stated, by virtue of his re-election in 1969, the term of President Marcos under the 1935 Constitution was to terminate on December 30, 1973. The new Constitution was approved by the Constitutional Convention on November 30, 1972, still during his incumbency. Being the only incumbent President of the Philippines at the time of the approval of the new Constitution by the Constitutional Convention, the Constitutional Convention had nobody in mind except President Ferdinand E. Marcos who shall initially convene the interim Assembly. It was the incumbent President Marcos alone who issued Martial Law Proclamation No. 1081 on September 21, 1972 and issued orders and decrees as well as instructions and performed other acts as President prior to the approval on November 30, 1972 of the new Constitution by the Constitutional Convention and prior to its ratification on January 17, 1973 by the people. Consequently, since President Marcos was the only incumbent President at the time, because his term under the 1935 Constitution has yet to expire on December 30, 1973, the Constitutional Convention, in approving the new Constitution, had in mind only him when in Section 3(2) of Article XVII of the new Constitution it provided that all the proclamations, orders, decrees, instructions and acts promulgated, issued or done by the incumbent President shall be part of the law of the land."³⁷

In his concurring opinion in the *Aquino* case, Justice Antonio put the rule this way: "The only rational way to ascertain the

meaning and intent of paragraphs 1 and 2 of Section 3 of Article XVII (Transitory Provisions) of the new Constitution is to read its language in connection with the known conditions of affairs out of which the occasion for its adoption had arisen, and then construe it, if there be any doubtful expression, not in a narrow or technical sense, but liberally, giving effect to the whole Constitution, in order that it may accomplish the objects of its establishment. For these provisions can never be isolated from the context of its economic, political and social environment."³⁸

Article XVIII, Section 5 of the 1987 Constitution states that "[t]he six-year term of the incumbent President and Vice-President elected in the February 7, 1986 election is, for purposes of synchronization of elections, hereby extended to noon of June 30, 1992." In construing this provision, the Court, applying the realities of the situation, stated that it is "a matter of public record and common public knowledge that the Constitutional Commission refers therein to incumbent President Corazon C. Aquino and Vice-President Salvador H. Laurel, and to no other persons."³⁹

A foolproof yardstick in constitutional construction is the intention underlying the provision under consideration. The Court in construing the Constitution should bear in mind the object sought to be accomplished by its adoption, and the evils, if any, sought to be prevented or remedied. A doubtful provision will be examined in the light of the history of the times, and the conditions and circumstances under which the Constitution was framed. The object is to ascertain the reason which induced the framers of the Constitution to enact the particular provision and the purpose sought to be accomplished thereby, in order to construe the whole as to make the words consonant to that reason and calculated to effect that purpose.⁴⁰

In *Civil Liberties Union v. Executive Secretary*,⁴¹ the issue raised is whether Executive Order No. 284 dated July 25, 1987, which authorizes a cabinet member, undersecretary and assistant secretary to hold not more than two positions in the government and government corporations and to receive the corresponding compensation therefor, violates Section 13, Article VII of the 1987 Constitution, which provides that "the President, Vice President, Members of the

³⁶*Ibid.*, p. 329.

³⁷*In re Bernardez*, 145 SCRA 116, 162 (1986).

³⁸*Civil Liberties Union v. Executive Secretary*, 194 SCRA 317 (1991).

⁴¹*Ibid.*, pp. 326-331 (1991).

³⁶G.R. No. 40004, January 31, 1975, 62 SCRA 275 (1975).

³⁷62 SCRA 296-297.

Cabinet, and their deputies or assistants shall not, unless otherwise provided in this Constitution, hold any other office or employment during their tenure." In holding that Executive Order No. 284 violates said constitutional provision and is therefore null and void, the Court examined the history of the times, the conditions under which the constitutional provision was framed, and its object. It held that before the adoption of the constitutional provision "there was a proliferation of newly-created agencies, instrumentalities and government-owned and controlled corporations created by presidential decrees and other modes of presidential issuances where Cabinet members, their deputies or assistants were designated to head or sit as members of the board with the corresponding salaries, emoluments, per diems, allowances and other prerequisites of office. Most of these instrumentalities have remained up to the present." "This practice of holding multiple offices or positions in the government soon led to abuses by unscrupulous public officials who took advantage of this scheme for purposes of self-enrichment. In fact, the holding of multiple offices in government was strongly denounced on the floor of the Batasang Pambansa. This condemnation came in reaction to the published report of the Commission on Audit, entitled '1983 Summary Annual Audit Report on: Government-Owned and Controlled Corporations, Self-Governing Boards and Commissions' which carried as its Figure No. 4 a Roster of Membership Governing Boards of Government-Owned and Controlled Corporations as of December 31, 1983." "It was therefore quite inevitable and in consonance with the overwhelming sentiment of the people that the 1986 Constitutional Commission, convened as it was after the people successfully unseated former President Marcos, should draft into its proposed Constitution the provisions under consideration which are envisioned to remedy, if not correct, the evils that flow from the holding of multiple governmental offices and employment." "Evidently, from this move as well as in the different phraseologies of the constitutional provisions in question, the intent of the framers of the Constitution was to impose a stricter prohibition on the President and his official family insofar as holding other offices or employment in the government or elsewhere is concerned." "Moreover, such intent is underscored by a comparison of Section 13, Article VII with other provisions of the Constitution on the disqualifications of certain public officials or employees from holding other offices or employment. Under Section 13, Article VI, (N)o Senator or Member of the House of Representatives may hold any other office or employment in the Government . . . " Under Section 5(4), Article XVI,

"(N)o member of the armed forces in the active service shall, at any time, be appointed or designated in any capacity to a civilian position in the Government, including government-owned or controlled corporations or any of their subsidiaries." Even Section 7(2), Article IX-B, x x x provides: "(U)nless otherwise allowed by law or by the primary functions of his position, no appointive official shall hold any other office or employment in the Government." "It is quite notable that in all these provisions on disqualifications to hold other office or employment, the prohibition pertains to an office or employment in the government and government-owned or controlled corporations or their subsidiaries. In striking contrast is the wordings of Section 13, Article VII which states that '(T)he President, Vice-President, the Members of the Cabinet, and their deputies or assistants shall not, unless otherwise provided in this Constitution, hold any other office or employment during their tenure.' In the latter provision, the disqualification is absolute, not being qualified by the phrase 'in the government.' This prohibition imposed on the President and his official family is therefore all-embracing and covers both public and private office or employment." "This being the case, the qualifying phrase 'unless otherwise provided in this Constitution' in Section 13, Article VII cannot possibly refer to the broad exceptions provided under Section 7, Article IX-B of the 1987 Constitution. To construe said qualifying phrase as respondents would have us do would render nugatory and meaningless the manifest intent and purpose of the framers of the Constitution to impose a stricter prohibition on the President, Vice-President, Members of the Cabinet, their deputies and assistants with respect to holding other offices or employment in the government during their tenure. Respondents' interpretation that Section 13 of Article VII admits of the exceptions found in Section 7, par. (2) of Article IX-B would obliterate the distinction so carefully set by the framers of the Constitution as to when the high-ranking officials of the Executive Branch from the President to Assistant Secretary, on the one hand, and the generality of civil servants from the rank immediately below Assistant Secretary downwards, on the other, may hold any other office or position in the government during their tenure."

"Moreover, respondents' reading of the provisions in question would render certain parts of the Constitution inoperative. This observation applies particularly to the Vice-President who, under Section 13 of Article VII, is allowed to hold other office or employment when so authorized by the Constitution, but who as an elective public official under Sec. 7, par. (1) of Article IX-B is absolutely ineligible

for appointment or designation in any capacity to any public office or position during his tenure.' Surely, to say that the phrase 'unless otherwise provided in this Constitution' found in Section 13, Article VII has reference to Section 7, par. (1) of Article IX-B would render meaningless the specific provisions of the Constitution authorizing the Vice-President to become a member of the Cabinet, and to act as President without relinquishing the Vice-Presidency where the President shall not have been chosen or fails to qualify. Such absurd consequence can be avoided only by interpreting the two provisions under consideration as one, i.e., Section 7, par. (1) of Article IX-B providing the general rule and the other, i.e., Section 13, Article VII as constituting the exception thereto. In the same manner must Section 7, par. (2) of Article IX-B be construed *vis-à-vis* Section 13, Article VII." "It is a well-established rule in constitutional construction that no one provision of the Constitution is to be separated from all the others, to be considered alone, but that all the provisions bearing upon a particular subject are to be brought into view and to be so interpreted as to effectuate the great purposes of the instrument. Sections bearing on a particular subject should be considered and interpreted together as to effectuate the whole purpose of the Constitution and one section is not to be allowed to defeat another, if by any reasonable construction, the two can be made to stand together." "In other words, the court must harmonize them, if practicable, and must lean in favor of a construction which will render every word operative, rather than one which may make the words idle and nugatory."

"Since the evident purpose of the framers of the 1987 Constitution is to impose a stricter prohibition on the President, Vice-President, members of the Cabinet, their deputies and assistants with respect to holding multiple government offices or employment in the government during their tenure, the exception to this prohibition must be read with equal severity. On its face, the language of Section 13, Article VII is prohibitory so that it must be understood as intended to be a positive and unequivocal negation of the privilege of holding multiple government offices or employment. Verily, whenever the language used in the constitution is prohibitory, it is to be understood as intended to be a positive and unequivocal negation. The phrase 'unless otherwise provided in this Constitution' must be given a literal interpretation to refer to only those particular instances cited in the Constitution itself, to wit: the Vice-President being appointed as a member of the Cabinet under Section 3, par. (2), Article VII; or acting as President in those

instances provided under Section 7, pars. (2) and (3), Article VII; and the Secretary of Justice being *ex officio* member of the Judicial and Bar Council by virtue of Section 8(1), Article VIII."

11.08. Proceedings of the convention.

If the language of the constitutional provision is plain, it is neither necessary nor permissible to resort to extrinsic aids, like the records of the constitutional convention, for its interpretation. However, where the intent of the framers does not decisively appear in the text of the provision as it admits of more than one construction, reliance may be made on extrinsic aids, such as the records of the deliberations or discussions in the convention.⁴⁸

It may be pointed out, however, that while a member's opinion expressed on the floor of the Constitutional Convention is valuable, it is not necessarily expressive of the people's intent. The proceedings of the Convention are less conclusive on the proper construction of the fundamental law than are legislative proceedings of the proper construction of a statute, for in the latter case it is the intent of the legislature the courts seek, while in the former, courts seek to arrive at the intent of the people through the discussions and deliberations of their representatives. The constitutional wisdom is that the Constitution does not derive its force from the convention which framed it, but from the people who ratified it, the intent to be arrived at is that of the people.⁴⁹

The history of the constitutional provision until it was finally approved by the convention is usually inquired into as it sheds light into what the framers of the constitution had in mind at the time.⁵⁰ The debates, interpretations, and opinions expressed concerning particular provisions yield additional insight on the intent or meaning thereof.⁵¹ Thus, on the question as to whether the salary of members of the judiciary is exempt from taxation under the constitutional provision to the effect that "the salary of the Chief Justice and of the Associate Justices of the Supreme Court and of judges of lower

⁴⁸People v. Muñoz, 170 SCRA 107 (1989).

⁴⁹Integrated Bar of the Philippines v. Zamora, 131 SCAD 800, 338 SCRA 81, 134-135 (2000).

⁵⁰Philippine Constitution Assn., Inc. v. Mathay, G.R. No. 2554, October 4, 1966, 18 SCRA 300.

⁵¹J.M. Tusson & Co., Inc. v. Land Tenure Administration, G.R. No. 21064, February 18, 1970, 31 SCRA 413; Aquino v. Commission on Elections, G.R. No. 40004, January 31, 1975, 62 SCRA 272; Co v. Electoral Tribunal, 194 SCRA 692 (1991).

courts shall be fixed by law" and "during their continuance in office, their salary shall not be decreased," the Court ruled: "The debates, interpellations and opinions expressed regarding the constitutional provision in question until it was finally approved by the Commission disclosed that the true intent of the framers of the 1987 Constitution, adopting it, was to make the salaries of members of the Judiciary taxable. The ascertainment of that intent is but in keeping with the fundamental principle of constitutional construction that the intent of the framers of the organic law and of the people adopting should be given effect. The primary task in constitutional construction is to ascertain and thereafter assure the realization of the purpose of the framers and of the people in the adoption of the Constitution. It may also be safely assumed that the people in ratifying the Constitution were guided mainly by the explanation offered by the framers. x x x It would be strained construction to read into the provision an exemption in the light of the discussion in the Constitutional Commission."⁴⁶

*Luz Farms v. Secretary of the Department of Agrarian Reform*⁴⁷ illustrates the rule that the debates or proceedings may be resorted to, to ascertain the intent of the framers of the Constitution as to the meaning of a phrase or word used therein. The Comprehensive Agrarian Reform Law of 1988 includes the land used for raising livestock, poultry and swine within the term "agriculture" as the word is employed in Section 4, Article XIII of the Constitution as the coverage of the agrarian land reform. The question raised is whether the term "agriculture" as used in the Constitution embraces raising of livestock, poultry and swine. In ascertaining the meaning of the term, the Court ruled:

"Ascertainment of the meaning of the provision of the Constitution begins with the language of the document itself. The words used in the Constitution are to be given their ordinary meaning except where technical terms are employed in which case the significance thus attached to them prevails (*J.M. Tuson & Co. v. Land Tenure Administration*, 31 SCRA 413 [1970]).

It is generally held that, in construing constitutional provisions which are ambiguous or of doubtful meaning,

⁴⁶*Nitafan v. Commissioner of Internal Revenue*, 152 SCRA 284, 291-292 (1987); see also *Sarmiento v. Mison*, 156 SCRA 649 (1987).

⁴⁷192 SCRA 51, 56-58 (1990).

the courts may consider the debates in the constitutional convention as throwing light on the intent of the framers of the Constitution. It is true that the intent of the convention is not controlling by itself, but as its proceeding was preliminary to the adoption by the people of the Constitution, the understanding of the convention as to what was meant by the terms of the constitutional provision which was the subject of the deliberation, goes a long way toward explaining the understanding of the people when they ratified it. (*Aguino, Jr. v. Enrile*, 59 SCRA 183 [1974])

The transcript of the deliberations of the Constitutional Commission of 1986 on the meaning of the word 'agriculture' clearly shows that it was never the intention of the framers of the Constitution to include livestock and poultry industry in the coverage of the constitutionally-mandated agrarian reform program of the Government.

The Committee adopted the definition of 'agricultural land' as defined under Section 166 of R.A. No. 3844, as land devoted to any growth, including but not limited to crop lands, saltbeds, fishponds, idle and abandoned land. (*Record, CONCOM, August 7, 1986, Vol. III, p. 11*)

The intention of the Committee is to limit the application of the word 'agriculture.' x x x (The Committee contemplated that agricultural lands are limited to arable and suitable agricultural lands and therefore, do not include commercial, industrial and residential lands. (*Records, CONCOM, August 7, 1986, Vol. III, p. 30*)

x x x

It is evident from the foregoing discussion that Section II of R.A. No. 6657 which includes 'private agricultural lands devoted to commercial livestock, poultry and swine raising' in the definition of 'commercial farms' is invalid, to the extent that the aforesaid agro-industrial activities are made to be covered by the agrarian reform program of the State."

In *Montejo v. COMELEC*,⁴⁸ the issue is whether the Commission on Elections has the power to transfer, by resolution, one or more municipalities from one congressional district to another district

⁴⁸59 SCAD 681, 242 SCRA 415 (1995).

within a province, pursuant to Sec. 2 of the Ordinance appended to the 1987 Constitution. Said Section 2 reads: "The Commission on Elections is hereby empowered to make minor adjustments of the reapportionment herein made." In ascertaining the meaning of the phrase "minor adjustments," the Court relied on the proceedings of the Constitutional Commission, which revealed the intent that the phrase "minor adjustments" refers only to an instance where a municipality which has been forgotten is included in the enumeration of the composition of a congressional district and not to the transfer of one municipality from one district to another, which has been considered a substantive or major adjustment. Being possessed of only the power to make minor adjustments, and what it decreed was a substantive adjustment, the Court declared the resolution as void.

However, while historical discussion on the floor of the constitutional convention is valuable, it is not necessarily decisive.⁴⁹ The proceedings of the convention are less conclusive of the proper construction of the fundamental law than are legislative proceedings of the proper construction of a statute, since in the latter case, it is the intent of the legislature that courts seek, while in the former, courts are endeavoring to arrive at the intent of the people through the discussions and deliberations of their representatives.⁵⁰

While it is permissible to consult the debates and proceedings of the constitutional convention in order to arrive at the reason and purpose of the resulting Constitution, resort thereto may be had only when the other guides fail as said proceedings are powerless to vary the terms of the Constitution when the meaning is clear. Debates in the constitutional convention are of value as showing the views of the individual members, and as indicating the reasons for their votes, but they give us no light as to the views of the large majority who did not talk, much less of the mass of the citizens whose votes at the polls gave that instrument the force of fundamental law. The proper interpretation depends more on how it was understood by the people adopting it than the framers' understanding thereof.⁵¹

⁴⁹J.M. Tusason & Co., Inc. v. Land Tenure Administration, G.R. No. 21064, February 18, 1970, 31 SCRA 413.

⁵⁰Vera v. Avelino, 77 Phil. 192 (1946).

⁵¹Civil Liberties Union v. Executive Secretary, 194 SCRA 317 (1991).

11.09. Contemporaneous construction and writings.

Contemporaneous or practical constructions of specific constitutional provisions by the legislative and executive departments, especially if long continued, may be resorted to resolve, but not to create, ambiguities.⁵² Where the legislature has revised a statute after a constitution has been adopted, such a revision is to be regarded as a legislative construction that the statute so revised conforms to the constitution.⁵³ Though not conclusive, contemporaneous or practical constructions are generally conceded as being entitled to great weight.⁵⁴

However, the practical construction of a constitution is of little weight, if any, unless it has been uniform. As a general rule, it is only in cases of substantial doubt and ambiguity that the doctrine of contemporaneous construction has any application. As a consequence, where the meaning of a constitutional provision is clear, a contemporaneous construction thereof is entitled to no weight and will not be allowed to change in any way its meaning. The reason is that the application of the doctrine of contemporaneous or practical construction is more restricted as applied to the interpretation of constitutional provisions than when applied to statutory provisions, and that except as to matters committed by the constitution itself to the discretion of some other departments, contemporaneous construction is not necessarily binding upon the courts, even in a doubtful case. Hence, if in the judgment of the court, such construction is erroneous and its further application is not made imperative by any paramount considerations of public policy, it may be rejected.⁵⁵

Writings of delegates to the constitutional convention on or explaining the provisions of the constitution, published shortly thereafter, have some persuasive force. But their personal opinions expressed during the deliberations stand on a different footing. If their opinions are based on fact known to them, but not duly established or judicially cognizable, it is immaterial and their brethren are not expected to take their word for it. If on a matter of

⁵²Roman Catholic Apostolic Administration of Davao, Inc. v. Land Registration Commission, 102 Phil. 596 (1957).

⁵³Krivenko v. Commission on Elections, 79 Phil. 461 (1947); Aratuc v. Commission on Elections, G.R. No. 49705, February 8, 1979, 88 SCRA 251.

⁵⁴De los Santos v. Millare, 87 Phil. 289 (1950).

⁵⁵Tañada v. Cuenco, 103 Phil. 1051 (1957).

legal hermeneutics, their conclusions may not, simply on account of membership in the convention, be a shade better in the eyes of the law.⁸⁵

11.10. Previous laws and judicial rulings.

A constitution shall be held to be prepared and adopted in reference to existing statutory laws, upon the provisions of which in detail it must depend to be set in a practical operation. Courts are bound to presume that the people adopting a constitution are familiar with the previous and existing laws upon the subjects to which its provisions relate and upon which they express their judgment and opinion in its adoption.⁸⁶ Courts should take into consideration such laws in construing the constitution.⁸⁷

Similarly, the framers of the constitution are presumed to be aware of prevailing judicial doctrines or rulings concerning which are the subject of constitutional provisions. Courts may properly take such rulings into account in construing the constitutional provision involved. Thus, if the framers of the constitution adopted a principle different from what the courts had previously enunciated, they did so to overrule said principle.⁸⁸

11.11. Changes in phraseology.

Provisions of the constitution are the result of proposals that had undergone a number of revisions and changes in phraseology before their final adoption. These changes in phraseology may be inquired into to ascertain the intent or purpose of the provision as finally approved.⁸⁹ However, the mere deletion of a phrase from a proposed provision before its final adoption is not determinative of any conclusion. It could have been done because the framers of the constitution considered it superfluous. Deletions in the preliminary drafts of the convention are, at best, negative guides which

⁸⁵*Yera v. Aveilino*, 77 Phil. 192 (1946).

⁸⁶See *Dissenting Opinion of Justice Osazeta, Perfecto v. Meer*, 85 Phil. 567 (1950).

⁸⁷*Commissioner of Internal Revenue v. Guerrero*, G.R. No. 20812, September 22, 1967, 21 SCRA 180; *Kepler v. U.S.*, 11 Phil. 669 (1904).

⁸⁸*Torres v. Tan Chinn*, 69 Phil. 516 (1940); *Talaroc v. Uy*, 92 Phil. 62 (1952).

⁸⁹*Philippine Constitution Association, Inc. v. Mathay*, G.R. No. 25564, October 4, 1966, 18 SCRA 300.

cannot prevail over the positive provisions of the finally adopted constitution.⁹⁰

The 1973 Constitution is, in a number of ways, a re-enactment of most of the provisions of the 1935 Constitution. And the 1987 Constitution is, in many ways, a reenactment of most of the provisions of the 1935 and 1973 Constitutions. For this reason, changes in phraseology in the new Constitution may indicate an intent to modify or change the meaning of the old provision from which it was based, and it should thus be construed to reflect such intent.⁹¹ Thus, the original provision of the organic law to the effect that "no person shall be x x x compelled in a criminal case to be a witness against himself" was changed to "no person shall be compelled to be a witness against himself." The deletion of the phrase "in criminal cases" connotes no other import except to make said provision also applicable to cases other than criminal.⁹² Conversely, where there has been no change in phraseology, the reenactment in the new Constitution of the old provisions of the 1935 Constitution in the same or substantially the same language is a recognition that the framers did not intend a change in meaning, and if the old provision had previously received a judicial construction from the highest court of the land, it is presumed that such construction has been adopted by the framers as integral part of the reenacted provision.⁹³

11.12. Consequences of alternative constructions.

The consequences that may follow from alternative constructions of doubtful constitutional provisions constitute an important factor to consider in construing them.⁹⁴ Where a constitutional provision is susceptible of more than one interpretation, that construction which would lead to absurd, impossible or mischievous consequences must be rejected.⁹⁵ For instance, the provision of the Constitution requiring judges to render judgment within specific periods from date of submission for decision of cases⁹⁶ has been construed as directory

⁹⁰*Chiongbian v. De Leon*, 82 Phil. 771 (1949).

⁹¹*Aratuc v. Commission on Elections*, G.R. No. 49705, February 8, 1979, 88 SCRA 251.

⁹²*Galman v. Pamaran*, 138 SCRA 294 (1985).

⁹³See *Montelibano v. Ferrer*, 97 Phil. 228 (1955); *In re Dick*, 38 Phil. 41 (1918).

⁹⁴*Roman Catholic Apostolic Administration of Davao, Inc. v. Land Registration Commission*, 102 Phil. 596 (1957).

⁹⁵*Marcelino v. Cruz*, G.R. No. 42428, March 18, 1983, 121 SCRA 51.

⁹⁶Art. VIII, Sec. 15(1), 1987 Constitution.

and not mandatory, for to construe it as mandatory is to make such judges lose jurisdiction over the cases in the event they fail to decide them within the period, which consequence will cause greater injury to the public than when it is interpreted to be merely directory. For as the Court explained, "to hold that noncompliance by the courts with the aforesaid provision would result in loss of jurisdiction, would make the courts, through which conflicts are resolved, the very instrument to foster unresolved causes by reason merely of having failed to render a decision within the allowed term," which "absurd situation could not have been intended by the framers of our fundamental law."⁶⁸

11.13. Constitution construed as a whole.

A provision of the constitution should not be construed in isolation from the rest. Rather, the constitution must be interpreted as a whole, and apparently, conflicting provisions should be reconciled and harmonized in a manner that may give to all of them full force and effect.⁶⁹ In other words, the constitution should be construed to the full extent of its substance and its terms, not by itself alone, but in conjunction with all other provisions, unless the contrary is so clearly provided.⁷⁰

It is a well-established rule in constitutional construction that no one provision of the Constitution is to be separated from all the others, to be considered alone, but that all the provisions bearing upon a particular subject are to be brought into view and to be so interpreted as to effectuate the great purposes of the instrument. Sections bearing on a particular subject should be considered and interpreted together as to effectuate the whole purpose of the Constitution and one section is not to be allowed to defeat another, if by any reasonable construction, the two can be made to stand together. In other words, the court must harmonize them, if practicable, and must lean in favor of a construction which will render every word operative, rather than one which may make the words idle and nugatory.⁷¹

⁶⁸*Marcelino v. Cruz, supra.*

⁶⁹*Ang-Angco v. Castillo, G.R. No. 17169, November 30, 1963, 9 SCRA 619 (1963); Peralta v. Commission on Elections, G.R. No. 47771, March 11, 1978, 82 SCRA 30.*

⁷⁰*Chiongchian v. De Leon, 82 Phil. 771 (1949).*

⁷¹*Civil Liberties Union v. Executive Secretary, 194 SCRA 317 (1991).*

Article VI, Sec. 24 of the 1987 Constitution provides: "All appropriation, revenue or tariff bills, bills authorizing increase of public debt, bills of local application, and private bills shall originate exclusively in the House of Representatives, but the Senate may propose or concur with amendments." In *Tolentino v. Secretary of Finance*,⁷² it was contended that Rep. Act No. 7716 (VAT law) did not "originate exclusively" in the House of Representatives as required by Art. VI, Sec. 24 because it is in fact the result of the consolidation of two distinct bills, H. No. 11197 and S. No. 130. It is further claimed that to be considered as having originated in the House, Rep. Act No. 7716 must retain the essence of H. No. 11197. The Court rejected such interpretation of the constitutional provision, as follows:

"This argument will not bear analysis. To begin with, it is not the law — but the revenue bill — which is required by the Constitution to 'originate exclusively' in the House of Representatives. It is important to emphasize this, because a bill originating in the House may undergo such extensive changes in the Senate that the result may be a rewriting of the whole. x x x At this point, what is important to note is that, as a result of the Senate action, a distinct bill may be produced. To insist that a revenue statute — and not only the bill which initiated the legislative process culminating in the enactment of the law — must substantially be the same as the House bill would be to deny the Senate's power not only to 'concur with amendments' but also to 'propose amendments.' It would be to violate the coequality of the legislative power of the two houses of Congress and in fact make the House superior to the Senate.

x x x

Indeed, what the Constitution simply means is that the initiative for filing revenue, tariff, or tax bills x x x must come from the House of Representatives x x x.

Nor does the Constitution prohibit the filing in the Senate of a substitute bill in anticipation of its receipt of the bill from the House, so long as action by the Senate as a body is withheld pending receipt of the House bill. x x x."⁷³

⁷²54 SCAD 671, 235 SCRA 630 (1994).

⁷³*Ibid.*, pp. 661-663.

11.14. Mandatory or directory.

The established rule is that constitutional provisions are to be construed as mandatory, unless by express provision or by necessary implication, a different intention is manifested. The difference between a mandatory and directory provision is often determined on grounds of expediency, the reason being that less injury results to the general public by disregarding than by enforcing the letter of the fundamental law.⁷⁴

It has been held that "in the interpretation of Constitutions, questions arise as to whether particular sections are mandatory or directory. The courts usually hesitate to declare that a constitutional provision is directory merely in view of the tendency of the legislature to disregard provisions which are not said to be mandatory. Accordingly, it is the general rule to regard constitutional provisions as mandatory and not to leave any discretion to the will of a legislature to obey or to disregard them. This presumption as to mandatory quality is usually followed unless it is unmistakably manifest that the provisions are intended to be merely directory. The analogous rules distinguishing mandatory and directory statutes are of little value in this connection and are rarely applied in passing upon the provisions of a constitution." "So strong is the inclination in favor of giving obligatory force to the terms of the organic law that it has even been said that neither by the courts nor by any other department of government may any provision of the Constitution be regarded as merely directory, but that each and every one of its provisions should be treated as imperative and mandatory, without reference to the rules distinguishing between the directory and mandatory statutes."⁷⁵

The reason why provisions of the constitution, are generally regarded as mandatory is that in a constitution, the sovereign itself speaks and is laying down rules which for the time being at least are to control alike the government and the governed. Its provisions are binding upon all departments of the government.⁷⁶ However, the fact that the legislature failed to enact the necessary legislation as required by the constitution does not make the legislature

⁷⁴Marcelino v. Cruz, G.R. No. 42428, March 18, 1983, 121 SCRA 51; Vargas v. Rillaroza, 80 Phil. 279 (1948).

⁷⁵Tañada v. Cuenco, 103 Phil. 1051, Footnote 11, pp. 1088-1089 (1957), quoting 11 Am. Jur. 686-687.

⁷⁶Vargas v. Rillaroza, 80 Phil. 279 (1948).

illegal or its members de facto officers. Neither the political law nor the law on public officers, in particular, support the view that failure to discharge a mandatory duty, whatever it may be, would automatically result in the forfeiture of an office, in the absence of a statute to that effect.⁷⁷

An example of mandatory provision is Article X, Section 6 of the Constitution, which provides:

SECTION 6. Local government units shall have a just share, as determined by law, in the national taxes which shall be automatically released to them.

The above provision was invoked in *ACORD v. Zamora*, [G.R. No. 144256, June 8, 2005], which raises the constitutionality of the GAA Provisions which make the release of the internal revenue allotment (IRA) due to local government units subject to the condition that revenue collections would meet the revenue target originally submitted by the President. It was claimed that said GAA provisions violate Sec. 6 of Art. X of the Constitution.

Respondents argue that the subject constitutional provision merely prevents the executive branch of the government from "unilaterally" withholding the IRA, but not the legislature from authorizing the executive branch to withhold the same. In the words of respondents, "This essentially means that the President or any member of the Executive Department cannot unilaterally, i.e., without the backing of statute, withhold the release of the IRA."

The Court rejected respondents' arguments and declared the GAA provisions unconstitutional. Held the Court:

"As the Constitution lays upon the executive the duty to automatically release the just share of local governments in the national taxes, so it enjoins the legislature not to pass laws that might prevent the executive from performing this duty. To hold that the executive branch may disregard constitutional provisions which define its duties, provided it has the backing of statute, is virtually to make the Constitution amendable by statute — a proposition which is patently absurd.

⁷⁷Gonzales v. Commission on Elections, G.R. No. 28196, November 9, 1967, 121 SCRA 774.

Moreover, there is merit in the argument of the intervenor Province of Batangas that, if indeed the framers intended to allow the enactment of statutes making the release of IRA conditional instead of automatic, then Article X, Section 6 of the Constitution would have been worded differently. Instead of reading "*Local government units shall have a just share, as determined by law, in the national taxes which shall be automatically released to them*" (italics supplied), it would have read as follows, so the Province of Batangas posits:

Local government units shall have a just share, as determined by law, in the national taxes which shall be [automatically] released to them as provided by law, or

Local government units shall have a just share in the national taxes which shall be [automatically] released to them as provided by law, or

Local government units shall have a just share, as determined by law, in the national taxes which shall be automatically released to them subject to exceptions Congress may provide. (Italics supplied)

Since, under Article X, Section 6 of the Constitution, only the just share of local governments is qualified by the words "as determined by law," and not the release thereof, the plain implication is that Congress is not authorized by the Constitution to hinder or impede the automatic release of the IRA.

Indeed, that Article X, Section 6 of the Constitution did bind the legislative just as much as the executive branch was presumed in the ruling of this Court in the case of *The Province of Batangas v. Romulo* which is analogous in many respects to the one at bar.

In *Batangas*, the petitioner therein challenged the constitutionality of certain provisos of the GAAs for FY 1999, 2000, and 2001 which set up the Local Government Service Equalization Fund (LGSEF). The LGSEF was a portion of the IRA which was to be released only upon a finding of the Oversight Committee on Devolution that the LGU concerned had complied with the guidelines issued by said committee. This Court measured the challenged legislative acts against Article X, Section 6 and declared them unconstitutional — a ruling which presupposes that the legislature, like the executive, is mandated by said constitutional provision to ensure that the just

share of local governments in the national taxes are automatically released.

Respondents, in further support of their claim that the automatic release requirement in the Constitution constrains only the executive branch and not the legislature, cite three statutory provisions whereby the legislature authorized the executive branch to withhold the IRA in certain circumstances, namely, Section 70 of the Philippine National Police Reform and Reorganization Act of 1998, Section 531(e) of the Local Government Code, and Section 10 of Republic Act 7924 (1995). Towards the same end, respondents also cite Rule XXXII, Article 383(c) of the Rules and Regulations Implementing the Local Government Code.

While statutes and implementing rules are entitled to great weight in constitutional construction as indicators of contemporaneous interpretation, such interpretation is not necessarily binding or conclusive on the courts. In *Tañada v. Cuenco*, the Court held:

As a consequence, "where the meaning of a constitutional provision is clear, a contemporaneous or practical . . . executive interpretation thereof is entitled to no weight and will not be allowed to distort or in any way change its natural meaning." The reason is that "the application of the doctrine of contemporaneous construction is more restricted as applied to the interpretation of constitutional provisions than when applied to statutory provisions," and that "except as to matters committed by the constitution itself to the discretion of some other department, contemporaneous or practical construction is not necessarily binding upon the courts, even in a doubtful case." Hence, "if in the judgment of the court, such construction is erroneous and its further application is not made imperative by any paramount considerations of public policy, it may be rejected." (Emphasis and underscoring supplied, citations omitted)

The validity of the legislative acts assailed in the present case should, therefore, be assessed in light of Article X, Section 6 of the Constitution.

Again, in *Batangas*, this Court interpreted the subject constitutional provision as follows:

When parsed, it would be readily seen that this provision mandates that (1) the LGUs shall have a "just share" in the

national taxes; (2) the "just share" shall be determined by law; and (3) the "just share" shall be automatically released to the LGUs.

x x x

Webster's Third New International Dictionary defines "automatic" as "involuntary either wholly or to a major extent so that any activity of the will is largely negligible; of a reflex nature; without volition; mechanical; like or suggestive of an automaton." Further, the word "automatically" is defined as "in an automatic manner: without thought or conscious intention." Being "automatic," thus, connotes something mechanical, spontaneous and perfunctory. x x x (Emphasis and underscoring supplied)

Further on, the Court held:

To the Court's mind, the entire process involving the distribution and release of the LGSEF is constitutionally impermissible. The LGSEF is part of the IRA or "just share" of the LGUs in the national taxes. To subject its distribution and release to the vagaries of the implementing rules and regulations, including the guidelines and mechanisms unilaterally prescribed by the Oversight Committee from time to time, as sanctioned by the assailed provisos in the GAAs of 1999, 2000 and 2001 and the OCD resolutions, makes the release not automatic, a flagrant violation of the constitutional and statutory mandate that the "just share" of the LGUs "shall be automatically released to them." The LGUs are, thus, placed at the mercy of the Oversight Committee.

Where the law, the Constitution in this case, is clear and unambiguous, it must be taken to mean exactly what it says, and courts have no choice but to see to it that the mandate is obeyed. Moreover, as correctly posited by the petitioner, the use of the word "shall" connotes a mandatory order. Its use in a statute denotes an imperative obligation and is inconsistent with the idea of discretion. x x x (Emphasis and underscoring supplied)

While "automatic release" implies that the just share of the local governments determined by law should be released to them as a matter of course, the GAA provisions, on the other hand,

withhold its release pending an event which is not even certain of occurring. To rule that the term "automatic release" contemplates such conditional release would be to strip the term "automatic" of all meaning.

Additionally, to interpret the term automatic release in such a broad manner would be inconsistent with the ruling in *Pimentel v. Aguirre*. In the said case, the executive withheld the release of the IRA pending an assessment very similar to the one provided in the GAA. This Court ruled that such withholding contravened the constitutional mandate of an automatic release, viz:

Section 4 of AO 372 cannot, however, be upheld. A basic feature of local fiscal autonomy is the automatic release of the shares of LGUs in the national internal revenue. This is mandated by no less than the Constitution. The Local Government Code specifies further that the release shall be made directly to the LGU concerned within five (5) days after every quarter of the year and "shall not be subject to any lien or holdback that may be imposed by the national government for whatever purpose." As a rule, the term "shall" is a word of command that must be given a compulsory meaning. The provision is, therefore, imperative.

Section 4 of AO 372, however, orders the withholding, effective January 1, 1998, of 10 percent of the LGUs' IRA "pending the assessment and evaluation by the Development Budget Coordinating Committee of the emerging fiscal situation" in the country. Such withholding clearly contravenes the Constitution and the law. x x x (Italics in the original; underscoring supplied)

There is no substantial difference between the withholding of IRA involved in *Pimentel* and that in the present case, except that here it is the legislature, not the executive, which has authorized the withholding of the IRA. The distinction notwithstanding, the ruling in *Pimentel* remains applicable. As explained above, Article X, Section 6 of the Constitution – the same provision relied upon in *Pimentel* – enjoins both the legislative and executive branches of government. Hence, as in *Pimentel*, under the same constitutional provision, the legislative is barred from withholding the release of the IRA.

It bears stressing, however, that in light of the proviso in Section 284 of the Local Government Code which reads:

*Provided, That in the event that the national government incurs an unmanageable public sector deficit, the President of the Philippines is hereby authorized, upon the recommendation of Secretary of Finance, Secretary of Interior and Local Government and Secretary of Budget and Management, and subject to consultation with the presiding officers of both Houses of Congress and the presidents of the "liga," to make the necessary adjustments in the internal revenue allotment of local government units but in no case shall the allotment be less than thirty percent (30%) of the collection of national internal revenue taxes of the third fiscal year preceding the current fiscal year: Provided, further, That in the first year of the effectivity of this Code, the local government units shall, in addition to the thirty percent (30%) internal revenue allotment which shall include the cost of devolved functions for essential public services, be entitled to receive the amount equivalent to the cost of devolved personal services. (Underscoring supplied), the only possible exception to mandatory automatic release of the IRA is, as held in *Batangas*:*

...If the national internal revenue collections for the current fiscal year is less than 40 percent of the collections of the preceding third fiscal year, in which case what should be automatically released shall be a proportionate amount of the collections for the current fiscal year. The adjustment may even be made on a quarterly basis depending on the actual collections of national internal revenue taxes for the quarter of the current fiscal year. x x x

A final word. This Court recognizes that the passage of the GAA provisions by Congress was motivated by the laudable intent to "lower the budget deficit in line with prudent fiscal management." The pronouncement in *Pimentel*, however, must be echoed: "[T]he rule of law requires that even the best intentions must be carried out within the parameters of the Constitution and the law. Verily, laudable purposes must be carried out by legal methods."

11.15. Prospective or retroactive.

The rule is that a constitution should operate prospectively only, unless the words employed show a clear intention that it should have a retroactive effect.⁷⁶

The Supreme Court applied the principle of prospectivity to Sec. 20, Art. IV of the 1973 Constitution, which reads: "No person shall be compelled to be a witness against himself. Any person under investigation for the commission of an offense shall have the right to remain silent and to counsel and to be informed of such rights. No force, violence, threat, intimidation, or any other means which vitiates the free will shall be used against him. Any confession obtained in violation of this section shall be inadmissible in evidence." The Court held that "this specific portion of this constitutional mandate has and should be given a prospective and not a retrospective effect. Consequently, a confession obtained from a person under investigation for the commission of an offense, who has not been informed of his right (to silence and) to counsel, is inadmissible in evidence if the same had been obtained after the effectivity of the New Constitution on January 17, 1973. Conversely, such confession is admissible in evidence against the accused, if the same had been obtained before the effectivity of the New Constitution, even if presented after January 17, 1973, and even if he had not been informed of his right to counsel, since no law gave the accused the right to be so informed before that date."⁷⁷

Section 20, Art. IV, of the 1973 Constitution had been substantially re-enacted in Sec. 12, Art. III of the 1987 Constitution. In *Filoteo, Jr. v. Sandiganbayan*,⁷⁸ the Court ruled: "Although a number of cases held that extrajudicial confessions made while the 1973 Constitution was in force and effect, should have been made with the assistance of counsel, the definitive ruling was enunciated only on April 26, 1983 when this Court, through *Morales, Jr. v. Enrile*, issued the guidelines to be observed by law enforcers during custodial investigation. The Court specifically ruled that '(t)he right to counsel may be waived but the waiver shall not be valid

⁷⁶*Peralta v. Director of Prisons*, 75 Phil. 285 (1945); *Cabanatan v. Uy Hoo*, 88 Phil. 103 (1951); *Magtoto v. Manguera*, G.R. No. 37201, March 3, 1975, 63 SCRA 4; *Ceniza v. Commission on Elections*, G.R. No. 62304, January 28, 1980, 95 SCRA 763; *Hagonoy Water District v. NIRC*, 165 SCRA 272 (1988).

⁷⁷*Magtoto v. Manguera*, 63 SCRA 4, 12 (1975).

⁷⁸75 SCAD 311, 263 SCRA 222 (1996).

unless made with the assistance of counsel.⁸¹ Thereafter, in *People v. Luvendino*, the Court through Mr. Justice Florentino P. Feliciano vigorously taught: "x x x The doctrine that an uncounseled waiver of the right to counsel is not to be given legal effect was initially a judge-made one and was first announced on 26 April 1983 in *Morales v. Enrile* and reiterated on 20 March 1985 in *People v. Galit* x x x. While the *Morales-Galit* doctrine eventually became part of Section 12(1) of the 1987 Constitution, that doctrine affords no comfort to appellant Luvendino for the requirements and restrictions outlined in *Morales* and *Galit* have no retroactive effect and do not reach waivers made prior to 26 April 1983 the date of promulgation of *Morales*."⁸²

Illustrative of the rule of retroactivity is *Co v. Electoral Tribunal*,⁸³ where the Court held that Sec. 1, par. 3, Art. IV of the 1987 Constitution, which states that "Those born before January 17, 1973, of Filipino mothers, who elect Philippine citizenship upon reaching the age of majority" are citizens of the Philippines, has retroactive effect, the clear intent of the framers as shown by the language of the provision being to make it not only prospective but also retroactive.

11.16. Applicability of rules of statutory construction.

A good number of the rules of statutory construction are applicable to the construction of the constitution. In appropriate cases, they may be employed in construing constitutional provisions.⁸⁴

*Sarmiento v. Misor*⁸⁵ is a good example in which the Supreme Court applied a number of rules of statutory construction in construing a constitutional provision. The issue raised in this case is whether or not the appointment of a Commissioner of Customs is subject to confirmation by the Commission on Appointments. The Court ruled:

"This case assumes added significance because, at bottom line, it involves a conflict between two (2) great departments of government, the Executive and Legislative Departments. It also occurs early in the life of the 1987 Constitution.

⁸¹*Ibid.*, pp. 258-260.

⁸²199 SCRA 692 (1991).

⁸³*Marcelino v. Cruz*, G.R. No. 42428, March 18, 1983, 121 SCRA 51.

⁸⁴156 SCRA 549 (1987).

The task of the Court is rendered lighter by the existence of relatively clear provisions in the Constitution. In cases like this, we follow what the Court, speaking through Mr. Justice (later, Chief Justice) Jose Abad Santos stated in *Gold Creek Mining Corp. v. Rodriguez*,⁸⁶ that:

"The fundamental principle of constitutional construction is to give effect to the intent of the framers of the organic law and of the people adopting it. The intention to which force is to be given is that which is embodied and expressed in the constitutional provisions themselves."

The Court will thus construe the applicable constitutional provisions, not in accordance with how the executive or the legislative department may want them construed, but in accordance with what they say and provide.

Section 16, Article VII of the 1987 Constitution says:

The President shall nominate and, with the consent of the Commission on Appointments, appoint the heads of the executive departments, ambassadors, other public ministers and consuls, or officers of the armed forces from the rank of colonel or naval captain, and other officers whose appointments are vested in him in this Constitution. He shall also appoint all other officers of the Government whose appointments are not otherwise provided for by law, and those whom he may be authorized by law to appoint. The Congress may, by law, vest the appointment of other officers lower in rank in the President alone, in the courts, or in the heads of the departments, agencies, commissions or boards.

The President shall have the power to make appointments during the recess of the Congress, whether voluntary or compulsory, but such appointments shall be effective only until disapproved by the Commission on Appointments or until the next adjournment of the Congress.

It is readily apparent that under the provisions of the 1987 Constitution, just quoted, there are four (4) groups of officers

⁸⁶66 Phil. 259.

whom the President shall appoint. These four (4) groups, to which we will hereafter refer from time to time, are:

First, the heads of the executive departments, ambassadors, other public ministers and consuls, officers of the armed forces from the rank of colonel or naval captain, and other officers whose appointments are vested in him in this Constitution;

Second, all other officers of the Government whose appointments are not otherwise provided for by law;

Third, those whom the President may be authorized by law to appoint;

Fourth, officers lower in rank whose appointment the Congress may by law vest in the President alone.

The first group of officers is clearly appointed with the consent of the Commission on Appointments. Appointments of such officers are initiated by nomination and, if the nomination is confirmed by the Commission on Appointments, the President appoints.

The second, third and fourth groups of officers are the present bone of contention. Should they be appointed by the President with or without the consent (confirmation) of the Commission on Appointments? By following the accepted rule in constitutional and statutory construction that an express enumeration of subjects excludes others not enumerated, it would follow that only those appointments to positions expressly stated in the first group require the consent (confirmation) of the Commission on Appointments. But we need not rely solely on this basic rule of constitutional construction. We can refer to the historical background as well as to the records of the 1986 Constitutional Commission to determine, with more accuracy, if not precision, the intention of the framers of the 1987 Constitution and the people adopting it, on whether the appointments by the President, under the second, third and fourth groups, require the consent (confirmation) of the Commission on Appointments. Again, in this task, the following advice of Mr. Chief Justice J. Abad Santos in *Gold Creek* is apropos:

In deciding this point, it should be borne in mind that a constitutional provision must be presumed to have been

framed and adopted in the light and understanding of prior and existing laws and with reference to them. "Courts are bound to presume that the people adopting a constitution are familiar with the previous and existing laws upon the subjects to which its provisions relate, and upon which they express their judgment and opinion in its adoption." (*Barry v. Truax*, 13 N.D. 131, 99 N.W., 769, 65 L.R.A., 762)

It will be recalled that, under Sec. 10, Article VII of the 1935 Constitution, it is provided that —

"x x x

(3) The President shall nominate and with the consent of the Commission on Appointments, shall appoint the heads of the executive departments and bureaus, officers of the Army from the rank of colonel, of the Navy and Air Forces from the rank of captain or commander, and all other officers of the Government whose appointments are not herein otherwise provided for, and those whom he may be authorized by law to appoint; but the Congress may by law vest the appointment of inferior officers, in the President alone, in the courts, or in the heads of departments.

(4) The President shall have the power to make appointments during the recess of the Congress, but such appointments shall be effective only until disapproved by the Commission on Appointments or until the next adjournment of the Congress.

x x x

(7) x x x, and with the consent of the Commission on Appointments, shall appoint ambassadors, other public ministers and consuls x x x."

Upon the other hand, the 1973 Constitution provides that —

"Section 10. The President shall appoint the heads of bureaus and offices, the officers of the Armed Forces of the Philippines from the rank of Brigadier General or Commodore, and all other officers of the government whose appointments are not herein otherwise provided for, and those whom he may be authorized by law to appoint.

However, the Batasang Pambansa may by law vest in the Prime Minister, members of the Cabinet, the Executive Committee, Courts, Heads of Agencies, Commissions, and Boards the power to appoint inferior officers in their respective offices."

Thus, in the 1935 Constitution, almost all presidential appointments required the consent (confirmation) of the Commission on Appointments. It is now a sad part of our political history that the power of confirmation by the Commission on Appointments, under the 1935 Constitution, transformed that commission, many times, into a venue of "horse-trading" and similar malpractices.

On the other hand, the 1973 Constitution, consistent with the authoritarian pattern in which it was molded and remolded by successive amendments, placed the absolute power of appointment in the President with hardly any check on the part of the legislature.

Given the above two (2) extremes, one, in the 1935 Constitution and the other, in the 1973 Constitution, it is not difficult for the Court to state that the framers of the 1987 Constitution and the people adopting it, struck a "middle ground" by requiring the consent (confirmation) of the Commission on Appointments for the first group of appointments and leaving to the President, without such confirmation, the appointment of other officers, i.e., those in the second and third groups as well as those in the fourth group, i.e., officers of lower rank.

The proceedings in the 1986 Constitutional Commission support this conclusion. The original text of Section 16, Article VII, as proposed by the Committee on the Executive of the 1986 Constitutional Commission, read as follows:

"Section 16. The president shall nominate and, with the consent of a Commission on Appointments, shall appoint the heads of the executive departments and bureaus, ambassadors, other public ministers and consuls, or officers of the armed forces from the rank of colonel or naval captain and all other officers of the Government whose appointments are not otherwise provided for by law, and those whom he may be authorized by law to appoint. The Congress may by law vest the appointment

of inferior officers in the President alone, in the courts, or in the heads of departments." [Emphasis supplied].

The above text is almost a verbatim copy of its counterpart provision in the 1935 Constitution. When the framers discussed on the floor of the Commission the proposed text of Section 16, Article VII, a feeling was manifestly expressed to make the power of the Commission on Appointments over presidential appointments more limited than that held by the Commission in the 1935 Constitution. Thus —

Mr. Rama: x x x May I ask that Commissioner Monsod be recognized.

The President: We will call Commissioner Davide later.

Mr. Monsod: With the Chair's indulgence, I just want to take a few minutes of our time to lay the basis for some of the amendments that I would like to propose to the Committee this morning.

x x x

On Section 16, I would like to suggest that the power of the Commission on Appointments be limited to the department heads, ambassadors, generals and so on but not to the levels of bureau heads and colonels.

x x x x x x (Emphasis supplied.)

In the course of the debates on the text of Section 16, there were two (2) major changes proposed and approved by the Commission. These were: (1) the exclusion of the appointments of heads of bureaus from the requirement of confirmation by the Commission on Appointments; and (2) the exclusion of appointments made under the second sentence of the section from the same requirement. x x x

It is, therefore, clear that appointments to the second and third groups of officers can be made by the President without the consent (confirmation) of the Commission on Appointments.

It is contended by *amicus curiae*, Senator Neptali Gonzales, that the second sentence of Sec. 16, Article VII reading —

"... He (the President) shall also appoint all other officers of the Government whose appointments are not

otherwise provided for by law and those whom he may be authorized by law to appoint . . . x x x" (Emphasis supplied.)

With particular reference to the word "also," implies that the President shall "in like manner" appoint the officers mentioned in said second sentence. In other words, the President shall appoint the officers mentioned in said second sentence in the same manner as he appoints officers mentioned in the first sentence, that is, by nomination and with the consent (confirmation) of the Commission on Appointments.

Amicus curiae's reliance on the word "also" in said second sentence is not necessarily supportive of the conclusion he arrives at. For, as the Solicitor General argues, the word "also" could mean "in addition, as well; besides, too" (*Webster's International Dictionary*, p. 62, 1981 edition) which meanings could, on the contrary, stress that the word "also" in said second sentence means that the President, in addition to nominating and, with the consent of the Commission on Appointments, appointing the officers enumerated in the first sentence, can appoint without such consent (confirmation) the officers mentioned in the second sentence.

Rather than limit the area of consideration to the possible meanings of the word "also" as used in the context of said second sentence, the Court has chosen to derive significance from the fact that the first sentence speaks of nomination by the President and appointments, whereas, the second sentence speaks only of appointment by the President. And, this use of different language in two (2) sentences proximate to each other underscores, in line with Judge Learned Hand's observation that "words are not pebbles in alien juxtaposition" but, more so, because the recorded proceedings of the 1986 Constitutional Commission clearly and expressly justify such differences.

As a result of the innovations introduced in Sec. 16, Article VII of the 1987 Constitution, there are officers whose appointments require no confirmation of the Commission on Appointments, even if such officers may be higher in rank, compared to some officers whose appointments have to be confirmed by the Commission on Appointments under the first sentence of the same Sec. 16, Art. VII. Thus, to illustrate, the appointment of the Central Bank Governor requires no confirmation by the Commission on Appointments, even if he

is higher in rank than a colonel in the Armed Forces of the Philippines or a consul in the Consular Service.

But these contrasts, while initially impressive, merely underscore the purposive intention and deliberate judgment of the framers of the 1987 Constitution that, except as to those officers whose appointments require the consent of the Commission on Appointments by express mandate of the first sentence in Sec. 16, Art. VII, appointments of other officers are left to the President without need of confirmation by the Commission on Appointments. This conclusion is inevitable, if we are to presume, as we must, that the framers of the 1987 Constitution were knowledgeable of what they were doing and of the foreseeable effects thereof.

Besides, the power to appoint is fundamentally executive or presidential in character. Limitations on or qualifications of such power should be strictly construed against them. Such limitations or qualifications must be clearly stated in order to be recognized. But, it is only in the first sentence of Sec. 16, Art. VII where it is clearly stated that appointments by the President to the positions therein enumerated require the consent of the Commission on Appointments.

As to the fourth group of officers whom the President can appoint, the intervenor Commission on Appointments underscores the third sentence in Sec. 16, Article VII of the 1987 Constitution, which reads:

"The Congress may, by law, vest the appointment of other officers lower in rank in the President alone, in the courts, or in the heads of departments, agencies, commissions, or boards." [Emphasis supplied]

And argues that, since a law is needed to vest the appointment of lower-ranked officers in the President alone, this implies that, in the absence of such a law, lower-ranked officers have to be appointed by the President subject to confirmation by the Commission on Appointments; and, if this is so, as to lower-ranked officers, it follows that higher-ranked officers should be appointed by the President, subject also to confirmation by the Commission on Appointments.

The respondents, on the other hand, submit that the third sentence of Sec. 16, Article VII, abovequoted, merely declares

that, as to lower-ranked officers, the Congress may by law vest their appointment in the President, in the courts, or in the heads of the various departments, agencies, commissions, or boards in the government. No reason, however, is submitted for the use of the word "alone" in said third sentence.

The Court is not impressed by both arguments. It is of the considered opinion, after a careful study of the deliberations of the 1986 Constitutional Commission, that the use of the word "alone" after the word "President" in said third sentence of Sec. 16, Article VII is, more than anything else, a slip or lapses in draftsmanship. It will be recalled that, in the 1935 Constitution, the following provision appears at the end of par. 3, Section 10, Article VII thereof —

"x x x; but the Congress may by law vest the appointment of inferior officers, in the President alone, in the courts, or in the heads of departments." [Emphasis supplied].

The above provision in the 1935 Constitution appears immediately after the provisions which makes practically all presidential appointments subject to confirmation by the Commission on Appointments, thus —

"3. The President shall nominate and with the consent of the Commission on Appointments, shall appoint the heads of the executive departments and bureaus, officers of the Army from the rank of colonel, of the Navy and Air Forces from the rank of captain or commander, and all other officers of the Government whose appointments are not herein provided for, and those whom he may be authorized by law to appoint; x x x"

In other words, since the 1935 Constitution subjects, as a general rule, presidential appointments to confirmation by the Commission on Appointments, the same 1935 Constitution saw fit, by way of an exception to such rule, to provide that Congress may, however, by law vest the appointment of inferior officers (equivalent to "officers lower in rank" referred to in the 1987 Constitution) in the President alone, in the courts, or in the heads of departments.

In the 1987 Constitution, however, as already pointed out, the clear and express intent of its framers was to exclude

presidential appointments from confirmation by the Commission on Appointments, except appointments to offices expressly mentioned in the first sentence of Sec. 16, Article VII. Consequently, there was no reason to use in the third sentence of Sec. 16, Article VII the word "alone" after the word "President" in providing that Congress may by law vest the appointment of lower-ranked officers in the President alone, or in the courts, or in the heads of departments, because the power to appoint officers whom he (the President) may be authorized by law to appoint is already vested in the President, without need of confirmation by the Commission on Appointments, in the second sentence of the same Sec. 16, Article VII.

Therefore, the third sentence of Sec. 16, Article VII could have stated merely that, in the case of lower-ranked officers, the Congress may by law vest their appointment in the President, in the courts, or in the heads of various departments of the government. In short, the word "alone" in the third sentence of Sec. 16, Article VII of the 1987 Constitution, as a literal import from the last part of par. 3, Section 10, Article VII of the 1935 Constitution, appears to be redundant in the light of the second sentence of Sec. 16, Article VII. And, this redundancy cannot prevail over the clear and positive intent of the framers of the 1987 Constitution that presidential appointments, except those mentioned in the first sentence of Sec. 16, Article VII, are not subject to confirmation by the Commission on Appointments.⁸⁹

11.17. Generally, constitutional provisions are self-executing.

The general rule is that constitutional provisions are self-executing, except when the provisions themselves expressly require legislations to implement them or when, from their language or tenure, they are merely declarations of policies and principles. A self-executing provision is one which is complete by itself and becomes operative without the aid of supplementary or enabling legislation, or which supplies sufficient rule by means of which the right it grants may be enjoyed or protected. However, a self-executing provision does not preclude the legislature from enacting laws which facilitate the exercise of powers directly granted by the constitution, further

⁸⁹156 SCRA, p. 552, *et seq.*

the operation of self-executing provisions, prescribe a practice to be used for their enforcement, provide a convenient remedy for the protection of the rights secured or the determination thereof, or place reasonable safeguards around the exercise of the right. The fact that legislation may supplement and add to or prescribe a penalty for the violation of a self-executing constitutional provision does not render such a provision ineffective in the absence of such legislation. The omission from a constitution of any express provision for a remedy for enforcing a right or liability is not necessarily an indication that it was not intended to be self-executing.⁸⁷

The rule is that in case of doubt, the Constitution should be considered self-executing rather than non-self-executing. Unless the contrary is clearly intended, the provisions of the Constitution should be considered self-executing, as a contrary rule would give the legislature discretion to determine when, or whether, they shall be effective. These provisions would be subordinated to the will of the lawmaking body, which could make them entirely meaningless by simply refusing to pass the needed implementing statute.⁸⁸

An example of a self-executing constitutional provision is Sec. 10, second par. of Article XII of the 1987 Constitution, which states that "in the grant of rights, privileges, and concessions covering the national economy and patrimony, the State shall give preference to qualified Filipinos." In *Manila Prince Hotel v. GSIS*,⁸⁹ the issue raised in connection with this constitutional provision, is whether in the sale at public bidding of the majority ownership of the Manila Hotel a qualified Filipino entity can match the winning bid of a foreigner and be entitled to the award of the contract of sale thereof. The resolution of the issue depends on whether the provision is self-executing or non-self-executing which requires enabling legislation to implement it. The Court ruled that the qualified Filipino entity must be given preference by granting it the option to match the winning bid because the provision is self-executing, thus:

"On the other hand, Sec. 10, second par., Art. XII of the 1987 Constitution is mandatory, positive command which is complete in itself and which needs no further guidelines or implementing laws or rules for its enforcement. From its very words the provision does not require any legislation to

⁸⁷*Manila Prince Hotel v. GSIS*, 78 SCAD 764, 267 SCRA 408 (1997).

⁸⁸*Ibid.*, citing Cruz, Isagani A., *Constitutional Law*, 1993 ed., pp. 8-10.

⁸⁹78 SCAD 764, 267 SCRA 408 (1997).

put it in operation. It is *per se* judicially enforceable. When our Constitution mandates that [i]n the grant of rights, privileges, and concessions covering national economy and patrimony, the State shall give preference to qualified Filipinos, it means just that — qualified Filipinos shall be preferred. And when our Constitution declares that a right exists in certain specified circumstances an action may be maintained to enforce such right, notwithstanding the absence of any legislation on the subject; consequently, if there is no statute especially enacted to enforce such constitutional right, such right enforces itself by its own inherent potency and puissance, and from which all legislations must take their bearings. Where there is a right, there is a remedy. *Ubi ius ibi remedium*.

x x x

x x x In its plain and ordinary meaning, the term patrimony pertains to heritage. When the Constitution speaks of national patrimony, it refers not only to the natural resources of the Philippines, as the Constitution could have very well used the term natural resources, but also to the cultural heritage of the Filipinos.

Manila Hotel has become a landmark — a living testimonial of Philippine heritage. x x x

x x x

Nationalism is inherent in the very concept of the Philippines being a democratic and republican state, with sovereignty residing in the Filipino people and from whom all government authority emanates. In nationalism, the happiness and welfare of the people must be the goal. The nation-state can have no higher purpose. Any interpretation of any constitutional provision must adhere to such basic concept. Protection of foreign investments, while laudable, is merely a policy. It cannot override the demands of nationalism.⁹⁰

11.18. Three maxims employed as aids to construe constitutional provisions.

It has been held that there are at least three (3) maxims of construction that are employed to construe constitutional provisions.

⁹⁰*Ibid.*, 436-437, 447-448.

There are *verba legis*; *ratio legis est anima*; *und ut magis valeat quam pereat*.

The Court in *Francisco, Jr. v. House of Representatives* [G.R. No. 160261, November 10, 2003], explained the maxims of constitutional construction, as follows:

To determine the merits of the issues raised in the instant petitions, this Court must necessarily turn to the Constitution itself which employs the well-settled principles of constitutional construction.

First, *verba legis*, that is, wherever possible, the words used in the Constitution must be given their ordinary meaning except where technical terms are employed. Thus, in *J.M. Tuason & Co., Inc. v. Land Tenure Administration*, this Court, speaking through Chief Justice Enrique Fernando, declared:

We look to the language of the document itself in our search for its meaning. We do not of course stop there, but that is where we begin. It is to be assumed that the words in which constitutional provisions are couched express the objective sought to be attained. They are to be given their ordinary meaning except where technical terms are employed in which case the significance thus attached to them prevails. As the Constitution is not primarily a lawyer's document, it being essential for the rule of law to obtain that it should ever be present in the people's consciousness, its language as much as possible should be understood in the sense they have in common use. What it says according to the text of the provision to be construed compels acceptance and negates the power of the courts to alter it, based on the postulate that the framers and the people mean what they say. Thus these are the cases where the need for construction is reduced to a minimum.

Second, where there is ambiguity, *ratio legis est anima*. The words of the Constitution should be interpreted in accordance with the intent of its framers. And so did this Court apply this principle in *Civil Liberties Union v. Executive Secretary* in this wise:

A foolproof yardstick in constitutional construction is the intention underlying the provision under consideration. Thus, it has been held that the Court in construing

a Constitution should bear in mind the object sought to be accomplished by its adoption, and the evils, if any, sought to be prevented or remedied. A doubtful provision will be examined in the light of the history of the times, and the condition and circumstances under which the Constitution was framed. The object is to ascertain the reason which induced the framers of the Constitution to enact the particular provision and the purpose sought to be accomplished thereby, in order to construe the whole as to make the words consonant to that reason and calculated to effect that purpose. (Emphasis and underscoring supplied)

As it did in *Nitafan v. Commissioner on Internal Revenue* where, speaking through Madame Justice Amnerfina A. Melencio-Herrera, it declared:

x x x The ascertainment of that intent is but in keeping with the fundamental principle of constitutional construction that the intent of the framers of the organic law and of the people adopting it should be given effect. The primary task in constitutional construction is to ascertain and thereafter assure the realization of the purpose of the framers and of the people in the adoption of the Constitution. It may also be safely assumed that the people in ratifying the Constitution were guided mainly by the explanation offered by the framers.

Finally, *ut magis valeat quam pereat*. The Constitution is to be interpreted as a whole. Thus, in *Chiongbian v. De Leon*, this Court, through Chief Justice Manuel Moran declared:

x x x [T]he members of the Constitutional Convention could not have dedicated a provision of our Constitution merely for the benefit of one person without considering that it could also affect others. When they adopted subsection 2, they permitted, if not willed, that said provision should function to the full extent of its substance and its terms, not by itself alone, but in conjunction with all other provisions of that great document.

Likewise, still in *Civil Liberties Union v. Executive Secretary*, this Court affirmed that:

It is a well-established rule in constitutional construction that no one provision of the Constitution is to be

separated from all the others, to be considered alone, but that all the provisions bearing upon a particular subject are to be brought into view and to be so interpreted as to effectuate the great purposes of the instrument. Sections bearing on a particular subject should be considered and interpreted together as to effectuate the whole purpose of the Constitution; and one section is not to be allowed to defeat another, if by any reasonable construction, the two can be made to stand together.

In other words, the court must harmonize them, if practicable, and must lean in favor of a construction which will render every word operative, rather than one which may make the words idle and nugatory.

If, however, the plain meaning of the word is not found to be clear, resort to other aids is available. In still the same case of *Civil Liberties Union v. Executive Secretary*, this Court expounded:

While it is permissible in this jurisdiction to consult the debates and proceedings of the constitutional convention in order to arrive at the reason and purpose of the resulting Constitution, resort thereto may be had only when other guides fail as said proceedings are powerless to vary the terms of the Constitution when the meaning is clear. Debates in the constitutional convention "are of value as showing the views of the individual members, and as indicating the reasons for their votes, but they give us no light as to the views of the large majority who did not talk, much less of the mass of our fellow citizens whose votes at the polls gave that instrument the force of fundamental law. We think it safer to construe the constitution from what appears upon its face." The proper interpretation therefore depends more on how it was understood by the people adopting it than in the framers' understanding thereof.

11.19. Constructions of US Constitutional provisions adopted in 1987 Constitution.

Most provisions on police power, eminent domain, taxation, and on the Bill of Rights in the 1987 Constitutions, as well as in the 1935 and 1973 Constitutions, were taken from or patterned after the US

Constitution. The US Supreme Court has construed the provisions of the US Constitution in a number of cases. It is settled that in construing constitutional provisions adopted or copied in the 1987 Constitution, it is proper for the courts to take into consideration the construction of provisions by the courts of the country from which they are taken. Philippine courts have invariably cited or quoted US Supreme Court decisions in deciding constitutional issues arising from provisions similar to or taken from that of the United States.

11.20. Other illustrative cases in constitutional construction.

Office of Ombudsman v. Masing

In *Office of Ombudsman v. Masing*, G.R. No. 165416, January 22, 2008, the issue is whether the Ombudsman may directly discipline public school teachers and employees, or merely recommend appropriate disciplinary action to the Department of Education, Culture and Sports (DECS).

In answering the issue in the affirmative, the Court reconciled different provisions of the Constitution and pertinent statutes, by applying rules of statutory construction. The Court ruled:

The authority of the Ombudsman to act on complaints filed against public officers and employees is explicit in Article XI, Section 12 of the 1987 Constitution, viz:

The Ombudsman and his Deputies, as protectors of the people, shall act promptly on complaints filed in any form or manner against public officials or employees of the Government, or any subdivision, agency or instrumental-ity thereof, including government-owned or controlled corporations, and shall, in appropriate cases, notify the complainants of the action taken and the result thereof. (emphasis ours)

Article XI, Section 13 of the same Constitution delineates the powers, functions and duties of the Ombudsman as follows:

- (1) Investigate on its own, or on complaint by any person, any act or omission of any public official, employ-

ee, office or agency, when such act or omission appears to be illegal, unjust, improper, or inefficient.

(2) Direct, upon complaint or at its own instance, any public official or employee of the Government, or any subdivision, agency or instrumentality thereof, as well as of any government-owned or controlled corporation with original charter, to perform and expedite any act or duty required by law, or to stop, prevent, and correct any abuse or impropriety in the performance of duties.

(3) Direct the officer concerned to take appropriate action against a public official or employee at fault, and recommend his removal, suspension, demotion, fine, censure, or prosecution, and ensure compliance therewith.

(4) Direct the officer concerned, in any appropriate case, and subject to such limitations as may be provided by law, to furnish it with copies of documents relating to contracts and transactions entered into by his office involving the disbursement or use of public funds or properties, to the Commission on Audit for appropriate and report any irregularity action.

(5) Request any government agency for assistance and information necessary in the discharge of its responsibilities, and to examine, if necessary, pertinent records and documents.

(6) Publicize matters covered by its investigation when circumstances so warrant and with due prudence.

(7) Determine the causes of inefficiency, red tape, mismanagement, fraud, and corruption in the Government and make recommendations for their elimination and the observance of high standards of ethics and efficiency.

(8) Promulgate its rules and procedure and exercise such other powers or perform such functions or duties as may be provided by law.

The enumeration of these powers is non-exclusive. Congress enacted R.A. No. 6770, otherwise known as The Ombudsman Act of 1989, on November 17, 1989 giving the Office such other powers that it may need to efficiently perform the task given by the Constitution, *viz*:

Section 15. Powers, Functions and Duties. — The Office of the Ombudsman shall have the following powers, functions and duties:

(1) Investigate and prosecute on its own or on complaint by any person, any act or omission of any public officer or employee, office or agency, when such act or omission appears to be illegal, unjust, improper or inefficient. It has primary jurisdiction over cases cognizable by the *Sandiganbayan* and, in the exercise of this primary jurisdiction, it may take over, at any stage, from any investigatory agency of the Government, the investigation of such cases;

(2) Direct, upon complaint or at its own instance, any officer or employee of the Government, or of any subdivision, agency or instrumentality thereof, as well as any government-owned or controlled corporations with original charter, to perform and expedite any act or duty required by law, or to stop, prevent, and correct any abuse or impropriety in the performance of duties;

(3) Direct the officer concerned to take appropriate action against a public officer or employee at fault or who neglects to perform an act or discharge a duty required by law, and recommend his removal, suspension, demotion, fine, censure, or prosecution, and ensure compliance therewith; or enforce its disciplinary authority as provided in Section 21 of this Act: *Provided*, That the refusal by any officer without just cause to comply with an order of the Ombudsman to remove, suspend, demote, fine, censure, or prosecute an officer or employee who is at fault or who neglects to perform an act or discharge a duty required by law shall be a ground for disciplinary action against said officer;

(4) Direct the officer concerned, in any appropriate case, and subject to such limitations as it may provide in its rules of procedure, to furnish it with copies of documents relating to contracts or transactions entered into by his office involving the disbursement or use of public funds or properties, and report any irregularity to the Commission on Audit for appropriate action;

(5) Request any government agency for assistance and information necessary in the discharge of its respon-

sibilities, and to examine, if necessary, pertinent records and documents;

(6) Publicize matters covered by its investigation of the matters mentioned in paragraphs (1), (2), (3) and (4) hereof, when circumstances so warrant and with due prudence: *Provided*, That the Ombudsman under its rules and regulations may determine what cases may not be made public: *Provided further*, That any publicity issued by the Ombudsman shall be balanced, fair and true;

(7) Determine the causes of inefficiency, red tape, mismanagement, fraud and corruption in the Government, and make recommendations for their elimination and the observance of high standards of ethics and efficiency;

(8) Administer oaths, issue subpoena and subpoena *duces tecum*, and take testimony in any investigation or inquiry, including the power to examine and have access to bank accounts and records;

(9) Punish for contempt in accordance with the Rules of Court and under the same procedure and with the same penalties provided therein;

(10) Delegate to the Deputies, or its investigators or representatives such authority or duty as shall ensure the effective exercise or performance of the powers, functions, and duties herein or hereinafter provided;

(11) Investigate and initiate the proper action for the recovery of ill-gotten and/or unexplained wealth amassed after February 25, 1986 and the prosecution of the parties involved therein. x x x

In fine, the manifest intent of the lawmakers was to bestow on the Office of the Ombudsman full administrative disciplinary authority in accord with the constitutional deliberations. Unlike the Ombudsman-like agencies of the past the powers of which extend to no more than making findings of fact and recommendations, and the Ombudsman or *Tanodbayan* under the 1973 Constitution who may file and prosecute criminal, civil or administrative cases against public officials and employees only in cases of failure of justice, the Ombudsman under the 1987 Constitution and R.A. No. 6770 is intended to play a more

active role in the enforcement of laws on anti-graft and corrupt practices and other offenses committed by public officers and employees. The Ombudsman is to be an "activist watchman," not merely a passive one. He is vested with broad powers to enable him to implement his own actions.

Respondents, however, insist that the findings of the Ombudsman are mere recommendations, and that he may not directly impose administrative sanctions on public officials and employees, citing *Tapador v. Office of the Ombudsman* where the following statement is found, viz:

x x x Besides, assuming *arguendo*, that petitioner was administratively liable, the Ombudsman has no authority to directly dismiss the petitioner from the government service, more particularly from his position in the BID. Under Section 13, subparagraph (3), of Article XI of the 1987 Constitution, the Ombudsman can only "recommend" the removal of the public official or employee found to be at fault, to the public official concerned.

The foregoing is now a settled issue. In *Ledesma v. Court of Appeals*, we explained *Tapador* and ruled categorically that:

x x x Under Section 13(3) of Article XI of the 1987 Constitution, it is provided:

Section 13. The Office of the Ombudsman shall have the following powers, functions, and duties:

(3) Direct the officer concerned to take appropriate action against a public official or employee at fault, and recommend his removal, suspension, demotion, fine, censure, or prosecution, and ensure compliance therewith.

Petitioner insists that the word "recommend" be given its literal meaning; that is, that the Ombudsman's action is only advisory in nature rather than one having any binding effect, citing *Tapador v. Office of the Ombudsman*, thus:

Besides, assuming *arguendo*, that petitioner were administratively liable, the Ombudsman has no authority to directly dismiss the petitioner from the government service, more particularly from his position in the

BID. Under Section 13, subparagraph (3), of Article XI of the 1987 Constitution, the Ombudsman can only "recommend" the removal of the public official or employee found to be at fault, to the public official concerned.

For their part, the Solicitor General and the Office of the Ombudsman argue that the word "recommend" must be taken in conjunction with the phrase "and ensure compliance therewith." The proper interpretation of the Court's statement in *Tapador* should be that the Ombudsman has the authority to determine the administrative liability of a public official or employee at fault, and direct and compel the head of the office or agency concerned to implement the penalty imposed. In other words, it merely concerns the procedural aspect of the Ombudsman's functions and not its jurisdiction.

We agree with the ratiocination of public respondents. Several reasons militate against a literal interpretation of the subject Constitutional provision. Firstly, a cursory reading of *Tapador* reveals that the main point of the case was the failure of the complainant therein to present substantial evidence to prove the charges of the administrative case. The statement that made reference to the power of the Ombudsman is, at best, merely an *obiter dictum* and, as it is unsupported by sufficient explanation, is susceptible to varying interpretations. In *x x x [H]*ence, it cannot be cited as a doctrinal declaration of this Court nor is it safe from judicial examination.

We reiterated this ruling in *Office of the Ombudsman v. Laja*, where we emphasized that "the Ombudsman's order to remove, suspend, demote, fine, censure, or prosecute an officer or employee is not merely advisory or recommendatory but is actually mandatory. Implementation of the order imposing the penalty is, however, to be coured through the proper officer. Recently, in *Office of the Ombudsman v. Court of Appeals*, we also held —

While Section 15(3) of RA 6770 states that the Ombudsman has the power to "recommend x x x removal, suspension, demotion x x x" of government officials and employees, the same Section 15(3) also states that the Ombudsman in the alternative may "enforce its disciplinary authority as provided in Section 21" of RA 6770.

Finally, respondent Masing contends that she may be administratively dealt with only by following the procedure prescribed in Section 9 of R.A. No. 4670 or the The Magna Carta for Public School Teachers. She cites *Fabella v. Court of Appeals*.

Section 9, R.A. No. 4670 provides —

Section 9. Administrative Charges. — Administrative charges against a teacher shall be heard initially by a committee composed of the corresponding School Superintendent of the Division or a duly authorized representative who should at least have the rank of a division supervisor, where the teacher belongs, as chairman, a representative of the local or, in its absence, any existing provincial or national teachers' organization and a supervisor of the Division, the last two to be designated by the Director of Public Schools. The Committee shall submit its findings, and recommendations to the Director of Public Schools within thirty days from the termination of the hearings; *Provided, however*, That where the school superintendent is the complainant or an interested party, all the members of the committee shall be appointed by the Secretary of Education.

In *Fabella*, several public schoolteachers were administratively charged by then DECS Secretary Isidro Carino for taking part in mass actions in violation of civil service laws and regulations. A committee was constituted to hear the charges. The teachers assailed the procedure adopted by the committee in a petition for *certiorari* filed before the Regional Trial Court of Quezon City. In affirming the regional trial court's decision which declared illegal the constitution of the committee, we ruled —

x x x Section 9 of RA 4670 x x x reflects the legislative intent to impose a standard and a separate set of procedural requirements in connection with administrative proceedings involving public schoolteachers. x x x [R]ight to due process of law requires compliance with these requirements laid down by RA 4670.

Fabella, however, does not apply to the cases at bar. The public schoolteachers in *Fabella* were charged with violations

of civil service laws, rules and regulations in administrative proceedings initiated by the DECS Secretary. In contrast, herein respondents Masing and Tayactac were administratively charged in letter-complaints duly filed before the Office of the Ombudsman for Mindanao. The charges were for violations of R.A. No. 6713, otherwise known as the Code of Conduct and Ethical Standards for Public Officials and Employees, collecting unauthorized fees, failure to remit authorized fees, failure to account for public funds, oppression, serious misconduct, discourtesy in the conduct of official duties, and physical or mental incapacity or disability due to immoral or vicious habits. In short, the acts and omissions complained of relate to respondents' conduct as public official and employee, if not to outright graft and corruption.

The authority of the Office of the Ombudsman to conduct administrative investigations is beyond cavil. As the principal and primary complaints and action center against erring public officers and employees, it is mandated by no less than Section 13(1), Article XI of the Constitution. In conjunction therewith, Section 19 of R.A. No. 6770 grants to the Ombudsman the authority to act on all administrative complaints, viz:

Sec. 19. Administrative complaints. — The Ombudsman shall act on all complaints relating, but not limited, to acts or omissions which:

- (1) Are contrary to law or regulation;
- (2) Are unreasonable, unfair, oppressive or discriminatory;
- (3) Are inconsistent with the general course of an agency's functions, though in accordance with law;
- (4) Proceed from a mistake of law or an arbitrary ascertainment of facts;
- (5) Are in the exercise of discretionary powers but for an improper purpose; or
- (6) Are otherwise irregular, immoral or devoid of justification.

Section 23(1) of the same law provides that administrative investigations conducted by the Office of the Ombudsman

shall be in accordance with its rules of procedure and consistent with due process.

It is erroneous, therefore, for respondents to contend that R.A. No. 4670 confers an exclusive disciplinary authority on the DECS over public school teachers and prescribes an exclusive procedure in administrative investigations involving them. R.A. No. 4670 was approved on June 18, 1966. On the other hand, the 1987 Constitution was ratified by the people in a plebiscite in 1987 while R.A. No. 6770 was enacted on November 17, 1989. It is basic that the 1987 Constitution should not be restricted in its meaning by a law of earlier enactment. The 1987 Constitution and R.A. No. 6770 were quite explicit in conferring authority on the Ombudsman to act on complaints against all public officials and employees, with the exception of officials who may be removed only by impeachment or over members of Congress and the Judiciary. If an issue should ever arise, therefore, it should rather be whether the 1987 Constitution and R.A. No. 6770 have abrogated R.A. No. 4670. However, repeals by implication are not favored, and courts have the duty to harmonize, so far as it is practicable, apparently conflicting or inconsistent provisions. Therefore, the statement in *Fabella* that Section 9 of R.A. No. 4670 "reflects the legislative intent to impose a standard and a separate set of procedural requirements in connection with administrative proceedings involving public schoolteachers" should be construed as referring only to the specific procedure to be followed in administrative investigations conducted by the DECS.

Francisco, Jr. v. House of Representatives

In *Francisco, Jr. v. House of Representatives*,⁹¹ involving the impeachment against the Chief Justice, the Supreme Court clarified the meaning and scope of impeachment as provided for in the Constitution, and ruled that the second impeachment complaint against the Chief Justice is covered by the one-year ban. The Court ruled:

⁹¹G.R. No. 160261, November 10, 2003.

Article XI of our present 1987 Constitution provides:

ARTICLE XI

ACCOUNTABILITY OF PUBLIC OFFICERS

SECTION 1. Public office is a public trust. Public officers and employees must at all times be accountable to the people, serve them with utmost responsibility, integrity, loyalty, and efficiency, act with patriotism and justice, and lead modest lives.

SECTION 2. The President, the Vice-President, the Members of the Supreme Court, the Members of the Constitutional Commissions, and the Ombudsman may be removed from office, on impeachment for, and conviction of, culpable violation of the Constitution, treason, bribery, graft and corruption, other high crimes, or betrayal of public trust. All other public officers and employees may be removed from office as provided by law, but not by impeachment.

SECTION 3. (1) The House of Representatives shall have the exclusive power to initiate all cases of impeachment.

(2) A verified complaint for impeachment may be filed by any Member of the House of Representatives or by any citizen upon a resolution of endorsement by any Member thereof, which shall be included in the Order of Business within ten session days, and referred to the proper Committee within three session days thereafter. The Committee, after hearing, and by a majority vote of all its Members, shall submit its report to the House within sixty session days from such referral, together with the corresponding resolution. The resolution shall be calendared for consideration by the House within ten session days from receipt thereof.

(3) A vote of at least one-third of all the Members of the House shall be necessary either to affirm a favorable resolution with the Articles of Impeachment of the Committee, or override its contrary resolution. The vote of each Member shall be recorded.

(4) In case the verified complaint or resolution of impeachment is filed by at least one-third of all the Members of the House, the same shall constitute the Articles of Impeachment, and trial by the Senate shall forthwith proceed.

(5) No impeachment proceedings shall be initiated against the same official more than once within a period of one year.

(6) The Senate shall have the sole power to try and decide all cases of impeachment. When sitting for that purpose, the Senators shall be on oath or affirmation. When the President of the Philippines is on trial, the Chief Justice of the Supreme Court shall preside, but shall not vote. No person shall be convicted without the concurrence of two-thirds of all the Members of the Senate.

(7) Judgment in cases of impeachment shall not extend further than removal from office and disqualification to hold any office under the Republic of the Philippines, but the party convicted shall nevertheless be liable and subject to prosecution, trial, and punishment according to law.

(8) The Congress shall promulgate its rules on impeachment to effectively carry out the purpose of this section. (Emphasis and underscoring supplied)

x x x

These petitions raise five substantial issues:

I. Whether the offenses alleged in the Second impeachment complaint constitute valid impeachable offenses under the Constitution.

II. Whether the second impeachment complaint was filed in accordance with Section 3(4), Article XI of the Constitution.

III. Whether the legislative inquiry by the House Committee on Justice into the Judicial Development Fund is an unconstitutional infringement of the constitutionally mandated fiscal autonomy of the judiciary.

IV. Whether Sections 15 and 16 of Rule V of the Rules on Impeachment adopted by the 12th Congress are unconstitutional for violating the provisions of Section 3, Article XI of the Constitution.

V. Whether the second impeachment complaint is barred under Section 3(5) of Article XI of the Constitution.

The first issue goes into the merits of the second impeachment complaint over which this Court has no jurisdiction. More importantly, any discussion of this issue would require this Court to make a determination of what constitutes an impeachable offense. Such a determination is a purely political question which the Constitution has left to the sound discretion of the legislation. Such an intent is clear from the deliberations of the Constitutional Commission.

Although Section 2 of Article XI of the Constitution enumerates six grounds for impeachment, two of these, namely, other high crimes and betrayal of public trust, elude a precise definition. In fact, an examination of the records of the 1986 Constitutional Commission shows that the framers could find no better way to approximate the boundaries of betrayal of public trust and other high crimes than by alluding to both positive and negative examples of both, without arriving at their clear cut definition or even a standard therefor. Clearly, the issue calls upon this court to decide a non-justiciable political question which is beyond the scope of its judicial power under Section 1, Article VIII.

x x x

Respondent House of Representatives, through Speaker De Venecia, argues that Sections 16 and 17 of Rule V of the House Impeachment Rules do not violate Section 3(5) of Article XI of our present Constitution, contending that the term "initiate" does not mean "to file"; that Section 3(1) is clear in that it is the House of Representatives, as a collective body, which has the exclusive power to initiate all cases of impeachment; that initiate could not possibly mean "to file" because filing can, as Section 3(2), Article XI of the Constitution provides, only be accomplished in 3 ways, to wit: (1) by a verified complaint for impeachment by any member of the House of Representatives; or (2) by any citizen upon a resolution of endorsement by any

member; or (3) by at least 1/3 of all the members of the House. Respondent House of Representatives concludes that the one year bar prohibiting the initiation of impeachment proceedings against the same officials could not have been violated as the impeachment complaint against Chief Justice Davide and seven Associate Justices had not been initiated as the House of Representatives, acting as the collective body, has yet to act on it.

The resolution of this issue thus hinges on the interpretation of the term "initiate." Resort to statutory construction is, therefore, in order.

That the sponsor of the provision of Section 3(5) of the Constitution, Commissioner Florenz Regalado, who eventually became an Associate Justice of this Court, agreed on the meaning of "initiate" as "to file," as proffered and explained by Constitutional Commissioner Maabong during the Constitutional Commission proceedings, which he (Commissioner Regalado) as *amicus curiae* affirmed during the oral arguments on the instant petitions held on November 5, 2003 at which he added that the act of "initiating" included the act of taking initial action on the complaint, dissipates any doubt that indeed the word "initiate" as it twice appears in Article XI (3) and (5) of the Constitution means to file the complaint and take initial action on it.

"Initiate" of course is understood by ordinary men to mean, as dictionaries do, to begin, to commence, or set going. As Webster's Third New International Dictionary of the English Language concisely puts it, it means "to perform or facilitate the first action," which jibes with Justice Regalado's position, and that of Father Bernas, who elucidated during the oral arguments of the instant petitions on November 5, 2003 in this wise:

Briefly then, an impeachment proceeding is not a single act. It is a complexus of acts consisting of a beginning, a middle and an end. The end is the transmittal of the articles of impeachment to the Senate. The middle consists of those deliberative moments leading to the formulation of the articles of impeachment. The beginning or the initiation is the filing of the complaint and its referral to the Committee on Justice.

Finally, it should be noted that the House Rule relied upon by Representatives Cajuango and Fuentebella says that impeachment is "deemed initiated" when the Justice Committee votes in favor of impeachment or when the House reverses a contrary vote of the Committee. Note that the Rule does not say "impeachment proceedings" are initiated but rather are "deemed initiated." The language is recognition that initiation happened earlier, but by legal fiction there is an attempt to postpone it to a time after actual initiation. (Emphasis and underscoring supplied)

x x x

Amicus curiae Constitutional Commissioner Regalado is of the same view as is Father Bernas, who was also a member of the 1986 Constitutional Commission, that the word "initiate" as used in Article XI, Section 3(5) means to file, both adding, however, that the filing must be accompanied by an action to set the complaint moving.

During the oral arguments before this Court, Father Bernas clarified that the word "initiate," appearing in the constitutional provision on impeachment, *viz*:

Section 3 (1) The House of Representatives shall have the exclusive power to initiate all cases of impeachment.

x x x

(5) No impeachment proceedings shall be initiated against the same official more than once within a period of one year, (Emphasis supplied) refers to two objects, "impeachment case" and "impeachment proceeding."

Father Bernas explains that in these two provisions, the common verb is "to initiate." The object in the first sentence is "impeachment case." The object in the second sentence is "impeachment proceeding." Following the principle of *reddendo singula singulis*, the term "cases" must be distinguished from the term "proceedings." An impeachment case is the legal controversy that must be decided by the Senate. Above-quoted first provision provides that the House, by a vote of one-third of all its members, can bring a case to the Senate. It is in that sense that the House has "exclusive power" to initiate all cases of impeachment. No other body can do it. However,

before a decision is made to initiate a case in the Senate, a "proceeding" must be followed to arrive at a conclusion. A proceeding must be "initiated." To initiate, which comes from the Latin word *initium*, means to begin. On the other hand, proceeding is a progressive noun. It has a beginning, a middle, and an end. It takes place not in the Senate but in the House and consists of several steps: (1) there is the filing of a verified complaint either by a Member of the House of Representatives or by a private citizen endorsed by a Member of the House of the Representatives; (2) there is the processing of this complaint by the proper Committee which may either reject the complaint or uphold it; (3) whether the resolution of the Committee rejects or upholds the complaint, the resolution must be forwarded to the House for further processing; and (4) there is the processing of the same complaint by the House of Representatives which either affirms a favorable resolution of the Committee or overrides a contrary resolution by a vote of one-third of all the members. If at least one third of all the Members upholds the complaint, Articles of Impeachment are prepared and transmitted to the Senate. It is at this point that the House "initiates an impeachment case." It is at this point that an impeachable public official is successfully impeached. That is, he or she is successfully charged with an impeachment "case" before the Senate as impeachment court.

Father Bernas further explains: The "impeachment proceeding" is not initiated when the complaint is transmitted to the Senate for trial because that is the end of the House proceeding and the beginning of another proceeding, namely the trial. Neither is the "impeachment proceeding" initiated when the House deliberates on the resolution passed on to it by the Committee, because something prior to that has already been done. The action of the House is already a further step in the proceeding, not its initiation or beginning. Rather, the proceeding is initiated or begins, when a verified complaint is filed and referred to the Committee on Justice for action. This is the initiating step which triggers the series of steps that follow.

The framers of the Constitution also understood initiation in its ordinary meaning. Thus when a proposal reached the floor proposing that "A vote of at least one-third of all the Members of the House shall be necessary... to initiate impeachment

proceedings," this was met by a proposal to delete the line on the ground that the vote of the House does not initiate impeachment proceeding but rather the filing of a complaint does. Thus the line was deleted and is not found in the present Constitution.

Father Bernas concludes that when Section 3 (5) says, "No impeachment proceeding shall be initiated against the same official more than once within a period of one year," it means that no second verified complaint may be accepted and referred to the Committee on Justice for action. By his explanation, this interpretation is founded on the common understanding of the meaning of "to initiate" which means to begin. He reminds that the Constitution is ratified by the people, both ordinary and sophisticated, as they understand it; and that ordinary people read ordinary meaning into ordinary words and not abstruse meaning, they ratify words as they understand it and not as sophisticated lawyers confuse it.

x x x

Having concluded that the initiation takes place by the act of filing and referral or endorsement of the impeachment complaint to the House Committee on Justice or, by the filing by at least one-third of the members of the House of Representatives with the Secretary General of the House, the meaning of Section 3 (5) of Article XI becomes clear. Once an impeachment complaint has been initiated, another impeachment complaint may not be filed against the same official within a one year period.

Under Sections 16 and 17 of Rule V of the House Impeachment Rules, impeachment proceedings are deemed initiated (1) if there is a finding by the House Committee on Justice that the verified complaint and/or resolution is sufficient in substance, or (2) once the House itself affirms or overturns the finding of the Committee on Justice that the verified complaint and/or resolution is not sufficient in substance or (3) by the filing or endorsement before the Secretary-General of the House of Representatives of a verified complaint or a resolution of impeachment by at least 1/3 of the members of the House. These rules clearly contravene Section 3 (5) of Article XI since the rules give the term "initiate" a meaning different meaning from filing and referral.

x x x

Section 3 (8) of Article XI provides that "The Congress shall promulgate its rules on impeachment to effectively carry out the purpose of this section." Clearly, its power to promulgate its rules on impeachment is limited by the phrase "to effectively carry out the purpose of this section." Hence, these rules cannot contravene the very purpose of the Constitution which said rules were intended to effectively carry out. Moreover, Section 3 of Article XI clearly provides for other specific limitations on its power to make rules, viz:

Section 3. (1) x x x

(2) A verified complaint for impeachment may be filed by any Member of the House of Representatives or by any citizen upon a resolution of endorsement by any Member thereof, which shall be included in the Order of Business within ten session days, and referred to the proper Committee within three session days thereafter. The Committee, after hearing, and by a majority vote of all its Members, shall submit its report to the House within sixty session days from such referral, together with the corresponding resolution. The resolution shall be calendared for consideration by the House within ten session days from receipt thereof.

(3) A vote of at least one-third of all the Members of the House shall be necessary to either affirm a favorable resolution with the Articles of Impeachment of the Committee, or override its contrary resolution. The vote of each Member shall be recorded.

(4) In case the verified complaint or resolution of impeachment is filed by at least one-third of all the Members of the House, the same shall constitute the Articles of Impeachment, and trial by the Senate shall forthwith proceed.

(5) No impeachment proceedings shall be initiated against the same official more than once within a period of one year.

It is basic that all rules must not contravene the Constitution which is the fundamental law. If as alleged Congress had absolute rule making power, then it would by

necessary implication have the power to alter or amend the meaning of the Constitution without need of referendum.

x x x

The provisions of Sections 16 and 17 of Rule V of the House Impeachment Rules which state that impeachment proceedings are deemed initiated (1) if there is a finding by the House Committee on Justice that the verified complaint and/or resolution is sufficient in substance, or (2) once the House itself affirms or overturns the finding of the Committee on Justice that the verified complaint and/or resolution is not sufficient in substance, or (3) by the filing or endorsement before the Secretary-General of the House of Representatives of a verified complaint or a resolution of impeachment by at least 1/3 of the members of the House thus clearly contravene Section 3 (5) of Article XI as they give the term "initiate" a meaning different from "filing."

x x x

Having concluded that the initiation takes place by the act of filing of the impeachment complaint and referral to the House Committee on Justice, the initial action taken thereon, the meaning of Section 3 (5) of Article XI becomes clear. Once an impeachment complaint has been initiated in the foregoing manner, another may not be filed against the same official within a one year period following Article XI, Section 3(5) of the Constitution.

In fine, considering that the first impeachment complaint, was filed by former President Estrada against Chief Justice Hilario G. Davide, Jr., along with seven associate justices of this Court, on June 2, 2003 and referred to the House Committee on Justice on August 5, 2003, the second impeachment complaint filed by Representatives Gilberto C. Teodoro, Jr. and Felix William Fuentebella against the Chief Justice on October 23, 2003 violates the constitutional prohibition against the initiation of impeachment proceedings against the same impeachable officer within a one-year period.

x x x

If there is anything constant about this country, it is that there is always a phenomenon that takes the center stage of our individual and collective consciousness as a

people with our characteristic flair for human drama, conflict or tragedy. Of course this is not to demean the seriousness of the controversy over the Davide impeachment. For many of us, the past two weeks have proven to be an exasperating, mentally and emotionally exhausting experience. Both sides have fought bitterly a dialectical struggle to articulate what they respectively believe to be the correct position or view on the issues involved. Passions had ran high as demonstrators, whether for or against the impeachment of the Chief Justice, took to the streets armed with their familiar slogans and chants to air their voice on the matter. Various sectors of society — from the business, retired military, to the academe and denominations of faith — offered suggestions for a return to a state of normalcy in the official relations of the governmental branches affected to obviate any perceived resulting instability upon areas of national life.

Through all these and as early as the time when the Articles of Impeachment had been constituted, this Court was specifically asked, told, urged and argued to take no action of any kind and form with respect to the prosecution by the House of Representatives of the impeachment complaint against the subject respondent public official. When the present petitions were knocking so to speak at the doorsteps of this Court, the same clamor for non-interference was made through what are now the arguments of "lack of jurisdiction," "non-justiciability," and "judicial self-restraint" aimed at halting the Court from any move that may have a bearing on the impeachment proceedings.

This Court did not heed the call to adopt a hands-off stance as far as the question of the constitutionality of initiating the impeachment complaint against Chief Justice Davide is concerned. To reiterate what has been already explained, the Court found the existence in full of all the requisite conditions for its exercise of its constitutionally vested power and duty of judicial review over an issue whose resolution precisely called for the construction or interpretation of a provision of the fundamental law of the land. What lies in here is an issue of a genuine constitutional material which only this Court can properly and competently address and adjudicate in accordance with the clear-cut allocation of powers under our system of government. Face-to-face thus with a matter or problem that

squarely falls under the Court's jurisdiction, no other course of action can be had but for it to pass upon that problem head on.

The claim, therefore, that this Court by judicially entangling itself with the process of impeachment has effectively set up a regime of judicial supremacy, is patently without basis in fact and in law.

This Court in the present petitions subjected to judicial scrutiny and resolved on the merits only the main issue of whether the impeachment proceedings initiated against the Chief Justice transgressed the constitutionally imposed one-year time bar rule. Beyond this, it did not go about assuming jurisdiction where it had none, nor indiscriminately turn justiciable issues out of decidedly political questions. Because it is not at all the business of this Court to assert judicial dominance over the other two great branches of the government. Rather, the *raison d'être* of the judiciary is to complement the discharge by the executive and legislative of their own powers to bring about ultimately the beneficent effects of having founded and ordered our society upon the rule of law.

It is suggested that by our taking cognizance of the issue of constitutionality of the impeachment proceedings against the Chief Justice, the members of this Court have actually closed ranks to protect a brethren. That the members' interests in ruling on said issue is as much at stake as is that of the Chief Justice. Nothing could be farther from the truth.

The institution that is the Supreme Court together with all other courts has long held and been entrusted with the judicial power to resolve conflicting legal rights regardless of the personalities involved in the suits or actions. This Court has dispensed justice over the course of time, unaffected by whomsoever stood to benefit or suffer therefrom, unafraid by whatever imputations or speculations could be made to it, so long as it rendered judgment according to the law and the facts. Why can it not now be trusted to wield judicial power in these petitions just because it is the highest ranking magistrate who is involved when it is an incontrovertible fact that the fundamental issue is not him but the validity of a government branch's official act as tested by the limits set by the Constitution? Of course, there are rules on the inhibition of any member of the judiciary from taking part in a case in

specified instances. But to disqualify this entire institution now from the suit at bar is to regard the Supreme Court as likely incapable of impartiality when one of its members is a party to a case, which is simply a *non sequitur*.

No one is above the law or the Constitution. This is a basic precept in any legal system which recognizes equality of all men before the law as essential to the law's moral authority and that of its agents to secure respect for and obedience to its commands. Perhaps, there is no other government branch or instrumentality that is most zealous in protecting that principle of legal equality other than the Supreme Court which has discerned its real meaning and ramifications through its application to numerous cases especially of the high-profile kind in the annals of jurisprudence. The Chief Justice is not above the law and neither is any other member of this Court. But just because he is the Chief Justice does not imply that he gets to have less in law than anybody else. The law is solicitous of every individual's rights irrespective of his station in life.

The Filipino nation and its democratic institutions have no doubt been put to test once again by this impeachment case against Chief Justice Hilario Davide. Accordingly, this Court has resorted to no other than the Constitution in search for a solution to what many feared would ripen to a crisis in government. But though it is indeed immensely a blessing for this Court to have found answers in our bedrock of legal principles, it is equally important that it went through this crucible of a democratic process, if only to discover that it can resolve differences without the use of force and aggression upon each other.

Lambino v. Comelec

Lambino v. Comelec, IG.R. No. 174153, October 25, 2006] involves the petition to initiate amendment to the Constitution. The Court held:

This petition for initiative to amend the Constitution raises, among others, the following issue:

Whether the Lambino Group's initiative petition complies with Section 2, Article XVII of the Constitution on amendments to the Constitution through a people's initiative.

The Court ruled that the petition as no merit thus:

"The Lambino Group miserably failed to comply with the basic requirements of the Constitution for conducting a people's initiative. Thus, there is even no need to re-visit Santiago, as the present petition warrants dismissal based alone on the Lambino Group's glaring failure to comply with the basic requirements of the Constitution. For following the Court's ruling in *Santiago*, no grave abuse of discretion is attributable to the Commission on Elections.

1. The Initiative Petition Does Not Comply with Section 2, Article XVII of the Constitution on Direct Proposal by the People.

Section 2, Article XVII of the Constitution is the governing constitutional provision that allows a people's initiative to propose amendments to the Constitution. This section states:

Sec. 2. Amendments to this Constitution may likewise be directly proposed by the people through initiative upon a petition of at least twelve *per centum* of the total number of registered voters of which every legislative district must be represented by at least three *per centum* of the registered voters therein

The deliberations of the Constitutional Commission vividly explain the meaning of an amendment "directly proposed by the people through initiative upon a petition," thus:

MR. RODRIGO: Let us look at the mechanics: Let us say some voters want to propose a constitutional amendment. Is the draft of the proposed constitutional amendment ready to be shown to the people when they are asked to sign?

MR. SUAREZ: That can be reasonably assumed, Madam President.

MR. RODRIGO: What does the sponsor mean? The draft is ready and shown to them before they sign. Now, who prepares the draft?

MR. SUAREZ: The people themselves, Madam President.

MR. RODRIGO: No, because before they sign there is already a draft shown to them and they are asked whether or not they want to propose this constitutional amendment.

MR. SUAREZ: As it is envisioned, any Filipino can prepare that proposal and pass it around for signature. (Emphasis supplied)

Clearly, the framers of the Constitution intended that the "draft of the proposed constitutional amendment" should be "ready and shown" to the people "before" they sign such proposal. The framers plainly stated that "before they sign there is already a draft shown to them." The framers also "envisioned" that the people should sign on the proposal itself because the proponents must "prepare that proposal and pass it around for signature."

The essence of amendments "directly proposed by the people through initiative upon a petition" is that the entire proposal on its face is a petition by the people. This means two essential elements must be present. First, the people must author and thus sign the entire proposal. No agent or representative can sign on their behalf. Second, as an initiative upon a petition, the proposal must be embodied in a petition.

These essential elements are present only if the full text of the proposed amendments is first shown to the people who express their assent by signing such complete proposal in a petition. Thus, an amendment is "directly proposed by the people through initiative upon a petition" only if the people sign on a petition that contains the full text of the proposed amendments.

The full text of the proposed amendments may be either written on the face of the petition, or attached to it. If so attached, the petition must state the fact of such attachment. This is an assurance that every one of the several millions of signatories to the petition had seen the full text of the proposed amendments before signing. Otherwise, it is physically impossible, given the time constraint, to prove that every one of the millions of signatories had seen the full text of the proposed amendments before signing.

The framers of the Constitution directly borrowed the concept of people's initiative from the United States where

various State constitutions incorporate an initiative clause. In almost all States which allow initiative petitions, the unbending requirement is that the people must first see the full text of the proposed amendments before they sign to signify their assent, and that the people must sign on an initiative petition that contains the full text of the proposed amendments.

The rationale for this requirement has been repeatedly explained in several decisions of various courts. x x x

Section 2, Article XVII of the Constitution does not expressly state that the petition must set forth the full text of the proposed amendments. However, the deliberations of the framers of our Constitution clearly show that the framers intended to adopt the relevant American jurisprudence on people's initiative. In particular, the deliberations of the Constitutional Commission explicitly reveal that the framers intended that the people must first see the full text of the proposed amendments before they sign, and that the people must sign on a petition containing such full text. Indeed, Section 5(b) of Republic Act No. 6735, the Initiative and Referendum Act that the Lambino Group invokes as valid, requires that the people must sign the "petition . . . as signatories."

The proponents of the initiative secure the signatures from the people. The proponents secure the signatures in their private capacity and not as public officials. The proponents are not disinterested parties who can impartially explain the advantages and disadvantages of the proposed amendments to the people. The proponents present favorably their proposal to the people and do not present the arguments against their proposal. The proponents, or their supporters, often pay those who gather the signatures.

Thus, there is no presumption that the proponents observed the constitutional requirements in gathering the signatures. The proponents bear the burden of proving that they complied with the constitutional requirements in gathering the signatures — that the petition contained, or incorporated by attachment, the full text of the proposed amendments.

The Lambino Group did not attach to their present petition with this Court a copy of the paper that the people signed as their initiative petition. The Lambino Group submitted to this

Court a copy of a signature sheet after the oral arguments of September 2006 when they filed their Memorandum on 11 October 2006. The signature sheet with this Court during the oral arguments was the signature sheet attached to the opposition in intervention filed on 7 September 2006 by intervenor Atty. Pete Quirino-Quadra.

The signature sheet attached to Atty. Quadra's opposition and the signature sheet attached to the Lambino Group's Memorandum are the same. We reproduce below the signature sheet in full:

x x x

There is not a single word, phrase, or sentence of text of the Lambino Group's proposed changes in the signature sheet. Neither does the signature sheet state that the text of the proposed changes is attached to it. Petitioner Atty. Raul Lambino admitted this during the oral arguments before this Court on 26 September 2006.

The signature sheet merely asks a question whether the people approve a shift from the Bicameral-Presidential to the Unicameral-Parliamentary system of government. The signature sheet does not show to the people the draft of the proposed changes before they are asked to sign the signature sheet. Clearly, the signature sheet is not the "petition" that the framers of the Constitution envisioned when they formulated the initiative clause in Section 2, Article XVII of the Constitution.

x x x

In their Manifestation explaining their amended petition before the COMELEC, the Lambino Group declared:

After the Petition was filed, Petitioners belatedly realized that the proposed amendments alleged in the Petition, more specifically, paragraph 3 of Section 4 and paragraph 2 of Section 5 of the Transitory Provisions were inaccurately stated and failed to correctly reflect their proposed amendments.

The Lambino Group did not allege that they were amending the petition because the amended petition was what they had shown to the people during the February to August

2006 signature-gathering. Instead, the Lambino Group alleged that the petition of 25 August 2006 "inaccurately stated and failed to correctly reflect their proposed amendments."

The Lambino Group never alleged in the 25 August 2006 petition or the 30 August 2006 amended petition with the COMELEC that they circulated printed copies of the draft petition together with the signature sheets. Likewise, the Lambino Group did not allege in their present petition before this Court that they circulated printed copies of the draft petition together with the signature sheets. The signature sheets do not also contain any indication that the draft petition is attached to, or circulated with, the signature sheets.

It is only in their Consolidated Reply to the Opposition-in-Interventions that the Lambino Group first claimed that they circulated the "petition for initiative filed with the COMELEC," thus:

x x x

The Lambino Group cites as authority *Corpus Juris Secundum*, stating that "a signer who did not read the measure attached to a referendum petition cannot question his signature on the ground that he did not understand the nature of the act." The Lambino Group quotes an authority that cites a proposed change attached to the petition signed by the people. Even the authority the Lambino Group quotes requires that the proposed change must be attached to the petition. The same authority the Lambino Group quotes requires the people to sign on the petition itself.

Indeed, it is basic in American jurisprudence that the proposed amendment must be incorporated with, or attached to, the initiative petition signed by the people. In the present initiative, the Lambino Group's proposed changes were not incorporated with, or attached to, the signature sheets. The Lambino Group's citation of *Corpus Juris Secundum* pulls the rug from under their feet.

It is extremely doubtful that the Lambino Group prepared, printed, circulated, from February to August 2006 during the signature-gathering period, the draft of the petition

or amended petition they filed later with the COMELEC. The Lambino Group are less than candid with this Court in their belated claim that they printed and circulated, together with the signature sheets, the petition or amended petition. Nevertheless, even assuming the Lambino Group circulated the amended petition during the signature-gathering period, the Lambino Group admitted circulating only very limited copies of the petition.

x x x

In any event, the Lambino Group's signature sheets do not contain the full text of the proposed changes, either on the face of the signature sheets, or as attachment with an indication in the signature sheet of such attachment. Petitioner Atty. Lambino admitted this during the oral arguments, and this admission binds the Lambino Group. This fact is also obvious from a mere reading of the signature sheet. This omission is fatal. The failure to so include the text of the proposed changes in the signature sheets renders the initiative void for non-compliance with the constitutional requirement that the amendment must be "directly proposed by the people through initiative upon a petition." The signature sheet is not the "petition" envisioned in the initiative clause of the Constitution.

x x x

These three specific amendments are not stated or even indicated in the Lambino Group's signature sheets. The people who signed the signature sheets had no idea that they were proposing these amendments. These three proposed changes are highly controversial. The people could not have inferred or divined these proposed changes merely from a reading or rereading of the contents of the signature sheets.

x x x

Thus, the members of the interim Parliament will decide the expiration of their own term of office. This allows incumbent members of the House of Representatives to hold office beyond their current three-year term of office, and possibly even beyond the five-year term of office of regular members of the Parliament. Certainly, this is contrary to the representations of Atty. Lambino and his group to the 6.3 million people who signed the signature sheets. Atty. Lambino and his group

deceived the 6.3 million signatories, and even the entire nation.

This lucidly shows the absolute need for the people to sign an initiative petition that contains the full text of the proposed amendments to avoid fraud or misrepresentation. In the present initiative, the 6.3 million signatories had to rely on the verbal representations of Atty. Lambino and his group because the signature sheets did not contain the full text of the proposed changes. The result is a grand deception on the 6.3 million signatories who were led to believe that the proposed changes would require the holding in 2007 of elections for the regular Parliament simultaneously with the local elections.

The Lambino Group's initiative springs another surprise on the people who signed the signature sheets. The proposed changes mandate the interim Parliament to make further amendments or revisions to the Constitution. The proposed Section 4(4), Article XVIII on Transitory Provisions, provides:

Section 4(4). Within forty-five days from ratification of these amendments, the interim Parliament shall convene to propose amendments to, or revisions of, this Constitution consistent with the principles of local autonomy, decentralization and a strong bureaucracy. (Emphasis supplied)

x x x

The Constitution entrusts to the people the power to directly propose amendments to the Constitution. This Court trusts the wisdom of the people even if the members of this Court do not personally know the people who sign the petition. However, this trust emanates from a fundamental assumption: the full text of the proposed amendment is first shown to the people before they sign the petition, not after they have signed the petition.

In short, the Lambino Group's initiative is void and unconstitutional because it dismally fails to comply with the requirement of Section 2, Article XVII of the Constitution that the initiative must be "directly proposed by the people through initiative upon a petition."

2. The Initiative violates Section 2, Article XVII of the Constitution Disallowing Revision through Initiatives.

A people's initiative to change the Constitution applies only to an amendment of the Constitution and not to its revision. In contrast, Congress or a constitutional convention can propose both amendments and revisions to the Constitution. Article XVII of the Constitution provides:

ARTICLE XVII

AMENDMENTS OR REVISIONS

Sec. 1. Any amendment to, or revision of, this Constitution may be proposed by:

- (1) The Congress, upon a vote of three-fourths of all its Members, or
- (2) A constitutional convention.

Sec. 2. Amendments to this Constitution may likewise be directly proposed by the people through initiative (Emphasis supplied)

Article XVII of the Constitution speaks of three modes of amending the Constitution. The first mode is through Congress upon three-fourths vote of all its Members. The second mode is through a constitutional convention. The third mode is through a people's initiative.

Section 1 of Article XVII, referring to the first and second modes, applies to "[A]ny amendment to, or revision of, this Constitution." In contrast, Section 2 of Article XVII, referring to the third mode, applies only to "[A]mendments to this Constitution." This distinction was intentional as shown by the following deliberations of the Constitutional Commission:

x x x

There can be no mistake about it. The framers of the Constitution intended, and wrote, a clear distinction between "amendment" and "revision" of the Constitution. The framers intended, and wrote, that only Congress or a constitutional convention may propose revisions to the Constitution. The framers intended, and wrote, that a people's initiative may propose only amendments to the Constitution. Where the intent and language of the Constitution clearly withhold from the people the power

to propose revisions to the Constitution, the people cannot propose revisions even as they are empowered to propose amendments.

x x x

It is well established that when a constitution specifies the manner in which it may be amended or revised, it can be altered by those who favor amendments, revision, or other change only through the use of one of the specified means. The constitution itself recognizes that there is a difference between an amendment and a revision; and it is obvious from an examination of the measure here in question that it is not an amendment as that term is generally understood and as it is used in Article IV, Section 1. The document appears to be based in large part on the revision of the constitution drafted by the 'Commission for Constitutional Revision' authorized by the 1961 Legislative Assembly, . . . and submitted to the 1963 Legislative Assembly. It failed to receive in the Assembly the two-third's majority vote of both houses required by Article XVII, Section 2, and hence failed of adoption, . . .

While differing from that document in material respects, the measure sponsored by the plaintiffs is, nevertheless, a thorough overhauling of the present constitution . . .

To call it an amendment is a misnomer.

Whether it be a revision or a new constitution, it is not such a measure as can be submitted to the people through the initiative. If a revision, it is subject to the requirements of Article XVII, Section 2(1); if a new constitution, it can only be proposed at a convention called in the manner provided in Article XVII, Section 1. . . .

Similarly, in this jurisdiction there can be no dispute that a people's initiative can only propose amendments to the Constitution since the Constitution itself limits initiatives to amendments. There can be no deviation from the constitutionally prescribed modes of revising the Constitution. A popular clamor, even one backed by 6.3 million signatures, cannot justify a deviation from the specific modes prescribed in the Constitution itself.

x x x

This Court, whose members are sworn to defend and protect the Constitution, cannot shrink from its solemn oath and duty to insure compliance with the clear command of the Constitution — that a people's initiative may only amend, never revise, the Constitution.

The question is, does the Lambino Group's initiative constitute an amendment or revision of the Constitution? If the Lambino Group's initiative constitutes a revision, then the present petition should be dismissed for being outside the scope of Section 2, Article XVII of the Constitution.

Courts have long recognized the distinction between an amendment and a revision of a constitution. One of the earliest cases that recognized the distinction described the fundamental difference in this manner:

[T]he very term "constitution" implies an instrument of a permanent and abiding nature, and the provisions contained therein for its revision indicate the will of the people that the underlying principles upon which it rests, as well as the substantial entirety of the instrument, shall be of a like permanent and abiding nature. On the other hand, the significance of the term "amendment" implies such an addition or change within the lines of the original instrument as will effect an improvement, or better carry out the purpose for which it was framed. (Emphasis supplied)

Revision broadly implies a change that alters a basic principle in the constitution, like altering the principle of separation of powers or the system of checks-and-balances. There is also revision if the change alters the substantial entirety of the constitution, as when the change affects substantial provisions of the constitution. On the other hand, amendment broadly refers to a change that adds, reduces, or deletes without altering the basic principle involved. Revision generally affects several provisions of the constitution, while amendment generally affects only the specific provision being amended.

x x x

Under both the quantitative and qualitative tests, the Lambino Group's initiative is a revision and not merely an amendment. Quantitatively, the Lambino Group's proposed changes overhaul two articles — Article VI on the Legislature and Article VII on the Executive — affecting a total of 105 provisions in the entire Constitution. Qualitatively, the proposed changes alter substantially the basic plan of government, from presidential to parliamentary, and from a bicameral to a unicameral legislature.

A change in the structure of government is a revision of the Constitution, as when the three great co-equal branches of government in the present Constitution are reduced into two. This alters the separation of powers in the Constitution. A shift from the present Bicameral-Presidential system to a Unicameral-Parliamentary system is a revision of the Constitution. Merging the legislative and executive branches is a radical change in the structure of government.

The abolition alone of the Office of the President as the locus of Executive Power alters the separation of powers and thus constitutes a revision of the Constitution. Likewise, the abolition alone of one chamber of Congress alters the system of checks-and-balances within the legislature and constitutes a revision of the Constitution.

By any legal test and under any jurisdiction, a shift from a Bicameral-Presidential to a Unicameral-Parliamentary system, involving the abolition of the Office of the President and the abolition of one chamber of Congress, is beyond doubt a revision, not a mere amendment. On the face alone of the Lambino Group's proposed changes, it is readily apparent that the changes will radically alter the framework of government as set forth in the Constitution. x x x

An amendment envisages an alteration of one or a few specific and separable provisions. The guiding original intention of an amendment is to improve specific parts or to add new provisions deemed necessary to meet new conditions or to suppress specific portions that may have become obsolete or that are judged to be dangerous. In revision, however, the guiding original intention and plan contemplates a re-examination of the entire document, or of provisions of the document which have over-all implications for the entire document, to determine how and to what extent they should

be altered. Thus, for instance a switch from the presidential system to a parliamentary system would be a revision because of its over-all impact on the entire constitutional structure. So would a switch from a bicameral system to a unicameral system be because of its effect on other important provisions of the Constitution.

x x x

The Lambino Group in effect argues that if Congress or a constitutional convention had drafted the same proposed changes that the Lambino Group wrote in the present initiative, the changes would constitute a revision of the Constitution. Thus, the Lambino Group concedes that the proposed changes in the present initiative constitute a revision if Congress or a constitutional convention had drafted the changes. However, since the Lambino Group as private individuals drafted the proposed changes, the changes are merely amendments to the Constitution. The Lambino Group trivializes the serious matter of changing the fundamental law of the land.

The express intent of the framers and the plain language of the Constitution contradict the Lambino Group's theory. Where the intent of the framers and the language of the Constitution are clear and plainly stated, courts do not deviate from such categorical intent and language. Any theory espousing a construction contrary to such intent and language deserves scant consideration. More so, if such theory wreaks havoc by creating inconsistencies in the form of government established in the Constitution. Such a theory, devoid of any jurisprudential mooring and inviting inconsistencies in the Constitution, only exposes the flimsiness of the Lambino Group's position. Any theory advocating that a proposed change involving a radical structural change in government does not constitute a revision justly deserves rejection.

x x x

Similarly, this Court must reject the Lambino Group's theory which negates the express intent of the framers and the plain language of the Constitution.

x x x

Since a revision of a constitution affects basic principles, or several provisions of a constitution, a deliberative body with

recorded proceedings is best suited to undertake a revision. A revision requires harmonizing not only several provisions, but also the altered principles with those that remain unaltered. Thus, constitutions normally authorize deliberative bodies like constituent assemblies or constitutional conventions to undertake revisions. On the other hand, constitutions allow people's initiatives, which do not have fixed and identifiable deliberative bodies or recorded proceedings, to undertake only amendments and not revisions.

x x x

This drives home the point that the people's initiative is not meant for revisions of the Constitution but only for amendments. A shift from the present Bicameral-Presidential to a Unicameral-Parliamentary system requires harmonizing several provisions in many articles of the Constitution. Revision of the Constitution through a people's initiative will only result in gross absurdities in the Constitution.

In sum, there is no doubt whatsoever that the Lambino Group's initiative is a revision and not an amendment. Thus, the present initiative is void and unconstitutional because it violates Section 2, Article XVII of the Constitution limiting the scope of a people's initiative to "[A]mendments to this Constitution."

x x x

5. Conclusion

The Constitution, as the fundamental law of the land, deserves the utmost respect and obedience of all the citizens of this nation. No one can trivialize the Constitution by cavalierly amending or revising it in blatant violation of the clearly specified modes of amendment and revision laid down in the Constitution itself.

To allow such change in the fundamental law is to set adrift the Constitution in uncharted waters, to be tossed and turned by every dominant political group of the day. If this Court allows today a cavalier change in the Constitution outside the constitutionally prescribed modes, tomorrow the new dominant political group that comes will demand its own set of changes in the same cavalier and unconstitutional

fashion. A revolving-door constitution does not augur well for the rule of law in this country.

An overwhelming majority — 16,622,111 voters comprising 76.3 percent of the total votes cast 53 — approved our Constitution in a national plebiscite held on 11 February 1987. That approval is the unmistakable voice of the people, the full expression of the people's sovereign will. That approval included the prescribed modes for amending or revising the Constitution.

No amount of signatures, not even the 6,327,952 million signatures gathered by the Lambino Group, can change our Constitution contrary to the specific modes that the people, in their sovereign capacity, prescribed when they ratified the Constitution. The alternative is an extra-constitutional change, which means subverting the people's sovereign will and discarding the Constitution. This is one act the Court cannot and should never do. As the ultimate guardian of the Constitution, this Court is sworn to perform its solemn duty to defend and protect the Constitution, which embodies the real sovereign will of the people.

Incantations of "people's voice," "people's sovereign will," or "let the people decide" cannot override the specific modes of changing the Constitution as prescribed in the Constitution itself. Otherwise, the Constitution — the people's fundamental covenant that provides enduring stability to our society — becomes easily susceptible to manipulative changes by political groups gathering signatures through false promises. Then, the Constitution ceases to be the bedrock of the nation's stability.

The Lambino Group claims that their initiative is the "people's voice." However, the Lambino Group unabashedly states in UJAP Resolution No. 2006-02, in the verification of their petition with the COMELEC, that "UJAP maintains its unqualified support to the agenda of Her Excellency President Gloria Macapagal-Arroyo for constitutional reforms." The Lambino Group thus admits that their "people's" initiative is an "unqualified support to the agenda" of the incumbent President to change the Constitution. This forewarns the Court to be wary of incantations of "people's voice" or "sovereign will" in the present initiative.

This Court cannot betray its primordial duty to defend and protect the Constitution. The Constitution, which embodies the people's sovereign will, is the bible of this Court. This Court exists to defend and protect the Constitution. To allow this constitutionally infirm initiative, propelled by deceptively gathered signatures, to alter basic principles in the Constitution is to allow a desecration of the Constitution. To allow such alteration and desecration is to lose this Court's *raison d'être*.

David v. Arroyo

In *David v. Arroyo*, G.R. No. 171396, May 3, 2006, the issue raised refers to the constitutionality of Presidential Proclamation No. 1017 issued by the President on February 24, 2006, which declared a state of national emergency. Said PP No. 1017 reads:

NOW, THEREFORE, I, Gloria Macapagal-Arroyo, President of the Republic of the Philippines and Commander-in-Chief of the Armed Forces of the Philippines, by virtue of the powers vested upon me by Section 18, Article 7 of the Philippine Constitution which states that: "The President . . . whenever it becomes necessary, . . . may call out (the) armed forces to prevent or suppress . . . rebellion . . .," and in my capacity as their Commander-in-Chief, do hereby command the Armed Forces of the Philippines, to maintain law and order throughout the Philippines, prevent or suppress all forms of lawless violence as well as any act of insurrection or rebellion and to enforce obedience to all the laws and to all decrees, orders and regulations promulgated by me personally or upon my direction; and as provided in Section 17, Article 12 of the Constitution do hereby declare a State of National Emergency.

The declaration of a state of national emergency raises a number of questions, such as whether or not it is a declaration of martial law, whether it empowers the President to issue decrees similar to decrees issued during martial law by then President Marcos, whether it empowers the President to take over the operations of public utilities, etc. In answering these questions the Court partly declared PP1017 unconstitutional. It ruled:

WHEREFORE, the Petitions are partly granted. The Court rules that PP 1017 is CONSTITUTIONAL insofar as it constitutes a call by President Gloria Macapagal-Arroyo on the AFP to prevent or suppress lawless violence. However, the provisions of PP 1017 commanding the AFP to enforce laws not related to lawless violence, as well as decrees promulgated by the President, are declared UNCONSTITUTIONAL. In addition, the provision in PP 1017 declaring national emergency under Section 17, Article VII of the Constitution is CONSTITUTIONAL, but such declaration does not authorize the President to take over privately-owned public utility or business affected with public interest without prior legislation.

G.O. No. 5 is CONSTITUTIONAL since it provides a standard by which the AFP and the PNP should implement PP 1017, i.e., whatever is "necessary and appropriate actions and measures to suppress and prevent acts of lawless violence." Considering that "acts of terrorism" have not yet been defined and made punishable by the Legislature, such portion of G.O. No. 5 is declared UNCONSTITUTIONAL.

The warrantless arrest of Randolph S. David and Ronald Llamas; the dispersal and warrantless arrest of the KMTU and NAFLU-KMTU members during their rallies; in the absence of proof that these petitioners were committing acts constituting lawless violence; invasion or rebellion and violating BP 880; the imposition of standards on media or any form of prior restraint on the press, as well as the warrantless search of the Tribune offices and whimsical seizure of its articles for publication and other materials, are declared UNCONSTITUTIONAL.

In arriving at the foregoing dispositions, the Court reconciled the provisions of the Constitution, as follows:

The operative portion of PP 1017 may be divided into three important provisions, thus:

First provision:

"By virtue of the power vested upon me by Section 18, Article VII . . . do hereby command the Armed Forces of the Philippines, to maintain law and order throughout the Philippines, prevent or suppress all forms of lawless violence as well as any act of insurrection or rebellion";

Second provision:

"And to enforce obedience to all the laws and to all decrees, orders and regulations promulgated by me personally or upon my direction";

Third provision:

"As provided in Section 17, Article XII of the Constitution do hereby declare a State of National Emergency."

First Provision: Calling-out Power

The first provision pertains to the President's calling-out power. In *Sanlakas v. Executive Secretary*, this Court, through Mr. Justice Dante O. Tinga, held that Section 18, Article VII of the Constitution reproduced as follows:

Sec. 18. The President shall be the Commander-in-Chief of all armed forces of the Philippines and whenever it becomes necessary, he may call out such armed forces to prevent or suppress lawless violence, invasion or rebellion. In case of invasion or rebellion, when the public safety requires it, he may, for a period not exceeding sixty days, suspend the privilege of the writ of *habeas corpus* or place the Philippines or any part thereof under martial law. Within forty-eight hours from the proclamation of martial law or the suspension of the privilege of the writ of *habeas corpus*, the President shall submit a report in person or in writing to the Congress. The Congress, voting jointly, by a vote of at least a majority of all its Members in regular or special session, may revoke such proclamation or suspension, which revocation shall not be set aside by the President. Upon the initiative of the President, the Congress may, in the same manner, extend such proclamation or suspension for a period to be determined by the Congress, if the invasion or rebellion shall persist and public safety requires it.

The Congress, if not in session, shall within twenty-four hours following such proclamation or suspension, convene in accordance with its rules without need of a call.

The Supreme Court may review, in an appropriate proceeding filed by any citizen, the sufficiency of the factual

bases of the proclamation of martial law or the suspension of the privilege of the writ or the extension thereof, and must promulgate its decision thereon within thirty days from its filing.

A state of martial law does not suspend the operation of the Constitution, nor supplant the functioning of the civil courts or legislative assemblies, nor authorize the conferment of jurisdiction on military courts and agencies over civilians where civil courts are able to function, nor automatically suspend the privilege of the writ.

The suspension of the privilege of the writ shall apply only to persons judicially charged for rebellion or offenses inherent in or directly connected with invasion.

During the suspension of the privilege of the writ, any person thus arrested or detained shall be judicially charged within three days, otherwise he shall be released.

Grants the President, as Commander-in-Chief, a "sequence" of graduated powers. From the most to the least benign, these are: the calling-out power, the power to suspend the privilege of the writ of *habeas corpus*, and the power to declare Martial Law. Citing *Integrated Bar of the Philippines v. Zamora*, the Court ruled that the only criterion for the exercise of the calling-out power is that "whenever it becomes necessary," the President may call the armed forces "to prevent or suppress lawless violence, invasion or rebellion." Are these conditions present in the instant cases? As stated earlier, considering the circumstances then prevailing, President Arroyo found it necessary to issue PP 1017. Owing to her Office's vast intelligence network, she is in the best position to determine the actual condition of the country.

Under the calling-out power, the President may summon the armed forces to aid him in suppressing lawless violence, invasion and rebellion. This involves ordinary police action. But every act that goes beyond the President's calling-out power is considered illegal or *ultra vires*. For this reason, a President must be careful in the exercise of his powers. He cannot invoke a greater power when he wishes to act under a lesser power. There lies the wisdom of our Constitution, the greater the power, the greater are the limitations.

It is pertinent to state, however, that there is a distinction between the President's authority to declare a "state of rebellion" (in *Sanlakas*) and the authority to proclaim a state of national emergency. While President Arroyo's authority to declare a "state of rebellion" emanates from her powers as Chief Executive, the statutory authority cited in *Sanlakas* was Section 4, Chapter 2, Book II of the Revised Administrative Code of 1987, which provides:

SEC. 4. Proclamations. — Acts of the President fixing a date or declaring a status or condition of public moment or interest, upon the existence of which the operation of a specific law or regulation is made to depend, shall be promulgated in proclamations which shall have the force of an executive order.

President Arroyo's declaration of a "state of rebellion" was merely an act declaring a status or condition of public moment or interest, a declaration allowed under Section 4 cited above. Such declaration, in the words of *Sanlakas*, is harmless, without legal significance, and deemed not written. In these cases, PP 1017 is more than that. In declaring a state of national emergency, President Arroyo did not only rely on Section 18, Article VII of the Constitution, a provision calling on the AFP to prevent or suppress lawless violence, invasion or rebellion. She also relied on Section 17, Article XII, a provision on the State's extraordinary power to take over privately-owned public utility and business affected with public interest. Indeed, PP 1017 calls for the exercise of an awesome power. Obviously, such Proclamation cannot be deemed harmless, without legal significance, or not written, as in the case of *Sanlakas*.

Some of the petitioners vehemently maintain that PP 1017 is actually a declaration of Martial Law. It is not so. What defines the character of PP 1017 are its wordings. It is plain therein that what the President invoked was her calling-out power.

The declaration of Martial Law is a "warn[ing] to citizens that the military power has been called upon by the executive to assist in the maintenance of law and order, and that, while the emergency lasts, they must, upon pain of arrest and punishment, not commit any acts which will in any way render

more difficult the restoration of order and the enforcement of law.

In his "Statement before the Senate Committee on Justice" on March 13, 2006, Mr. Justice Vicente V. Mendoza, an authority in constitutional law, said that of the three powers of the President as Commander-in-Chief, the power to declare Martial Law poses the most severe threat to civil liberties. It is a strong medicine which should not be resorted to lightly. It cannot be used to stifle or persecute critics of the government. It is placed in the keeping of the President for the purpose of enabling him to secure the people from harm and to restore order so that they can enjoy their individual freedoms. In fact, Section 18, Art. VII, provides:

A state of martial law does not suspend the operation of the Constitution, nor supplant the functioning of the civil courts or legislative assemblies, nor authorize the conferment of jurisdiction on military courts and agencies over civilians where civil courts are able to function, nor automatically suspend the privilege of the writ.

Justice Mendoza also stated that PP 1017 is not a declaration of Martial Law. It is no more than a call by the President to the armed forces to prevent or suppress lawless violence. As such, it cannot be used to justify acts that only under a valid declaration of Martial Law can be done. Its use for any other purpose is a perversion of its nature and scope, and any act done contrary to its command is *ultra vires*.

Justice Mendoza further stated that specifically, (a) arrests and seizures without judicial warrants; (b) ban on public assemblies; (c) take-over of news media and agencies and press censorship; and (d) issuance of Presidential Decrees, are powers which can be exercised by the President as Commander-in-Chief only where there is a valid declaration of Martial Law or suspension of the writ of *habeas corpus*.

Based on the above disquisition, it is clear that PP 1017 is not a declaration of Martial Law. It is merely an exercise of President Arroyo's calling-out power for the armed forces to assist her in preventing or suppressing lawless violence.

Second Provision: "Take Care" Power

The second provision pertains to the power of the President to ensure that the laws be faithfully executed. This is based on Section 17, Article VII which reads:

SEC. 17. The President shall have control of all the executive departments, bureaus, and offices. He shall ensure that the laws be faithfully executed.

As the Executive in whom the executive power is vested, the primary function of the President is to enforce the laws as well as to formulate policies to be embodied in existing laws. He sees to it that all laws are enforced by the officials and employees of his department. Before assuming office, he is required to take an oath or affirmation to the effect that as President of the Philippines, he will, among others, "execute its laws." In the exercise of such function, the President, if needed, may employ the powers attached to his office as the Commander-in-Chief of all the armed forces of the country, including the Philippine National Police under the Department of Interior and Local Government.

Petitioners, especially Representatives Francis Joseph G. Escudero, Satur Ocampo, Rafael Mariano, Teodoro Casio, Liza Maza, and Josel Virador argue that PP 1017 is unconstitutional as it arrogated upon President Arroyo the power to enact laws and decrees in violation of Section 1, Article VI of the Constitution, which vests the power to enact laws in Congress. They assail the clause "to enforce obedience to all the laws and to all decrees, orders and regulations promulgated by me personally or upon my direction."

Petitioners' contention is understandable. A reading of PP 1017 operative clause shows that it was lifted from Former President Marcos' Proclamation No. 1081, which partly reads:

NOW, THEREFORE, I, FERDINAND E. MARCOS, President of the Philippines by virtue of the powers vested upon me by Article VII, Section 10, Paragraph (2) of the Constitution, do hereby place the entire Philippines as defined in Article I, Section 1 of the Constitution under martial law and, in my capacity as their Commander-in-Chief, do hereby command the Armed Forces of the Phil-

ippines, to maintain law and order throughout the Philippines, prevent or suppress all forms of lawless violence as well as any act of insurrection or rebellion and to enforce obedience to all the laws and decrees, orders and regulations promulgated by me personally or upon my direction.

We all know that it was PP 1081 which granted President Marcos legislative power. Its enabling clause states: "To enforce obedience to all the laws and decrees, orders and regulations promulgated by me personally or upon my direction." Upon the other hand, the enabling clause of PP 1017 issued by President Arroyo is: "To enforce obedience to all the laws and to all decrees, orders and regulations promulgated by me personally or upon my direction."

Is it within the domain of President Arroyo to promulgate "decrees"?

PP 1017 states in part: "To enforce obedience to all the laws and decrees x x x promulgated by me personally or upon my direction."

The President is granted an Ordinance Power under Chapter 2, Book III of Executive Order No. 292 (Administrative Code of 1987). She may issue any of the following:

Sec. 2. Executive Orders. — Acts of the President providing for rules of a general or permanent character in implementation or execution of constitutional or statutory powers shall be promulgated in executive orders.

Sec. 3. Administrative Orders. — Acts of the President which relate to particular aspect of governmental operations in pursuance of his duties as administrative head shall be promulgated in administrative orders.

Sec. 4. Proclamations. — Acts of the President fixing a date or declaring a status or condition of public moment or interest, upon the existence of which the operation of a specific law or regulation is made to depend, shall be promulgated in proclamations which shall have the force of an executive order.

Sec. 5. Memorandum Orders. — Acts of the President on matters of administrative detail or of subordinate

or temporary interest which only concern a particular officer or office of the Government shall be embodied in memorandum orders.

Sec. 6. Memorandum Circulars. — Acts of the President on matters relating to internal administration, which the President desires to bring to the attention of all or some of the departments, agencies, bureaus or offices of the Government, for information or compliance, shall be embodied in memorandum circulars.

Sec. 7. General or Special Orders. — Acts and commands of the President in his capacity as Commander-in-Chief of the Armed Forces of the Philippines shall be issued as general or special orders.

President Arroyo's ordinance power is limited to the foregoing issuances. She cannot issue decrees similar to those issued by Former President Marcos under PP 1081. Presidential Decrees are laws which are of the same category and binding force as statutes because they were issued by the President in the exercise of his legislative power during the period of Martial Law under the 1973 Constitution.

This Court rules that the assailed PP 1017 is unconstitutional insofar as it grants President Arroyo the authority to promulgate "decrees." Legislative power is peculiarly within the province of the Legislature. Section 1, Article VI categorically states that "[t]he legislative power shall be vested in the Congress of the Philippines which shall consist of a Senate and a House of Representatives." To be sure, neither Martial Law nor a state of rebellion nor a state of emergency can justify President Arroyo's exercise of legislative power by issuing decrees.

Can President Arroyo enforce obedience to all decrees and laws through the military?

As this Court stated earlier, President Arroyo has no authority to enact decrees. It follows that these decrees are void and, therefore, cannot be enforced. With respect to "laws," she cannot call the military to enforce or implement certain laws, such as customs laws, laws governing family and property relations, laws on obligations and contracts and the like. She can only order the military, under PP 1017, to enforce laws pertinent to its duty to suppress lawless violence.

Third Provision: Power to Take Over

The pertinent provision of PP 1017 states:

x x x and to enforce obedience to all the laws and to all decrees, orders, and regulations promulgated by me personally or upon my direction; and as provided in Section 17, Article XII of the Constitution do hereby declare a state of national emergency.

The import of this provision is that President Arroyo, during the state of national emergency under PP 1017, can call the military not only to enforce obedience "to all the laws and to all decrees x x x" but also to act pursuant to the provision of Section 17, Article XII which reads:

Sec. 17. In times of national emergency, when the public interest so requires, the State may, during the emergency and under reasonable terms prescribed by it, temporarily take over or direct the operation of any privately-owned public utility or business affected with public interest.

What could be the reason of President Arroyo in invoking the above provision when she issued PP 1017?

The answer is simple. During the existence of the state of national emergency, PP 1017 purports to grant the President, without any authority or delegation from Congress, to take over or direct the operation of any privately-owned public utility or business affected with public interest.

This provision was first introduced in the 1973 Constitution, as a product of the "martial law" thinking of the 1971 Constitutional Convention. In effect at the time of its approval was President Marcos' Letter of Instruction No. 2 dated September 22, 1972 instructing the Secretary of National Defense to take over "the management, control and operation of the Manila Electric Company, the Philippine Long Distance Telephone Company, the National Waterworks and Sewerage Authority, the Philippine National Railways, the Philippine Air Lines, Air Manila (and) Filipinas Orient Airways . . . for the successful prosecution by the Government of its effort to contain, solve and end the present national emergency."

Petitioners, particularly the members of the House of Representatives, claim that President Arroyo's inclusion of

Section 17, Article XII in PP 1017 is an encroachment on the legislature's emergency powers.

This is an area that needs delineation.

A distinction must be drawn between the President's authority to declare "a state of national emergency" and to exercise emergency powers. To the first, as elucidated by the Court, Section 18, Article VII grants the President such power, hence, no legitimate constitutional objection can be raised. But to the second, manifold constitutional issues arise.

Section 23, Article VI of the Constitution reads:

SEC. 23. (1) The Congress, by a vote of two-thirds of both Houses in joint session assembled, voting separately, shall have the sole power to declare the existence of a state of war.

(2) In times of war or other national emergency, the Congress may, by law, authorize the President, for a limited period and subject to such restrictions as it may prescribe, to exercise powers necessary and proper to carry out a declared national policy. Unless sooner withdrawn by resolution of the Congress, such powers shall cease upon the next adjournment thereof.

It may be pointed out that the second paragraph of the above provision refers not only to war but also to "other national emergency." If the intention of the Framers of our Constitution was to withhold from the President the authority to declare a "state of national emergency" pursuant to Section 18, Article VII (calling-out power) and grant it to Congress (like the declaration of the existence of a state of war), then the Framers could have provided so. Clearly, they did not intend that Congress should first authorize the President before he can declare a "state of national emergency." The logical conclusion then is that President Arroyo could validly declare the existence of a state of national emergency even in the absence of a Congressional enactment.

But the exercise of emergency powers, such as the taking over of privately owned public utility or business affected with public interest, is a different matter. This requires a delegation from Congress.

Courts have often said that constitutional provisions *in pari materia* are to be construed together. Otherwise stated, different clauses, sections, and provisions of a constitution which relate to the same subject matter will be construed together and considered in the light of each other. Considering that Section 17 of Article XII and Section 23 of Article VI, previously quoted, relate to national emergencies, they must be read together to determine the limitation of the exercise of emergency powers.

Generally, Congress is the repository of emergency powers. This is evident in the tenor of Section 23 (2), Article VI authorizing it to delegate such powers to the President. Certainly, a body cannot delegate a power not reposed upon it. However, knowing that during grave emergencies, it may not be possible or practicable for Congress to meet and exercise its powers, the Framers of our Constitution deemed it wise to allow Congress to grant emergency powers to the President, subject to certain conditions, thus:

- (1) There must be a war or other emergency.
- (2) The delegation must be for a limited period only.
- (3) The delegation must be subject to such restrictions as the Congress may prescribe.
- (4) The emergency powers must be exercised to carry out a national policy declared by Congress.

Section 17, Article XII must be understood as an aspect of the emergency powers clause. The taking over of private business affected with public interest is just another facet of the emergency powers generally reposed upon Congress. Thus, when Section 17 states that the "the State may, during the emergency and under reasonable terms prescribed by it, temporarily take over or direct the operation of any privately owned public utility or business affected with public interest," it refers to Congress, not the President. Now, whether or not the President may exercise such power is dependent on whether Congress may delegate it to him pursuant to a law prescribing the reasonable terms thereof. *Youngstown Sheet & Tube Co. et al. v. Sawyer*, held:

It is clear that if the President had authority to issue the order he did, it must be found in some provision of the Constitution. And it is not claimed that express constitutional language grants this power to the President. The contention is that presidential power should be implied from the aggregate of his powers under the Constitution. Particular reliance is placed on provisions in Article II which say that "The executive Power shall be vested in a President . . ."; that "he shall take Care that the Laws be faithfully executed"; and that he "shall be Commander-in-Chief of the Army and Navy of the United States."

The order cannot properly be sustained as an exercise of the President's military power as Commander-in-Chief of the Armed Forces. The Government attempts to do so by citing a number of cases upholding broad powers in military commanders engaged in day-to-day fighting in a theater of war. Such cases need not concern us here. Even though "theater of war" be an expanding concept, we cannot with faithfulness to our constitutional system hold that the Commander-in-Chief of the Armed Forces has the ultimate power as such to take possession of private property in order to keep labor disputes from stopping production. This is a job for the nation's lawmakers, not for its military authorities.

Nor can the seizure order be sustained because of the several constitutional provisions that grant executive power to the President. In the framework of our Constitution, the President's power to see that the laws are faithfully executed refutes the idea that he is to be a lawmaker. The Constitution limits his functions in the lawmaking process to the recommending of laws he thinks wise and the vetoing of laws he thinks bad. And the Constitution is neither silent nor equivocal about who shall make laws which the President is to execute. The first section of the first article says that "All legislative Powers herein granted shall be vested in a Congress of the United States."

La Bugal-B' Laan Tribal Association, Inc. v. Ramos

In its original decision in *La Bugal-B' Laan Tribal Association, Inc. vs. Ramos*,²² on January 27, 2004, the Supreme

²²G.R. No. 127882, January 27, 2004.

Court declared certain provisions of R.A. 7942, the Mining Law, which authorizes the execution of service contract, as a mode of the exploration, development, utilization and processing of mineral resources, as unconstitutional, on the ground that Section 2 of Article XII of the 1987 Constitution no longer mentions "service contract" found in the 1973 Constitution. However, on December 2, 2004, the Court reconsidered its decision of January 27, 2004 and declared all provisions of R.A. 7942 as constitutional. The Court in its resolution of December 2, 2004 explained:

Third Issue:

*The Proper Interpretation of the Constitutional Phrase
"Agreements Involving Either Technical or Financial Assistance"*

The constitutional provision at the nucleus of the controversy is paragraph 4 of Section 2 of Article XII of the 1987 Constitution. In order to appreciate its context, Section 2 is reproduced in full:

"Sec. 2. All lands of the public domain, waters, minerals, coal, petroleum, and other mineral oils, all forces of potential energy, fisheries, forests or timber, wildlife, flora and fauna, and other natural resources are owned by the State. With the exception of agricultural lands, all other natural resources shall not be alienated. The exploration, development and utilization of natural resources shall be under the full control and supervision of the State. The State may directly undertake such activities, or it may enter into co-production, joint venture or production-sharing agreements with Filipino citizens or corporations or associations at least sixty per centum of whose capital is owned by such citizens. Such agreements may be for a period not exceeding twenty-five years, renewable for not more than twenty-five years, and under such terms and conditions as may be provided by law. In cases of water rights for irrigation, water supply, fisheries, or industrial uses other than the development of water power, beneficial use may be the measure and limit of the grant."

The State shall protect the nation's marine wealth in its archipelagic waters, territorial sea, and exclusive economic

zone, and reserve its use and enjoyment exclusively to Filipino citizens.

The Congress may, by law, allow small-scale utilization of natural resources by Filipino citizens, as well as cooperative fish farming, with priority to subsistence fishermen and fishworkers in rivers, lakes, bays and lagoons.

The President may enter into agreements with foreign-owned corporations involving either technical or financial assistance for large-scale exploration, development, and utilization of minerals, petroleum, and other mineral oils according to the general terms and conditions provided by law, based on real contributions to the economic growth and general welfare of the country. In such agreements, the State shall promote the development and use of local scientific and technical resources.

The President shall notify the Congress of every contract entered into in accordance with this provision, within thirty days from its execution.

No Restriction of Meaning by a Verba Legis Interpretation

To interpret the foregoing provision, petitioners adamantly assert that the language of the Constitution should prevail; that the primary method of interpreting it is to seek the ordinary meaning of the words used in its provisions. They rely on rulings of this Court, such as the following:

"The fundamental principle in constitutional construction however is that the primary source from which to ascertain constitutional intent or purpose is the language of the provision itself. The presumption is that the words in which the constitutional provisions are couched express the objective sought to be attained. In other words, *verba legis* prevails. Only when the meaning of the words used is unclear and equivocal should resort be made to extraneous aids of construction and interpretation, such as the proceedings of the Constitutional Commission or Convention to shed light on and ascertain the true intent or purpose of the provision being construed."

Very recently, in *Francisco v. The House of Representatives*, this Court indeed had the occasion to reiterate the well-settled principles of constitutional construction:

"First, *verba legis*, that is, wherever possible, the words used in the Constitution must be given their ordinary meaning except where technical terms are employed. x x x.

x x x x x x

Second, where there is ambiguity, *ratio legis est animus*. The words of the Constitution should be interpreted in accordance with the intent of its framers. x x x

x x x x x x "Finally, *ut magis veat quam pereat*. The Constitution is to be interpreted as a whole."

For ease of reference and in consonance with *verba legis*, we reconstruct and stratify the aforementioned Section 2 as follows:

1. All natural resources are owned by the State. Except for agricultural lands, natural resources cannot be alienated by the State.
2. The exploration, development and utilization (EDU) of natural resources shall be under the full control and supervision of the State.
3. The State may undertake these EDU activities through either of the following:
 - (a) By itself directly and solely;
 - (b) By (i) co-production; (ii) joint venture; or (iii) production sharing agreements with Filipino citizens or corporations, at least 60 percent of the capital of which is owned by such citizens.
4. Small-scale utilization of natural resources may be allowed by law in favor of Filipino citizens.
5. For large-scale EDU of minerals, petroleum and other mineral oils, the President may enter into "agreements with foreign-owned corporations involving either technical or financial assistance according to the general terms and conditions provided by law x x x."

Note that in all the three foregoing mining activities — exploration, development and utilization — the State may undertake such EDU activities by itself or in tandem with Filipinos or Filipino corporations, except in two instances: first, in small-scale utilization of natural resources, which Filipinos may be allowed by law to undertake; and second, in large-scale EDU of minerals, petroleum and mineral oils, which may be undertaken by the State *via* “agreements with foreign-owned corporations involving either technical or financial assistance” as provided by law.

Petitioners claim that the phrase “agreements x x x involving either technical or financial assistance” simply means technical assistance or financial assistance agreements, nothing more and nothing else. They insist that there is no ambiguity in the phrase, and that a plain reading of paragraph 4 quoted above leads to the inescapable conclusion that what a foreign-owned corporation may enter into with the government is merely an agreement for either financial or technical assistance only, for the large-scale exploration, development and utilization of minerals, petroleum and other mineral oils; such a limitation, they argue, excludes foreign management and operation of a mining enterprise.

This restrictive interpretation, petitioners believe, is in line with the general policy enunciated by the Constitution reserving to Filipino citizens and corporations the use and enjoyment of the country’s natural resources. They maintain that this Court’s Decision of January 27, 2004 correctly declared the WMCP FTA, along with pertinent provisions of RA 7942, void for allowing a foreign contractor to have direct and exclusive management of a mining enterprise. Allowing such a privilege not only runs counter to the “full control and supervision” that the State is constitutionally mandated to exercise over the exploration, development and utilization of the country’s natural resources; doing so also vests in the foreign company “beneficial ownership” of our mineral resources. It will be recalled that the Decision of January 27, 2004 zeroed in on “management or other forms of assistance” or other activities associated with the “service contracts” of the martial law regime, since “the management or operation of mining activities by foreign contractors, which is the primary feature of service contracts, was precisely the evil that the drafters of the 1987 Constitution sought to eradicate.”

On the other hand, the intervenor and public respondents argue that the FTA allowed by paragraph 4 is not merely an agreement for supplying limited and specific financial or technical services to the State. Rather, such FTA is a comprehensive agreement for the foreign-owned corporation’s integrated exploration, development and utilization of mineral, petroleum or other mineral oils on a large-scale basis. The agreement, therefore, authorizes the foreign contractor’s rendition of a whole range of integrated and comprehensive services, ranging from the discovery to the development, utilization and production of minerals or petroleum products.

We do not see how applying a strictly literal or *verba legis* interpretation of paragraph 4 could inexorably lead to the conclusions arrived at in the *ponencia*. First, the drafters’ choice of words — their use of the phrase “agreements x x x involving either technical or financial assistance” — does not indicate the intent to exclude other modes of assistance. The drafters opted to use involving when they could have simply said agreements for financial or technical assistance, if that was their intention to begin with. In this case, the limitation would be very clear and no further debate would ensue.

In contrast, the use of the word “involving” signifies the possibility of the inclusion of other forms of assistance or activities having to do with, otherwise related to or compatible with financial or technical assistance. The word “involving” as used in this context has three connotations that can be differentiated thus: one, the sense of “concerning,” “having to do with,” or “affecting”; two, “entailing,” “requiring,” “implying” or “necessitating”; and three, “including,” “containing” or “comprising.”

Plainly, none of the three connotations convey a sense of exclusivity. Moreover, the word “involving,” when understood in the sense of “including,” as in including technical or financial assistance, necessarily implies that there are activities other than those that are being included. In other words, if an agreement includes technical or financial assistance, there is apart from such assistance — something else already in and covered or may be covered, by the said agreement.

In short, it allows for the possibility that matters, other than those explicitly mentioned, could be made part of the

agreement. Thus, we are now led to the conclusion that the use of the word "involving" implies that these agreements with foreign corporations are not limited to mere financial or technical assistance. The difference in sense becomes very apparent when we juxtapose "agreements for technical or financial assistance" against "agreements including technical or financial assistance." This much is unalterably clear in a *verba legis* approach.

Second, if the real intention of the drafters was to confine foreign corporations to financial or technical assistance and nothing more, their language would have certainly been so unmistakably restrictive and stringent as to leave no doubt in anyone's mind about their true intent. For example, they would have used the sentence foreign corporations are absolutely prohibited from involvement in the management or operation of mining or similar ventures or words of similar import. A search for such stringent wording yields negative results. Thus, we come to the inevitable conclusion that there was a conscious and deliberate decision to avoid the use of restrictive wording that bespeaks an intent not to use the expression "agreements x x x involving either technical or financial assistance" in an exclusionary and limiting manner.

Deletion of "Service Contracts" to Avoid Pitfalls of Previous Constitutions, Not to Ban Service Contracts Per Se

Third, we do not see how a *verba legis* approach leads to the conclusion that "the management or operation of mining activities by foreign contractors, which is the primary feature of service contracts, was precisely the evil that the drafters of the 1987 Constitution sought to eradicate." Nowhere in the above-quoted Section can be discerned the objective to keep out of foreign hands the management or operation of mining activities or the plan to eradicate service contracts as these were understood in the 1973 Constitution. Still, petitioners maintain that the deletion or omission from the 1987 Constitution of the term "service contracts" found in the 1973 Constitution sufficiently proves the drafters' intent to exclude foreigners from the management of the affected enterprises.

To our mind, however, such intent cannot be definitively and conclusively established from the mere failure to carry the same expression or term over to the new Constitution, absent a

more specific, explicit and unequivocal statement to that effect. What petitioners seek (a complete ban on foreign participation in the management of mining operations, as previously allowed by the earlier Constitutions) is nothing short of bringing about a momentous sea change in the economic and developmental policies; and the fundamentally capitalist, free-enterprise philosophy of our government. We cannot imagine such a radical shift being undertaken by our government, to the great prejudice of the mining sector in particular and our economy in general, merely on the basis of the omission of the terms service contract from or the failure to carry them over to the new Constitution. There has to be a much more definite and even unarguable basis for such a drastic reversal of policies.

Fourth, a literal and restrictive interpretation of paragraph 4, such as that proposed by petitioners, suffers from certain internal logical inconsistencies that generate ambiguities in the understanding of the provision. As the intervenor pointed out, there has never been any constitutional or statutory provision that reserved to Filipino citizens or corporations, at least 60 percent of which is Filipino-owned, the rendition of financial or technical assistance to companies engaged in mining or the development of any other natural resource. The taking out of foreign-currency or peso-denominated loans or any other kind of financial assistance, as well as the rendition of technical assistance — whether to the State or to any other entity in the Philippines — has never been restricted in favor of Filipino citizens or corporations having a certain minimum percentage of Filipino equity. Such a restriction would certainly be preposterous and unnecessary. As a matter of fact, financial, and even technical assistance, regardless of the nationality of its source, would be welcomed in the mining industry anytime with open arms, on account of the dearth of local capital and the need to continually update technological know-how and improve technical skills.

There was therefore no need for a constitutional provision specifically allowing foreign-owned corporations to render financial or technical assistance, whether in respect of mining or some other resource development or commercial activity in the Philippines. The last point needs to be emphasized: If merely financial or technical assistance agreements are allowed, there would be no need to limit them to large-scale

mining operations, as there would be far greater need for them in the smaller-scale mining activities (and even in non-mining areas). Obviously, the provision in question was intended to refer to agreements other than those for mere financial or technical assistance.

In like manner, there would be no need to require the President of the Republic to report to Congress, if only financial or technical assistance agreements are involved. Such agreements are in the nature of foreign loans that — pursuant to Section 20 of Article VII of the 1987 Constitution — the President may contract or guarantee, merely with the prior concurrence of the Monetary Board. In turn, the Board is required to report to Congress within thirty days from the end of every quarter of the calendar year, not thirty days after the agreement is entered into.

And if paragraph 4 permits only agreements for loans and other forms of financial, or technical assistance, what is the point of requiring that they be based on real contributions to the economic growth and general welfare of the country? For instance, how is one to measure and assess the "real contributions" to the "economic growth" and "general welfare" of the country that may ensue from a foreign-currency loan agreement or a technical-assistance agreement for, say, the refurbishing of an existing power generating plant for a mining operation somewhere in Mindanao? Such a criterion would make more sense when applied to a major business investment in a principal sector of the industry.

The conclusion is clear and inescapable — a *verba legis* construction shows that paragraph 4 is not to be understood as one limited only to foreign loans (or other forms of financial support) and to technical assistance. There is definitely more to it than that. These are provisions permitting participation by foreign companies; requiring the President's report to Congress; and using, as yardstick, contributions based on economic growth and general welfare. These were neither accidentally inserted into the Constitution nor carelessly cobbled together by the drafters in lip service to shallow nationalism. The provisions patently have significance and usefulness in a context that allows agreements with foreign companies to include more than mere financial or technical assistance.

Fifth, it is argued that Section 2 of Article XII authorizes nothing more than a rendition of specific and limited financial service or technical assistance by a foreign company. This argument begs the question "To whom or for whom would it be rendered?" or "Who is being assisted? If the answer is "The State," then it necessarily implies that the State itself is the one directly and solely undertaking the large-scale exploration, development and utilization of a mineral resource, so it follows that the State must itself bear the liability and cost of repaying the financing sourced from the foreign lender and/or of paying compensation to the foreign entity rendering technical assistance.

However, it is of common knowledge, and of judicial notice as well, that the government is and has for many years been financially strapped, to the point that even the most essential services have suffered serious curtailments — education and health care, for instance, not to mention judicial services — have had to make do with inadequate budgetary allocations. Thus, government has had to resort to build-operate-transfer and similar arrangements with the private sector, in order to get vital infrastructure projects built without any governmental outlay.

The very recent brouhaha over the gargantuan "fiscal crisis" or "budget deficit" merely confirms what the ordinary citizen has suspected all along. After the reality check, one will have to admit the implausibility of a direct undertaking — by the State itself — of large-scale exploration, development and utilization of minerals, petroleum and other mineral oils. Such an undertaking entails not only humongous capital requirements, but also the attendant risk of never finding and developing economically viable quantities of minerals, petroleum and other mineral oils.

It is equally difficult to imagine that such a provision restricting foreign companies to the rendition of only financial or technical assistance to the government was deliberately crafted by the drafters of the Constitution, who were all well aware of the capital-intensive and technology-oriented nature of large-scale mineral or petroleum extraction and the country's deficiency in precisely those areas. To say so would be tantamount to asserting that the provision was purposely

designed to ladle the large-scale development and utilization of mineral, petroleum and related resources with impossible conditions, and to remain forever and permanently "reserved" for future generations of Filipinos.

A More Reasonable Look at the Charter's Plain Language

Sixth, we shall now look closer at the plain language of the Charter and examining the logical inferences. The drafters chose to emphasize and highlight agreements x x x involving either technical or financial assistance in relation to foreign corporations' participation in large-scale EDU. The inclusion of this clause on "technical or financial assistance" recognizes the fact that foreign business entities and multinational corporations are the ones with the resources and know-how to provide technical and/or financial assistance of the magnitude and type required for large-scale exploration, development and utilization of these resources.

The drafters — whose ranks included many academicians, economists, businessmen, lawyers, politicians and government officials — were not unfamiliar with the practices of foreign corporations and multinationals.

Neither were they so as to believe that these entities would provide "assistance" without conditionalities or some *quid pro quo*. Definitely, as business persons well know and as a matter of judicial notice, this matter is not just a question of signing a promissory note or executing a technology transfer agreement. Foreign corporations usually require that they be given a say in the management, for instance, of day-to-day operations of the joint venture. They would demand the appointment of their own men as, for example, operations managers, technical experts, quality control heads, internal auditors or comptrollers. Furthermore, they would probably require seats on the Board of Directors — all these to ensure the success of the enterprise and the repayment of the loans and other financial assistance and to make certain that the funding and the technology they supply would not go to waste. Ultimately, they would also want to protect their business reputation and bottom lines.

In short, the drafters will have to be credited with enough pragmatism and savvy to know that these foreign entities will not enter into such "agreements involving assistance" without

requiring arrangements for the protection of their investments, gains and benefits.

Thus, by specifying such "agreements involving assistance," the drafters necessarily gave implied assent to everything that these agreements necessarily entailed; or that could reasonably be deemed necessary to make them tenable and effective, including management authority with respect to the day-to-day operations of the enterprise and measures for the protection of the interests of the foreign corporation, PROVIDED, THAT Philippine sovereignty over natural resources and full control over the enterprise undertaking the EDU activities remain firmly in the State.

Petitioners' Theory Deflated by the Absence of Closing-Out Rules or Guidelines

Seventh and final point regarding the plain-language approach, one of the practical difficulties that results from it is the fact that there is nothing by way of transitory provisions that would serve to confirm the theory that the omission of the term "service contract" from the 1987 Constitution signaled the demise of service contracts.

The framers knew at the time they were deliberating that there were various service contracts extant and in force and effect, including those in the petroleum industry. Many of these service contracts were long-term (25 years) and had several more years to run. If they had meant to ban service contracts altogether, they would have had to provide for the termination or pretermination of the existing contracts. Accordingly, they would have supplied the specifics and the when and how of effecting the extinguishment of these existing contracts (or at least the mechanics for determining them); and of putting in place the means to address the just claims of the contractors for compensation for their investments, lost opportunities, and so on, if not for the recovery thereof.

If the framers had intended to put an end to service contracts, they would have at least left specific instructions to Congress to deal with these closing-out issues, perhaps by way of general guidelines and a timeline within which to carry them out. The following are some extant examples of such transitory guidelines set forth in Article XVIII of our Constitution:

Section 23. Advertising entities affected by paragraph (2), Section 11 of Article XVI of this Constitution shall have five years from its ratification to comply on a graduated and proportionate basis with the minimum Filipino ownership requirement therein.

x x x x x x

Section 25. After the expiration in 1991 of the Agreement between the Republic of the Philippines and the United States of America concerning military bases, foreign military bases, troops, or facilities shall not be allowed in the Philippines except under a treaty duly concurred in by the Senate and, when the Congress so requires, ratified by a majority of the votes cast by the people in a national referendum held for that purpose, and recognized as a treaty by the other contracting State.

Section 26. The authority to issue sequestration or freeze orders under Proclamation No. 3 dated March 25, 1986 in relation to the recovery of ill-gotten wealth shall remain operative for not more than eighteen months after the ratification of this Constitution. However, in the national interest, as certified by the President, the Congress may extend such period."

A sequestration or freeze order shall be issued only upon showing of a *prima facie* case. The order and the list of the sequestered or frozen properties shall forthwith be registered with the proper court. For orders issued before the ratification of this Constitution, the corresponding judicial action or proceeding shall be filed within six months from its ratification. For those issued after such ratification, the judicial action or proceeding shall be commenced within six months from the issuance thereof.

The sequestration or freeze order is deemed automatically lifted if no judicial action or proceeding is commenced as herein provided.

It is inconceivable that the drafters of the Constitution would leave such an important matter — an expression of sovereignty as it were — indefinitely hanging in the air in a formless and ineffectual state. Indeed, the complete absence of even a general framework only serves to further deflate petitioners' theory, like a child's balloon losing its air.

Under the circumstances, the logical inconsistencies resulting from petitioners' literal and purely *verba legis* approach to paragraph 4 of Section 2 of Article XII compel a resort to other aids to interpretation.

Petitioners' Posture Also Negated by Ratio Legis Et Anima

Thus, in order to resolve the inconsistencies, incongruities and ambiguities encountered and to supply the deficiencies of the plain-language approach, there is a need for recourse to the proceedings of the 1986 Constitutional Commission. There is a need for *ratio legis et anima*.

Service Contracts Not "Deconstitutionalized"

Pertinent portions of the deliberations of the members of the Constitutional Commission (ConCom) conclusively show that they discussed agreements involving either technical or financial assistance in the same breadth as service contracts and used the terms interchangeably. The following exchange between Commissioner Jamir (sponsor of the provision) and Commissioner Suarez irrefutably proves that the "agreements involving technical or financial assistance" were none other than service contracts.

THE PRESIDENT. Commissioner Jamir is recognized. We are still on Section 3.

MR. JAMIR. Yes, Madam President. With respect to the second paragraph of Section 3, my amendment by substitution reads: THE PRESIDENT MAY ENTER INTO AGREEMENTS WITH FOREIGN-OWNED CORPORATIONS INVOLVING EITHER TECHNICAL OR FINANCIAL ASSISTANCE FOR LARGE-SCALE EXPLORATION, DEVELOPMENT AND UTILIZATION OF NATURAL RESOURCES ACCORDING TO THE TERMS AND CONDITIONS PROVIDED BY LAW.

MR. VILLEGAS. The Committee accepts the amendment. Commissioner Suarez will give the background.

MR. JAMIR. Thank you.

THE PRESIDENT. Commissioner Suarez is recognized.

MR. SUAREZ. Thank you, Madam President.

Will Commissioner Jamir answer a few clarificatory questions?

MR. JAMIR. Yes, Madam President.

MR. SUAREZ. This particular portion of the section has reference to what was popularly known before as service contracts, among other things, is that correct?

MR. JAMIR. Yes, Madam President.

MR. SUAREZ. As it is formulated, the President may enter into service contracts but subject to the guidelines that may be promulgated by Congress?

MR. JAMIR. That is correct.

MR. SUAREZ. Therefore, that aspect of negotiation and consummation will fall on the President, not upon Congress?

MR. JAMIR. That is also correct, Madam President.

MR. SUAREZ. Except that all of these contracts, service or otherwise, must be made strictly in accordance with guidelines prescribed by Congress?

MR. JAMIR. That is also correct.

MR. SUAREZ. And the Gentleman is thinking in terms of a law that uniformly covers situations of the same nature?

MR. JAMIR. That is 100 percent correct.

MR. SUAREZ. I thank the Commissioner.

MR. JAMIR. Thank you very much.

The following exchange leaves no doubt that the commissioners knew exactly what they were dealing with: service contracts.

THE PRESIDENT. Commissioner Gascon is recognized.

MR. GASCON. Commissioner Jamir had proposed an amendment with regard to special service contracts which was accepted by the Committee. Since the Committee has accepted it, I would like to ask some questions.

THE PRESIDENT. Commissioner Gascon may proceed.

MR. GASCON. As it is proposed now, such service contracts will be entered into by the President with the guidelines of a

general law on service contract to be enacted by Congress. Is that correct?

MR. VILLEGAS. The Commissioner is right, Madam President.

MR. GASCON. According to the original proposal, if the President were to enter into a particular agreement, he would need the concurrence of Congress. Now that it has been changed by the proposal of Commissioner Jamir in that Congress will set the general law to which the President shall comply, the President will, therefore, not need the concurrence of Congress every time he enters into service contracts. Is that correct?

MR. VILLEGAS. That is right.

MR. GASCON. The proposed amendment of Commissioner Jamir is in indirect contrast to my proposed amendment, so I would like to object and present my proposed amendment to the body.

x x x

x x x

MR. GASCON. Yes, it will be up to the body.

I feel that the general law to be set by Congress as regard service contract agreements which the President will enter into might be too general or since we do not know the content yet of such a law, it might be that certain agreements will be detrimental to the interest of the Filipinos. This is in direct contrast to my proposal which provides that there be effective constraints in the implementation of service contracts.

So instead of a general law to be passed by Congress to serve as a guideline to the President when entering into service contract agreements, I propose that every service contract entered into by the President would need the concurrence of Congress, so as to assure the Filipinos of their interests with regard to the issue in Section 3 on all lands of the public domain. My alternative amendment, which we will discuss later, reads: THAT THE PRESIDENT SHALL ENTER INTO SUCH AGREEMENTS ONLY WITH THE CONCURRENCE OF TWO-THIRDS VOTE OF ALL THE MEMBERS OF CONGRESS SITTING SEPARATELY.

x x x

x x x

MR. BENGZON. The reason we made that shift is that we realized the original proposal could breed corruption. By the way, this is not just confined to service contracts but also to financial assistance. If we are going to make every single contract subject to the concurrence of Congress — which, according to the Commissioner's amendment is the concurrence of two-thirds of Congress voting separately — then (1) there is a very great chance that each contract will be different from another, and (2) there is a great temptation that it would breed corruption because of the great lobbying that is going to happen. And we do not want to subject our legislature to that.

Now, to answer the Commissioner's apprehension, by "general law," we do not mean statements of motherhood. Congress can build all the restrictions that it wishes into that general law so that every contract entered into by the President under that specific area will have to be uniform. The President has no choice but to follow all the guidelines that will be provided by law.

MR. GASCON. But my basic problem is that we do not know as of yet the contents of such a general law as to how much constraints there will be in it. And to my mind, although the Committee's contention that the regular concurrence from Congress would subject Congress to extensive lobbying, I think that is a risk we will have to take since Congress is a body of representatives of the people whose membership will be changing regularly as there will be changing circumstances every time certain agreements are made. It would be best then to keep in tab and attuned to the interest of the Filipino people, whenever the President enters into any agreement with regard to such an important matter as technical or financial assistance for large-scale exploration, development and utilization of natural resources or service contracts, the people's elected representatives should be on top of it.

x x x

x x x

MR. OPLE. Madam President, we do not need to suspend the session. If Commissioner Gascon needs a few minutes, I can fill up the remaining time while he completes his proposed amendment. I just wanted to ask Commissioner Jamir whether he would entertain a minor amendment to his amendment, and it reads as follows: THE PRESIDENT

SHALL SUBSEQUENTLY NOTIFY CONGRESS OF EVERY SERVICE CONTRACT ENTERED INTO IN ACCORDANCE WITH THE GENERAL LAW. I think the reason is, if I may state it briefly, as Commissioner Bengzon said, Congress can always change the general law later on to conform to new perceptions of standards that should be built into service contracts. But the only way Congress can do this is if there were a notification requirement from the Office of the President that such service contracts had been entered into, subject then to the scrutiny of the Members of Congress. This pertains to a situation where the service contracts are already entered into, and all that this amendment seeks is the reporting requirement from the Office of the President. Will Commissioner Jamir entertain that?

MR. JAMIR. I will gladly do so, if it is still within my power.

MR. VILLEGAS. Yes, the Committee accepts the amendment.

x x x

x x x

SR. TAN. Madam President, may I ask a question?

THE PRESIDENT. Commissioner Tan is recognized.

SR. TAN. Am I correct in thinking that the only difference between these future service contracts and the past service contracts under Mr. Marcos is the general law to be enacted by the legislature and the notification of Congress by the President? That is the only difference, is it not?

MR. VILLEGAS. That is right.

SR. TAN. So those are the safeguards.

MR. VILLEGAS. Yes. There was no law at all governing service contracts before.

SR. TAN. Thank you, Madam President.

*More Than Mere Financial and Technical Assistance,
Entailed by the Agreements*

The clear words of Commissioner Jose N. Nollado quoted below explicitly and eloquently demonstrate that the drafters knew that the agreements with foreign corporations were going to entail not mere technical or financial assistance but,

rather, foreign investment in and management of an enterprise involved in large-scale exploration, development and utilization of minerals, petroleum, and other mineral oils.

THE PRESIDENT. Commissioner Nolleto is recognized.

MR. NOLLEDO. Madam President, I have the permission of the Acting Floor Leader to speak for only two minutes in favor of the amendment of Commissioner Gascon.

THE PRESIDENT. Commissioner Nolleto may proceed.

MR. NOLLEDO. With due respect to the members of the Committee and Commissioner Jamir, I am in favor of the objection of Commissioner Gascon.

Madam President, I was one of those who refused to sign the 1973 Constitution, and one of the reasons is that there were many provisions in the Transitory Provisions therein that favored aliens. I was shocked when I read a provision authorizing service contracts while we, in this Constitutional Commission, provided for Filipino control of the economy. We are, therefore, providing for exceptional instances where aliens may circumvent Filipino control of our economy. And one way of circumventing the rule in favor of Filipino control of the economy is to recognize service contracts.

As far as I am concerned, if I should have my own way, I am for the complete deletion of this provision. However, we are presenting a compromise in the sense that we are requiring a two-thirds vote of all the Members of Congress as a safeguard. I think we should not mistrust the future Members of Congress by saying that the purpose of this provision is to avoid corruption. We cannot claim that they are less patriotic than we are. I think the Members of this Commission should know that entering into service contracts is an exception to the rule on protection of natural resources for the interest of the nation, and therefore, being an exception it should be subject, whenever possible, to stringent rules. It seems to me that we are liberalizing the rules in favor of aliens.

I say these things with a heavy heart, Madam President. I do not claim to be a nationalist, but I love my country. Although we need investments, we must adopt safeguards that are truly reflective of the sentiments of the people and not mere cosmetic

safeguards as they now appear in the Jamir amendment. (Applause)

Thank you, Madam President.

Another excerpt, featuring then Commissioner (now Chief Justice) Hilario G. Davide Jr., indicates the limitations of the scope of such service contracts — they are valid only in regard to minerals, petroleum and other mineral oils, not to all natural resources.

THE PRESIDENT. Commissioner Davide is recognized.

MR. DAVIDE. Thank you, Madam President. This is an amendment to the Jamir amendment and also to the Ople amendment. I propose to delete "NATURAL RESOURCES" and substitute it with the following: MINERALS, PETROLEUM AND OTHER MINERAL OILS. On the Ople amendment, I propose to add: THE NOTIFICATION TO CONGRESS SHALL BE WITHIN THIRTY DAYS FROM THE EXECUTION OF THE SERVICE CONTRACT.

THE PRESIDENT. What does the Committee say with respect to the first amendment in lieu of "NATURAL RESOURCES"?

MR. VILLEGAS. Could Commissioner Davide explain that?

MR. DAVIDE. Madam President, with the use of "NATURAL RESOURCES" here, it would necessarily include all lands of the public domain, our marine resources, forests, parks and so on. So we would like to limit the scope of these service contracts to those areas really where these may be needed, the exploitation, development and exploration of minerals, petroleum and other mineral oils. And so, we believe that we should really, if we want to grant service contracts at all, limit the same to only those particular areas where Filipino capital may not be sufficient, and not to all natural resources.

MR. SUAREZ. Just a point of clarification again, Madam President. When the Commissioner made those enumerations and specifications, I suppose he deliberately did not include "agricultural land"?

MR. DAVIDE. That is precisely the reason we have to enumerate what these resources are into which service contracts

may enter. So, beyond the reach of any service contract will be lands of the public domain, timberlands, forests, marine resources, fauna and flora, wildlife and national parks.

After the Jamir amendment was voted upon and approved by a vote of 21 to 10 with 2 abstentions, Commissioner Davide made the following statement, which is very relevant to our quest:

THE PRESIDENT. Commissioner Davide is recognized.

MR. DAVIDE. I am very glad that Commissioner Padilla emphasized minerals, petroleum and mineral oils. The Commission has just approved the possible foreign entry into the development, exploration and utilization of these minerals, petroleum and other mineral oils by virtue of the Jamir amendment. I voted in favor of the Jamir amendment because it will eventually give way to vesting in exclusively Filipino citizens and corporations wholly owned by Filipino citizens the right to utilize the other natural resources. This means that as a matter of policy, natural resources should be utilized and exploited only by Filipino citizens or corporations wholly owned by such citizens. But by virtue of the Jamir amendment, since we feel that Filipino capital may not be enough for the development and utilization of minerals, petroleum and other mineral oils, the President can enter into service contracts with foreign corporations precisely for the development and utilization of such resources. And so, there is nothing to fear that we will stagnate in the development of minerals, petroleum and mineral oils because we now allow service contracts. x x x.

The foregoing are mere fragments of the framers' lengthy discussions of the provision dealing with agreements x x x involving either technical or financial assistance, which ultimately became paragraph 4 of Section 2 of Article XII of the Constitution. Beyond any doubt, the members of the ConCom were actually debating about the martial-law-era service contracts for which they were crafting appropriate safeguards.

In the voting that led to the approval of Article XII by the ConCom, the explanations given by Commissioners Gascon, Garcia and Tadeo indicated that they had voted to reject this provision on account of their objections to the "constitutionalization" of the "service contract" concept.

Mr. Gascon said, "I felt that if we would constitutionalize any provision on service contracts, this should always be with the concurrence of Congress and not guided only by a general law to be promulgated by Congress." Mr. Garcia explained, "Service contracts are given constitutional legitimization in Sec. 3, even when they have been proven to be inimical to the interests of the nation, providing, as they do, the legal loophole for the exploitation of our natural resources for the benefit of foreign interests." Likewise, Mr. Tadeo cited *inter alia* the fact that service contracts continued to subsist, enabling foreign interests to benefit from our natural resources. It was hardly likely that these gentlemen would have objected so strenuously, had the provision called for mere technical or financial assistance and nothing more.

The deliberations of the ConCom and some commissioners' explanation of their votes leave no room for doubt that the service contract concept precisely underpinned the commissioners' understanding of the "agreements involving either technical or financial assistance."

Summation of the Concom Deliberations

At this point, we sum up the matters established, based on a careful reading of the ConCom deliberations, as follows:

In their deliberations on what was to become paragraph 4, the framers used the term service contracts in referring to agreements x x x involving either technical or financial assistance.

They spoke of service contracts as the concept was understood in the 1973 Constitution.

It was obvious from their discussions that they were not about to ban or eradicate service contracts.

Instead, they were plainly crafting provisions to put in place safeguards that would eliminate or minimize the abuses prevalent during the martial law regime. In brief, they were going to permit service contracts with foreign corporations as contractors, but with safety measures to prevent abuses, as an exception to the general norm established in the first paragraph of Section 2 of Article XII. This provision reserves or limits to Filipino citizens — and corporations at least 60

percent of which is owned by such citizens — the exploration, development and utilization of natural resources.

This provision was prompted by the perceived insufficiency of Filipino capital and the felt need for foreign investments in the EDU of minerals and petroleum resources.

The framers for the most part debated about the sort of safeguards that would be considered adequate and reasonable. But some of them, having more "radical" leanings, wanted to ban service contracts altogether; for them, the provision would permit aliens to exploit and benefit from the nation's natural resources, which they felt should be reserved only for Filipinos.

In the explanation of their votes, the individual commissioners were heard by the entire body. They sounded off their individual opinions, openly enunciated their philosophies, and supported or attacked the provisions with fervor. Everyone's viewpoint was heard.

In the final voting, the Article on the National Economy and Patrimony — including paragraph 4 allowing service contracts with foreign corporations as an exception to the general norm in paragraph 1 of Section 2 of the same article — was resoundingly approved by a vote of 32 to 7, with 2 abstentions.

Agreements Involving Technical or Financial Assistance Are Service Contracts With Safeguards

From the foregoing, we are impelled to conclude that the phrase agreements involving either technical or financial assistance, referred to in paragraph 4, are in fact service contracts. But unlike those of the 1973 variety, the new ones are between foreign corporations acting as contractors on the one hand; and on the other, the government as principal or "owner" of the works. In the new service contracts, the foreign contractors provide capital, technology and technical know-how, and managerial expertise in the creation and operation of large-scale mining/extractive enterprises; and the government, through its agencies (DENR, MGB), actively exercises control and supervision over the entire operation.

Such service contracts may be entered into only with respect to minerals, petroleum and other mineral oils. The grant thereof is subject to several safeguards, among which are these requirements:

(1) The service contract shall be crafted in accordance with a general law that will set standard or uniform terms, conditions and requirements, presumably to attain a certain uniformity in provisions and avoid the possible insertion of terms disadvantageous to the country.

(2) The President shall be the signatory for the government because, supposedly before an agreement is presented to the President for signature, it will have been vetted several times over at different levels to ensure that it conforms to law and can withstand public scrutiny.

(3) Within thirty days of the executed agreement, the President shall report it to Congress to give that branch of government an opportunity to look over the agreement and interpose timely objections, if any.

Use of the Record of the ConCom to Ascertain Intent

At this juncture, we shall address, rather than gloss over, the use of the "framers' intent" approach, and the criticism hurled by petitioners who quote a ruling of this Court:

"While it is permissible in this jurisdiction to consult the debates and proceedings of the constitutional convention in order to arrive at the reason and purpose of the resulting Constitution, resort thereto may be had only when other guides fail as said proceedings are powerless to vary the terms of the Constitution when the meaning is clear. Debates in the constitutional convention are of value as showing the views of the individual members, and as indicating the reason for their votes, but they give us no light as to the views of the large majority who did not talk, much less the mass of our fellow citizens whose votes at the polls gave that instrument the force of fundamental law. We think it safer to construe the constitution from what appears upon its face. The proper interpretation therefore depends more on how it was understood by

the people adopting it than in the framers' understanding thereof."

The notion that the deliberations reflect only the views of those members who spoke out and not the views of the majority who remained silent should be clarified. We must never forget that those who spoke out were heard by those who remained silent and did not react. If the latter were silent because they happened not to be present at the time, they are presumed to have read the minutes and kept abreast of the deliberations. By remaining silent, they are deemed to have signified their assent to and/or conformity with at least some of the views propounded or their lack of objections thereto. It was incumbent upon them, as representatives of the entire Filipino people, to follow the deliberations closely and to speak their minds on the matter if they did not see eye to eye with the proponents of the draft provisions.

In any event, each and every one of the commissioners had the opportunity to speak out and to vote on the matter. Moreover, the individual explanations of votes are on record, and they show where each delegate stood on the issues. In sum, we cannot completely denigrate the value or usefulness of the record of the ConCom, simply because certain members chose not to speak out.

It is contended that the deliberations therein did not necessarily reflect the thinking of the voting population that participated in the referendum and ratified the Constitution. Verily, whether we like it or not, it is a bit too much to assume that every one of those who voted to ratify the proposed Charter did so only after carefully reading and mulling over it, provision by provision.

Likewise, it appears rather extravagant to assume that every one of those who did in fact bother to read the draft Charter actually understood the import of its provisions, much less analyzed it *vis-à-vis* the previous Constitutions. We believe that in reality, a good percentage of those who voted in favor of it did so more out of faith and trust. For them, it was the product of the hard work and careful deliberation of a group of intelligent, dedicated and trustworthy men and women of integrity and conviction, whose love of country and fidelity to duty could not be questioned.

In short, a large proportion of the voters voted "yes" because the drafters, or a majority of them, endorsed the proposed Constitution. What this fact translates to is the inescapable conclusion that many of the voters in the referendum did not form their own isolated judgment about the draft Charter, much less about particular provisions therein. They only relied or fell back and acted upon the favorable endorsement or recommendation of the framers as a group. In other words, by voting yes, they may be deemed to have signified their voluntary adoption of the understanding and interpretation of the delegates with respect to the proposed Charter and its particular provisions. "If it's good enough for them, it's good enough for me", or, in many instances, "If it's good enough for President Cory Aquino, it's good enough for me."

And even for those who voted based on their own individual assessment of the proposed Charter, there is no evidence available to indicate that their assessment or understanding of its provisions was in fact different from that of the drafters. This unwritten assumption seems to be petitioners' as well. For all we know, this segment of voters must have read and understood the provisions of the Constitution in the same way the framers had, an assumption that would account for the favorable votes.

Fundamentally speaking, in the process of rewriting the Charter, the members of the ConCom as a group were supposed to represent the entire Filipino people. Thus, we cannot but regard their views as being very much indicative of the thinking of the people with respect to the matters deliberated upon and to the Charter as a whole.

It is therefore reasonable and unavoidable to make the following conclusion, based on the above arguments. As written by the framers and ratified and adopted by the people, the Constitution allows the continued use of service contracts with foreign corporations — as contractors who would invest in and operate and manage extractive enterprises, subject to the full control and supervision of the State — sans the abuses of the past regime. The purpose is clear: To develop and utilize our mineral, petroleum and other resources on a large scale for the immediate and tangible benefit of the Filipino people.

In view of the foregoing discussion, we should reverse the Decision of January 27, 2004, and in fact now hold a view different from that of the Decision, x x x

Senate of the Philippines v. Ermita, G.R. No. 169777, April 20, 2006

This case involves the constitutionality of Executive Order No. 454, which bars the appearance of executive officials from appearing and being asked questions before legislative bodies or committe without presidential consent.

The Court synthesizes the issues to be resolved as follows:

1. Whether E.O. 464 contravenes the power of inquiry vested in Congress;
2. Whether E.O. 464 violates the right of the people to information on matters of public concern; and
3. Whether respondents have committed grave abuse of discretion when they implemented E.O. 464 prior to its publication in a newspaper of general circulation.

The Court resolved the issues as follows

Essential requisites for judicial review

Before proceeding to resolve the issue of the constitutionality of E.O. 464, ascertainment of whether the requisites for a valid exercise of the Court's power of judicial review are present is in order.

Like almost all powers conferred by the Constitution, the power of judicial review is subject to limitations, to wit: (1) there must be an actual case or controversy calling for the exercise of judicial power; (2) the person challenging the act must have standing to challenge the validity of the subject act or issuance; otherwise stated, he must have a personal and substantial interest in the case such that he has sustained, or will sustain, direct injury as a result of its enforcement; (3) the question of constitutionality must be raised at the earliest opportunity; and (4) the issue of constitutionality must be the very *lis mota* of the case.

Except with respect to the requisites of standing and existence of an actual case or controversy where the disagreement between the parties lies, discussion of the rest of the requisites shall be omitted.

Standing

Respondents, through the Solicitor General, assert that the allegations in G.R. Nos. 169659, 169660 and 169667 make it clear that they, adverting to the non-appearance of several officials of the executive department in the investigations called by the different committees of the Senate, were brought to vindicate the constitutional duty of the Senate or its different committees to conduct inquiry in aid of legislation or in the exercise of its oversight functions. They maintain that Representatives Ocampo, *et al.*, have not shown any specific prerogative, power, and privilege of the House of Representatives which had been effectively impaired by E.O. 464, there being no mention of any investigation called by the House of Representatives or any of its committees which was aborted due to the implementation of E.O. 464.

As for Bayan Muna's alleged interest as a party-list representing the marginalized and underrepresented, and that of the other petitioner groups and individuals who profess to have standing as advocates and defenders of the Constitution, respondents contend that such interest falls short of that required to confer standing on them as parties "injured-in-fact."

Respecting petitioner Chavez, respondents contend that Chavez may not claim an interest as a taxpayer for the implementation of E.O. 464 does not involve the exercise of taxing or spending power.

With regard to the petition filed by the Senate, respondents argue that in the absence of a personal or direct injury by reason of the issuance of E.O. 464, the Senate and its individual members are not the proper parties to assail the constitutionality of E.O. 464.

Invoking this Court's ruling in *National Economic Protectionism Association v. Ongpin and Valmonte v. Philippine Charity Sweepstakes Office*, respondents assert that to be considered a proper party, one must have a personal and substan-

tial interest in the case, such that he has sustained or will sustain direct injury due to the enforcement of E.O. 464.

That the Senate of the Philippines has a fundamental right essential not only for intelligent public decision-making in a democratic system, but more especially for sound legislation⁸³ is not disputed. E.O. 464, however, allegedly stifles the ability of the members of Congress to access information that is crucial to law-making.⁸⁴ Verily, the Senate, including its individual members, has a substantial and direct interest over the outcome of the controversy and is the proper party to assail the constitutionality of E.O. 464. Indeed, legislators have standing to maintain inviolate the prerogative, powers and privileges vested by the Constitution in their office and are allowed to sue to question the validity of any official action which they claim infringes their prerogatives as legislators.

In the same vein, party-list representatives Satur Ocampo (Bayan Muna), Teodoro Casino (Bayan Muna), Joel Virador (Bayan Muna), Crispin Beltran (Anakpawis), Rafael Mariano (Anakpawis), and Liza Maza (Gabriela) are allowed to sue, to question the constitutionality of E.O. 464, the absence of any claim that an investigation called by the House of Representatives or any of its committees was aborted due to the implementation of E.O. 464 notwithstanding, it being sufficient that a claim is made that E.O. 464 infringes on their constitutional rights and duties as members of Congress to conduct investigation in aid of legislation and conduct oversight functions in the implementation of laws.

The national political party, Bayan Muna, likewise meets the standing requirement as it obtained three seats in the House of Representatives in the 2004 elections and is, therefore, entitled to participate in the legislative process consonant with the declared policy underlying the party list system of affording citizens belonging to marginalized and underrepresented sectors, organizations and parties who lack well-defined political constituencies to contribute to the formulation and enactment of legislation that will benefit the nation.⁸⁵

⁸³*Id.*, at 279.

⁸⁴*Ibid.*

⁸⁵Section 2 of The Party-List System Act (Republic Act 7941) reads:

As Bayan Muna and Representatives Ocampo, *et al.*, have the standing to file their petitions, passing on the standing of their co-petitioners COURAGE and CODAL is rendered unnecessary.

In filing their respective petitions, Chavez, the ALG which claims to be an organization of citizens, and the incumbent members of the IBP Board of Governors and the IBP in behalf of its lawyer members,⁸⁶ invoke their constitutional right to information on matters of public concern, asserting that the right to information, curtailed and violated by E.O. 464, is essential to the effective exercise of other constitutional rights⁸⁷ and to the maintenance of the balance of power among the three branches of the government through the principle of checks and balances.

It is well-settled that when suing as a citizen, the interest of the petitioner in assailing the constitutionality of laws, presidential decrees, orders, and other regulations, must be direct and personal. In *Francisco v. House of Representatives*, this Court held that when the proceeding involves the assertion of a public right, the mere fact that he is a citizen satisfies the requirement of personal interest.

As for petitioner PDP-Laban, it asseverates that it is clothed with legal standing in view of the transcendental issues raised in its petition which this Court needs to resolve in order to avert a constitutional crisis. For it to be accorded standing on the ground of transcendental importance, however, it must

SEC. 2. *Declaration of Policy.* — The State shall promote proportional representation in the election of representatives to the House of Representatives through a party-list system of registered national, regional and sectoral parties or organizations or coalitions thereof, which will enable Filipino citizens belonging to marginalized and underrepresented sectors, organizations and parties, and who lack well-defined political constituencies but who could contribute to the formulation and enactment of appropriate legislation that will benefit the nation as a whole, to become members of the House of Representatives. Towards this end, the State shall develop and guarantee a full, free and open party system in order to attain the broadest possible representation of party, sectoral or group interests in the House of Representatives by enhancing their chances to compete for and win seats in the legislature, and shall provide the simplest scheme possible.

⁸⁶IBP Board of Governors Resolution No. XVII-2005-18, *rollo* (G.R. No. 171246), p. 28.

⁸⁷*Rollo*, G.R. No. 169667, p. 3.

establish (1) the character of the funds (that it is public) or other assets involved in the case, (2) the presence of a clear case of disregard of a constitutional or statutory prohibition by the public respondent agency or instrumentality of the government, and (3) the lack of any party with a more direct and specific interest in raising the questions being raised. The first and last determinants not being present as no public funds or assets are involved and petitioners in G.R. Nos. 169777 and 169659 have direct and specific interests in the resolution of the controversy, petitioner PDP-Laban is bereft of standing to file its petition. Its allegation that E.O. 464 hampers its legislative agenda is vague and uncertain, and at best is only a "generalized interest" which it shares with the rest of the political parties. Concrete injury, whether actual or threatened, is that indispensable element of a dispute which serves in part to cast it in a form traditionally capable of judicial resolution. In fine, PDP-Laban's alleged interest as a political party does not suffice to clothe it with legal standing.

Actual Case or Controversy

Petitioners assert that an actual case exists, they citing the absence of the executive officials invited by the Senate to its hearings after the issuance of E.O. 464, particularly those on the North Rail project and the wiretapping controversy.

Respondents counter that there is no case or controversy, there being no showing that President Arroyo has actually withheld her consent or prohibited the appearance of the invited officials. These officials, they claim, merely communicated to the Senate that they have not yet secured the consent of the President, not that the President prohibited their attendance. Specifically with regard to the AFP officers who did not attend the hearing on September 28, 2005, respondents claim that the instruction not to attend without the President's consent was based on its role as Commander-in-Chief of the Armed Forces, not on E.O. 464.

Respondents thus conclude that the petitions merely rest on an unfounded apprehension that the President will abuse its power of preventing the appearance of officials before Congress, and that such apprehension is not sufficient for challenging the validity of E.O. 464.

The Court finds respondents' assertion that the President has not withheld her consent or prohibited the appearance of the officials concerned immaterial in determining the existence of an actual case or controversy insofar as E.O. 464 is concerned. For E.O. 464 does not require either a deliberate withholding of consent or an express prohibition issuing from the President in order to bar officials from appearing before Congress.

As the implementation of the challenged order has already resulted in the absence of officials, invited to the hearings of petitioner Senate of the Philippines, it would make no sense to wait for any further event before considering the present case ripe for adjudication. Indeed, it would be sheer abandonment of duty if this Court would now refrain from passing on the constitutionality of E.O. 464.

Constitutionality of E.O. 464

E.O. 464, to the extent that it bars the appearance of executive officials before Congress, deprives Congress of the information in the possession of these officials. To resolve the question of whether such withholding of information violates the Constitution, consideration of the general power of Congress to obtain information, otherwise known as the power of inquiry, is in order.

The power of inquiry

The Congress, power of inquiry is expressly recognized in Section 21 of Article VI of the Constitution which reads:

SECTION 21. The Senate or the House of Representatives or any of its respective committees may conduct inquiries in aid of legislation in accordance with its duly published rules of procedure. The rights of persons appearing in or affected by such inquiries shall be respected.

This provision is worded exactly as Section 8 of Article VIII of the 1973 Constitution except that, in the latter, it vests the power of inquiry in the unicameral legislature established therein — the Batasang Pambansa — and its committees.

The 1935 Constitution did not contain a similar provision. Nonetheless, in *Arnault v. Nazareno*, a case decided in 1950

under that Constitution, the Court already recognized that the power of inquiry is inherent in the power to legislate.

Arnault involved a Senate investigation of the reportedly anomalous purchase of the Buenavista and Tambobong Estates by the Rural Progress Administration. Arnault, who was considered a leading witness in the controversy, was called to testify thereon by the Senate. On account of his refusal to answer the questions of the senators on an important point, he was, by resolution of the Senate, detained for contempt. Upholding the Senate's power to punish Arnault for contempt, this Court held:

Although there is no provision in the Constitution expressly investing either House of Congress with power to make investigations and exact testimony to the end that it may exercise its legislative functions advisedly and effectively, such power is so far incidental to the legislative function as to be implied. In other words, the power of inquiry — with process to enforce it — is an essential and appropriate auxiliary to the legislative function. A legislative body cannot legislate wisely or effectively in the absence of information respecting the conditions which the legislation is intended to affect or change; and where the legislative body does not itself possess the requisite information — which is not infrequently true — recourse must be had to others who do possess it. Experience has shown that mere requests for such information are often unavailing, and also that information which is volunteered is not always accurate or complete; so some means of compulsion is essential to obtain what is needed.

That this power of inquiry is broad enough to cover officials of the executive branch may be deduced from the same case. The power of inquiry, the Court therein ruled, is co-extensive with the power to legislate. The matters which may be a proper subject of legislation and those which may be a proper subject of investigation are one. It follows that the operation of government, being a legitimate subject for legislation, is a proper subject for investigation.

Thus, the Court found that the Senate investigation of the government transaction involved in *Arnault* was a proper

exercise of the power of inquiry. Besides being related to the expenditure of public funds of which Congress is the guardian, the transaction, the Court held, "also involved government agencies created by Congress and officers whose positions it is within the power of Congress to regulate or even abolish."

Since Congress has authority to inquire into the operations of the executive branch, it would be incongruous to hold that the power of inquiry does not extend to executive officials who are the most familiar with and informed on executive operations.

As discussed in *Arnault*, the power of inquiry, "with process to enforce it," is grounded on the necessity of information in the legislative process. If the information possessed by executive officials on the operation of their offices is necessary for wise legislation on that subject, by parity of reasoning, Congress has the right to that information and the power to compel the disclosure thereof.

As evidenced by the American experience during the so-called "McCarthy era," however, the right of Congress to conduct inquiries in aid of legislation is, in theory, no less susceptible to abuse than executive or judicial power. It may thus be subjected to judicial review pursuant to the Court's *certiorari* powers under Section 1, Article VIII of the Constitution.

For one, as noted in *Bengzon v. Senate Blue Ribbon Committee*, the inquiry itself might not properly be in aid of legislation, and thus beyond the constitutional power of Congress. Such inquiry could not usurp judicial functions. Parenthetically, one possible way for Congress to avoid such a result as occurred in *Bengzon* is to indicate in its invitations to the public officials concerned, or to any person for that matter, the possible needed statute which prompted the need for the inquiry. Given such statement in its invitations, along with the usual indication of the subject of inquiry and the questions relative to and in furtherance thereof, there would be less room for speculation on the part of the person invited on whether the inquiry is in aid of legislation.

Section 21, Article VI likewise establishes crucial safeguards that prescribe the legislative power of inquiry. The provision requires that the inquiry be done in accordance with the Senate or House's duly published rules of procedure, necessarily implying the constitutional infirmity of an inquiry conduct-

ed without duly published rules of procedure. Section 21 also mandates that the rights of persons appearing in or affected by such inquiries be respected, an imposition that obligates Congress to adhere to the guarantees in the Bill of Rights.

These abuses are, of course, remediable before the courts, upon the proper suit filed by the persons affected, even if they belong to the executive branch. Nonetheless, there may be exceptional circumstances, none appearing to obtain at present, wherein a clear pattern of abuse of the legislative power of inquiry might be established, resulting in palpable violations of the rights guaranteed to members of the executive department under the Bill of Rights. In such instances, depending on the particulars of each case, attempts by the Executive Branch to forestall these abuses may be accorded judicial sanction.

Even where the inquiry is in aid of legislation, there are still recognized exemptions to the power of inquiry, which exemptions fall under the rubric of "executive privilege." Since this term figures prominently in the challenged order, it being mentioned in its provisions, its preambular clauses, and in its very title, a discussion of executive privilege is crucial for determining the constitutionality of E.O. 464.

Executive privilege

The phrase "executive privilege" is not new in this jurisdiction. It has been used even prior to the promulgation of the 1986 Constitution. Being of American origin, it is best understood in light of how it has been defined and used in the legal literature of the United States.

Schwartz defines executive privilege as "the power of the Government to withhold information from the public, the courts, and the Congress." Similarly, Rozell defines it as "the right of the President and high-level executive branch officers to withhold information from Congress, the courts, and ultimately the public."

Executive privilege is, nonetheless, not a clear or unitary concept. It lets encompassed claims of varying kinds. Tribe, in fact, comments that while it is customary to employ the phrase "executive privilege," it may be more accurate to speak of executive privileges "since presidential refusals to furnish information may be actuated by any of at least three distinct

kinds of considerations, and may be asserted, with differing degrees of success, in the context of either judicial or legislative investigations."

One variety of the privilege, Tribe explains, is the state secrets privilege invoked by U.S. Presidents, beginning with Washington, on the ground that the information is of such nature that its disclosure would subvert crucial military or diplomatic objectives. Another variety is the informer's privilege, or the privilege of the Government not to disclose the identity of persons who furnish information of violations of law to officers charged with the enforcement of that law. Finally, a generic privilege for internal deliberations has been said to attach to intra-governmental documents reflecting advisory opinions, recommendations and deliberations comprising part of a process by which governmental decisions and policies are formulated.

Tribe's comment is supported by the ruling in *In re Sealed Case*, thus:

Since the beginnings of our nation, executive officials have claimed a variety of privileges to resist disclosure of information the confidentiality of which they felt was crucial to fulfillment of the unique role and responsibilities of the executive branch of our government. Courts ruled early that the executive had a right to withhold documents that might reveal military or state secrets. The courts have also granted the executive a right to withhold the identity of government informers in some circumstances and a qualified right to withhold information related to pending investigations. x x x

The entry in Black's Law Dictionary on "executive privilege" is similarly instructive regarding the scope of the doctrine.

This privilege, based on the constitutional doctrine of separation of powers, exempts the executive from disclosure requirements applicable to the ordinary citizen or organization where such exemption is necessary to the discharge of highly important executive responsibilities involved in maintaining governmental operations, and extends not only to military and diplomatic secrets but also to documents integral to an

appropriate exercise of the executive' domestic decisional and policy making functions, that is, those documents reflecting the frank expression necessary in intra-governmental advisory and deliberative communications.

That a type of information is recognized as privileged does not, however, necessarily mean that it would be considered privileged in all instances. For in determining the validity of a claim of privilege, the question that must be asked is not only whether the requested information falls within one of the traditional privileges, but also whether that privilege should be honored in a given procedural setting.

The leading case on executive privilege in the United States is *U.S. v. Nixon*, decided in 1974. At issue in that case was the validity of President Nixon's claim of executive privilege against a subpoena issued by a district court requiring the production of certain tapes and documents relating to the Watergate investigations. The claim of privilege was based on the President's general interest in the confidentiality of his conversations and correspondence. The U.S. Court held that while there is no explicit reference to a privilege of confidentiality in the U.S. Constitution, it is constitutionally based to the extent that it relates to the effective discharge of a President's powers. The Court, nonetheless, rejected the President's claim of privilege, ruling that the privilege must be balanced against the public interest in the fair administration of criminal justice. Notably, the Court was careful to clarify that it was not there addressing the issue of claims of privilege in a civil litigation or against congressional demands for information.

Cases in the U.S. which involve claims of executive privilege against Congress are rare. Despite frequent assertion of the privilege to deny information to Congress, beginning with President Washington's refusal to turn over treaty negotiation records to the House of Representatives, the U.S. Supreme Court has never adjudicated the issue. However, the U.S. Court of Appeals for the District of Columbia Circuit, in a case decided earlier in the same year as Nixon, recognized the President's privilege over his conversations against a congressional subpoena. Anticipating the balancing approach adopted by the U.S. Supreme Court in Nixon, the Court of Appeals weighed the public interest protected by the claim of privilege against the interest that would be served by

disclosure to the Committee. Ruling that the balance favored the President, the Court declined to enforce the subpoena.

In this jurisdiction, the doctrine of executive privilege was recognized by this Court in *Almonte v. Vasquez*. Almonte used the term in reference to the same privilege subject of Nixon. It quoted the following portion of the Nixon decision which explains the basis for the privilege:

"The expectation of a President to the confidentiality of his conversations and correspondences, like the claim of confidentiality of judicial deliberations, for example, has all the values to which we accord deference for the privacy of all citizens and, added to those values, is the necessity for protection of the public interest in candid, objective, and even blunt or harsh opinions in Presidential decision-making. A President and those who assist him must be free to explore alternatives in the process of shaping policies and making decisions and to do so in a way many would be unwilling to express except privately. These are the considerations justifying a presumptive privilege for Presidential communications. The privilege is fundamental to the operation of government and inextricably rooted in the separation of powers under the Constitution x x x."

Almonte involved a subpoena *duces tecum* issued by the Ombudsman against the therein petitioners. It did not involve, as expressly stated in the decision, the right of the people to information. Nonetheless, the Court recognized that there are certain types of information which the government may withhold from the public, thus acknowledging, in substance if not in name, that executive privilege may be claimed against citizens' demands for information.

In *Chavez v. PCGG*, the Court held that this jurisdiction recognizes the common law holding that there is a "governmental privilege against public disclosure with respect to state secrets regarding military, diplomatic and other national security matters." The same case held that closed-door Cabinet meetings are also a recognized limitation on the right to information.

Similarly, in *Chavez v. Public Estates Authority*, the Court ruled that the right to information does not extend to matters recognized as "privileged information under the

separation of powers," by which the Court meant Presidential conversations, correspondences, and discussions in closed-door Cabinet meetings. It also held that information on military and diplomatic secrets and those affecting national security, and information on investigations of crimes by law enforcement agencies before the prosecution of the accused were exempted from the right to information.

From the above discussion on the meaning and scope of executive privilege, both in the United States and in this jurisdiction, a clear principle emerges. Executive privilege, whether asserted against Congress, the courts, or the public, is recognized only in relation to certain types of information of a sensitive character. While executive privilege is a constitutional concept, a claim thereof may be valid or not depending on the ground invoked to justify it and the context in which it is made. Noticeably absent is any recognition that executive officials are exempt from the duty to disclose information by the mere fact of being executive officials. Indeed, the extraordinary character of the exemptions indicates that the presumption inclines heavily against executive secrecy and in favor of disclosure.

Validity of Section 1

Section 1 is similar to Section 3 in that both require the officials covered by them to secure the consent of the President prior to appearing before Congress. There are significant differences between the two provisions, however, which constrain this Court to discuss the validity of these provisions separately.

Section 1 specifically applies to department heads. It does not, unlike Section 3, require a prior determination by any official whether they are covered by E.O. 464. The President herself has, through the challenged order, made the determination that they are. Further, unlike also Section 3, the coverage of department heads under Section 1 is not made to depend on the department heads' possession of any information which might be covered by executive privilege. In fact, in marked contrast to Section 3 *vis-à-vis* Section 2, there is no reference to executive privilege at all. Rather, the required prior consent under Section 1 is grounded on Article VI, Section 22 of the Constitution on what has been referred to as the question hour.

SECTION 22. The heads of departments may upon their own initiative, with the consent of the President, or upon the request of either House, as the rules of each House shall provide, appear before and be heard by such House on any matter pertaining to their departments. Written questions shall be submitted to the President of the Senate or the Speaker of the House of Representatives at least three days before their scheduled appearance. Interpellations shall not be limited to written questions, but may cover matters related thereto. When the security of the State or the public interest so requires and the President so states in writing, the appearance shall be conducted in executive session.

Determining the validity of Section 1 thus requires an examination of the meaning of Section 22 of Article VI. Section 22 which provides for the question hour must be interpreted *vis-à-vis* Section 21 which provides for the power of either House of Congress to "conduct inquiries in aid of legislation." As the following excerpt of the deliberations of the Constitutional Commission shows, the framers were aware that these two provisions involved distinct functions of Congress.

MR. MAAMBONG. x x x When we amended Section 20 [now Section 22 on the Question Hour] yesterday, I noticed that members of the Cabinet cannot be compelled anymore to appear before the House of Representatives or before the Senate. I have a particular problem in this regard, Madam President, because in our experience in the Regular Batasang Pambansa — as the Gentleman himself has experienced in the interim Batasang Pambansa — one of the most competent inputs that we can put in our committee deliberations, either in aid of legislation or in congressional investigations, is the testimonies of Cabinet ministers. We usually invite them, but if they do not come and it is a congressional investigation, we usually issue subpoenas.

I want to be clarified on a statement made by Commissioner Suarez when he said that the fact that the Cabinet ministers may refuse to come to the House of Representatives or the Senate [when requested under Section 22] does not mean that they need not come when they are invited or subpoenaed by the committee of either House when it comes to inquiries in aid of legislation or congressional investigation. According to Commissioner Suarez, that is allowed and their presence can

be had under Section 21. Does the gentleman confirm this, Madam President?

MR. DAVIDE. We confirm that, Madam President, because Section 20 refers only to what was originally the Question Hour, whereas, Section 21 would refer specifically to inquiries in aid of legislation, under which anybody for that matter, may be summoned and if he refuses, he can be held in contempt of the House.

A distinction was thus made between inquiries in aid of legislation and the question hour. While attendance was meant to be discretionary in the question hour, it was compulsory in inquiries in aid of legislation. The reference to Commissioner Suarez bears noting, he being one of the proponents of the amendment to make the appearance of department heads discretionary in the question hour.

So clearly was this distinction conveyed to the members of the Commission that the Committee on Style, precisely in recognition of this distinction, later moved the provision on question hour from its original position as Section 20 in the original draft down to Section 31, far from the provision on inquiries in aid of legislation. This gave rise to the following exchange during the deliberations:

MR. GUNGONA. [speaking in his capacity as Chairman of the Committee on Style] We now go, Mr. Presiding Officer, to the Article on Legislative and may I request the chairperson of the Legislative Department, Commissioner Davide, to give his reaction.

THE PRESIDING OFFICER (Mr. Jamir). Commissioner Davide is recognized.

MR. DAVIDE. Thank you, Mr. Presiding Officer. I have only one reaction to the Question Hour. I propose that instead of putting it as Section 31, it should follow Legislative Inquiries.

THE PRESIDING OFFICER. What does the committee say?

MR. GUNGONA. I ask Commissioner Maambong to reply, Mr. Presiding Officer.

MR. MAAMBONG. Actually, we considered that previously when we sequenced this but we reasoned that in Section 21,

which is Legislative Inquiry, it is actually a power of Congress in terms of its own lawmaking; whereas, a Question Hour is not actually a power in terms of its own lawmaking power because in Legislative Inquiry, it is in aid of legislation. And so we put Question Hour as Section 31. I hope Commissioner Davide will consider this.

MR. DAVIDE. The Question Hour is closely related with the legislative power, and it is precisely as a complement to or a supplement of the Legislative Inquiry. The appearance of the members of Cabinet would be very, very essential not only in the application of check and balance but also, in effect, in aid of legislation.

MR. MAAMBONG. After conferring with the committee, we find merit in the suggestion of Commissioner Davide. In other words, we are accepting that and so this Section 31 would now become Section 22. Would it be, Commissioner Davide?

MR. DAVIDE. Yes. Consistent with their statements earlier in the deliberations, Commissioners Davide and Maambong proceeded from the same assumption that these provisions pertained to two different functions of the legislature. Both Commissioners understood that the power to conduct inquiries in aid of legislation is different from the power to conduct inquiries during the question hour. Commissioner Davide's only concern was that the two provisions on these distinct powers be placed closely together, they being complementary to each other. Neither Commissioner considered them as identical functions of Congress.

The foregoing opinion was not the two Commissioners' alone. From the above-quoted exchange, Commissioner Maambong's committee — the Committee on Style — shared the view that the two provisions reflected distinct functions of Congress. Commissioner Davide, on the other hand, was speaking in his capacity as Chairman of the Committee on the Legislative Department. His views may thus be presumed as representing that of his Committee.

In the context of a parliamentary system of government, the "question hour" has a definite meaning. It is a period of confrontation initiated by Parliament to hold the Prime Minister and the other ministers accountable for their acts and the operation of the government, corresponding to what is

known in Britain as the question period. There was a specific provision for a question hour in the 1973 Constitution which made the appearance of ministers mandatory. The same perfectly conformed to the parliamentary system established by that Constitution, where the ministers are also members of the legislature and are directly accountable to it.

An essential feature of the parliamentary system of government is the immediate accountability of the Prime Minister and the Cabinet to the National Assembly. They shall be responsible to the National Assembly for the program of government and shall determine the guidelines of national policy. Unlike in the presidential system where the tenure of office of all elected officials cannot be terminated before their term expired, the Prime Minister and the Cabinet remain in office only as long as they enjoy the confidence of the National Assembly. The moment this confidence is lost the Prime Minister and the Cabinet may be changed.

The framers of the 1987 Constitution removed the mandatory nature of such appearance during the question hour in the present Constitution so as to conform more fully to a system of separation of powers. To that extent, the question hour, as it is presently understood in this jurisdiction, departs from the question period of the parliamentary system. That department heads may not be required to appear in a question hour does not, however, mean that the legislature is rendered powerless to elicit information from them in all circumstances. In fact, in light of the absence of a mandatory question period, the need to enforce Congress' right to executive information in the performance of its legislative function becomes more imperative. As Schwartz observes:

Indeed, if the separation of powers has anything to tell us on the subject under discussion, it is that the Congress has the right to obtain information from any source — even from officials of departments and agencies in the executive branch. In the United States there is, unlike the situation which prevails in a parliamentary system such as that in Britain, a clear separation between the legislative and executive branches. It is this very separation that makes the congressional right to obtain information from the executive so essential, if the functions of the Congress as the elected representatives of the people are

adequately to be carried out. The absence of close rapport between the legislative and executive branches in this country, comparable to those which exist under a parliamentary system, and the nonexistence in the Congress of an institution such as the British question period have perforce made reliance by the Congress upon its right to obtain information from the executive essential, if it is intelligently to perform its legislative tasks. Unless the Congress possesses the right to obtain executive information, its power of oversight of administration in a system such as ours becomes a power devoid of most of its practical content, since it depends for its effectiveness solely upon information parceled out *ex gratia* by the executive.

Sections 21 and 22, therefore, while closely related and complementary to each other, should not be considered as pertaining to the same power of Congress. One specifically relates to the power to conduct inquiries in aid of legislation, the aim of which is to elicit information that may be used for legislation, while the other pertains to the power to conduct a question hour, the objective of which is to obtain information in pursuit of Congress' oversight function.

When Congress merely seeks to be informed on how department heads are implementing the statutes which it has issued, its right to such information is not as imperative as that of the President to whom, as Chief Executive, such department heads must give a report of their performance as a matter of duty. In such instances, Section 22, in keeping with the separation of powers, states that Congress may only request their appearance. Nonetheless, when the inquiry in which Congress requires their appearance is "in aid of legislation" under Section 21, the appearance is mandatory for the same reasons stated in *Arnault*.

In fine, the oversight function of Congress may be facilitated by compulsory process only to the extent that it is performed in pursuit of legislation. This is consistent with the intent discerned from the deliberations of the Constitutional Commission.

Ultimately, the power of Congress to compel the appearance of executive officials under Section 21 and the lack of it under Section 22 find their basis in the principle of separation

of powers. While the executive branch is a co-equal branch of the legislature, it cannot frustrate the power of Congress to legislate by refusing to comply with its demands for information.

When Congress exercises its power of inquiry, the only way for department heads to exempt themselves therefrom is by a valid claim of privilege. They are not exempt by the mere fact that they are department heads. Only one executive official may be exempted from this power — the President on whom executive power is vested, hence, beyond the reach of Congress except through the power of impeachment. It is based on her being the highest official of the executive branch, and the due respect accorded to a co-equal branch of government which is sanctioned by a long-standing custom.

By the same token, members of the Supreme Court are also exempt from this power of inquiry. Unlike the Presidency, judicial power is vested in a collegial body; hence, each member thereof is exempt on the basis not only of separation of powers but also on the fiscal autonomy and the constitutional independence of the judiciary. This point is not in dispute, as even counsel for the Senate, Sen. J. Arroyo, admitted it during the oral argument upon interpellation of the Chief Justice.

Having established the proper interpretation of Section 22, Article VI of the Constitution, the Court now proceeds to pass on the constitutionality of Section 1 of E.O. 464.

Section 1, in view of its specific reference to Section 22 of Article VI of the Constitution and the absence of any reference to inquiries in aid of legislation, must be construed as limited in its application to appearances of department heads in the question hour contemplated in the provision of said Section 22 of Article VI. The reading is dictated by the basic rule of construction that issuances must be interpreted, as much as possible, in a way that will render it constitutional.

The requirement then to secure presidential consent under Section 1, limited as it is only to appearances in the question hour, is valid on its face. For under Section 22, Article VI of the Constitution, the appearance of department heads in the question hour is discretionary on their part.

Section 1 cannot, however, be applied to appearances of department heads in inquiries in aid of legislation. Congress is not bound in such instances to respect the refusal of the department head to appear in such inquiry, unless a valid claim of privilege is subsequently made, either by the President himself or by the Executive Secretary.

Validity of Sections 2 and 3

Section 3 of E.O. 464 requires all the public officials enumerated in Section 2(b) to secure the consent of the President prior to appearing before either house of Congress. The enumeration is broad. It covers all senior officials of executive departments, all officers of the AFP and the PNP, and all senior national security officials who, in the judgment of the heads of offices designated in the same section (i.e., department heads, Chief of Staff of the AFP, Chief of the PNP, and the National Security Adviser) are "covered by the executive privilege."

The enumeration also includes such other officers as may be determined by the President. Given the title of Section 2 — "Nature, Scope and Coverage of Executive Privilege" — it is evident that under the rule of *eiusdem generis*, the determination by the President under this provision is intended to be based on a similar finding of coverage under executive privilege.

En passant, the Court notes that Section 2(b) of E.O. 464 virtually states that executive privilege actually covers persons. Such is a misuse of the doctrine. Executive privilege, as discussed above, is properly invoked in relation to specific categories of information and not to categories of persons.

In light, however, of Sec 2(a) of E.O. 464 which deals with the nature, scope and coverage of executive privilege, the reference to persons being "covered by the executive privilege" may be read as an abbreviated way of saying that the person is in possession of information which is, in the judgment of the head of office concerned, privileged as defined in Section 2(a). The Court shall thus proceed on the assumption that this is the intention of the challenged order.

Upon a determination by the designated head of office or by the President that an official is "covered by the executive privilege," such official is subjected to the requirement that he

first secure the consent of the President prior to appearing before Congress. This requirement effectively bars the appearance of the official concerned unless the same is permitted by the President. The proviso allowing the President to give its consent means nothing more than that the President may reverse a prohibition which already exists by virtue of E.O. 464.

Thus, underlying this requirement of prior consent is the determination by a head of office, authorized by the President under E.O. 464, or by the President herself, that such official is in possession of information that is covered by executive privilege. This determination then becomes the basis for the official's not showing up in the legislative investigation.

In view thereof, whenever an official invokes E.O. 464 to justify his failure to be present, such invocation must be construed as a declaration to Congress that the President, or a head of office authorized by the President, has determined that the requested information is privileged, and that the President has not reversed such determination. Such declaration, however, even without mentioning the term "executive privilege," amounts to an implied claim that the information is being withheld by the executive branch, by authority of the President, on the basis of executive privilege. Verily, there is an implied claim of privilege.

The letter dated September 28, 2005 of respondent Executive Secretary Ermita to Senate President Drilon illustrates the implied nature of the claim of privilege authorized by E.O. 464. It reads:

In connection with the inquiry to be conducted by the Committee of the Whole regarding the North Rail Project of the North Luzon Railways Corporation on 29 September 2005 at 10:00 a.m., please be informed that officials of the Executive Department invited to appear at the meeting will not be able to attend the same without the consent of the President, pursuant to Executive Order No. 464 (s. 2005), entitled "Ensuring Observance Of The Principle Of Separation Of Powers, Adherence To The Rule On Executive Privilege And Respect For The Rights Of Public Officials Appearing In Legislative Inquiries In Aid Of Legislation Under The Constitution, And

For Other Purposes." Said officials have not secured the required consent from the President.

The letter does not explicitly invoke executive privilege or that the matter on which these officials are being requested to be resource persons falls under the recognized grounds of the privilege to justify their absence. Nor does it expressly state that in view of the lack of consent from the President under E.O. 464, they cannot attend the hearing.

Significant premises in this letter, however, are left unstated, deliberately or not. The letter assumes that the invited officials are covered by E.O. 464. As explained earlier, however, to be covered by the order means that a determination has been made, by the designated head of office or the President, that the invited official possesses information that is covered by executive privilege. Thus, although it is not stated in the letter that such determination has been made, the same must be deemed implied. Respecting the statement that the invited officials have not secured the consent of the President, it only means that the President has not reversed the standing prohibition against their appearance before Congress.

Inevitably, Executive Secretary Ermita's letter leads to the conclusion that the executive branch, either through the President or the heads of offices authorized under E.O. 464, has made a determination that the information required by the Senate is privileged, and that, at the time of writing, there has been no contrary pronouncement from the President. In fine, an implied claim of privilege has been made by the executive.

While there is no Philippine case that directly addresses the issue of whether executive privilege may be invoked against Congress, it is gathered from *Chavez v. PEA* that certain information in the possession of the executive may validly be claimed as privileged even against Congress. Thus, the case holds:

There is no claim by PEA that the information demanded by petitioner is privileged information rooted in the separation of powers. The information does not cover Presidential conversations, correspondences, or discussions during closed-door Cabinet meetings which, like internal-deliberations of the Supreme Court and other

collegiate courts, or executive sessions of either house of Congress, are recognized as confidential. This kind of information cannot be pried open by a co-equal branch of government. A frank exchange of exploratory ideas and assessments, free from the glare of publicity and pressure by interested parties, is essential to protect the independence of decision-making of those tasked to exercise Presidential, Legislative and Judicial power. This is not the situation in the instant case.

Section 3 of E.O. 464, therefore, cannot be dismissed outright as invalid by the mere fact that it sanctions claims of executive privilege. This Court must look further and assess the claim of privilege authorized by the Order to determine whether it is valid.

While the validity of claims of privilege must be assessed on a case-to-case basis, examining the ground invoked therefor and the particular circumstances surrounding it, there is, in an implied claim of privilege, a defect that renders it invalid *per se*. By its very nature, and as demonstrated by the letter of respondent Executive Secretary quoted above, the implied claim authorized by Section 3 of E.O. 464 is not accompanied by any specific allegation of the basis thereof (e.g., whether the information demanded involves military or diplomatic secrets, closed-door Cabinet meetings, etc.). While Section 2(a) enumerates the types of information that are covered by the privilege under the challenged order, Congress is left to speculate as to which among them is being referred to by the executive. The enumeration is not even intended to be comprehensive, but a mere statement of what is included in the phrase "confidential or classified information between the President and the public officers covered by this executive order."

Certainly, Congress has the right to know why the executive considers the requested information privileged. It does not suffice to merely declare that the President, or an authorized head of office, has determined that it is so, and that the President has not overturned that determination. Such declaration leaves Congress in the dark on how the requested information could be classified as privileged. That the message is couched in terms that, on first impression, do not seem like

a claim of privilege only makes it more pernicious. It threatens to make Congress doubly blind to the question of why the executive branch is not providing it with the information that it has requested.

A claim of privilege, being a claim of exemption from an obligation to disclose information, must, therefore, be clearly asserted. As *U.S. v. Reynolds* teaches:

The privilege belongs to the government and must be asserted by it; it can neither be claimed nor waived by a private party. It is not to be lightly invoked. There must be a formal claim of privilege, lodged by the head of the department which has control over the matter, after actual personal consideration by that officer. The court itself must determine whether the circumstances are appropriate for the claim of privilege, and yet do so without forcing a disclosure of the very thing the privilege is designed to protect.

Absent then a statement of the specific basis of a claim of executive privilege, there is no way of determining whether it falls under one of the traditional privileges, or whether, given the circumstances in which it is made, it should be respected. These, in substance, were the same criteria in assessing the claim of privilege asserted against the Ombudsman in *Almonte v. Vasquez* and, more in point, against a committee of the Senate in *Senate Select Committee on Presidential Campaign Activities v. Nixon*.

A.O. Smith v. Federal Trade Commission is enlightening:

[T]he lack of specificity renders an assessment of the potential harm resulting from disclosure impossible, thereby preventing the Court from balancing such harm against plaintiffs' needs to determine whether to override any claims of privilege. And so is *U.S. v. Article of Drug*.

On the present state of the record, this Court is not called upon to perform this balancing operation. In stating its objection to claimant's interrogatories, government assets, and nothing more, that the disclosures sought by claimant would inhibit the free expression of opinion that non-disclosure is designed to protect. The government has not shown — nor even alleged

—that those who evaluated claimant's product were involved in internal policymaking, generally, or in this particular instance. Privilege cannot be set up by an unsupported claim. The facts upon which the privilege is based must be established. To find these interrogatories objectionable, this Court would have to assume that the evaluation and classification of claimant's products was a matter of internal policy formulation, an assumption in which this Court is unwilling to indulge *sua sponte*.

Mobil Oil Corp. v. Department of Energy similarly emphasizes that "an agency must provide precise and certain reasons for preserving the confidentiality of requested information."

Black v. Sheraton Corp. of America amplifies, thus:

A formal and proper claim of executive privilege requires a specific designation and description of the documents within its scope as well as precise and certain reasons for preserving their confidentiality. Without this specificity, it is impossible for a court to analyze the claim short of disclosure of the very thing sought to be protected. As the affidavit now stands, the Court has little more than its *sua sponte* speculation with which to weigh the applicability of the claim. An improperly asserted claim of privilege is no claim of privilege. Therefore, despite the fact that a claim was made by the proper executive as *Reynolds* requires, the Court can not recognize the claim in the instant case because it is legally insufficient to allow the Court to make a just and reasonable determination as to its applicability. To recognize such a broad claim in which the Defendant has given no precise or compelling reasons to shield these documents from outside scrutiny, would make a farce of the whole procedure.

Due respect for a co-equal branch of government, moreover, demands no less than a claim of privilege clearly stating the grounds therefor. Apropos is the following ruling in *McPhaul v. U.S.*:

We think the Court's decision in *United States v. Bryan*, 339 U.S. 323, 70 S. Ct. 724, is highly relevant to these questions. For it is as true here as it was there,

that 'if (petitioner) had legitimate reasons for failing to produce the records of the association, a decent respect for the House of Representatives, by whose authority the subpoenas issued, would have required that (he) state (his) reasons for noncompliance upon the return of the writ. Such a statement would have given the Subcommittee an opportunity to avoid the blocking of its inquiry by taking other appropriate steps to obtain the records.' To deny the Committee the opportunity to consider the objection, or remedy is in itself a contempt of its authority and an obstruction of its processes. His failure to make any such statement was "a patent evasion of the duty of one summoned to produce papers before a congressional committee [and] cannot be condoned." Upon the other hand, Congress must not require the executive to state the reasons for the claim with such particularity as to compel disclosure of the information which the privilege is meant to protect. A useful analogy in determining the requisite degree of particularity would be the privilege against self-incrimination. Thus, *Hoffman v. U.S.* declares:

The witness is not exonerated from answering merely because he declares that in so doing he would incriminate himself — his say-so does not of itself establish the hazard of incrimination. It is for the court to say whether his silence is justified, and to require him to answer if 'it clearly appears to the court that he is mistaken.' However, if the witness, upon interposing his claim, were required to prove the hazard in the sense in which a claim is usually required to be established in court, he would be compelled to surrender the very protection which the privilege is designed to guarantee. To sustain the privilege, it need only be evident from the implications of the question, in the setting in which it is asked, that a responsive answer to the question or an explanation of why it cannot be answered might be dangerous because injurious disclosure could result." x x x

The claim of privilege under Section 3 of E.O. 464 in relation to Section 2(b) is thus invalid *per se*. It is not asserted. It is merely implied. Instead of providing precise and certain reasons for the claim, it merely invokes E.O. 464, coupled with an announcement that the President has not given her

consent. It is woefully insufficient for Congress to determine whether the withholding of information is justified under the circumstances of each case. It severely frustrates the power of inquiry of Congress.

In fine, Section 3 and Section 2(b) of E.O. 464 must be invalidated.

No infirmity, however, can be imputed to Section 2(a) as it merely provides guidelines, binding only on the heads of office mentioned in Section 2(b), on what is covered by executive privilege. It does not purport to be conclusive on the other branches of government. It may thus be construed as a mere expression of opinion by the President regarding the nature and scope of executive privilege.

Petitioners, however, assert as another ground for invalidating the challenged order the alleged unlawful delegation of authority to the heads of offices in Section 2(b). Petitioner Senate of the Philippines, in particular, cites the case of the United States where, so it claims, only the President can assert executive privilege to withhold information from Congress.

Section 2(b) in relation to Section 3 virtually provides that, once the head of office determines that a certain information is privileged, such determination is presumed to bear the President's authority and has the effect of prohibiting the official from appearing before Congress, subject only to the express pronouncement of the President that it is allowing the appearance of such official. These provisions thus allow the President to authorize claims of privilege by mere silence.

Such presumptive authorization, however, is contrary to the exceptional nature of the privilege. Executive privilege, as already discussed, is recognized with respect to information the confidential nature of which is crucial to the fulfillment of the unique role and responsibilities of the executive branch, or in those instances where exemption from disclosure is necessary to the discharge of highly important executive responsibilities. The doctrine of executive privilege is thus premised on the fact that certain informations must, as a matter of necessity, be kept confidential in pursuit of the public interest. The privilege being, by definition, an exemption from the obligation to disclose

information, in this case to Congress, the necessity must be of such high degree as to outweigh the public interest in enforcing that obligation in a particular case.

In light of this highly exceptional nature of the privilege, the Court finds it essential to limit to the President the power to invoke the privilege. She may of course authorize the Executive Secretary to invoke the privilege on her behalf, in which case the Executive Secretary must state that the authority is "By order of the President," which means that he personally consulted with her. The privilege being an extraordinary power, it must be wielded only by the highest official in the executive hierarchy. In other words, the President may not authorize her subordinates to exercise such power. There is even less reason to uphold such authorization in the instant case where the authorization is not explicit but by mere silence. Section 3, in relation to Section 2(b), is further invalid on this score.

It follows, therefore, that when an official is being summoned by Congress on a matter which, in his own judgment, might be covered by executive privilege, he must be afforded reasonable time to inform the President or the Executive Secretary of the possible need for invoking the privilege. This is necessary in order to provide the President or the Executive Secretary with fair opportunity to consider whether the matter indeed calls for a claim of executive privilege. If, after the lapse of that reasonable time, neither the President nor the Executive Secretary invokes the privilege, Congress is no longer bound to respect the failure of the official to appear before Congress and may then opt to avail of the necessary legal means to compel his appearance.

The Court notes that one of the expressed purposes for requiring officials to secure the consent of the President under Section 3 of E.O. 464 is to ensure "respect for the rights of public officials appearing in inquiries in aid of legislation." That such rights must indeed be respected by Congress is an echo from Article VI Section 21 of the Constitution mandating that "The rights of persons appearing in or affected by such inquiries shall be respected."

In light of the above discussion of Section 3, it is clear that it is essentially an authorization for implied claims of executive privilege, for which reason it must be invalidated. That such

authorization is partly motivated by the need to ensure respect for such officials does not change the infringe nature of the authorization itself.

Right to Information

E.O. 464 is concerned only with the demands of Congress for the appearance of executive officials in the hearings conducted by it, and not with the demands of citizens for information pursuant to their right to information on matters of public concern. Petitioners are not amiss in claiming, however, that what is involved in the present controversy is not merely the legislative power of inquiry, but the right of the people to information.

There are, it bears noting, clear distinctions between the right of Congress to information which underlies the power of inquiry and the right of the people to information on matters of public concern. For one, the demand of a citizen for the production of documents pursuant to his right to information does not have the same obligatory force as a subpoena *duces tecum* issued by Congress. Neither does the right to information grant a citizen the power to exact testimony from government officials. These powers belong only to Congress and not to an individual citizen.

Thus, while Congress is composed of representatives elected by the people, it does not follow, except in a highly qualified sense, that in every exercise of its power of inquiry, the people are exercising their right to information.

To the extent that investigations in aid of legislation are generally conducted in public, however, any executive issuance tending to unduly limit disclosures of information in such investigations necessarily deprives the people of information which, being presumed to be in aid of legislation, is presumed to be a matter of public concern. The citizens are thereby denied access to information which they can use in formulating their own opinions on the matter before Congress — opinions which they can then communicate to their representatives and other government officials through the various legal means allowed by their freedom of expression. Thus holds *Valmonte v. Belmonte*:

It is in the interest of the State that the channels for free political discussion be maintained to the end that the government may perceive and be responsive to the people's will. Yet, this open dialogue can be effective only to the extent that the citizenry is informed and thus able to formulate its will intelligently. Only when the participants in the discussion are aware of the issues and have access to information relating thereto can such bear fruit.

The impairment of the right of the people to information as a consequence of E.O. 464 is, therefore, in the sense explained above, just as direct as its violation of the legislature's power of inquiry.

Implementation of E.O. 464 prior to its publication

While E.O. 464 applies only to officials of the executive branch, it does not follow that the same is exempt from the need for publication. On the need for publishing even those statutes that do not directly apply to people in general, *Tañada v. Tuvera* states:

The term "laws" should refer to all laws and not only to those of general application, for strictly speaking all laws relate to the people in general albeit there are some that do not apply to them directly. An example is a law granting citizenship to a particular individual, like a relative of President Marcos who was decreed instant naturalization. It surely cannot be said that such a law does not affect the public although it unquestionably does not apply directly to all the people. The subject of such law is a matter of public interest which any member of the body politic may question in the political forums or, if he is a proper party, even in courts of justice.

Although the above statement was made in reference to statutes, logic dictates that the challenged order must be covered by the publication requirement. As explained above, E.O. 464 has a direct effect on the right of the people to information on matters of public concern. It is, therefore, a matter of public interest which members of the body politic may question before this Court. Due process thus requires that

the people should have been apprised of this issuance before it was implemented.

Conclusion

Congress undoubtedly has a right to information from the executive branch whenever it is sought in aid of legislation. If the executive branch withholds such information on the ground that it is privileged, it must so assert it and state the reason therefor and why it must be respected.

The infirm provisions of E.O. 464, however, allow the executive branch to evade congressional requests for information without need of clearly asserting a right to do so and/or proffering its reasons therefor. By the mere expedient of invoking said provisions, the power of Congress to conduct inquiries in aid of legislation is frustrated. That is impermissible. For [w]hat republican theory did accomplish... was to reverse the old presumption in favor of secrecy, based on the divine right of kings and nobles, and replace it with a presumption in favor of publicity, based on the doctrine of popular sovereignty. (Underscoring supplied)

Resort to any means then by which officials of the executive branch could refuse to divulge information cannot be presumed valid. Otherwise, we shall not have merely nullified the power of our legislature to inquire into the operations of government, but we shall have given up something of much greater value — our right as a people to take part in government.

GLOSSARY OF MAXIMS

Absoluta sententia expositio non indiget — When language of law is clear, no explanation of it is required.

Actus me invito factus non est meus actus — An act done by me against my will is not my act.

Actus non facit reum, nisi mens sit rea — The act itself does not make a man guilty unless his intention were so.

Ad proximum antecedens fiat relatio nisi impediatur sententia — Relative words refer to the nearest antecedents, unless the context otherwise requires.

Argumentum a contrario — Negative-opposite doctrine.

Casus omisus pro omisso habendus est — A person, object or thing omitted from an enumeration must be held to have been omitted intentionally.

Cessante ratione legis, cessat et ipsa lex — When the reason of the law ceases, the law itself ceases.

Contemporanea expositio est optima et fortissima in lege — The contemporary construction is strongest in law.

Distingue tempora et concordabis jura — Distinguish times and you will harmonize laws.

Dura lex sed lex — The law may be harsh, but that is the law.

Eiusdem generis — Of the same kind or specie.

Exceptio firmat regulam in casibus non exceptis — A thing not being excepted must be regarded as coming within the purview of the general rule.

Ex dolo malo non oritur actio — No man can be allowed to found a claim upon his own wrongdoing.

Expressio unius est exclusio alterius — The express mention of one person, thing or consequence implies the exclusion of all others.

Expressum facit cessare tacitum — What is expressed puts an end to that which is implied.

Ex necessitate legis — By necessary implication of law.

Falsa demonstratio non nocet, cum de corpore constat — False description does not preclude construction nor vitiate the meaning of the statute.

Favores ampliandi sunt; odia restringenda — Penal laws which are favorable to the accused are given retroactive effect.

Generale dictum generaliter est interpretandum — A general statement is understood in a general sense.

Generalia verba sunt generaliter intelligenda — What is generally spoken shall be generally understood.

Generalia specialibus non derogant — A general law does not nullify a specific or special law.

Hoc quidem perquam durum est, sed ita lex scripta est — It is exceedingly hard but so the law is written.

Impossibilium nulla obligatio est — There is no obligation to do an impossible thing.

Index animi sermo est — Speech is the index of intention.

In eo quod plus sit, semper inest et minus — The greater includes the lesser.

Interest reipublicae ut sit finis litium — Public interest requires that by the very nature of things there must be an end to a legal controversy.

Interpotare et concordare legibus est optimus interpretandi modus — Every statute must be so construed and harmonized with other statutes as to form uniform system of law.

Interpretatio fenda est ut res magis valeat quam pereat — A law should be interpreted with a view to upholding rather than destroying it.

Interpretatio talis in ambiguis semper fenda est ut evitetur inconueniens et absurdum — Where there is ambiguity, such interpretation as will avoid inconvenience and absurdity is to be adopted.

Legis interpretatio legis vim obtinet — The authoritative interpretation of the court of a statute acquires the force of law by becoming a part thereof.

Leges posteriores priores contrarias abrogant — A later law repeals a prior law on the same subject which is repugnant thereto.

Lex de futuro, iudex de praterito — The law provides for the future, the judge for the past.

Lex prospicit, non respicit — The law looks forward, not backward.

Maledicta est expositio quae corruptum textum — It is dangerous construction which is against the text.

Nosciatur a sociis — Word construed with reference to accompanying or associated words.

Nova constitutio futuris formam imponere debet non praeteritis — A new statute should affect the future, not the past.

Nullus commodum potest de injuria propriusua — No man should be allowed to take advantage of his own wrong.

Nullum crimen sine poena, nulla poena sine lege — There is no crime without a penalty, and there is no penalty without a law.

Nullum tempus occurrit regi — There can be no legal right as against the authority that makes the law on which the right depends.

Optima statuti interpretatrix est ipsum statutum — The best interpreter of a statute is the statute itself.

Optimus interpres rerum usus — The best interpreter of the law is usage.

Pari materia — Relating to same matter.

Privilegia recipiunt largam interpretationem voluntate consonan concedentis — Privileges are to be interpreted in accordance with the will of him who grants them.

Potior est in tempore, potior est in jure — He who is first in time is preferred in right.

Quando aliquid prohibetur ex directo, prohibetur et per obliquum — What is prohibited directly is prohibited indirectly.

Ratihabio mandato equiparatur — Legislative ratification is equivalent to a mandate.

Ratio legis — Interpretation according to spirit.

Ratio legis est anima legis — The reason of the law is its soul.

Reddendo singula singulis — Referring each to each; referring each phrase or expression to its appropriate object; or let each be put in its proper place.

Salus populi est suprema lex — The voice of the people is the supreme law.

Surplusagium non nocet — Surplusage does not vitiate a statute.

Stare decisis et non quita movere — Follow past precedents and do not disturb what has been settled.

Ubi jus, ibi remedium — Where there is a right, there is a remedy.

Ubi lex non distinguit, nec nos distinguere debemus — Where the law does not distinguish, we should not distinguish.

Utile per inutile non vitiatur — The useful is not vitiated by the non-useful.

Ut res magis valeat quam pereat — That construction is to be sought which gives effect to the whole of the statute — its every word.

Verba accipienda sunt secundum subjectam materiam — A word is to be understood in the context in which it is used.

Verba intentioni, non e contra, debent inservire — Words ought to be more subservient to the intent and not the intent to the words.

Verba legis — Plain-meaning rule.

Vigilantibus et non dormientibus jura subveniunt — The laws aid the vigilant, not those who slumber on their rights.

Verba legis non est recedendum — From the words of the statute there should be no departure.

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